黃仁勳外遇事件對台灣供應鏈影響分析

台灣 AI 硬體供應鏈：七大環節風險

若 NVIDIA 新平台升級放緩，其他平台能否補足需求？

供應鏈環節	若 NVIDIA 升級放慢	其他平台能否補足
先進製程	新 GPU 量產可能遞延	ASIC、AMD 可補足部分需求
先進封裝／ABF	新封裝規格導入延後	其他高階 ASIC 可部分補足
高速網通／光通訊	專屬互連升級可能延後	Ethernet、ASIC 需求可補足
高階電源／HVDC	新供電架構導入可能延後	其他 CSP 機櫃仍有需求
液冷散熱	高功率機櫃放量可能延後	AMD、ASIC 可補足部分
高階 PCB／CCL	新材料規格升級可能放慢	跨平台仍有升級需求
AI 伺服器 ODM	新平台出貨與認列可能遞延	取決於跨平台接單能力

關鍵：高階產品升級若延後，台廠的單價、毛利率與 EPS 成長可能無法如期實現。

黃仁勳離任：四種技術升級情境

區分 NVIDIA 的產品執行風險與全球 AI 產業創新速度

01	接班順利	既定技術路線延續	全球升級大致維持；台廠影響有限
02	接班磨合	部分決策、量產延後	部分領域升級放慢；2027 年獲利遞延
03	技術領導缺口	產品整合與架構決策受阻	系統級升級可能放慢；高階供應鏈 EPS 承壓
04	競爭者快速補位	NVIDIA 放慢；ASIC、AMD 加速	整體創新未必放慢；台廠出現明顯分化

觀察重點：2027 年既定產品不會自動停擺；更需追蹤 2028 年後的新架構決策、供應鏈協調與商業化速度。

黃仁勳離任的風險

關鍵不只是 NVIDIA 市占率，而是 AI 硬體產業升級的推進速度

跨企業協調能力

黃仁勳能把晶片、軟體、網路、供電、散熱與供應商投資整合成產品路線。

提前投資與規格升級

清楚的產品時程提高供應鏈訂單能見度，促使台廠提前投入研發、認證及產能。

離任後的核心不確定性

接班團隊能否維持跨技術決策速度、客戶信任與新平台商業化效率？

創新是否會放慢？

區分 NVIDIA 平台研發與全球 AI 硬體創新；兩者並非完全相同

短期：既定產品不會自動停擺

已進入設計、驗證或量產階段的專案仍可推進；風險主要是決策磨合與交付節奏。

中期：系統級創新可能放緩

若新架構決策、跨供應商協調或規格定案延遲，台廠高階產品放量可能遞延。

反向力量：CSP 與 AMD 仍會競爭

Google、AWS、Microsoft 與 AMD 有獨立路線；競爭可能抵銷部分 NVIDIA 放緩。

對台灣供應鏈的傳導

最值得擔心的是高階產品獲利認列遞延，而非所有訂單立即消失

較直接承壓：新規格高度依賴 NVIDIA

高階液冷、HVDC、特定高速互連、載板與新機櫃設計，可能面臨導入延後。

相對有韌性：可跨平台供應

先進製程、ASIC 設計、Ethernet 網通及跨平台電源散熱，仍有機會承接需求。

疊加風險：AIDC 建置遞延

若土地、電力與建置成本同步拖慢新案，2027～2028 年高階硬體營收與 EPS 壓力擴大。

黃仁勳若離任：先衝擊估值

短期｜風險溢價上升

市場可能先下修 NVIDIA 與相關供應商的估值倍數。

中期｜產品執行與客戶關係

新平台導入、研發團隊穩定、供應商協作及 CSP 採購策略是關鍵。

長期｜台灣優勢仍在

製程、封裝與系統整合能力不會因單一領導人離任而立即消失。

NVIDIA 市占轉移：改變分配，不保證總量

可能的轉移方向

Google TPU、AWS Trainium、Microsoft Maia、AMD 等平台增加部署。

台灣跨平台機會

晶圓製造、封裝、高速網路、電源與散熱可服務多個運算平台。

必要條件

新平台新增價值量及毛利，必須足以抵銷 NVIDIA 訂單減少。

跨平台受惠的五個關鍵環節

先進製程／封裝
GPU、ASIC 均需高階晶片製造與整合。

ASIC 設計服務
更多 CSP 自研晶片可能創造設計、驗證與量產服務需求。

高速交換器／光通訊
提升叢集互連效率，降低加速器閒置時間。

電源／液冷
支援高功率密度並改善整體能源效率。

高階 PCB／材料
更高頻寬與複雜系統推升規格要求。

真正受惠者：技術門檻與議價能力

跨平台製造

台積電：跨 GPU 與 ASIC 的製造需求，但仍須評估封裝競爭。

ASIC 設計

世芯、聯發科、創意：有增量機會，惟專案集中與量產時程風險高。

網通與系統效率

智邦、台光電、台達電、奇鋐等：需求取決於規格升級與實際獲利率。

降低 Token 成本：硬體升級的商業目的

提升有效算力

改善高速網路、互連與記憶體瓶頸，提高加速器利用率。

降低能源與冷卻成本

高效率電源及合適液冷設計，改善每單位運算的總成本。

優化特定工作負載

ASIC 對特定任務可能具更佳效能／成本比。

注意

硬體升級也會增加採購成本；須用全生命週期成本驗證效益。

美國出口監管：中國與東南亞不同

中國市場
受管制高階晶片直接銷售與最終用途審查風險較高。

東南亞轉運風險
若涉及規避限制或最終供中國使用，執法風險增加。

東南亞合法需求
本地資料中心與合規 CSP 採購不應視為整體消失。

台灣供應鏈
可能面臨訂單流失與轉移並存；不能假設所有需求都能補回。

2027–2028：三種情境

基準情境

GPU 與 ASIC 並行；CSP 持續投資，台廠依技術與客戶組合分化。

正向情境

ASIC 擴張且效率升級加速；跨平台高附加價值供應商獲利增加。

負向情境

出口限制加劇、AIDC 建置遞延且供應商降價；營收與估值同步承壓。

結論

黃仁勳離任對台灣 AI 硬體供應鏈的實質風險

黃仁勳離任對台灣 AI 硬體廠有實質風險，

而且可能不只是訂單重新分配，

更是高階硬體升級所創造的獲利增量減少或遞延。

> 原本預期 2027 年開始大量出貨的高階液冷、供電、光互連設備，如果延至 2028 年才放量，即使長期需求沒有消失，2027 年的獲利預估仍可能需要下修。

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1476.TT 儒鴻

評價低緣、高殖利率，投資價值浮現

[法說會更新]

公司簡介

儒鴻成立於 1977 年，生產各式針織布及成衣，從染整、織布、定型、成衣，擁有垂直整合生產供應鏈，並切入機能性服飾市場，2025 年針織布營收 127.7 億元，YoY-2.3%，營收占比 33.61%，成衣營收 252.2 億元，YoY+6.2%，比重占 66.39%。

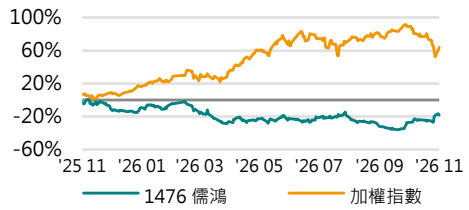
投資評等/目標價

買進	416

【前次投資建議】買進，396

【大盤指數/股價】42712 / 348.5

近一年個股及大盤報酬率



公司基本資料

流通在外股數(百萬股)	274
市值(百萬元)	95,617
3M 平均日成交值(百萬元)	523
外資持股率(%)	30.50
投信持股率(%)	3.90
董監持股率(%)	11.09

重點財報解析

百萬元	FY25	FY26F	FY27F
營業收入	37,990	40,878	43,195
營業利益	7,092	8,472	8,958
母公司本期淨利	5,515	6,856	7,220
EPS(元)	20.10	24.99	26.31
EPS YoY%	-16.94	24.33	5.28
每股現金股利(元)	15.00	18.65	19.64
每股淨值(元)	108.01	118.00	129.36
本益比(x)	18.7	13.9	13.2
本淨比(x)	3.8	3.0	2.7
殖利率(%)	4.4	5.4	5.6

環境、社會與治理(ESG)

重點摘要

➢3Q26 獲利略低於投研部預估

公司 3Q26 營收 105.72 億元，YoY+9.7%，營收略低於投研部預估之 106.8 億元，主要係因成衣營收低於投研部預期所致，毛利率 31.18%，優於投研部預期，主要受惠高毛利率新產品及新客戶占比提升，且匯率亦有所助益(約影響毛利率 0.62 個百分點)，費用率因業績獎金提列較高而推升至 10.49%，營益率 20.69%，低於投研部預估之 21.24%，稅後 EPS 6.36 元，低於投研部預估之 6.57 元。

➢4Q26 展望正向，略為上修 4Q26 獲利預估

10/2026 營收 34 億元，YoY+10.7%，符合投研部預期，本次法說會管理層表示對 4Q26 營運維持 TITAS 2026 釋出之看法不變，4Q26 營收可望為年內高峰，上修 4Q26 營收預估至 105.99 億元，YoY+14.4%，毛利率因原料成本負面影響趨緩，公司高毛利率新產品及新客戶占比持續提升，毛利率同步上修至 31.05%，YoY+0.86ppt.，預估稅後淨利 17.25 億元，YoY+9%，稅後 EPS 上修至 6.29 元。目前訂單能見度維持 6 個月，展望正向，期中選舉民主黨勝選預期對關稅壁壘政策可望有所趨緩，且美伊戰爭亦可望有所緩解，市場不確定因素減少亦有利於整體經濟消費動能，印尼廠一期、二期目前維持穩定獲利且產能滿載，投研部上修 2026 年營收預估至 408.77 億元，YoY+7.6%，毛利率因新產品、新客戶營收占比持續提升，略為上修至 31.09%，YoY+2.45ppt.，稅後 EPS 上修至 24.99 元。

➢2027 年營運成長可期，評價處歷史區間低緣且殖利率逾 5%

公司目前始承接 04/2027 訂單，觀察美國總體經濟動能強勁，消費者支出可望維持韌性，惟考量公司現有廠區產能趨於滿載，目前僅以原有產能小規模擴充為主，投研部以過去幾年公司中性成長均值預估 2027 年營收 431.95 億元，YoY+5.7%，毛利率因 4Q27 印尼新廠投產而略為承壓，預估 2027 年毛利率 30.62%，YoY-0.47ppt.，營益率預估 20.74%，YoY+0.01ppt.，稅後 EPS 預估由 26.19 元略為上修至 26.31 元，投研部以現金股利配發率 74.63%預估，現金股利殖利率可望達 5.35%，且依未來四季合計稅後 EPS 估算目前評價仍處過往歷史區間低緣位置，長期投資價值浮現，投研部維持評價 PER 16X 並以未來四季稅後 EPS 估算目標價，目標價由 396 元上修至 416 元(4Q26~3Q27F PE 16X)，維持買進投資建議。

儒鴻為國內成衣廠龍頭

儒鴻成立於 1977 年，生產各式針織布及成衣，從染整、織布、定型、成衣，擁有垂直整合生產供應鏈，並切入機能性服飾市場，2025 年針織布營收 127.7 億元，YoY-2.3%，營收占比 33.61%，成衣營收 252.2 億元，YoY+6.2%，比重占 66.39%；營收區域別來看，2025 年美洲營收占比 50.87%，YoY+4.5%，亞洲營收占比 35.19%，YoY+2.6%，歐洲營收占比 10.29%，YoY+10.2%，中東營收占比 2.49%，YoY-17.5%，紐澳營收占比 0.85%。YoY+16.2%，非洲營收占比 0.31%。YoY-64.7%。

3Q26 獲利略低於投研部預估

公司 3Q26 營收 105.72 億元，QoQ+4.8%，YoY+9.7%，營收略低於投研部預估之 106.8 億元，主要係因成衣營收低於投研部預期所致，針織布營收則優於投研部預期，毛利率 31.18%，QoQ+1.17ppt.，YoY+2.52ppt.，優於投研部預估之 30.76%，主要受惠高毛利率新產品及新客戶占比提升，且匯率亦有所助益(約影響毛利率 0.62 個百分點)，費用率因業績獎金提列較高而推升至 10.49%，高於投研部預估之 9.53%，營益率 20.69%，QoQ+1.51ppt.，YoY+1.59ppt.，低於投研部預估之 21.24%，業外則有匯兌收入認列 1,327 萬元，稅後淨利 17.44 億元，QoQ+12.3%，YoY+5.6%，稅後 EPS 6.36 元，低於投研部預估之 6.57 元。

表 1：儒鴻產品營收占比及成長趨勢　　單位：百萬元

產品別	期間	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26
針織布	營收	3,548	2,865	2,992	3,346	3,517	2,916	2,902	3,001	3,479
	營收占比	35.37%	29.93%	31.91%	34.43%	36.51%	31.47%	30.17%	29.75%	32.91%
	營收YoY	10.0%	-15.3%	7.4%	-13.6%	-0.9%	1.8%	-3.0%	-10.3%	-1.1%
	部門間營收	1,458	1,280	1,639	2,118	1,864	1,724	1,806	2,317	2,180
	部門間營收占比	29.13%	30.87%	35.40%	38.77%	34.65%	37.16%	38.36%	43.57%	38.52%
成衣	營收	6,483	6,706	6,383	6,372	6,117	6,348	6,719	7,085	7,093
	營收占比	64.63%	0.00%	68.09%	65.57%	63.49%	68.53%	69.83%	70.25%	67.09%
	營收YoY	36.6%	31.1%	31.7%	11.4%	-5.7%	-5.3%	5.3%	11.2%	16.0%

表 2：儒鴻獲利預估比較 3Q26、4Q26F

	調整後		調整前		差異	
	3Q26 (百萬元)	4Q26F (百萬元)	3Q26F (百萬元)	4Q26F (百萬元)	3Q26F (%)	4Q26F (%)
營業收入	10,572	10,599	10,680	10,169	*(1.0)*	*4.2*
營業毛利	3,296	3,291	3,285	3,080	*0.3*	*6.8*
營業利益	2,188	2,155	2,268	1,967	*(3.5)*	*9.6*
稅後淨利	1,744	1,725	1,803	1,604	*(3.3)*	*7.5*
EPS(元)	6.36	6.29	6.57	5.84	*(3.2)*	*7.5*
重要比率(%)						
毛利率	*31.18*	*31.05*	*30.76*	*30.29*	*0.4*	*0.8*
營業利益率	*20.69*	*20.33*	*21.24*	*19.34*	*(0.5)*	*1.0*
稅後淨利率	*16.50*	*16.27*	*16.89*	*15.77*	*(0.4)*	*0.5*

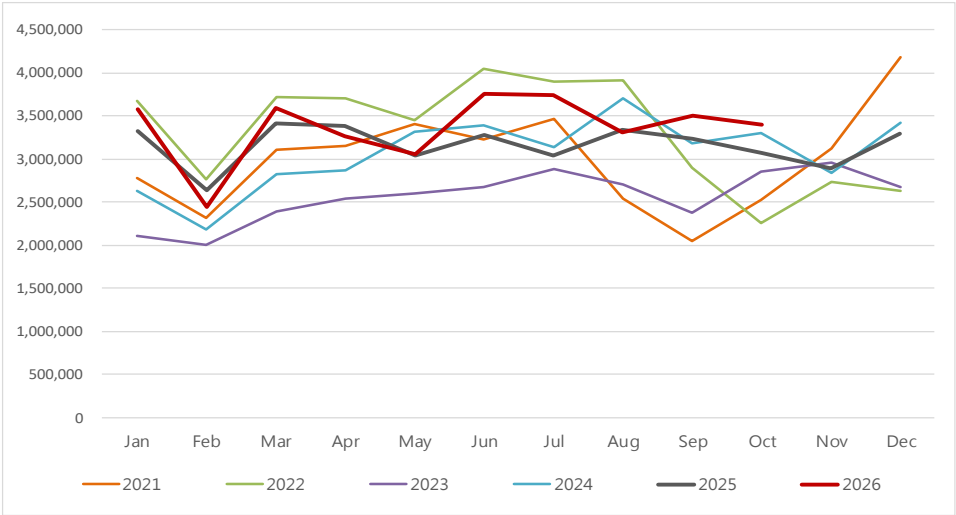
資料來源：國票投顧彙整

4Q26 展望正向，略為上修 4Q26 獲利預估

10/2026 營收 34 億元，MoM-3.1%，YoY+10.7%，YTD+5.9%，占投研部原預估 4Q26 營收達成率 33.4%，符合投研部預期，公司過去 10 月單月營收占 4Q26 營收占比區間介於 29.5%~34.2%，本次法說會管理層表示對 4Q26 營運維持台北紡織展(TITAS 2026)釋出之看法不變，以訂單來看，若出貨船期順利，則 4Q26 營收可望為年內高峰，基此，投研部上修 4Q26 營收預估至 105.99 億元，QoQ+0.3%，YoY+14.4%，毛利率因原料成本負面影響趨緩，公司高毛利率新產品及新客戶占比持續提升，毛利率亦同步上修至 31.05%，QoQ-0.14ppt.，YoY+0.86ppt.，並同步上修營益率至 20.33%，QoQ-0.36ppt.，YoY+1.17ppt.，預估稅後淨利 17.25 億元，QoQ-1.1%，YoY+9%，稅後 EPS 由 5.84 元略為上修至 6.29 元。

展望 2026 年，訂單能見度維持 2 個季度，訂單展望維持正向，公司表示目前訂單尚未因美國期中選舉結果出爐後而有所變動，然期中選舉民主黨勝選預期對關稅壁壘政策可望有所趨緩，且美伊戰爭亦可望有所緩解，市場不確定因素減少亦有利於整體經濟消費動能，印尼廠一期、二期目前維持穩定獲利且產能滿載，目前協力廠外發比重維持 27%~28%，因 4Q26 營收及獲利略為上修，投研部亦同步上修 2026 年營收預估至 408.77 億元，YoY+7.6%，毛利率部份，因高毛利率新產品、新客戶營收占比可望持續提升，且匯率環境相較於 2025 年亦較為友善，略為上修 31.09%，YoY+2.45ppt.，營益率則由 20.62%上修至 20.73%，YoY+2.06ppt.，並預估稅後淨利 68.56 億元，YoY+24.3%，稅後 EPS 由 24.77 元上修至 24.99 元。

圖 1：公司歷年月營收趨勢 單位：千元



資料來源：國票投顧彙製

2027 年營運可望維持成長，目前評價處歷史區間低緣且殖利率逾 5%

展望 2027 年，目前已開始承接 04/2027 訂單，雖訂單能見度未達 2027 年底，且客戶端 2027 年預示單仍洽談中，然觀察美國就業環境仍穩健，初領及續領失業救濟金人數仍處歷史低檔，總體經濟動能強勁，消費者支出可望維持韌性，且 2026 年營運受戰爭、通膨影響較為劇烈，研判 2027 年可望較為淡化，惟考量公司現有廠區產能趨於滿載，印尼三期實際貢獻營收時點落於 4Q27~1Q28，目前僅以原有產能小規模擴充產能為主，若市況優於預期則以外發協力廠因應，2027 年外發比重大致上介於 27%~35%區間，基此，投研部以過去幾年公司中性成長均值預估 2027 年營收 431.95 億元，YoY+5.7%，主要為產品報價提升之貢獻，並預估毛利率因 4Q27 印尼新廠投

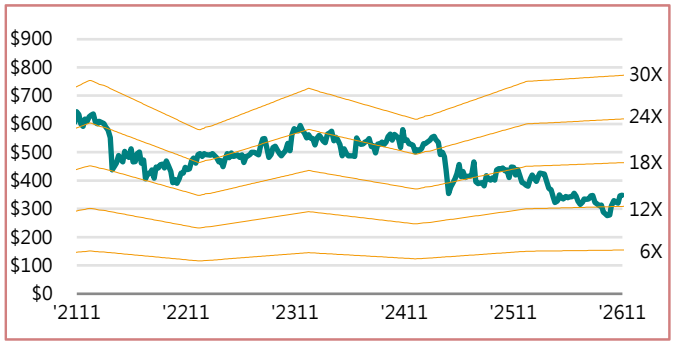
產而略為承壓，預估 2027 年毛利率 30.62%，YoY-0.47ppt.，營益率預估 20.74%，YoY+0.01ppt.，稅後 EPS 預估由 26.19 元略為上修至 26.31 元，公司表示未來可望維持高股利配發率，投研部以 2026 年現金股利配發率 74.63%預估，現金股利殖利率可望達 5.35%，且依未來四季合計稅後 EPS 估算目前評價 PER 13.4X，仍處過往歷史區間低緣位置，長期投資價值浮現，投研部維持評價 PER 16X 並以未來四季稅後 EPS 估算目標價，目標價由 396 元上修至 416 元(4Q26~3Q27F PE 16X)，維持買進投資建議。

表 3：儒鴻獲利預估比較 2026F、2027F

	調整後		調整前			
	FY26F (百萬元)	FY27F (百萬元)	FY26F (百萬元)	FY27F (百萬元)	FY26F (%)	FY27F (%)
營業收入	40,878	43,195	40,555	43,147	*0.8*	*0.1*
營業毛利	12,709	13,225	12,487	13,145	*1.8*	*0.6*
營業利益	8,472	8,958	8,365	8,904	*1.3*	*0.6*
稅後淨利	6,856	7,220	6,794	7,185	*0.9*	*0.5*
EPS(元)	24.99	26.31	24.76	26.19	*0.9*	*0.5*
重要比率(%)						
毛利率	*31.09*	*30.62*	*30.79*	*30.46*	*0.3*	*0.2*
營業利益率	*20.73*	*20.74*	*20.62*	*20.64*	*0.1*	*0.1*
稅後淨利率	*16.77*	*16.71*	*16.75*	*16.65*	*0.0*	*0.1*

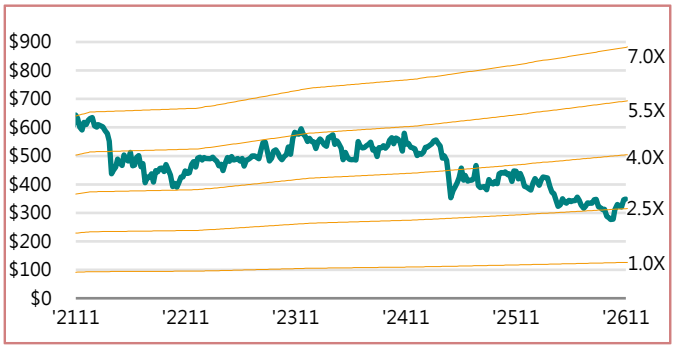
資料來源：國票投顧

未來 12 個月 P/E 區間



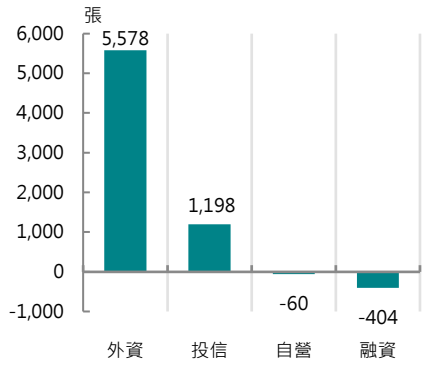
資料來源：國票投顧

未來 12 個月 P/B 區間



資料來源：國票投顧

近二十日籌碼變化



資料來源：CMoney

十大股東結構

持股人姓名	持股率%
毅遠投資(股)	9.40
鑫岦(股)	4.94
蔡賢嶔	4.60
富邦人壽保險(股)林福星	3.85
陳靜芳	3.48
磐丹(股)	3.40
匯豐受富達	3.35
洪鎮海	3.29
渣打普佛仕新興市	2.94
南山人壽保險(股)尹崇堯	2.56

資料來源：CMoney

董監事持股

持股人	身分別	持股率%
毅遠投資(股) 謝國松	董事	9.4
洪瑞廷	董事/總經理	1.54
陳坤鏞	副董事長	0.14
王樹文	董事長	0.01
尤政平	獨立董事	0
石天威	獨立董事	0
曲建仲	董事	0
貝昱(有) 王中武	董事	0
欣忻(有) 蔡欣彤	董事/協理	0
陳曉開	獨立董事	0

資料來源：CMoney

1476 儒鴻 永續發展概況

CMoney ESG Rating 更新評鑑年季：2026Q4

落後			平均				領先		
1	2	3	4	5	6	7	8	9	10

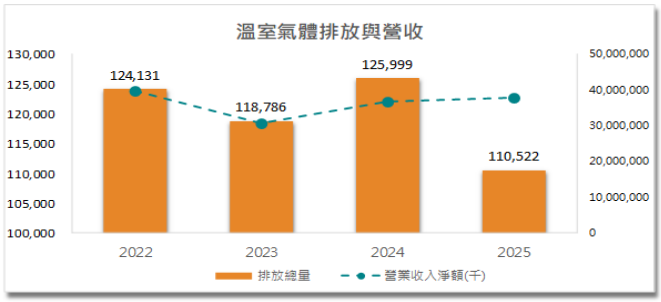
E(環境保護)	S(社會責任)	G(公司治理)	交易所公司治理評鑑	CM 評鑑等級換算
7	6	8	6%至20%	A

產業類別	產業樣本數	ESG評等產業排名	TCFD報告書簽署	永續報告書
紡織纖維	52	2	否	有 請參考公司官網

資料來源：CMoney
說明：評等1-10分，10分最高

環境保護 Environment

溫室氣體



摘要 2025年溫室氣體排放量減少12.28%，營收增加3.15%

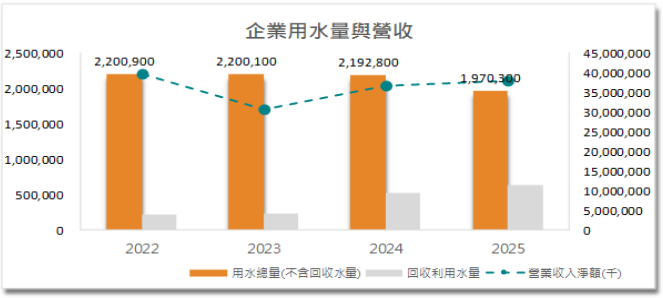
溫室氣體盤查數據

年度	排放總量(公噸)	範疇一	範疇二
2025	110,522	28,793	81,729
2024	125,999	31,030	94,969
2023	118,786	28,225	90,561
2022	124,131	27,130	97,001

*排放總量(公噸)：範疇一+範疇二溫室氣體排放數據
*範疇一：組織擁有或控制的營運據點的溫室氣體排放
*範疇二：組織所購買或取得之電力，用之於供熱、製冷或蒸汽而產生的溫室氣體排放

資料來源：CMoney、企業揭露資訊

水資源



摘要 2025年企業用水量減少10.15%，營收增加3.15%

企業用水量盤查數據

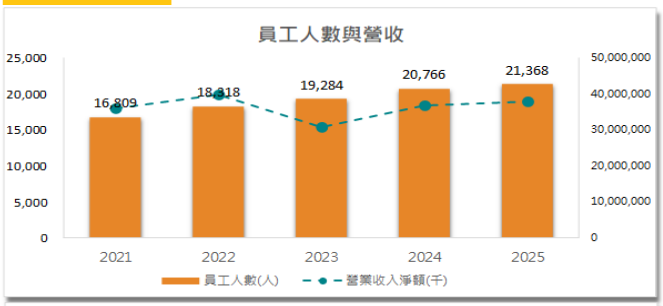
年度	用水總量(公噸)	回收水量(公噸)	排水量(公噸)
2025	1,970,300	630,900	-
2024	2,192,800	520,300	-
2023	2,200,100	231,100	-
2022	2,200,900	222,700	-

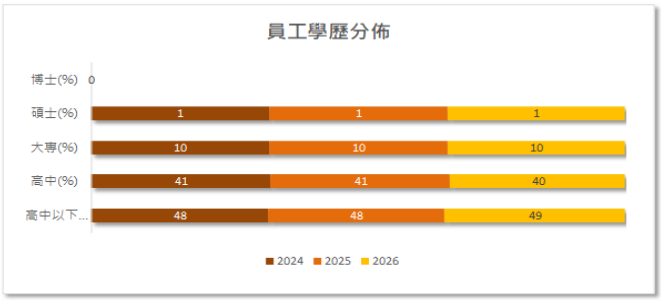
*用水總量：依取水來源統計之總使用水量
*回收水量：將已用水和廢水透過循環處理成可再利用的水資源(包含製成回收水)
*排水量：排放的汙水總量

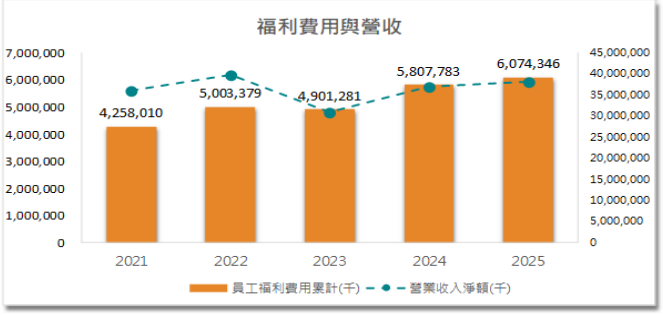
資料來源：CMoney、企業揭露資訊

社會責任 Social Responsibility

員工人數







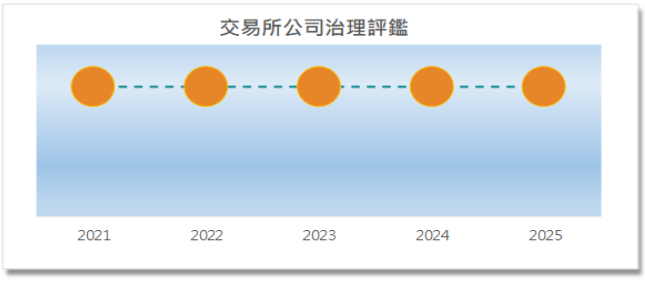
公司治理 Corporate Governance

公司治理評鑑

評鑑年度	評鑑結果	等級	加權項目比重			
			維護股東權益及平等對待股東	強化董事會結構與運作	資訊透明度	落實企業社會責任
2025	6%至20%	A	0.16	0.25	0.1	0.49
2024	6%至20%	A	0.19	0.29	0.17	0.35
2023	6%至20%	A	0.22	0.31	0.19	0.28
2022	6%至20%	A	0.2	0.33	0.23	0.24
2021	6%至20%	A	0.2	0.33	0.26	0.21

資料來源：CMoney、交易所

[註]等級轉換：前5%：「A+」；6%至20%：「A」；21%至35%：「B+」；
36%至50%：「B」；51%至65%：「C+」；66%至80%：「C」；81%至100%：「D」

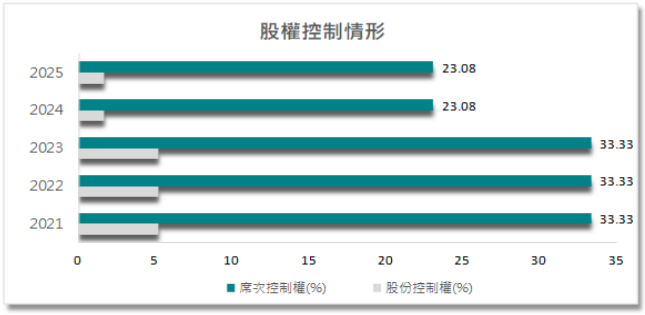


企業功能委員會

功能委員會			
審計委員會(非強制設置)		審計委員會(強制設置)	★
提名委員會	★	資訊安全委員會	
公司治理委員會		永續發展委員會	★
薪資報酬委員會	★	誠信經營委員會	
風險管理委員會	★	策略委員會	

資料來源：CMoney、企業揭露資訊

股權控制



企業裁罰資訊

2026/8/10	違反法條： 勞動基準法第32條第2項	違反內容： 延長工時超過每月上限
2026/6/9	違反法條： 職業安全衛生法第37條第2項第3款。職業安全衛生法第37條第2項	違反內容： 事業單位勞動場所發生災害之罹災人數在一人以上，且需住院治療之職業災害時，雇主應於8小時內通報勞動檢查機構。
2026/6/1	違反法條： 勞工退休金條例第15條第2項	違反內容： 雇主未依規定覈實申報調整勞工退休金提繳工資。
2026/5/22	違反法條： 勞工職業災害保險及保護法第17條	違反內容： 投保薪資金額以多報少或以少報多，或未於期限內通知月投保薪資之調整。
2026/5/22	違反法條： 勞工職業災害保險及保護法第17條	違反內容： 投保薪資金額以多報少或以少報多，或未於期限內通知月投保薪資之調整。

資料來源：CMoney蒐集MOPs重訊、環保署、金管會、勞動部裁罰資訊

附註說明

溫室氣體與水資源企業資訊來源為永續報告書及公開資訊觀測站，
企業資料於每年6/30及9/30申報截止，CMoney蒐集整理數據於每年8月及10月更新最新資料。
依循GRI國際準則，企業揭露溫室氣體與水資源等資料應揭露至少3至5年，因此最新年度永續報告書應有3至5年數據，表格數據以最新年度公告數據呈現。
舉例. 去年A公司公告2020、2019年溫室氣體資料，今年只公告2021年資料，視為今年沒有公告2020、2019歷史資料，於表格中只會呈現2021年資料。

綜合損益表

百萬元	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	FY25	FY26F	FY27F
營業收入	9,621	10,086	10,572	10,599	10,046	10,881	11,239	11,029	37,990	40,878	43,195
營業毛利	3,095	3,027	3,296	3,291	3,052	3,296	3,490	3,387	10,882	12,709	13,225
營業費用	900	1,092	1,109	1,136	941	1,093	1,112	1,120	3,790	4,237	4,267
營業利益	**2,195**	**1,935**	**2,188**	**2,155**	**2,111**	**2,202**	**2,378**	**2,267**	**7,092**	**8,472**	**8,958**
稅前淨利	**2,291**	**2,009**	**2,231**	**2,184**	**2,164**	**2,251**	**2,433**	**2,315**	**6,966**	**8,714**	**9,163**
本期淨利(NI)	**1,835**	**1,553**	**1,744**	**1,725**	**1,736**	**1,748**	**1,918**	**1,818**	**5,515**	**6,856**	**7,220**
淨利歸屬於_母公司業主	1,835	1,553	1,744	1,725	1,736	1,748	1,918	1,818	5,515	6,856	7,220
淨利歸屬於_非控制利益	0	0	0	0	0	0	0	0	0	0	0
每股盈餘_本期淨利	**6.69**	**5.66**	**6.36**	**6.29**	**6.33**	**6.37**	**6.99**	**6.63**	**20.10**	**24.99**	**26.31**
QoQ(%)											
營收淨額	3.85	4.83	4.82	0.26	-5.22	8.31	3.29	-1.86			
銷貨毛利	10.67	-2.19	8.91	-0.18	-7.25	7.98	5.90	-2.97			
營業利益	23.64	-11.85	13.05	-1.50	-2.04	4.33	7.99	-4.69			
稅後純益_母公司淨利	15.96	-15.35	12.32	-1.12	0.65	0.70	9.72	-5.22			
YoY(%)											
營收淨額	2.63	3.79	9.74	14.41	4.42	7.88	6.31	4.06	3.15	7.60	5.67
銷貨毛利	9.30	21.43	19.39	17.67	-1.38	8.88	5.88	2.92	-4.29	16.79	4.06
營業利益	11.11	28.91	18.86	21.38	-3.83	13.82	8.72	5.19	-8.56	19.46	5.74
稅後純益_母公司淨利	9.24	158.31	5.55	9.02	-5.38	12.57	9.97	5.41	-16.95	24.32	5.30
各項比率											
營業毛利率	32.17	30.01	31.18	31.05	30.38	30.29	31.06	30.71	28.64	31.09	30.62
營業利益率	22.81	19.18	20.69	20.33	21.01	20.24	21.16	20.55	18.67	20.73	20.74
稅前淨利率	23.81	19.92	21.10	20.61	21.54	20.69	21.65	20.99	18.34	21.32	21.21
稅後淨利率	19.07	15.40	16.50	16.27	17.28	16.07	17.07	16.48	14.52	16.77	16.71

財務狀況表

百萬元	FY25	FY26F	FY27F
現金及約當現金	3,409	3,599	3,622
應收款項	4,764	4,796	5,053
存貨	5,931	6,126	6,702
其他流動資產	7,262	7,295	6,724
流動資產	**21,367**	**21,817**	**22,102**
長期投資	0	0	0
不動產、廠房與設備	12,323	12,324	12,325
其他非流動資產	1,346	0	0
非流動資產	13,670	16,992	20,003
資產總計	**35,037**	**38,808**	**42,105**
短期借款	547	602	662
應付款項	3,491	3,657	3,948
其他流動負債	1,225	1,376	1,358
流動負債	**5,263**	**5,635**	**5,968**
長期借款	0	0	0
其他非流動負債	137	0	0
非流動負債	137	798	644
負債總計	**5,400**	**6,433**	**6,612**
股本	2,744	2,744	2,744
資本公積	3,770	3,770	3,770
保留盈餘	22,937	25,677	28,782
其他權益	187	184	198
股東權益	**29,637**	**32,375**	**35,493**

資料來源：CMoney 、國票投顧

現金流量表

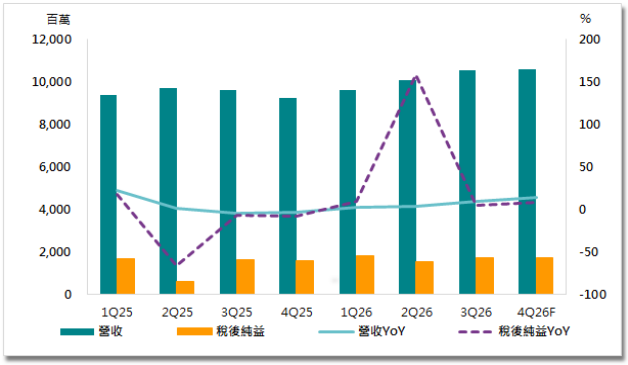
百萬元	FY25	FY26F	FY27F
本期稅前淨利(淨損)	6,966	8,714	9,163
折舊攤提	876	837	875
營運資金增減	-1,222	-394	-1,124
其他	951	-5,866	-4,372
來自營運之現金流量	**7,570**	**3,291**	**4,542**
資本支出	-370	-684	-1,573
長投增減	0	0	0
其他	-1,497	-995	-1,439
來自投資之現金流量	**-1,866**	**-1,679**	**-3,012**
自由現金流量	**5,704**	**1,612**	**1,530**
借款增(減)	-1,171	661	-154
其他	-4,683	0	0
來自融資之現金流量	**-5,854**	**-1,422**	**-1,507**
本期產生之現金流量	-209	190	23
期末現金及約當現金	3,409	3,599	3,622

財務比率表

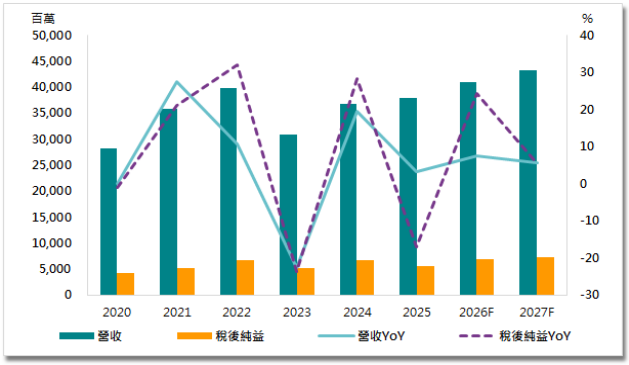
(%)	FY25	FY26F	FY27F
負債比率	15.41	16.58	15.70
槓桿比率	18.22	19.87	18.63
流動比率	406.00	387.15	370.32
存貨周轉率(次)	4.73	4.67	4.67
存貨週轉天數	76.05	78.12	78.12
應收帳款週轉天數	53.77	42.68	41.61
股東權益報酬率	18.84	21.18	20.34
總資產報酬率	15.56	18.57	17.85

資料來源：CMoney 、國票投顧

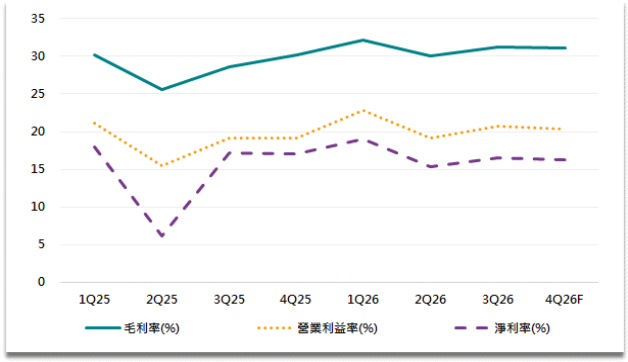
近八季營收及稅後淨利



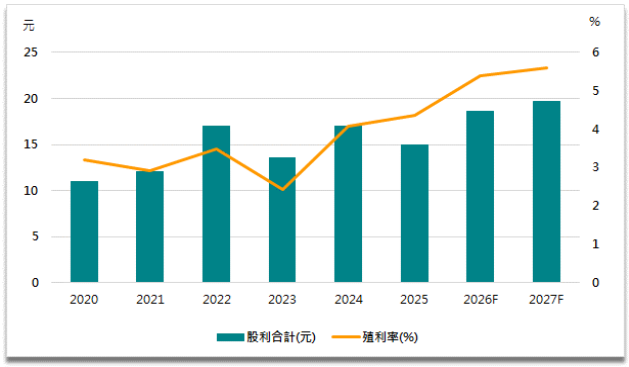
近八年營收及稅後淨利



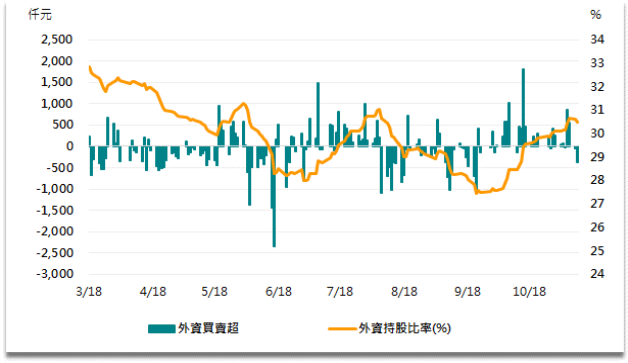
近八季三率走勢圖



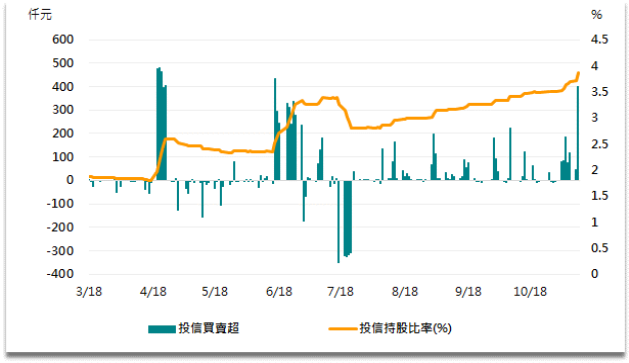
近八年股利及殖利率



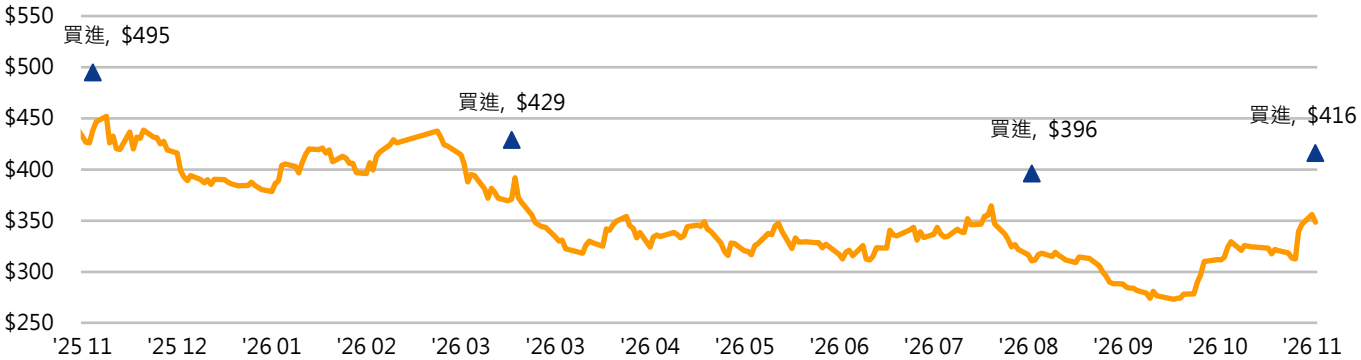
近八月外資買賣超



近八月投信買超



歷史投資建議走勢



國票買進個股數

投資評等	個股數
強力買進/買進	69

評等說明

評等	定義
強力買進	預估未來 3 個月內的絕對報酬高於 40%，且短期股價動能強勁
買　　進	• 預估未來 3 個月內的絕對報酬高於 20% • 中大型股及金融股：預估未來 3 個月內的絕對報酬高於 12%以上
區間操作	• 預估未來 3 個月內絕對報酬小於 20% • 中大型股及金融股：預估未來 3 個月內的絕對報酬小於 12%
觀　　望	預估未來 3 個月內的絕對報酬低於 0%
未 評 等	• 該公司未於國票核心持股名單 • 國票可能與該公司進行業務而處於緘默期

備註：「續推買進」報告 - 預估未來 3 個月內的絕對報酬高於 10%；中大型股及金融股，預估未來 3 個月內的絕對報酬高於 6%以上

研究員聲明

本研究報告之內容，係研究人員就其專業能力之善意分析，負責之研究人員(或者負責參與的研究人員)確認：本研究報告的內容係反映研究人員對於相關證券的個人看法；研究人員的報酬與本研究報告內容表述的個別建議或觀點無關。

公司總聲明

1. 國票證券投資顧問股份有限公司為國票金控融控股公司之集團成員，國票金融控股公司所屬子公司暨關係企業(以下簡稱 國票金控集團)從事廣泛金融業務，包括但不限於票券、保險、證券經紀、自有資金投資與交易、資產管理及證券投資信託等。國票金控集團對於本報告所涵蓋之標的公司可能有投資或其他業務往來關係。
2. 國票金控集團及其所屬員工，可能會投資本報告所涵蓋之標的公司，且其交易方向與本報告中所提及交易方向可能不一致。除此之外，國票金控集團於法令許可的範圍內，亦有可能以本報告所涵蓋之標的公司作為發行衍生性金融商品之標的。國票金控集團轄下的銷售人員、交易員及其他業務人員可能會為其客戶或自營部門提供口頭或書面市場看法或交易策略， 然而該等看法與策略可能與本報告意見不盡一致。國票金控集團之資產管理、自營及其他投資業務所有之投資決策也可能與本報告所提供之建議或看法不一致。
3. 本報告純屬研究性質，僅供集團內部同仁及特定客戶參考，不保證其完整性及精確性，且不提供或嘗試遊說客戶做為買賣股票之投資依據。報告中所有的意見與預估，係取自本公司相信為可靠之資料來源，且為特定日期所為之判斷，有其時效性，爾後若有變更，本公司將不做預告或主動更新。投資人於決策時應審慎衡量本身風險，並就投資結果自行負責。以上報告內容之著作權屬國票投顧所有，非經本公司同意，禁止任何形式之抄襲、引用或轉載。

個股報告

2026 年 11 月 11 日

研究員：david.lai@capital.com.tw

前日收盤價	348.50 元
目標價	
3 個月	385.00 元
12 個月	385.00 元

儒鴻(1476 TT)　Trading Buy

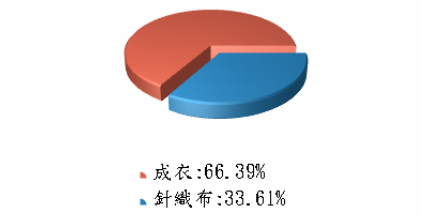
近期報告日期、評等及前日股價

08/0/2026	Trading Buy	310.50
05/20/2026	Trading Buy	320.00
04/07/2026	Neutral	322.00
02/04/2026	Buy	406.00

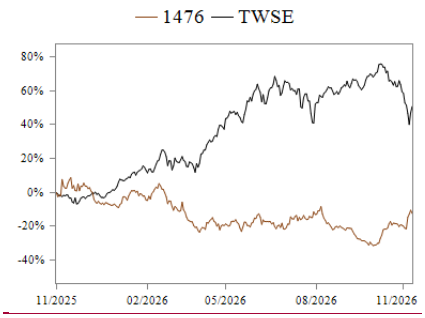
公司基本資訊

目前股本(百萬元)	2,744
市值(億元)	956
目前每股淨值(元)	112.11
外資持股比(%)	30.49
投信持股比(%)	3.86
董監持股比(%)	11.09
融資餘額(張)	1,127
現金股息配發率(%)	74.63

產品組合



股價相對大盤走勢



營運穩定成長，長期展望正向。

投資建議：預估儒鴻 2026 年營收為 408.71 億元，YoY+7.59%，稅後 EPS 24.79 元。2027 年預期在產能稼動維持高檔及客戶訂單穩定下，營收成長至 424.43 億元，YoY+3.84%，稅後 EPS 25.52 元。考量：(1)3Q26 毛利率如預期的順利回升，預期未來幾個季度的毛利率可維持現有水準。(2)持續投入自動化設備更新提高生產效率，並擴建新產能因應客戶需求，印尼新廠預計 4Q27 投產，推動長線的成長動能。綜上所述，對儒鴻的投資建議為 Trading Buy，目標價 385 元(2027 年 PER 15.5X)。

預估 4Q26 營收維持成長，稅後 EPS 6.09 元：儒鴻 3Q26 營收維持高檔為 105.72 億元，YoY+9.74%，QoQ+4.82%，毛利率亦受惠客戶新產品出貨增加，產品組合優化及匯率相對友善等因素，順利提升至 31.18%，稅後 EPS 為 6.36 元，符合預期。預期 4Q26 由於成衣價格上漲且客戶新品訂單持續出貨，可推動儒鴻營收維持成長，預估儒鴻 4Q26 營收為 105.93 億元，YoY+14.34%，QoQ+0.20%，毛利率 31.23%，稅後 EPS 6.09 元。

美國期中選舉結束，市場不確定因素消除，儒鴻訂單能見度維持六個月左右：美國期中選舉在民主黨獲勝的結果下，可預期極端的關稅政策不會再發生，不確定性因素逐漸消除，不過目前也沒看到品牌端有追加訂單的動作出現，預期未來幾個月的訂單及終端銷售會處於正常的水準。目前儒鴻的訂單能見度維持在六個月左右，市場庫存也在相對健康水準，整體市況穩定。

儒鴻持續投入自動化設備更新提高生產效率，並擴建新產能因應客戶需求，印尼新廠預計 4Q27 投產：儒鴻持續擴增新產能及自動化設備更新以因應客戶需求，除了在台灣、越南二地的生產設備持續更新外，印尼廠新產能也計劃在 4Q27 產能投產。目前印尼廠的產能利用率維持滿載水準，印尼廠的生產需求未來的成長空間仍大，預期等印尼廠三期投產後，可為儒鴻帶來下一段成長的動能。

(百萬元)	2026F	2027F	2028F	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F
營業收入淨額	40,871	42,443	45,325	9,633	9,264	9,621	10,086	10,572	10,593	9,963	10,459	10,830
營業毛利淨額	12,726	13,287	14,175	2,761	2,796	3,095	3,027	3,296	3,308	3,124	3,316	3,407
營業利益	8,521	8,985	9,772	1,840	1,775	2,195	1,935	2,188	2,203	2,088	2,237	2,306
稅後純益	6,802	7,002	7,671	1,652	1,582	1,835	1,553	1,744	1,670	1,650	1,628	1,867
稅後 EPS(元)	24.79	25.52	27.96	6.02	5.77	6.69	5.66	6.36	6.09	6.01	5.93	6.80
毛利率(%)	31.14%	31.31%	31.27%	28.66%	30.19%	32.17%	30.01%	31.18%	31.23%	31.36%	31.70%	31.46%
營業利益率(%)	20.85%	21.17%	21.56%	19.10%	19.16%	22.81%	19.18%	20.69%	20.80%	20.96%	21.39%	21.30%
稅後純益率(%)	16.64%	16.50%	16.92%	17.15%	17.08%	19.07%	15.40%	16.50%	15.77%	16.56%	15.56%	17.24%
營業收入 YoY/QoQ(%)	7.59%	3.84%	6.79%	-0.87%	-3.83%	3.85%	4.83%	4.82%	0.20%	-5.94%	4.98%	3.54%
稅後純益 YoY/QoQ(%)	23.34%	2.94%	9.56%	174.85%	-4.26%	15.96%	-15.35%	12.32%	-4.23%	-1.23%	-1.32%	14.69%

註：稅後純益係指本期淨利歸屬於母公司業主；稅後 EPS 以股本 27.44 億元計算。

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儒鴻的 ESG：

儒鴻 2016 年即制定溫室氣體盤查管理程序，並依循「儒鴻企業環安衛及能源政策」設置溫室氣體盤查推行委員會，由董事長室擔任主任委員，推動廠區溫室氣體盤查，並以 2017 年作為公司溫室氣體盤查的基準年，推動溫室氣體減量。此外，致力於用水回收，除了在製程蒸氣冷凝回收使用外，更引進新技術改善廢水回收。

公司簡介：

儒鴻為台灣主要紡織業者，具染整、織布、成衣上下游一貫生產能力，主要產品為各式成衣，並生產機能布料應用在各類運動休閒服飾上。國際各知名服飾品牌及通路商如 NIKE、UA、LULULEMON 、TARGET、COSTCO 皆為儒鴻的客戶。

預估 4Q26 營收維持成長，稅後 EPS 6.09 元：

儒鴻 3Q26 營收維持高檔為 105.72 億元，YoY+9.74%，QoQ+4.82%，毛利率亦受惠客戶新產品出貨增加，產品組合優化及匯率相對友善等因素，順利提升至 31.18%，稅後 EPS 為 6.36 元，符合預期。

預期 4Q26 由於成衣價格上漲且客戶新品訂單持續出貨，可推動儒鴻營收維持成長，預估儒鴻 4Q26 營收為 105.93 億元，YoY+14.34%，QoQ+0.20%，毛利率 31.23%，稅後 EPS 6.09 元。

美國期中選舉結束，市場不確定因素消除，儒鴻訂單能見度維持六個月左右：

美國期中選舉在民主黨獲勝的結果下，可預期極端的關稅政策不會再發生，不確定性因素逐漸消除，不過目前也沒看到品牌端有追加訂單的動作出現，預期未來幾個月的訂單及終端銷售會處於正常的水準。目前儒鴻的訂單能見度維持在六個月左右，市場庫存也在相對健康水準，整體市況穩定。

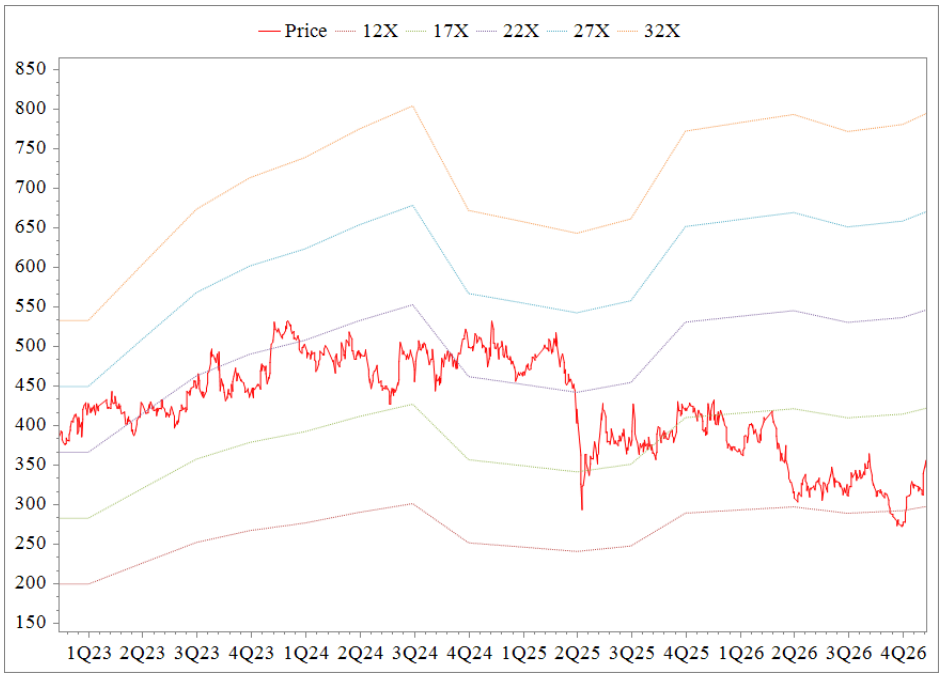
儒鴻持續投入自動化設備更新提高生產效率，並擴建新產能因應客戶需求，印尼新廠預計 4Q27 投產：

儒鴻持續擴增新產能及自動化設備更新以因應客戶需求，除了在台灣、越南二地的生產設備持續更新外，印尼廠新產能也計劃在 4Q27 產能投產。目前印尼廠的產能利用率維持滿載水準，印尼廠的生產需求未來的成長空間仍大，預期等印尼廠三期投產後，可為儒鴻帶來下一段成長的動能。

投資建議：

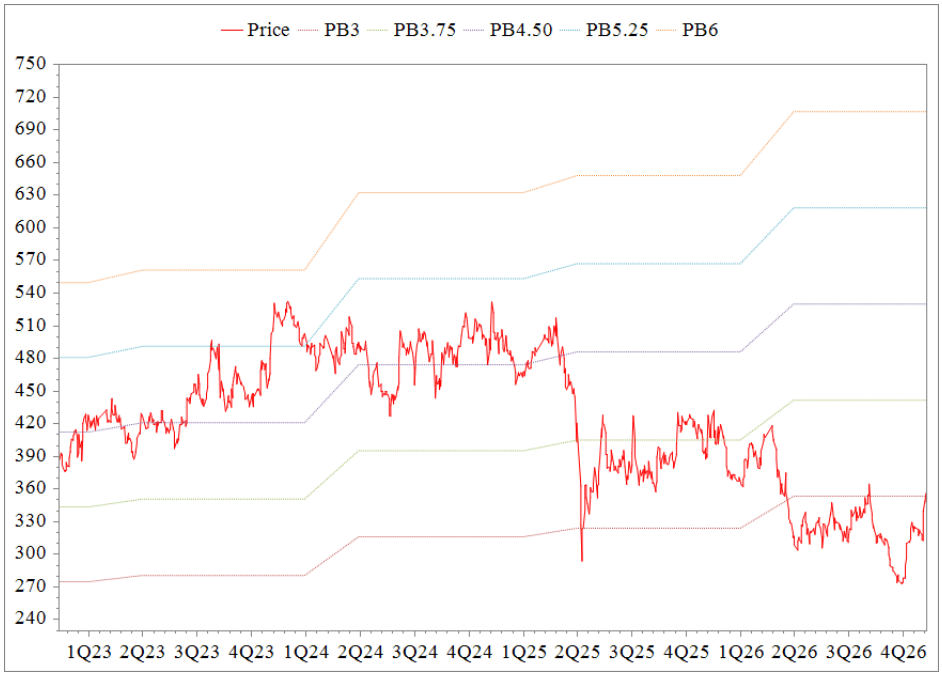
預估儒鴻 2026 年營收為 408.71 億元，YoY+7.59%，稅後 EPS 24.79 元。2027 年預期在產能稼動維持高檔及客戶訂單穩定下，營收成長至 424.43 億元，YoY+3.84%，稅後 EPS 25.52 元。考量：(1)3Q26 毛利率如預期的順利回升，預期未來幾個季度的毛利率可維持現有水準。(2)持續投入自動化設備更新提高生產效率，並擴建新產能因應客戶需求，印尼新廠預計 4Q27 投產，推動長線的成長動能。綜上所述，對儒鴻的投資建議為 Trading Buy，目標價 385 元(2027 年 PER 15.5X)。

Forward PE Band



資料來源：CMoney，群益預估彙整

ForwardPB Band



資料來源：CMoney，群益預估彙整

資產負債表

(百萬元)	2024	2025	2026F	2027F	2028F
資產總計	35,865	35,037	40,081	43,355	46,669
流動資產	21,508	21,367	19,504	21,702	21,260
現金及約當現金	3,618	3,409	3,197	3,508	3,459
應收帳款與票據	6,553	3,097	8,997	3,794	9,920
存貨	5,522	5,931	5,173	6,170	6,119
採權益法之投資	0	0	0	0	0
不動產、廠房設備	12,994	12,323	13,267	13,962	13,916
負債總計	**6,943**	**5,400**	**7,758**	**8,419**	**8,727**
流動負債	6,767	5,263	6,589	7,536	6,993
應付帳款及票據	2,263	2,103	2,369	2,184	2,783
非流動負債	177	137	903	803	1,054
權益總計	28,922	29,637	32,324	34,935	37,942
普通股股本	**2,744**	**2,744**	**2,744**	**2,744**	**2,744**
保留盈餘	22,081	22,937	25,623	28,235	31,242
母公司業主權益	28,922	29,637	32,323	34,935	37,942
負債及權益總計	**35,865**	**35,037**	**40,081**	**43,355**	**46,669**

現金流量表

(百萬元)	2024	2025	2026F	2027F	2028F
營業活動現金	4,720	7,570	12,444	8,956	10,600
稅前純益	8,351	6,966	8,672	8,920	9,774
折舊及攤銷	886	876	796	977	974
營運資金變動	-2,365	2,887	-4,876	4,020	-5,476
其他營運現金	-2,152	-3,159	7,853	-4,961	5,328
投資活動現金	-792	-1,866	-6,584	-903	-4,257
資本支出淨額	-474	-369	-621	-522	-455
長期投資變動	0	0	0	0	0
其他投資現金	-318	-1,497	-5,963	-381	-3,802
籌資活動現金	-3,175	-5,854	-6,073	-7,742	-6,392
長借/公司債變動	-563	0	765	-99	250
現金增資	0	0	0	0	0
發放現金股利	-3,704	-4,664	-4,116	-4,390	-4,664
其他籌資現金	1,092	-1,190	-2,723	-3,252	-1,978
淨現金流量	804	-209	-213	311	-49
期初現金	2,814	3,618	3,409	3,197	3,508
期末現金	3,618	3,409	3,197	3,508	3,459

損益表

(百萬元)	2024	2025	2026F	2027F	2028F
營業收入淨額	36,828	37,990	40,871	42,443	45,325
營業成本	25,460	27,108	28,145	29,156	31,150
營業毛利淨額	11,369	10,882	12,726	13,287	14,175
營業費用	3,614	3,790	4,205	4,302	4,403
營業利益	7,755	7,092	8,521	8,985	9,772
EBITDA	9,199	7,743	8,856	9,012	9,635
業外收入及支出	596	-126	151	-65	2
稅前純益	8,351	6,966	8,672	8,920	9,774
所得稅	1,710	1,451	1,870	1,918	2,103
稅後純益	6,641	5,515	6,802	7,002	7,671
稅後 EPS(元)	24.20	20.10	24.79	25.52	27.96
完全稀釋 EPS**	24.20	20.10	24.79	25.52	27.96

註 1：稅後純益係指本期淨利歸屬於母公司業主。

註 2：稅後 EPS 以股本 27.44【最新股本】億元計算

註 3：完全稀釋 EPS 以股本 27.44 億元計算

比率分析

(百萬元)	2024	2025	2026F	2027F	2028F
成長力分析(%)					
營業收入淨額	19.61%	3.15%	7.59%	3.84%	6.79%
營業毛利淨額	17.46%	-4.29%	16.95%	4.41%	6.68%
營業利益	18.42%	-8.56%	20.15%	5.44%	8.76%
稅後純益	28.29%	-16.95%	23.34%	2.94%	9.56%
獲利能力分析(%)					
毛利率	30.87%	28.64%	31.14%	31.31%	31.27%
EBITDA(%)	24.98%	20.38%	21.67%	21.23%	21.26%
營益率	21.06%	18.67%	20.85%	21.17%	21.56%
稅後純益率	18.03%	14.52%	16.64%	16.50%	16.92%
總資產報酬率	18.52%	15.74%	16.97%	16.15%	16.44%
股東權益報酬率	22.96%	18.61%	21.04%	20.04%	20.22%
償債能力檢視					
負債比率(%)	19.36%	15.41%	19.35%	19.42%	18.70%
負債/淨值比(%)	24.01%	18.22%	24.00%	24.10%	23.00%
流動比率(%)	317.84%	406.00%	296.00%	288.00%	304.00%
其他比率分析					
存貨天數	71.14	77.11	72.00	71.00	72.00
應收帳款天數	55.82	46.36	54.00	55.00	55.22

資料來源：CMoney、群益

季度損益表

(百萬元)	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F
營業收入淨額	9,718	9,633	9,264	9,621	10,086	10,572	10,593	9,963	10,459	10,830	11,190	10,473
營業成本	7,225	6,872	6,468	6,526	7,059	7,275	7,285	6,839	7,144	7,423	7,751	7,266
營業毛利淨額	2,493	2,761	2,796	3,095	3,027	3,296	3,308	3,124	3,316	3,407	3,440	3,207
營業費用	992	921	1,021	900	1,092	1,109	1,105	1,036	1,078	1,101	1,087	1,048
營業利益	1,501	1,840	1,775	2,195	1,935	2,188	2,203	2,088	2,237	2,306	2,353	2,159
業外收入及支出	-671	248	185	96	74	43	-62	0	-150	57	28	0
稅前純益	830	2,089	1,960	2,291	2,009	2,231	2,141	2,088	2,087	2,364	2,380	2,159
所得稅	228	436	378	456	456	487	471	439	459	496	524	453
稅後純益	601	1,652	1,582	1,835	1,553	1,744	1,670	1,650	1,628	1,867	1,857	1,705
最新股本	2,744	2,744	2,744	2,744	2,744	2,744	2,744	2,744	2,744	2,744	2,744	2,744
稅後EPS(元)	2.19	6.02	5.77	6.69	5.66	6.36	6.09	6.01	5.93	6.80	6.77	6.21
獲利能力(%)												
毛利率(%)	25.65%	28.66%	30.19%	32.17%	30.01%	31.18%	31.23%	31.36%	31.70%	31.46%	30.74%	30.62%
營業利益率(%)	15.45%	19.10%	19.16%	22.81%	19.18%	20.69%	20.80%	20.96%	21.39%	21.30%	21.02%	20.61%
稅後純益率(%)	6.19%	17.15%	17.08%	19.07%	15.40%	16.50%	15.77%	16.56%	15.56%	17.24%	16.59%	16.28%
QoQ(%)												
營業收入淨額	3.66%	-0.87%	-3.83%	3.85%	4.83%	4.82%	0.20%	-5.94%	4.98%	3.54%	3.33%	-6.41%
營業利益	-24.02%	22.61%	-3.54%	23.64%	-11.85%	13.05%	0.73%	-5.22%	7.12%	3.10%	2.00%	-8.25%
稅前純益	-60.25%	151.81%	-6.16%	16.86%	-12.31%	11.05%	-4.00%	-2.48%	-0.06%	13.24%	0.71%	-9.32%
稅後純益	-64.20%	174.85%	-4.26%	15.96%	-15.35%	12.32%	-4.23%	-1.23%	-1.32%	14.69%	-0.57%	-8.15%
YoY(%)												
營業收入淨額	1.30%	-3.97%	-3.21%	2.63%	3.79%	9.74%	14.34%	3.55%	3.70%	2.44%	5.64%	5.11%
營業利益	-28.51%	-20.31%	-5.07%	11.11%	28.91%	18.86%	24.12%	-4.85%	15.62%	5.44%	6.77%	3.36%
稅前純益	-62.79%	-5.70%	-7.94%	9.76%	142.16%	6.80%	9.25%	-8.83%	3.90%	5.95%	11.16%	3.36%
稅後純益	-65.32%	-6.92%	-7.31%	9.24%	158.31%	5.55%	5.58%	-10.07%	4.84%	7.06%	11.16%	3.36%

註1：稅後EPS以股本27.44億元計算

註2：稅後純益係指本期淨利歸屬於母公司業主。

【投資評等說明】

評等	定義
強力買進(Strong Buy)	首次評等潛在上漲空間≥35%
買進(Buy)	15%≤首次評等潛在上漲空間<35%
區間操作(Trading Buy)	5%≤首次評等潛在上漲空間<15%
中立(Neutral)	無法由基本面給予投資評等 預期近期股價將處於盤整 建議降低持股

【投資評等調整機制】

投資評等係「首次」給予特定個股投資評等時，其前一日收盤價相較 3 個月目標價之潛在上漲空間計算而得。個股投資評等分為四個等級，定義如上。爾後的投資評等係依循「首次評等」，直到停止推薦。

「強力買進」、「買進」及「區間操作」均有 upside 目標價。差別僅在於，首次評等時潛在報酬率不同。「中立」則無目標價。

一旦我們給予特定個股「強力買進」、「買進」或「區間操作」之投資評等，就是責任的開始，爾後將透過各式研究報告作定期性、持續性追蹤基本面及股價變化，直到停止推薦。

停止推薦情境：

1. 達目標價。
2. 雖未達原訂目標價，但檢視基本面、訊息面、籌碼面等多方訊息，研判股價上漲空間已然有限，將適時出具降評報告。
3. 推薦後股價不漲反跌，亦將出具降評報告。

【免責聲明】

本研究報告僅提供予特定人之客戶作為參考資料「非經同意不得轉載」。我們並不確保此資訊的完整性與正確性，投資人應了解，報告中有關未來預測之陳述可能不會實現，因而不應被依賴。而且此報告並非根據特定投資目的或依預定對象之財務狀況所撰寫出來的，因此，此研究報告的目的，既非對投資人於買賣證券、選擇權、期貨或其他證券相關之衍生性商品提供詢價服務，亦非作為進行交易的要約。投資人應注意到相關證券之價值及收益，可能會有無預警地上升或下降，產生投資回報金額可能比原始投資來得少的情形。

永豐投顧
SinoPac Inv. Service

個股聚焦

2026/11/11

產業類別	IC 代工
投資建議	買進
收盤價	6 個月目標價
NT$ 755.00	NT$ 1000.00

本次報告：法說會

交易資料	
潛在報酬率 (%)	32.45
52 週還原收盤價區間 (NT$)	295.02-1040
市值 (NT$百萬元)	114230
市值 (US$百萬美元)	3,476
流通在外股數 (百萬股)	151.00
董監持股 (%)	14.06
外資持股 (%)	36.98
投信持股 (%)	6.22
融資使用率 (%)	2.86

財務資料	2025
股東權益 (NT$百萬元)	8,145
ROA (%)	11.19
ROE (%)	17.81
淨負債比率 (%)	35.97

公司簡介

中砂為先進製程鑽石碟第一把交椅，早期業務專注於傳統砂輪，後取得鑽石碟技術專利授權，並因應晶圓代工廠客戶在地化策略，切入半導體領域。中砂主要有三大事業部，砂輪事業部、鑽石事業部、晶圓事業部。3Q26 營收組成為 ABU(含砂輪子公司如鴻記、KTC、MKS、MGT) 23%、DBU 32%、SBU 45%。

主要客戶：台積電、美光、聯電、意法半導體、英特爾，以及載板廠欣興等
主要競爭對手：

王彥鈞 stanley.wang@sinopac.com

中砂 (1560 TT)

以砂為鏡，可以升良率

永豐觀點

以銅為鏡，可以正衣冠；以砂為鏡，可以升良率。

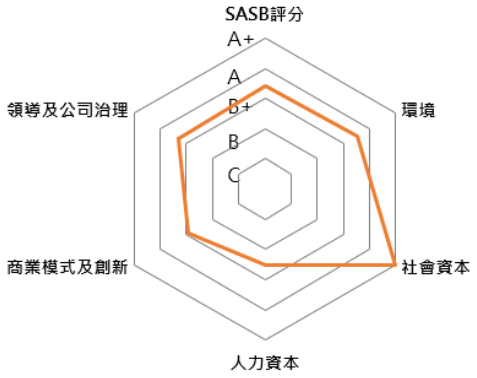
投資評價與建議

目標價調升至 1,000 元：(1) 3Q26 ABU 獲利改善優於預期，帶動公司平均毛利率升至 42.2%(+2.2pts QoQ)且具延續力，(2) 產能建置加速，推動 2027 年獲利提升，(3) 購置三峽廠，打開 DBU 擴產瓶頸。目標價隨 2028 年 EPS 調整，由 860 元(33x 2028 EPSF)上修至 1,000 元(32x 2028 EPSF)。

ESG 評析

中砂企業永續評鑑整體為 A 等，於 SASB 產業永續議題與跨產業五大永續面向平均得分分別為 A 等與 A 等。

SinoPac+ ESG 評鑑系統評等



永續構面		評等
總分		A
SASB評分		A
跨產業ESG評分		A
跨產業ESG項目	環境	A
	社會資本	A+
	人力資本	B+
	商業模式及創新	B+
	領導及公司治理	A

資料來源：SinoPac+ ESG 評等 (依循 2025 SinoPac+企業永續評鑑方法學)

註 1：資誠永續發展服務股份有限公司僅於 E S G評鑑系統方法學建置過程中，就評分指標提供專業意見，對於評分結果及評估報告內容之完整性及真實性，不負擔保責任，亦不對閱讀或使用本評估報告之第三方負任何責任。

註 2：永豐投顧已獲 SASB 授權，於研究中使用 SASB 重大性地圖之一般議題分類及揭露主題。
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營運現況與分析

中砂為先進製程鑽石碟第一把交椅：中砂成立於 1953 年，2005 年上市，目前資本額約 14.6 億元，早期業務專注於傳統砂輪，後取得鑽石碟技術專利授權，並因應晶圓代工廠客戶在地化策略，切入半導體領域。中砂主要有三大事業部，砂輪事業部、鑽石事業部、晶圓事業部。3Q26 營收組成為 ABU(含砂輪子公司如鴻記、KTC、MKS、MGT) 23%、DBU 32%、SBU 45%。中砂總部位於新北市鶯歌區，砂輪、鑽石相關產品主要在鶯歌、樹林、湖口廠生產，而再生/測試晶圓主要在新竹竹北、竹南廠生產，另在日本有 1 座廠房、泰國有 2 座廠房，另已在三峽新採購 1 座廠房。客戶涵蓋半導體/記憶體製造商如台積電、美光、聯電、意法半導體、英特爾，以及載板廠欣興等。

3Q26 毛利率優於預期：中砂第三季稅後 EPS 3.91 元(+12.8%QoQ，+79.8%YoY)，優於我們預期的 3.78 元，主因毛利率 42.2%季增約 2.2 個百分點高於預期，係來自(1) 鑽石事業部營收占比及自身毛利率改善，係受到客戶惠先進製程出貨比重增加，帶動高接產品放大，(2) ABU 產品組合改善，來自鑽石砂輪營收占比由 40%提升至約 50%。

加速擴產並改善獲利：我們認為 4Q26 的毛利率仍有提升空間，係考量(1) 先進製程及 HBM 對鑽石碟產品用量增加，且公司產能由 3Q26 6.5 萬顆/月提升至 4Q26 8 萬顆/月(原規劃 7 萬顆/月)，2nm/A14 用鑽石碟出貨量的增加將帶動 DBU 佔比提升及獲利改善，(2) 部分測試晶圓及再生晶圓產品自 4Q26 起對所有客戶漲價約 10%，加上測試晶圓比重回落，可改善獲利率，(3) ABU 7 月漲價的效果可在 4Q26 顯現，加上鑽石砂輪、晶圓倒角砂輪、鑽石鍍膜等高階工具比重提升。另外，研究部認為 2027 年中砂獲利成長動能仍將來自 DBU 的成長，目前公司規劃將鑽石碟產能提升到明年底的 11 萬顆/月(+37.5%YoY)，以因應記憶體和美系 IDM 廠的擴大採用、成熟製程客戶的產能擴增、以及晶圓代工廠先進製程積極擴產，同時預期公司將適時與客戶們共同分擔生產成本的增加；SBU 則透過改造部分產線，並增加表面缺陷檢測設備，來滿足客戶 HBM 對於特殊晶圓的需求。

下一站，半導體用砂輪：由於既有樹林廠難以滿足客戶對鑽石碟中期需求，中砂於今日董事會通過投入不超過 5.4 億新台幣於三峽購置廠房，用於擴增鑽石碟及半導體廠用的鑽石砂輪產能，因應 CoWoS/SoIC/HBM 等先進封裝和晶背供電應用，我們認為有望於 2028 年起貢獻營收並改善 DBU 產品組合，並隨 HPC 產品(及搭配的記憶體)封裝規格提升和製程轉進而成長。

再次上修預估：研究部預估中砂 2026 年全年營收 103.2 億(+26.6%YoY)，毛利率 40.4%，稅後淨利 21.9 億(+61.0%YoY)，EPS 14.60 元(原估 14.47 元)，獲利上調主因 ABU 獲利率改善速度優於預期。2027 年營收 133.6 億(+29.5%YoY)，毛利率 45.4%，稅後淨利 33.2 億(+51.5%YoY)，EPS 22.08 元(原估 20.26 元)。2028 年營收 174.2 億(+30.4%YoY)，毛利率 47.8%，稅後淨利 47.6 億(+43.3%YoY)，EPS 31.65 元(原估 26.05 元)。

附表一：當年度損益表

單位：百萬元	26Q1	26Q2	26Q3F	26Q4F	2026F
營業收入	2,293	2,493	2,694	2,838	10,318
營業毛利	803	998	1,137	1,234	4,171
營業利益	444	604	726	775	2,549
稅前淨利	532	664	731	795	2,722
稅後純益	436	523	590	640	2,190
稅後 EPS (元)	2.94	3.49	3.91	4.26	14.60
營收 QoQ 成長率	5.59	8.70	8.11	5.35	--
營收 YoY 成長率	29.44	17.87	28.84	30.72	26.62
毛利率	35.00	40.05	42.20	43.48	40.42
營益率	19.38	24.22	26.95	27.31	24.70
稅後純益率	19.28	21.49	21.90	22.55	21.23

資料來源：CMoney；永豐投顧研究部整理，Nov. 2026

附表二：五個年度損益表

單位：百萬元	2023	2024	2025	2026F	2027F
營業收入	6,381	7,019	8,149	10,318	13,361
%變動率	-7.63	10.01	16.10	26.62	29.49
營業毛利	1,942	2,188	2,647	4,171	6,069
毛利率 (%)	30.44	31.17	32.48	40.42	45.42
營業淨利	989	1,155	1,303	2,549	3,997
稅前淨利	1,060	1,289	1,659	2,722	4,077
%變動率	-31.91	21.54	28.71	64.07	49.78
稅後純益	852	1,035	1,360	2,190	3,318
%變動率	-31.69	21.46	31.42	61.03	51.51
稅後 EPS * (元)	5.91	7.10	9.28	14.60	22.08
市調 EPS * (元)	5.96	7.1	8.51	14.62	--
PER (×)	127.75	106.34	81.36	52.18	34.43
PBR (×)	17.74	15.45	13.66	11.75	9.23
每股淨值 * (元)	42.57	48.86	55.29	64.26	81.83
每股股利 (元)	4.00	3.99	4.94	--	--
殖利率 (%)	2.14	1.42	1.25	--	--

* 以目前股本計算

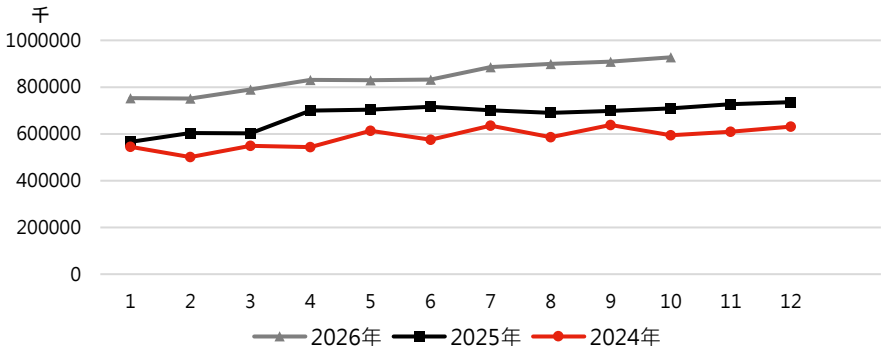
資料來源：CMoney；永豐投顧研究部整理，Nov. 2026

營運基本資料

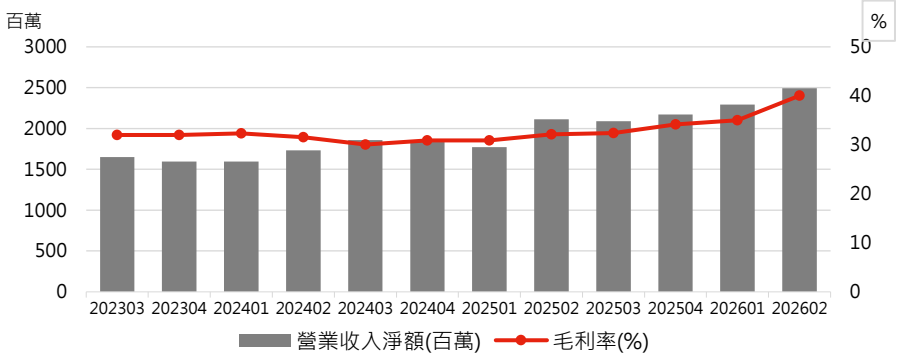
同業比較

代號	公司	投資建議	目前股價	市值(億)	稅後 EPS		PE		PB	
					2025	2026	2025	2026	2025	2026
3583	辛耘	N	486.50	408.2	13.82	20.23	24.17	24.05	4.43	4.02

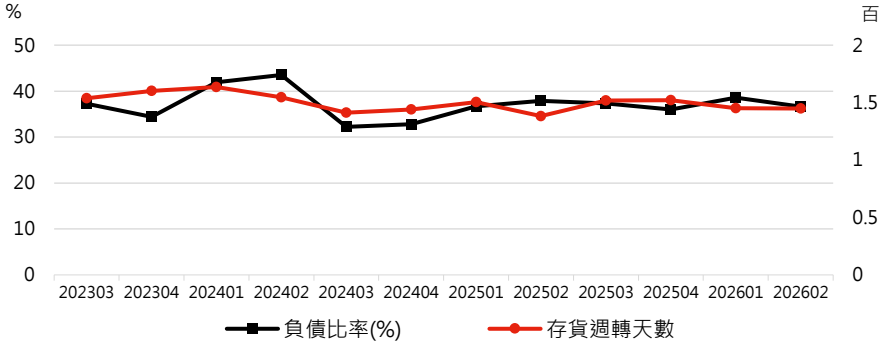
近三年單月營收狀況



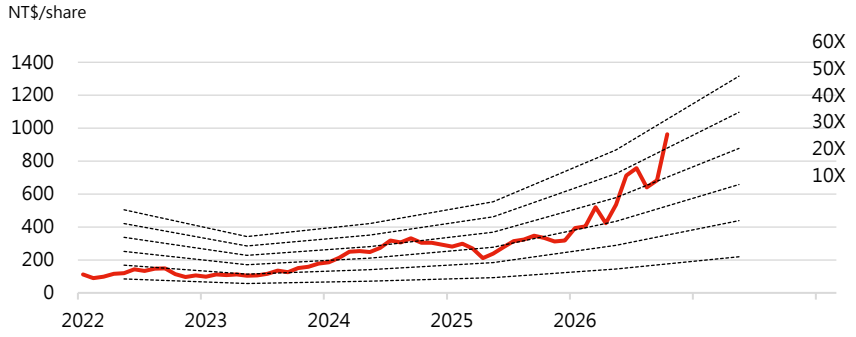
近三年單季營收 VS 毛利率趨勢圖



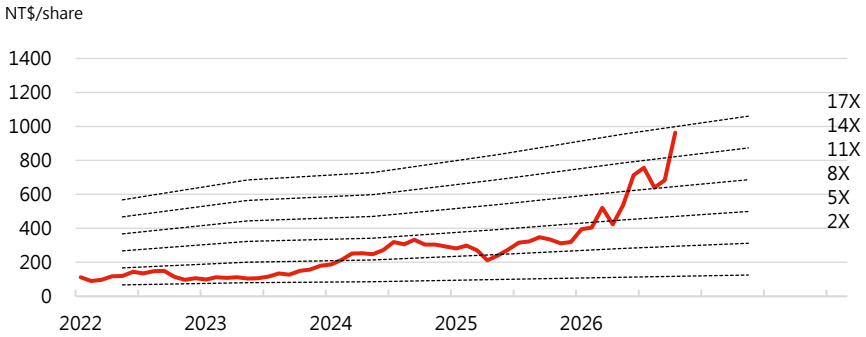
負債比率 VS 存貨周轉天數



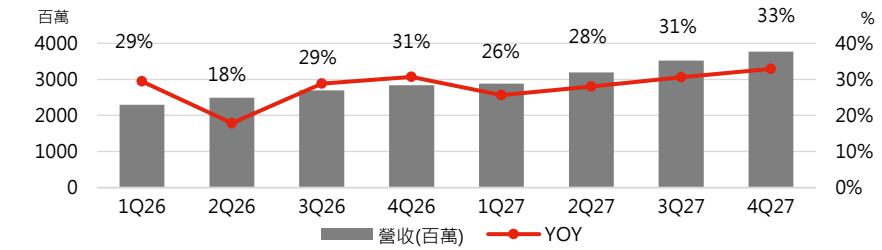
歷史 PE 圖



歷史 PB 圖

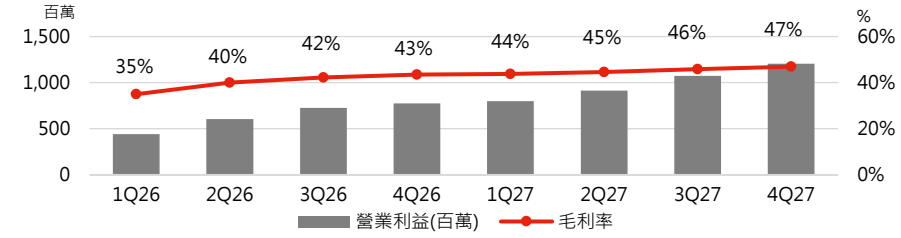


近八季營收及 YoY 趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Nov. 2026

近八季營業利益及毛利率趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Nov. 2026

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110 年金管投顧新字第 024 號

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B：Buy 買進：未來 6 個月該股票表現將優於大盤
N：Neutral 中立：未來 6 個月該股票表現將與大盤一致
S：Sell 賣出：未來 6 個月該股票表現將落後大盤

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A+	企業在管理及揭露 ESG 績效的程度在前 20%
A	企業在管理及揭露 ESG 績效的程度在 21%-40%
B+	企業在管理及揭露 ESG 績效的程度在 41%-60%
B	企業在管理及揭露 ESG 績效的程度在 61%-80%
C	企業在管理及揭露 ESG 績效的程度在 81%-100%

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Rating scale explanation

A+: The company falls in the top 20% of all Taiwan's listed companies in managing and disclosing ESG performance)

A: The company falls in the 21-40% of all Taiwan's listed companies in managing and disclosing ESG performance.

B+: The company falls in the 41-60% of all Taiwan's listed companies in managing and disclosing ESG performance.

B: The company falls in the 61-80% of all Taiwan's listed companies in managing and disclosing ESG performance.

C: The company falls in the 81-100% of all Taiwan's listed companies in managing and disclosing ESG performance.

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報告日期：2026/11/11

研 究 報 告

中砂(1560.TT)

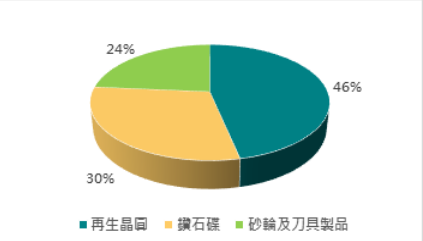
產業：電機機械

上修資本支出用於擴產隱含展望正向，看好毛利率延續成長趨勢

增加持股 · 維持評等

目標價 (NT$)	870.00
收盤價 (NT$)	755.00
上漲空間	15.23%

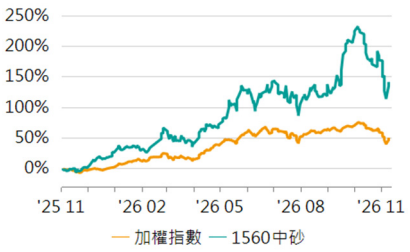
產品營收比重



交易資訊

市值 (NT$百萬元)	113,469
流通在外股數(百萬股)	150
董監持股 (%)	14.06
外資持股 (%)	36.98
投信持股 (%)	6.22
52 週高價	1,060.00
52 週低價	297.00
3M 平均成交量(百萬股)	1.73
融資使用率 (%)	2.86

個股與大盤走勢比較圖



資料來源：CMoney，玉山投顧

陳泳如
kate401124-71795@esunsec.com.tw

投資評價與建議

3Q26毛利率表現優於預期，且公司上修資本支出用於擴產，隱含主要業務展望正向，加上公司積極優化產品結構隱含明年營收、獲利均具上修空間；我們給予40倍PE，維持對公司業務之正向看法，並看好毛利率維持成長動能。

重點評論分析

4Q26三大業務營收、獲利持續改善：觀察ABU業務中，預期高階砂輪與ABF鑽石機密模具需求持續成長，DBU業務出貨動能則維持強勁，加上公司規劃針對SBU部分品項漲價約10%，將帶動營收、毛利率改善。我們預估本季營收有望季增5.5%至28.4億元，毛利率44.5%，稅後EPS 4.37元。

上修今年資本支出預算用於擴產與新品開發，隱含營運前景正向：基於DBU、SBU客戶需求強勁，及公司持續優化產品組合，公司上修今年資本支出預算至22.6億元(原16~17億元)，除了先前已規畫SBU 3Q27月產能至43萬片(已宣布)，本次則上修今明年底鑽石碟月產能分別至8、11萬顆(原7萬顆以上/9.5萬顆)，此外將購買土地廠房用於開發先進封裝用之減薄鑽石砂輪新品，以及後續鑽石碟擴產需求。而在2027年展望方面，我們仍維持2027年三大業務均正向成長之看法，其中DBU、SBU成長動能最為強勁，另ABU業務中，公司布局之先進封裝用之減薄砂輪有望於2H27貢獻營收。預估2027年營收年增25.7%至129.7億元，毛利率46%，稅後EPS 21.7元。

投資風險

DBU擴產進度不如預期。

主要財務數據及預估值

(單位:百萬元)	2022	2023	2024	2025	2026	2027
營業收入	6,908	6,381	7,019	8,149	10,322	12,971
營業毛利	2,528	1,942	2,188	2,647	4,203	5,971
毛利率(%)	36.60	30.44	31.17	32.48	40.72	46.03
營業利益	1,431	989	1,155	1,303	2,580	3,898
營益率(%)	20.71	15.50	16.46	15.99	25.00	30.05
稅前盈餘	1,557	1,060	1,289	1,659	2,773	4,118
稅後EPS(元)	8.71	5.91	7.10	9.28	14.67	21.70
每股股利(元)	4.00	4.00	3.99	4.94	7.30	10.90
營收成長率(%)	14.60	-7.63	10.01	16.10	26.66	25.66
盈餘成長率(%)	75.80	-31.91	21.54	28.71	67.16	48.52

季度主要財務數據及預估值										
(單位:百萬元)	1Q26	2Q26	3Q26	4Q26	2026	1Q27	2Q27	3Q27	4Q27	2027
營業收入	2,293	2,493	2,694	2,843	10,322	2,913	3,186	3,359	3,513	12,971
營業毛利	803	998	1,137	1,265	4,203	1,298	1,445	1,561	1,667	5,971
毛利率(%)	35.00	40.05	42.22	44.50	40.72	44.57	45.35	46.48	47.44	46.03
營業利益	444	604	726	806	2,580	833	932	1,031	1,103	3,898
營益率(%)	19.38	24.22	26.96	28.35	25.00	28.60	29.26	30.68	31.39	30.05
稅前盈餘	532	664	732	845	2,773	891	995	1,091	1,142	4,118
稅後EPS(元)	2.94	3.49	3.88	4.37	14.67	4.87	5.20	5.69	5.94	21.70
營收成長率(%)	29.44	17.87	28.81	30.88	26.66	27.02	27.81	24.70	23.59	25.66
盈餘成長率(%)	68.74	97.64	75.49	43.09	67.16	67.53	49.77	49.04	35.12	48.52

營運概況

3Q26毛利率表現優於預期：3Q26營收季增8.1%至26.9億元，毛利率42.2%，稅後EPS 3.88元，其中毛利率受惠於：(1)台灣工具機客戶需求回溫、ABF鑽石機密模具用量增加，帶動ABU高階產品比重提升，挹注該業務毛利率由2Q26的超過25%提升至3Q26的35%；(2)針對DBU大客戶之2/1.6奈米、先進封裝鑽石碟用量持續增加，使營收規模擴大，我們推估毛利率由2Q26的50~55%提升至55%以上。

4Q26三大業務營收、獲利持續改善：觀察：(1)ABU業務中，預期高階砂輪與ABF鑽石機密模具需求持續成長，至於泰國、日本子公司出貨動能則持平看待，預估營收微幅季增，毛利率則有望持續向上；(2)DBU業務中，出貨動能則維持強勁，因台系大客戶先進製程、封裝需求維持強勁，另美系記憶體、IDM客戶需求呈現逐季成長，加上成熟製程廠商產能利用率持續提升，預估營收仍有雙位數季增；(3)SBU業務中，12吋月產能維持40萬片滿載，但公司計畫針對部分品項價格調漲約10%，加上持續優化產品組合，將帶動營收、毛利率改善。預估本季營收有望季增5.5%至28.4億元，毛利率44.5%，稅後EPS 4.37元。

上修今年資本支出預算用於擴產與新品開發，隱含營運前景正向：基於DBU、SBU客戶需求強勁，及公司持續優化產品組合，公司上修今年資本支出預算至22.6億元(原16~17億元)，除了先前已規畫SBU 3Q27月產能至43萬片(已宣布)，本次則上修今明年底鑽石碟月產能分別至8、11萬顆(原7萬顆以上/9.5萬顆)，此外將購買土地廠房用於開發先進封裝用之減薄鑽石砂輪新品，以及後續鑽石碟擴產需求。而在2027年展望方面，我們仍維持2027年三大業務均正向成長之看法，動能包含：(1)預估DBU主要客戶A16/2、3奈米明年底月產能將由今年底的9~10、15~17分別提升至14~16、19~20萬片，尤其先進製程CMP道數、規格相較於成熟製程提升，將帶動鑽石碟用量、平均單價增加，另美系IDM合作順利(目前公司於18A市占約50%，公司持續推進14A之合作)，加上成熟製程、記憶體客戶擴產挹注；(2)SBU除了有明年額外3萬片之產能挹注，公司針對現有產能也將持續透過產品組合優化等方式改善獲利，且看好2H27美系記憶體特殊晶圓用量將比1H27成長；(3)ABU方面，則基於台灣ABF廠商持續擴產，公司布局之新品先進封裝減薄砂輪有望在2H27於新廠貢獻營收，加上公司將中低毛利率產品搬至泰國、日本子公司生產以此優化成本結構。我們預估2027年營收年增25.7%至129.7億元，毛利率46%，稅後EPS 21.7元。

圖 1：營收趨勢 (單位：百萬元，%)

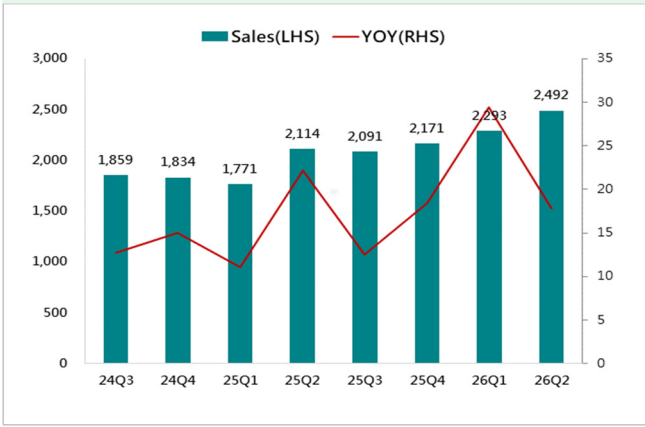


圖 2：毛利率、營益率、淨利率 (單位：百萬元，%)

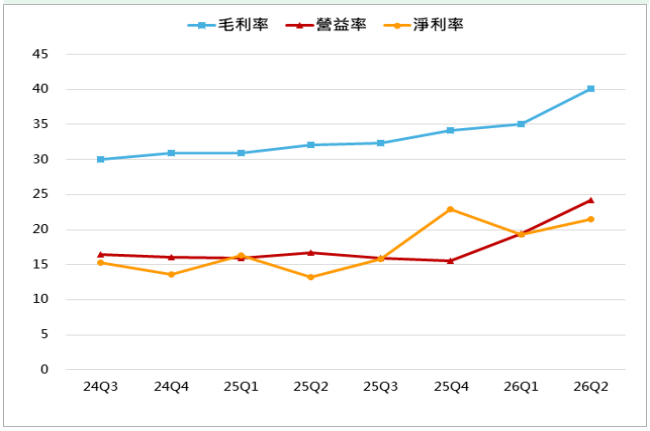


圖 3：經營能力 (單位：天)

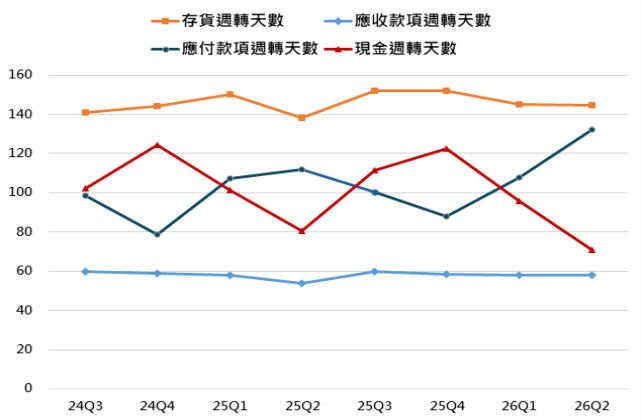


圖 4：自由現金流量 (單位：百萬元)

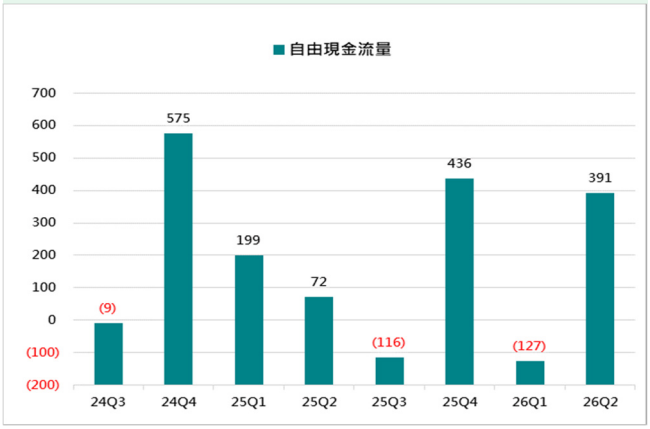


圖 5：本益比區間

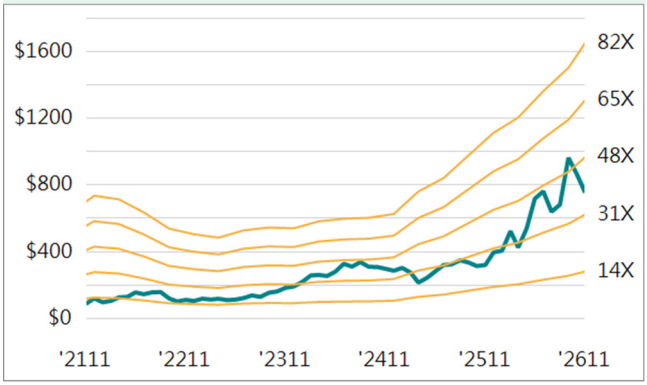
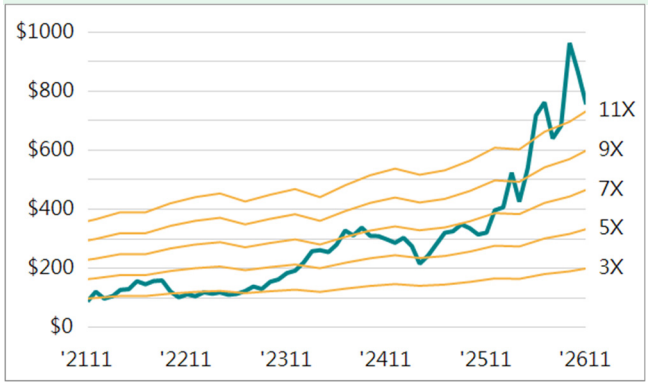


圖 6：股價淨值比



資料來源：CMoney，玉山投顧

玉山投顧
E.SUN Investment Consulting

年損益表				(單位：百萬元，%)
	2024	2025	2026(F)	2027(F)
營業收入	7,019	8,149	10,322	12,971
營業成本	4,831	5,502	6,119	7,000
營業毛利	2,188	2,647	4,203	5,971
營業費用	1,033	1,344	1,623	2,073
營業利益	1,155	1,303	2,580	3,898
營業外收支淨額	134	356	193	220
稅前淨利	1,289	1,659	2,773	4,118
稅後淨利	1,035	1,360	2,215	3,299
普通股股本	1,460	1,473	1,520	1,520
每股盈餘(元)	7.10	9.28	14.67	21.70
年成長率				
營收	10.01	16.10	26.66	25.66
營業利益	16.78	12.82	97.98	51.09
稅前淨利	21.54	28.71	67.16	48.52
母公司稅後淨利	21.46	31.42	62.81	48.96

資產負債表				(單位： 百萬元)
	2022	2023	2024	2025
流動資產	4,061	4,042	5,236	5,481
現金及約當現金	1,129	992	2,000	1,573
存貨	1,807	1,922	2,048	2,431
應收帳款及票據	1,090	1,077	1,148	1,419
其他流動資產	35	51	40	58
長期投資	330	705	821	1,070
固定資產	4,559	4,239	4,248	5,416
其他資產	594	876	745	1,291
資產總額	9,544	9,862	11,050	13,258
流動負債	1,983	2,250	1,474	2,182
應付帳款及票據	284	404	416	490
短期借款	100	955	60	343
什項負債	1,599	891	998	1,350
非流動負債	1,470	1,139	2,149	2,587
負債總額	3,454	3,390	3,624	4,769
普通股股本	1,437	1,449	1,459	1,472
資本公積	1,289	1,399	1,636	1,688
保留盈餘	3,049	3,334	4,053	5,016
股東權益總額	6,090	6,472	7,426	8,488

現金流量表				(單位：百萬元)
	2022	2023	2024	2025
稅前淨利	1,557	1,060	1,288	1,658
折舊及攤提費用	618	606	578	652
本期營運資金變動	-363	-44	-219	-157
其他項目	137	-334	-29	-239
營運活動之現金流量	1,949	1,289	1,617	1,914
資本支出	-191	-532	-348	-1,059
本期長期投資變動	0	0	0	0
其他項目	-293	-404	-113	-853
投資活動之現金流量	-485	-936	-462	-1,912
短期借款及票券變動	-600	855	-894	-8
舉措/償還長期借款	-1,300	-786	878	-14
發行/償還公司債	0	0	1,178	0
現金增資	0	0	0	0
發行現金股利	-400	-576	-580	-584
其他項目	25	19	-755	144
融資活動之現金流量	-2,275	-488	-172	-462
匯率影響數	20	-1	26	33
本期現金流量	-790	-137	1,008	-427
期末現金及約當現金	1,129	992	2,000	1,573

重要財務比率				(單位：%)
	2024	2025	2026(F)	2027(F)
毛利率	31.17	32.48	40.72	46.03
營業利益率	16.46	15.99	25.00	30.05
稅前淨利率	18.36	20.36	26.86	31.75
稅後淨利率	14.74	16.69	21.45	25.43
現金股利殖利率	1.10	0.67	0.97	1.44

玉山證券投資顧問股份有限公司 (以下簡稱「玉山投顧」) 為玉山金融事業群之成員。

研究報告可自本公司網站(www.esunconsulting.com.tw)取閱。

投資評等說明

買進：未來六個月內潛在漲幅 30%以上。

增加持股：未來六個月內潛在漲幅 15~30%(含)。

中立：未來六個月內漲跌幅-15~15%(含)。

降低持股：未來六個月內潛在跌幅 15%以上。

未評等：無。

研究人員聲明

研究人員聲明無任何其個人報酬來自於本研究報告的建議或觀點。

免責聲明

玉山投顧已針對報告內容力求正確，並為研究人員就其專業能力提供之善意分析，財務預估及投資評等係就報告發行當時，所收集之資訊進行合理之判斷，日後若有資訊更新，玉山投顧將不針對此報告出具更新通知。本報告僅供投資人參考，玉山投顧不負任何投資盈虧之法律責任，如引用本文，須經本公司同意。

智慧財產權聲明

本資料各項內容之各項權利及智慧財產權 (包括但不限於著作權、專利權、商標權等) 均屬玉山投顧所有。除非獲得玉山投顧事前書面同意外，均不得擅自以任何形式複製、重製、修改、發行、上傳、張貼、傳送、散佈、公開傳播、販售或其他非法使用本資料。除非有明確表示，本資料之提供並無明示或暗示授權 貴方任何著作權、專利權、商標權、商業機密或任何其他智慧財產權。

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上銀(2049)

買進, TP 450 (潛在報酬 54.37%)

買進

Price(11/10)：291.5

Target Price：450

26Q3 受惠終端需求強勁，營收達 81.10 億元，QoQ 8.01%，YoY 35.27%；受惠稼動率提升與價格策略帶動毛利走高，單季 EPS 達 3.48 元。10 月營收延續強勁動能，達 28.50 億元，MoM 4.79%，YoY 35.66%，累計前 10 月營收為 248.48 億元，YoY 25.11%。目前整體市場供不應求，訂單能見度已直達 2027 年中。

展望後市，隨公司下半年增聘逾 300 名員工並持續加班生產，26 年底產出量將較年初成長 25%至 30%，預期 26Q4 將打破歐美長假與盤點淡季效應，營運有望優於 26Q3。研究部預估 26Q4 營收為 85.10 億元，QoQ 4.94%，YoY 30.86%；毛利率估為 35.11%，營業利益 12.53 億元，QoQ -13.32%，YoY 297.33%；單季 EPS 為 2.95 元。綜合考量下游客戶需求持續暢旺、公司優先承接高毛利訂單使獲利結構性優化，並已長期佈局機器人與 CPO 商機，研究部預估 26 與 27 年營收為 305.08 億元與 344.40 億元，YoY 25.74%與 12.89%；毛利率為 34.54%與 35.11%；營業利益為 43.63 億元與 58.60 億元，YoY 165.52%與 34.30%；稅後獲利為 36.93 億元與 48.07 億元，YoY 142.05%與 30.15%；預估 26 與 27 年 EPS 分別為 10.44 元與 13.59 元。

評價方面，上銀過去五年本益比主要集中於 20 倍至 40 倍區間。考量公司整體營收與獲利將呈現雙位數之成長上升趨勢，且自動化與傳動產業結構持續復甦上行，研究部以 2027 年預估 EPS 13.59 元作為評價基礎，並給予歷史區間中緣偏上之 33 倍 PER，目標價設定為 450 元，給予買進之投資建議。

- 公司基本資料

公司基本資料	
股本(億)	35.38
收盤價	291.5
成交量	3,950
市值(億)	1,031
P/E(x)	27.86

- 法人持股及融資券

	比率	週增減
外資	39.61	0.06
投信	0.29	0

- <u>公司基本資料</u>

上銀科技(2049)成立於 1989 年，主要從事線性滑軌(GW)、滾螺桿(BS)、工業機器人、機器手臂、迴轉工作台、減速機、精密軸承及醫療設備之研究開發、設計、製造、銷售、維修及售前售後服務，同時為全球第三大滾珠螺桿廠和線性滑軌廠，僅次於日本 THK、NSK。公司以自有品牌「HIWIN」行銷全球，海外子公司橫跨德國、美國、日本、瑞士、捷克、法國，

- <u>**26Q3 EPS 為 3.48 元，機器人營收年成長 8 成**</u>

營收 81.10 億，QoQ 8.01%，YoY 35.27%，除歐洲市場外，其餘市場皆呈現年紀雙成長，其中機器人相關產品年增 82%。獲利表現方面，毛利率 36.34%，季增 2.18 個百分點，年增 7.74 個百分點，提升主要因(1)漲價效益浮現、(2)UTR 提升、

自營商	3.12	0.02
融資率	4.25	-0.09
券餘(張)	57	23

● 除權息狀況

現金股利	2
現金股利(總和)	2
現金股利(去年)	2.4
股票股利	0
除息日	2026/07/08
除權日	- -
殖利率(%)	0.58

● 近期報酬率(%)

日	週	月
1.57	-2.02	-12.33

(3)美國子公司退稅貢獻 0.6pct、(4)人民幣升值貢獻 0.5pct；隨營收與毛利率成長，營業利益提升至 14.46 億，QoQ 39.82%，YoY 252.12%；加計匯兌利益 1.21 億元，稅後獲利達 12.21 億，QoQ 44.08%，YoY 173.91%；EPS 為 3.48 元。

26Q2 產品	營收 千	佔比 %	YoY	QoQ
其他	555,101	7%	27%	-11%
滾珠螺桿	1,628,107	20%	30%	10%
線性滑軌	4,955,237	61%	31%	9%
機器人	971,315	12%	82%	12%
Total	8,109,760		35%	8%

- **<u>26Q4 有望淡季不淡，估營收季增 4.94%達 85.10 億</u>**

上銀 10 月營收 28.50，YoY 35.66%，MoM4.79%，累計營收為 248.48 億， YoY25.11%。目前下游需求仍強勁，政體市場處供不應求之態勢，隨 26H2 增聘逾 300 名員工並採加班生產，26 年底產出量較年初成長 25%～30%，預期 26Q4 有望突破歐美長假與盤點淡季效應，營運有望優於 26Q3。

研究部預估，26Q4 營收 85.10 億，QoQ 4.94%，YoY 30.86%；毛利率 35.11%，季減 1.23 個百分點，年增 8.07 個百分點；營業利益 12.53 億，QoQ -13.32%，YoY 297.33%；稅後獲利 10.45 億，QoQ -14.42%，YoY 126.22%；EPS 為 2.95 元。

- **<u>訂單滿載，能見度達 2027 年中</u>**
  <u>估計 2026/2027 年 EPS 為 10.44/13.59 元。</u>

目前下游需求仍呈現供不應求，研磨級滾珠螺桿交期已拉長至 6.5 個月以上，線性滑軌依產品規格亦維持 4～6 個月，整體訂單能見度直達 2027 年中，且 26Q3 合約負債達 1.34 億元（YoY +126%）。

各區域表現方面，亞洲市場受惠中國大陸工具機產業升級，帶動傳動元件需求持續成長，同時台灣與亞洲各國受惠半導體製造需求熱絡，推升機器人、馬達與旋轉轉台等零組件出貨；美國受惠製造業回流、半導體擴產與 AI 資料中心建置潮，帶動強勁設備需求；歐洲雖受車市疲軟影響而整體持平，但軍工與潛在戰後重建需求已逐步浮現。

獲利與產能方面，管理層表示現階段不傾向全面漲價，而採取

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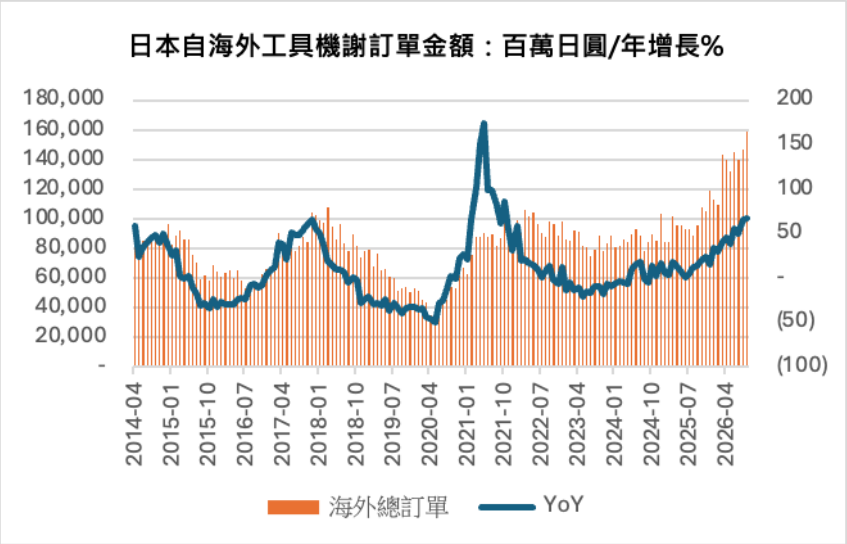
「擇優挑單」之訂單組合優化策略，優先承接高獲利訂單以帶動毛利率結構性提升。此外，微小型螺桿與滑軌新設備將於 2026 年 12 月投產，研究部認為將進一步挹注後市獲利表現；2027 與 2028 年資本支出則預計維持約 25～27 億元水準，聚焦於設備去瓶頸與自動化汰換。



2026 1-9 月 日本機械外銷訂單累計 / (百萬日圓)/%				
排名	區域	累計金額	佔比 (%)	YoY (%)
1	中國	437,966	35.7%	54.7%
2	美國	331,342	27.0%	48.3%
3	印度	76,500	6.2%	40.6%
4	德國	37,199	3.0%	21.4%
5	韓國	34,972	2.8%	56.9%
6	台灣	30,842	2.5%	120.0%
-	其他	278,903	22.7%	36.8%
	訂單總計	**1,227,724**	**100.0%**	47.6%

資料來源：Wind、JMTBA、第一金投顧彙整

綜合以上，研究度鑑於下游需求暢旺，且產品組合與訂單仍具優化空間，預估 26/27 年營收為 305.08 億/344.40 億，YoY 25.74%/12.89%；毛利率為 34.54%/35.11%，年增 5.78/0.57 個百分點；營業利益為 43.63 億/58.60 億，YoY 165.52%/34.30%；稅後獲利為 36.93 億/48.07 億，YoY 142.05%/30.15%；EPS 為 10.44/13.59 元。

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- **長期佈局機器人與 CPO 商機**

  機器人業務佔 26Q3 營收達 12%，其中 EFEM 隨半導體需求熱絡穩健成長，並已超前部署對應 FOPLP 方片規格之移載系統。公司充分發揮垂直整合優勢，自製減速機、螺桿、軸承，並整合關係企業大銀微系統之伺服馬達與驅動器。目前已獲美系人形機器人廠商小批量線性滑軌訂單，美系 AI 物流機器人放量時程則取決於客戶端實測進度。CPO 方面，大銀微已開發出奈米級定位平台，並整合上銀微小型螺桿與線軌，共同搶攻次世代半導體設備商機。

- **結論與建議:**

  26Q3 受惠終端需求強勁，營收達 81.10 億元，QoQ 8.01%，YoY 35.27%；受惠稼動率提升與價格策略帶動毛利走高，單季 EPS 達 3.48 元。10 月營收延續強勁動能，達 28.50 億元，MoM 4.79%，YoY 35.66%，累計前 10 月營收為 248.48 億元，YoY 25.11%。目前整體市場供不應求，訂單能見度已直達 2027 年中。

  展望後市，隨公司下半年增聘逾 300 名員工並持續加班生產，26 年底產出量將較年初成長 25%至 30%，預期 26Q4 將打破歐美長假與盤點淡季效應，營運有望優於 26Q3。研究部預估 26Q4 營收為 85.10 億元，QoQ 4.94%，YoY 30.86%；毛利率估為 35.11%，營業利益 12.53 億元，QoQ -13.32%，YoY 297.33%；單季 EPS 為 2.95 元。

  綜合考量下游客戶需求持續暢旺、公司優先承接高毛利訂單使獲利結構性優化，並已長期佈局機器人與 CPO 商機，研究部預估 26 與 27 年營收為 305.08 億元與 344.40 億元，YoY 25.74%與 12.89%；毛利率為 34.54%與 35.11%；營業利益為 43.63 億元與 58.60 億元，YoY 165.52%與 34.30%；稅後獲利為 36.93 億元與 48.07 億元，YoY 142.05%與 30.15%；預估 26 與 27 年 EPS 分別為 10.44 元與 13.59 元。

  評價方面，上銀過去五年本益比主要集中於 20 倍至 40 倍區間。考量公司整體營收與獲利將呈現雙位數之成長上升趨勢，且自動化與傳動產業結構持續復甦上行，研究部以 2027 年預估 EPS 13.59 元作為評價基礎，並給予歷史區間中緣偏上之 33 倍 PER，目標價設定為 450 元，給予買進之投資建議。

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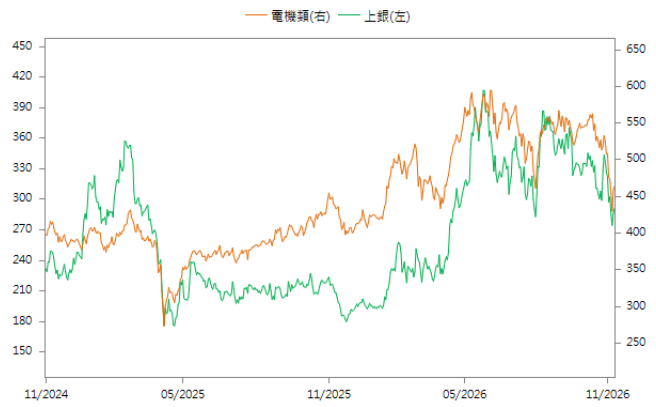
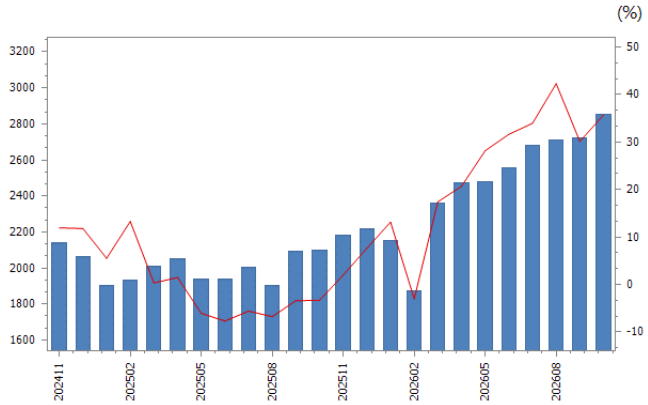
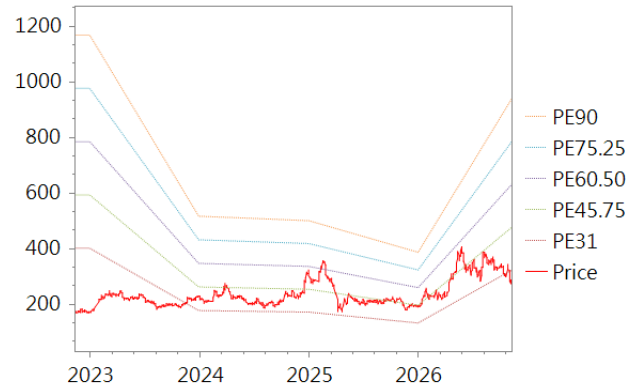
股價相對指數走勢圖



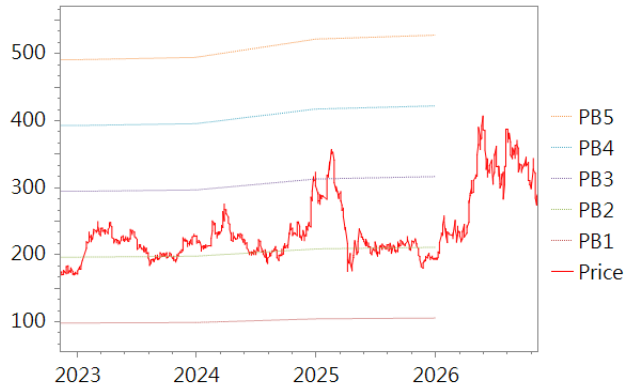
月營收&年增率



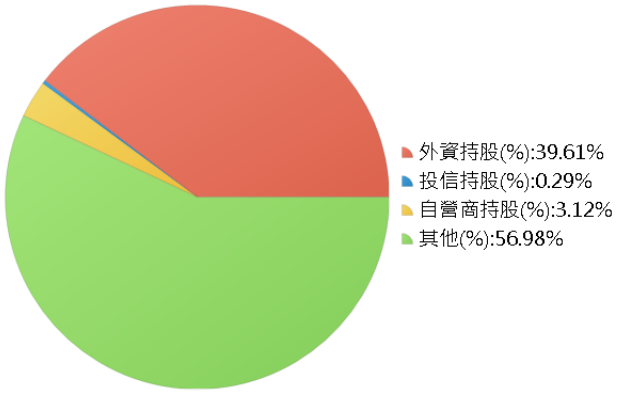
Forward PE bands



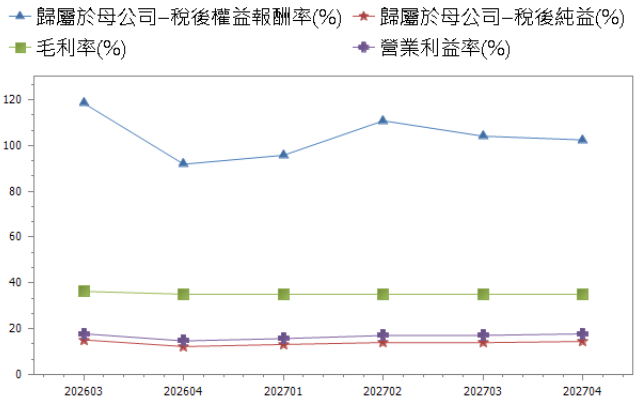
Forward PB bands



持股統計



財務比率



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2049 上銀綜合損益表

單位:Mn,%,元	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F
營業收入淨額	6,379	7,508	8,110	8,510	7,285	8,503	9,263	9,388	30,508	34,440
毛利率	31.94	34.17	36.34	35.11	35.06	35.1	35.12	35.14	34.54	35.11
營業利益率	9.88	13.77	17.83	14.72	15.75	17.09	17.13	17.82	14.3	17.02
營業外收入及支出	88.70	45.70	133.7	94.74	88.70	88.70	88.70	88.70	362.9	354.8
稅前純益	719.2	1,080	1,579	1,348	1,236	1,542	1,675	1,761	4,726	6,214
稅後純益	579.3	847.6	1,230	1,045	960.1	1,193	1,294	1,360	3,702	4,807
普通股股本	3,538	3,538	3,538	3,538	3,538	3,538	3,538	3,538	3,538	3,538
未稀釋 EPS	1.64	2.4	3.48	2.95	2.71	3.37	3.66	3.84	10.46	13.59
稀釋後 EPS	1.64	2.39	3.47	2.95	2.71	3.37	3.66	3.84	10.44	13.59
QoQ(%)										
營收	-1.9	17.7	8.01	4.93	-14.4	16.71	8.93	1.34		
營業利益	99.93	63.98	39.82	-13.35	-8.41	26.64	9.19	5.42		
稅後純益	25.4	46.3	45.14	-15.05	-8.15	24.24	8.5	5.05		
YoY(%)										
營收	9.26	26.71	35.27	30.86	14.2	13.25	14.23	10.32	25.74	12.89
營業利益	50.57	107.37	252.12	297.22	81.98	40.56	9.77	33.55	165.5	34.33
稅後純益	20	526.75	175.92	126.23	65.72	40.73	5.21	30.1	142.64	29.84

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2049 上銀資產負債表

單位:Mn	2022	2023	2024	2025
流動資產	20,319	19,228	19,983	19,864
現金及約當現金	7,458	7,564	7,354	7,624
短期投資合計	0	10	0	0
應收帳款與票據合計	3,357	3,553	4,467	4,418
存貨	8,938	7,490	7,407	7,094
非流動資產	31,821	32,209	34,452	34,312
投資性不動產	0	0	0	0
無形資產	256	256	291	294
資產總計	52,140	51,437	54,435	54,176
流動負債	9,410	7,960	8,322	8,530
一年內到期長期負債	794	615	1,067	977
非流動負債	7,765	8,362	9,039	8,173
應付公司債	- -	- -	- -	- -
長期借款	6,309	6,955	7,563	6,712
負債總計	17,175	16,322	17,361	16,702
資本公積	7,480	7,480	7,480	7,480
保留盈餘	23,459	23,588	24,549	25,163
權益總計	34,965	35,114	37,074	37,474

2049 上銀現金流量表

營業活動現金流量	6,078	4,770	3,619	4,277
投資活動現金流量	-2,203	-2,846	-3,883	-2,818
籌資活動現金流量	-1,921	-1,800	-19	-1,278
本期現金增減數	2,025	106	-210	270

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2049 上銀綜合損益表				
單位: Mn,%,元	2024	2025	2026F	2027F
營業收入淨額	24,392	24,263	30,508	34,440
毛利率	29.59	28.76	34.54	35.11
營業利益率	8.44	6.77	14.3	17.02
營業外收入及支出	190.8	120.9	362.9	354.8
稅前純益	2,250	1,764	4,726	6,214
稅後純益	1,972	1,526	3,702	4,807
普通股股本	3,538	3,538	3,538	3,538
未稀釋 EPS	5.57	4.31	10.46	13.59
稀釋後 EPS	5.56	4.3	10.45	13.59
YoY(%)				
營收	-0.98	-0.53	25.74	12.89
營業利益	-22.34	-20.18	165.5	34.33
稅後純益	-3.09	-22.62	142.64	29.84

2049 上銀財報分析				
年度	2022	2023	2024	2025
稅後權益報酬率(%)	13.78	5.83	5.48	4.11
稅後資產報酬率(%)	8.68	3.93	3.73	2.81
流動比率(%)	215.92	241.56	240.13	232.88
速動比率(%)	120.94	147.47	151.12	149.71
負債比率(%)	32.94	31.73	31.89	30.83
利息保障倍數(倍)	32.13	14.04	13.62	9.19
應付款項週轉天數(天)	112.86	107.31	105.36	105.94
應收款項週轉天數(天)	46.83	50.49	59.19	65.92
存貨週轉天數(天)	167.05	174.17	156.14	151.01

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上銀(2049.TW) ESG指標

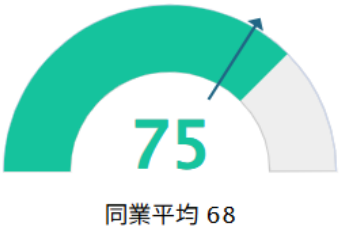
智能永續指標

9 / 50
產業排名

E 環境 71
同業 60

S 社會 70
同業 72

G 治理 82
同業 70



同業平均 68

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2026 年 11 月 11 日

台積電(2330 TT)投資 OpenAI 及 Anthropic 延續過去參與 Arm(ARM US) IPO 的少數策略股權模式，惟布局由半導體供給生態系進一步延伸至 AI 模型與算力需求端。透過投資 OpenAI 及 Anthropic 各最高 5 億美元，增加對未來算力需求及運算架構演進的掌握，作為先進製程與封裝產能規劃的參考，但不代表取得訂單或控制權。現在台積電的產能和良率優於同業，可是未來美國有可能因環境能耗與安全疑慮對 AI 數據中心及尖端模型祭出強硬監管，並取消稅收補貼，引發市場擔憂科技巨頭放緩 AI 資本支出，間接影響台積電的業績成長動能，因此建議台積電 Trading Buy。

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台積電並非首次策略性投資產業鏈公司，惟此次首度將布局延伸至 AI 算力需求端：

台積電於 11/10/2026 召開董事會，分別核准兩項投資案：一是以不超過美金 5 億元設立投資公司，持續進行半導體產業及相關生態系之策略性投資；二是分別以不超過美金 5 億元認購 Anthropic, PBC 普通股及 OpenAI Group PBC 特別股，兩項直接股權投資合計最高 10 億美元。其中，Anthropic 每股認購價格將依該公司未來首次公開發行(IPO)價格而定。值得注意的是，新設投資公司與直接投資兩家 AI 模型業者為兩項獨立的董事會決議，目前並無公開資訊顯示兩者具有直接的資金或架構關聯，整體反映台積電一方面持續布局半導體產業生態系，另一方面首度將直接股權投資延伸至 AI 模型與算力需求形成端。

從歷史脈絡觀察，台積電早在 1990 年代即透過 InveStar 及 VentureTech Alliance(VTA)等創投架構投資全球無晶圓廠(Fabless)及新興科技公司，以及入股 IMS Nanofabrication 約 10%以布局關鍵多重電子束光罩技術。其中，2023 年以不超過 1 億美元參與 Arm IPO 是此次投資最具參考價值的案例，台積電當時並非為取得經營控制權，而是以少數策略股權維持與關鍵 IP 生態系的長期連結。此次對 OpenAI 及 Anthropic 各最高 5 億美元的投資，本質上延續了此種非控制性少數策略股權模式，共同反映台積電並非以大額資本主導標的，而是透過有限資本強化與關鍵生態系夥伴的策略連結。

最大戰略意義：策略股權由半導體供給端進一步延伸至 AI 算力需求端：

過去台積電的策略投資主要集中於晶片設計、半導體 IP 及關鍵設備技術，核心目的在於擴大半導體供給生態系，協助客戶持續開發並製造先進晶片，投資 Arm 即屬於間接支持相關架構設計與製造需求的模式。

相較之下，OpenAI 及 Anthropic 位於 AI 產業鏈的需求形成端，模型能力提升、訓練規模擴大及推論需求增加，最終將帶動 GPU、ASIC、HBM 及資料中心基礎設施的算力需求。因此，投資 2 家模型業者的策略意義並非直接取得晶圓訂單，而是增加台積電接觸及理解未來 AI 算力需求變化的機會，包括訓練(Training)與推論(Inference)需求結構、運算架構演進及資料中心基礎設施需求等，作為長期先進製程及先進封裝產能規劃的參考。

相較台積電 2026 年預估 600 億至 640 億美元的資本支出規模，新設投資公司的 5 億美元資金上限僅約 0.8%；而直接投資兩家模型業者合計最高 10 億美元，相較 2 者各自超過 1,000 億美元的資金規模及高估值亦屬有限。

若與 OpenAI 及 Anthropic 既有主要策略投資者相比，台積電各最高 5 億美

元的投資規模明顯較小。過去 Microsoft(MSFT US)、SoftBank(9984 JP)等業者對 OpenAI 的投資金額達數十億甚至百億美元級別；Amazon(AMZN US)及 Google(GOOL US)對 Anthropic 的累計投資亦達數十億美元。相較之下，台積電此次各 5 億美元的投資，顯然並非以資金主導，取得控制權，董事會席次、主導公司經營為或追求短期財務回報為目的，而是以相對有限的資本建立策略關係。惟實際持股比例仍須視認購價格、股權條件及後續稀釋情況而定，目前亦無資訊顯示台積電因此取得參與模型公司技術決策或運算架構(Compute Roadmap)制定的權利。

對台積電而言，投資 AI 模型業者亦有助於擴大觀察未來算力需求的來源，而非完全依賴單一晶片供應商的產品規劃。無論未來模型業者採用 NVIDIA GPU、AMD GPU、Google TPU、AWS Trainium 或其他自研 ASIC，只要相關晶片及先進封裝採用台積電技術，即可能轉化為台積電的製程與封裝需求，策略價值在於增加對需求端運算架構發展方向的理解。

仍須面對客戶中立性、訂單轉換及股權評價等風險：

這項投資案，仍有幾項風險。首先，台積電必須維持客戶中立性。OpenAI 及 Anthropic 分別與 Microsoft、Google 及 Amazon 等大型雲端業者存在密切合作關係，並涉及 NVIDIA、AMD、Broadcom 及其他 AI 晶片供應鏈。台積電直接投資特定模型業者，可能使部分客戶關注其資訊隔離及資源配置的中立性。此次採取各最高 5 億美元的少數股權投資，且同時投資兩家主要模型業者，有助降低市場對單一選邊的疑慮，但台積電後續仍須維持嚴格的商業資訊保密及客戶中立原則。

其次，股權投資不等於取得訂單或產能承諾。OpenAI 及 Anthropic 並非直接採購晶圓的客戶，其算力需求仍須透過 CSP、GPU 及 ASIC 供應商轉化為台積電的晶圓與先進封裝需求。因此，這筆投資本身並不代表產能長約、保證取貨(Take-or-Pay)承諾或未來訂單保證，實際效益仍取決於 AI 算力需求的持續成長，以及相關晶片供應鏈採用台積電技術的程度。

最後，AI 模型業者目前仍處於高資本投入及快速競爭階段。若未來模型服務競爭加劇、商業化速度低於預期，或雲端業者的 AI 資本支出回報率下降，導致算力投資放緩，均可能影響 OpenAI 及 Anthropic 的估值及後續融資能力，進而帶來台積電股權投資的評價波動風險。

整體而言，台積電此次策略並非改變晶圓代工本業，而是延續過去以少數策略股權連結關鍵產業生態系的做法。若說投資 Arm 主要是鞏固晶片如何被設計與製造的供給生態系，投資 OpenAI 與 Anthropic 則是進一步接觸為何需要更多晶片與算力的需求形成端。對台積電而言，以相對有限的資本投入增加對 AI 產業長期需求變化的理解，其策略意義可能高於單純的財務投資報酬。

11/2026 台積電董事會決議如下：

11/11/2026 台積電召開董事會，會中重要決議如下：

1)核准 3Q26 營業報告書及財務報表，3Q26 合併營收約新台幣 1.49 兆元，稅後純益約新台幣 7,630 億元，稅後 EPS 29.43 元。

2)核准配發 3Q26 每股現金股利 9.0 元。台積電 1Q26 和 2Q26 各分派 7 元，

3Q26 發 9 元，依據台積電股利只升不降，4Q26 至少配發 9 元，也就是 2026 年將配發 32 元以上。

3)核准資本預算約美金 409.27 億元，內容主要包括：1.建置及升級先進製程產能；2.建置及升級先進封裝、成熟及/或特殊製程產能；3.廠房興建及廠務設施工程；4. 2027 年研發資本預算、經常性資本預算及資本化租賃資產預算。

4)核准以不超過美金 5 億元之資金設立一投資公司，以進行半導體產業及相關生態系之策略性投資。

5)核准於不超過美金 5 億元之額度內認購 Anthropic, PBC 普通股股份，每股認購價格將依該公司首次公開發行之價格而定；以及於不超過美金 5 億元之額度內認購 OpenAI Group PBC 特別股股份。

台積電 10/2026 營收 5,868.9 億元，MoM+14.65%，YoY+59.70%：

台積電公告 10/2026 營收 5,868.90 億元，MoM+14.65%，YoY+59.70%，創歷史新高。先前台積電法說會預估 4Q26 營收 523~543 億美元，QoQ+11.94%~+16.22%，中間值+14.08%。在 1 美元兌新台幣 31.8 元基礎上，新台幣營收為 1.66 兆元~1.73 兆元，QoQ+13.43%~+15.56%。以此推估，11/2026 和 12/2026 單月平均營收在 5,381 億元~5,699 億元，MoM-2.89%~-8.31%。

高階製程持續帶動台積電營收成長，台積電預估 4Q26 毛利率將介於 65%-67%，以中間值 66%計算，較 3Q26 下降約 0.4 個百分點。主要是因為 N2 技術的快速爬坡，預期將稀釋毛利率約 3 個百分點，此稀釋將被領先技術的強勁需求與持續的成本改善(含生產力提升)部分抵消。預估 4Q26 稅後 EPS 32.64 元。2026 年 EPS 111.39 元。

儘管消費性(如 PC、智慧型手機)與價格敏感終端市場面臨零組件價格上漲與總體經濟不確定性之挑戰，台積電對 2027 年對此抱持審慎樂觀態度，但受惠於領先先進製程之技術差異化與廣泛客戶基礎，及代理人 AI(Agentic AI)推動 AI 助理普及、開源模型降低使用門檻，進一步刺激 CPU 與網路晶片需求，預估台積電 2027 年稅後 EPS 147.10 元。長期而言，台積電憑藉在先進製程與先進封裝的高市佔率，實質基本面依然強勁。然而，美國選舉後，有可能因環境能耗與安全疑慮對 AI 數據中心及尖端模型祭出強硬監管，並取消稅收補貼，引發市場擔憂科技巨頭放緩 AI 資本支出，間接影響台積電的業績成長動能，因此建議台積電 Trading Buy。

相關個股獲利預估、評價及投資建議

公司	代號	EPS(元)		年底每股淨值(元)		股價(元)	PER	PBR	投資評等	目標價(元)	隱含漲幅
		2026(F)	2027 (F)	2026(F)	2027 (F)						
晶圓代工											
聯電	2303	7.40	6.33	35.02	36.90	100.50	15.89	2.72	Neutral		-
台積電	2330	111.39	147.10	296.38	415.48	2285.00	15.53	5.50	Trading Buy	2500.00	9.40%
世界	5347	6.15	5.48	35.70	36.70	132.50	24.18	3.61	Neutral		-

資料來源：群益投顧彙整預估

附註：EPS 以最新股本調整回溯；

PER=股價/2027 (F)EPS；PBR=股價/2027 (F)年底預估每股淨值

【投資評等說明】

評等	定義
強力買進(Strong Buy)	首次評等潛在上漲空間≥35%
買進(Buy)	15%≤首次評等潛在上漲空間<35%
區間操作(Trading Buy)	5%≤首次評等潛在上漲空間<15%
中立(Neutral)	無法由基本面給予投資評等 預期近期股價將處於盤整 建議降低持股

【投資評等調整機制】

投資評等係「首次」給予特定個股投資評等時，其前一日收盤價相較 3 個月目標價之潛在上漲空間計算而得。個股投資評等分為四個等級，定義如上。爾後的投資評等係依循「首次評等」，直到停止推薦。

「強力買進」、「買進」及「區間操作」均有 upside 目標價。差別僅在於，首次評等時潛在報酬率不同。「中立」則無目標價。

一旦我們給予特定個股「強力買進」、「買進」或「區間操作」之投資評等，就是責任的開始，爾後將透過各式研究報告作定期性、持續性追蹤基本面及股價變化，直到停止推薦。

停止推薦情境：

1. 達目標價。
2. 雖未達原訂目標價，但檢視基本面、訊息面、籌碼面等多方訊息，研判股價上漲空間已然有限，將適時出具降評報告。
3. 推薦後股價不漲反跌，亦將出具降評報告。

【免責聲明】

本研究報告僅提供予特定人之客戶作為參考資料「非經同意不得轉載」。我們並不確保此資訊的完整性與正確性，投資人應了解，報告中有關未來預測之陳述可能不會實現，因而不應被依賴。而且此報告並非根據特定投資目的或依預定對象之財務狀況所撰寫出來的，因此，此研究報告的目的，既非對投資人於買賣證券、選擇權、期貨或其他證券相關之衍生性商品提供詢價服務，亦非作為進行交易的要約。投資人應注意到相關證券之價值及收益，可能會有無預警地上升或下降，產生投資回報金額可能比原始投資來得少的情形。

個股報告

2026 年 11 月 11 日

研究員：謝家祐 cy.hsieh@capital.com.tw

前日收盤價	54.90 元
目標價	
3 個月	59.00 元
12 個月	59.00 元

英業達(2356 TT)　Trading Buy

產能及訂單展望正向，投資建議 Trading Buy

投資建議：我們預估隨零組件的產能逐漸提升，以及商用筆電換機潮和 AI PC 的需求帶動下，2027 年營收將可年增 47.9%，然而近期市場對 AI 基礎建設投資的疑慮升溫，可能限制英業達未來營收上行。綜上所述，我們給予英業達 Trading Buy 的投資建議，目標價 59 元。

10/2026 營收 799.66 億元，YoY+46.02%：英業達 10/2026 營收 799.66 億元，MoM-18.93%，YoY+46.02%，較我們預期的 849.20 億元差異約 5.8%，大致符合預期。

3Q26 營收 2,720.94 億元，QoQ+0.8%：3Q26 營收 2,720.94 億元，QoQ+0.8%，YoY+54.3%；營益率 1.61%；業外淨支出 13.25 億元；歸屬母公司淨利 25.38 億元，稅後 EPS 0.71。EPS 季減主因為業外淨支出。

PC 市場需求疲弱：管理層認為 2026 年為此波循環低點，預估 2027 年全球 PC 市場將呈年增持平至微幅增長，因此可期待 2027 年的 Windows 換機潮以及 AI PC 的需求增長帶動 PC 營收增長。

預估 4Q26 營收 2,840.78 億元，稅後 EPS 0.80 元：我們認為 4Q26 供應端長短料問題尚未顯著改善，且 PC 市場維持疲弱，因此預估 4Q26 營收 2,840.78 億元，QoQ+4.4%；毛利率 4.18%；歸屬母公司淨利 28.75 億元，QoQ+13.3%，稅後 EPS 0.80 元。

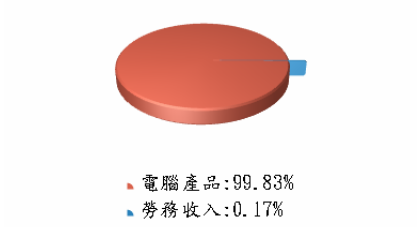
預估 2027 年營收 15,179.62 億元，稅後 EPS 4.90 元：我們預期 2027 年零組件供需失衡狀況將好轉，在既有專案不變下，伺服器出貨量將可望年增高個位數，且隨伺服器出貨模式逐漸轉為 L11 乃至 L12，將帶動營收顯著成長，預估 2027 年營收 15,179.62 億元，YoY+47.9%；毛利率 4.09%，YoY-0.3ppts；營益率 1.56%，YoY-0.1ppts，毛利率及營益率衰減主要受產品組合改變所致；歸屬母公司淨利 175.61 億元，稅後 EPS 4.90 元，YoY+49.6%。

近期報告日期、評等及前日股價

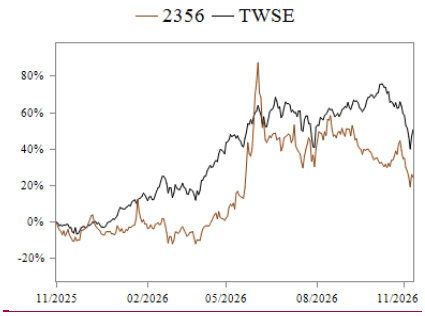
公司基本資訊

目前股本(百萬元)	35,875
市值(億元)	1,970
目前每股淨值(元)	22.52
外資持股比(%)	19.07
投信持股比(%)	12.65
董監持股比(%)	12.45
融資餘額(張)	22,715
現金股息配發率(%)	82.64

產品組合



股價相對大盤走勢



(百萬元)	2026F	2027F	2028F	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F
營業收入淨額	1,026,339	1,517,962	1,610,965	176,286	171,293	200,311	269,857	272,094	284,078	373,818	426,111	375,680
營業毛利淨額	44,801	62,074	64,911	8,876	8,923	10,177	11,416	11,334	11,874	15,401	17,428	15,290
營業利益	17,474	23,732	24,475	3,067	2,538	3,615	4,741	4,373	4,744	5,906	6,860	5,673
稅後純益	11,736	17,561	18,692	2,729	2,073	2,428	3,895	2,538	2,875	4,099	5,756	3,761
稅後 EPS(元)	3.27	4.90	5.21	0.76	0.58	0.68	1.09	0.71	0.80	1.14	1.60	1.05
毛利率(%)	4.37%	4.09%	4.03%	5.04%	5.21%	5.08%	4.23%	4.17%	4.18%	4.12%	4.09%	4.07%
營業利益率(%)	1.70%	1.56%	1.52%	1.74%	1.48%	1.80%	1.76%	1.61%	1.67%	1.58%	1.61%	1.51%
稅後純益率(%)	1.14%	1.16%	1.16%	1.55%	1.21%	1.21%	1.44%	0.93%	1.01%	1.10%	1.35%	1.00%
營業收入 YoY/QoQ(%)	48.49%	47.90%	6.13%	-5.52%	-2.83%	16.94%	34.72%	0.83%	4.40%	31.59%	13.99%	-11.84%
稅後純益 YoY/QoQ(%)	34.96%	49.64%	6.44%	24.65%	-24.04%	17.13%	60.39%	-34.83%	13.27%	42.59%	40.43%	-34.67%

註：稅後純益係指本期淨利歸屬於母公司業主；稅後 EPS 以股本 358.75 億元計算。

ESG

環境：公司於 2026 年通過科學基礎減碳目標倡議（SBTi）淨零目標審核，積極推動節能減碳、再生能源使用及資源循環。依公司揭露，2025 年共執行 29 項節能方案，節省約 792 萬度電，廢棄物回收再利用率達 80.3%。此外，公司持續推動綠色產品設計，2025 年取得 861 件產品環保及能效認證，並透過導入回收材料、降低包裝塑膠使用量及研發伺服器液冷技術，降低產品生命週期之環境衝擊。

社會：公司重視員工權益、人才培育及職業安全衛生，持續推動多元共融與友善職場。2025 年員工平均教育訓練時數達 97.28 小時，員工參與度調查回收率為 80.9%，並投入約 1,186 萬元於社會參與活動，透過生態保育、志工服務及公益計畫履行企業社會責任。

公司治理：英業達透過董事會及永續發展相關組織推動 ESG 管理，強化誠信經營、資訊透明及供應鏈風險控管。2025 年女性主管占比達 31.6%，供應商稽核結案率達 100%，違反誠信經營受裁罰案件為零件。此外，公司於 2025 年完成 6.25 億美元 ESG 永續連結聯合授信案，將永續績效指標與融資條件連結，資金主要用於擴充 AI 伺服器產能及海外製造布局，兼顧營運成長與永續發展。

公司簡介

英業達（2356 TT）為全球主要電子產品設計製造服務（ODM）廠商之一，核心業務涵蓋個人電腦及企業級運算設備。公司成立於 1975 年，並於 1997 年在台灣證券交易所上市，早期以電子產品代工為主要業務，1988 年進軍筆記型電腦市場，1998 年進一步拓展伺服器領域，逐步建立個人電腦與企業電腦雙事業布局。

個人產品事業主要提供筆記型電腦及桌上型電腦之研發設計與製造服務；企業電腦事業則涵蓋一般伺服器、AI 伺服器、儲存設備、網路交換器及機櫃級解決方案，應用於企業資料中心、雲端資料中心及主機代管中心。公司具備從伺服器主機板至整機櫃之設計與製造能力，並提供 ODM、JDM 及 CM 等多元合作模式，滿足不同客戶的產品開發與生產需求。

在全球製造布局方面，英業達於台灣、中國、墨西哥及捷克等地設有企業電腦製造營運據點，具備接單生產（BTO）及接單客製化（CTO）能力。隨著雲端運算、AI 及資料中心基礎建設需求持續發展，公司積極布局 AI 伺服器、機櫃整合與先進散熱技術，並透過全球產能配置及研發設計能力，強化產品競爭力與供應鏈韌性。

10/2026 營收 799.66 億元，YoY+46.02%：英業達 10/2026 營收 799.66 億元，MoM-18.93%，YoY+46.02%，較我們預期的 849.20 億元差異約 5.8%，大致符合預期。營收月減主因為 PC 市場需求仍未見好轉，且伺服器端受供應鏈長短料問題影響，導致出貨狀況不如預期。

3Q26 營收 2,720.94 億元，QoQ+0.8%：3Q26 營收 2,720.94 億元，QoQ+0.8%，YoY+54.3%；毛利率 4.17%，QoQ-0.07ppts，營收季增部分原因為零組件漲價帶動 ASP 提升，然而受此影響毛利率因此遭稀釋。此外，產品組合的改變亦使毛利率承壓；營業利益 43.73 億元，QoQ-7.8%，YoY+42.6%，營益率

1.61%；業外淨支出 13.25 億元；歸屬母公司淨利 25.38 億元，稅後 EPS 0.71，QoQ-35.1%。EPS 季減主要受業外淨支出所累。

營運規模擴大及長短料問題，營運成本上升：管理層表示 3Q26 利息費用 22.15 億元，較 3Q25 的 14.76 億元大幅增加 7.39 億元。此外，受供應鏈端長短料問題影響導致出貨遞延，以及零組件漲價造成營運壓力增加，3Q26 存貨年增 112.3%至 1,624.59 億元，帶動存貨週轉天數年增 7 天至 46.2 天。目前大部分存貨為原料及零組件，成品庫存占比極低，長料主要為短期積壓，目前沒有存貨跌價損失的風險，4Q26 營運上仍需視上游供給狀況是否好轉。管理層另表示，目前的資金需求主要透過短期及中長期的銀行額度融通，儘管 2027 年營運規模提升帶動資金需求顯著增加，但仍有信心以非股權稀釋的管道進行籌資。

PC 市場需求疲弱：記憶體漲價及 CPU 缺貨等問題導致 2026 年 PC 市場疲弱。受 1H26 提前拉貨效應及零組件漲價的影響，縱然 3Q26 為傳統旺季，英業達 PC 出貨量仍季減高個位數。然而據我們了解，英業達的 PC 出貨以需求彈性較高的商用為主，約佔 PC 總出貨量的 60-70%，因此在 ASP 提高及出貨量衰退的影響下營收仍可實現增長。管理層認為 2026 年為此波循環低點，預估 2027 年全球 PC 市場將呈年增持平至微幅增長，因此可期待 2027 年的 Windows 換機潮以及 AI PC 的需求增長帶動 PC 營收增長。

2027 年智慧裝置展望樂觀：目前在智慧裝置的營運重心為無線通訊模組、AIoT 以及 Edge AI，其中無線通訊模組部分布局 4G、5G 通訊，並規劃未來推進高速有線通訊模組領域。2026 年智慧裝置原物料漲幅極高，然而目前供應鏈端狀況已初見好轉，預估 2027 年漲幅趨緩，出貨量將呈個位數增長。

AI 資料中心全年展望不變：10/2026 美國期中選舉結果引發市場對資料中心建置的疑慮，然而英業達表示已與客戶確認訂單並未出現調整，CSP 需求仍強勁，惟 Neocloud 的通用型伺服器需求受其資金排擠效果影響較大，短期的出貨量可能會有波動。英業達的德州廠主要是供應全美市場，而非僅針對德州，因此受資料中心相關法案影響較小，並將會持續發展全球布局。

伺服器營收將顯著成長：英業達目前伺服器營收仍以 GPU 及 ASIC 系列為主。目前 Nvidia 的 Vera Rubin 將以 L11 及 L12 為主，HGX 系列則主要出 L10 和 L11；AMD 系列則以 L6 的形式出貨；ASIC 部分則是個別專案而定，，整體以 L6 或 L10 出貨。管理層預期 4Q26 伺服器出貨量將持平 3Q26，成長性主要還是受長短料問題壓抑，客戶端需求及產能方面都維持樂觀。我們認為 2027 年英業達 GPU/ASIC 伺服器出貨量將呈高雙位數增長，且將重心由過往的 L6 逐漸轉往 L10 至 L12 的組裝，成為營收的主要成長動能，但也因此預期毛利率/營益率將難以維持 5%/2%的表現。

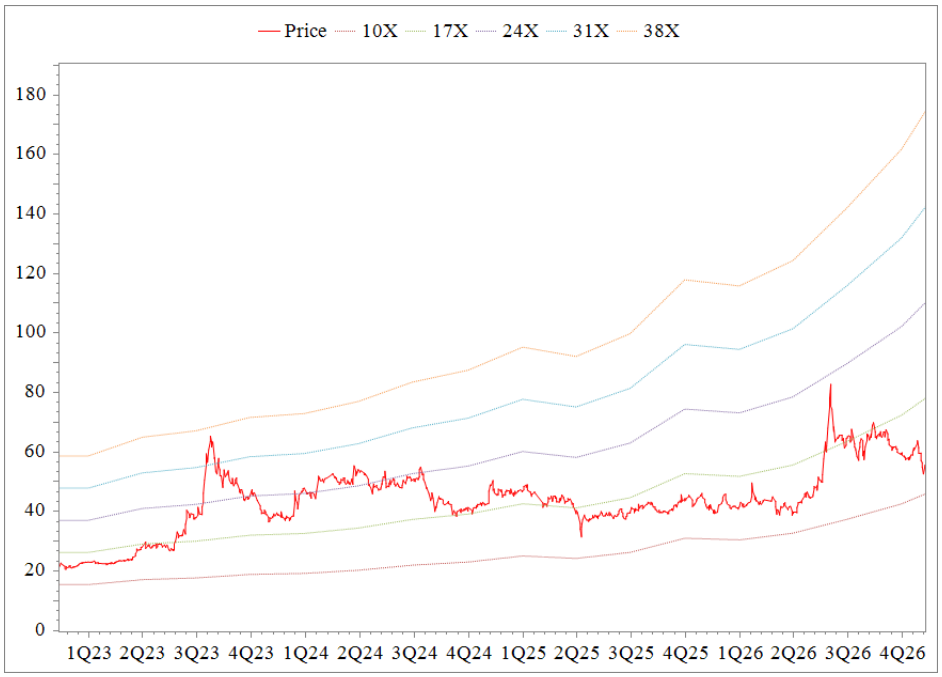
預估 4Q26 營收 2,840.78 億元，稅後 EPS 0.80 元：我們認為 4Q26 供應端長短料問題尚未顯著改善，且 PC 市場將維持疲弱，因此預估 4Q26 營收 2,840.78 億元，QoQ+4.4%；毛利率 4.18%；營益率 1.67%；歸屬母公司淨利 28.75 億元，QoQ+13.3%，稅後 EPS 0.80 元。

預估 2027 年營收 15,179.62 億元，稅後 EPS 4.90 元：我們預期 2027 年記憶體、CPU、PCB 及被動元件等零組件供需失衡狀況將好轉，在既有專案不變下，伺服器出貨量將可望年增高個位數，且隨伺服器出貨模式逐漸轉為 L11 乃至 L12，將帶動營收顯著成長，預估 2027 年營收 15,179.62 億元，

YoY+47.9%；毛利率 4.09%，YoY-0.3ppts；營業利益 237.32 億元，營益率 1.56%，YoY-0.1ppts，毛利率及營益率衰減主要受產品組合改變所致，然而毛利淨額/營業利益仍可年增 38.6%/35.8%；歸屬母公司淨利 175.61 億元，稅後 EPS 4.90 元，YoY+49.6%。

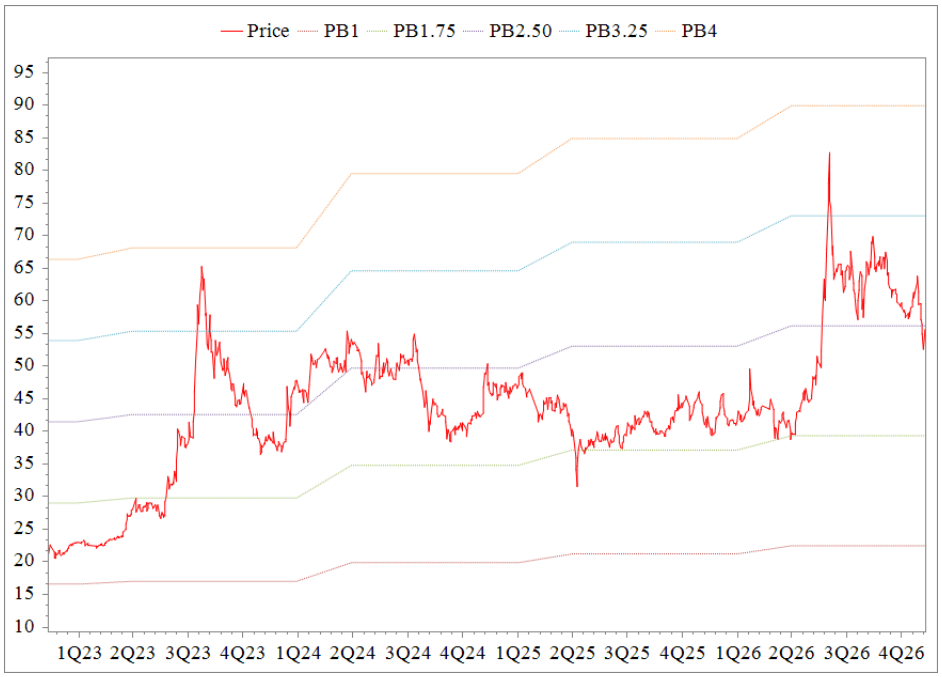
投資建議：2H26 英業達受限於 PC 市場的疲弱及供應鏈端的長短料問題，營收成長速度放緩。我們預估隨著記憶體、CPU、PCB 及被動元件等零組件的產能逐漸提升，以及在商用筆電換機潮和 AI PC 的需求帶動下，此一情景可望在 2027 年逐漸緩解。此外，英業達已向客戶確認伺服器展望維持正向，既有訂單將不會有變動，CSP 的需求仍舊強勁。惟近期市場對 CSP 巨頭的現金流擔憂上升，未來 Neocloud 及 Enterprise 的需求不確定性較高，且 AI 資料中心的建置亦可能受未來相關法案所限而推遲，可能限制英業達營收上行。綜上所述，我們給予英業達 Trading Buy 的投資建議，目標價 59 元。

Forward PE Band



資料來源：CMoney，群益預估彙整

Forward PB Band



資料來源：CMoney，群益預估彙整

資產負債表

(百萬元)	2024	2025	2026F	2027F	2028F
資產總計	335,944	331,672	519,496	591,373	641,568
流動資產	274,426	271,454	458,362	524,425	572,814
現金及約當現金	30,934	54,315	61,582	72,280	78,021
應收帳款與票據	164,762	119,658	229,185	260,805	256,822
存貨	65,147	76,912	145,050	159,689	170,022
採權益法之投資	470	585	419	597	623
不動產、廠房設備	35,324	41,804	47,912	48,125	49,132
負債總計	**265,458**	**255,224**	**438,486**	**501,771**	**543,139**
流動負債	247,482	236,314	422,960	477,097	522,021
應付帳款及票據	135,836	109,168	241,066	234,630	302,973
非流動負債	17,975	18,910	15,527	24,674	21,118
權益總計	70,487	76,448	81,009	89,602	98,429
普通股股本	**35,875**	**35,875**	**35,875**	**35,875**	**35,875**
保留盈餘	24,994	38,508	43,069	51,662	60,489
母公司業主權益	71,320	76,177	80,664	89,112	97,967
負債及權益總計	**335,944**	**331,672**	**519,496**	**591,373**	**641,568**

現金流量表

(百萬元)	2024	2025	2026F	2027F	2028F
營業活動現金	-7,165	13,993	27,414	26,378	31,651
稅前純益	9,210	12,012	15,089	22,359	23,815
折舊及攤銷	4,009	4,504	5,320	5,246	5,560
營運資金變動	-23,277	6,670	-45,767	-52,696	61,992
其他營運現金	2,893	-9,193	52,771	51,468	-59,716
投資活動現金	-7,639	3,002	-355	-14,082	-11,702
資本支出淨額	-5,103	-8,881	-3,000	-2,873	-3,129
長期投資變動	-1,771	11,470	-2,382	-5,786	-7,799
其他投資現金	-766	413	5,027	-5,423	-774
籌資活動現金	16,329	6,592	-19,793	-1,597	-14,208
長借/公司債變動	3,025	697	-3,383	9,147	-3,555
現金增資	0	0	0	0	0
發放現金股利	-5,381	-6,099	-7,175	-8,969	-9,866
其他籌資現金	18,686	11,994	-9,234	-1,776	-787
淨現金流量	2,801	23,382	7,266	10,699	5,741
期初現金	28,133	30,934	54,315	61,582	72,280
期末現金	30,934	54,315	61,582	72,280	78,021

損益表

(百萬元)	2024	2025	2026F	2027F	2028F
營業收入淨額	646,262	691,190	1,026,339	1,517,962	1,610,965
營業成本	612,925	654,476	981,538	1,455,889	1,546,054
營業毛利淨額	33,337	36,715	44,801	62,074	64,911
營業費用	21,521	24,002	27,327	38,341	40,436
營業利益	11,817	12,713	17,474	23,732	24,475
EBITDA	16,314	19,901	22,102	28,451	29,506
業外收入及支出	-2,607	-700	-2,384	-1,373	-660
稅前純益	9,210	12,012	15,089	22,359	23,815
所得稅	1,944	2,722	3,331	4,774	5,097
稅後純益	7,267	8,696	11,736	17,561	18,692
稅後 EPS(元)	2.03	2.42	3.27	4.90	5.21
完全稀釋 EPS**	2.03	2.42	3.27	4.90	5.21

註 1：稅後純益係指本期淨利歸屬於母公司業主。

註 2：稅後 EPS 以股本 358.75【最新股本】億元計算

註 3：完全稀釋 EPS 以股本 358.75 億元計算

比率分析

(百萬元)	2024	2025	2026F	2027F	2028F
成長力分析(%)					
營業收入淨額	25.55%	6.95%	48.49%	47.90%	6.13%
營業毛利淨額	26.57%	10.13%	22.02%	38.55%	4.57%
營業利益	58.33%	7.58%	37.45%	35.82%	3.13%
稅後純益	18.54%	19.65%	34.96%	49.64%	6.44%
獲利能力分析(%)					
毛利率	5.16%	5.31%	4.37%	4.09%	4.03%
EBITDA(%)	2.52%	2.88%	2.15%	1.87%	1.83%
營益率	1.83%	1.84%	1.70%	1.56%	1.52%
稅後純益率	1.12%	1.26%	1.14%	1.16%	1.16%
總資產報酬率	2.16%	2.62%	2.26%	2.97%	2.91%
股東權益報酬率	10.31%	11.37%	14.49%	19.60%	18.99%
償債能力檢視					
負債比率(%)	79.02%	76.95%	84.41%	84.85%	84.66%
負債/淨值比(%)	376.61%	333.85%	541.28%	560.00%	551.81%
流動比率(%)	110.89%	114.87%	108.37%	109.92%	109.73%
其他比率分析					
存貨天數	37.23	39.61	41.27	38.20	38.92
應收帳款天數	72.57	75.10	62.03	58.91	58.64

資料來源：CMoney、群益

季度損益表

(百萬元)	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F
營業收入淨額	186,577	176,286	171,293	200,311	269,857	272,094	284,078	373,818	426,111	375,680	342,354	370,387
營業成本	177,075	167,409	162,370	190,134	258,441	260,760	272,203	358,417	408,683	360,389	328,400	355,387
營業毛利淨額	9,503	8,876	8,923	10,177	11,416	11,334	11,874	15,401	17,428	15,290	13,954	15,001
營業費用	5,868	5,809	6,385	6,562	6,675	6,960	7,130	9,495	10,568	9,617	8,662	9,297
營業利益	3,635	3,067	2,538	3,615	4,741	4,373	4,744	5,906	6,860	5,673	5,293	5,704
業外收入及支出	-723	1,137	206	-308	276	-1,325	-1,027	-682	587	-957	-321	792
稅前純益	2,912	4,204	2,744	3,307	5,017	3,048	3,717	5,224	7,447	4,716	4,972	6,496
所得稅	718	892	664	873	1,117	504	837	1,119	1,685	950	1,020	1,395
稅後純益	2,190	2,729	2,073	2,428	3,895	2,538	2,875	4,099	5,756	3,761	3,945	5,094
最新股本	35,875	35,875	35,875	35,875	35,875	35,875	35,875	35,875	35,875	35,875	35,875	35,875
稅後EPS(元)	0.61	0.76	0.58	0.68	1.09	0.71	0.80	1.14	1.60	1.05	1.10	1.42
獲利能力(%)												
毛利率(%)	5.09%	5.04%	5.21%	5.08%	4.23%	4.17%	4.18%	4.12%	4.09%	4.07%	4.08%	4.05%
營業利益率(%)	1.95%	1.74%	1.48%	1.80%	1.76%	1.61%	1.67%	1.58%	1.61%	1.51%	1.55%	1.54%
稅後純益率(%)	1.17%	1.55%	1.21%	1.21%	1.44%	0.93%	1.01%	1.10%	1.35%	1.00%	1.15%	1.38%
QoQ(%)												
營業收入淨額	18.81%	-5.52%	-2.83%	16.94%	34.72%	0.83%	4.40%	31.59%	13.99%	-11.84%	-8.87%	8.19%
營業利益	4.67%	-15.64%	-17.24%	42.44%	31.16%	-7.76%	8.48%	24.50%	16.15%	-17.31%	-6.70%	7.77%
稅前純益	35.30%	44.37%	-34.74%	20.52%	51.73%	-39.24%	21.93%	40.55%	42.55%	-36.68%	5.43%	30.66%
稅後純益	28.56%	24.65%	-24.04%	17.13%	60.39%	-34.83%	13.27%	42.59%	40.43%	-34.67%	4.91%	29.11%
YoY(%)												
營業收入淨額	21.03%	7.61%	-13.39%	27.56%	44.64%	54.35%	65.84%	86.62%	57.90%	38.07%	20.51%	-0.92%
營業利益	39.76%	-2.97%	-35.22%	4.09%	30.43%	42.60%	86.93%	63.38%	44.69%	29.71%	11.57%	-3.43%
稅前純益	33.55%	67.17%	-8.15%	53.63%	72.29%	-27.49%	35.48%	58.00%	48.43%	54.69%	33.75%	24.34%
稅後純益	20.93%	36.63%	-12.50%	42.58%	77.87%	-7.01%	38.66%	68.81%	47.80%	48.17%	37.23%	24.26%

註1：稅後EPS以股本358.75億元計算

註2：稅後純益係指本期淨利歸屬於母公司業主。

【投資評等說明】

評等	定義
強力買進(Strong Buy)	首次評等潛在上漲空間≥35%
買進(Buy)	15%≤首次評等潛在上漲空間<35%
區間操作(Trading Buy)	5%≤首次評等潛在上漲空間<15%
中立(Neutral)	無法由基本面給予投資評等 預期近期股價將處於盤整 建議降低持股

【投資評等調整機制】

投資評等係「首次」給予特定個股投資評等時，其前一日收盤價相較 3 個月目標價之潛在上漲空間計算而得。個股投資評等分為四個等級，定義如上。爾後的投資評等係依循「首次評等」，直到停止推薦。

「強力買進」、「買進」及「區間操作」均有 upside 目標價。差別僅在於，首次評等時潛在報酬率不同。「中立」則無目標價。

一旦我們給予特定個股「強力買進」、「買進」或「區間操作」之投資評等，就是責任的開始，爾後將透過各式研究報告作定期性、持續性追蹤基本面及股價變化，直到停止推薦。

停止推薦情境：

1. 達目標價。
2. 雖未達原訂目標價，但檢視基本面、訊息面、籌碼面等多方訊息，研判股價上漲空間已然有限，將適時出具降評報告。
3. 推薦後股價不漲反跌。

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11 Nov 2026 07:32:12 ET | 11 pages

Auras Technology (3324.TWO)

3Q26 Missed on Margins; ASIC Ramp to Drive 4Q26E Recovery

CITI'S TAKE

Auras reported 3Q26 net profit of NT$1,080mn (+11% QOQ/+11% YoY), missing Citi/cons forecasts by 13%/22%, primarily on weaker-than-expected margins. 3Q26 GPM came in at 25.6% (-2.8ppts QoQ/-4.1ppts YoY), below Citi/cons forecasts of 28.2%/29.7%. Lower scale of consumer and air cooling business led to unfavorable leverage, while trial production of new liquid cooling products added further cost pressure. Mgmt. has initiated plans to convert part of the idle capacity to liquid cooling. We maintain our view of +20% QoQ revenue growth in 4Q26E, driven by revenue deferred from 3Q26 and mass production of the ASIC projects liquid cooling version, with GPM recovering on a better product mix. At its annual investor conference on Nov 18, we will focus on the ASIC ramp, Vera Rubin and next generation development progress, 2027 growth and margin outlook, and CDU/DIMM cold plate traction. Reiterate Buy.

Buy	
Price (11 Nov 26 15:00)	NT$1,300.00
Target price	NT$2,000.00
Expected share price return	53.8%
Expected dividend yield	1.9%
Expected total return	55.7%
Market Cap	NT$121,000M
	US$3,672M

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Figure 1. Auras - 3Q26 earnings review

(NT$mn)	3Q26 Citi	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	9,787	8,700	12%	5,958	64%	9,791	0%	10,006	-2%
Gross profit	2,510	2,472	2%	1,773	42%	2,761	-9%	2,967	-15%
Gross margin	*25.6%*	*28.4%*	*-2.8 ppt*	*29.8%*	*-4.1 ppt*	*28.2%*	*-2.5 ppt*	*29.7%*	*-4.0 ppt*
Op. profit	1,362	1,390	-2%	992	37%	1,610	-15%	1,805	-25%
OP margin	*13.9%*	*16.0%*	*-2.1 ppt*	*16.7%*	*-2.7 ppt*	*16.4%*	*-2.5 ppt*	*18.0%*	*-4.1 ppt*
Net income	1,080	969	11%	974	11%	1,240	-13%	1,388	-22%
EPS (NT$)	11.61	10.41	11%	10.66	9%	13.32	-13%	14.86	-22%

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Source: Company Reports, Citi Research Estimates, Bloomberg

Auras Technology

Valuation

We value Auras using a PE-based approach, reflecting its accelerating earnings trajectory and rising share in liquid cooling market of AI servers. Our TP of NT$2,000 is based on 20x 2027E EPS, which we believe is justified given the company's expanding server revenue base, deeper engagement with CSP customers, and broader product portfolio across cold plates, CDMs, and CDUs.

Risks

This stock is High Risk based upon our quantitative model, but assigning a High Risk rating is not supported in our view by other qualitative factors such as rapid RVL progress and Thailand expansion, and so a High Risk rating has not been applied. Key downside risks to our investment thesis and target price include: 1) slower adoption of liquid cooling; 2) heightened price competition; 3) lower-than-expected share in liquid cooling components; and 4) emerging alternative cooling technologies.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

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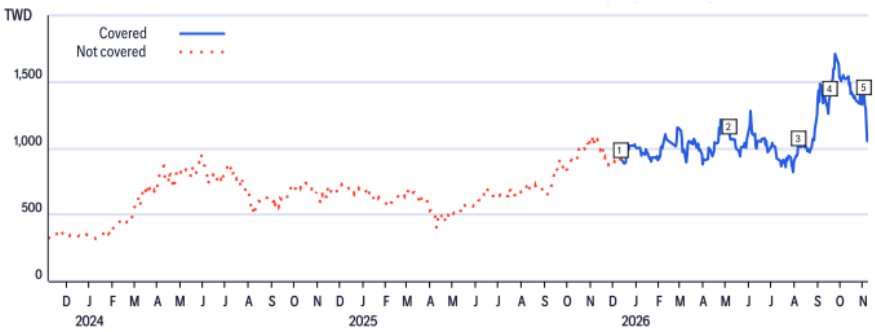
IMPORTANT DISCLOSURES

Auras Technology (3324.TWO)

Ratings and Target Price History
Fundamental Research

Analyst: Michael Hung



	Date	Rating	Target Price	Closing Price
1	11-Dec-25 07:34:19	*1	*1,525.00	925.00
2	06-May-26 11:45:54	1	*1,480.00	1,105.00
3	07-Aug-26 12:26:55	1	*1,550.00	1,015.00
4	17-Sep-26 11:26:13	1	*1,800.00	1,385.00
5	02-Nov-26 10:54:25	1	*2,000.00	1,395.00

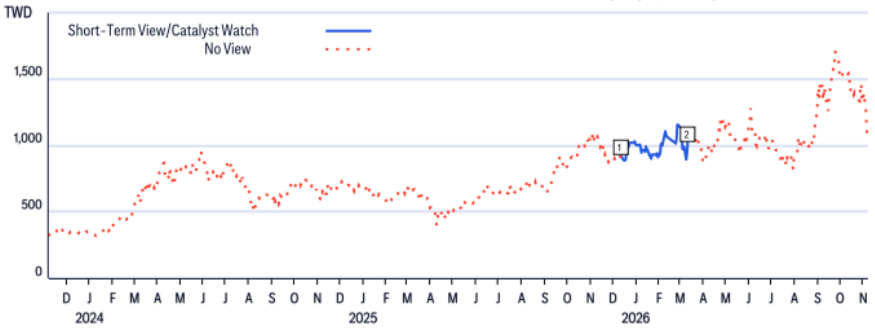
*Indicates Change

Rating/target price changes above reflect Eastern Time

Auras Technology (3324.TWO)

Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Dec-25 02:34:19	Add STV	Upside	90 Days	925.00
2	11-Mar-26 22:16:27	Remove STV	Upside	90 Days	1,030.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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11 Nov 2026 05:54:21 ET | 11 pages

Merida (9914.TW)

3Q26 Miss on Weaker Core and Larger SBC Loss

CITI'S TAKE

Merida's 3Q26 EPS of NT$0.59 fell 72% y/y, missing our/BBG estimates by 71%/64% each, reflecting weaker core operations and a larger loss from SBC. 3Q sales fell 16% y/y; 11% below our/BBG expectations, while weaker margins at its own-brand subsidiaries drove a 4.6ppt q/q drop in GPM to 15.2%. That, along with a larger than expected deleverage, resulted in op profits dipping 10% y/y to NT$384mn, missing both our/BBG estimates by 41%/37% respectively. Merida recorded a NT$150mn non-op loss, driven mostly by the investment loss from SBC (NT$136mn). We expect a negative share price reaction given the operating miss and weaker SBC contribution. We await more detail on the recovery outlook at the company's Nov 17th results briefing.

More details on SBC — SBC's 9M26 sales declined by a single digit y/y with stable GPM and improving opex. Pre-tax profits rose 40% y/y in 9M26. Yet the higher effective tax rate dragged profitability, leading to a net loss of US$25mn in 9M26. Mgmt expects SBC to launch more new products in 2027E which should further drive the top-line and earnings recovery.

Implications — We expect a negative share price reaction to the results print given the weaker-than-expected core biz and the SBC loss. Mgmt expects FY26 sales to fall 14-15% y/y with 4Q OEM sales seasonally softer than 3Q. New models are due from Jan-27 and mgmt expects low-teens growth y/y for FY27E. We will look for more detail on the drivers of the expected sales recovery at its 3Q26 results briefing next Tuesday, Nov 17.

Neutral

Price (11 Nov 26 13:30)	NT$61.00
Target price	NT$93.00
Expected share price return	52.5%
Expected dividend yield	3.6%
Expected total return	56.1%
Market Cap	NT$18,238M US$554M

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Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	-699	-2.34	-141.3	na	0.9	-3.5	6.6
2025A	1,200	4.01	271.7	15.2	0.9	6.2	4.1
2026E	1,590	5.32	32.4	11.5	0.9	8.0	5.4
2027E	2,024	6.77	27.3	9.0	0.9	9.8	6.9
2028E	2,325	7.78	14.9	7.8	0.8	10.8	7.9

Source: Powered by dataCentral

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Figure 1. Merida: 3Q26 Results Comp

Merida (9914.TW): Result Comparison

NT$ mn	3Q26A	2Q26	Q/Q	3Q25	Y/Y	3Q26 Citi	Diff	3Q26 BBG	Diff
Revenue	6,098	6,939	-12%	7,223	-16%	6,860	-11%	6,859	-11%
Gross profit	930	1,374	-32%	990	-6%	1,235	-25%	1,186	-22%
Operating profit	384	765	-50%	425	-10%	651	-41%	613	-37%
Non op profit	-150	-303	nm	345	nm	143	nm	124	nm
Pre-tax profit	234	462	-49%	771	-70%	794	-70%	737	-68%
Net profit	176	318	-45%	625	-72%	597	-71%	510	-66%
Basic EPS (NT$)	0.59	1.06	-45%	2.09	-72%	2.00	-71%	1.65	-64%
Ratio									
Gross margin (%)	15.2	19.8	-4.6	13.7	1.5	18.0	-2.8	17.3	-2.0
Operating margin (%)	6.3	11.0	nm	5.9	0.4	9.5	-3.2	8.9	-2.6
Net margin (%)	2.9	4.6	nm	8.7	-5.8	8.7	-5.8	7.4	-4.6

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Source: Company Reports, Bloomberg, Citi Research, Citi Research Estimates

Merida

Valuation

Our target price for Merida shares of NT$93 is based on a 2H26-1H27E P/E of 15.5x, a 30% discount to its historical average of 22x during pre-Covid years (2014-2019), in view of soft order momentum as a result of slow recovery in bike demand, a volatile margin trend, and low visibility of SBC.

Risks

Downside risks that could mean the Merida shares trade below our target price include: 1) e-bike adoption slower than expected; 2) weaker restocking demand; 3) lukewarm sell-through at SBC; and 4) a weaker macro.

Upside risks that could mean the Merida shares trade above our target price include: 1) e-bike adoption faster than expected; 2) stronger restocking demand; 3) stronger sell-through at SBC; and 4) a strong macro.

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Appendix A-1

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Merida (9914.TW)

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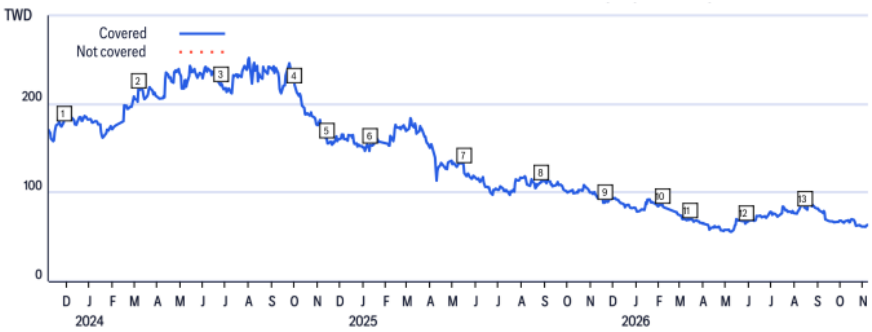
Fundamental Research

Analyst: Angela Hsu



	Date	Rating	Target Price	Closing Price
1	27-Nov-23 01:53:53	1	*215.00	179.00
2	06-Mar-24 15:52:43	1	*245.00	216.50
3	25-Jun-24 06:39:13	1	*250.00	223.00
4	03-Oct-24 05:20:14	*2	*215.00	221.50
5	13-Nov-24 09:12:29	2	*170.00	160.50
6	12-Jan-25 09:57:05	2	*160.00	153.50
7	15-May-25 06:13:15	2	*145.00	131.50
8	27-Aug-25 01:39:34	2	*123.00	112.50
9	21-Nov-25 06:01:50	2	*100.00	90.40
10	05-Feb-26 05:00:54	2	*96.00	86.40
11	13-Mar-26 10:50:40	2	*77.00	69.20
12	28-May-26 02:45:44	2	*72.00	66.00
13	14-Aug-26 11:29:00	2	*93.00	83.30

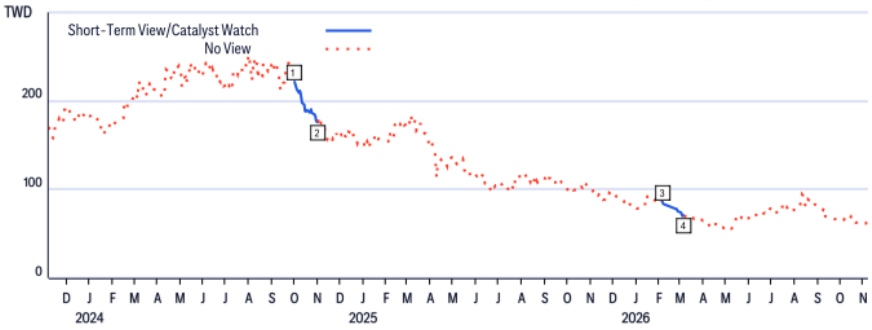
*Indicates Change

Rating/target price changes above reflect Eastern Time

Merida (9914.TW)

Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	03-Oct-24 01:20:14	Add CW	Downside	30 Days	221.50
2	01-Nov-24 14:30:02	Remove CW	Downside	30 Days	176.00
3	05-Feb-26 00:00:54	Add STV	Downside	30 Days	86.40
4	06-Mar-26 12:23:03	Remove STV	Downside	30 Days	70.30

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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11 Nov 2026 07:25:36 ET | 10 pages

MPI (6223.TWO)

3Q26 result beat; robust visibility into next year

CITI'S TAKE

MPI reported a solid 3Q26 net profit of NT$1.88bn (up 114% YoY and 23% QoQ) beating ours and Street's estimate by 19%/9%. GM/OPM 61.7%/38.6% was better than expected thanks to better product mix. The company will host analyst meeting on Nov 16; we expect 4Q revenue to see sequentially growth of about 5-10% QoQ with resilient GM. Thanks to its solid order flow from AI chip including GPU, CPU and ASIC, we expect strong YoY growth trend to persist into next year. CPO and equipment should provide more upside into 2028. We maintain our Buy rating

Buy / High Risk

Price (11 Nov 26 15:00)	NT$4,480.00
Target price	NT$7,200.00
Expected share price return	60.7%
Expected dividend yield	0.5%
Expected total return	61.2%
Market Cap	NT$438,956M US$13,322M

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- **Anticipating another strong year into 2027** — MPI has maintained its current guidance for capacity plan into next year: year end-2026 capacity targets of VPC 2m and MEMS 3.5m, and 2027 MEMS expansion is expected to be at least another 2.5m. However, we see potential upside thanks to robust customer demand and market share gain. CPO insertion 2 is under final evaluation and insertion 3 already starts engineering shipments to more than 5 international customers across foundry, OSAT and fabless segments. The company sees strong growth momentum of probe card into next year and CPO equipment contribution at single digit in 2027 with more upside into 2028.
- We stay constructive on MPI despite recent market concerns regarding AI demand slowing down. The key drivers are continuing to ramp-up at existing AI ASIC customers, incremental contributions from new AI/non-AI ASIC and CPU customers, further MEMS capacity expansion, and potential upside from CPO and microbump probe-card technology.

Figure 1. MPI - 3Q26 results overview

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	5,904	5,233	13%	3,414	73%	5,543	7%	5,780	2%
Gross profit	3,641	3,055	19%	1,822	100%	3,272	11%	3,436	6%
Gross margin	61.7%	58.4%	+3.3 ppt	53.4%	+8.3 ppt	59.0%	+2.6 ppt	59.5%	+2.2 ppt
Op. profit	2,276	1,802	26%	896	154%	1,863	22%	2,041	11%
OP margin	38.6%	34.4%	+4.1 ppt	26.2%	+12.3 ppt	33.6%	+4.9 ppt	35.3%	+3.2 ppt
Net income	1,880	1,530	23%	877	114%	1,584	19%	1,722	9%
EPS (NT$)	19.19	15.61	23%	9.30	106%	16.80	14%	17.29	11%

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Source: Citi Research, Bloomberg

MPI

Valuation

Our target price for MPI is set at NT$7,200, based on a target PE multiple of 52x applied to our 2027-28E EPS average. We believe our PE target, at the high end of MPI's 3-year forward PE range, is justified given MPI's earnings power remains structurally higher than that in the previous cycles, broadening demand across AI ASIC, additional CPU opportunities and non-AI ASIC wins. We expect MPI to see accelerating earnings growth ahead supported by sustainable sales growth and an improving mix. At our target price, the shares would trade at 2027E/28E P/B of 23x/15x.

Risks

Our quant risk rating system rates the MPI stock as High Risk for its share-price volatility. Key downside risks that could prevent MPI shares from reaching our target price include 1) slowdown in AI ASIC demand; 2) slower-than-expected adoption of MEMS probe cards; 3) intensifying competition from global and regional peers; 4) slow development of the CPO equipment business.

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Appendix A-1

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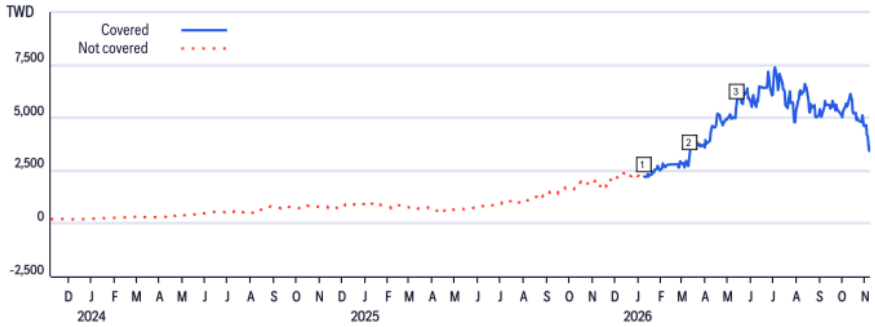
MPI (6223.TWO)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	09-Jan-26 08:02:58	*1H	*2,800.00	2,230.00
2	11-Mar-26 11:40:46	1H	*4,100.00	3,285.00
3	13-May-26 14:26:12	1H	*7,200.00	5,720.00

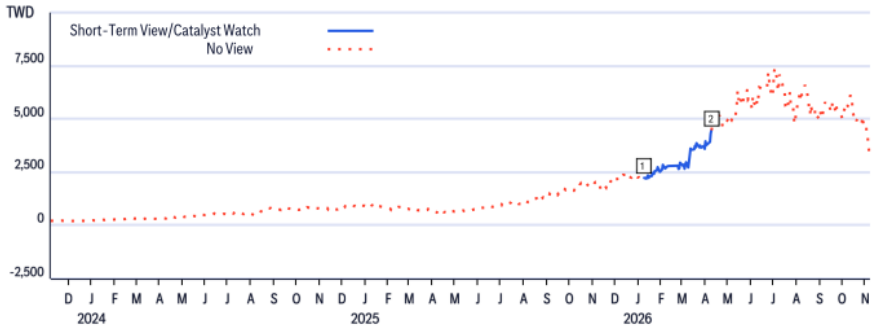
*Indicates Change

Rating/target price changes above reflect Eastern Time

MPI (6223.TWO)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	09-Jan-26 03:02:58	Add STV	Upside	90 Days	2,230.00
2	09-Apr-26 22:19:04	Remove STV	Upside	90 Days	4,470.00

CW - Catalyst Watch , STV - Short-Term View

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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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Citigroup Global Markets Taiwan Securities Company Limited	Laura (Chia Yi) Chen

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11 Nov 2026 11:20:42 ET | 14 pages

Quanta Computer (2382.TW)

3Q26 OPM miss on rising costs and margin dilution from AI server

CITI'S TAKE

3Q26 GM came in lower than the market's expectation. While 3Q GM dilution impact from AI server is well-expected by the market, OPM currently seems not be as resilient as expected. In the coming quarters, AI/regular server momentum remains robust vs collapsing NB shipments. Though the next-gen AI server is set to ramp and drive its earnings growth, we think the market would at least focus on its OPM profile, which currently seemingly sees lack of support. We remain positive on its 2027 earnings but also share concerns over AI sustainability after the US midterm elections. We lower PE and cut TP to NT$450 (14x 2027E EPS) vs. NT$500 (15x 2027E EPS).

3Q26 margin miss — 3Q26 sales grew 8% with AI and regular servers taking the lead vs declining NB demand. Mgmt. cited declining unit shipments in AI server due to the start of the GPU product transition period. 3Q26 declined 0.3ppt QoQ to 4.8%, in line with Citi forecast but slightly missing consensus (BBG) by 0.2ppt, which mgmt. attributed to rising raw material costs and dilution impact from AI server. Overall, OP didn't see leverage benefit with OPEX ratio rising by 0.1ppt QoQ, likely due to increasing R&D expenses for the upcoming AI projects. Thus, 3Q OPM came 0.2ppt/0.4ppt lower than Citi/consensus forecasts.

4Q26: AI/regular server still the driver — Mgmt. expects AI/regular server sales to grow continuously in 4Q26 with declining unit shipments of AI server. NB shipments is guided to go down double-digit % QoQ. Considering next-gen AI server ramp with lower GM and less scale of NB, the mgmt. expects 4Q26 GM to decline QoQ and target to maintain OPM at similar levels vs 3Q26. Currently, we forecast 4Q26E sales to grow 2% QoQ with GM down 0.3ppt QoQ, considering dilution impact of next-gen AI server and rising raw material cost.

No change in demand after the midterm election — The company sees no change in its order forecasts and remains positive on the long-term AI demand. The company still expects double-digit % YoY growth in AI/regular server sales in 2027 with server sales mix reaching 85-90%. NB shipments is guided to be down HSD% YoY in 2027. 2027 capex is guided at range of NT$40-45bn in 2027.

Earnings/TP cut to factor in GM dilution and AI demand concerns — We adjust our 2026/27/28E earnings forecasts by 0%/-6%/-5% to factor in weak GM profile. We lower PE and cut its TP to NT$450 (14x 2027E EPS) from NT$500 (15x 2027E EPS) to factor in rising concerns over AI sustainability after the US midterm elections.

Earnings Summary

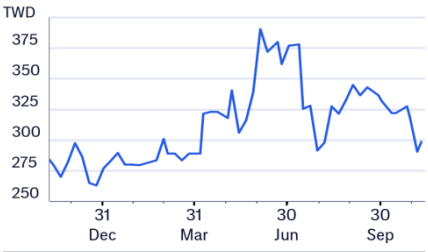
Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	59,702	15.46	50.5	19.3	5.2	29.2	4.4
2025A	74,988	19.41	25.6	15.4	4.7	32.2	5.2
2026E	102,712	26.59	37.0	11.2	3.9	38.0	7.1
2027E	122,133	31.62	18.9	9.4	3.4	38.5	8.5
2028E	160,568	41.57	31.5	7.2	2.9	43.5	11.2

Source: Powered by dataCentral

Buy

Price (11 Nov 26 13:30)	NT$298.00
Target price	NT$450.00↓
from NT$500.00	
Expected share price return	51.0%
Expected dividend yield	7.1%
Expected total return	58.2%
Market Cap	NT$1,224,073M
	US$37,151M

Price Performance
(RIC: 2382.TW, BB: 2382 TT)



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2382.TW: Fiscal year end 31-Dec — Price: NT$298.00; TP: NT$450.00; Market Cap: NT$1,224,073m; Recomm: Buy

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	1,410,756	2,123,689	4,095,166	5,468,287	6,737,421
Cost of sales	-1,299,996	-1,975,357	-3,900,932	-5,223,527	-6,444,639
Gross profit	110,760	148,332	194,234	244,760	292,782
Gross Margin (%)	7.9	7.0	4.7	4.5	4.3
EBITDA (Adj)	**70,206**	**96,661**	**134,688**	**178,982**	**231,196**
EBITDA Margin (Adj) (%)	5.0	4.6	3.3	3.3	3.4
Depreciation	-8,584	-9,265	-12,924	-17,702	-20,991
Amortisation	0	0	0	0	0
EBIT (Adj)	**61,622**	**87,396**	**121,765**	**161,280**	**210,206**
EBIT Margin (Adj) (%)	4.4	4.1	3.0	2.9	3.1
Net interest	2,454	-1,920	-7,153	-6,771	-6,771
Associates	-123	220	873	0	0
Non-Op/Except/Other Adj	9,214	9,576	11,099	0	0
Pre-tax profit	**73,167**	**95,273**	**126,583**	**154,509**	**203,435**
Tax	-12,884	-19,487	-23,222	-31,727	-42,218
Extraord./Min.Int./Pref.div.	-581	-799	-649	-649	-649
Reported net profit	**59,702**	**74,988**	**102,712**	**122,133**	**160,568**
Net Margin (%)	4.2	3.5	2.5	2.2	2.4
Core NPAT	59,702	74,988	102,712	122,133	160,568

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	15.46	19.41	26.59	31.62	41.57
Core EPS ($)	15.46	19.41	26.59	31.62	41.57
DPS ($)	13.00	15.48	21.20	25.21	33.26
CFPS ($)	-9.95	-8.40	-11.51	9.18	68.88
FCFPS ($)	-13.35	-12.33	-22.79	-1.18	62.67
BVPS ($)	57.55	63.06	76.89	87.31	103.68
Wtd avg ord shares (m)	3,863	3,863	3,863	3,863	3,863
Wtd avg diluted shares (m)	3,863	3,863	3,863	3,863	3,863

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	30.0	50.5	92.8	33.5	23.2
EBIT (Adj) (%)	41.5	41.8	39.3	32.5	30.3
Core NPAT (%)	50.5	25.6	37.0	18.9	31.5
Core EPS (%)	50.5	25.6	37.0	18.9	31.5

Balance Sheet (NT$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	201,099	178,310	156,482	59,349	190,134
Accounts receivables	371,246	494,969	800,296	1,033,593	972,520
Inventory	261,886	512,946	745,354	979,211	1,026,149
Net fixed & other tangibles	67,061	72,970	103,603	125,901	128,910
Goodwill & intangibles	0	0	0	0	0
Financial & other assets	31,155	83,918	153,158	208,612	229,285
Total assets	**932,446**	**1,343,112**	**1,958,893**	**2,406,665**	**2,546,998**
Accounts payable	282,782	535,232	828,171	1,080,508	1,132,302
Short-term debt	179,540	258,327	339,960	339,960	339,960
Long-term debt	50,983	56,579	114,498	114,498	114,498
Provisions & other liab	188,836	237,229	367,058	522,245	547,584
Total liabilities	**702,141**	**1,087,367**	**1,649,688**	**2,057,211**	**2,134,344**
Shareholders' equity	222,286	243,577	297,014	337,262	400,463
Minority interests	8,020	12,167	12,192	12,192	12,192
Total equity	**230,306**	**255,745**	**309,205**	**349,454**	**412,654**
Net debt (Adj)	**29,424**	**136,596**	**297,976**	**395,109**	**264,324**
Net debt to equity (Adj) (%)	12.8	53.4	96.4	113.1	64.1

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	19.3	15.4	11.2	9.4	7.2
PB (x)	5.2	4.7	3.9	3.4	2.9
EV/EBITDA (x)	17.1	13.3	10.5	8.6	6.5
FCF yield (%)	-4.5	-4.1	-7.6	-0.4	21.0
Dividend yield (%)	4.4	5.2	7.1	8.5	11.2
Payout ratio (%)	84	80	80	80	80
ROE (%)	29.2	32.2	38.0	38.5	43.5

Cashflow (NT$m)	2024	2025	2026E	2027E	2028E
EBITDA	70,206	96,661	134,688	178,982	231,196
Working capital	-108,509	-117,491	-160,755	-105,039	83,853
Other	-121	-11,610	-18,404	-38,498	-48,989
Operating cashflow	**-38,424**	**-32,439**	**-44,470**	**35,445**	**266,061**
Capex	-13,132	-15,174	-43,557	-40,000	-24,000
Net acq/disposals	842	-5,131	-16,285	-10,045	-13,259
Other	0	0	0	0	0
Investing cashflow	**-12,290**	**-20,305**	**-59,842**	**-50,045**	**-37,259**
Dividends paid	-34,691	-50,204	-59,782	-81,885	-97,368
Financing cashflow	**28,917**	**38,210**	**74,229**	**-82,533**	**-98,017**
Net change in cash	**-16,396**	**-14,534**	**-30,083**	**-97,133**	**130,786**
Free cashflow to s/holders	**-51,557**	**-47,613**	**-88,027**	**-4,555**	**242,061**

For definitions of the items in this table, please click here.

Figure 1. Quanta – 3Q26 Results

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	1,115,545	1,036,593	8%	495,258	125%	1,105,385	1%	1,110,407	0%
Gross profit	53,024	52,079	2%	33,918	56%	53,322	-1%	55,230	-4%
Gross margin	4.8%	5.0%	-0.3 ppt	6.8%	-2.1 ppt	4.8%	-0.1 ppt	5.0%	-0.2 ppt
Op. profit	32,204	34,244	-6%	18,374	75%	34,530	-7%	36,057	-11%
OP margin	2.9%	3.3%	-0.4 ppt	3.7%	-0.8 ppt	3.1%	-0.2 ppt	3.2%	-0.4 ppt
Net income	28,634	28,787	-1%	16,630	72%	25,387	13%	28,225	1%
EPS (NT$)	7.36	7.42	-1%	4.25	73%	6.57	12%	7.21	2%

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Source: Citi Research Estimates, Company Reports, Bloomberg

Figure 2. Quanta – Earnings Revisions

	4Q26E			1Q27E			2026E			2027E			2028E		
(NT$mn)	New	Old	diff	New	Old	diff	New	Old	diff	New	Old	diff	New	Old	diff
Sales	1,133,808	1,145,629	-1%	1,152,113	1,147,872	0%	4,095,166	4,096,828	0%	5,468,287	5,373,345	2%	6,737,421	6,619,848	2%
Sequential growth (%)	2%	4%		2%	0%		93%	93%		34%	31%		23%	23%	
Gross profit	50,434	52,488	-4%	52,306	53,248	-2%	194,234	196,586	-1%	244,760	246,808	-1%	292,782	294,270	-1%
Opex	18,141	16,039	13%	19,586	16,070	22%	72,469	68,338	6%	83,480	73,652	13%	82,576	72,818	13%
Operating profit	32,293	36,449	-11%	32,721	37,178	-12%	121,765	128,248	-5%	161,280	173,155	-7%	210,206	221,452	-5%
Pre-tax profit	30,600	34,375	-11%	31,028	35,103	-12%	126,583	127,928	-1%	154,509	164,857	-6%	203,435	213,153	-5%
Net income	24,633	27,485	-10%	24,146	27,204	-11%	102,712	102,716	0%	122,133	130,257	-6%	160,568	168,308	-5%
EPS (NT$)	6.33	7.12	-11%	6.22	7.04	-12%	26.59	26.59	0%	31.62	33.72	-6%	41.57	43.57	-5%
Gross margin (%)	4.4%	4.6%	-0.1 ppt	4.5%	4.6%	-0.1 ppt	4.7%	4.8%	-0.1 ppt	4.5%	4.6%	-0.1 ppt	4.3%	4.4%	-0.1 ppt
Opex ratio (%)	1.6%	1.4%	+0.2 ppt	1.7%	1.4%	+0.3 ppt	1.8%	1.7%	+0.1 ppt	1.5%	1.4%	+0.2 ppt	1.2%	1.1%	+0.1 ppt
Operating margin (%)	2.8%	3.2%	-0.3 ppt	2.8%	3.2%	-0.4 ppt	3.0%	3.1%	-0.2 ppt	2.9%	3.2%	-0.3 ppt	3.1%	3.3%	-0.2 ppt
Net margin (%)	2.2%	2.4%	-0.2 ppt	2.1%	2.4%	-0.3 ppt	2.5%	2.5%	+0.0 ppt	2.2%	2.4%	-0.2 ppt	2.4%	2.5%	-0.2 ppt

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Source: Citi Research Estimates

Figure 3. Quanta – Forecast summary

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Sales	809,221	1,036,593	1,115,545	1,133,808	1,152,113	1,190,286	1,511,137	1,614,751	1,090,859	1,129,453	1,280,429	1,085,611	1,410,756	2,123,689	4,095,166	5,468,287	6,737,421
Gross profit	**38,697**	**52,079**	**53,024**	**50,434**	**52,306**	**55,268**	**67,817**	**69,369**	**63,971**	**72,111**	**70,915**	**84,883**	**110,760**	**148,332**	**194,234**	**244,760**	**292,782**
OPEX	15,673	17,835	20,820	18,141	19,586	20,235	22,667	20,992	31,519	34,833	39,725	41,339	49,138	60,936	72,469	83,480	82,576
Operating profit	**23,024**	**34,244**	**32,204**	**32,293**	**32,721**	**35,033**	**45,150**	**48,377**	**32,452**	**37,278**	**31,190**	**43,544**	**61,622**	**87,396**	**121,765**	**161,280**	**210,206**
Total Non-OP	1,513	2,317	2,681	(1,693)	(1,693)	(1,693)	(1,693)	(1,693)	1,980	6,158	9,591	8,187	11,545	7,877	4,818	(6,771)	(6,771)
Pre-tax profit	**24,537**	**36,561**	**34,885**	**30,600**	**31,028**	**33,340**	**43,457**	**46,684**	**34,432**	**43,436**	**40,781**	**51,731**	**73,167**	**95,273**	**126,583**	**154,509**	**203,435**
Income tax	3,231	7,774	6,251	5,967	6,882	7,209	9,199	8,438	9,042	9,077	11,058	11,243	12,884	19,487	23,222	31,727	42,218
Net profit	**21,192**	**28,651**	**28,422**	**24,446**	**24,033**	**25,996**	**34,046**	**38,059**	**25,328**	**33,653**	**28,957**	**39,676**	**59,702**	**74,988**	**102,712**	**122,133**	**160,568**
EPS (NT$)	**5.49**	**7.42**	**7.36**	**6.33**	**6.22**	**6.73**	**8.81**	**9.85**	**6.56**	**8.71**	**7.50**	**10.27**	**15.46**	**19.41**	**26.59**	**31.62**	**41.57**
Margins (%)																	
Gross profit	**4.8**	**5.0**	**4.8**	**4.4**	**4.5**	**4.6**	**4.5**	**4.3**	**5.9**	**6.4**	**5.5**	**7.8**	**7.9**	**7.0**	**4.7**	**4.5**	**4.3**
OPEX	1.9	1.7	1.9	1.6	1.7	1.7	1.5	1.3	2.9	3.1	3.1	3.8	3.5	2.9	1.8	1.5	1.2
Operating profit	**2.8**	**3.3**	**2.9**	**2.8**	**2.8**	**2.9**	**3.0**	**3.0**	**3.0**	**3.3**	**2.4**	**4.0**	**4.4**	**4.1**	**3.0**	**2.9**	**3.1**
Pre-tax profit	**3.0**	**3.5**	**3.1**	**2.7**	**2.7**	**2.8**	**2.9**	**2.9**	**3.2**	**3.8**	**3.2**	**4.8**	**5.2**	**4.5**	**3.1**	**2.8**	**3.0**
Net profit	2.6	2.8	2.5	2.2	2.1	2.2	2.3	2.4	2.3	3.0	2.3	3.7	4.2	3.5	2.5	2.2	2.4
Y/Y(%)																	
Net sales	66.6	105.6	125.2	77.5	42.4	14.8	35.5	42.4	5.9	3.5	13.4	(15.2)	30.0	50.5	92.8	33.5	23.2
Gross profit	0.6	46.6	56.3	24.8	35.2	6.1	27.9	37.5	30.1	12.7	(1.7)	19.7	30.5	33.9	30.9	26.0	19.6
Opex	12.9	17.9	33.9	10.8	25.0	13.5	8.9	15.7					18.9	24.0	18.9	15.2	(1.1)
Operating profit	(6.4)	67.8	75.3	34.4	42.1	2.3	40.2	49.8	70.9	14.9	(16.3)	39.6	41.5	41.8	39.3	32.5	30.3
Pre-tax profit	(2.9)	69.1	66.8	11.4	26.5	(8.8)	24.6	52.6	67.5	26.2	(6.1)	26.9	41.4	30.2	32.9	22.1	31.7
Net profit	8.7	69.9	73.0	10.1	13.4	(9.3)	19.8	55.7	58.9	32.9	(14.0)	37.0	50.5	25.6	37.0	18.9	31.5
Q/Q(%)																	
Net sales	26.7	28.1	7.6	1.6	1.6	3.3	27.0	6.9									
Gross profit	(4.2)	34.6	1.8	(4.9)	3.7	5.7	22.7	2.3									
Opex	(4.3)	13.8	16.7	(12.9)	8.0	3.3	12.0	(7.4)									
Operating profit	(4.1)	48.7	(6.0)	0.3	1.3	7.1	28.9	7.1									
Pre-tax profit	(10.7)	49.0	(4.6)	(12.3)	1.4	7.5	30.3	7.4									
Net profit	(4.5)	35.2	(0.8)	(14.0)	(1.7)	8.2	31.0	11.8									

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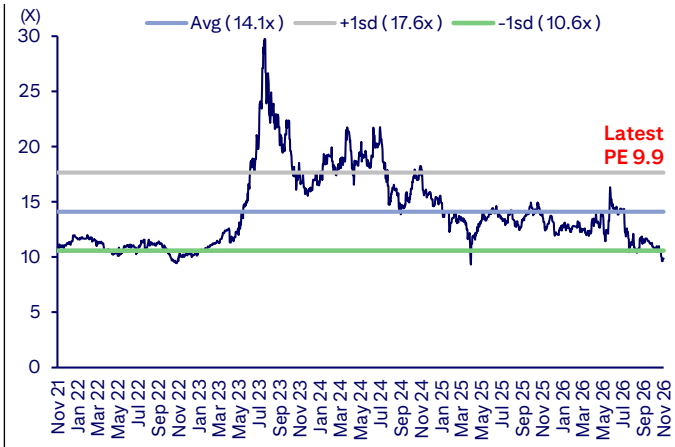
Source: Company Reports, Citi Research

Figure 4. Quanta – 12M Forward P/E Band on Bloomberg consensus



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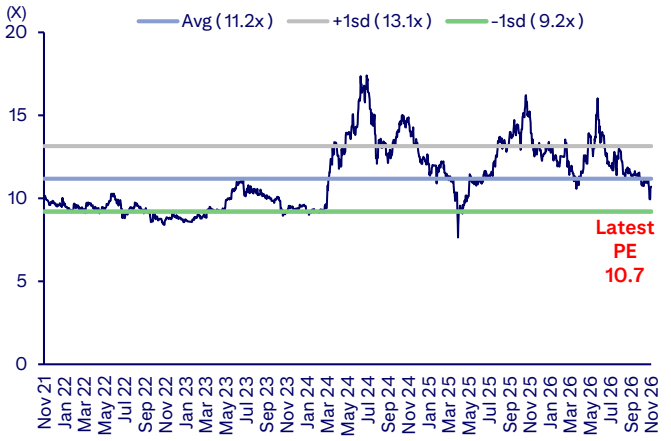
Source: Citi Research, Bloomberg

Figure 5. Hon Hai – 12M Forward P/B Band on Bloomberg consensus



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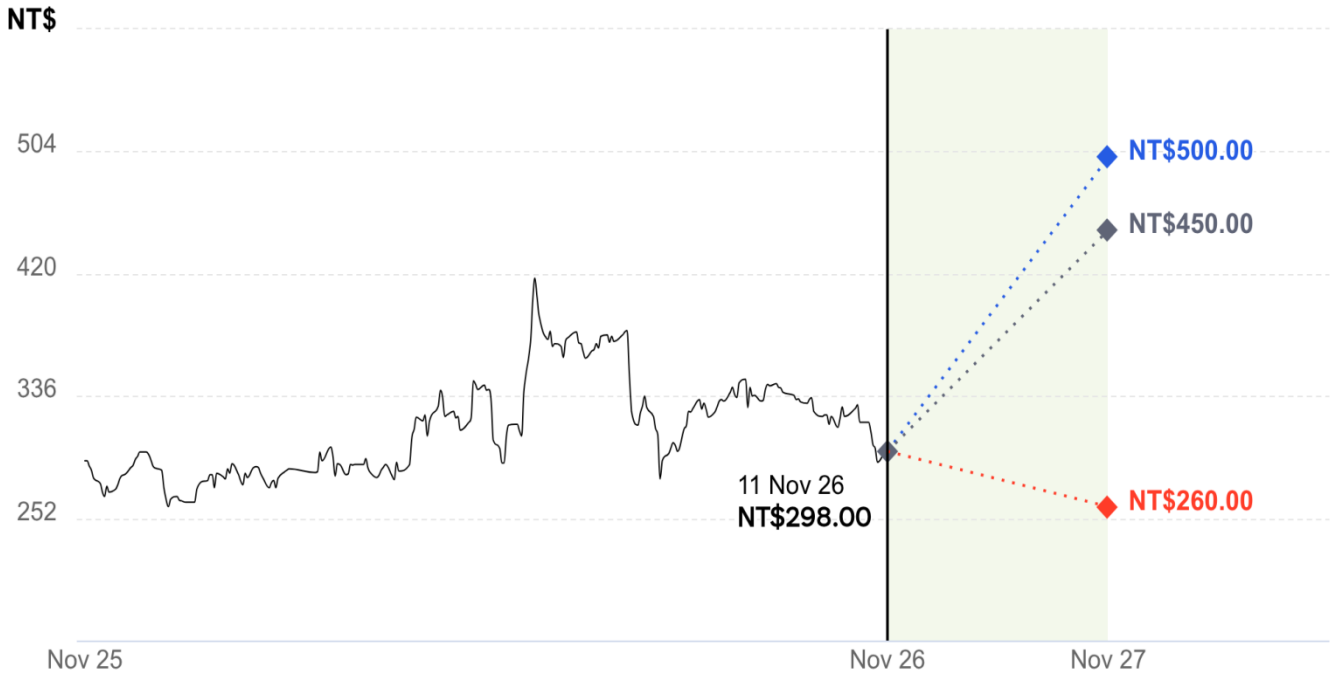
Source: Citi Research, Bloomberg

Bull/Bear: Quanta Computer (2382.TW)

NT$ 500.00 ▲68% Upside | NT$ 450.00 ▲51% Upside | NT$ 260.00 ▼13% Downside



Spread 81pp
Current Price and expected returns (upside/downside) as of 11 Nov 2026

BULL Assumptions

- PE multiple at 16x 2027E EPS

BASE Assumptions

- OPM to be at 2.9% in 2027E
- PE multiple at 14x 2027E EPS

BEAR Assumptions

- OPM to be at 2.0% in 2027E
- PE multiple at 12x 2027E EPS

Quanta Computer

Company description

Founded in 1988, Quanta Computer is a Taiwan-based original design manufacturer (ODM) of notebook (NB) PCs and other electronic hardware. It is the world's largest NB ODM in terms of shipments, with major customers including the leading Taiwan, US, and Japanese electronics brands. In addition to notebooks, Quanta is expanding into cloud-related product development, which accounted for 30-35% of total revenues in 2022.

Investment strategy

We rate Quanta at Buy. We expect stabilizing NB shipment, solid server sales growth amid increasing AI-related applications, as well as rising EV component exposure to drive better margins and stronger earnings growth. The company's attractive cash yield should also help support the shares on the downside in case of market volatility.

Valuation

Our target price of NT$450 is based on a 14x PE multiple on 2027E earnings. The target multiple is in line with historical trading average since 2021, mainly to reflect strong earnings growth trajectory brought about by servers/AI servers and EV components. We use a P/E-based methodology as we believe the market will be primarily focused on Quanta's earnings performance given the dynamics of the NB/server industry.

Risks

Downside risks that could prevent the stock from reaching our target price include: 1) slower-than-expected server/AI server demand growth; 2) execution risks relating to margin improvement such as production yield rate following capacity relocation or supply-chain management; and 3) market share loss of key customers.

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Appendix A-1

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IMPORTANT DISCLOSURES

Quanta Computer (2382.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Jack Chen

	Date	Rating	Target Price	Closing Price
1	15-Mar-24 11:16:53	1	*330.00	257.50
2	15-May-24 10:25:20	1	*360.00	287.00
3	12-Aug-24 00:05:26	1	*425.00	267.00
4	14-May-25 10:45:57	1	*400.00	276.50
5	12-Aug-25 11:05:06	1	*360.00	283.00
6	12-Nov-25 09:18:15	1	*425.00	288.00
7	14-May-26 11:37:26	1	*390.00	334.50
8	13-Aug-26 10:38:48	1	*500.00	325.00

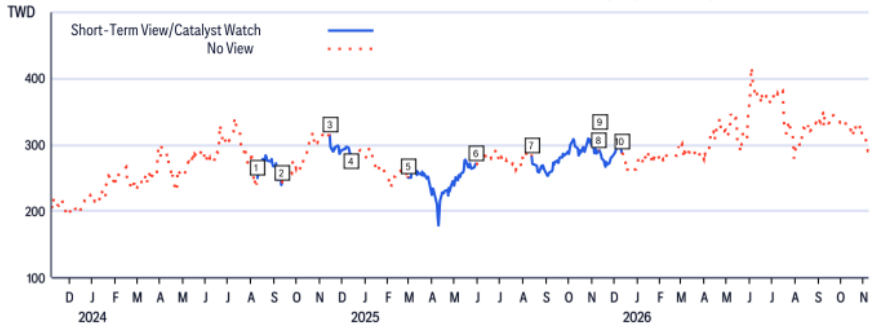
*Indicates Change

Rating/target price changes above reflect Eastern Time

Quanta Computer (2382.TW)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Aug-24 20:05:26	Add STV	Upside	30 Days	250.00
2	11-Sep-24 21:44:35	Remove STV	Upside	30 Days	242.00
3	14-Nov-24 06:22:36	Add STV	Downside	30 Days	314.50
4	13-Dec-24 12:29:46	Remove STV	Downside	30 Days	285.50
5	28-Feb-25 03:39:56	Add STV	Upside	90 Days	250.50
6	29-May-25 21:56:17	Remove STV	Upside	90 Days	271.50
7	12-Aug-25 07:05:06	Add STV	Downside	90 Days	283.00
8	10-Nov-25 19:59:30	Remove STV	Downside	90 Days	291.50
9	11-Nov-25 04:26:38	Add STV	Upside	30 Days	291.50
10	11-Dec-25 19:36:56	Remove STV	Upside	30 Days	288.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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Daiwa Capital Markets Hong Kong Limited

earnings

11 November 2026

MEMO

Merida Industry (9914 TT)

Share price (11 Nov): **TWD61.00** 12-mth rating: **Buy (1)** **Consumer Discretionary: Taiwan**

3Q26 results missed

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Summary: Merida posted its 3Q26 results on 11 November after market hours. Merida's gross margin came in at 15.2% (vs. 19.8% in 2Q26; 13.7% in 3Q25), lower than our estimate (16.2%) and the consensus (17.3%). Its 3Q26 EPS was TWD1.06, lower than our forecast (TWD1.68) and the consensus estimate (TWD1.65). Merida plans to hold an investor call on 17 November and we will provide an update then.

We have a Buy (1) rating with a 12-month TP of TWD96, based on a target PER of 17x applied on our 1-year-forward EPS forecast. For more information on this company, please refer to our latest flash note, *2Q26 review: mainly dragged by Specialized*, on 14 August.

What's the impact

- **3Q26 results missed.** Merida's 3Q26 revenue of TWD6,098m (-12.1% QoQ, -15.6% YoY) missed our and the Bloomberg consensus estimates by 13.6% and 11.1%, respectively, which we attributed to the discount when destocking the older models. Its gross margin came in at 15.2% (vs. 19.8% in 2Q26; 13.7% in 3Q25), lower than our estimate (16.2%) and the consensus (17.3%), due to less OBM sales and the price discounting for further inventory digestion. Its operating profit of TWD384m (-49.8% QoQ, -9.7% YoY) also missed our and the consensus estimates by 35.2% and 37.3%, respectively. Its operating margin came in at 6.3% (vs. 11.0% in 2Q26; 5.9% in 3Q25), missing our estimate of 8.4% and the consensus of 8.9%. Considering the equity investment loss of TWD150m+, its net profit of TWD176m (-44.8% QoQ, -71.9% YoY) missed our and the consensus by 65.0% and 65.6%. Its 3Q26 EPS was TWD1.06, lower than our forecast (TWD1.68) and the consensus estimate (TWD1.65).

Merida: 3Q26 results vs. Daiwa and the Bloomberg estimates

(TWDm)	Merida 3Q26 results	Daiwa forecast	Difference	Bloomberg consensus	Difference
Revenue	6,098	7,057	-13.6%	6,859	-11.1%
Gross profit	930	1,143	-18.7%	1,186	-21.6%
Operating profit	384	593	-35.2%	613	-37.3%
Profit before tax	234	658	-64.4%	737	-68.2%
Net profit	176	502	-65.0%	510	-65.6%
Basic EPS (TWD)	0.59	1.68	-65.0%	1.65	-64.5%
Margin					
Gross margin	15.2%	16.2%	-1pp	17.3%	-2pp
Operating margin	6.3%	8.4%	-2.1pp	8.9%	-2.6pp
Pre-tax margin	3.8%	9.3%	-5.5pp	10.7%	-6.9pp
Net margin	2.9%	7.1%	-4.2pp	7.4%	-4.6pp

Source: Company, Bloomberg, Daiwa forecasts

- **4Q26 outlook.** We forecast its 4Q26 revenue to decline QoQ as the company will continue to manage its existing models and expects new models in 2027 to bring stronger demand.

What we recommend

We have a Buy (1) rating with a 12-month TP of TWD96, based on a target PER of 17x applied on our 1-year-forward EPS forecast. The stock is currently trading at PERs of 13.3x/10.7x, based on our 2026/27E EPS, vs. its past-5-year one-year-forward PER trading range of 7-33x. Key downside risks: slower-than-expected e-bike penetration in the EU and the US, worse-than-expected demand in an inflationary environment and inventory digestion.

In the interests of timeliness, this document has not been edited.

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

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Wiwynn Corp (6669 TT)

Target price: **TWD2,500.00** (from TWD2,715.00)

Share price (11 Nov): **TWD1,680.00** | Up/downside: **+48.8%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 review: fundamentals largely on track

- Regular server strength sustaining into 2H26, thanks to agentic AI
- Increasing AI server projects from 4Q26 to boost revenue momentum
- Reaffirming our Buy (1) rating; trimming 12-month TP to TWD2,500

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What's new: We update our view after 3Q26 results (issued 6 November).

What's the impact: **Fundamentals largely on track.** Rising CPU demand from agentic AI has lifted our 2026 regular server growth target to >50% YoY (vs. 20-30% YoY), making regular servers the key growth driver for Wiwynn and helping it offset the slower-than-expected AMZN ASIC AI server ramp in 3Q26 (ramping from September vs. original July estimate). Looking ahead, we expect the T3 lifecycle to likely peak in 2Q/3Q27, but the rising contribution from both Nvidia and AMD GPU AI servers should offset the slowdown in 2H27. As for the margin trend, we expect regular servers to be at 10% and ASIC AI servers to be at 8%. However, we expect the rising GPU AI server to gradually dilute the blended gross margin as Wiwynn focuses only on L11, while GPU motherboard (L6) and tray level (L10) will be handled by its parent company Wistron (3231 TT, TWD171, Buy [1]). As such, we expect the gross margin for Wiwynn's GPU AI servers to be 2-3%, lower than the 4-5% AI of other ODM peers.

3Q26 results beat expectations. Wiwynn reported 3Q26 net income of TWD23.36bn (EPS: TWD41.46), beating our expectation by 8%. 3Q26 sales (TWD434.62bn; up 56% QoQ and 63% YoY) beat our estimate by 6% and the Bloomberg consensus estimate by 7% on stronger-than-expected regular server shipments. Regular servers accounted for 50-55% of its revenue, down from 60-70% in 2Q26, while AI servers contributed 45-50%. Gross margin declined by 0.4pp QoQ to 8.9%, but still exceeded our 8.2% estimate. Management attributed the sequential margin contraction mainly to lower NRE recognition and rising material costs, as not all memory components used in regular servers are procured under consignment arrangements. However, we believe lower regular server contribution to the product mix was key reason. With better operating leverage, operating margin improved by 0.2pp QoQ to 7.5%. That said, net profit was dragged down by higher interest expense (reaching TWD3bn in 3Q26 vs. TWD2bn in 2Q26) and a higher tax rate of 23.2% (vs. 21.1% in 2Q26).

What we recommend: We lift our 2026-27E EPS by 1-5% to reflect stronger regular server demand but cut 2028E EPS by 3% to reflect higher interest expense assumption. We reaffirm our Buy (1) rating but trim our 12M TP to TWD2,500 (from TWD2,715), based on a target PER of 13x (prior: 18x; within its past-2-year trading range of 9-21x) applied to our 1-year forward diluted EPS, given weaker market sentiment. Key downside risks: weaker-than-expected server demand and CSP capex.

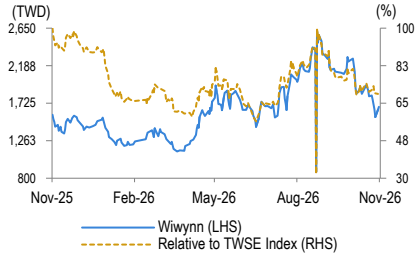
How we differ: Our 2028E EPS is 3% above street estimates due to our higher regular and AI server shipment assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	6.6	2.6	2.2
Net profit change	5.1	1.5	(1.9)
Core EPS (FD) change	4.5	0.9	(2.5)

Source: Daiwa forecasts

Share price performance



12-month range	876.69-2,610.00
Market cap (USDbn)	28.41
3m avg daily turnover (USDm)	242.22
Shares outstanding (m)	557
Major shareholder	Wistron Corp (44.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	1,487,432	2,828,253	4,157,285
Operating profit (m)	104,476	153,723	203,082
Net profit (m)	77,367	112,061	150,089
Core EPS (fully-diluted)	138.811	201.058	269.288
EPS change (%)	51.1	44.8	33.9
Daiwa vs Cons. EPS (%)	1.0	(4.2)	3.4
PER (x)	12.1	8.4	6.2
Dividend yield (%)	3.3	4.2	6.4
DPS	55.0	70.0	108.0
PBR (x)	5.5	3.8	2.8
EV/EBITDA (x)	8.1	6.1	4.7
ROE (%)	52.3	53.9	51.9

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

Wiwynn: Daiwa's revenue and earnings forecasts vs. consensus

	2026E			2027E			2028E		
(TWDm)	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	1,395,778	1,487,432	1,440,756	2,757,727	2,828,253	2,667,265	4,069,572	4,157,285	3,688,810
Diff (%)		**6.6%**	**3.2%**		**2.6%**	**6.0%**		**2.2%**	**12.7%**
Gross Margin (%)	8.2%	8.5%	8.4%	6.4%	6.6%	6.9%	6.0%	5.8%	6.5%
Operating profit	95,341	104,476	98,851	145,200	153,723	149,351	199,846	203,082	188,961
Op Margin (%)	6.8%	7.0%	6.9%	5.3%	5.4%	5.6%	4.9%	4.9%	5.1%
Net profit	73,599	77,367	76,613	110,423	112,061	116,946	153,046	150,089	145,159
EPS (TWD)	132.77	138.81	137.46	199.20	201.06	209.82	276.09	269.29	260.44
Diff (%)		**4.5%**	**1.0%**		**0.9%**	**-4.2%**		**-2.5%**	**3.4%**

Source: Bloomberg, Daiwa forecasts

Wiwynn: quarterly and annual P&L statement

	2026				2027E							
(TWDm)	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Net revenue	**276,508**	**278,153**	**434,618**	**498,154**	**589,375**	**649,316**	**715,430**	**874,132**	**950,663**	**1,487,432**	**2,828,253**	**4,157,285**
COGS	-255,627	-252,390	-396,064	-457,179	-547,296	-606,068	-669,929	-819,473	-872,209	-1,361,260	-2,642,766	-3,914,266
Gross profit	**20,881**	**25,763**	**38,553**	**40,975**	**42,079**	**43,248**	**45,501**	**54,659**	**78,454**	**126,172**	**185,487**	**243,019**
Operating expenses	-3,423	-5,545	-6,103	-6,625	-7,249	-7,467	-7,870	-9,178	-14,537	-21,696	-31,765	-39,937
Operating profit	**17,458**	**20,218**	**32,450**	**34,350**	**34,830**	**35,781**	**37,631**	**45,481**	**63,918**	**104,476**	**153,723**	**203,082**
Non-operating profit	476	-1,244	-2,034	-2,686	-2,667	-2,445	-2,475	-2,468	2,135	-5,488	-10,055	-10,660
Pre-tax profit	**17,934**	**18,974**	**30,417**	**31,664**	**32,163**	**33,336**	**35,156**	**43,013**	**66,052**	**98,988**	**143,668**	**192,422**
Income taxes	-3,820	-4,005	-7,052	-6,744	-7,076	-7,334	-7,734	-9,463	-14,934	-21,621	-31,607	-42,333
Net profit	**14,114**	**14,969**	**23,364**	**24,919**	**25,087**	**26,002**	**27,422**	**33,550**	**51,118**	**77,367**	**112,061**	**150,089**
Net EPS (TWD)	**75.95**	**80.11**	**41.46**	**44.22**	**44.52**	**46.14**	**48.66**	**59.53**	**275.06**	**138.81**	**201.06**	**269.29**
Diluted EPS (TWD)	**73.55**	**77.59**	**40.06**	**41.45**	**41.73**	**43.25**	**45.61**	**55.81**	**266.37**	**130.03**	**188.34**	**252.26**
Operating Ratios												
Gross margin	7.6%	9.3%	8.9%	8.2%	7.1%	6.7%	6.4%	6.3%	8.3%	8.5%	6.6%	5.8%
Operating margin	6.3%	7.3%	7.5%	6.9%	5.9%	5.5%	5.3%	5.2%	6.7%	7.0%	5.4%	4.9%
Pre-tax margin	6.5%	6.8%	7.0%	6.4%	5.5%	5.1%	4.9%	4.9%	6.9%	6.7%	5.1%	4.6%
Net margin	5.1%	5.4%	5.4%	5.0%	4.3%	4.0%	3.8%	3.8%	5.4%	5.2%	4.0%	3.6%
YoY (%)												
Net revenue	62%	26%	63%	70%	113%	133%	65%	75%	164%	56%	90%	47%
Gross profit	41%	36%	64%	94%	102%	68%	18%	33%	110%	61%	47%	31%
Operating profit	46%	27%	66%	109%	100%	77%	16%	32%	127%	63%	47%	32%
Pre-tax profit	43%	21%	49%	81%	79%	76%	16%	36%	129%	50%	45%	34%
Net profit	44%	23%	52%	81%	78%	74%	17%	35%	124%	51%	45%	34%
QoQ (%)												
Net revenue	-5%	1%	56%	15%	18%	10%	10%	22%				
Gross profit	-1%	23%	50%	6%	3%	3%	5%	20%				
Operating profit	6%	16%	61%	6%	1%	3%	5%	21%				
Pre-tax profit	3%	6%	60%	4%	2%	4%	5%	22%				
Net profit	2%	6%	56%	7%	1%	4%	5%	22%				

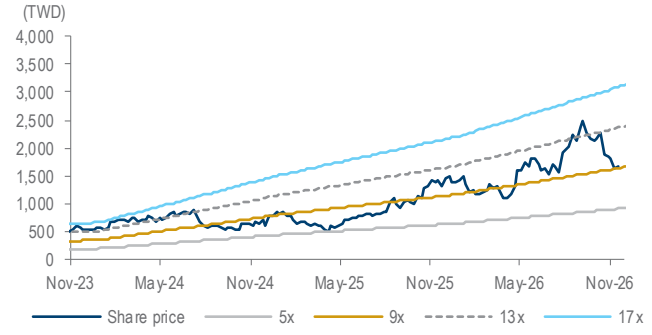
Source: Company, Daiwa forecasts

Wiwynn: 3Q26 comparison table

(TWDm)	Actual	QoQ%	YoY%	Daiwa	Diff %	Consensus	Diff %
Revenue	434,618	56%	63%	408,521	6%	406,893	7%
Gross profit	38,553	50%	64%	33,448	15%	34,245	13%
Gross margin (%)	8.9%			8.2%		8.4%	
Operating profit	32,450	61%	66%	27,974	16%	27,885	16%
Operating margin (%)	7.5%			6.8%		6.9%	
Pre-tax profit	30,417	60%	49%	27,370	11%	27,393	11%
Net profit	23,364	56%	52%	21,540	8%	21,176	10%
EPS (TWD)	41.46	56%	52%	38.86	7%	38.20	9%

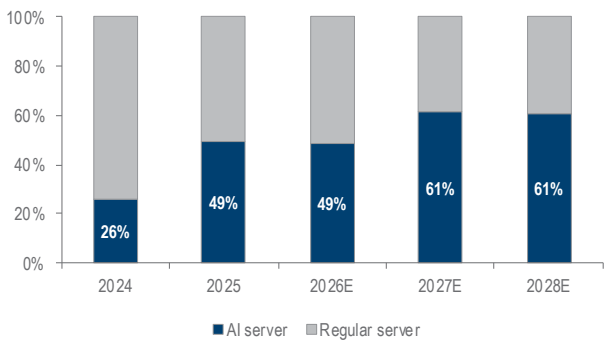
Source: Company data, Daiwa forecasts, Bloomberg

Wiwynn: 1-year forward PER bands



Source: TEJ, Daiwa forecasts

Wiwynn: AI vs. non-AI server revenue breakdown



Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Facebook revenue YoY growth (%)	(8)	60	(27)	44	78	65	33	19
Microsoft revenue YoY growth (%)	13	32	(33)	42	85	53	32	8
Other revenue YoY growth (%)	30	90	59	66	366	52	148	64

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Facebook	96,202	153,625	111,546	160,225	285,308	471,984	627,273	745,016
Microsoft	75,390	99,362	67,067	95,404	176,842	271,173	357,354	387,311
Other Revenue	21,034	39,889	63,288	104,912	488,513	744,275	1,843,626	3,024,958
Total Revenue	**192,626**	**292,876**	**241,901**	**360,541**	**950,663**	**1,487,432**	**2,828,253**	**4,157,285**
Other income	0	0	0	0	0	0	0	0
COGS	(177,005)	(268,897)	(219,244)	(323,141)	(872,209)	(1,361,260)	(2,642,766)	(3,914,266)
SG&A	(1,775)	(2,616)	(2,768)	(3,258)	(5,119)	(6,962)	(9,817)	(11,836)
Other op.expenses	(2,459)	(3,529)	(4,019)	(6,044)	(9,418)	(14,734)	(21,948)	(28,101)
Operating profit	**11,387**	**17,834**	**15,871**	**28,099**	**63,918**	**104,476**	**153,723**	**203,082**
Net-interest inc./(exp.)	(295)	(726)	(498)	(23)	(2,113)	(7,982)	(10,655)	(10,660)
Assoc/forex/extraord./others	(96)	789	71	755	4,248	2,494	600	0
Pre-tax profit	**10,996**	**17,897**	**15,444**	**28,830**	**66,052**	**98,988**	**143,668**	**192,422**
Tax	(2,348)	(3,723)	(3,400)	(6,054)	(14,934)	(21,621)	(31,607)	(42,333)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**8,648**	**14,175**	**12,044**	**22,776**	**51,118**	**77,367**	**112,061**	**150,089**
Net profit (adjusted)	**8,648**	**14,175**	**12,044**	**22,776**	**51,118**	**77,367**	**112,061**	**150,089**
EPS (reported)(TWD)	**16.522**	**27.081**	**23.010**	**40.939**	**91.883**	**138.811**	**201.058**	**269.288**
EPS (adjusted)(TWD)	**16.522**	**27.081**	**23.010**	**39.645**	**88.977**	**130.033**	**188.344**	**252.259**
EPS (adjusted fully-diluted)(TWD)	**16.522**	**27.081**	**23.010**	**40.939**	**91.883**	**138.811**	**201.058**	**269.288**
DPS (TWD)	**32.000**	**25.000**	**50.000**	**42.000**	**74.000**	**55.000**	**70.000**	**108.000**
EBIT	**11,387**	**17,834**	**15,871**	**28,099**	**63,918**	**104,476**	**153,723**	**203,082**
EBITDA	**11,935**	**18,596**	**16,873**	**30,103**	**66,608**	**113,149**	**164,135**	**216,252**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	10,996	17,897	15,444	28,830	66,052	98,988	143,668	192,422
Depreciation and amortisation	548	762	1,002	2,005	2,690	8,672	10,412	13,170
Tax paid	(2,348)	(3,723)	(3,400)	(6,054)	(14,934)	(21,621)	(31,607)	(42,333)
Change in working capital	(25,547)	12,998	8,928	(47,806)	(64,430)	(25,862)	(148,550)	(118,417)
Other operational CF items	2,139	2,743	1,087	3,032	9,997	0	(0)	0
Cash flow from operations	**(14,212)**	**30,678**	**23,060**	**(19,993)**	**(624)**	**60,177**	**(26,077)**	**44,843**
Capex	(511)	(1,466)	(4,886)	(4,891)	(13,674)	(4,462)	(7,071)	(10,393)
Net (acquisitions)/disposals	(277)	0	0	0	0	0	0	0
Other investing CF items	(252)	(464)	190	(764)	(92)	0	0	0
Cash flow from investing	**(1,039)**	**(1,930)**	**(4,696)**	**(5,655)**	**(13,766)**	**(4,462)**	**(7,071)**	**(10,393)**
Change in debt	20,574	(22,561)	1,893	17,885	71,180	(3,724)	0	0
Net share issues/(repurchases)	0	0	0	27,068	0	0	0	0
Dividends paid	(5,595)	(4,371)	(8,742)	(7,343)	(13,752)	(30,655)	(39,015)	(60,194)
Other financing CF items	(124)	751	(265)	(1,294)	(1,240)	0	0	0
Cash flow from financing	**14,855**	**(26,181)**	**(7,115)**	**36,316**	**56,188**	**(34,379)**	**(39,015)**	**(60,194)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**(397)**	**2,567**	**11,250**	**10,668**	**41,797**	**21,336**	**(72,163)**	**(25,745)**
Free cash flow	(14,723)	29,212	18,175	(24,884)	(14,299)	55,715	(33,148)	34,449

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	22,673	26,232	37,495	48,329	89,934	111,270	39,107	13,362
Inventory	45,383	36,012	30,179	86,211	136,257	173,604	337,036	499,192
Accounts receivable	13,786	21,327	11,055	38,454	78,942	91,840	174,628	227,796
Other current assets	183	481	467	689	1,844	1,844	1,844	1,844
Total current assets	**82,025**	**84,051**	**79,195**	**173,683**	**306,977**	**378,558**	**552,616**	**742,195**
Fixed assets	1,038	2,157	5,626	9,163	20,848	16,639	13,297	10,520
Goodwill & intangibles	99	138	132	174	229	229	229	229
Other non-current assets	1,575	2,493	3,892	7,658	10,135	10,000	10,000	10,000
Total assets	**84,737**	**88,838**	**88,845**	**190,679**	**338,189**	**405,426**	**576,142**	**762,944**
Short-term debt	21,266	0	384	1,400	68,473	68,473	68,473	68,473
Accounts payable	18,279	26,465	20,169	53,585	79,366	103,749	201,419	298,326
Other current liabilities	7,621	12,098	15,941	21,379	31,815	28,091	28,091	28,091
Total current liabilities	**47,166**	**38,562**	**36,494**	**76,364**	**179,654**	**200,312**	**297,983**	**394,890**
Long-term debt	9,436	9,440	8,443	22,004	27,985	27,985	27,985	27,985
Other non-current liabilities	765	2,049	1,674	4,108	5,898	5,898	5,898	5,898
Total liabilities	**57,367**	**50,051**	**46,611**	**102,476**	**213,537**	**234,195**	**331,866**	**428,773**
Share capital	1,748	1,748	1,748	1,858	1,858	5,574	5,574	5,574
Reserves/R.E./others	25,622	37,039	40,486	86,344	122,794	165,657	238,703	328,598
Shareholders' equity	**27,370**	**38,787**	**42,234**	**88,203**	**124,653**	**171,231**	**244,276**	**334,171**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**84,737**	**88,838**	**88,845**	**190,679**	**338,189**	**405,426**	**576,142**	**762,944**
EV	944,387	919,565	907,689	911,432	942,881	921,545	993,708	1,019,453
Net debt/(cash)	**8,029**	**(16,792)**	**(28,668)**	**(24,925)**	**6,524**	**(14,812)**	**57,350**	**83,095**
BVPS (TWD)	**52.292**	**74.105**	**80.690**	**158.541**	**224.059**	**307.220**	**438.278**	**599.566**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	3.0	52.0	(17.4)	49.0	163.7	56.5	90.1	47.0
EBITDA (YoY)	2.6	55.8	(9.3)	78.4	121.3	69.9	45.1	31.8
Operating profit (YoY)	1.3	56.6	(11.0)	77.1	127.5	63.5	47.1	32.1
Net profit (YoY)	0.4	63.9	(15.0)	89.1	124.4	51.3	44.8	33.9
Core EPS (fully-diluted) (YoY)	0.4	63.9	(15.0)	77.9	124.4	51.1	44.8	33.9
Gross-profit margin	8.1	8.2	9.4	10.4	8.3	8.5	6.6	5.8
EBITDA margin	6.2	6.3	7.0	8.3	7.0	7.6	5.8	5.2
Operating-profit margin	5.9	6.1	6.6	7.8	6.7	7.0	5.4	4.9
Net profit margin	4.5	4.8	5.0	6.3	5.4	5.2	4.0	3.6
ROAE	33.3	42.9	29.7	34.9	48.0	52.3	53.9	51.9
ROAA	12.4	16.3	13.6	16.3	19.3	20.8	22.8	22.4
ROCE	24.5	33.6	32.0	34.5	38.4	42.7	50.5	52.7
ROIC	38.0	49.2	69.6	57.8	50.9	56.8	52.4	44.1
Net debt to equity	29.3	n.a.	n.a.	n.a.	5.2	n.a.	23.5	24.9
Effective tax rate	21.4	20.8	22.0	21.0	22.6	21.8	22.0	22.0
Accounts receivable (days)	22.2	21.9	24.4	25.1	22.5	21.0	17.2	17.7
Current ratio (x)	1.7	2.2	2.2	2.3	1.7	1.9	1.9	1.9
Net interest cover (x)	38.7	24.6	31.9	1,215.1	30.3	13.1	14.4	19.1
Net dividend payout	194.5	151.3	184.6	182.5	180.8	59.9	50.4	53.7
Free cash flow yield	n.a.	3.1	1.9	n.a.	n.a.	6.0	n.a.	3.7

Source: FactSet, Daiwa forecasts

Company profile

Established in 2012 and listed in 2019, Wiwynn (a subsidiary of Wistron Corp) is a dedicated ODM-direct supplier of servers for hyperscale datacentres, with major customers including Facebook, Microsoft, and Amazon. Aside from hyperscaler customers, the company is expanding its target markets to what it terms "Next Wave" customers, including tier-2 cloud service providers and telecom operators, which could bring growth opportunities related to edge computing and open RAN.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Wiwynn plans to have seven to nine directors on its board who will serve three-year terms in accordance with the Articles of Incorporation in Taiwan. Currently, Wiwynn has 9 board members with five independent directors. The background of independent directors is diversified and their competence includes technology, business management, and law. We deem the diversified background as a positive factor for the company's board quality. Wiwynn held 9 board meetings in 2025 and the average attendance rate was around 99%. The Chairman does not serve concurrently as the President or CEO, which we think is a positive for board and executive management as well as external shareholder interest.
	Capital management	2	Wiwynn declared cash DPS of TWD145 and a stock dividend of TWD20 per share for 2025, representing a total payout ratio of 60.0%. We note that investors favour its high dividend payout ratio policy. However, Wiwynn has been expanding its own manufacturing capacity in Malaysia, Tainan, Mexico and the US, making its business model less asset-light than before. With the server market still in the high growth period and the payout ratio remaining at around 60%, we expect the favourable dividend policy to be sustained going forward.
	Related party & transaction	3	In 2025, revenue from related parties accounted for 0.2% of total revenue, while purchases from related parties were 9.2% of cost of sales. The main purchase counterparty is Wistron (3231 TT; Wiwynn's parent company), with purchases from Wistron accounting for 8.09% of total procurement. While Wiwynn is a professional assembly vendor for data center servers, it still outsources a portion of its production capacity to its parent company, Wistron. At the same time, Wiwynn has expanded its own production bases in Malaysia, Tainan, Mexico and the US, reducing its reliance on Wistron. This business model still causes meaningful transactions with related parties, although the exposure has declined materially. Indeed, we are concerned whether Wistron collects fair manufacturing fees from Wiwynn. As the company states that trading terms of purchase transactions with related parties cannot be compared with third-party vendors due to product specifications, we are not able to assess this concern.
S	Supply chain management	1	Wiwynn focuses on providing various products and system solutions for hyperscale datacentres and cloud infrastructures. There are over 100 suppliers providing key components, electronic materials, and mechanical materials in Wiwynn's supply chain. For the new joiners that target to penetrate into Wiwynn's supply chain, Wiwynn has formed the "Supplier Evaluation Group" to conduct: 1) supplier management and supply capabilities evaluation, 2) technical capability development assessment, and 3) partner quality assurance (these include mainly topics undertaken by RBA, such as no child labour, no conflict minerals, no use of environmentally hazardous substances, etc.). New suppliers are also required to be ISO9001, ISO14001, IECQ QC 080000, and OHSAS 18001 (ISO 45001) qualified. Wiwynn has strong supply chain risk management by conducting audits regularly. Apart from considering the technical skills, quality date, delivery dates and price completeness of suppliers, Wiwynn audits its suppliers to endeavour to protect the environment, ensure safety and health of the environment, and emphasise the importance of human rights, based on Wiwynn's CSR Management System.
S	Data security	2	To serve world-class cloud service providers, Wiwynn has been constantly improving its information security management. Employees are educated on the protection of the product, technology, and information privacy of customers. In response to the global trends in data protection laws that tend to strengthen the security of classified information, Wiwynn has mandated that all assigned PCs have the Windows Bitlocker HDD encryption activated to avoid classified data being accessed without permission. In 2020, it also introduced Multi-Factor Authentication (MFA). Beyond the security measures for hardware, the company controls access to office, labs, and conference room in a robust manner to prevent theft of the hardware.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 11 Nov 2026
Source: Daiwa, Company

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Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

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AVC (3017.TW): Increasing liquid cooling penetration to drive growth ahead, capacity to expand 50% in 2027; Buy

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AVC reported 3Q26 results on Nov 10th. The core business (OPI) was 9%/5% above our estimates/BBG consensus, with OPM at 28.5%, 2.5/3.7ppts above GSe/BBG consensus. GM of 33.9% was 1.9/0.5ppts above our estimates/BBG consensus, mainly driven by improved product mix and better operational efficiency. Total revenue was in line with GSe but 2% above consensus, while net income was 11%/4% above GSe/consensus.

Going into 4Q26, we expect revenue to reach NT$65,070mn (+10% QoQ, +36% YoY), as we expect the solid YoY growth to continue to be driven by the server business, along with the ramp up of next gen GPU/ASIC servers. We expect GM to expand to 34.4% (+0.5ppts QoQ, +8.0ppts YoY), reflecting an ongoing improvement in product mix. For 2027, we expect revenue to grow 44% YoY, supported by new customer projects, increasing liquid cooling penetration and additional capacity expansion in Vietnam. Management expect to expand liquid cooling capacity by 50% in 2027, and guided capex to be NT$15/17bn in 2026/27, which supports the solid outlook for the liquid cooling business.

Overall, we maintain our Buy rating on AVC with a new 12-month TP of NT$4,820 (from NT$4,736).

3Q26 overview

AVC's 3Q26 revenue was NT$59,089mn, up 20% QoQ and up 52% YoY. GM expanded to 33.9% from 32.6% in 2Q26, while opex was NT$3,155mn, 10% below GSe but 2% above consensus. OP was NT$16,856mn and net income was NT$11,564mn, with EPS at NT$29.32.

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Exhibit 1: AVC 3Q26 results comp table

AVC (3017.TW)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	59,089	59,089	0%	49,121	20%	38,937	52%	57,719	2%
Gross profits	20,010	18,885	6%	15,999	25%	10,172	97%	19,236	4%
Operating profits	16,856	15,399	9%	13,324	27%	8,179	106%	16,115	5%
Pre-tax income	16,752	15,655	7%	13,935	20%	8,217	104%	16,320	3%
Net earnings	11,564	10,605	9%	9,567	21%	5,339	117%	11,155	4%
EPS, NT$	29.32	26.52	11%	23.92	23%	13.46	118%	28.27	4%
Gross margin (%)	33.9%	32.0%	1.9ppt	32.6%	1.3ppt	26.1%	7.7ppt	33.3%	0.5ppt
EBIT margin (%)	28.5%	26.1%	2.5ppt	27.1%	1.4ppt	21.0%	7.5ppt	27.9%	0.6ppt
Net margin (%)	19.6%	17.9%	1.6ppt	19.5%	0.1ppt	13.7%	5.9ppt	19.3%	0.2ppt

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Earnings revision:

We revise up our 2026 earnings estimates by 6% to factor in 3Q26 results (we revise down our 2026E revenue estimates by 1%). We revise up 2028E earnings estimates by 1% to reflect a better product mix with higher contribution from the server business. We now expect the GM expansion to be faster due to the higher server business contribution, and thus revise up GPM by 1.2/0.3/0.4ppt in 2026/27/28E.

Exhibit 2: AVC earnings revision table

AVC P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.
Sales	222,318	225,305	-1%	320,020	319,723	0%	394,168	394,024	0%
Gross Profit	72,998	71,311	2%	107,786	106,740	1%	136,493	134,792	1%
EBIT	61,113	58,553	4%	89,865	88,836	1%	112,947	111,253	2%
Net Income	42,674	40,409	6%	62,013	61,901	0%	78,580	78,057	1%
EPS (NT$)	**108.41**	**101.06**	7%	**157.24**	**154.78**	2%	**199.24**	**195.18**	2%
Ratio analysis									
Gross margin	32.8%	31.7%	1.2pp	33.7%	33.4%	0.3pp	34.6%	34.2%	0.4pp
EBIT margin	27.5%	26.0%	1.5pp	28.1%	27.8%	0.3pp	28.7%	28.2%	0.4pp
Net margin	19.2%	17.9%	1.3pp	19.4%	19.4%	0.0pp	19.9%	19.8%	0.1pp

Source: Goldman Sachs Global Investment Research

Valuation:

We reiterate our Buy rating on AVC with a new 12m TP of NT$4,820 (from NT$4,736), based on 30.6x 2027E P/E (which is above AVC's historical average +1 STDV. forward trading P/E, reflecting our positive view on AVC on the rising penetration rate of liquid-cooled AI servers), and factor in our latest earnings revision.

Investment thesis and Valuation & Risks

AVC is a global leading supplier of thermal solutions on Server, PC, Telecom and consumer electronics. We expect the company's cooling revenue contributions to grow to 66%/71%/74% in 2026/27/28E, driven by: (1) rising computing power of AI servers driving liquid cooling demand, (2) capacity ramp-up in Vietnam of 3D Vapor Chambers for GPUs and liquid cooling components, and (3) AI PC's launch in 2025, featuring more powerful CPU/ NPU/ Memory. We are Buy rated. Our target price is based on 2027E P/E of 30.6x which is higher than its past 5-yr avg.+1stv. of 11x, reflecting the product mix upgrade toward servers cooling / liquid cooling with stronger earnings growth and better margins, which we believe supports the higher valuation.

We are Buy rated on AVC with a 12m TP of NT$4,820, based on 30.6 2027E P/E, which is

above AVC's historical average +1 STDV. forward trading P/E, reflecting our positive view on AVC on the rising penetration rate of liquid-cooled AI servers.

Key downside risks: (1) slower-than-expected adoption of liquid cooling; (2) lower-than-expected demand for AI servers; (3) fiercer-than-expected competition; and (4) a slower-than-expected recovery in general servers.

3017.TW	12m Price Target: **NT$4,820.00**	Price: **NT$2,790.00**	Upside: **72.8%**

Buy

Market cap: NT$1.1tr / $32.6bn
Enterprise value: NT$1.0tr / $30.9bn
3m ADTV: NT$10.9bn / $340.6mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**139,639.4**	**222,318.3**	**320,020.3**	**394,167.7**
Revenue (NT$ mn) Old	139,639.4	225,304.9	319,722.5	394,024.3
EBITDA (NT$ mn)	30,988.5	65,573.8	96,500.5	121,207.2
EPS (NT$) New	**49.17**	**108.41**	**157.24**	**199.24**
EPS (NT$) Old	48.24	101.06	154.78	195.18
P/E (X)	17.6	25.7	17.7	14.0
P/B (X)	7.7	16.2	10.7	7.5
Dividend yield (%)	2.4	1.6	2.4	3.0
CROCI (%)	160.7	210.7	221.3	205.2

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	29.32	34.55	36.46	37.94

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Nov 2026 close.

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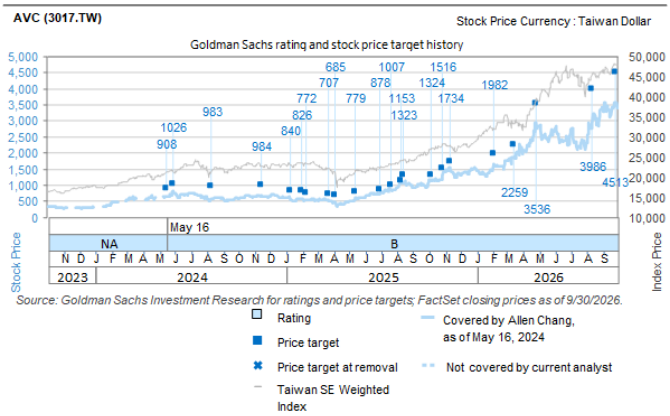
Price target and rating history chart(s)



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Target price history table(s)

AVC (3017.TW)

Date of report	Target price (NT$)	Closing price (NT$)
18-Oct-26	4,736.00	3,315.00
25-Sep-26	4,513.00	3,555.00
13-Aug-26	3,986.00	3,200.00
26-Apr-26	3,536.00	2,945.00
15-Mar-26	2,259.00	1,865.00
04-Feb-26	1,982.00	1,675.00
12-Nov-25	1,734.00	1,505.00
28-Oct-25	1,516.00	1,300.00
07-Oct-25	1,324.00	1,150.00
13-Aug-25	1,323.00	1,120.00
11-Aug-25	1,153.00	1,080.00
21-Jul-25	1,007.00	872.00
30-Jun-25	878.00	743.00
13-May-25	779.00	563.00
06-Apr-25	685.00	466.00
24-Mar-25	707.00	520.00
09-Feb-25	772.00	549.00
31-Jan-25	826.00	-
10-Jan-25	840.00	549.00
14-Nov-24	984.00	685.00
11-Aug-24	983.00	568.00
29-May-24	1,026.00	811.00
16-May-24	908.00	651.00

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MPI Corp. (6223.TWO): Richer MEMS mix to drive GM expansion ahead; 3Q26 beat; TP up to NT$8,600; Buy

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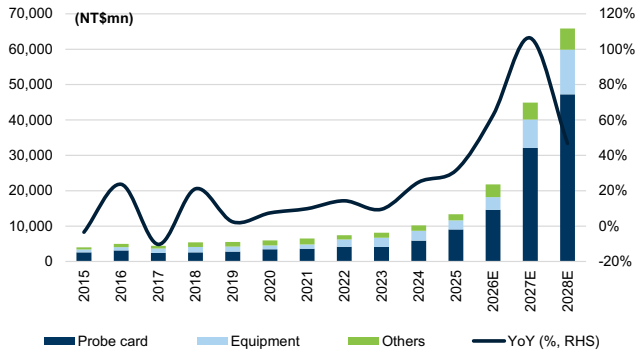
Oct revenues on track: Oct revenues came in at NT$2,232mn, +93% YoY and +9% MoM (vs. 3Q26 revenues +13% QoQ), accounting for 33% of our 4Q26E revenue forecast. Looking into 4Q26, we expect revenue to grow 13% QoQ on continued AI-driven demand for both VPC and MEMS probe cards and initial shipments to the US CPU customer, and we raise our GM assumption to 62.4% (vs. 60.4% previously) to reflect the richer VPC/MEMS mix seen in 3Q26. For 2027, we expect MEMS capacity additions, share gains at the US CPU customer and rising pin count per card to drive growth, with GM expanding further as MEMS mix rises. **3Q26 beat:** Revenue was pre-announced. GM of 61.7% came in above GSe/Bloomberg consensus of 59.8%/59.5%, which we attribute to higher VPC/MEMS shipments for AI-related applications. Together with a lower opex ratio of 23.1% (vs. GSe/cons. of 23.6%/24.1%) on larger revenue scale, operating income grew 26% QoQ, 8.5% / 11.5% ahead of GSe/cons. EPS of NT$19.18 was 8.1% / 11.0% above GSe/cons. With higher GM, we raise our 2026-28E EPS by 5%/3%/1%, and raise our 12m TP to NT$8,600 (implied 53x 2027E P/E vs. 90% NI YoY of 2027-28E on avg.). Maintain Buy.

Exhibit 1: MPI's revenue growth outlook



Source: Company data, Goldman Sachs Global Investment Research

MEMS capacity ramp and new customers to drive growth: Our 4Q26E forecast implies average monthly revenue of NT$2,226mn in November-December (flat vs. October). On the margin front, we expect product mix to remain favorable for GM, as VPC/MEMS capacity additions and new customer ramps continue. Longer term, we remain positive on MPI's growth outlook, driven by 1) MEMS and VPC capacity expansion, where we keep our capacity assumption of 2.5mn/8.0mn pins per month for VPC/MEMS by end-2027E, which we see as well supported as multiple AI ASIC

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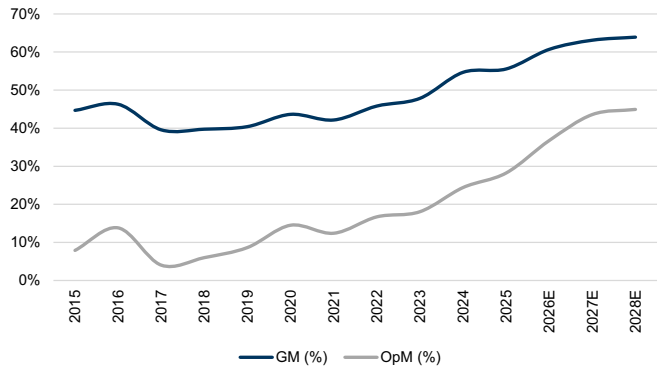
and networking programs move into volume; 2) share gains at the US CPU customer, where we see potential for it to become MPI's top revenue contributor in 2027, supported by strong CPU demand from agentic AI; 3) content growth, as pin count per card keeps climbing, further lift by micro-bump probing at some customers; 4) rising PCB insourcing, which should improve both delivery times and margins; and 5) CPO, which should open a new growth avenue for its equipment business across Insertion 2 and 3.

Exhibit 2: MPI's Margin trends



Source: Company data, Goldman Sachs Global Investment Research

Earnings revisions: We incorporate the 3Q26 results into our model and revise our 2026/2027/2028E EPS by +4.8%/+3.2%/+1.2%, as we factor in 1) higher GM, reflecting the 3Q26 results and a richer VPC/MEMS mix, and 2) higher revenue (+0.8%/+1.2%/+1.5% vs. our prior forecasts). Overall, we now model revenue growth of 63%/106%/47% YoY over 2026-28E (vs. 61%/105%/46% previously), with GM expanding to 60.7%/63.1%/63.9% (vs. 59.6%/62.2%/63.7% previously).

Exhibit 3: Earnings revisions

	2026E			2027E			2028E		
(NT$mn)	Old	New	Diff (%)	Old	New	Diff (%)	Old	New	Diff (%)
Revenue	21,581	21,755	0.8%	44,336	44,886	1.2%	64,888	65,854	1.5%
Gross profit	12,859	13,205	2.7%	27,577	28,327	2.7%	41,318	42,088	1.9%
Op. income	7,638	7,997	4.7%	18,959	19,563	3.2%	29,268	29,591	1.1%
Net income	6,526	6,838	4.8%	15,262	15,752	3.2%	23,397	23,670	1.2%
EPS (NT$)	66.61	69.79	4.8%	155.77	160.77	3.2%	238.79	241.58	1.2%
GM	59.6%	60.7%	1.1%	62.2%	63.1%	0.9%	63.7%	63.9%	0.2%
OpM	35.4%	36.8%	1.4%	42.8%	43.6%	0.8%	45.1%	44.9%	-0.2%
NM	30.2%	31.4%	1.2%	34.4%	35.1%	0.7%	36.1%	35.9%	-0.1%

Source: Goldman Sachs Global Investment Research

Exhibit 4: 3Q26 results summary

	3Q26	2Q26	3Q25	%QoQ	%YoY	GS prev.	%Diff	Consensus	%Diff
(NT$mn)									
Revenue	5,904	5,233	3,414	12.8%	72.9%	5,793	1.9%	5,780	2.1%
Gross profit	3,641	3,055	1,822	19.2%	99.8%	3,466	5.1%	3,436	6.0%
Op. income	2,276	1,802	896	26.3%	154.1%	2,098	8.5%	2,041	11.5%
Net income	1,880	1,524	877	23.3%	114.4%	1,739	8.1%	1,722	9.2%
EPS (NT$)	19.18	15.55	9.30	23.4%	106.3%	17.75	8.1%	17.29	11.0%
GM	61.7%	58.4%	53.4%	3.3%	8.3%	59.8%	1.8%	59.5%	2.2%
OpM	38.6%	34.4%	26.2%	4.1%	12.3%	36.2%	2.3%	35.3%	3.2%
NM	31.8%	29.1%	25.7%	2.7%	6.2%	30.0%	1.8%	29.8%	2.0%

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

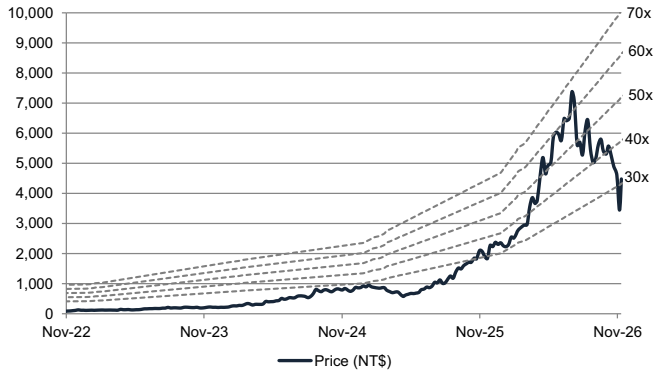
Exhibit 5: MPI's P&L overview

	1Q26	2Q26E	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E
P&L											
Revenue	3,933	5,233	5,904	6,684	8,010	9,907	12,323	14,646	21,755	44,886	65,854
Gross profit	2,338	3,055	3,641	4,171	5,024	6,279	7,728	9,296	13,205	28,327	42,088
Operating profit	1,273	1,802	2,276	2,646	3,301	4,214	5,351	6,697	7,997	19,563	29,591
Net income	1,227	1,524	1,880	2,207	2,671	3,394	4,303	5,384	6,838	15,752	23,670
EPS (NT$)	12.53	15.55	19.18	22.53	27.26	34.64	43.92	54.95	69.79	160.77	241.58
Margins (%)											
GM	59.4%	58.4%	61.7%	62.4%	62.7%	63.4%	62.7%	63.5%	60.7%	63.1%	63.9%
OpM	32.4%	34.4%	38.6%	39.6%	41.2%	42.5%	43.4%	45.7%	36.8%	43.6%	44.9%
NM	31.2%	29.1%	31.8%	33.0%	33.3%	34.3%	34.9%	36.8%	31.4%	35.1%	35.9%
YoY (%)											
Revenue	39.0%	58.9%	72.9%	74.3%	103.6%	89.3%	108.7%	119.1%	62.7%	106.3%	46.7%
Gross profit	44.0%	59.2%	99.8%	102.2%	114.9%	105.5%	112.2%	122.9%	77.8%	114.5%	48.6%
Operating profit	51.5%	67.0%	154.1%	175.8%	159.3%	133.9%	135.1%	153.1%	111.9%	144.6%	51.3%
Net income	69.6%	142.5%	114.4%	132.9%	117.6%	122.7%	129.0%	143.9%	115.3%	130.4%	50.3%
EPS	63.2%	133.1%	106.3%	125.5%	117.6%	122.8%	129.0%	143.9%	107.4%	130.4%	50.3%
QoQ (%)											
Revenue	2.5%	33.1%	12.8%	13.2%	19.8%	23.7%	24.4%	18.8%			
Gross profit	13.3%	30.7%	19.2%	14.5%	20.5%	25.0%	23.1%	20.3%			
Operating profit	32.7%	41.5%	26.3%	16.2%	24.7%	27.7%	27.0%	25.2%			
Net income	29.5%	24.1%	23.3%	17.4%	21.0%	27.1%	26.8%	25.1%			
EPS	25.4%	24.1%	23.4%	17.4%	21.0%	27.1%	26.8%	25.1%			

Source: Company data, Goldman Sachs Global Investment Research

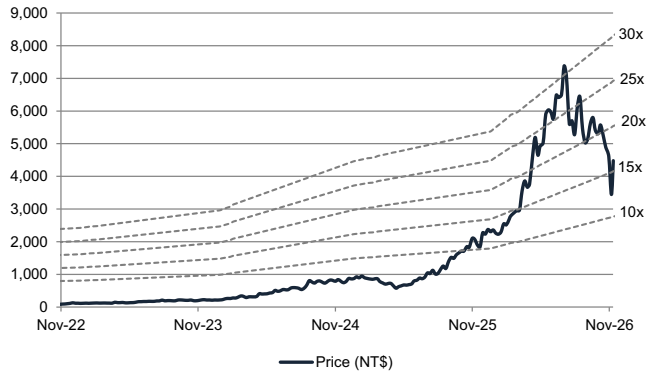
Valuation: As a result of our earnings revisions, we raise our 12-month TP to NT$8,600 (from NT$8,500). Our 12-month TP is still based on a target P/E of 40x (1.7x of 3-year average forward P/E) applied to our 2028E EPS, and discounted back to 2027E at 12.4% CoE. Our key assumptions for CoE include: (1) 1.3x beta (sourcing Bloomberg), (2) a 4.25% risk-free rate, and (3) a market risk premium at 6.25% (in line with GS house view). Maintain Buy.

Exhibit 6: MPI Forward P/E



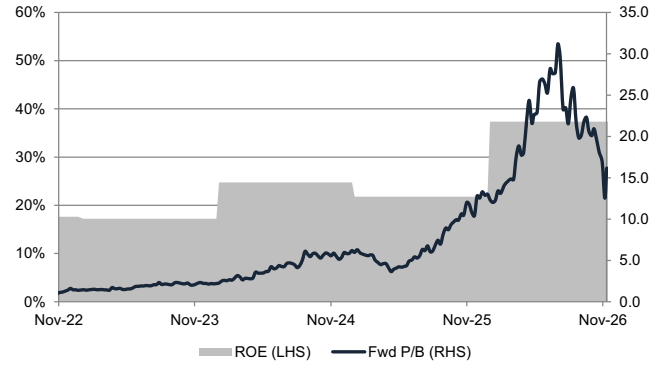
Source: Bloomberg

Exhibit 7: MPI Forward P/B



Source: Bloomberg

Exhibit 8: MPI P/B vs. ROE



Source: Bloomberg

Exhibit 9: MPI QFII holdings

Source: TEJ

Price Target Risks and Methodology – MPI (6223.TWO)

Valuation: We are Buy rated on MPI. Our 12-month TP of NT$8,600 is based on a target P/E of 40x (1.7x of 3-year average forward P/E) applied to our 2028E EPS, and discounted back to 2027E at 12.4% CoE. Our key assumptions for CoE include: (1) 1.3x beta (sourcing Bloomberg), (2) a 4.25% risk-free rate, and (3) a market risk premium at 6.25% (in line with GS house view).

Key risks to our views: 1) softer AI/HPC demand, 2) slower penetration into new TAM, and 3) intensifying competition.

6223.TWO	12m Price Target: **NT$8,600.00**	Price: **NT$4,480.00**	Upside: **92.0%**

Buy

Market cap: NT$422.2bn / $12.8bn
Enterprise value: NT$420.8bn / $12.8bn
3m ADTV: NT$5.7bn / $176.9mn
Taiwan
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**13,371.2**	**21,754.8**	**44,886.3**	**65,854.0**
Revenue (NT$ mn) Old	13,371.2	21,581.1	44,335.6	64,887.7
EBITDA (NT$ mn)	4,566.2	9,304.6	21,201.3	31,379.3
EPS (NT$) New	**33.65**	**69.79**	**160.77**	**241.58**
EPS (NT$) Old	33.65	66.61	155.77	238.79
P/E (X)	36.2	64.2	27.9	18.5
P/B (X)	8.2	24.6	15.2	10.5
Dividend yield (%)	1.8	1.1	2.4	3.7
CROCI (%)	21.2	28.1	66.0	79.7

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	19.18	22.53	27.26	34.64

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 11 Nov 2026 close.

Disclosure Appendix

Reg AC

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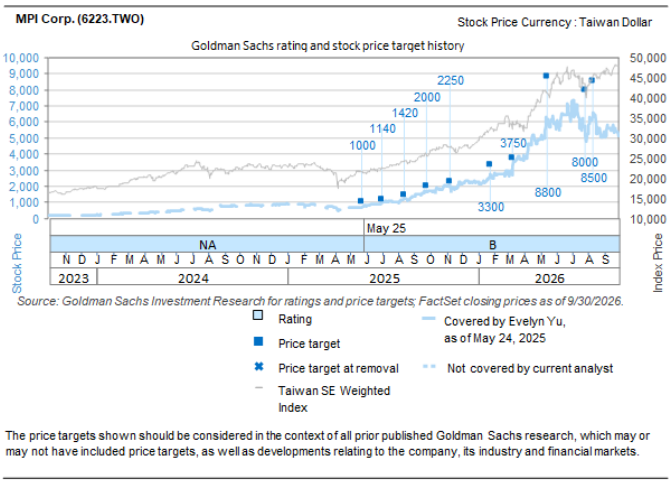

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Target price history table(s)

MPI Corp. (6223.TWO)

Date of report	Target price (NT$)	Closing price (NT$)
12-Aug-26	8,500.00	6,600.00
27-Jul-26	8,000.00	5,720.00
15-May-26	8,800.00	5,895.00
11-Mar-26	3,750.00	3,285.00
26-Jan-26	3,300.00	2,585.00
10-Nov-25	2,250.00	1,990.00
25-Sep-25	2,000.00	1,695.00
13-Aug-25	1,420.00	1,220.00
02-Jul-25	1,140.00	934.00
25-May-25	1,000.00	708.00

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Giant Manufacturing

3Q26 EPS of NT$0.85 missed on margins

Maintain Rating: UNDERPERFORM | PO: 87.00 TWD | Price: 88.00 TWD

3Q26 EPS of NT$0.85 missed on margins

Giant reported 3Q26 EPS of NT$0.85 (-4% YoY), which missed our estimate of NT$1.16 on margins. The miss was due to higher than expected SG&A expenses as we believe the company continues to invest in marketing to support its new product launches as well as legal fees related to the WRO issues. 3Q26 revenue was +6% YoY to NT$16.3bn, which was in-line with preliminary revenue. 3Q26 gross margin was +2.4pps YoY to 23.9%. OPM was +0.5pps YoY to 3.1%.

Oct revenue was up 2% YoY

Oct revenue was up by 2% YoY. Growth in OB revenue was offset by lower OE contribution. Within OB business, Europe turned to a single digit decline while China achieved double digit growth. US reported steep decline due to weak market demand and negative impact from WRO investigation. We expect revenue growth to remain unexciting in 4Q26 as there should be limited product launches to drive sales during the winter season.

Cut PO to N$87; Maintain Underperform

We cut 2027E EPS by 7% to reflect 3Q26 miss. Based on unchanged 18x 2027E P/E, we cut our PO by 7% to NT$87. We expect end demand to remain under pressure due to macro uncertainty and inflation. We see downside risks to VA consensus EPS growth of 83% YoY to NT$6.1 for 2027E given uncertainty in sales recovery and margins normalization.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,264	723	1,073	1,896	2,870
EPS	3.22	1.84	2.74	4.84	7.32
EPS Change (YoY)	-62.8%	-42.8%	48.3%	76.7%	51.4%
Consensus EPS (Visible Alpha)			3.66	6.34	7.81
Dividend / Share	2.20	1.80	1.80	3.38	5.12
Free Cash Flow / Share	28.28	25.66	13.53	7.05	11.01
Valuation (Dec)					
P/E	27.30x	47.70x	32.16x	18.20x	12.02x
Dividend Yield	2.50%	2.05%	2.05%	3.85%	5.82%
EV / EBITDA*	7.84x	9.31x	8.07x	6.48x	5.20x
Free Cash Flow Yield*	32.14%	29.16%	15.38%	8.01%	12.51%

* For full definitions of IQmethod℠ measures, see page 7.

11 November 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	94.00	87.00
2026E EPS	2.76	2.74
2027E EPS	5.22	4.84
2028E EPS	7.18	7.32

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Stock Data

Price	88.00 TWD
Price Objective	87.00 TWD
Date Established	11-Nov-2026
Investment Opinion	B-3-7
52-Week Range	65.10 TWD-113.50 TWD
Mrkt Val / Shares Out (mn)	1,047 USD / 392.1
Market Value (mn)	34,502 TWD
Average Daily Value (mn)	3.69 USD
Free Float	77.6%
BofA Ticker / Exchange	GTMUF / TAI
Bloomberg / Reuters	9921 TT / 9921.TW
ROE (2026E)	3.1%
Net Dbt to Eqty (Dec-2025A)	-3.2%

OB: Own Brand

OE: Original Equipment

WRO: Withhold Release Order from US Customs and Border Protection

VA: Visible Alpha

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iQprofile℠ Giant Manufacturing

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	71,279	60,254	58,785	64,816	68,738
Gross Profit	13,534	11,937	13,210	14,260	14,916
Sell General & Admin Expense	(10,253)	(9,631)	(10,238)	(9,982)	(9,073)
Operating Profit	1,858	1,081	1,800	3,074	4,566
Net Interest & Other Income	469	296	(79)	(112)	(76)
Associates	30	8	8	8	8
Pretax Income	2,357	1,384	1,729	2,970	4,497
Tax (expense) / Benefit	(877)	(518)	(459)	(829)	(1,256)
Net Income (Adjusted)	1,264	723	1,073	1,896	2,870
Average Fully Diluted Shares Outstanding	392	392	392	392	392
Key Cash Flow Statement Data					
Net Income	1,264	723	1,073	1,896	2,870
Depreciation & Amortization	2,551	2,631	2,486	2,263	2,090
Change in Working Capital	8,340	8,665	2,052	(1,631)	(1,397)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(5)	(872)	813	1,353	1,871
Cash Flow from Operations	12,149	11,148	6,423	3,881	5,434
Capital Expenditure	(1,062)	(1,088)	(1,118)	(1,118)	(1,118)
(Acquisition) / Disposal of Investments	(3,057)	(306)	0	0	0
Other Cash Inflow / (Outflow)	(1,342)	(546)	(422)	(288)	(191)
Cash Flow from Investing	(5,460)	(1,940)	(1,540)	(1,406)	(1,309)
Shares Issue / (Repurchase)	NA	NA	NA	NA	NA
Cost of Dividends Paid	(1,960)	(863)	(706)	(706)	(1,327)
Cash Flow from Financing	(7,832)	(10,831)	(921)	(2,526)	(3,557)
Free Cash Flow	11,088	10,060	5,305	2,763	4,316
Net Debt	2,435	(1,182)	(5,222)	(5,171)	(5,738)
Change in Net Debt	(4,676)	(3,713)	(3,962)	51	(567)
Key Balance Sheet Data					
Property, Plant & Equipment	16,117	15,478	13,678	12,533	11,561
Other Non-Current Assets	8,496	8,646	9,068	9,356	9,547
Trade Receivables	10,969	9,781	10,871	11,735	12,400
Cash & Equivalents	13,999	12,298	16,338	16,287	16,854
Other Current Assets	29,454	23,544	20,170	21,326	22,421
Total Assets	79,034	69,748	70,125	71,238	72,784
Long-Term Debt	3,023	3,746	3,746	3,746	3,746
Other Non-Current Liabilities	4,230	4,310	4,384	4,462	4,522
Short-Term Debt	13,411	7,371	7,371	7,371	7,371
Other Current Liabilities	21,633	17,305	17,072	17,461	17,824
Total Liabilities	42,297	32,731	32,571	33,039	33,462
Total Equity	36,738	37,017	37,490	38,072	39,120
Total Equity & Liabilities	79,034	69,748	70,061	71,111	72,582
iQ*method℠ - Bus Performance					
Return On Capital Employed	2.5%	1.7%	2.9%	4.5%	6.4%
Return On Equity	3.7%	2.1%	3.1%	5.5%	8.2%
Operating Margin	2.6%	1.8%	3.1%	4.7%	6.6%
EBITDA Margin	6.2%	6.2%	7.3%	8.2%	9.7%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	9.6x	15.4x	6.0x	2.0x	1.9x
Asset Replacement Ratio	0.4x	0.4x	0.4x	0.5x	0.5x
Tax Rate (Reported)	37.2%	37.4%	26.5%	27.9%	27.9%
Net Debt-to-Equity Ratio	6.6%	-3.2%	-13.9%	-13.6%	-14.7%
Interest Cover	1.7x	1.6x	4.2x	8.6x	14.1x

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Leisure

Company Description

Established in 1972, Giant is the largest global bicycle manufacturer. Giant operates its own brand business (OBM) (68% of revenue) under Giant (mid-to-high-end bikes), Liv (women's), and Momentum (low-end) brand names. Giant's largest OEM customers are Trek (16% of revenue) and Scott (13% of revenue). Giant generated 39% of revenue from Europe, 23% from North America, 12% from China and 26% from Others in 2020. Its production is mainly based in China and Taiwan.

Investment Rationale

We rate Giant shares Underperform. We see high uncertainty in earnings recovery given weak end demand and negative earnings impact from FX/tariff headwinds.

Stock Data

Price to Book Value	1.0x

Price objective basis & risk

Giant Manufacturing (GTMUF)
Our NT$87 price objective is based on 18x 2027E P/E. The target multiple of 18x is at 0.5SD below the long-term average of 25x (2011-2025) given higher macro uncertainty and slow earnings growth.

Downside risks to our price objective are COVID resurgence to further disrupt supply chain and unexpectedly cool-down in bike demand.
Upside risks to our price objective are stronger-than-expected demand, fast capacity expansion and efficiency ramp-up, more favorable input costs and product mix shift.

Analyst Certification

I, Ronald Leung, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ABC-MART	AMKYF	2670 JP	Arashi Nishizawa
	AmorePacific Corp	AMRPF	090430 KS	Ahyung Cho
	and ST HD	PNMOF	2685 JP	Arashi Nishizawa
	Anker Innovations	XAIFF	300866 CH	Yoyo Pang
	Anta Sports	ANPDF	2020 HK	Lucy Yu
	APR	XLTDF	278470 KS	Ahyung Cho
	Asics	ASCCF	7936 JP	Arashi Nishizawa
	BGF Retail	XWAHF	282330 KS	Ahyung Cho
	Bosideng	BSDGF	3998 HK	Lucy Yu
	BUD APAC	BDWBF	1876 HK	Chen Luo, CFA
	Busy Ming Group	XYBMF	1768 HK	Alice Ma
	China Pet Foods	XDEEF	002891 CH	Alice Ma

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	China Resources Beer (Holdings) Co Ltd	CRHKF	291 HK	Chen Luo, CFA
	Coca-Cola Bottlers Japan Holdings	CCOJF	2579 JP	Manabu Sumoge
	Cosmax	XCRSF	192820 KS	Zoe (Jung-ae) Chun
	Cosmos Pharmaceutical	CSMYF	3349 JP	Arashi Nishizawa
	Dabur India	DBUIF	DABUR IN	Aditya Mathur
	DPC Dash Ltd	DPCDF	1405 HK	Lucy Yu
	Eastroc	XEBSF	605499 CH	Lucy Yu
	Eastroc	ERBGF	9980 HK	Lucy Yu
	Eclat	ECLAF	1476 TT	Ronald Leung, CFA
	Fast Retailing	FRCOF	9983 JP	Arashi Nishizawa
	Fast Retailing	FRCOY	FRCOY US	Arashi Nishizawa
	Godrej Consumer Products	XGOCF	GCPL IN	Aditya Mathur
	Goldwin	GWNCF	8111 JP	Arashi Nishizawa
	Guming	XGHXF	1364 HK	Lucy Yu
	Haier Smart Home Co Ltd	TTHEF	600690 CH	Lucy Yu
	Haier Smart Home Co Ltd	HRSHF	6690 HK	Lucy Yu
	Henan Shuanghui Investment & Dev	HSUIF	000895 CH	Chen Luo, CFA
	Japan Tobacco	JAPAF	2914 JP	Manabu Sumoge
	Japan Tobacco	JAPAY	JAPAY US	Manabu Sumoge
	JINS HOLDINGS	JNDOF	3046 JP	Arashi Nishizawa
	Jubilant FoodWorks	XJUBF	JUBI IN	Aditya Mathur
	Kao	KAOCF	4452 JP	Kentaro Hosoda
	Kewpie	KWPCF	2809 JP	Manabu Sumoge
	Kikkoman	KIKOF	2801 JP	Manabu Sumoge
	Kirin Holdings	KNBWF	2503 JP	Manabu Sumoge
	Kobe Bussan	KOBNF	3038 JP	Arashi Nishizawa
	Kolmar Korea	XKKPF	161890 KS	Zoe (Jung-ae) Chun
	KT&G	KTCIF	033780 KS	Ahyung Cho
	Kweichow Moutai Co. Ltd.	XHJBF	600519 CH	Chen Luo, CFA
	Leela Palaces Hotels & Resorts	XSBLF	THELEELA IN	Aditya Mathur
	Lenskart Solutions	XLEMF	LENSKART IN	Aditya Mathur
	Lion	LIOPF	4912 JP	Kentaro Hosoda
	Luckin Coffee	LKNCY	LKNCY US	Alice Ma
	Makalot Industrial	MAKAF	1477 TT	Ronald Leung, CFA
	Mao Geping	XMGOF	1318 HK	Lucy Yu
	Marico	MAIOF	MRCO IN	Aditya Mathur
	MatsukiyoCocokara & Co	MSMKF	3088 JP	Arashi Nishizawa
	Meiji HD	MEJHF	2269 JP	Manabu Sumoge
	Mengniu Dairy	CIADF	2319 HK	Chen Luo, CFA
	Midea Group	MGCOF	300 HK	Chen Luo, CFA
	Midea Group Co Ltd	XMGEF	000333 CH	Chen Luo, CFA
	New Oriental Education & Technology	EDU	EDU US	Lucy Yu
	New Oriental Education & Technology	NWOEF	9901 HK	Lucy Yu
	Nien Made Enterprise	XNRBF	8464 TT	Yoyo Pang
	Nitori Holdings	NCLTF	9843 JP	Arashi Nishizawa
	Nongfu Spring	NNFSF	9633 HK	Lucy Yu
	PAL Group Holdings	PALZF	2726 JP	Arashi Nishizawa
	Pan Pacific International HD	DQJCF	7532 JP	Arashi Nishizawa
	Pigeon	PIGEF	7956 JP	Kentaro Hosoda
	Roborock Technology	XBTLF	688169 CH	Yoyo Pang
	ROHTO	RPHCF	4527 JP	Kentaro Hosoda
	Ryohin Keikaku	RYKKF	7453 JP	Arashi Nishizawa
	Ryohin Keikaku	RYKKY	RYKKY US	Arashi Nishizawa
	Samsonite International	SMSOF	1910 HK	Ronald Leung, CFA
	Seven & i Holdings	SVNDF	3382 JP	Arashi Nishizawa
	Shanxi Fen Wine	XCKZF	600809 CH	Chen Luo, CFA
	Shenzhou International	SZHIF	2313 HK	Chen Luo, CFA
	Shinsegae	SDKLF	004170 KS	Ahyung Cho
	Sugi Holdings	SGIPF	7649 JP	Arashi Nishizawa
	Sundrug	SDGCF	9989 JP	Arashi Nishizawa
	TABAYA HOLDINGS	UARWF	7606 JP	Arashi Nishizawa
	TAL	TAL	TAL US	Lucy Yu
	Tata Consumer Products	XTCUF	TATACONS IN	Aditya Mathur
	TCL Electronics	TCLHF	1070 HK	Yoyo Pang
	Titan Company	XNXAF	TTAN IN	Aditya Mathur

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Trent	XTREF	TRENT IN	Aditya Mathur
	Trial Holdings	XIKRF	141A JP	Arashi Nishizawa
	Tsingtao Brewery	TSGTF	168 HK	Chen Luo, CFA
	Tsingtao Brewery	XTSOF	600600 CH	Chen Luo, CFA
	Tsuruha Holdings	TSUSF	3391 JP	Arashi Nishizawa
	United Spirits	XUNIF	UNITDSPR IN	Aditya Mathur
	Varun Beverages	XMKDF	VBL IN	Aditya Mathur
	Wanchen Group	XFWXF	300972 CH	Alice Ma
	WH Group Limited	WHGRF	288 HK	Chen Luo, CFA
	Yankershop Food	XYNKF	002847 CH	Alice Ma
	Yili Industrial Group	XIDRF	600887 CH	Chen Luo, CFA
	Yum China	YUMC	YUMC US	Chen Luo, CFA
	Yum China	XYUMF	9987 HK	Chen Luo, CFA
NEUTRAL				
	Ajinomoto	AJINF	2802 JP	Manabu Sumoge
	Asahi Group Holdings	ASBRF	2502 JP	Manabu Sumoge
	Asian Paints	XSAFF	APNT IN	Aditya Mathur
	Avenue Supermarts	XWCVF	DMART IN	Aditya Mathur
	Britannia Industries	XJNDF	BRIT IN	Aditya Mathur
	China Resources Beverage	XCRBF	2460 HK	Lucy Yu
	Chow Tai Fook Jewellery	CJEWF	1929 HK	Ronald Leung, CFA
	E-Mart	EMRTF	139480 KS	Ahyung Cho
	Foshan Haitian	FHFLF	3288 HK	Alice Ma
	Gree Electric Appliances	ZHUHF	000651 CH	Chen Luo, CFA
	GS Retail	XGLTF	007070 KS	Ahyung Cho
	Haidilao International Holding Ltd.	HDALF	6862 HK	Lucy Yu
	Hindustan Unilever	HINLF	HUVR IN	Aditya Mathur
	Hisense Home Appliance	XMBQF	000921 CH	Lucy Yu
	Hisense Home Appliance	HISEF	921 HK	Lucy Yu
	Hotel Shilla	HSLLF	008770 KS	Ahyung Cho
	ITC	ITCTF	ITC IN	Aditya Mathur
	Jason Furniture	XVZDF	603816 CH	Yoyo Pang
	KOSE Holdings	KOSCF	4922 JP	Kentaro Hosoda
	Kusuri No Aoki Holdings	XADAF	3549 JP	Arashi Nishizawa
	Laopu Gold	XLGBF	6181 HK	Ronald Leung, CFA
	Li Ning Co Ltd	LNNGF	2331 HK	Lucy Yu
	Man Wah Holdings	MAWHF	1999 HK	Yoyo Pang
	MINISO Group Holdings	MNSO	MNSO US	Lucy Yu
	MINISO Group Holdings	XKTAF	9896 HK	Lucy Yu
	Nissin Foods Holdings	NFPDF	2897 JP	Manabu Sumoge
	Pop Mart	POPMF	9992 HK	Alice Ma
	Proya Cosmetics	XPXCF	603605 CH	Lucy Yu
	Robam Appliance	XVPDF	002508 CH	Lucy Yu
	Suntory Beverage & Food	STBFF	2587 JP	Manabu Sumoge
	Tingyi	TCYMF	322 HK	Lucy Yu
	Topsports International Holding Ltd.	TPSRF	6110 HK	Lucy Yu
	Toyo Suisan	TSUKF	2875 JP	Manabu Sumoge
	Unicharm	UNCHF	8113 JP	Kentaro Hosoda
	Uni-president China	UNPSF	220 HK	Lucy Yu
	Wuliangye Yibin	YBWUF	000858 CH	Chen Luo, CFA
	Yamada Holdings	YMDAF	9831 JP	Arashi Nishizawa
	Yonghui Superstores Co Ltd	XQYXF	601933 CH	Lucy Yu
	Yue Yuen	YUEIF	551 HK	Yoyo Pang
UNDERPERFORM				
	Anjoy Foods	XSWCF	603345 CH	Alice Ma
	Arashi Vision	XSNSF	688775 CH	Ronald Leung, CFA
	China Feihe	CHFLF	6186 HK	Alice Ma
	Colgate-Palmolive India	CPIYF	CLGT IN	Aditya Mathur
	Feng Tay	FTGYF	9910 TT	Ronald Leung, CFA
	Foshan Haitian Flavouring & Food Co Ltd	XCMJF	603288 CH	Alice Ma
	Gambol Pet	XYEDF	301498 CH	Alice Ma
	Giant Manufacturing	GTMUF	9921 TT	Ronald Leung, CFA
	Jiangsu Yanghe Brewery	XJBTF	002304 CH	Chen Luo, CFA
	Kobayashi Pharmaceutical	KBYPF	4967 JP	Kentaro Hosoda

APR - Consumer Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Lai Yih Footwear	XAWWF	6890 TT	Ronald Leung, CFA
	LG H&H	LGHHF	051900 KS	Ahyung Cho
	Lotte Shopping	LOSPF	023530 KS	Ahyung Cho
	Luzhou Laojiao	XMBBF	000568 CH	Chen Luo, CFA
	Merida Industry Co Ltd	MIUYF	9914 TT	Ronald Leung, CFA
	Mixue Group	MXUGF	2097 HK	Chen Luo, CFA
	Nestle India	XNTEF	NEST IN	Aditya Mathur
	Oppein Home Group	XKXRF	603833 CH	Yoyo Pang
	Pidilite Industries	PDLFF	PIDI IN	Aditya Mathur
	Pola Orbis HD	PORBF	4927 JP	Kentaro Hosoda
	Sapphire Foods	XLQLF	SAPPHIRE IN	Aditya Mathur
	Sapporo Breweries	SOOBF	2501 JP	Manabu Sumoge
	Seria	SAOGF	2782 JP	Arashi Nishizawa
	Shanghai Jahwa	SNJUF	600315 CH	Lucy Yu
	Shein Global	XSGXF	625 HK	Lucy Yu
	SHIMAMURA	SHAOF	8227 JP	Arashi Nishizawa
	Smoore	SMORF	6969 HK	Alice Ma
	Suofeiya Home Collection Co Ltd	XGUZF	002572 CH	Yoyo Pang
	United Breweries	UBWRF	UBBL IN	Aditya Mathur
	Want Want China	WWNTF	151 HK	Chen Luo, CFA
	WORKMAN	WKISF	7564 JP	Arashi Nishizawa
	Yihai Intl	YNNHF	1579 HK	Lucy Yu
	Yihai Kerry Arawana	XYIHF	300999 CH	Lucy Yu

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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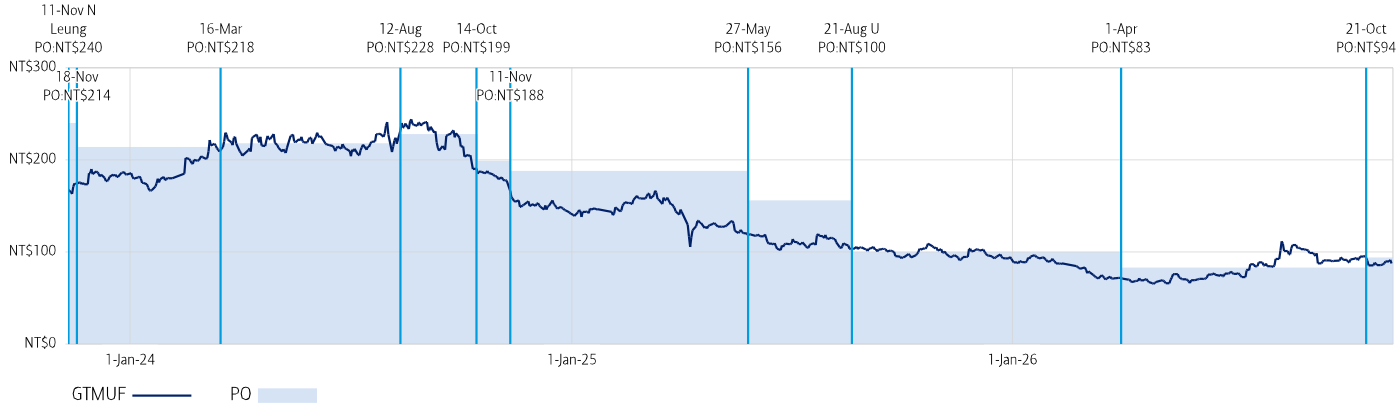

B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Leisure Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	15	62.50%	Buy	12	80.00%
Hold	5	20.83%	Hold	4	80.00%
Sell	4	16.67%	Sell	2	50.00%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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BofA SECURITIES

Kinik

Strong advanced nodes and packaging expansion support decent earnings

Reiterate Rating: BUY | PO: 1,050 TWD | Price: 737.00 TWD

3Q26 margin beat on favorable product mix

Kinik's 3Q26 sales grew 8% QoQ, mainly driven by solid diamond disk demand from N2 and advanced packaging capacity ramp and increasing shipments of high-end test/reclaim wafer, more than offsetting weakness at Thailand ABU subsidiary. 3Q26 GMs improved by 220bps QoQ to 42.2% on improving product mix across ABU and DBU segments, taking 3Q26 EPS to NT$3.91(vs. BofAe/Street NT$4.09/NT$4.08).

4Q26 sales grow on continued advanced nodes expansion

The company guided 4Q26 sales to grow slightly QoQ (BofAe + 2% QoQ), implying full-year revenue growth of +25% YoY, backed by strength across diamond disk, test wafer, and reclaim wafer amid ongoing advanced nodes capacity build-out. Strong contribution from high-margin DBU segment, coupled with a favorable mix shift in ABU driven by ABF diamond wheels, should lift 4Q26 GMs further to 43.5%, in our view.

Solid DBU demand and SBU ramp underpin '27-28

On accelerated 3nm, 2nm and A16 capacity ramp at full utilization, alongside benign mature node supply/demand landscape and steady engagement with Intel on 18A/14A, we forecast Kinik's diamond disk shipment to +48% CAGR over '26-28. Meanwhile, Kinik's SBU sales could deliver +22% CAGR over '26-28 as 10% price hike on selected products take effect from early 2027 and carrier wafer demand from Micron HBM grow more meaningfully from 2H27. Beyond its existing business, grinding wheels for advanced packaging are currently under customer qualification, and would provide upside potential with TAM much larger than diamond disk.

Diverse drivers and margin expansion warrant re-rating

We keep our 2026/27/28 EPS largely unchanged at NT$14.98/26.23/36.84. Reiterate our Buy rating and PO of NT$1,050, still based on 32x 2H27-1H28E P/E (vs. its historical range 9-42x), supported by robust sales/earnings CAGR of +32%/+57% over '26-28.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,035	1,360	2,263	3,960	5,564
EPS	7.10	9.28	14.98	26.23	36.84
EPS Change (YoY)	20.2%	30.7%	61.5%	75.0%	40.5%
Dividend / Share	5.00	4.00	5.00	8.00	8.00
Free Cash Flow / Share	8.70	5.83	7.11	13.50	24.73
Valuation (Dec)					
P/E	103.81x	79.42x	49.18x	28.10x	20.00x
Dividend Yield	0.678%	0.543%	0.678%	1.09%	1.09%
EV / EBITDA*	64.43x	57.12x	33.74x	20.64x	14.96x
Free Cash Flow Yield*	1.15%	0.771%	0.969%	1.84%	3.37%

* For full definitions of *IQmethod℠* measures, see page 6.

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11 November 2026

Equity

Key Changes

(NT$)	Previous	Current
2026E EPS	15.15	14.98
2027E EPS	26.03	26.23
2028E EPS	36.59	36.84
2026E EBITDA (m)	3,181.9	3,293.2
2027E EBITDA (m)	5,171.1	5,382.7
2028E EBITDA (m)	7,170.4	7,424.4

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Stock Data

Price	737.00 TWD
Price Objective	1,050 TWD
Date Established	24-Sep-2026
Investment Opinion	B-1-7
52-Week Range	296.48 TWD-1,060 TWD
Mrkt Val / Shares Out (mn)	3,360 USD / 150.3
Market Value (mn)	110,763 TWD
Average Daily Value (mn)	37.34 USD
Free Float	75.0%
BofA Ticker / Exchange	KIKCF / TAI
Bloomberg / Reuters	1560 TT / 1560.TW
ROE (2026E)	23.5%
Net Dbt to Eqty (Dec-2025A)	-1.8%

See page 3 for Glossary

*iQ*profile℠ Kinik

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	7,019	8,149	10,227	14,060	17,870
Gross Profit	2,188	2,647	4,133	6,277	8,265
Sell General & Admin Expense	(869)	(1,153)	(1,359)	(1,483)	(1,526)
Operating Profit	1,155	1,303	2,554	4,553	6,491
Net Interest & Other Income	134	356	251	321	357
Associates	NA	NA	NA	NA	NA
Pretax Income	1,289	1,659	2,805	4,874	6,847
Tax (expense) / Benefit	(227)	(262)	(513)	(877)	(1,233)
Net Income (Adjusted)	1,035	1,360	2,263	3,960	5,564
Average Fully Diluted Shares Outstanding	146	147	151	151	151
Key Cash Flow Statement Data					
Net Income	1,035	1,360	2,263	3,960	5,564
Depreciation & Amortization	569	642	739	830	934
Change in Working Capital	(185)	(580)	(541)	(1,512)	(994)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	198	492	62	(255)	(239)
Cash Flow from Operations	1,617	1,914	2,523	3,023	5,264
Capital Expenditure	(349)	(1,060)	(1,449)	(984)	(1,530)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	(114)	(853)	39	304	303
Cash Flow from Investing	(462)	(1,913)	(1,410)	(680)	(1,227)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(580)	(584)	(680)	(1,131)	(1,980)
Cash Flow from Financing	(173)	(462)	(262)	(1,131)	(1,980)
Free Cash Flow	1,269	855	1,073	2,039	3,734
Net Debt	(848)	(157)	(342)	(1,554)	(3,611)
Change in Net Debt	(1,825)	696	(190)	(1,212)	(2,057)
Key Balance Sheet Data					
Property, Plant & Equipment	4,249	5,417	5,788	5,788	5,788
Other Non-Current Assets	1,566	2,359	2,810	2,952	3,536
Trade Receivables	1,149	1,420	1,809	2,556	3,036
Cash & Equivalents	2,001	1,578	2,415	3,627	5,684
Other Current Assets	2,087	2,483	3,803	4,737	5,381
Total Assets	11,051	13,258	16,626	19,660	23,424
Long-Term Debt	1,078	1,010	873	873	873
Other Non-Current Liabilities	1,071	1,578	340	340	340
Short-Term Debt	75	412	1,200	1,200	1,200
Other Current Liabilities	1,400	1,770	2,731	2,900	3,030
Total Liabilities	3,625	4,769	5,144	5,312	5,442
Total Equity	7,426	8,489	11,482	14,347	17,982
Total Equity & Liabilities	11,051	13,258	16,625	19,660	23,424
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	11.0%	10.8%	16.7%	24.7%	29.1%
Return On Equity	15.6%	17.8%	23.5%	31.5%	35.3%
Operating Margin	16.5%	16.0%	25.0%	32.4%	36.3%
EBITDA Margin	24.6%	23.9%	32.2%	38.3%	41.5%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.6x	1.4x	1.1x	0.8x	0.9x
Asset Replacement Ratio	0.6x	1.7x	2.0x	1.2x	1.6x
Tax Rate (Reported)	17.6%	15.8%	18.3%	18.0%	18.0%
Net Debt-to-Equity Ratio	-11.4%	-1.8%	-3.0%	-10.8%	-20.1%
Interest Cover	26.2x	26.9x	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 6.

Company Sector

Semiconductor Capital Equipment

Company Description

Kinik was established in 1953 as a conventional grinding wheels supplier. Since 1990-2000s, the company has transformed itself into a semiconductor consumables supplier including CMP pad conditioners (diamond disks) and reclaim/test wafers.

Investment Rationale

We have a Buy rating on Kinik. We acknowledge its technology for CMP diamond disk is solid to support its gain in TSMC advanced nodes and Intel along with growing reclaimed and testing wafer demand. We expect to see margins expansion from mix upgrade in coming years.

Stock Data

Price to Book Value	9.9x

Focus tables

Exhibit 1: Kinik 3Q26-4Q26 and 2026-27 estimates BofAe vs. Street
Our new EPS estimates for 2026/27 are now NT$14.98/26.23

	3Q26E				4Q26E			2026E			2027E	
	Actual	Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street
Sales (NT$mn)	$2,694	$2,706	$2,724	$2,747	$2,787	$2,823	$10,227	$10,279	$10,309	$14,060	$13,909	$12,925
Sales QoQ / YoY (%)	8.1%	8.5%	9.3%	2.0%	3.0%	3.6%	25.5%	26.1%	26.5%	37.5%	35.3%	25.4%
Gross profit (NT$mn)	$1,137	$1,077	$1,110	$1,195	$1,162	$1,183	$4,133	$4,040	$4,096	$6,277	$6,094	$5,629
GMs (%)	42.2%	39.8%	40.8%	43.5%	41.7%	41.9%	40.4%	39.3%	39.7%	44.6%	43.8%	43.6%
Operating profit (NT$mn)	$726	$655	$710	$780	$740	$767	$2,554	$2,443	$2,482	$4,553	$4,341	$3,724
OpMs (%)	27.0%	24.2%	26.1%	28.4%	26.5%	27.2%	25.0%	23.8%	24.1%	32.4%	31.2%	28.8%
Pretax profit (NT$mn)	$732	$754	$759	$877	$857	$809	$2,805	$2,808	$2,754	$4,874	$4,799	$3,998
Pretax margins (%)	27.2%	27.9%	27.9%	31.9%	30.8%	28.7%	27.4%	27.3%	26.7%	34.7%	34.5%	30.9%
Tax expense (NT$mn)	-$141	-$141	-$146	-$164	-$161	-$149	-$542	-$539	-$539	-$914	-$900	-$771
Tax rate (%)	19.3%	18.7%	19.2%	18.7%	18.7%	18.4%	19.3%	19.2%	19.6%	18.7%	18.7%	19.3%
Net profit (NT$mn)	$590	$613	$613	$712	$697	$660	$2,263	$2,269	$2,215	$3,960	$3,899	$3,227
Net margins (%)	21.9%	22.6%	22.5%	25.9%	25.0%	23.4%	22.1%	22.1%	21.5%	28.2%	28.0%	25.0%
EPS (NT$)	$3.91	$4.09	$4.08	$4.72	$4.65	$4.37	$14.98	$15.15	$14.82	$26.23	$26.03	$21.52

Source: Bloomberg, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Terms and definitions
Glossary of abbreviations/acronyms

Term	Definition
ABF	Ajinomoto Build-up Film
ABU	Abrasives Business Unit
AI	Artificial Intelligence
CMP	Chemical-Mechanical Polishing
DBU	Diamond Business Unit
HBM	High Bandwidth Memory
OSAT	Outsourced Semiconductor Assembly/Testing
SBU	Semiconductor Business Unit

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Kinik (KIKCF)
Our Price Objective of NT$1,050 is based on 32x 2H27-1H28E P/E, which is at upper half of the company's historical trading range of 9-42x. In our view, the valuation multiple is underpinned by
1) around +57% earnings CAGR in 2026-28E supported by +32% sales CAGR growth and GMs/OpMs expansion, 2) ROE expansion to around 30% in 2025-28E, 4) net cash of around NT$30/share, and 5) free cash flow generation of around NT$50/share per annum across 2025-27E.

Downside risks to our estimates and expectations are
1) weaker market demand, especially in the cloud AI investment moderation, leading to lower utilization across its major foundry and memory customers and undermining the company's revenue growth and operating leverage
2) slower manufacturing technology migration by its foundry and memory customers, dragging the product upgrade cycle for Kinik and potentially spurring more competition from its peers.
3) failure to execute or delay of technology roadmap, potentially leading to an order shift to its competitors.

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	CXMT	XCXMF	688825 CH	Dai Shen
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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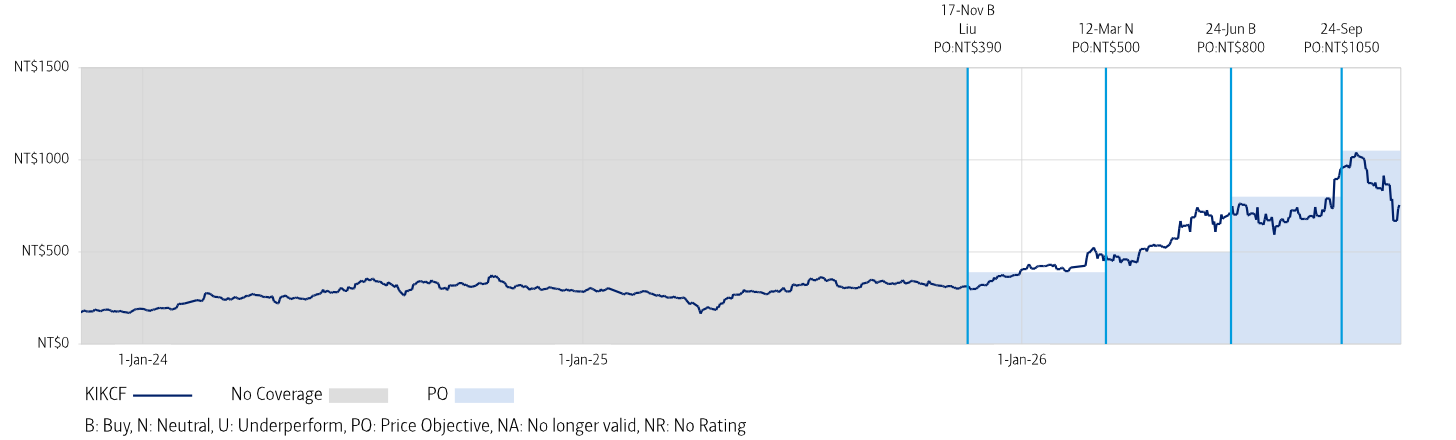
Kinik (KIKCF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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UPDATE

November 11, 2026 10:26 AM GMT

ASMedia Technology Inc | Asia Pacific

Inventory correction extends into 1Q27

AlphaSignals Earnings Reaction

Unchanged	**In-line**	**Largely unchanged**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 3Q revenue of NT$2.66bn (-2% Q/Q, -33% Y/Y) was 39% below MSe
- GM rose 1.3ppt Q/Q to 51.6%, 0.4ppt below MSe, helped by proprietary mix and NRE
- 3Q EPS of NT$26.60 was 11% above MSe, supported by net non-operating income of NT$1.46bn

Inventory adjustment extends into 1Q27. Management sees improving motherboard sell-through, but expects customer destocking to constrain shipments in 4Q26–1Q27. AM4 exceeded 70% of chipset shipments in 3Q and should remain dominant in 4Q, weighing on ASPs. Management indicated GM of around 50% in 4Q26–1Q27 as foundry and backend costs rise; alternative packaging/testing sources should begin helping from 2Q27. October's stronger proprietary mix provided some relief, but 2027 revenue guidance remains unfinalized, with 20% growth now considered aggressive.

Recovery likely depends on execution from 2H27. ASMedia signed a new SOW with the customer and currently sees itself as the sole supplier. Management hopes shipments will start in 2Q27, with meaningful platform volume from 3Q27; ASPs would be at least 50–60% above AM4. PCIe switches contributed 6–8% of revenue after Gen4 yield and thermal issues delayed design-ins, versus a double-digit mix target for 2027. USB4 is expected to more than double from 2026's depressed base, although robotics remains small. New products can support recovery, but higher development spending limits near-term operating leverage.

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ASMedia Technology Inc (5269.TW, 5269 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Underweight**
Industry View	**Attractive**
Price target	NT$1,482.00
Up/downside to price target (%)	24
Shr price, close (Nov 11, 2026)	NT$1,195.00
52-Week Range	NT$1,660.00-1,040.00
Sh out, dil, curr (mn)	74
Mkt cap, curr (mn)	NT$88,842
Avg daily trading value (mn)	NT$1,506

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	73.33	95.89	76.27	94.84
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	72.01	95.89	109.00	150.40
Revenue, net (NT$ mn)	13,415	11,964	13,315	16,375
EBITDA (NT$ mn)	4,472	3,242	4,454	5,891
ModelWare net inc (NT$ mn)	5,426	7,130	5,661	7,038
P/E	16.5	12.5	15.7	12.6
P/BV	2.5	2.2	2.0	1.8
ROE (%)	16.2	19.7	13.8	15.8
EV/EBITDA	15.1	18.2	12.5	8.7
Div yld (%)	4.1	5.5	4.4	5.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

ASMedia Technology Inc (5269.TW)

Base case, residual income model. Key assumptions: cost of equity of 9.8% (beta 1.3, risk-free rate 2% and risk premium 6%), medium-term growth rate of 8.0%, payout ratio of 75% and terminal growth rate of 5.2%.

Risks to Upside

- AMD gains market share thanks to better-than-expected performance.
- In-house designed products grow faster than expected.
- US-China tensions improve and US tariffs alleviate.

Risks to Downside

- AMD cannot get substrate supply, causing earnings downside for ASMedia.
- Intel adopts TSMC's technologies more aggressively to compete with AMD.
- Spec migration on USB 4 is slower.

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Global Stock Ratings Distribution

(as of October 31, 2026)
The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.
For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

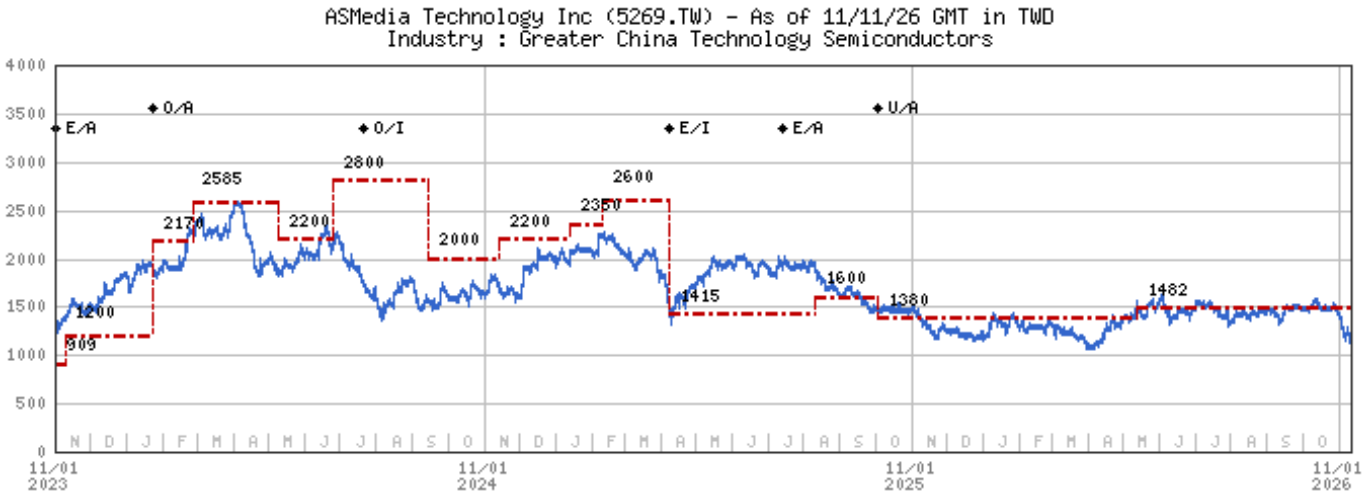
Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 11/1/21 : O/C; 10/4/22 : O/A; 2/22/23 : O/I; 5/30/23 : E/I; 7/7/23 : E/A; 1/23/24 : O/A; 7/21/24 : O/I; 4/8/25 : E/I; 7/14/25 : E/A; 10/3/25 : U/A

Price Target History: 10/8/21 : 2000; 4/8/22 : 2400; 6/6/22 : 2050; 7/12/22 : 1350; 8/8/22 : 1250; 9/13/22 : 1000; 10/18/22 : 818; 2/22/23 : 1175; 3/30/23 : 1320; 5/30/23 : 1240; 7/21/23 : 1030; 8/9/23 : 909; 11/9/23 : 1200; 1/23/24 : 2170; 2/26/24 : 2585; 5/9/24 : 2200; 6/25/24 : 2800; 9/15/24 : 2000; 11/14/24 : 2200; 1/13/25 : 2350; 2/10/25 : 2600; 4/8/25 : 1415; 8/11/25 : 1600; 10/3/25 : 1380; 5/13/26 : 1482

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/11/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$104.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,650.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$617.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb900.00
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb42.07
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,885.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$435.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$75.15
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$72.30
MediaTek (2454.TW)	O (11/28/2025)	NT$3,990.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb523.00
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$394.00
Phison Electronics Corp (8299.TWO)	U (11/11/2026)	NT$1,730.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb85.48
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$467.50
SMIC (0981.HK)	O (10/21/2025)	HK$49.00
TSMC (2330.TW)	O (02/07/2022)	NT$2,395.00
UMC (2303.TW)	O (05/19/2026)	NT$104.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$138.50
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$521.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$101.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb49.38

Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb90.73
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb24.44
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb196.35
Innoscience (2577.HK)	E (10/13/2025)	HK$28.24
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb54.40
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$24.40
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb83.93
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb84.63
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb71.52
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb52.34
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb19.78
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb77.26
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$733.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,195.00
Aspeed Technology (5274.TWO)	E (11/10/2026)	NT$12,555.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$83.30
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$117.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,265.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb175.32
GigaDevice Semiconductor Beijing Inc (603986.SS)	E (11/11/2026)	Rmb259.62
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$8.54
Macronix International Co Ltd (2337.TW)	E (11/11/2026)	NT$82.70
Montage Technology Co Ltd (6809.HK)	E (11/10/2026)	HK$195.50
Montage Technology Co Ltd (688008.SS)	E (11/10/2026)	Rmb162.86
Novatek (3034.TW)	U (02/04/2026)	NT$481.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$107.00
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$412.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	E (11/11/2026)	NT$58.50
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$763.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb61.28
Silicon Motion (SIMO.O)	O (05/06/2024)	US$169.01
Winbond Electronics Corp (2344.TW)	E (11/11/2026)	NT$136.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT$91.70
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$194.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$48.67
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb250.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb55.93
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb547.91
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb86.77
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,015.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$410.00
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$635.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$4,335.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$231.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,480.00

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* Historical prices are not split adjusted.

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UPDATE

November 11, 2026 05:13 AM GMT

Elite Material Co. | Asia Pacific

Addressing investor questions about EMC's share gain for switch board CCL

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Key Takeaways

- We estimate potential single-digit percentage revenue contribution to EMC if CCL enquiries translate to actual revenue.
- We recommend buying technology leaders, such as EMC, amid heightened uncertainty around demand outlook and market volatility.

Additional supply enquiries point to a potential revenue opportunity for EMC. Our supply chain checks indicate that PCB makers supplying NVIDIA (covered by Joseph Moore) have approached EMC (2383.TW, OW) for additional Copper Clad Laminates (CCL) supply support for VR200 switch boards (32-layer PCBs). If these enquiries translate into incremental orders, we estimate the resulting revenue contribution would represent a single-digit percentage of EMC's total revenue.

We expect EMC to retain a majority share of CCL supply for VR200 switch boards. Our positive view reflects EMC's technological capabilities and our preference for market share leaders. While supplier diversification can strengthen long-term supply security, we believe the ability to sustain yields and deliver consistent product quality over time remains a key consideration in supplier selection.

Elite Material Co. (2383.TW, 2383 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$8,800.00
Up/downside to price target (%)	102
Shr price, close (Nov 10, 2026)	NT$4,365.00
52-Week Range	NT$6,470.00-1,295.00
Sh out, dil, curr (mn)	333
Mkt cap, curr (mn)	NT$1,453,964
EV, curr (mn)	NT$1,453,439
Avg daily trading value (mn)	NT$12,045

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	41.67	136.26	293.86	441.35
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	41.73	131.89	277.47	446.26
Revenue, net (NT$ mn)	94,261	213,629	377,334	525,573
EBITDA (NT$ mn)	20,958	64,796	140,004	210,383
ModelWare net inc (NT$ mn)	14,649	48,824	105,298	158,145
P/E	39.5	32.0	14.9	9.9
P/BV	11.5	17.3	9.4	6.0
RNOA (%)	49.6	100.8	112.5	107.7
ROE (%)	41.7	96.8	116.8	95.1
EV/EBITDA	27.6	22.5	10.3	6.6
Div yld (%)	1.0	0.6	1.9	4.0
FCF yld ratio (%)**	0.4	0.1	3.2	7.1
Leverage (EOP) (%)	(1.0)	7.6	(8.2)	(23.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Elite Material Co. (2383.TW)

Base case, derived from a residual income (RI) model. Key assumptions include a cost of equity of 9.3% (beta of 1.0, equity premium of 8.7% and risk-free rate of 1%), medium-term growth rate of 12%, and terminal growth rate of 3%.

Risks to Upside

- Stronger AI demand
- Share gains
- Faster-than-expected material upgrades
- Slower-than-expected CPO adoption

Risks to Downside

- Weaker AI demand
- Share loss
- Slower-than-expected material upgrades
- Faster-than-expected CPO adoption

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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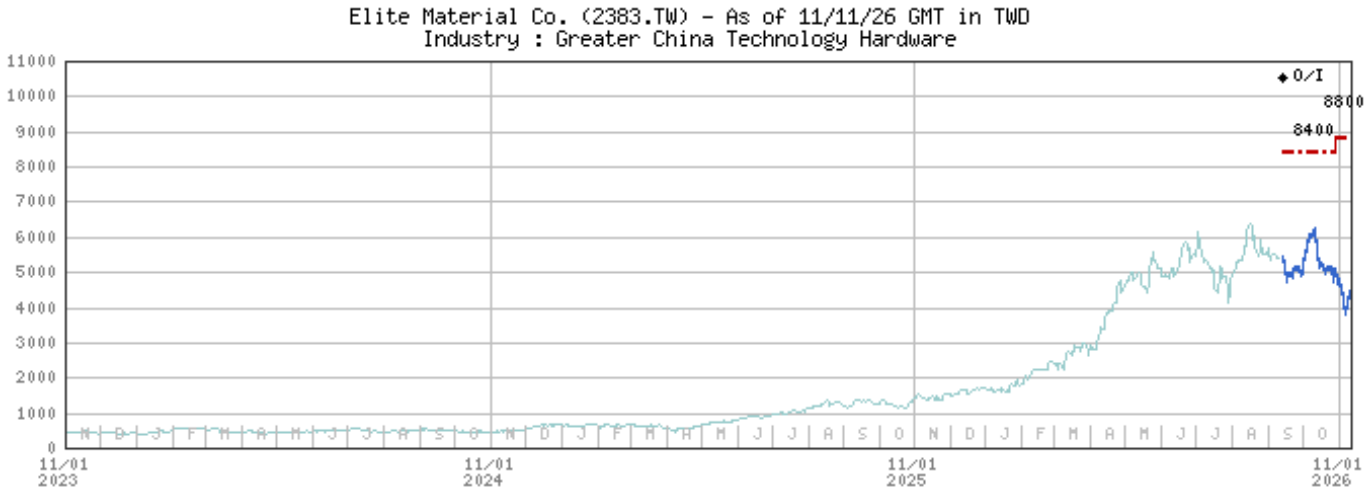

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/10/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$38.54
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb94.48
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.50
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.08
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.36
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb183.80
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$905.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb25.69
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.83
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$55.20
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,065.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.68
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.23
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.84
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.72
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb51.68
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.73
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.35
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb82.10
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$38.38
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK$66.65
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb126.41
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.04
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.60

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb252.33
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$89.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb110.98
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.73
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb471.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$594.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.22
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.49
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,545.00
Advantech (2395.TW)	O (01/20/2021)	NT$593.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,060.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,790.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$27.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,235.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,530.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.50
Chenbro (8210.TW)	E (11/09/2026)	NT$567.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,310.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,275.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,990.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$291.50
Innolux (3481.TW)	E (04/07/2025)	NT$39.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.17
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$233.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.60
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.62
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.15
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$884.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$32.60
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,365.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.68
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb43.18
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$304.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$983.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$241.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.55
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$28.26
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,115.00
Lenovo (0992.HK)	O (07/10/2026)	HK$19.11
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,760.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,005.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$96.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$298.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.93
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb208.20
Unimicron (3037.TW)	O (02/23/2026)	NT$828.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$369.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$171.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,680.00

Yageo Corp. (2327.TW)	O (10/28/2025)	NT$416.50
Zhen Ding (4958.TW)	++	NT$430.50
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$366.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$982.00

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* Historical prices are not split adjusted.

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UPDATE

November 11, 2026 01:50 PM GMT

MPI Corporation | Asia Pacific

Margin recovery in 3Q26; stay OW

AlphaSignals Earnings Reaction

Unchanged	Modest upside	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 3Q26 results beat; 4Q26 revenue could grow 5-10% QoQ.
- We think GM in the low 60s (%) can be sustained in 4Q.
- CPO insertion is still on track but not finalized yet.
- There might not be a 2027 capacity expansion update until December.
- Stay OW – we cite strong AI/HPC demand, increasing pin count for the leading-edge products, and the capability to pass increasing cost on to customers

MPI reported 3Q26 gross margin of 61.7%, above our estimate of 59.8% and consensus of 59.5%: The margin beat came mostly from higher HPC demand; VPC and MEMS made up more than half of total revenue.

With the strong demand for HPC continuing, we expect 4Q26 revenue to grow 5-10% QoQ...

...with GM maintained in the low 60s (%).

Still in qualification for insertion 2: The engineering tester for insertion 3 has already been shipped to customers and is likely to go into mass production and shipments in 1H27. The company is still in qualification for insertion 2, for which the results might not be disclosed until December 2026.

We expect a clearer 2027 capacity expansion plan by year-end – after the budget planning is finalized.

Key questions for the upcoming earnings call (November 16):

1. 2027 guidance including capacity expansion plan and pricing dynamics,
2. CPO schedule and TAM,
3. How much margin accretion from self-produced PCB.

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Morgan Stanley appreciates your support in the 2027 Extel Asia Research Survey. Request your ballot here.

MPI Corporation (6223.TWO, 6223 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	NT$8,000.00
Up/downside to price target (%)	79
Shr price, close (Nov 11, 2026)	NT$4,480.00
52-Week Range	NT$7,700.00-1,705.00
Sh out, dil, curr (mn)	101
Mkt cap, curr (mn)	NT$450,885
EV, curr (mn)	NT$447,369
Avg daily trading value (mn)	NT$5,286

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	32.51	64.33	150.14	319.57
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	33.07	66.00	132.51	215.45
Revenue, net (NT$ mn)	13,371	21,126	46,004	87,997
EBITDA (NT$ mn)	4,566	7,241	17,492	37,514
ModelWare net inc (NT $ mn)	3,179	6,119	14,264	30,335
P/E	69.2	69.4	29.8	14.0
P/BV	15.5	21.9	14.3	8.8
RNOA (%)	41.9	52.4	102.6	162.2

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Exhibit 1: MPI: 3Q26 Earnings Review

P/L Comparison	3Q26								
(NT$ mn)	3Q25	2Q26	3Q26	Q/Q	Y/Y	MSe.	Diff.	Cons.	Diff.
Net sales	**3,414**	**5,233**	**5,904**	**13%**	**73%**	**5,623**	**5%**	**5,859**	**1%**
Gross profit	1,822	3,055	3,641	**19%**	**100%**	3,365	**8%**	3,486	**4%**
Operating profit	896	1,802	2,276	**26%**	**154%**	1,950	**17%**	2,052	**11%**
Pretax profit	1,053	1,906	2,377	**25%**	**126%**	1,962	**21%**	2,087	**14%**
Net profit	877	1,524	1,868	**23%**	**113%**	1,569	**19%**	1,696	**10%**
EPS (NT$)	**9.00**	**15.55**	**19.70**	**27%**	**119%**	**16.54**	**19%**	**16.73**	**18%**
Key ratios (%)									
Gross margin	53.4%	58.4%	61.7%	-1.1 ppt	0.1 ppt	59.8%	1.8 ppt	59.5%	2.2 ppt
Operating margin	26.2%	34.4%	38.6%	2.1 ppt	1.7 ppt	34.7%	3.9 ppt	35.0%	3.5 ppt
Pretax margin	30.8%	36.4%	40.3%	-2.4 ppt	13.5 ppt	34.9%	5.4 ppt	35.6%	4.6 ppt
Net profit margin	25.7%	29.1%	31.6%	-2.1 ppt	10.0 ppt	27.9%	3.7 ppt	28.9%	2.7 ppt

Source: Company Data, Visible Alpha, Morgan Stanley Research estimates

ROE (%)	34.2	42.0	71.7	99.8
EV/EBITDA	48.8	61.4	25.1	11.4
Div yld (%)	0.0	0.0	0.0	0.0
FCF yld ratio (%)**	0.5	0.8	2.2	5.5
Leverage (EOP) (%)	(24.1)	(31.5)	(39.2)	(48.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

MPI Corporation (6223.TWO)

We derive our price target from a residual income model, as we believe this can best capture the long-term value. We assume a 9.78% cost of equity (risk-free rate 2.0% and risk premium 6.0%), a payout ratio of 67%, a medium-term growth rate of 16.0%, and a terminal growth rate of 4.0%. Our price target implies 50x/25x 2027e/2028e P/E. We believe its valuation will continue to climb along with growing earnings.

Risks to Upside

- Stronger-than-expected AI demand
- Stronger-than-expected market share gain from peers
- Stronger-than-expected CPO development

Risks to Downside

- Slower-than-expected AI demand
- Slower-than-expected market share gain from peers
- Slower-than-expected CPO development

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(as of October 31, 2026)
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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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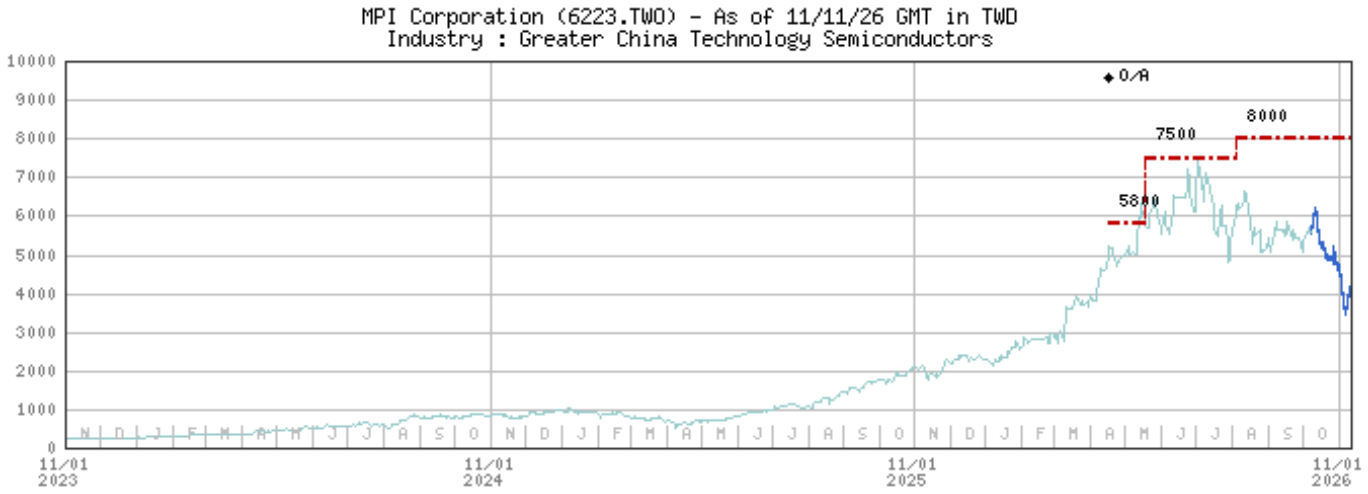
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/11/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$104.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,650.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$617.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb900.00
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb42.07
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,885.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$435.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$75.15
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$72.30
MediaTek (2454.TW)	O (11/28/2025)	NT$3,990.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb523.00
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$394.00
Phison Electronics Corp (8299.TWO)	U (11/11/2026)	NT$1,730.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb85.48
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$467.50
SMIC (0981.HK)	O (10/21/2025)	HK$49.00
TSMC (2330.TW)	O (02/07/2022)	NT$2,395.00
UMC (2303.TW)	O (05/19/2026)	NT$104.00
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$138.50
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$521.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$101.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb49.38
Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb90.73
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb24.44
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb196.35

Innoscience (2577.HK)	E (10/13/2025)	HK$28.24
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb54.40
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$24.40
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb83.93
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb84.63
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb71.52
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb52.34
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb19.78
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb77.26
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$733.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,195.00
Aspeed Technology (5274.TWO)	E (11/10/2026)	NT$12,555.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$83.30
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$117.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,265.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb175.32
GigaDevice Semiconductor Beijing Inc (603986.SS)	E (11/11/2026)	Rmb259.62
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$8.54
Macronix International Co Ltd (2337.TW)	E (11/11/2026)	NT$82.70
Montage Technology Co Ltd (6809.HK)	E (11/10/2026)	HK$195.50
Montage Technology Co Ltd (688008.SS)	E (11/10/2026)	Rmb162.86
Novatek (3034.TW)	U (02/04/2026)	NT$481.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$107.00
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$412.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	E (11/11/2026)	NT$58.50
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$763.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb61.28
Silicon Motion (SIMO.O)	O (05/06/2024)	US$169.01
Winbond Electronics Corp (2344.TW)	E (11/11/2026)	NT$136.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT$91.70
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$194.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$48.67
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb250.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb55.93
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb547.91
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb86.77
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,015.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$410.00
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$635.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$4,335.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$231.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,480.00

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UPDATE

November 11, 2026 03:45 PM GMT

Quanta Computer Inc. | Asia Pacific

3Q26 OpM miss; stay OW

AlphaSignals Earnings Reaction

Unchanged	Modest shortfall	Modest revision lower
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Management said AI demand has remained unchanged in recent weeks. It reiterates confidence in strong double-digit y/y growth into 2027. General server demand continues to exceed expectations YTD, driven by agentic AI.

Platform transition weighs on 4Q shipments; VR200 to support CY27 growth: AI servers contributed 75–80% of 3Q26 server revenue, with CY26 AI revenue on track for triple-digit y/y growth and ~65% of Quanta's total revenue. The platform transition is expected to drive a q/q decline in 4Q26 NVL72 rack shipments, but management's tone suggests a milder decline than our prior forecast of 4K racks (vs. ~6.2K in 3Q26). We therefore raise our 4Q26 NVL72 production forecast 1K, to 5K, implying 21.9K builds in CY26. Management expects shipments to accelerate in 1Q27 as VR200 ramps, supporting high double-digit AI server revenue growth in CY27. ASIC servers' revenue contribution is projected to double, from high single digits in CY26 to double digits in CY27.

Agentic AI supports general server growth: Management noted that YTD general server shipments have exceeded expectations, with both shipments and revenue increasing q/q in 3Q26 and further growth expected in 4Q26, primarily driven by agentic AI. Management expects steady double-digit y/y growth in both shipments and revenue in CY27, with deployments broadly balanced between x86 and Arm-based platforms and comparable margin profiles. While industry-wide component shortages persist, particularly in memory, CPUs and PCBs, management indicated that tier-1 CSPs continue to secure sufficient supply.

Lower NB volumes and rising costs pressure margins: Quanta's NB shipments fell 17% q/q, to 9.6M units in 3Q26, weaker than normal seasonality but above guidance of a 20% decline. Rising memory costs and lower scale weighed on profitability, and we expect margin pressure to persist in 4Q26. Management guides for another double-digit q/q shipment decline in 4Q26, albeit narrower than in 3Q26, implying a 15–20% y/y decline for CY26. We project 4Q26 shipments of 8.3M units (-14% q/q) and CY26 shipments of 39.4M units (-15% y/y). For CY27, management expects NB shipments to decline in high single digits to 10% y/y and PC/NB revenue to fall to a single-digit share of the mix, reflecting AI server racks' substantially higher ASPs.

Keep price target at NT$385 and stay OW: Our target implies 11.8x CY27e P/E or 11.0x CY28e P/E, vs. its three-year range of 6-18x. Risk-reward looks attractive at 9.1x CY27e P/E, below the three-year average of 11.7x, with ~5.1% dividend yield (DPS of NT$15.6).

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Quanta Computer Inc. (2382.TW, 2382 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$385.00
Up/downside to price target (%)	29
Shr price, close (Nov 11, 2026)	NT$298.00
52-Week Range	NT$438.00-260.00
Sh out, dil, curr (mn)	3,862
Mkt cap, curr (mn)	US$34,944
EV, curr (mn)	US$36,912
Avg daily trading value (mn)	NT$6,853

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	19.42	26.43	32.68	34.94
Prior EPS (NT$)**	-	24.66	28.80	30.80
EPS (NT$)§	18.43	26.86	32.17	38.52
Revenue, net (NT$ bn)	2,123.7	4,009.2	6,092.9	7,004.7
EBITDA (NT$ bn)	99.8	133.3	176.8	191.0
ModelWare net inc (NT $ bn)	75.0	102.1	126.2	134.9
P/E	14.0	11.3	9.1	8.5
P/BV	4.1	3.6	2.9	2.3
RNOA (%)	27.9	31.0	24.1	17.7
ROE (%)	32.6	39.9	39.6	33.4
EV/EBITDA	11.2	10.4	8.9	8.3
Div yld (%)	3.7	3.6	3.9	4.1
FCF yld ratio (%)**	(2.4)	(11.9)	(11.9)	2.0
Leverage (EOP) (%)	31.3	80.1	107.5	92.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Risk Reward – Quanta Computer Inc. (2382.TW)

AI server growth story intact; OW

PRICE TARGET NT$385.00

Base case, residual income model. Key assumptions include a cost of equity of 9.0% (beta of 1.2, equity premium of 6.0% and risk-free rate of 1.5%), a 7.0% medium-term growth rate, and a 3% terminal growth rate.

Consensus Price Target Distribution

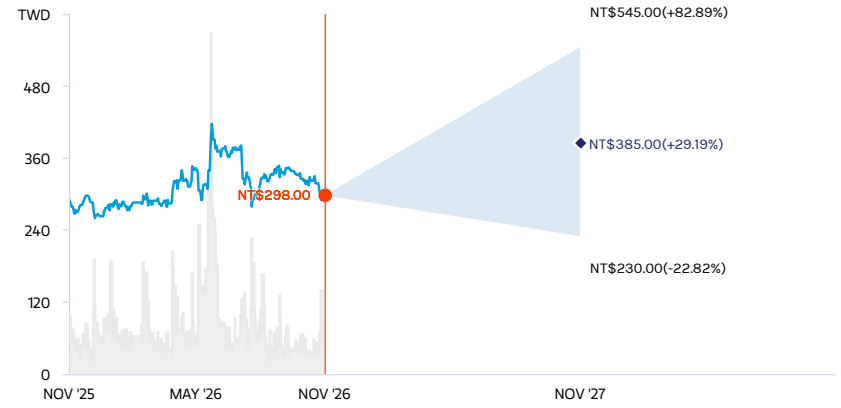
NT$290.00 — NT$429.71 — NT$626.00

MS PT

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Quanta should benefit from rising AI server demand (GPUs and ASICs), given its design capability and close relationship with global cloud customers.
- Quanta had some production and delivery hiccups on GB racks in CY25, but these appear to have been resolved in CY26. We expect Quanta's supply share to remain at ~26% in CY27 for GB and VR racks combined.
- Quanta is transitioning more resources from auto/EV to more profitable products and narrowing the breadth of its portfolio.
- Our price target implies 11.8x CY27e EPS, which we view as fair vs. its three-year range of 6-18x. Valuation looks attractive at 9.1x CY27e P/E, with ~5% dividend yield.

Consensus Rating Distribution

81%	Overweight
14%	Equal-weight
5%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$545.00

16.7x 2027e P/E

Strong sales growth with margin expansion: We forecast a total sales CAGR of 60-65% for 2025-28, boosted by even stronger data center sales growth and NB demand. We project operating profit margin to reach ~6% by 2028, up from ~4.1% in 2025.

BASE CASE NT$385.00

11.8x 2027e P/E

Strong growth in 2027 driven by AI server sales: We forecast a total sales CAGR of ~49% for 2025-28, with data centers showing 60-70% growth after incorporating AI server assumptions (70-80% CAGR), and NB staying flat. We project that operating profit margin will fall to ~2.5% by 2028 (AI servers are margin-dilutive) vs. ~4.1% in 2025.

BEAR CASE NT$230.00

7x 2027e P/E

Sales decline with margin contraction: We project total sales at a negative CAGR over 2025-28, owing to worse-than-expected NB weakness plus softer data center and Apple Watch-related sales. We see operating profit margin falling to ~1.8% by 2028, from ~4.1% in 2025.

Risk Reward – Quanta Computer Inc. (2382.TW)

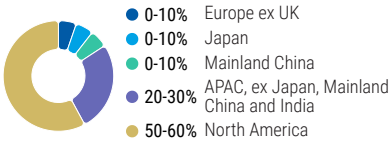
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
NB shipment y/y (%)	1.3	(15.3)	(9.1)	1.2
Data center hardware revenue y/y (%)	24.7	54.4	24.4	9.2
NB OPM (%)	3.4	2.5	2.0	2.4
Data center hardware OPM (%)	9.4	8.1	7.3	7.3

INVESTMENT DRIVERS

- Data center hardware demand growth
- Margin performance
- Apple Watch business profitability
- Non-Apple NB shipment strength
- MacBook demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected NB demand
- Stronger-than-expected Apple Watch demand
- Stronger-than-expected server demand
- Faster-than-expected AI server penetration

RISKS TO DOWNSIDE

- Weaker-than-expected NB demand
- Softer-than-expected Apple Watch demand
- Weak margin performance owing to rising labor costs and sales shortfalls
- Fierce price competition in the mega data center segment
- Slower-than-expected AI server penetration

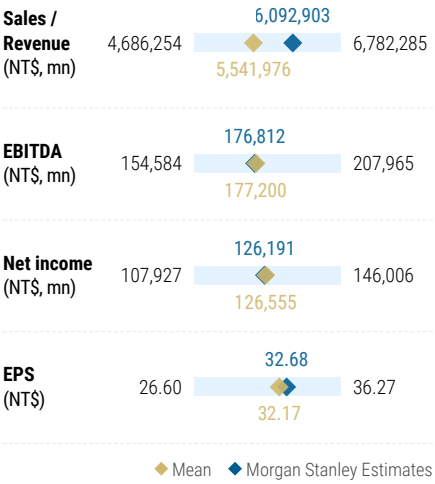
OWNERSHIP POSITIONING

Inst. Owners, % Active 75.9%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

3Q26 Results Summary

Component cost pressure drove 3Q GM miss:

Revenue was NT$1,115.5bn (+8% q/q, +125% y/y), but GM deteriorated to 4.8% (-30bps q/q, -210bps y/y), which is 40bps below our estimate and 20bps below the Street.

Management cited the following reasons for the GM miss:

- PC/NB: cost pressures from inflationary component pricing; diminishing economies of scale.
- Servers: inflationary component pricing pressured server gross margins, despite a slight decline in AI server shipments.

However, opex was also higher than expected, mainly owing to higher R&D expenses. Thus, OP came in at NT$32.2bn (-6% q/q, +75% y/y), 7% below our estimate and 112% below the Street.

OpM was 2.9% (-40bps q/q, -80bps y/y). Management guided for 2H OpM to be flat h/h, so we think 3Q OpM was a miss.

Non-op income was higher than expected because of ~NT$3.9bn in FX gains, so net profit came in at ~NT$28.4bn (-1% q/q, +73% y/y) for EPS of NT$7.36, 6% above our estimate and 2% above the Street.

Consignment? Under the buy-and-sell model, high-ASP server rack procurement inflated revenue but diluted gross margins and to a lesser extent operating margins (owing to operating leverage) via pass-through component accounting. Management continues to stress absolute profit expansion and sustained >20% ROIC over margin ratios. To mitigate balance sheet inventory carrying risk and working capital burden, Quanta will continue to negotiate for a consignment business model with its CSP customers into CY27.

Exhibit 1: Quanta's 3Q26P Results Summary

NT$mn	Actual 3Q26	Q/Q	Y/Y	MS Forecast 3Q26E	% Diff.	Cons. 3Q26E	% Diff.
P&L Summary							
Net sales	**1,115,545**	**8%**	**125%**	**972,820**	**15%**	**1,116,408**	**0%**
COGS	(1,062,520)			(922,457)		(548,670)	
Gross profit	**53,024**	**2%**	**56%**	**50,362**	**5%**	**55,610**	**-5%**
Operating expenses	(20,821)			(15,776)		(16,690)	
Operating income	**32,204**	**-6%**	**75%**	**34,586**	**-7%**	**36,133**	**-11%**
Non-operating income	2,681			(725)		630	
Pretax income	**34,885**	**-5%**	**67%**	**33,861**	**3%**	**35,573**	**-2%**
Income tax	(6,251)			(6,772)		-	
Minority interest	(212)			(208)		-	
Net income	**28,422**	**-1%**	**73%**	**26,880**	**6%**	**27,834**	**2%**
EPS (NT$)	**7.36**			**6.96**		**7.21**	
Margins		**ppt**	**ppt**		**ppt**		**ppt**
Gross margin	4.8%	-0.3	-2.1	5.2%	-0.4	5.0%	-0.2
Operating margin	2.9%	-0.4	-0.8	3.6%	-0.7	3.2%	-0.3
Pretax margin	3.1%	-0.4	-1.1	3.5%	-0.4	3.2%	-0.1
Net margin	2.5%	-0.2	-0.8	2.8%	-0.2	2.5%	0.1

Note: Past performance is no guarantee of future results. Results shown do not include transaction costs. Source: Company data, TEJ, Morgan Stanley Research.

Estimate Changes

We update our model to factor in the 3Q26 margin miss and updated guidance from management, which leads to increases of 7%, 13%, and 13% changes to our EPS estimates for 2026, 2027, and 2028, respectively. We primarily raise our revenue assumptions while lowering our margin assumptions for 2026-2028.

Exhibit 2: Estimate changes

Year to Dec. 31	2026E		%	2027E		%	2028E		%
(NT$m)	New	Old	diff	New	Old	diff	New	Old	diff
P&L Summary									
Net sales	**4,009,201**	**3,582,583**	**12%**	**6,092,903**	**3,937,248**	**55%**	**7,004,713**	**4,276,884**	**64%**
COGS	(3,814,855)	(3,396,775)		(5,847,917)	(3,728,182)		(6,740,213)	(4,057,087)	
Gross profit	**194,346**	**185,808**	**5%**	**244,986**	**209,066**	**17%**	**264,499**	**219,796**	**20%**
Operating expenses	(74,510)	(64,172)		(82,633)	(65,195)		(88,973)	(66,224)	
Operating income	**119,836**	**121,636**	**-1%**	**162,353**	**143,871**	**13%**	**175,527**	**153,572**	**14%**
Non-operating income	5,767	(662)		(4,205)	(2,900)		(6,501)	(2,900)	
Pretax income	**125,603**	**120,973**	**4%**	**158,147**	**140,971**	**12%**	**169,026**	**150,672**	**12%**
Income tax	(22,883)	(24,922)		(31,265)	(28,906)		(33,377)	(30,854)	
Minority interest	(658)	(806)		(691)	(847)		(725)	(889)	
Net income	**102,062**	**95,246**	**7%**	**126,191**	**111,218**	**13%**	**134,924**	**118,929**	**13%**
EPS (NT$)	**26.43**	**24.66**	**7%**	**32.68**	**28.80**	**13%**	**34.94**	**30.80**	**13%**
Margins									
Gross margin	4.8%	5.2%		4.0%	5.3%		3.8%	5.1%	
Operating margin	3.0%	3.4%		2.7%	3.7%		2.5%	3.6%	
Pretax margin	3.1%	3.4%		2.6%	3.6%		2.4%	3.5%	
Net margin	2.5%	2.7%		2.1%	2.8%		1.9%	2.8%	

Source: Morgan Stanley Research (E) estimates.

Price Target and Valuation Methodology

We keep our price target at NT$385, reflecting the offset between raised 2026-28 earnings estimates and a lower medium-term growth rate: This implies 11.8x CY27e and 11.0x CY28e EPS, in line with the average of Quanta's three-year historical range of 11.7x. We view this as reasonable because we expect the company to benefit from rising AI server and EV demand over the long term, which will offset the weakness in the PC segment and drive mix improvements.

We continue to apply a residual income model to derive our price target. Our key assumptions include:

- A cost of equity of 9.0% (beta of 1.2, equity premium of 6.0%, and risk-free rate of 1.5%)
- A 7.0% medium-term growth rate – lowered from 8.5% previously, as we bake in some conservatism on concerns over a potential slowdown in data center build-out following the US midterm elections (see our Global Team's view), which could affect Quanta's server business directly.
- A 3% terminal growth rate

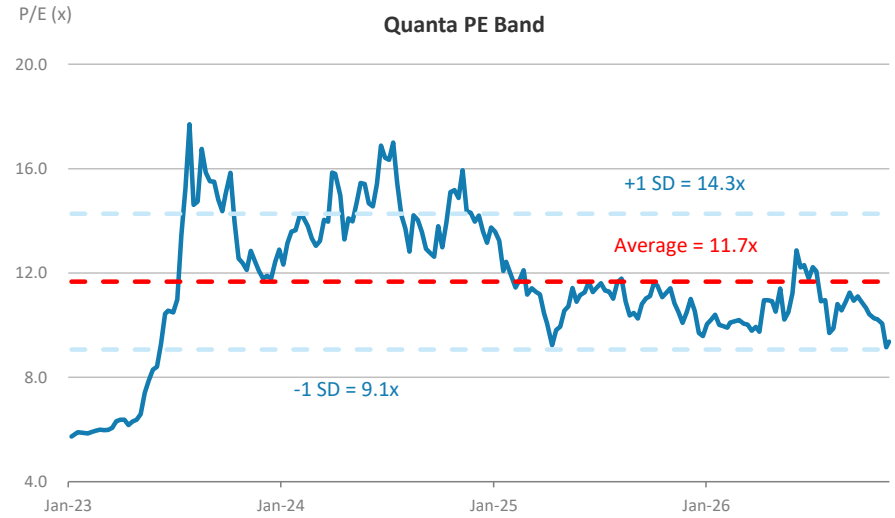
Our bull and bear case scenario values also stay unchanged at $545 and NT$230, respectively.

Exhibit 3: Residual income (RI) model

NT$ mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	**318,915**	**403,500**	**493,905**	**590,005**	**692,831**	**802,855**	**920,582**	**1,046,548**	**1,181,333**	**1,325,553**	**1,479,868**
Net Profit - post bonus	**102,062**	**126,191**	**134,924**	**144,369**	**154,474**	**165,288**	**176,858**	**189,238**	**202,484**	**216,658**	**231,824**
Return on Equity	36%	35%	30%	27%	24%	22%	21%	19%	18%	17%	17%
Beta	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Equity Risk Premium (Rm-Rf)	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Risk Free Rate (Rf)	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Cost of Equity	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%
Beginning Equity Capital	318,915										
PV of Forecast Period	527,817										
PV of Continuing Value	640,216										
Equity Value	1,486,948										
No. of Shares	3,862										
Projected Price (EoY)	**385.0**										
Implied 2027 P/E	**11.8x**										
Implied 2028 P/E	**11.0x**										

Source: Morgan Stanley Research (E) estimates.

Exhibit 4: Quanta's three-year P/E



Source: Morgan Stanley Research estimates.

Financials

Exhibit 5: Quarterly Estimates

Quanta: Consolidated Quarterly Earnings Summary

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	2025	2026E	2027E	2028E
Net sales	**485,672**	**504,122**	**495,258**	**638,637**	**809,221**	**1,036,593**	**1,115,545**	**1,047,843**	**2,123,689**	**4,009,201**	**6,092,903**	**7,004,713**
COGS	(447,189)	(468,588)	(461,340)	(598,239)	(770,524)	(984,514)	(1,062,520)	(997,297)	(1,975,357)	(3,814,855)	(5,847,917)	(6,740,213)
Gross profit	**38,483**	**35,533**	**33,918**	**40,398**	**38,697**	**52,079**	**53,024**	**50,546**	**148,332**	**194,346**	**244,986**	**264,499**
Operating expenses	(13,882)	(15,130)	(15,544)	(16,380)	(15,673)	(17,835)	(20,821)	(20,182)	(60,936)	(74,510)	(82,633)	(88,973)
SG&A, R&D exp.	(13,882)	(15,130)	(15,544)	(16,380)	(15,673)	(17,835)	(20,821)	(20,182)	(60,936)	(74,510)	(82,633)	(88,973)
Employee bonus	-	-	-	-	-	-	-	-	0	0	0	0
Operating income	**24,600**	**20,403**	**18,374**	**24,019**	**23,024**	**34,244**	**32,204**	**30,364**	**87,396**	**119,836**	**162,353**	**175,527**
Non-operating income	**669**	**1,214**	**2,535**	**3,459**	**1,513**	**2,317**	**2,681**	**(744)**	**7,877**	**5,767**	**(4,205)**	**(6,501)**
Interest income	(1,001)	(213)	(674)	(31)	(2,075)	(1,693)	(2,294)	(2,294)	(1,920)	(8,356)	(10,405)	(12,701)
Investment income	(14)	(5)	(5)	(3)	(6)	(4)	-	-	(27)	(10)	0	0
Disposal of investment	-	-	-	-	-	-	-	-	0	0	0	0
Exchange gain	2,075	668	2,271	3,545	3,249	3,273	3,900	800	8,560	11,222	3,200	3,200
Other	(392)	764	943	(51)	344	741	1,075	750	1,264	2,911	3,000	3,000
Pre-tax income	**25,269**	**21,617**	**20,909**	**27,478**	**24,537**	**36,561**	**34,885**	**29,620**	**95,273**	**125,603**	**158,147**	**169,026**
Income tax	(5,572)	(4,541)	(4,279)	(5,094)	(3,231)	(7,774)	(6,251)	(5,628)	(19,487)	(22,883)	(31,265)	(33,377)
Minority interest	(199)	(215)	(198)	(187)	(114)	(136)	(212)	(196)	(799)	(658)	(691)	(725)
Net income	**19,498**	**16,861**	**16,431**	**22,197**	**21,192**	**28,651**	**28,422**	**23,796**	**74,988**	**102,062**	**126,191**	**134,924**
Adj.wtd.avg.shrs (mn)	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862
EPS (NT$)	**5.05**	**4.37**	**4.25**	**5.75**	**5.49**	**7.42**	**7.36**	**6.16**	**19.42**	**26.43**	**32.68**	**34.94**
Fully Diluted shares (mn)	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862	3,862
Diluted EPS (NT$)	**5.05**	**4.37**	**4.25**	**5.75**	**5.49**	**7.42**	**7.36**	**6.16**	**19.42**	**26.43**	**32.68**	**34.94**
Margins (%)												
Gross Margin	7.9	7.0	6.8	6.3	4.8	5.0	4.8	4.8	7.0	4.8	4.0	3.8
Operating Margin	5.1	4.0	3.7	3.8	2.8	3.3	2.9	2.9	4.1	3.0	2.7	2.5
Pretax Margin	5.2	4.3	4.2	4.3	3.0	3.5	3.1	2.8	4.5	3.1	2.6	2.4
Net Margin	4.0	3.3	3.3	3.5	2.6	2.8	2.5	2.3	3.5	2.5	2.1	1.9
QoQ Growth (%)												
Sales	16	4	(2)	29	27	28	8	(6)				
Gross Profit	24	(8)	(5)	19	(4)	35	2	(5)				
Operating Profit	62	(17)	(10)	31	(4)	49	(6)	(6)				
Pretax Profit	42	(14)	(3)	31	(11)	49	(5)	(15)				
Net Profit	23	(14)	(3)	35	(5)	35	(1)	(16)				
YoY Growth (%)												
Sales	88	63	17	53	67	106	125	64	51	89	52	15
Gross Profit	75	34	9	30	1	47	56	25	34	31	26	8
Operating Profit	110	34	(6)	58	(6)	68	75	26	42	37	35	8
Pretax Profit	74	10	(2)	55	(3)	69	67	8	30	32	26	7
Net Profit	62	11	(1)	40	9	70	73	7	26	36	24	7

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 6: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Net sales	**2,123,689**	**4,009,201**	**6,092,903**	**7,004,713**
COGS	(1,975,357)	(3,814,855)	(5,847,917)	(6,740,213)
Gross profit	**148,332**	**194,346**	**244,986**	**264,499**
Operating expenses	(60,936)	(74,510)	(82,633)	(88,973)
Operating income	**87,396**	**119,836**	**162,353**	**175,527**
Non-operating income	**7,877**	**5,767**	**(4,205)**	**(6,501)**
Interest income, net	(1,920)	(8,356)	(10,405)	(12,701)
Investment income	(27)	(10)	-	-
Exchange gain	8,560	11,222	3,200	3,200
Other	1,264	2,911	3,000	3,000
Pre-tax income	**95,273**	**125,603**	**158,147**	**169,026**
Income tax	(19,487)	(22,883)	(31,265)	(33,377)
Minority interests	(799)	(658)	(691)	(725)
Net income	74,988	102,062	126,191	134,924
Reported EPS (NT$)	**19.42**	**26.43**	**32.68**	**34.94**
Fully-diluted EPS (NT$)	**19.42**	**26.43**	**32.68**	**34.94**

Consolidated Cash Flow Statement

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Operating CF	**(10,365)**	**(126,434)**	**(126,736)**	**33,417**
Net Profits	75,786	102,062	126,191	134,924
Depreciation & Amort.	12,441	13,450	14,460	15,469
Change in WC	627,233	(418,703)	(462,711)	(202,449)
Other adjustments	(725,825)	176,756	195,325	85,473
Investing CF	**(8,338)**	**(9,990)**	**(10,000)**	**(10,000)**
Change of FA (Capex)	(14,327)	(10,000)	(10,000)	(10,000)
Change of L/T invest.	167	10	-	-
Other adjustments	5,823	-	-	-
Financing CF	**38,764**	**127,012**	**140,714**	**36,111**
Increase in L/T debt	2,062	-	-	-
Increase in S/T debt	84,166	160,169	176,576	74,886
Issuance of stock	-	-	-	-
Cash dividends	(50,214)	(38,884)	(41,606)	(44,519)
Other adjustments	2,749	5,727	5,744	5,744
FX adjust.	(5,744)	(5,744)	(5,744)	(5,744)
Net change in cash	**14,318**	**(15,156)**	**(1,766)**	**53,784**

Consolidated Balance Sheet

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Cash	178,310	163,153	161,388	215,172
Mkt securities	24,318	24,318	24,318	24,318
A/R	494,969	934,425	1,420,074	1,632,590
Inventory	512,946	990,613	1,518,543	1,750,248
Others	21,522	40,631	61,748	70,988
Current Assets	**1,232,064**	**2,153,140**	**3,186,070**	**3,693,316**
Long-term investments	15,194	15,185	15,185	15,185
Fixed assets	72,970	69,519	65,059	59,590
Other assets	22,883	22,883	22,883	22,883
Total Assets	**1,343,112**	**2,260,727**	**3,289,198**	**3,790,974**
S/T borrowings	258,327	418,497	595,073	669,959
AP/NP	535,232	1,033,653	1,584,520	1,826,292
Other ST liabilities	220,596	416,451	632,893	727,606
Total current liabilities	**1,014,155**	**1,868,600**	**2,812,486**	**3,223,857**
L/T debt	-	-	-	-
Other LT libilities	73,212	73,212	73,212	73,212
Total Liabilities	**1,087,367**	**1,941,812**	**2,885,698**	**3,297,069**
Common shares	38,626	38,619	38,619	38,619
Retained Earnings	142,378	205,556	290,141	380,546
Other SH equity	74,740	74,740	74,740	74,740
Shareholders' equity	**255,745**	**318,915**	**403,500**	**493,905**
Total Liab./SE	**1,343,112**	**2,260,727**	**3,289,198**	**3,790,974**

Consolidated Financial Ratios

NT$mn (Year End Dec)	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	7.0	4.8	4.0	3.8
Operating margin	4.1	3.0	2.7	2.5
Pretax margin	4.5	3.1	2.6	2.4
Net margin	3.5	2.5	2.1	1.9
YoY growth (%)				
Sales	51	89	52	15
Operating profits	42	37	35	8
Pretax profits	30	32	26	7
Net profits	26	36	24	7
Others				
Cash div payout	80%	80%	80%	80%
Adjusted cash div (NT$)	15.6	21.2	26.3	28.1
Yield	12%	12%	13%	14%
Net Debt/Equity	22%	72%	101%	87%
Liabilities/Equity	425%	609%	715%	668%
Liabilities/Assets	81%	86%	88%	87%
ROAE	31%	36%	35%	30%
ROAA	7%	6%	5%	4%
AR/NR days	74	65	71	80
Inventory days	72	72	78	89
AP/NP days	76	75	82	92
Cash conversion	70	62	67	76

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Price Target History: 7/28/21 : 85; 11/12/21 : 94; 3/7/22 : 99; 3/16/22 : 98; 5/13/22 : 85; 7/26/22 : 80; 8/13/22 : 82.5; 5/1/23 : 105; 5/12/23 : 110; 7/12/23 : 215; 8/12/23 : 240; 10/17/23 : 280; 3/15/24 : 305; 5/15/24 : 340; 11/12/24 : 348; 11/14/24 : 370; 2/4/25 : 335; 2/28/25 : 315; 4/23/25 : 270; 5/13/25 : 310; 5/14/25 : 325; 5/27/25 : 335; 7/9/25 : 332; 8/13/25 : 330; 3/2/26 : 370; 4/17/26 : 400; 5/14/26 : 385

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/11/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$38.80
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb103.93
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.44
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.04
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.36
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb215.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$995.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb25.14
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.19
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.25
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$54.90
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,325.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.02
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.87
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$6.00
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$51.75
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb51.67
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.74
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.30
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb86.57
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$39.88
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb62.63
Sunny Optical (2382.HK)	E (03/23/2026)	HK$65.90

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb144.06
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.47
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.10
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb277.56
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$101.80
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb112.93
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.35
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb542.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$675.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.34
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.60
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,575.00
Advantech (2395.TW)	O (01/20/2021)	NT$612.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,060.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,040.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$28.65
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,300.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,580.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.56
Chenbro (8210.TW)	E (11/09/2026)	NT$607.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,370.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,295.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$145.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,050.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$314.00
Innolux (3481.TW)	E (04/07/2025)	NT$40.60
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,730.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.11
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$239.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.57
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.64
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$30.40
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$902.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$190.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$31.15
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,500.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.86
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb45.56
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$305.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,050.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$242.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb56.56
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$30.56
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,215.00
Lenovo (0992.HK)	O (07/10/2026)	HK$19.57
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,820.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,080.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$96.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$298.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb76.88
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb229.02
Unimicron (3037.TW)	O (02/23/2026)	NT$864.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$384.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$174.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,680.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$424.50
Zhen Ding (4958.TW)	++	NT$461.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$388.50
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,060.00

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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First Read

Nan Ya Plastics

Glass fabric capacity expansion to strengthen vertical integration

Equities

Taiwan

Oil Companies, Secondary

12-month rating	**Buy**
12m price target	**NT$390.00**
Price (11 Nov 2026)	**NT$313.00**

RIC: 1303.TW **BBG:** 1303 TT

Trading data and key metrics

52-wk range	NT$349.00-49.80
Market cap.	NT$2,482b/US$75.6b
Shares o/s	7,931m (ORD)
Free float	57%
Avg. daily volume ('000)	93,073
Avg. daily value (m)	NT$23,742.8
Common s/h equity (12/26E)	NT$503b
P/BV (12/26E)	4.9x
Net debt to EBITDA (12/26E)	0.8x

EPS (UBS, diluted) (TWD)

	UBS	Cons.
12/26E	16.03	14.89
12/27E	26.25	22.69
12/28E	23.68	29.48

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What's new

NYP announced plans to invest NT$11.5bn to add 102mn meters of glass fabric capacity (+17% vs. existing 590mn meters capacity) in Zhangbin, Taiwan, by end-2029. According to management, the expansion aims to meet growing demand from AI servers, networking equipment and increasingly complex PCBs, with 60–70% of the additional capacity allocated for internal use. Capacity will flexibly serve conventional E-glass and AI-grade specialty glass fabric, with specialty products targeted to reach ~40% of glass fabric revenue in 2-3 years. NYP is also expanding upstream yarn production and adding over 500 weaving looms to support its planned glass fabric capacity expansion by end-2029.

Implications

NYP: Glass fabric expansion to strengthen vertical integration; 1.5–2.0% EM OP upside from 2030

We view the expansion positively, as glass fabric remains the most supply-constrained product across NYP's CCL value chain, with the highest OPM of c40% in 3Q26 for glass fabric. We expect further margin improvement in 4Q26, driven by continued price hikes and a higher specialty glass fabric mix amid strong AI-related demand. Over the longer term, the expansion should strengthen NYP's vertical integration and secure upstream glass fabric supply for downstream CCL production. Assuming full utilization and current ASP and margins, we estimate the 17% capacity expansion could lift EM OP by 1.5–2.0% from 2030 onwards, with further upside potential from specialty product mix upgrades.

E-glass fabric: limited impact on external supply

NYP's planned capacity expansion of 102mn meters per year is equivalent to ~2% of total industry capacity according to our estimates. We expect limited impact on external E-glass supply, as NYP plans to use 60-70% of output internally, leaving only ~30-40mn meters annually for external sales before accounting for specialty fabric allocation.

AI-grade specialty fabric: supply constraints likely to persist

We expect supply tightness to persist amid specialty yarn constraints and qualified fabric production ramp-up. NYP's undisclosed capacity mix further limits visibility on incremental AI-grade fabric supply.

Valuation: Maintain Buy and PT at NT$390/share

NYP is trading at 10x 27E P/E and 3.5x 27E P/B on our estimates. Our 26/27E dividend yields are 3.8%/6.3% at the current share price. We expect limited near-term valuation impact from the glass fabric expansion, given its expected completion by end-2029.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	259,755	259,608	259,912	355,547	474,311	490,376	465,164	450,434
EBIT (UBS)	1,984	448	3,704	58,942	120,217	94,315	75,462	69,337
Net earnings (UBS)	6,310	3,340	4,519	127,108	208,169	187,829	92,757	79,364
EPS (UBS, diluted) (NT$)	0.80	0.42	0.57	16.03	26.25	23.68	11.70	10.01
DPS (net) (NT$)	0.70	0.70	0.80	12.02	19.69	17.76	8.77	7.51
Net (debt) / cash	(76,176)	(97,943)	(108,854)	(64,245)	(80,874)	(157,809)	(198,001)	(193,493)

Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	0.8	0.2	1.4	16.6	25.3	19.2	16.2	15.4
ROIC (EBIT) %	0.7	0.2	1.3	20.4	39.5	30.0	24.7	24.0
EV/EBITDA (UBS core) x	15.6	11.3	8.6	27.6	14.9	17.7	20.9	23.9
P/E (UBS, diluted) x	90.2	NM	66.2	19.5	11.9	13.2	26.8	31.3
Equity FCF (UBS) yield %	2.1	1.6	(0.9)	0.8	3.2	3.2	4.1	3.0
Dividend yield (net) %	1.0	1.4	2.1	3.8	6.3	5.7	2.8	2.4

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 313.00 on 11-Nov-2026

Forecast returns

Forecast price appreciation	24.6%
Forecast dividend yield	6.3%
Forecast stock return	30.9%
Market return assumption	6.4%
Forecast excess return	24.5%

Company Description

Established in 1958 and listed on the TAIEX in 1967, Nan Ya Plastics one of the core companies of Taiwan's Formosa Group. Its businesses span electronic materials, chemicals, plastics processing and polyester. NYP is one of the largest copper clad laminates (CCL) producers, with a vertically integrated CCL value chain, supplying CCL to its 61%-owned subsidiary Nan Ya PCB and other printed circuit board (PCB) makers. It owns 29% of Nan Ya Tech, the only Taiwan-based dynamic random access memory (DRAM) brand. It also owns 23% of Formosa Petrochemical.

Valuation Method and Risk Statement

Nan Ya Plastics:
We base our price target for NYP on a SOTP valuation.
Key upside risks include: 1) stronger CCL pricing; 2) faster high-end CCL mix upgrades; and 3) a faster petchem margin recovery.
Key downside risks are: 1) a CCL pricing reversal on faster supply additions or weaker demand; 2) slower AI qualification/ramp of the company's CCL business; and 3) further weakening chemicals/polyester businesses.
Nan Ya Printed Circuit Board:
Our price target for Nan Ya Printed Circuit Board is based on P/E multiple methodology.
Upside risks include faster-than-expected ramp-up of networking/switches, stronger-than-expected pricing increase, better-than-estimated consumer demand, and continued tightness in BT substrates.
Downside risks include lower-than-expected ramp-up of networking/switch projects, lower-than-expected global PC/server demand, oversupply from capacity expansions, raw material cost increases, intensified competition, and a lack of spec upgrades and content increase.
As for industry risks, substrate applications are dominated by PCs, but servers, artificial intelligence and advanced computing are driving demand growth. We believe key risks to the industry include slower-than-expected growth in servers, networking, and high performance computing, ASP pressure, margin erosion, and lack of spec upgrades. We believe the flexible circuit board and high-density interconnect board segments are more vulnerable to fluctuations in the consumer product cycle and have lower visibility.
Nanya Technology:
Nanya Tech is a pure-play DRAM manufacturer based in Taiwan mainly focused on legacy DDR products for customers across various end applications. We think downside risks to our thesis could include a potential slowdown in end demand and hence the conventional memory cycle as well as Nanya's legacy-centric product portfolio. We value Nanya Tech shares using a target NTM P/BV multiple based on long-term average ROE and cost of equity.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Nan Ya Plastics

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	5
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	We expect the supply-driven CCL price upcycle to continue into 2027, leading to higher EM OPM.
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	Potential upside from faster-than-expected qualification and ramp-up of high-end AI CCL products. Earlier customer adoption would increase AI mix, supporting higher ASPs and CCL margins.
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	December 31, 2026
10. Is the catalyst date an actual or approximate date?	Approximate
11. What is the catalyst?	Customer qualification and potential order wins for high-end AI CCL products from a US-based cloud service provider.

Required Disclosures

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged by the analyst to indicate that the stock's price target and/or rating may change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have a 12-month investment horizon.

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Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Nan Ya Plastics[28]	1303.TW	Buy	NT$313.00	11 Nov 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
28. UBS holds a long position of 0.5% or more of the listed shares of this company.

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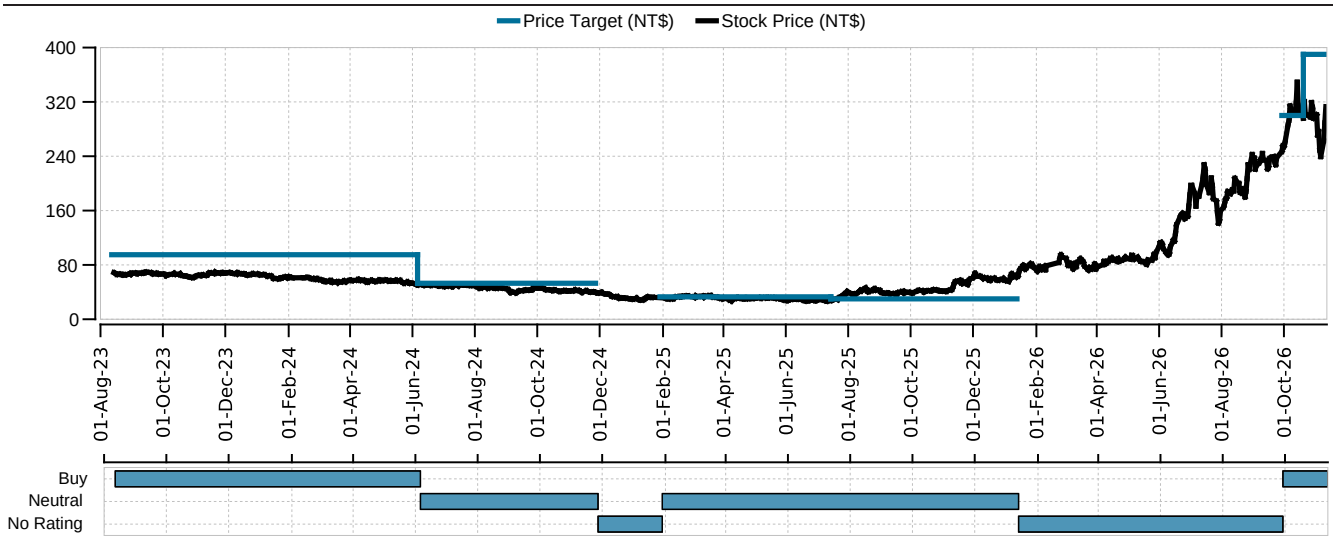
Nan Ya Plastics (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-08-11	69.60	95.00	Buy
2024-06-05	51.00	53.00	Neutral
2024-11-26	40.10	-	No Rating
2025-01-28	32.35	33.00	Neutral
2025-07-14	27.35	30.00	Neutral
2026-01-12	64.70	-	No Rating
2026-09-28	238.00	300.00	Buy
2026-10-19	303.50	390.00	Buy

Source: UBS Global Research; LSEG Eikon as of 11-Nov-2026. All prices as of local market close. Ratings as of date shown.

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融程電(3416)：國防軍工引領成長

建議：維持買進

2026EPS(F)		2027EPS(F)		BVPS	收盤價	2027年P/E	目標價		投資建議
前次	本次	前次	本次	52.88	146.5	11.2	前次	本次	買進
9.34	9.00	14.38	13.04				250	196	

一、融程電為強固型電腦廠商，近年國防軍工營收大幅提升

融程電成立於 1996 年，公司前三大股東為研華、醫揚、廣積。融程電為強固型平板電腦和手持式裝置專業廠商，產品廣泛應用於航太、船舶、軍警、交通運輸、車廠維修檢測、醫管、石化、和製程控制等利基型產業；歐洲為融程電最大市場，賓士、保時捷、Bosch 等皆為融程電客戶，美洲市場方面，智慧倉儲解決方案廠商 Honeywell、堆高機品牌 CROWN 以及智慧醫療 Medtronic 等亦是融程電客戶。近年國防軍工營收大幅提升，自 2024 年的高個位數佔比提升至 2025 年的近兩成水準，2026 年已突破兩成水準；截至 3Q26 Edge AI 佔比約 10%。

Sales(NT$mn)	2025	%	YoY	2026(F)	%	YoY	2027(F)	%	YoY
歐洲	1,274	35%	11%	1,697	36%	33%	2,126	36%	25%
美洲	1,340	37%	47%	1,658	35%	24%	2,038	35%	23%
亞洲	845	23%	-3%	1,166	25%	38%	1,472	25%	26%
台灣	164	5%	41%	186	4%	14%	224	4%	20%
其他	18	1%	19%	24	1%	30%	29	1%	24%
合計	3,641	100%	19%	4,731	100%	30%	5,889	100%	24%

二、3Q26 毛利率低於預期，係因出貨較多倉儲客戶產品

3Q26 營收 14.13 億元，截至 3Q26 產品組合：車檢 21%、倉儲物流 23%、醫療保健 12%、其他 44%(其中超過 25%為國防軍工)；獲利方面，毛利率 36.36%，低於預期，係因 3Q26 出貨較多低毛利率 Honeywell 倉儲物流產品，營益率 19.05%，單季稅後 EPS 2.63 元。

NT$mn	2Q26	3Q26(A)	3Q26(F)	與預期相比	QOQ	YOY	累計YOY
Net sales	1,177	1,413	1,413	0%	20.09	40.41	34.24
Margin %	40.18%	36.36%	40.30%				
Operating Profit	231	269	325	-17%	16.54	53.88	25.86
Operating Margin %	19.63%	19.05%	23.01%				
Total non-ope inc.	21	19	33				
Pre-tax profit	252	288	359	-20%	14.19	29.38	33.67
Net profit	200	223	288	-23%	11.43	23.71	34.23
EPS	2.48	2.63	3.41	-23%	6.05	16.37	30.13

三、2027 年仍由國防軍工驅動主要成長

3Q26 毛利率受 Honeywell 倉儲物流產品出貨較多影響，Honeywell 2026 全年訂單金額預估 2~3 億元，2027 年 Honeywell 目標回到往年全年 6 億營收水準，目前仍在與客戶洽談新訂單；4Q26 軍工航太及車用等出貨比重提升，預期毛利率較 3Q26 回升；整體預期 2026 全年營收+30%YOY，其中出貨量成長 10%，其餘 20%來自 ASP 提升(包含漲價與產品組合轉佳)。

融程電目前 BB Ratio 1.1，訂單能見度約 6~8 個月，由於缺料狀況緩解，客戶下單能見度恢復正常水準，預期 2027 年受惠軍工航太、無人載具及 Edge AI 需求成長，產品組合持續優化將推升 ASP 及毛利率。產品組合方面，截至 3Q26 其他業務營收佔比 44%，2027 年佔比有望提升至 50%，主由國防軍工驅動，2027 年國防軍工預期再成長 30~40%，甚至有望上看超過 50%成長，融程電具全球領先海事船舶電腦技術，拓展至地面工作站及無人機整機，無人載具現有月

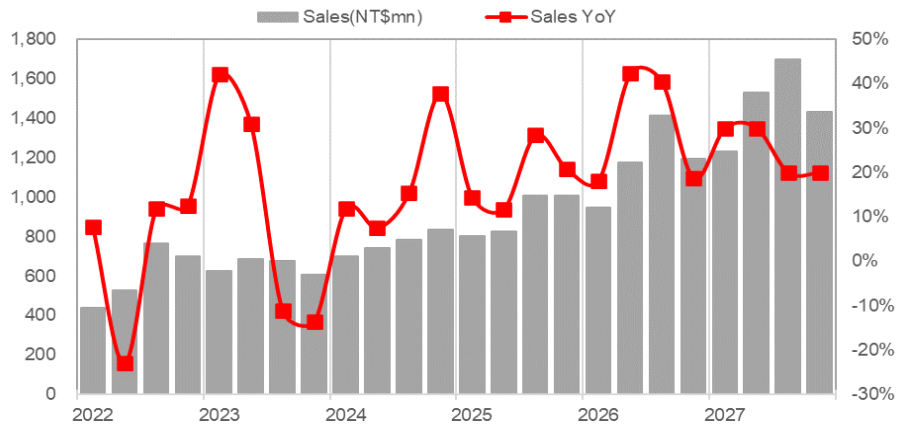
本刊載之報告為台新投顧於特定日期之分析，已力求陳述內容之可靠性，純屬研究性質，僅作參考，使用者應明瞭內容之時效性，審慎考量投資風險，並就投資結果自行負責。報告著作權屬台新投顧所有，禁止任何形式之抄襲、引用或轉載。

產能 1~1.5 萬台，目標提升至 3 萬台以上，可提供整機產品，亦可單賣零組件，無人載具專案單價高，接洽的運算無人載具單一專案訂單預期 2027 年營收佔比 5%以上，未來公司整體無人載具業務營收佔比將超過 15~20%，隨 1H27 國防專案陸續推進，融程電積極美國認證及非紅供應鏈等歐美市場商機。至於 Edge AI 佔比預期由 2026 年 10%提升至 2027 年的 20%；另外，2027 年醫療設備持續成長、半導體設備業務則有望倍增，2027 年亦可關注日韓市場，以及歐洲市場復甦。公司預計將於 2027 年執行泰國工廠併購案，擴充產能以支應後續訂單成長。

四、維持買進理由

全球國防支出成長為融程電軍工與無人載具產品提供長期需求基礎，預估融程電 2026 年 EPS 9.0 元、2027 年 EPS 13.04 元，維持買進，目標價 196 元。

Comprehensive Income Statement								NT$mn
	1Q26	2Q26	3Q26	4Q26F	FY24	FY25	FY26F	FY27F
Net sales	947	1,177	1,413	1,195	3,058	3,641	4,731	5,889
Gross profit	346	473	514	460	1,223	1,451	1,792	2,315
Operating profit	143	231	269	223	606	693	866	1,330
Total non-ope inc.	19	21	19	-3	66	29	56	40
Pre-tax profit	162	252	288	220	673	722	921	1,370
Net profit	145	200	223	177	559	591	744	1,102
EPS	1.80	2.48	2.63	2.09	7.03	7.40	9.00	13.04
Y/Y %	**1Q26**	**2Q26**	**3Q26**	**4Q26F**	**FY24**	**FY25**	**FY26F**	**FY27F**
Net sales	18.2	42.3	40.4	18.7	17.7	19.1	29.9	24.5
Gross profit	3.3	39.4	31.9	18.7	17.7	18.7	23.5	29.2
Operating profit	-14.0	36.0	53.9	22.7	4.9	14.3	25.0	53.5
Net profit	-2.1	111.1	23.7	4.9	10.6	5.6	25.9	48.2
Q/Q %	**1Q26**	**2Q26**	**3Q26**	**4Q26F**	**FY24**	**FY25**	**FY26F**	**FY27F**
Net sales	-5.9	24.3	20.1	-15.4				
Gross profit	-10.8	36.7	8.7	-10.5				
Operating profit	-21.4	61.7	16.5	-17.2				
Net profit	-14.0	37.8	11.4	-20.6				
Margins %	**1Q26**	**2Q26**	**3Q26**	**4Q26F**	**FY24**	**FY25**	**FY26F**	**FY27F**
Gross	36.5	40.2	36.4	38.5	40.0	39.9	37.9	39.3
Operating	15.1	19.6	19.0	18.7	19.8	19.0	18.3	22.6
Net	15.3	17.0	15.7	14.8	18.3	16.2	15.7	18.7



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Sales Trader Commentary: Squeezing the Shorts, Fading the Rallies; Navigating TAIEX Chaos Before Heading to the Vice City | GSTW

12 November 2026 | 3:15 PM Taiwan Standard Time

Robert Wang
Goldman Sachs (Asia) L.L.C. Taipei Branch
FICC & Equities

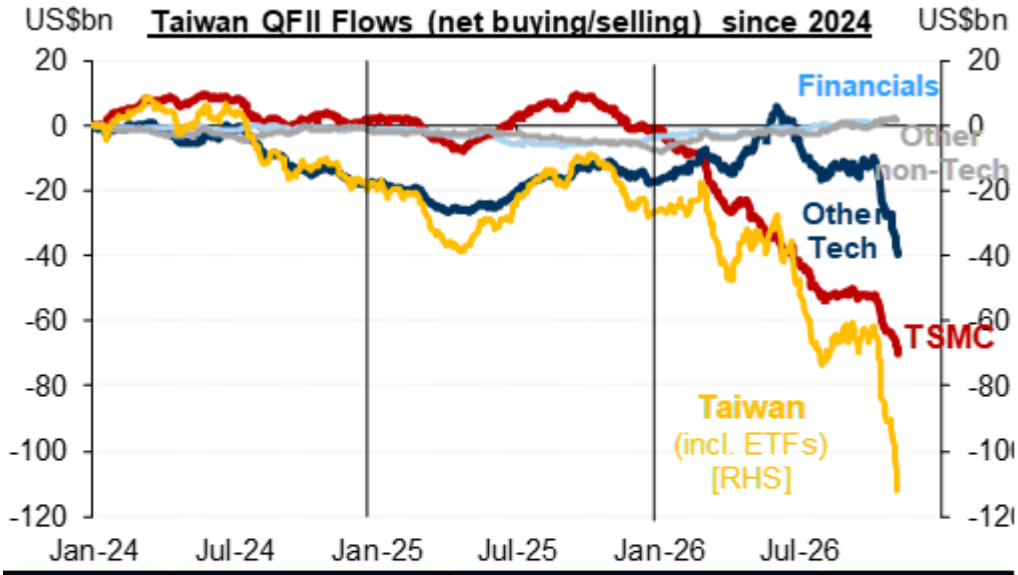
Post the historical open on 11/6/2026, we saw a jaw-dropping 14% climb from day-low last Friday. Finally took a breather (and a big one too) today; admittedly, I was writing a different narrative, but last hour fade in Taiwan has forced me to rewrite this (>1k points drop and picked up market turnover). So, where do we go from here? Check out below for my observation and investor feedback.

Key Investor Feedback and Takeaway

- **Sentiment**. Sentiment is still cautious among foreigners; a lot of HFs faced serious short squeeze from this rally. Yet, many are still reluctant to cover all their short positions given the new short sell restrictions. and hence held on to the pain trades. Interestingly, market still exhaust short sell quota almost every day. Additionally, there is **little conviction for a full-on rally and also low willingness to chase around here** given year-end. Overall, HFs have de-grossed much, one of the most aggressive de-gross per GS prime book data. Key focus will be whether LOs are willing to participate and to what extent will they add back the positions. Only then, we will likely see a more sustainable rally further from here. Bottom line: are we out of the woods? Not yet. Cautious optimism is perhaps the most positive thing I can say for now.
- **Positioning**. Foreigners have net sold for 10 straight sessions, totaling around US$25.4bn. Most outflows are in TSMC but worth noting that we finally saw TSMC net buy for the first time since 2 weeks yesterday. On the other hand, local funds have been good size net buyers to absorb the foreign outflows, mainly from retail's mutual fund subscription. Just regurgitating some of my berg blurbs from the past few days, we still see lots of short interest in crowded long sectors, most in ABF/CCL (i.e. NY Plastics) followed by CPO names; and most smid cap outperformance was driven by short covering. The overly sold names saw little attention and minimum desire to bottom fish (i.e. Delta, Chroma, KYEC). On a brighter note, we also picked up some real money inflows into TSMC this week, but I don't know whether it's enough to turn the tide. The more convicted long right now for foreigners is still ASE in my opinion.
- **Retail**. This is perhaps the most important factor now in Taiwan. Coupled with the sentiment boost from National Stabilization Fund, many retail decided to hold instead of cutting loss and even bought into the dip. For those retail that were facing margin call during this correction, some were eventually saved by the market rally. Cleaner positioning for sure, though perhaps not clean enough to fuel another

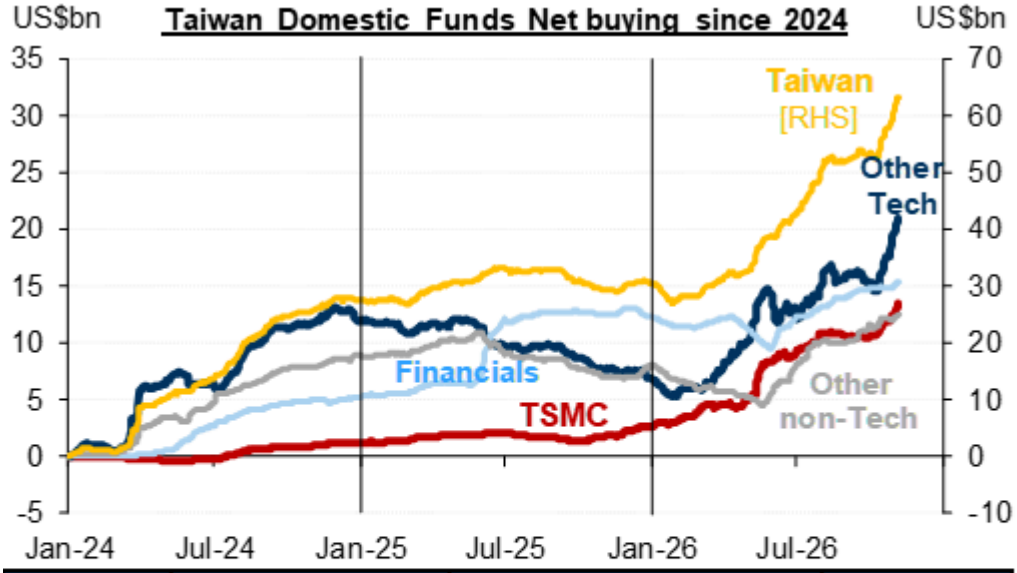
10% climb in index. Per my local investor feedback, the smart pundits actually many have missed out on this rally (of course they've also de-grossed much ahead). Margin loan balance and maintenance ratio are two key data that I will follow closely in the coming weeks.

- **Fundamentals**. Fundamentals are still good with most company reporting record high quarterly earnings. Monthly revenue also grew MoM. But stock trading is all about forward looking. People are anticipating AI capex growth to slow down or even plateau in the coming 2 years. Quanta (2382 TT) earnings call yesterday validated this narrative - still high growth in 2027 but unlikely to see another triple-digits rapid growth like 2026. Earnings outlooks probably matter less than positioning and macro backdrop. With that, we will conclude most of our 3Q26 earnings this week with Hon Hai (2317 TT) as the main finale.
- **Liquidity Event**: MSCI just published their quarterly review, and NYPCB (8046 TT) and TUC (6274 TT) will be added into the index, while Lotes (3533 TT), Chailease (5871 TT), Wan Hai (2615 TT), an E-Ink (8069 TT) will be removed. Kinsus (3189 TT) did not get added due to its disposition status. See below and this report for our flows estimate.
- **Risk**. Risk reward level here is not attractive, especially when the rebound came so aggressively. Momentum to sustain the rally is not constructive, so investors should be cautious of more volatility and further unwind (if there's anything to be unwound). Jensen and Nvidia's headlines are certainly not helping, though I did see some funny memes on the social media. Credit is another risk here; neoclouds top line is +ve but let's not forget at what cost are these companies carving those revenue from. Otherwise, market seems to process the macro prints well, with now expecting a rate hike in Dec'26 and Mar'27. Last but not least, cross-strait tension can be a focus next during Trump-Xi meeting at the APEC Summit next week. I know the Taiwanese has been (probably will be) indifferent and just another BAU, but anything assertively negative comment on Taiwan might fret the macro traders, such as Xi's comment just now.
- **My View**. **Not a BEAR so far**. I do not think the market is broken, but I acknowledge the downside risk has risen again and enlarged as I respect the technicals. That said, I am still excited about next week, even though we have fewer fundamental catalysts now. In the US, Nvidia is set to report next week. A lighter book might fare better in today's environment. To end on a fun personal note, GTA VI will finally come out after 13 years of waiting. So if you can't find me on Bloomberg, try looking for me in the Vice City.



US$mn	2024	2025	26YTD	1Q26	2Q26	3Q26	4QTD	1M	1W
TSMC	2,174	(2,911)	(69,085)	(25,353)	(15,804)	(10,429)	(17,499)	(17,935)	(5,597)
Other Tech	(17,928)	1,000	(22,526)	3,077	9,586	(7,747)	(27,442)	(29,086)	(7,684)
Financials	(1,233)	(2,203)	5,219	244	2,049	2,226	699	881	(582)
Commodities	(1,817)	(352)	750	765	1,658	(990)	(682)	(771)	(394)
Consumers	(1,701)	(2,982)	(1,161)	(384)	(1,422)	(129)	775	898	181
Industrials	1,627	(2,825)	7,623	2,564	2,082	1,976	1,000	657	(40)
Defensives	(7)	340	2,576	780	(423)	1,220	998	861	163
Taiwan	(18,357)	(7,635)	(86,104)	(20,704)	(1,403)	(16,507)	(47,490)	(50,199)	(15,741)

Exhibit 1. Foreigners Flows as of 11/6/2026



US$mn	2024	2025	26YTD	1Q26	2Q26	3Q26	4QTD	1M	1W
TSMC	1,261	1,335	10,949	2,038	4,280	1,640	2,991	2,864	1,180
Other Tech	12,000	(5,111)	14,092	738	4,987	2,552	5,815	6,069	1,543
Financials	5,265	7,078	3,114	(158)	(32)	2,564	740	600	461
Commodities	578	(857)	2,529	87	(283)	2,006	720	655	77
Consumers	2,012	584	362	(617)	752	211	17	26	25
Industrials	4,025	114	(164)	(1,522)	314	1,072	(29)	154	165
Defensives	2,301	(758)	1,788	(195)	1,301	405	277	287	150
Taiwan	27,491	3,083	32,562	596	11,308	10,740	9,917	10,263	2,870

Exhibit 2. Local Funds Flows as of 11/6/2026

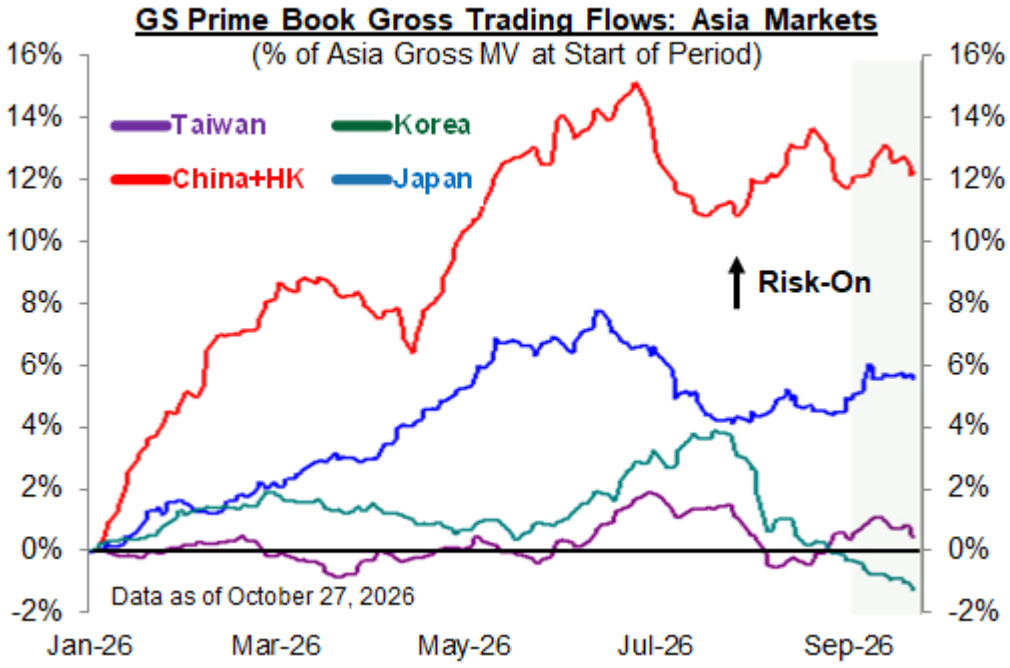


Exhibit 3. GS PB Market Flows as of 11/6/2026

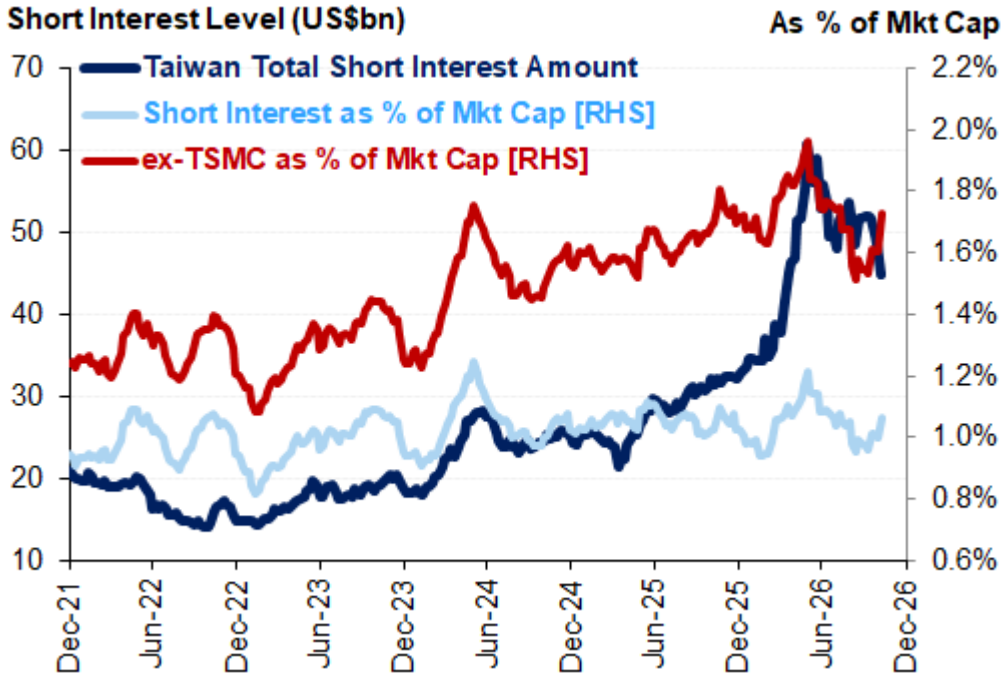


Exhibit 4. Taiwan Short Interest Level as of 11/6/2026

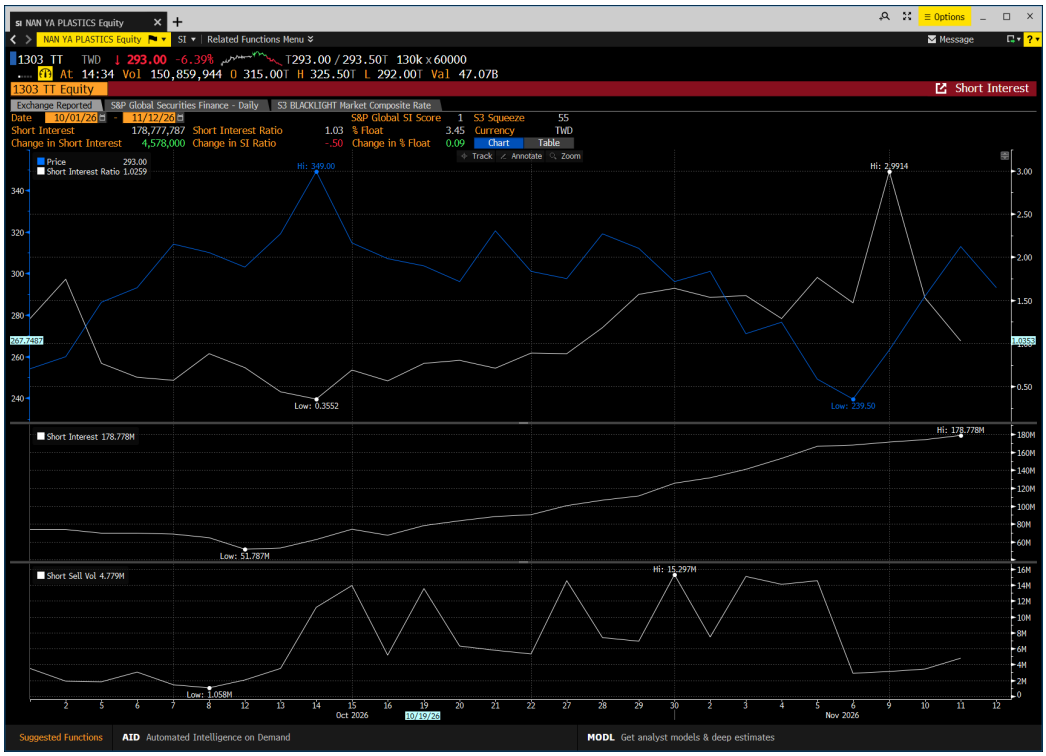


Exhibit 5. NY Plastics Short Interest as of 11/12/2026

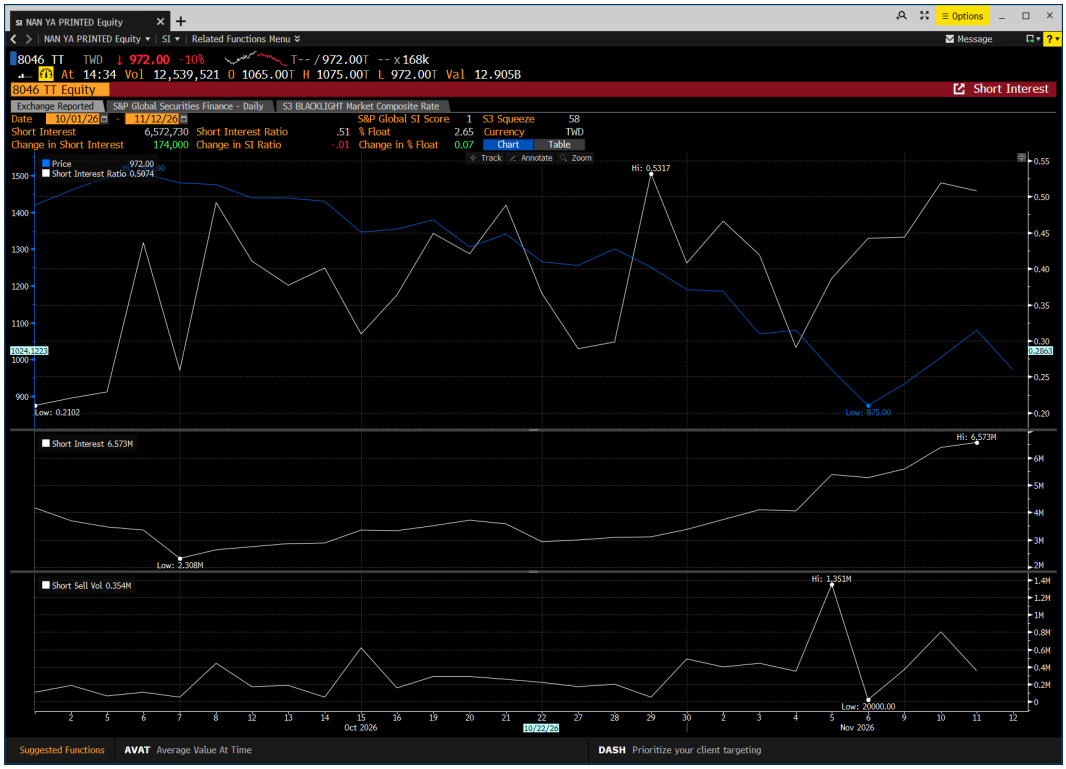


Exhibit 6. NYPCB Short Interest as of 11/12/2026

MSCI Taiwan						
	Standard (Large+Mid Cap)			IMI (Large+Mid+Small)		
	Current	Proforma	Change	Current	Proforma	Change
Index Cap (US$bn)	3,194	3,195	+0%	3,583	3,592	+0%
3M ADVT (US$bn)	18	18	+4%	28	28	+3%
# of constituents	74	72	-2	358	363	+5
- added / deleted		2 / 4			15 / 10	
- high/lower FIF		0 / 5			19 / 27	

	Current weight (%)	Proforma weight (%)	Change (bps)	Gross Passive Buying (US$mn)	Gross Passive Selling (US$mn)	Net Passive Flows (US$mn)
Asia	18.7%	18.8%	6	81	(75)	7
EM	27.5%	27.5%	4	1,365	(1,148)	218
Global (ACWI)	3.06%	3.07%	1	508	(257)	251
Note: Pricing as of Nov 11, 2026			Aggregate	2,101	(1,655)	446

Exhibit 7. Taiwan MSCI 4Q26 Rebalance Flow

Please feel free to reach out to your GS representative to discuss any ideas.

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Past performance is not indicative of future results

Max loss amount invested is 100%

Source for all: Goldman Sachs FICC and Equities, Company Data, Bloomberg as of 10/30/2026

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金像電

(2368.TW/2368 TT)

2027 ASIC 伺服器 PCB 規格升級帶來強勁成長動能

增加持股 · 維持

收盤價 November 11 (NT$)	1,050
12 個月目標價 (NT$)	2,000
前次目標價 (NT$)	2,000
維持 (%)	0.0
上漲空間 (%)	90.5

焦點內容

1. 3Q26 毛利率攀上高峰，表現超越市場共識
2. 4Q26 伺服器及網通需求持續強勁，營運維持高檔
3. 2027 受惠 AWS 與 Google 走往厚多層 HDI 混合 HLC PCB 技術

交易資料表

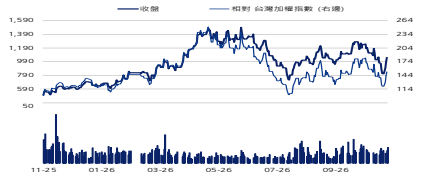
市值：(NT$bn/US$mn)	559 / 16,916
流通在外股數 (百萬股)：	532
外資持有股數 (百萬股)：	141
3M 平均成交量 (百萬股)：	6.53
52 週股價 (低 \ 高) (NT$):	507 –1,495

股價表現	3M	6M	12M
絕對表現 (%)	8.9	-25.0	110.6
相對表現 (%)	10.8	-30.9	51.3

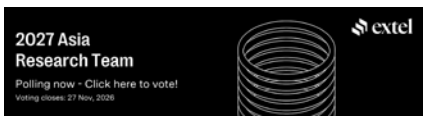
每股盈餘

NT$	1Q	2Q	3Q	4Q
2025	3.60A	3.48A	6.49A	5.94A
2026	6.87A	9.28A	12.98F	13.93F
2027	14.67F	16.78F	20.99F	22.68F

股價圖



資料來源：TEJ



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重要免責聲明，詳見最終頁

重要訊息

公司公佈 3Q26 財報毛利率及營利率為 38.7%、29.6%優共識 36.9%、28.9%，淨利 63.9 億，每股盈餘 12.98 元則符合共識。

評論及分析

3Q26 毛利率攀上高峰，表現超越市場共識；4Q26 伺服器及網通需求持續強勁，營運維持高檔 。適度漲價反應原物料上漲外，組合持續改善，AI 伺服器占比由上季 40-50%季增至 50%以上，使毛利率季增 4 個百分點優預期，但費用率僅下降 0.4 個百分點至 9.1%，加上業外損失 2.4 億下、稅率下降至 25%，淨利符合凱基預估，略優共識 2.6%。其中伺服器營收季增 21%達佔比 77%，網通營收季增 34%達佔比 17%。我們認為 4Q26 除持續漲價反應原料、NB 需求較疲弱、伺服器及網通需求仍強外，12 月底仍有年底盤點干擾變數，預期 4Q26 營收季持平至微增。

2027-29 擴大 HDI 產能建置。4Q26 單月最大產值僅上修 1 億至 95 億，維持 2027 年兩新廠（蘇州、泰國）、2028 年則另一個蘇州新廠，皆陸續加入生產 HDI 厚板，而台灣新廠 2029 年可到位。因此除了 2026 資本支出將達 240 億， 2027 將拉高至 250 億以上。

2027 受惠 AWS 與 Google 走往厚多層 HDI 混合 HLC PCB 技術。公司於下世代 Amazon Trainium 4 PCB 測試良率表現優異，已穩坐主供地位，我們觀察 2Q26 NVIDIA(美) VR computing tray 之 5 階(5-16-5)HDI、3Q27 AWS T4 之 3 階(3-28-3)HDI、以及 4Q27 Google v9 之 6 階(6-12-6)HDI 設計趨勢，厚多層 HDI 混合 HLC 將為下世代 AI PCB 標準技術門檻。

投資建議

由於 3Q26 財報與 4Q26 展望符合我們預期，我們維持「增加持股」的評等，目標價維持 2000 元，相當於 2027 每股盈餘 28 倍本益比。

投資風險

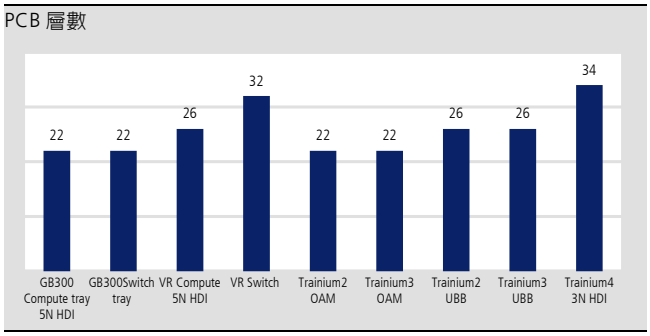
網通板需求不如預期，競爭者加入造成價格壓力。

主要財務數據及估值

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入 (NT$百萬)	38,952	60,004	103,543	161,932	238,198
營業毛利 (NT$百萬)	11,396	19,683	38,544	65,259	98,309
營業利益 (NT$百萬)	8,094	14,016	28,992	52,187	79,886
稅後淨利 (NT$百萬)	5,616	9,607	21,502	36,949	56,319
每股盈餘 (NT$)	11.54	19.48	41.59	71.46	108.93
每股現金股利 (NT$)	6.00	10.00	22.87	39.30	59.91
每股盈餘成長率 (%)	59.1	68.9	113.4	71.8	52.4
本益比 (x)	91.0	53.9	25.2	14.7	9.6
股價淨值比 (x)	24.2	16.0	9.7	6.7	4.7
EV/EBITDA (x)	53.4	32.9	17.6	10.3	7.0
淨負債比率 (%)	Net cash	Net cash	22.8	33.9	32.1
殖利率 (%)	0.6	1.0	2.2	3.7	5.7
股東權益報酬率 (%)	29.4	35.1	48.5	54.6	57.6

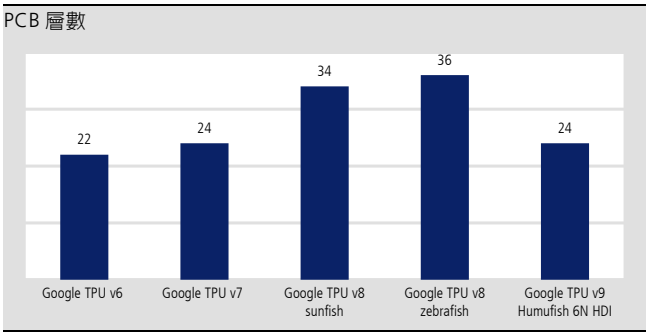
資料來源：公司資料，凱基

圖 1：AWS T4 走高層數與多層 HDI



資料來源：公司資料；凱基預估

圖 2：TPU V9 PCB 走高層數與多層 HDI



資料來源：公司資料；凱基預估

圖 3: 3Q26 財報與 4Q26F 財測修正 vs.市場共識

	3Q26					4Q26F				
百萬元	實際數	凱基預估	差異(%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	市場共識	差異(%)
營收	29,567	31,084	(4.9)	30,599	(3.4)	30,383	31,985	(5.0)	32,343	(6.1)
毛利	11,443	11,581	(1.2)	11,276	1.5	11,966	12,151	(1.5)	12,099	(1.1)
營業利益	8,753	9,071	(3.5)	8,830	(0.9)	9,236	9,591	(3.7)	9,610	(3.9)
稅後淨利	6,386	6,409	(0.4)	6,225	2.6	6,849	6,776	1.1	6,583	4.1
每股盈餘(元)	12.98	13.03	(0.4)	12.35	5.2	13.93	13.78	1.1	13.49	3.3
毛利率 (%)	38.7	37.3	1.4 ppts	36.9	1.8 ppts	39.4	38.0	1.4 ppts	37.4	2.0 ppts
營利率 (%)	29.6	29.2	0.4 ppts	28.9	0.7 ppts	30.4	30.0	0.4 ppts	29.7	0.7 ppts
淨利率 (%)	21.6	20.6	1.0 ppts	20.3	1.3 ppts	22.5	21.2	1.4 ppts	20.4	2.2 ppts

資料來源：凱基預估；Bloomberg

圖 4: 2026-28 財測修正 vs.市場共識

	2026F					2027F					2028F				
百萬元	修正後	修正前	調幅 (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	市場共識	差異(%)
營收	103,543	106,661	(2.9)	107,364	(3.6)	161,932	162,093	(0.1)	164,205	(1.4)	238,198	228,869	4.1	214,339	11.1
毛利	38,544	38,868	(0.8)	38,796	N.A.	65,259	64,126	1.8	63,658	N.A.	98,309	94,490	4.0	85,244	N.A.
營業利益	28,992	29,667	(2.3)	30,181	(3.9)	52,187	51,944	0.5	52,435	(0.5)	79,886	77,805	2.7	70,075	14.0
稅後淨利	21,502	21,453	0.2	21,576	(0.3)	36,949	36,937	0.0	37,735	(2.1)	56,319	54,909	2.6	51,748	8.8
每股盈餘(元)	41.59	41.49	0.2	41.98	(0.9)	71.46	71.44	0.0	72.71	(1.7)	108.93	106.20	2.6	100.96	7.9
毛利率 (%)	37.2	36.4	0.8 ppts	36.1	1.1 ppts	40.3	39.6	0.7 ppts	38.8	1.5 ppts	41.3	41.3	(0.0)ppts	39.8	1.5 ppts
營利率 (%)	28.0	27.8	0.2 ppts	28.1	(0.1)ppts	32.2	32.0	0.2 ppts	31.9	0.3 ppts	33.5	34.0	(0.5)ppts	32.7	0.8 ppts
淨利率 (%)	20.8	20.1	0.7 ppts	20.1	0.7 ppts	22.8	22.8	0.0 ppts	23.0	(0.2)ppts	23.6	24.0	(0.3)ppts	24.1	(0.5)ppts

資料來源：凱基預估；Bloomberg

圖 5: 同業比較-伺服器供應鏈投資評價

公司	代號	市值	股價	EPS			PE (x)			PB (x)			ROE (%)			股息殖利率 (%)		
		美金百萬元	當地貨幣	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
銅箔																		
金居	8358 TT	2,986	388.50	9.82	22.32	37.95	39.6	17.4	10.2	9.7	7.5	5.0	27.5	34.6	56.8	0.9	3.2	3.3
銅箔基板																		
台光電	2383 TT	49,070	4,500.00	133.30	259.66	377.16	33.8	17.3	11.9	17.6	10.3	6.9	67.2	75.1	69.2	1.8	3.5	5.0
聯茂	6213 TT	6,418	580.00	24.67	46.84	50.45	23.5	12.4	11.5	7.0	5.1	4.3	34.8	47.3	40.2	2.8	5.2	5.7
台燿	6274 TT	9,660	1,060.00	40.27	79.64	119.88	26.3	13.3	8.8	9.8	6.4	4.5	48.3	60.5	61.8	2.3	4.5	6.8
生益科技	600183 CH	27,999	76.88	3.51	5.35	7.33	21.9	14.4	10.5	7.3	5.4	4.0	42.3	49.6	50.9	3.0	4.7	6.7
印刷電路板																		
金像電	2368 TT	16,954	1,050.00	41.49	71.44	106.20	25.3	14.7	9.9	9.7	6.7	4.7	48.5	54.8	56.6	2.2	3.7	5.6
健鼎	3044 TT	8,318	520.00	32.27	39.16	N.A.	16.1	13.3	N.A.	4.2	3.6	N.A.	28.3	29.0	N.A.	3.9	4.7	N.A.
博智電子	8155 TT	507	267.00	15.18	22.52	N.A.	17.6	11.9	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
TTM	TTMI US	7,611	72.23	4.96	8.36	10.06	14.6	8.6	7.2	3.8	3.0	2.0	26.3	32.9	32.2	N.A.	N.A.	N.A.
深南電路	002916 CH	23,388	229.02	8.49	13.31	18.20	27.0	17.2	12.6	7.1	5.2	3.9	29.0	34.3	34.7	1.3	2.0	2.6
滬電	002463 CH	25,938	89.43	3.76	5.96	10.05	23.8	15.0	8.9	7.6	5.2	3.4	37.4	40.4	40.6	0.8	1.3	1.9

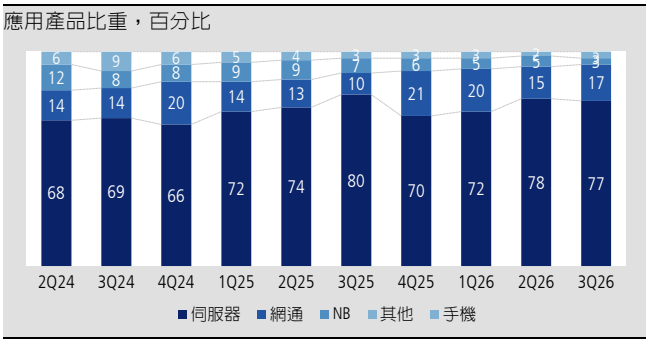
資料來源：Bloomberg；凱基

圖 6: 公司概況

金像電子公司成立於 1981 年 9 月，為國內最大網通 PCB 製造廠商。近年來公司策略性調整產品線，往較高毛利的伺服器板和網通板製造為公司核心產品。2024 年公司產品終端應用比重為：伺服器佔 68%、網通佔 15%、筆記型電腦佔 9%、其他佔 7%。金像電公司工廠有中壢廠、蘇州廠、常熟一廠及常熟二廠，單月最大產值分別可達 16、26、6.5、2.5 億元。

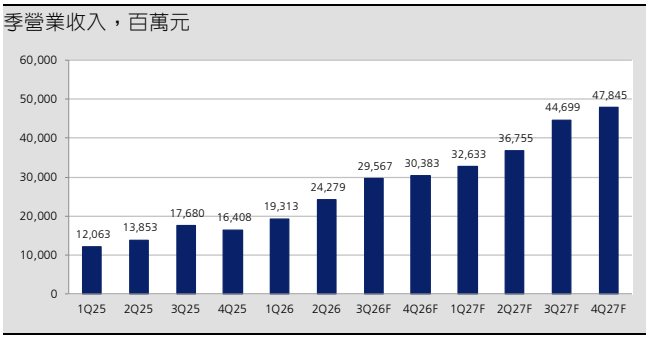
資料來源：凱基

圖 7: 產品組合



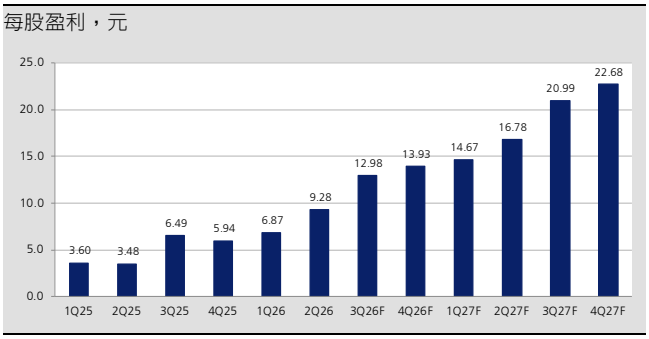
資料來源：公司；凱基

圖 8: 季營業收入



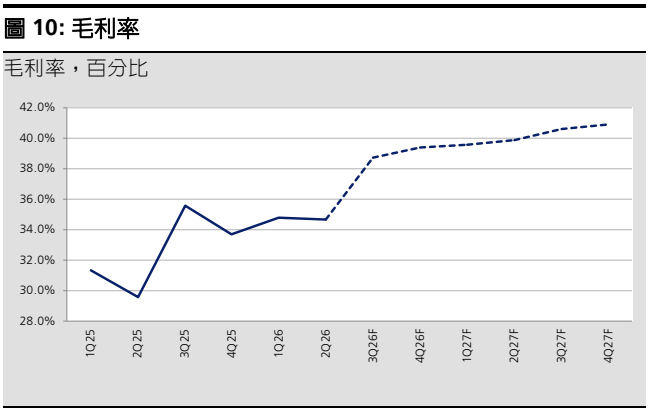
資料來源：凱基

圖 9: 每股盈利



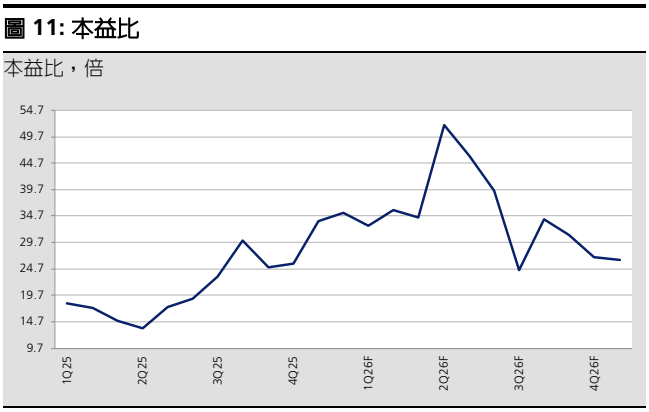
資料來源：凱基

圖 10: 毛利率



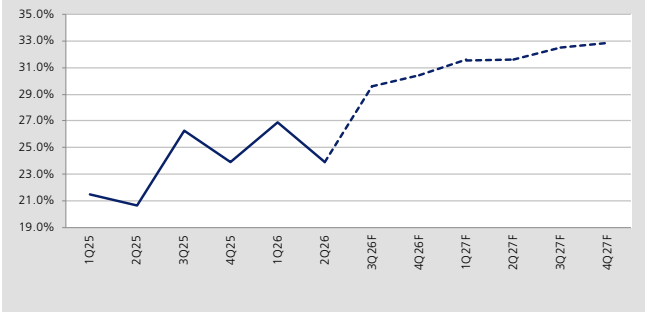
資料來源：凱基

圖 11: 本益比



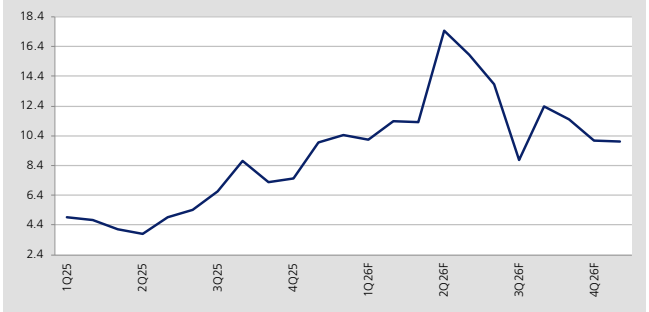
資料來源：凱基

圖 12: 營業利潤率



資料來源：凱基

圖 13: 股價淨值比



資料來源：凱基

損益表

	季度								年度		
	Mar-26A	Jun-26A	Sep-26F	Dec-26F	Mar-27F	Jun-27F	Sep-27F	Dec-27F	Dec-26F	Dec-27F	Dec-28F
損益表（NT$百萬）											
營業收入	**19,313**	**24,279**	**29,567**	**30,383**	**32,633**	**36,755**	**44,699**	**47,845**	**103,543**	**161,932**	**238,198**
營業成本	(12,590)	(15,866)	(18,125)	(18,417)	(19,727)	(22,104)	(26,561)	(28,281)	(64,998)	(96,673)	(139,889)
營業毛利	**6,722**	**8,413**	**11,443**	**11,966**	**12,906**	**14,651**	**18,138**	**19,563**	**38,544**	**65,259**	**98,309**
營業費用	(1,527)	(2,605)	(2,690)	(2,730)	(2,598)	(3,024)	(3,599)	(3,851)	(9,552)	(13,072)	(18,423)
營業利益	**5,196**	**5,808**	**8,753**	**9,236**	**10,308**	**11,627**	**14,539**	**15,713**	**28,992**	**52,187**	**79,886**
折舊	(443)	(484)	(506)	(591)	(606)	(606)	(606)	(606)	(2,025)	(2,425)	(2,653)
攤提	(9)	(9)	(12)	(18)	(13)	(13)	(13)	(13)	(48)	(52)	(56)
EBITDA	**5,648**	**6,301**	**9,271**	**9,845**	**10,927**	**12,246**	**15,158**	**16,332**	**31,065**	**54,664**	**82,595**
利息收入	105	139	105	105	105	105	105	105	454	420	420
投資利益淨額	-	-	-	-	-	-	-	-	-	-	-
其他營業外收入	16	16	-	-	-	-	-	-	32	-	-
總營業外收入	**121**	**155**	**105**	**105**	**105**	**105**	**105**	**105**	**486**	**420**	**420**
利息費用	(92)	(68)	(85)	(85)	(85)	(85)	(85)	(85)	(330)	(340)	(340)
投資損失	-	-	-	-	-	-	-	-	-	-	-
其他營業外費用	(125)	(206)	(258)	-	(20)	(20)	(20)	(20)	(589)	(80)	(80)
總營業外費用	**(218)**	**(274)**	**(343)**	**(85)**	**(105)**	**(105)**	**(105)**	**(105)**	**(919)**	**(420)**	**(420)**
稅前純益	**5,099**	**5,690**	**8,515**	**9,256**	**10,308**	**11,627**	**14,539**	**15,713**	**28,559**	**52,187**	**79,886**
所得稅費用[利益]	(1,604)	(1,516)	(2,129)	(2,406)	(3,092)	(3,372)	(4,216)	(4,557)	(7,655)	(15,237)	(23,566)
少數股東損益	-	-	-	-	-	-	-	-	-	-	-
非常項目前稅後純益	**3,495**	**4,174**	**6,386**	**6,849**	**7,216**	**8,255**	**10,323**	**11,156**	**20,904**	**36,949**	**56,319**
非常項目	(11)	610	-	-	-	-	-	-	598	-	-
稅後淨利	**3,484**	**4,783**	**6,386**	**6,849**	**7,216**	**8,255**	**10,323**	**11,156**	**21,502**	**36,949**	**56,319**
每股盈餘 (NT$)	6.87	9.28	12.98	13.93	14.67	16.78	20.99	22.68	41.59	71.46	108.93
獲利率 (%)											
營業毛利率	34.8	34.7	38.7	39.4	39.5	39.9	40.6	40.9	37.2	40.3	41.3
營業利益率	26.9	23.9	29.6	30.4	31.6	31.6	32.5	32.8	28.0	32.2	33.5
EBITDA Margin	29.2	26.0	31.4	32.4	33.5	33.3	33.9	34.1	30.0	33.8	34.7
稅前純益率	26.4	23.4	28.8	30.5	31.6	31.6	32.5	32.8	27.6	32.2	33.5
稅後純益率	18.0	19.7	21.6	22.5	22.1	22.5	23.1	23.3	20.8	22.8	23.6
季成長率 (%)											
營業收入	17.7	25.7	21.8	2.8	7.4	12.6	21.6	7.0			
營業毛利	21.7	25.2	36.0	4.6	7.9	13.5	23.8	7.9			
營業收益增長	32.6	11.8	50.7	5.5	11.6	12.8	25.0	8.1			
EBITDA	30.2	11.6	47.1	6.2	11.0	12.1	23.8	7.7			
稅前純益	21.0	11.6	49.6	8.7	11.4	12.8	25.0	8.1			
稅後純益	18.9	37.3	33.5	7.3	5.4	14.4	25.0	8.1			
年成長率 (%)											
營業收入	60.1	75.3	67.2	85.2	69.0	51.4	51.2	57.5	72.6	56.4	47.1
營業毛利	78.0	105.4	82.0	116.6	92.0	74.1	58.5	63.5	95.8	69.3	50.6
營業收益	100.7	103.0	88.3	135.7	98.4	100.2	66.1	70.1	106.9	80.0	53.1
EBITDA	95.7	100.4	86.8	126.9	93.5	94.3	63.5	65.9	102.6	76.0	51.1
稅前純益	88.9	127.3	80.0	119.7	102.2	104.3	70.8	69.8	101.9	82.7	53.1
稅後純益	98.7	182.4	97.8	133.7	107.1	72.6	61.6	62.9	123.8	71.8	52.4

資料來源：公司資料，凱基

資產負債表

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
資產總額	**44,584**	**75,746**	**121,841**	**177,664**	**247,285**
流動資產	**31,474**	**56,337**	**80,445**	**113,672**	**160,925**
現金及短期投資	9,191	18,517	17,067	16,363	19,235
存貨	7,900	9,747	15,713	23,370	33,724
應收帳款及票據	13,401	27,001	46,593	72,867	106,893
其他流動資產	982	1,072	1,072	1,072	1,072
非流動資產	**13,110**	**19,409**	**41,396**	**63,992**	**86,360**
長期投資	799	851	851	851	851
固定資產	11,635	17,840	39,827	62,423	84,791
什項資產	677	717	717	717	717
負債總額	**23,272**	**42,265**	**66,621**	**97,422**	**132,043**
流動負債	**16,969**	**27,554**	**49,487**	**72,180**	**101,909**
應付帳款及票據	8,268	11,029	17,778	26,442	38,158
短期借款	2,722	6,116	14,968	20,775	28,479
什項負債	5,979	10,409	16,741	24,963	35,273
長期負債	**6,303**	**14,711**	**17,133**	**25,242**	**30,135**
長期借款	4,531	11,875	14,297	22,406	27,298
其他負債及準備	1,705	2,771	2,771	2,771	2,771
股東權益總額	**21,312**	**33,481**	**55,220**	**80,242**	**115,241**
普通股本	4,918	5,105	5,105	5,105	5,105
保留盈餘	11,954	18,039	28,097	45,380	71,723
少數股東權益	-	-	-	-	-
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
年成長率					
營業收入	29.6%	54.0%	72.6%	56.4%	47.1%
營業收益增長	59.9%	73.2%	106.9%	80.0%	53.1%
EBITDA	52.3%	67.0%	102.6%	76.0%	51.1%
稅後純益	59.1%	71.1%	123.8%	71.8%	52.4%
每股盈餘成長率	59.1%	68.9%	113.4%	71.8%	52.4%
獲利能力分析					
營業毛利率	29.3%	32.8%	37.2%	40.3%	41.3%
營業利益率	20.8%	23.4%	28.0%	32.2%	33.5%
EBITDA Margin	23.6%	25.6%	30.0%	33.8%	34.7%
稅後純益率	14.4%	16.0%	20.8%	22.8%	23.6%
平均資產報酬率	14.5%	16.0%	21.8%	24.7%	26.5%
股東權益報酬率	29.4%	35.1%	48.5%	54.6%	57.6%
穩定\償債能力分析					
毛負債比率 (%)	34.0%	53.7%	53.0%	53.8%	48.4%
淨負債比率	Net cash	Net cash	22.8%	33.9%	32.1%
利息保障倍數 (x)	51.6	65.8	87.6	154.5	236.0
利息及短期債保障倍數 (x)	0.7	0.7	0.6	0.7	0.7
Cash Flow Int. Coverage (x)	33.4	10.3	14.5	41.6	77.5
Cash Flow/Int. & ST Debt (x)	1.9	0.4	0.3	0.7	0.9
流動比率 (x)	1.9	2.0	1.6	1.6	1.6
速動比率 (x)	1.4	1.7	1.3	1.3	1.2
淨負債 (NT$百萬)	(1,931)	(124)	12,601	27,221	36,944
每股資料分析					
每股盈餘 (NT$)	11.54	19.48	41.59	71.46	108.93
每股現金盈餘 (NT$)	11.56	4.58	9.22	27.38	50.99
每股淨值 (NT$)	43.33	65.58	108.16	157.17	225.73
調整後每股淨值 (NT$)	43.79	67.91	106.80	155.19	222.88
每股營收 (NT$)	80.03	121.70	200.26	313.19	460.69
EBITDA/Share (NT$)	18.87	31.10	60.08	105.72	159.74
每股現金股利 (NT$)	6.00	10.00	22.87	39.30	59.91
資產運用狀況					
資產周轉率 (x)	1.00	1.00	1.05	1.08	1.12
應收帳款周轉天數	125.9	164.2	164.2	164.2	164.2
存貨周轉天數	104.9	88.2	88.2	88.2	88.2
應付帳款周轉天數	109.8	99.8	99.8	99.8	99.8
現金轉換周轉天數	121.0	152.6	152.6	152.6	152.6

資料來源：公司資料，凱基

損益表

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入	**38,952**	**60,004**	**103,543**	**161,932**	**238,198**
營業成本	(27,556)	(40,321)	(64,998)	(96,673)	(139,889)
營業毛利	**11,396**	**19,683**	**38,544**	**65,259**	**98,309**
營業費用	(3,302)	(5,667)	(9,552)	(13,072)	(18,423)
營業利益	**8,094**	**14,016**	**28,992**	**52,187**	**79,886**
總營業外收入	**341**	**451**	**486**	**420**	**420**
利息收入	246	273	454	420	420
投資利益淨額	0	0	-	-	-
其他營業外收入	95	178	32	-	-
總營業外費用	**83**	**(321)**	**(919)**	**(420)**	**(420)**
利息費用	(168)	(218)	(330)	(340)	(340)
投資損失	-	-	-	-	-
其他營業外費用	251	(103)	(589)	(80)	(80)
稅前純益	**8,517**	**14,146**	**28,559**	**52,187**	**79,886**
所得稅費用[利益]	(2,875)	(4,567)	(7,655)	(15,237)	(23,566)
少數股東損益	-	-	-	-	-
非常項目	(27)	27	598	-	-
稅後淨利	**5,616**	**9,607**	**21,502**	**36,949**	**56,319**
EBITDA	9,183	15,332	31,065	54,664	82,595
每股盈餘 (NT$)	11.54	19.48	41.59	71.46	108.93

現金流量

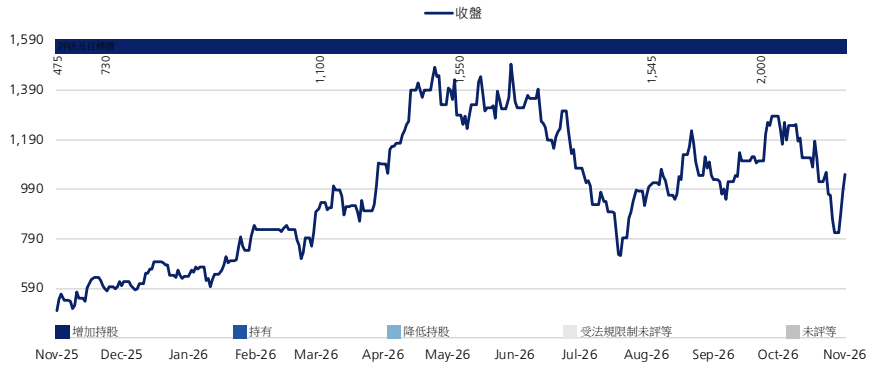
NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營運活動之現金流量	**5,625**	**2,259**	**4,768**	**14,159**	**26,363**
本期純益	5,616	9,607	21,502	36,949	56,319
折舊及攤提	1,089	1,316	2,073	2,477	2,709
本期運用資金變動	(2,647)	(12,581)	(18,808)	(25,268)	(32,665)
其他營業資產及負債變動	1,568	3,917	-	-	-
投資活動之現金流量	**(5,205)**	**(7,033)**	**(24,060)**	**(25,073)**	**(25,077)**
投資用短期投資出售[新購]	(17)	(262)	-	-	-
本期長期投資變動	-	-	-	-	-
資本支出淨額	(5,131)	(6,733)	(24,012)	(25,021)	(25,021)
其他資產變動	(56)	(38)	(48)	(52)	(56)
自由現金流	**(1,364)**	**(8,539)**	**(19,574)**	**(10,914)**	**1,286**
融資活動之現金流量	**323**	**13,241**	**17,842**	**10,210**	**1,585**
短期借款變動	1,054	4,505	5,000	5,000	5,000
長期借款變動	990	11,559	6,274	8,916	7,595
現金增資	-	-			
已支付普通股股息	(1,703)	(2,920)	(5,113)	(11,445)	(19,666)
其他融資現金流	(18)	98	11,681	7,739	8,656
匯率影響數	**700**	**463**			
本期產生現金流量	**1,444**	**8,930**	**(1,450)**	**(704)**	**2,872**

投資回報率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
1－營業成本/營業收入					
－銷管費用/營業收入	8.5%	9.4%	9.2%	8.1%	7.7%
＝營業利益率	**20.8%**	**23.4%**	**28.0%**	**32.2%**	**33.5%**
1/（營業運用資金/營業收入	0.2	0.3	0.3	0.3	0.3
＋淨固定資產/營業收入	0.3	0.3	0.4	0.4	0.4
＋什項資產/營業收入）	0.0	0.0	0.0	0.0	0.0
＝資本周轉率	**2.0**	**1.7**	**1.5**	**1.5**	**1.6**
營業利益率	20.8%	23.4%	28.0%	32.2%	33.5%
x 資本周轉率	2.0	1.7	1.5	1.5	1.6
x（1－有效現金稅率）	66.2%	67.7%	73.2%	70.8%	70.5%
＝稅後 ROIC	**27.2%**	**27.7%**	**30.9%**	**34.1%**	**36.8%**

資料來源：公司資料，凱基

金像電 –以往評級及目標價



日期	評級	目標價	收盤價
2026-10-02	增加持股	2,000	1,105
2026-08-12	增加持股	1,545	1,000
2026-05-15	增加持股	1,550	1,290
2026-03-11	增加持股	1,100	898
2025-12-03	增加持股	730	589
2025-08-08	增加持股	475	409
2025-06-26	增加持股	330	270
2025-05-09	增加持股	282	226
2025-03-14	增加持股	262	217
2025-01-02	增加持股	265	238

資料來源：TEJ，凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888，傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888，傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888，傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188，傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

免責聲明

凱基證券投資顧問股份有限公司（以下簡稱本公司）為凱基金控集團之成員。本報告之內容皆來自本公司認可之資料來源，但不保證其完整性及精確性。報告內容所提及之各項業務、財務等相關檔案資料及所有的意見及預估皆基於本公司於特定日期所做之判斷，故有其時效性限制，遲後若有變更時，本公司將不做預告或更新。本報告內容僅供參考，並不提供或遊說客戶為買賣股票之投資依據。投資人應審慎考量本身之投資風險，並就投資結果自行負責。本公司及所屬集團成員，暨其主管或員工皆有可能持有報告中所提及的證券。本公司及所屬集團成員並可能經常提供投資銀行或其他服務給報告中提及之公司或向其爭取相關業務。本報告之著作權為本公司所有，非經本公司同意，本報告全文或部份內容，不得以任何形式或方式引用、轉載或轉寄。

廣達

(2382.TW/2382 TT)

FTSE4Good TIP Taiwan ESG Index stock

增加持股・維持

收盤價 November 11 (NT$)	298.0
12 個月目標價 (NT$)	435.0
前次目標價 (NT$)	500.0
調降 (%)	13.0
上漲空間 (%)	46.0

焦點內容

1. 3Q26 獲利率不佳，但每股盈餘 7.08 元符合凱基預估。
2. 管理層預期 Vera Rubin AI 機櫃將於 1Q27 出貨更為顯著，因此 4Q26 營收在過渡期間可能與前一季持平。
3. 2027 年通用型與 AI 伺服器營收將成長雙位數，且 AI 伺服器營收年增逾 50%，而筆電出貨量將年減 5-10%。2027 年伺服器營收占比可能達 85-90%，但利潤率將面臨壓力。

交易資料表

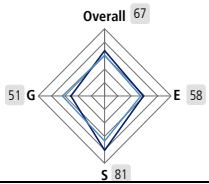
市值：(NT$bn/US$mn)	1,22437,036
流通在外股數 (百萬股)：	4,108
外資持有股數 (百萬股)：	924
3M 平均成交量 (百萬股)：	9.27
52 週股價 (低 \ 高) (NT$):	260.0 –417.0

股價表現	3M	6M	12M
絕對表現 (%)	-5.6	-13.3	2.2
相對表現 (%)	-3.7	-19.2	-57.1

每股盈餘

NT$	1Q	2Q	3Q	4Q
2025	5.06A	4.37A	4.26A	5.76A
2026	5.50A	7.43A	7.08A	6.07F
2027	6.63F	6.90F	8.25F	9.29F

ESG 分數評等



資料來源：Refinitiv；凱基

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凱基投顧

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重要免責聲明，詳見最終頁

3Q26 獲利符合預期；2027 年營業利益複合成長力道強勁

重要訊息

廣達公布 3Q26 EPS 為 7.08 元，符合凱基預估及市場共識，但毛利率與營業利益率不如預期。管理層看好 2027 年伺服器營收展望，並指引 AI 與通用型伺服器營收將年增雙位數。

評論及分析

獲利率不佳，但 3Q26 每股盈餘仍大致符合預期。3Q26 EPS 為 7.08 元，季減 5%、年增 66%，大致符合凱基預估。毛利率 4.8% 及營業利益率 2.9% 均不如凱基預估，因 AI 伺服器營收增加。3Q26 伺服器營收季增，但高均價 AI 伺服器出貨量略為季減，而通用型伺服器出貨量季增。再加上筆電出貨量季減 17% 至 960 萬台 (雖優於指引)，稼動率降低與組合不利導致 3Q26 毛利率小幅季減，而研發支出為新 AI 伺服器專案增加而使營業費用上升，導致營業利益率季減。在 39 億元匯兌利益的彌補下，3Q26 EPS 大致符合預期。1Q-3Q26 EPS 為 20.03 元，年增 48%，營業利益年增 41%，且 3Q26 營業利益年增率加速至 75%。

伺服器營收將是 2027 年獲利的主要助力。管理層指引 4Q26 AI 伺服器出貨量將因機種轉換而季減，但通用型伺服器出貨量將季增，筆電出貨量則將季減雙位數。因此凱基預期營收將與前一季持平，低於先前預期。預期 4Q26 毛利率將面臨壓力，但營業利益率可望與前一季持穩。不過在 VR200 AI 伺服器於 1Q27 顯著出貨下營收有機會季增。2027 年公司預期伺服器整體營收將年增雙位數，占比升至 85-90%，高於 2026 年的 80-85%。AI 伺服器營收應將成長高雙位數 (可能年增 50-100%)，受惠於 VR 機櫃 ASP 提高，加上 ASIC AI 伺服器營收成長。ASIC AI 伺服器占 2027 年整體 AI 伺服器營收比重應超過 10%，高於 2026 年的 8-10%，亦是 2027 年營收與利潤率成長的關鍵催化劑。然而，2027 年筆電出貨量將年減 5-10%，符合業界趨勢，2026 年則年減 10-20%。因此，筆電營收占比將由 2026 年的 10-20% 縮減至 2027 年的 10% 以下。隨著 AI 伺服器營收成長 (主要因 VR200 機櫃 ASP 較 GB300 機櫃高出 80%)，預期其 2027 年毛利率與營業利益率將年減。營運資金仍是公司的挑戰，管理層正與客戶協商委售(consign)條件，目前佔比有限。考量更新指引，凱基下修 2026-27 年營收與利潤率，並將 EPS 調降至 2026 年之 26.09 元、2027 年之 31.06 元，2027 年營業利益仍將年增 32%。AI 需求仍強勁，廣達預計 2027 年資本支出將由 2026 年的 400 億元增至 400-450 億元，主要用於美國與泰國廠的公用設施及測試設施需求。

投資建議

凱基將目標價由 500 元降至 435 元，以 2027 年預估 EPS 的 14 倍為基礎，並維持「增加持股」評等，因 2027-28 年 AI 伺服器營收及 EPS 成長穩健。

投資風險

筆電需求疲弱、AI 伺服器獲利率偏低、零組件成本上揚及缺料。

主要財務數據及估值

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入 (NT$百萬)	1,085,611	1,410,756	2,123,689	4,076,903	5,920,507
營業毛利 (NT$百萬)	84,883	110,760	148,332	196,231	254,944
營業利益 (NT$百萬)	43,550	61,622	87,396	121,265	159,706
稅後淨利 (NT$百萬)	39,676	59,702	74,988	102,602	124,615
每股盈餘 (NT$)	10.29	15.49	19.45	26.09	31.06
每股現金股利 (NT$)	9.00	13.00	15.60	21.25	25.81
每股盈餘成長率 (%)	37.0	50.5	25.6	34.1	19.1
本益比 (x)	29.0	19.2	15.3	11.4	9.6
股價淨值比 (x)	6.2	5.2	4.7	4.4	4.0
EV/EBITDA (x)	20.9	16.6	12.7	10.4	9.6
淨負債比率 (%)	Net cash	28.9	53.4	95.9	172.6
殖利率 (%)	3.0	4.4	5.2	7.1	8.7
股東權益報酬率 (%)	22.3	29.2	32.2	40.4	45.1

資料來源：公司資料，凱基

圖 1：3Q26 財報與 4Q26 財測修正 vs. 市場共識

	3Q26							4Q26F						
百萬元	實際值	凱基預估	差異 (%)	QoQ (%)	YoY (%)	市場共識	差異(%)	修正後	修正前	差異(%)	QoQ (%)	YoY (%)	市場共識	差異(%)
營收	1,115,545	1,119,520	(0.4)	7.6	125.2	1,110,407	0.5	1,115,545	1,253,863	(11.0)	0.0	74.7	1,146,838	(2.7)
毛利	53,024	55,976	(5.3)	1.8	56.3	55,230	(4.0)	52,431	58,932	(11.0)	(1.1)	29.8	55,938	(6.3)
營業利益	32,204	36,384	(11.5)	(6.0)	75.3	36,057	(10.7)	31,793	40,124	(20.8)	(1.3)	32.4	36,375	(12.6)
稅前淨利	34,885	35,336	(1.3)	(4.6)	66.8	35,919	(2.9)	33,957	37,849	(10.3)	(2.7)	23.6	35,918	(5.5)
稅後淨利	28,422	27,387	3.8	(0.8)	73.0	28,225	0.7	24,336	27,079	(10.1)	(14.4)	9.6	28,252	(13.9)
每股盈餘 (元)	7.08	7.11	3.8	(4.7)	66.2	7.04	0.7	6.07	7.03	(10.1)	(14.4)	5.3	7.04	(13.9)
毛利率 (%)	4.8	5.0	(0.2)ppts	(0.3)ppts	(2.1)ppts	5.0	(0.2)ppts	4.7	4.7	(0.0)ppts	(0.1)ppts	(1.6)ppts	4.9	(0.2)ppts
營業利益率 (%)	2.9	3.3	(0.4)ppts	(0.4)ppts	(0.8)ppts	3.2	(0.4)ppts	2.8	3.2	(0.4)ppts	(0.0)ppts	(0.9)ppts	3.2	(0.3)ppts
淨利率 (%)	2.5	2.4	0.1 ppts	(0.2)ppts	(0.8)ppts	2.5	0.0 ppts	2.2	2.2	0.0 ppts	(0.4)ppts	(1.3)ppts	2.5	(0.3)ppts

資料來源：Bloomberg；凱基預估

圖 2：2026-27 年財測修正 vs. 市場共識

	2026F						2027F					
百萬元	修正後	修正前	差異(%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異(%)
營收	4,076,903	4,219,196	(3.4)	92.0	4,075,501	0.0	5,920,507	5,220,407	13.4	45.2	5,404,928	9.5
毛利	196,231	205,683	(4.6)	32.3	200,532	(2.1)	254,944	246,905	3.3	29.9	249,705	2.1
營業利益	121,265	133,776	(9.4)	38.8	128,994	(6.0)	159,706	165,023	(3.2)	31.7	161,431	(1.1)
稅前獲利	129,940	134,284	(3.2)	36.4	132,609	(2.0)	158,754	157,540	0.8	22.2	161,133	(1.5)
稅後淨利	102,602	104,310	(1.6)	36.8	105,684	(2.9)	124,615	122,397	1.8	21.5	126,645	(1.6)
每股盈餘 (元)	26.09	27.06	(1.6)	34.1	26.87	(2.9)	31.06	31.75	1.8	19.1	31.57	(1.6)
毛利率 (%)	4.8	4.9	(0.1)ppts	(2.2)ppts	4.9	(0.1)ppts	4.3	4.7	(0.4)ppts	(0.5)ppts	4.6	(0.3)ppts
營利率 (%)	3.0	3.2	(0.2)ppts	(1.1)ppts	3.2	(0.2)ppts	2.7	3.2	(0.5)ppts	(0.3)ppts	3.0	(0.3)ppts
淨利率 (%)	2.5	2.5	0.0 ppts	(1.0)ppts	2.6	(0.1)ppts	2.1	2.3	(0.2)ppts	(0.4)ppts	2.3	(0.2)ppts

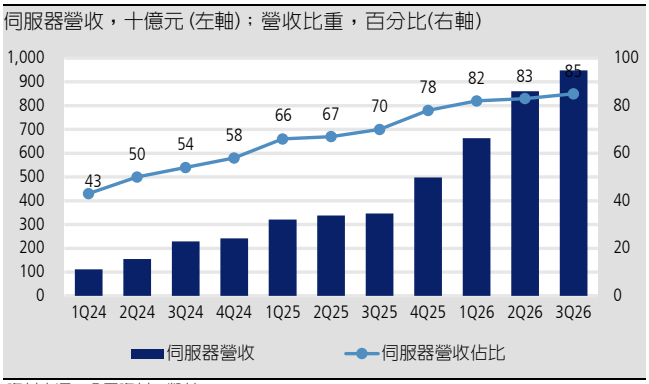
資料來源：Bloomberg；凱基預估

圖 3：預期 2026-27 年伺服器營收比重持續提高

營收比重 (%)	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
筆電/Chromebook	43	53	54	48	41	29	22	11	7
雲端伺服器	23	24	26	27	35	52	71	81	90
EV	1	2	3	6	8	8	3	2	1
穿戴式裝置/IoT/其他	32	21	18	19	16	11	3	6	2

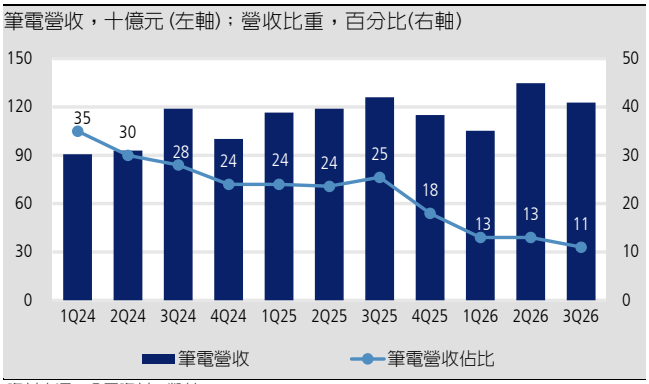
資料來源：凱基預估

圖 4：3Q26 伺服器營收佔比季增至 80%以上



資料來源：公司資料；凱基

圖 5：3Q26 筆電伺服器營收佔比季減至 15%以下



資料來源：公司資料；凱基

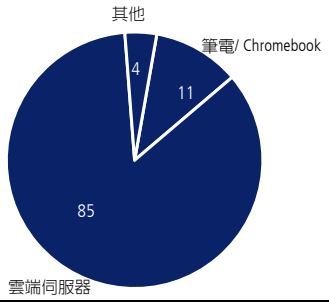
圖 6：公司概況

廣達成立於 1988 年，為全球最大 NB ODM 廠，2024 年出貨量 4，590 萬台，全球市佔 24-25%。主要客戶為全球前六大品牌 NB 廠如 Apple (美)、HP (美)、華碩與宏碁等。全球員工人數 3 萬名以上。未來數年雲端將為成長動能來源，目前公司拓展之業務領域，包括伺服器、all-in-one (AIO)、穿戴裝置和居家 AI 產品。2025年伺服器業務約佔 70%營收，筆電營收比重降至 20-25%，電動車營收比重下滑至 0-5%。

資料來源：凱基

圖 7：3Q26 筆電營收比重降至 15%以下，伺服器上升至 80%以上

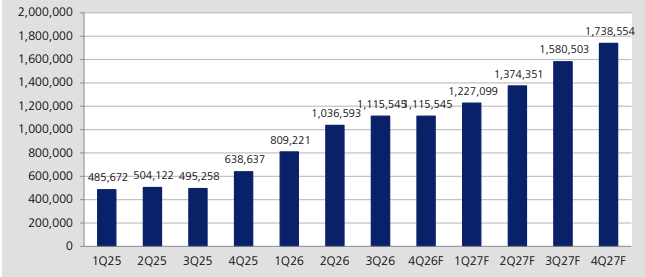
3Q26 營收比重，百分比



資料來源：公司資料；凱基

圖 8: 季營業收入

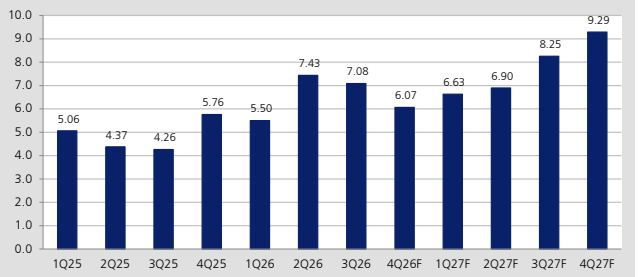
季營業收入，百萬元



資料來源：凱基

圖 9: 每股盈利

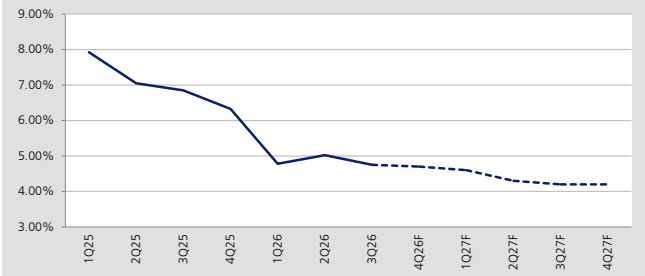
每股盈利，元



資料來源：凱基

圖 10: 毛利率

毛利率，百分比



資料來源：凱基

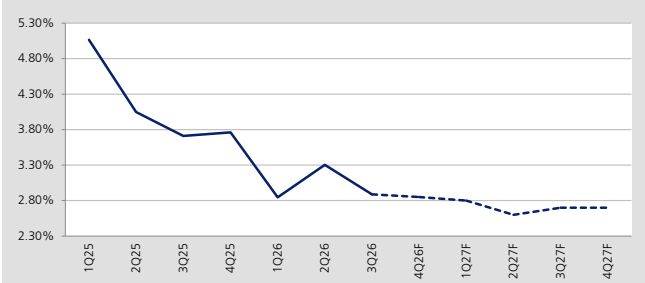
圖 11: 未來一年本益比區間

股價，元（左軸）；本益比，倍（右軸）

資料來源：TEJ；凱基預估

圖 12: 營業利潤率

營業利潤率，百分比



資料來源：凱基

圖 13: 未來一年預估股價淨值比區間

股價，元（左軸）；股價淨值比，倍（右軸）

資料來源：TEJ；凱基預估

損益表

	季度								年度		
	Mar-26A	Jun-26A	Sep-26A	Dec-26F	Mar-27F	Jun-27F	Sep-27F	Dec-27F	Dec-25A	Dec-26F	Dec-27F
損益表 (NT$百萬)											
營業收入	**809,221**	**1,036,593**	**1,115,545**	**1,115,545**	**1,227,099**	**1,374,351**	**1,580,503**	**1,738,554**	**2,123,689**	**4,076,903**	**5,920,507**
營業成本	(770,524)	(984,514)	(1,062,520)	(1,063,114)	(1,170,652)	(1,315,254)	(1,514,122)	(1,665,535)	(1,975,357)	(3,880,672)	(5,665,563)
營業毛利	**38,697**	**52,079**	**53,024**	**52,431**	**56,447**	**59,097**	**66,381**	**73,019**	**148,332**	**196,231**	**254,944**
營業費用	(15,673)	(17,835)	(20,821)	(20,638)	(22,088)	(23,364)	(23,708)	(26,078)	(60,936)	(74,966)	(95,238)
營業利益	**23,024**	**34,244**	**32,204**	**31,793**	**34,359**	**35,733**	**42,674**	**46,941**	**87,396**	**121,265**	**159,706**
折舊	(3,256)	(3,579)	(6,498)	(1,487)	(4,639)	(4,639)	(4,639)	(4,639)	(11,091)	(14,820)	(18,555)
攤提	(380)	(453)	(402)	(316)	(388)	(388)	(388)	(388)	(1,351)	(1,550)	(1,550)
EBITDA	**26,660**	**38,276**	**39,104**	**33,596**	**39,385**	**40,760**	**47,700**	**51,967**	**99,837**	**137,635**	**179,812**
利息收入	1,496	2,418	1,680	1,705	1,689	1,689	1,689	1,689	6,907	7,300	6,755
投資利益淨額	-	-	-	50	15	15	15	15	33	50	60
其他營業外收入	3,593	4,014	113	9,780	2,250	2,250	2,250	2,250	9,790	17,500	9,000
總營業外收入	**5,089**	**6,432**	**1,794**	**11,535**	**3,954**	**3,954**	**3,954**	**3,954**	**16,731**	**24,850**	**15,815**
利息費用	(3,570)	(4,111)	(3,975)	(4,019)	(4,067)	(4,067)	(4,067)	(4,067)	(8,827)	(15,675)	(16,267)
投資損失	(6)	(4)	(2)	(38)	(13)	(13)	(13)	(13)	(27)	(50)	(50)
其他營業外費用	(0)	(0)	4,865	(5,315)	(113)	(113)	(113)	(113)	-	(450)	(450)
總營業外費用	**(3,576)**	**(4,115)**	**888**	**(9,371)**	**(4,192)**	**(4,192)**	**(4,192)**	**(4,192)**	**(8,854)**	**(16,175)**	**(16,767)**
稅前純益	**24,537**	**36,561**	**34,885**	**33,957**	**34,121**	**35,495**	**42,435**	**46,703**	**95,273**	**129,940**	**158,754**
所得稅費用[利益]	(3,231)	(7,774)	(6,251)	(9,382)	(7,336)	(7,631)	(9,124)	(9,247)	(19,487)	(26,638)	(33,338)
少數股東損益	(114)	(136)	(212)	(238)	(200)	(200)	(200)	(200)	(799)	(700)	(800)
非常項目前稅後純益	**21,192**	**28,651**	**28,422**	**24,336**	**26,585**	**27,664**	**33,112**	**37,255**	**74,988**	**102,602**	**124,615**
非常項目	(0)	(0)	0	(0)	-	-	-	-	-	-	-
稅後淨利	**21,192**	**28,651**	**28,422**	**24,336**	**26,585**	**27,664**	**33,112**	**37,255**	**74,988**	**102,602**	**124,615**
每股盈餘 (NT$)	5.50	7.43	7.08	6.07	6.63	6.90	8.25	9.29	19.45	26.09	31.06
獲利率 (%)											
營業毛利率	4.8	5.0	4.8	4.7	4.6	4.3	4.2	4.2	7.0	4.8	4.3
營業利益率	2.8	3.3	2.9	2.8	2.8	2.6	2.7	2.7	4.1	3.0	2.7
EBITDA Margin	3.3	3.7	3.5	3.0	3.2	3.0	3.0	3.0	4.7	3.4	3.0
稅前純益率	3.0	3.5	3.1	3.0	2.8	2.6	2.7	2.7	4.5	3.2	2.7
稅後純益率	2.6	2.8	2.5	2.2	2.2	2.0	2.1	2.1	3.5	2.5	2.1
季成長率 (%)											
營業收入	26.7	28.1	7.6	0.0	10.0	12.0	15.0	10.0			
營業毛利	(4.2)	34.6	1.8	(1.1)	7.7	4.7	12.3	10.0			
營業收益增長	(4.1)	48.7	(6.0)	(1.3)	8.1	4.0	19.4	10.0			
EBITDA	(2.7)	43.6	2.2	(14.1)	17.2	3.5	17.0	8.9			
稅前純益	(10.7)	49.0	(4.6)	(2.7)	0.5	4.0	19.6	10.1			
稅後純益	(4.5)	35.2	(0.8)	(14.4)	9.2	4.1	19.7	12.5			
年成長率 (%)											
營業收入	66.6	105.6	125.2	74.7	51.6	32.6	41.7	55.8	50.5	92.0	45.2
營業毛利	0.6	46.6	56.3	29.8	45.9	13.5	25.2	39.3	33.9	32.3	29.9
營業收益	(6.4)	67.8	75.3	32.4	49.2	4.3	32.5	47.6	41.8	38.8	31.7
EBITDA	(3.5)	63.8	82.4	22.6	47.7	6.5	22.0	54.7	36.2	37.9	30.6
稅前純益	(2.9)	69.1	66.8	23.6	39.1	(2.9)	21.6	37.5	30.2	36.4	22.2
稅後純益	8.7	69.9	73.0	9.6	25.4	(3.4)	16.5	53.1	25.6	36.8	21.5

資料來源：公司資料，凱基

資產負債表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
資產總額	**690,120**	**932,446**	**1,343,112**	**1,881,483**	**2,360,805**
流動資產	**610,448**	**840,694**	**1,232,064**	**1,745,384**	**2,200,399**
現金及短期投資	218,726	201,099	202,628	253,600	196,707
存貨	123,764	261,886	512,946	744,238	1,008,936
應收帳款及票據	259,907	371,246	494,969	726,024	973,234
其他流動資產	8,051	6,463	21,522	21,522	21,522
非流動資產	**79,672**	**91,753**	**111,047**	**136,098**	**160,405**
長期投資	5,449	7,903	15,194	15,065	14,928
固定資產	60,820	67,061	72,970	98,149	122,594
什項資產	13,404	16,789	22,883	22,883	22,883
負債總額	**496,228**	**702,141**	**1,087,367**	**1,604,518**	**2,058,117**
流動負債	**483,013**	**638,699**	**1,014,155**	**1,453,562**	**1,833,076**
應付帳款及票據	168,322	282,782	535,232	850,558	1,086,546
短期借款	158,797	179,540	258,327	360,584	486,498
什項負債	155,893	176,377	220,596	242,420	260,031
長期負債	**13,215**	**63,442**	**73,212**	**150,956**	**225,041**
長期借款	5,931	50,983	56,579	134,323	208,408
其他負債及準備	5,413	9,192	10,826	10,826	10,826
股東權益總額	**193,892**	**230,306**	**255,745**	**276,965**	**302,688**
普通股本	38,626	38,626	38,626	38,626	38,626
保留盈餘	76,648	111,059	131,738	152,259	177,182
少數股東權益	7,685	8,020	12,167	12,867	13,667
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
年成長率					
營業收入	(15.2%)	30.0%	50.5%	92.0%	45.2%
營業收益增長	39.6%	41.5%	41.8%	38.8%	31.7%
EBITDA	33.2%	33.3%	36.2%	37.9%	30.6%
稅後純益	37.0%	50.5%	25.6%	36.8%	21.5%
每股盈餘成長率	37.0%	50.5%	25.6%	34.1%	19.1%
獲利能力分析					
營業毛利率	7.8%	7.9%	7.0%	4.8%	4.3%
營業利益率	4.0%	4.4%	4.1%	3.0%	2.7%
EBITDA Margin	5.1%	5.2%	4.7%	3.4%	3.0%
稅後純益率	3.7%	4.2%	3.5%	2.5%	2.1%
平均資產報酬率	5.3%	7.4%	6.6%	6.4%	5.9%
股東權益報酬率	22.3%	29.2%	32.2%	40.4%	45.1%
穩定 \ 償債能力分析					
毛負債比率 (%)	85.0%	100.1%	123.1%	178.7%	229.6%
淨負債比率	Net cash	28.9%	53.4%	95.9%	172.6%
利息保障倍數 (x)	6.8	11.0	11.8	9.3	10.8
利息及短期債保障倍數 (x)	0.2	0.3	0.2	0.2	0.2
Cash Flow Int. Coverage (x)	13.9	(4.8)	(1.2)	(1.8)	(8.1)
Cash Flow/Int. & ST Debt (x)	0.7	(0.2)	(0.0)	(0.1)	(0.3)
流動比率 (x)	1.3	1.3	1.2	1.2	1.2
速動比率 (x)	1.0	0.9	0.7	0.7	0.6
淨負債 (NT$百萬)	(12,506)	66,531	136,596	265,624	522,517
每股資料分析					
每股盈餘 (NT$)	10.29	15.49	19.45	26.09	31.06
每股現金盈餘 (NT$)	32.25	(9.17)	(2.69)	(7.13)	(32.71)
每股淨值 (NT$)	48.21	57.55	63.06	68.37	74.82
調整後每股淨值 (NT$)	48.29	57.67	63.19	67.15	72.05
每股營收 (NT$)	281.55	366.00	550.96	1,036.57	1,475.83
EBITDA/Share (NT$)	14.26	19.02	25.90	34.99	44.82
每股現金股利 (NT$)	9.00	13.00	15.60	21.25	25.81
資產運用狀況					
資產周轉率 (x)	1.44	1.74	1.87	2.53	2.79
應收帳款周轉天數	87.4	96.3	85.1	65.0	60.0
存貨周轉天數	45.1	73.7	94.8	70.0	65.0
應付帳款周轉天數	61.4	79.6	98.9	80.0	70.0
現金轉換周轉天數	71.1	90.4	81.0	55.0	55.0

資料來源：公司資料，凱基

損益表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入	**1,085,611**	**1,410,756**	**2,123,689**	**4,076,903**	**5,920,507**
營業成本	(1,000,728)	(1,299,996)	(1,975,357)	(3,880,672)	(5,665,563)
營業毛利	**84,883**	**110,760**	**148,332**	**196,231**	**254,944**
營業費用	(41,339)	(49,138)	(60,936)	(74,966)	(95,238)
營業利益	**43,550**	**61,622**	**87,396**	**121,265**	**159,706**
總營業外收入	**16,785**	**16,236**	**16,731**	**24,850**	**15,815**
利息收入	10,620	9,743	6,907	7,300	6,755
投資利益淨額	33	210	33	50	60
其他營業外收入	6,131	6,283	9,790	17,500	9,000
總營業外費用	**(8,603)**	**(4,691)**	**(8,854)**	**(16,175)**	**(16,767)**
利息費用	(8,915)	(7,288)	(8,827)	(15,675)	(16,267)
投資損失	(45)	(39)	(27)	(50)	(50)
其他營業外費用	356	2,637	(0)	(450)	(450)
稅前純益	**51,731**	**73,167**	**95,273**	**129,940**	**158,754**
所得稅費用[利益]	(11,243)	(12,884)	(19,487)	(26,638)	(33,338)
少數股東損益	(812)	(581)	(799)	(700)	(800)
非常項目	-	0	(0)	-	-
稅後淨利	**39,676**	**59,702**	**74,988**	**102,602**	**124,615**
EBITDA	**54,986**	**73,301**	**99,837**	**137,635**	**179,812**
每股盈餘 (NT$)	10.29	15.49	19.45	26.09	31.06

現金流量

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營運活動之現金流量	**124,333**	**(35,330)**	**(10,365)**	**(28,049)**	**(131,209)**
本期純益	39,676	59,702	74,988	102,602	124,615
折舊及攤提	11,437	11,678	12,441	16,371	20,106
本期運用資金變動	80,499	(130,646)	(122,316)	(147,022)	(275,920)
其他營業資產及負債變動	(7,279)	23,935	24,523	-	(10)
投資活動之現金流量	**(37,612)**	**(12,290)**	**(8,338)**	**(41,422)**	**(44,403)**
投資用短期投資出售[新購]	(29,080)	681	9,098	-	-
本期長期投資變動	(30)	91	167	129	148
資本支出淨額	(8,832)	(13,132)	(14,757)	(40,000)	(43,000)
其他資產變動	330	70	(2,845)	(1,550)	(1,550)
自由現金流	**115,553**	**(82,896)**	**(56,462)**	**(75,796)**	**(174,196)**
融資活動之現金流量	**(114,205)**	**28,917**	**38,764**	**120,443**	**118,718**
短期借款變動	(47,522)	(3,117)	84,166	100,000	100,000
長期借款變動	(41,138)	68,806	2,062	80,000	100,000
現金增資	-	-	-		
已支付普通股股息	(23,765)	(34,691)	(50,214)	(60,257)	(82,082)
其他融資現金流	(1,780)	(2,081)	2,749	700	800
匯率影響數	**81**	**5,462**	**(5,744)**		
本期產生現金流量	**(27,403)**	**(13,242)**	**14,318**	**50,972**	**(56,893)**

投資回報率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
1 - 營業成本/營業收入					
- 銷管費用/營業收入	3.8%	3.5%	2.9%	1.8%	1.6%
= 營業利益率	**4.0%**	**4.4%**	**4.1%**	**3.0%**	**2.7%**
1 / (營業運用資金/營業收入	0.1	0.1	0.1	0.1	0.1
+ 淨固定資產/營業收入	0.1	0.0	0.0	0.0	0.0
+ 什項資產/營業收入)	0.0	0.0	0.0	0.0	0.0
= 資本周轉率	**8.3**	**5.6**	**6.1**	**8.1**	**7.6**
營業利益率	4.0%	4.4%	4.1%	3.0%	2.7%
x 資本周轉率	8.3	5.6	6.1	8.1	7.6
x (1 - 有效現金稅率)	78.3%	82.4%	79.5%	79.5%	79.0%
= 稅後 ROIC	**26.0%**	**20.3%**	**19.9%**	**19.3%**	**16.1%**

資料來源：公司資料，凱基

廣達 – 以往評級及目標價

日期	評級	目標價	收盤價
2026-08-14	增加持股	500	328
2026-05-15	增加持股	430	306
2026-02-27	增加持股	405	292
2025-11-13	增加持股	385	285
2025-08-13	增加持股	350	272
2025-07-22	增加持股	325	263
2025-06-27	增加持股	338	286
2025-05-14	增加持股	320	277
2025-02-28	增加持股	325	251
2025-02-12	增加持股	348	258

資料來源：TEJ，凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888 • 傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888 • 傳真 852.2878.6800
泰國	曼谷	8th - 11th floors， Asia Centre Building 173 South Sathorn Road， Bangkok 10120， Thailand 電話 66.2658.8888 • 傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188 • 傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

免責聲明

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緯創

(3231.TW/3231 TT)

FTSE4Good TIP Taiwan ESG Index stock

增加持股・維持

收盤價 November 11 (NT$)	174.5
12 個月目標價 (NT$)	310.0
前次目標價 (NT$)	308.0
調升 (%)	0.6
上漲空間 (%)	77.7

焦點內容

1. 3Q26 EPS 5.74 元，大致符合我們預估，惟獲利率表現優於預期。
2. 受惠伺服器銷售成長及緯穎 (6669 TT) 表現強勁，預估 4Q26 GB300 及 VR200 AI 伺服器出貨將持續季增，並帶動 4Q26 營益率趨勢向上。
3. 隨新客戶導入及需求攀升，我們預期產品組合優化將帶動 2027 年營益率擴張。客戶基礎多元化及新專案亦將挹注未來 2-3 年 EPS 成長。

交易資料表

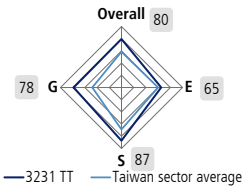
市值：(NT$bn/US$mn)	599 / 18,189
流通在外股數 (百萬股)：	3,430
外資持有股數 (百萬股)：	1,168
3M 平均成交量 (百萬股)：	28.58
52 週股價 (低 \ 高) (NT$):	122.5 –198.0

股價表現	3M	6M	12M
絕對表現 (%)	-8.6	25.5	20.8
相對表現 (%)	-6.7	19.6	-38.5

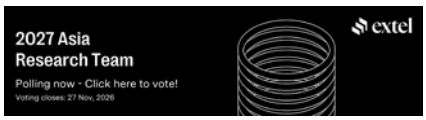
每股盈餘

NT$	1Q	2Q	3Q	4Q
2025	1.85A	2.20A	2.36A	2.60A
2026	3.06A	4.72A	5.74F	5.79F
2027	6.04F	6.74F	7.29F	9.23F

ESG 分數評等



資料來源： *Refinitiv、凱基*



請將您珍貴的一票投給凱基！

凱基投顧

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重要免責聲明，詳見最終頁

2027 年 AI 營收成長亮眼，獲利率趨勢向上

重要訊息

緯創 3Q26 每股盈餘 5.74 元，基本符合預期，毛利率與營利率則優於預期。4Q26 AI 伺服器與整體營收將呈季增，2027 年展望正向。

評論及分析

3Q26 每股盈餘符合預期，獲利率超前。3Q26 EPS 為 5.74 元，季增 22%、年增 143%，大致符合凱基預估，但優於市場共識。3Q26 伺服器營收占比由 2Q26 的 79% 升至 83%，因出給 Dell (美) GB300 之伺服器出貨量季增 20% 至近 4,800 櫃，以及緯穎 (6669 TT，NT$1,680，增加持股) 因新 Trainium3 (T3) 機種放量帶動 ASIC AI 伺服器營收成長。受惠於生產效率提升與營收增加，3Q26 毛利率穩定，營業利益率較前一季改善。不計緯穎貢獻，緯創本身 3Q26 營業利益率由 2Q26 的 2.1% 升至 2.3%。3Q26 較佳的營業利益遭匯兌損失及利息支出抵銷。1Q-3Q26 EPS 為 13.54 元，年增 111%。

4Q26-2027 年營收與獲利率上升趨勢不變。緯創 GB300/VR200 AI 伺服器 4Q26 出貨量預計將增至約 6 千櫃，季增近 25% 至全年高峰，因 Dell 以外有新的客戶貢獻，如聯想 (中) 與 Hewlett Packard Enterprise (HPE；美)。再加上緯穎營收成長，凱基預期 4Q26 營收將季增 11%，10 月營收達 4Q26 營收近 30%。緯創 2026 年 GB300/VR200 出貨量應介於 18-19 千櫃，由 2025 年的 5.8-5.9 千櫃增加，而今年 VR200 出貨量有限，預計僅約 1 千櫃上下。2027 年的 VR AI 伺服器機櫃將成為主流，凱基預期緯創總量為可望達 23-25 千櫃，占全球 VR AI 伺服器供給的 25-30%。Neocloud 及主權需求將為緯創在 2027-28 年創造出貨上行空間。加上對 CSP 的 VR200 與 Vera CPU 機櫃出貨 (將於 4Q26-1Q27 開始量產)，凱基預期緯創 2027 年伺服器營收將年增 65-70%，伺服器營收占比由 2026 年的 83% 升至 90-91%。然而，2027 年筆電出貨量將持續年減雙位數百分比，營收占比低於 10%。在客戶結構改善與效率提升下，預期緯創 2027 年營利率將提高。而為滿足強勁的客戶需求，緯創資本支出預計將由 2026 年的 500-550 億元增至 2027 年的近 600 億元。然為反映部分 VR 出貨延遲，凱基下修 2026 年 EPS 預估至 19.36 元，並預期 2027 年 EPS 為 29.47 元，年增 53%。

投資建議

我們維持「增加持股」評等，目標價由 308 元上修至 310 元，相當 2027 年 EPS 的 12 倍。

投資風險

需求不如預期、零組件供應限制、AI 伺服器市場競爭。

主要財務數據及估值

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入 (NT$百萬)	867,057	1,049,256	2,186,523	4,166,326	6,326,902
營業毛利 (NT$百萬)	68,983	84,091	133,983	236,536	347,454
營業利益 (NT$百萬)	27,390	38,979	78,553	163,552	246,749
稅後淨利 (NT$百萬)	11,472	17,446	27,408	61,416	93,939
每股盈餘 (NT$)	4.08	6.11	9.04	19.36	29.47
每股現金股利 (NT$)	2.60	3.80	5.50	11.59	17.72
每股盈餘成長率 (%)	1.7	49.8	47.9	114.2	52.2
本益比 (x)	42.8	28.5	19.3	9.0	5.9
股價淨值比 (x)	4.9	3.8	3.1	2.6	2.1
EV/EBITDA (x)	14.3	13.3	9.5	6.8	5.9
淨負債比率 (%)	40.2	26.6	75.5	119.6	134.6
殖利率 (%)	1.5	2.2	3.2	6.6	10.2
股東權益報酬率 (%)	11.4	14.7	17.7	31.2	38.6

資料來源：公司資料；凱基預估

圖 1：3Q26 財報與 4Q26 財測修正 vs. 市場共識

	3Q26							4Q26F						
百萬元	實際數	凱基預估	差異 (%)	QoQ (%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	QoQ (%)	YoY (%)	市場共識	差異(%)
營收	1,149,090	1,208,848	(4.9)	28.3	102.4	1,064,840	7.9	1,275,490	1,329,732	(4.1)	11.0	76.9	1,203,049	6.0
毛利	67,800	70,113	(3.3)	33.8	61.6	59,061	14.8	73,978	73,135	1.2	9.1	82.6	65,279	13.3
營業利益	48,672	47,145	3.2	45.5	79.3	39,363	23.6	52,295	49,200	6.3	7.4	105.3	43,123	21.3
稅前淨利	42,469	41,070	3.4	36.6	92.7	33,474	26.9	45,695	42,968	6.3	7.6	114.8	37,391	22.2
稅後淨利	18,402	18,128	1.5	24.1	148.5	14,473	27.1	18,556	19,802	(6.3)	0.8	127.2	15,942	16.4
每股盈餘 (元)	5.74	5.77	(0.4)	21.7	143.2	4.51	27.1	5.79	6.30	(8.1)	0.8	122.6	4.97	16.4
毛利率 (%)	5.9	5.8	0.1 ppts	0.2 ppts	(1.5)ppts	5.5	0.4 ppts	5.8	5.5	0.3 ppts	(0.1)ppts	0.2 ppts	5.4	0.4 ppts
營業利益率 (%	4.2	3.9	0.3 ppts	0.5 ppts	(0.5)ppts	3.7	0.5 ppts	4.1	3.7	0.4 ppts	(0.1)ppts	0.6 ppts	3.6	0.5 ppts
淨利率 (%)	1.6	1.5	0.1 ppts	(0.1)ppts	0.3 ppts	1.4	0.2 ppts	1.5	1.5	(0.0)ppts	(0.1)ppts	0.3 ppts	1.3	0.1 ppts

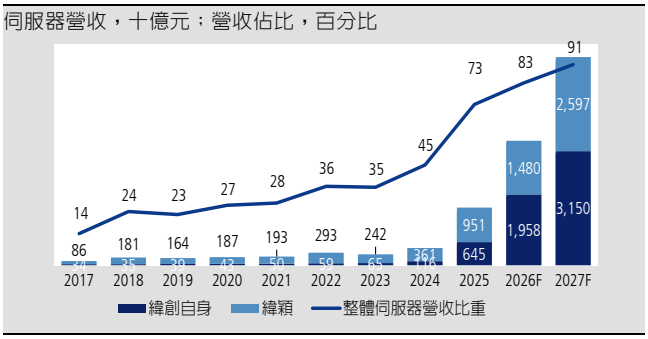
資料來源：Bloomberg、凱基投顧

圖 2：2026-27 年財測修正 vs. 市場共識

	2026F						2027F					
百萬元	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異(%)
營收	4,166,326	4,280,325	(2.7)	90.5	4,006,792	4.0	6,326,902	6,702,933	(5.6)	51.9	6,228,277	1.6
毛利	236,536	238,006	(0.6)	76.5	218,790	8.1	347,454	368,053	(5.6)	46.9	307,363	13.0
營業利益	163,552	158,930	2.9	108.2	144,847	12.9	246,749	253,315	(2.6)	50.9	209,046	18.0
稅前獲利	142,755	138,630	3.0	87.2	125,551	13.7	218,162	221,839	(1.7)	52.8	183,535	18.9
稅後淨利	61,416	62,388	(1.6)	124.1	55,322	11.0	93,939	97,630	(3.8)	53.0	81,654	15.0
每股盈餘 (元)	19.36	19.96	(3.0)	114.2	17.44	11.0	29.47	31.06	(5.1)	52.2	25.62	15.0
毛利率 (%)	5.7	5.6	0.1 ppts	(0.5)ppts	5.5	0.2 ppts	5.5	5.5	0.0 ppts	(0.2)ppts	4.9	0.6 ppts
營利率 (%)	3.9	3.7	0.2 ppts	0.3 ppts	3.6	0.3 ppts	3.9	3.8	0.1 ppts	(0.0)ppts	3.4	0.5 ppts
淨利率 (%)	1.5	1.5	0.0 ppts	0.2 ppts	1.4	0.1 ppts	1.5	1.5	0.0 ppts	0.0 ppts	1.3	0.2 ppts

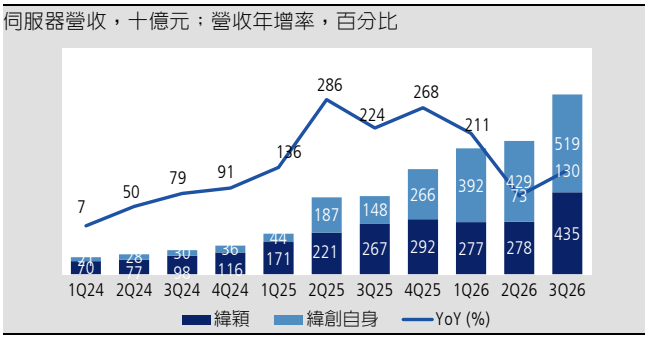
資料來源：Bloomberg、凱基預估

圖 3：3Q26 緯創伺服器營收佔比達 83%，預估 2026-27 年將達 83%及 91%



資料來源：公司資料、凱基預估

圖 4：3Q26 整體伺服器營收（含緯穎）季增 35%



資料來源：公司資料、凱基預估

圖 5：伺服器營收佔比顯著攀升

營收 (台幣百萬)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	2023	2024	2025	2026F	2027F
伺服器	90,944	105,691	128,095	151,563	214,821	407,956	414,498	558,008	668,579	707,400	953,745	303,470	476,292	1,595,282	3,438,795	5,747,126
PC	102,910	112,897	125,369	124,816	114,340	121,284	130,987	151,398	160,798	179,089	172,364	416,187	465,993	518,009	540,226	468,509
其他	45,472	21,619	19,078	20,803	17,324	22,052	24,257	14,419	16,926	8,954	22,982	147,400	106,971	78,052	187,306	111,266
合計	239,325	240,207	272,542	297,182	346,485	551,291	567,805	720,941	846,303	895,443	1,149,090	867,057	1,049,256	2,191,343	4,166,326	6,326,902

營收比重 (%)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	2023	2024	2025	2026F	2027F
伺服器	38	44	47	51	62	74	73	77	79	79	83	35	45	73	83	91
PC	43	47	46	42	33	22	23	21	19	20	15	48	44	24	13	7
其他	19	9	7	7	5	4	4	2	2	1	2	17	10	4	4	2
合計	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100	100

資料來源：公司資料、凱基預估

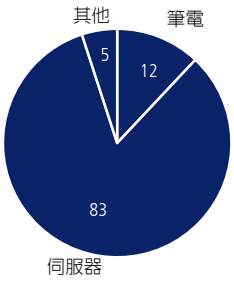
圖 6：公司概況

從宏碁 (2353 TT，NT$30.4，未評等)分割出來的緯創專營電子硬體之設計/製造/服務(DMS)業者，產品研發聚焦資通訊(ICT)領域，筆電、桌電、伺服器、儲存裝置、工業自動化(IA)、網通與通訊產品都包含在內。緯創在台筆電代工排名第三大，僅次於廣達(2382 TT，NT$298，增加持股)與仁寶(2324 TT，NT$31.15，未評等)，2025 年筆電出貨量為 2,410 萬台 (年增 19%)，全球市佔率為 12-13%。緯創在台灣筆電代工廠同業中的業務分化程度最高。

資料來源：凱基

圖 7：伺服器佔整體營收大宗

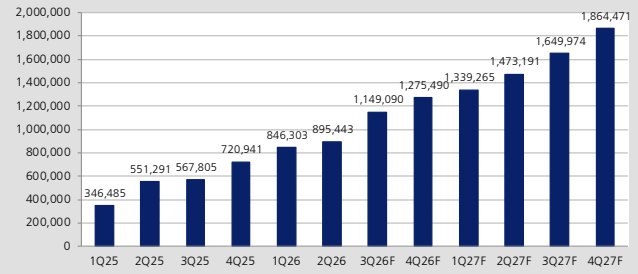
3Q26 營收組成，百分比



資料來源：公司資料；凱基

圖 8：季營業收入

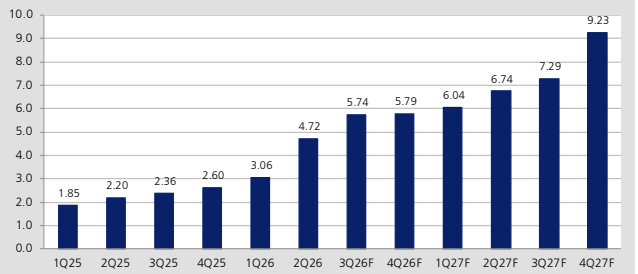
季營業收入，百萬元



資料來源：凱基

圖 9：每股盈利

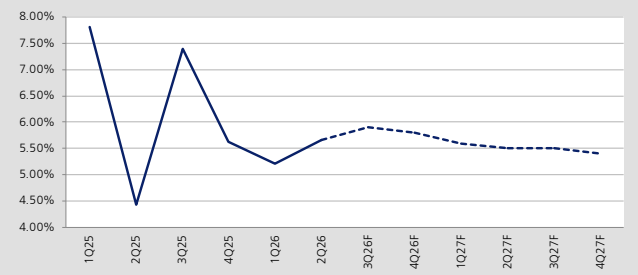
每股盈利，元



資料來源：凱基

圖 10：毛利率

毛利率，百分比



資料來源：凱基

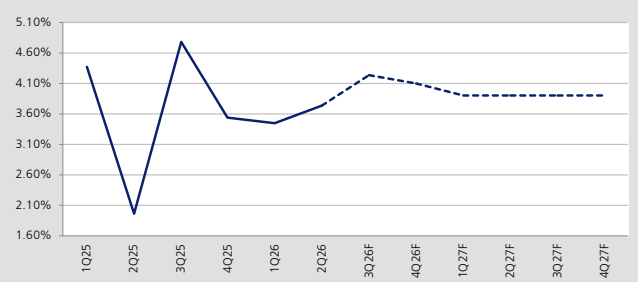
圖 11：未來一年預估本益比區間

股價，元（左軸）；本益比，倍（右軸）

資料來源：TEJ；凱基預估

圖 12：營業利潤率

營業利潤率，百分比



資料來源：凱基

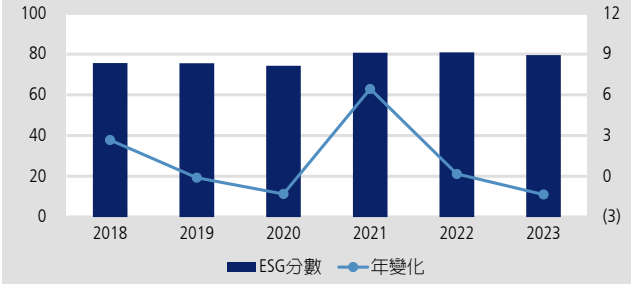
圖 13：未來一年預估股價淨值比區間

股價，元（左軸）；股價淨值比，倍（右軸）

資料來源：TEJ；凱基預估

圖 14：ESG 整體分數

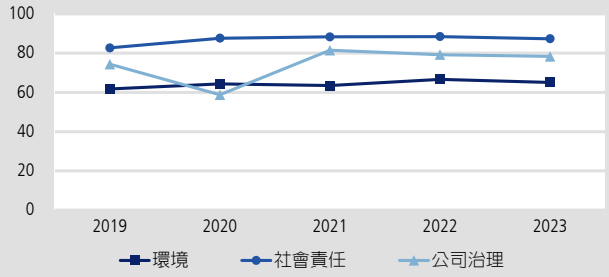
ESG 整體分數 (左軸)；年增幅度，百分點 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 15：ESG 各項分數

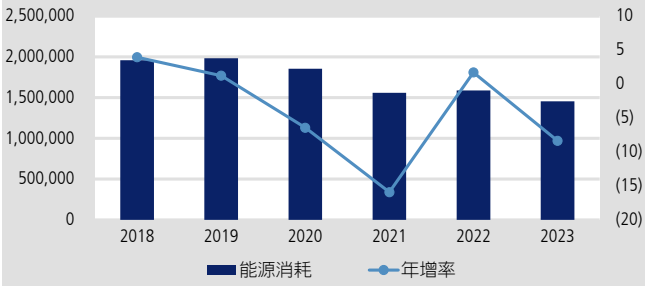
ESG 各項分數



資料來源：Refinitiv；凱基；公司資料

圖 16：能源消耗

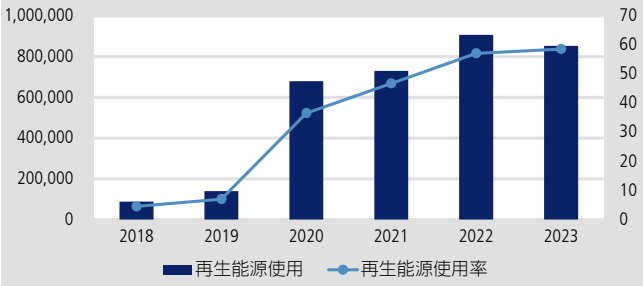
能源消耗，十億焦耳 (左軸)；年增率，百分比 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 17：再生能源使用

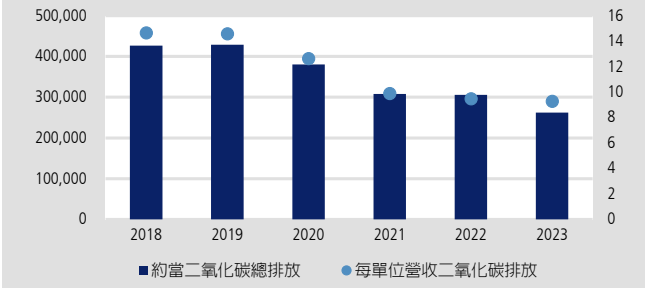
再生能源使用，十億焦耳 (左軸)；再生能源使用率，百分比 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 18：碳排量

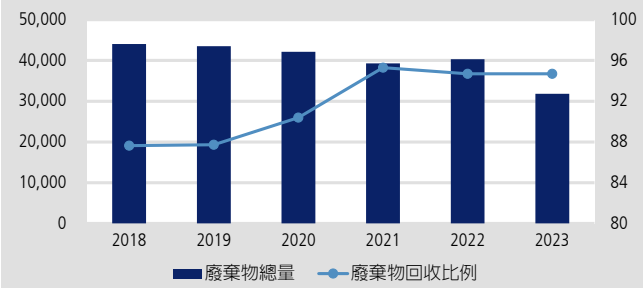
約當二氧化碳排放量，噸 (左軸)；單位營收排碳量，噸/百萬美元 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 19：廢棄物總量

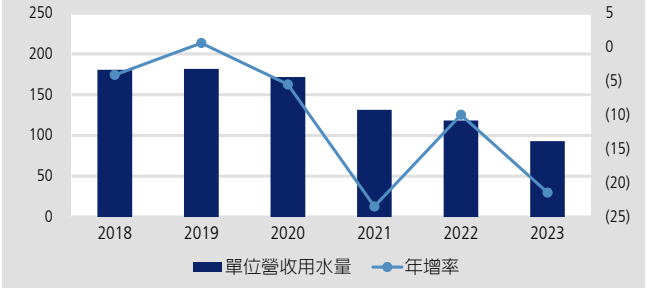
廢棄物總量，噸 (左軸)；廢棄物回收比例，百分比 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 20：耗水量

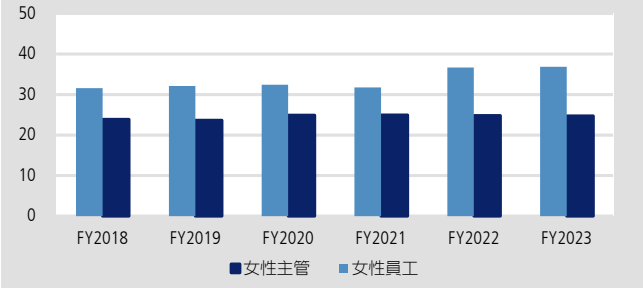
單位營收耗水量，立方公尺/百萬美元 (左軸)；年增率，百分比 (右軸)



資料來源：Refinitiv；凱基；公司資料

圖 21：性別多樣性

女性主管與員工比例，百分比



資料來源：Refinitiv；凱基；公司資料

ESG 圖表定義

項目	定義	說明
能源使用	直接與間接能源消耗總量(十億焦耳) - 公司運營範圍內消耗之能源總量 - 能源使用總量 = 直接能源消耗總量 + 間接能源消耗量 - 總能源使用量包括購買的能源、生產的能源 - 就公用事業而言，輸電/電網損耗為其業務活動之一部分，被視為總能源消耗，數據不包括為滿足能源使用而生產的電力（公用事業為出售而生產） - 就公用事業而言，用於能源生產的煤、天然氣或核能等原料不屬於「總能源使用」項下	
購買之再生能源	Primary 再生能源購買總量(十億焦耳) - 公司各種來源之能源消耗量與購買的能源中屬於自然界可再生者（太陽能、風能、水能、生物質能、地熱能）之量 - 如無證據顯示再生能源由公司生產，則所報告的能源數據視為購買的再生能源	
再生能源使用率	再生能源占總能源消耗量之比例	
CO2 約當排放量	直接 CO2 與 CO2 約當排放量(公噸) - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3)	
CO2 約當排放量營收比	直接 CO2 與 CO2 約當排放量（公噸）銷售（百萬元）比 - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3)	
廢棄物總量	廢棄物總量(公噸) - 總廢棄物 = 無害廢棄物 + 有害廢棄物 - 僅考慮固體廢棄物，但如液體廢棄物以公噸為單位呈報，則會將其加入求得包含液體廢棄物之總量 - 對於採礦、石油與天然氣等行業，tailings、廢石、煤、飛灰等廢棄物亦考慮在內	
廢棄物回收率	公司呈報的廢棄物回收率 - 廢棄物回收率 = 廢棄物回收量/總廢棄物*100 - 廢棄物轉化為能源或經由廢棄物焚燒產生能源視為廢棄物回收 - 經由堆肥回收的廢棄物視為回收之廢棄物	
總取水量	總取水量(立方公尺) - 由呈報組織直接或經水公司等中介機構從任何水源抽取的總水量 - 水井、城鎮/公用事業/市政用水、河水、地表水等不同之水源均予以考慮	
環保支出	環保支出總金額 - 所有用於環境保護，或防止、減少、控制環境因素、影響、危害的投資與支出，亦包括處置、處理、衛生、清理支出	
員工流動率	員工流動率 - 包括任何原因（自願或非自願）離開公司的員工，如辭職、退休、自然離職/死亡、醫療失能、冗員、裁員、重組、解僱、裁減或定期合約到期 - 員工流動率 =（離開之員工/平均員工人數）*100 - 平均員工人數 =（本年末員工人數 + 去年末員工人數）/2 - 本財年末員工數 =上個財年末員工數 + 新員工數 - 離開之員工數	
女性經理	女性經理百分比 - 女性經理占公司經理的百分比 - 如有不同階層之百分比，如最高階、高階、中階、初階，則會考慮中階女性經理之百分比 - 女性經理百分比 = 女性經理人數/經理總數*100	
女性員工	女性員工百分比 - 女性員工占公司員工總數的百分比 - 女性員工百分比 = 女性人數/員工總數*100	
教育訓練總時數	所有員工教育訓練總時數 - 僅考慮員工教育訓練時數 - 包括一般員工所有類型的教育訓練（如健康與安全、環境、急難事件救援、技能與職業發展） - 如果數據以天為單位，則乘以 8，係假設 1 天 = 8 小時工作	
每位員工教育訓練時數	平均每年每位員工總教育訓練時數	

資料來源：Refinitiv；凱基

損益表

	季度								年度		
	Mar-26A	Jun-26A	Sep-26F	Dec-26F	Mar-27F	Jun-27F	Sep-27F	Dec-27F	Dec-25A	Dec-26F	Dec-27F
損益表 (NT$百萬)											
營業收入	**846,303**	**895,443**	**1,149,090**	**1,275,490**	**1,339,265**	**1,473,191**	**1,649,974**	**1,864,471**	**2,186,523**	**4,166,326**	**6,326,902**
營業成本	(802,209)	(844,779)	(1,081,290)	(1,201,512)	(1,264,266)	(1,392,166)	(1,559,226)	(1,763,790)	(2,052,539)	(3,929,790)	(5,979,447)
營業毛利	**44,094**	**50,664**	**67,800**	**73,978**	**74,999**	**81,026**	**90,749**	**100,681**	**133,983**	**236,536**	**347,454**
營業費用	(14,957)	(17,216)	(19,128)	(21,683)	(22,768)	(23,571)	(26,400)	(27,967)	(55,430)	(72,985)	(100,705)
營業利益	**29,137**	**33,447**	**48,672**	**52,295**	**52,231**	**57,454**	**64,349**	**72,714**	**78,553**	**163,552**	**246,749**
折舊	(3,952)	(4,169)	(3,957)	(3,749)	(4,143)	(4,143)	(4,143)	(4,143)	(12,348)	(15,827)	(16,571)
攤提	(172)	(200)	(175)	(154)	(153)	(153)	(153)	(153)	(590)	(700)	(613)
EBITDA	**33,261**	**37,816**	**52,804**	**56,198**	**56,527**	**61,750**	**68,645**	**77,010**	**91,491**	**180,079**	**263,933**
利息收入	788	1,082	1,016	1,179	1,015	1,015	1,015	1,015	3,021	4,065	4,059
投資利益淨額	85	369	100	46	50	50	50	50	625	600	200
其他營業外收入	200	4,562	96	842	375	375	375	375	590	5,700	1,500
總營業外收入	**1,073**	**6,014**	**1,212**	**2,066**	**1,440**	**1,440**	**1,440**	**1,440**	**4,236**	**10,365**	**5,759**
利息費用	(5,973)	(8,377)	(7,415)	(7,897)	(8,212)	(8,212)	(8,212)	(8,212)	(15,820)	(29,662)	(32,846)
投資損失	-	-	-	-	-	-	-	-	-	-	-
其他營業外費用	(730)	-	-	(770)	(375)	(375)	(375)	(375)	9,288	(1,500)	(1,500)
總營業外費用	**(6,703)**	**(8,377)**	**(7,415)**	**(8,667)**	**(8,587)**	**(8,587)**	**(8,587)**	**(8,587)**	**(6,532)**	**(31,162)**	**(34,346)**
稅前純益	**23,508**	**31,084**	**42,469**	**45,695**	**45,085**	**50,308**	**57,202**	**65,568**	**76,257**	**142,755**	**218,162**
所得稅費用[利益]	(5,487)	(7,340)	(9,982)	(11,452)	(10,820)	(12,074)	(13,729)	(15,082)	(18,485)	(34,261)	(51,704)
少數股東損益	(8,390)	(8,917)	(14,085)	(15,686)	(14,908)	(16,618)	(20,104)	(20,890)	(30,364)	(47,078)	(72,519)
非常項目前稅後純益	**9,631**	**14,827**	**18,402**	**18,556**	**19,357**	**21,616**	**23,370**	**29,596**	**27,408**	**61,416**	**93,939**
非常項目	(0)	(0)	-	0	-	-	-	-	-	-	-
稅後淨利	**9,631**	**14,827**	**18,402**	**18,556**	**19,357**	**21,616**	**23,370**	**29,596**	**27,408**	**61,416**	**93,939**
每股盈餘 (NT$)	3.06	4.72	5.74	5.79	6.04	6.74	7.29	9.23	9.04	19.36	29.47
獲利率 (%)											
營業毛利率	5.2	5.7	5.9	5.8	5.6	5.5	5.5	5.4	6.1	5.7	5.5
營業利益率	3.4	3.7	4.2	4.1	3.9	3.9	3.9	3.9	3.6	3.9	3.9
EBITDA Margin	3.9	4.2	4.6	4.4	4.2	4.2	4.2	4.1	4.2	4.3	4.2
稅前純益率	2.8	3.5	3.7	3.6	3.4	3.4	3.5	3.5	3.5	3.4	3.4
稅後純益率	1.1	1.7	1.6	1.5	1.4	1.5	1.4	1.6	1.3	1.5	1.5
季成長率 (%)											
營業收入	17.4	5.8	28.3	11.0	5.0	10.0	12.0	13.0			
營業毛利	8.8	14.9	33.8	9.1	1.4	8.0	12.0	10.9			
營業收益增長	14.4	14.8	45.5	7.4	(0.1)	10.0	12.0	13.0			
EBITDA	13.7	13.7	39.6	6.4	0.6	9.2	11.2	12.2			
稅前純益	10.5	32.2	36.6	7.6	(1.3)	11.6	13.7	14.6			
稅後純益	17.9	54.0	24.1	0.8	4.3	11.7	8.1	26.6			
年成長率 (%)											
營業收入	144.3	62.4	102.4	76.9	58.2	64.5	43.6	46.2	108.4	90.5	51.9
營業毛利	63.0	107.2	61.6	82.6	70.1	59.9	33.8	36.1	59.3	76.5	46.9
營業收益	92.3	210.1	79.3	105.3	79.3	71.8	32.2	39.0	101.5	108.2	50.9
EBITDA	84.8	174.3	73.4	92.1	70.0	63.3	30.0	37.0	82.2	96.8	46.6
稅前純益	58.8	71.3	92.7	114.8	91.8	61.8	34.7	43.5	90.8	87.2	52.8
稅後純益	80.6	128.0	148.5	127.2	101.0	45.8	27.0	59.5	57.1	124.1	53.0

資料來源：公司資料；凱基預估

資產負債表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
資產總額	**452,391**	**589,841**	**1,097,726**	**1,691,003**	**2,319,991**
流動資產	**361,461**	**480,212**	**944,132**	**1,499,690**	**2,087,043**
現金及短期投資	79,577	84,825	150,003	140,369	130,250
存貨	119,720	190,697	355,474	624,460	901,013
應收帳款及票據	121,337	190,483	422,913	719,119	1,040,039
其他流動資產	40,828	14,206	15,742	15,742	15,742
非流動資產	**90,929**	**109,629**	**153,595**	**191,313**	**232,948**
長期投資	18,849	21,109	22,267	20,813	19,019
固定資產	46,598	57,284	87,914	127,087	170,516
什項資產	25,482	31,236	43,413	43,413	43,413
負債總額	**323,628**	**403,055**	**844,438**	**1,351,746**	**1,854,907**
流動負債	**288,252**	**349,587**	**732,221**	**1,207,440**	**1,652,188**
應付帳款及票據	119,358	177,016	356,019	635,226	901,013
短期借款	100,438	87,033	240,313	416,967	576,416
什項負債	68,455	85,538	135,889	155,246	174,760
長期負債	**35,376**	**53,468**	**112,217**	**144,306**	**202,719**
長期借款	26,525	42,493	95,404	123,749	174,301
其他負債及準備	4,000	3,973	7,487	11,231	19,092
股東權益總額	**128,763**	**186,785**	**253,288**	**339,257**	**465,084**
普通股本	28,998	28,964	31,804	31,804	31,804
保留盈餘	-	35,408	-	24,566	62,142
少數股東權益	24,539	53,998	75,709	122,787	195,306
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
年成長率					
營業收入	(11.9%)	21.0%	108.4%	90.5%	51.9%
營業收益增長	(0.3%)	42.3%	101.5%	108.2%	50.9%
EBITDA	2.0%	26.4%	82.2%	96.8%	46.6%
稅後純益	2.8%	52.1%	57.1%	124.1%	53.0%
每股盈餘成長率	1.7%	49.8%	47.9%	114.2%	52.2%
獲利能力分析					
營業毛利率	8.0%	8.0%	6.1%	5.7%	5.5%
營業利益率	3.2%	3.7%	3.6%	3.9%	3.9%
EBITDA Margin	4.6%	4.8%	4.2%	4.3%	4.2%
稅後純益率	1.3%	1.7%	1.3%	1.5%	1.5%
平均資產報酬率	2.6%	3.3%	3.2%	4.4%	4.7%
股東權益報酬率	11.4%	14.7%	17.7%	31.2%	38.6%
穩定\償債能力分析					
毛負債比率 (%)	98.6%	69.3%	132.5%	159.4%	161.4%
淨負債比率	40.2%	26.6%	75.5%	119.6%	134.6%
利息保障倍數 (x)	3.8	6.0	5.8	5.8	7.6
利息及短期債保障倍數 (x)	0.1	0.3	0.2	0.2	0.2
Cash Flow Int. Coverage (x)	5.5	0.7	(6.7)	(7.0)	(6.7)
Cash Flow/Int. & ST Debt (x)	0.4	0.1	(0.4)	(0.5)	(0.4)
流動比率 (x)	1.3	1.4	1.3	1.2	1.3
速動比率 (x)	0.8	0.8	0.8	0.7	0.7
淨負債 (NT$百萬)	51,731	49,645	191,242	405,876	625,995
每股資料分析					
每股盈餘 (NT$)	4.08	6.11	9.04	19.36	29.47
每股現金盈餘 (NT$)	17.15	2.01	(34.90)	(65.77)	(69.26)
每股淨值 (NT$)	35.94	45.85	55.84	68.06	84.82
調整後每股淨值 (NT$)	37.07	46.53	58.57	68.24	84.63
每股營收 (NT$)	308.38	367.69	721.18	1,313.39	1,984.84
EBITDA/Share (NT$)	14.13	17.60	30.18	56.77	82.80
每股現金股利 (NT$)	2.60	3.80	5.50	11.59	17.72
資產運用狀況					
資產周轉率 (x)	1.96	2.01	2.59	2.99	3.15
應收帳款周轉天數	51.1	66.4	70.6	63.0	60.0
存貨周轉天數	54.8	72.3	63.2	58.0	55.0
應付帳款周轉天數	54.6	67.1	63.3	59.0	55.0
現金轉換周轉天數	51.2	71.6	70.5	62.0	60.0

資料來源：公司資料；凱基預估

損益表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入	**867,057**	**1,049,256**	**2,186,523**	**4,166,326**	**6,326,902**
營業成本	(798,074)	(965,165)	(2,052,539)	(3,929,790)	(5,979,447)
營業毛利	**68,983**	**84,091**	**133,983**	**236,536**	**347,454**
營業費用	(41,593)	(45,112)	(55,430)	(72,985)	(100,705)
營業利益	**27,390**	**38,979**	**78,553**	**163,552**	**246,749**
總營業外收入	**8,555**	**9,368**	**4,236**	**10,365**	**5,759**
利息收入	2,520	3,223	3,021	4,065	4,059
投資利益淨額	811	617	625	600	200
其他營業外收入	5,225	5,528	590	5,700	1,500
總營業外費用	**(11,625)**	**(8,371)**	**(6,532)**	**(31,162)**	**(34,346)**
利息費用	(8,757)	(8,018)	(15,820)	(29,662)	(32,846)
投資損失	-	-	-	-	-
其他營業外費用	(2,868)	(354)	9,288	(1,500)	(1,500)
稅前純益	**24,321**	**39,975**	**76,257**	**142,755**	**218,162**
所得稅費用[利益]	(6,055)	(9,339)	(18,485)	(34,261)	(51,704)
少數股東損益	(6,794)	(13,191)	(30,364)	(47,078)	(72,519)
非常項目	-	0	0	-	-
稅後淨利	**11,472**	**17,446**	**27,408**	**61,416**	**93,939**
EBITDA	**39,735**	**50,225**	**91,491**	**180,079**	**263,933**
每股盈餘 (NT$)	4.08	6.11	9.04	19.36	29.47

現金流量

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營運活動之現金流量	**48,219**	**5,750**	**(105,810)**	**(208,641)**	**(220,764)**
本期純益	11,472	17,446	27,408	61,416	93,939
折舊及攤提	12,345	11,246	12,938	16,528	17,183
本期運用資金變動	12,616	(62,106)	(220,290)	(285,985)	(331,686)
其他營業資產及負債變動	11,787	39,164	74,134	(600)	(200)
投資活動之現金流量	**(14,665)**	**(20,094)**	**(43,513)**	**(53,646)**	**(58,618)**
投資用短期投資出售[新購]	3,499	(1,834)	(1,482)	-	-
本期長期投資變動	(1,229)	2,173	1,935	2,054	1,995
資本支出淨額	(12,961)	(16,593)	(39,615)	(55,000)	(60,000)
其他資產變動	(3,974)	(3,840)	(4,351)	(700)	(613)
自由現金流	**32,104**	**(38,057)**	**(188,045)**	**(200,858)**	**(186,845)**
融資活動之現金流量	**(23,205)**	**12,855**	**217,195**	**252,653**	**269,263**
短期借款變動	(17,834)	(18,995)	155,381	150,000	150,000
長期借款變動	5,145	17,792	56,538	55,000	60,000
現金增資	-	-	27,109		
已支付普通股股息	(7,401)	(7,462)	(10,997)	(17,492)	(36,850)
其他融資現金流	(3,682)	20,707	(10,913)	65,146	96,113
匯率影響數	**(646)**	**5,329**	**(3,279)**		
本期產生現金流量	**9,704**	**3,840**	**64,593**	**(9,634)**	**(10,119)**

投資回報率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
1 - 營業成本/營業收入					
- 銷管費用/營業收入	4.8%	4.3%	2.5%	1.8%	1.6%
= 營業利益率	**3.2%**	**3.7%**	**3.6%**	**3.9%**	**3.9%**
1 / (營業運用資金/營業收入	0.1	0.1	0.1	0.1	0.1
+ 淨固定資產/營業收入	0.1	0.1	0.0	0.0	0.0
+ 什項資產/營業收入)	0.0	0.0	0.0	0.0	0.0
= 資本周轉率	**6.0**	**5.4**	**5.5**	**5.9**	**6.0**
營業利益率	3.2%	3.7%	3.6%	3.9%	3.9%
x 資本周轉率	6.0	5.4	5.5	5.9	6.0
x (1 - 有效現金稅率)	75.1%	76.6%	75.8%	76.0%	76.3%
= 稅後 ROIC	**14.1%**	**15.4%**	**15.0%**	**17.7%**	**17.8%**

資料來源：公司資料；凱基預估

緯創 – 以往評級及目標價

日期	評級	目標價	收盤價
2026-09-30	增加持股	308.0	184.5
2026-08-03	增加持股	300.0	186.0
2026-05-09	增加持股	225.0	146.5
2026-04-13	增加持股	225.0	134.5
2026-03-14	增加持股	220.0	134.0
2025-12-09	增加持股	220.0	149.5
2025-11-12	增加持股	200.0	139.0
2025-10-08	增加持股	185.0	150.5
2025-08-13	增加持股	160.0	117.5
2025-07-09	增加持股	145.0	120.5

資料來源：TEJ，凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888 • 傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888 • 傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888 • 傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188 • 傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

免責聲明

凱基證券投資顧問股份有限公司（以下簡稱本公司）為凱基金控集團之成員。本報告之內容皆來自本公司認可之資料來源，但不保證其完整性及精確性。報告內容所提及之各項業務、財務等相關檔案資料及所有的意見及預估皆基於本公司於特定日期所做之判斷，故有其時效性限制，邇後若有變更時，本公司將不做預告或更新。本報告內容僅供參考，並不提供或遊說客戶為買賣股票之投資依據。投資人應審慎考量本身之投資風險，並就投資結果自行負責。本公司及所屬集團成員，暨其主管或員工皆有可能持有報告中所提及的證券。本公司及所屬集團成員並可能經常提供投資銀行或其他服務給報告中提及之公司或向其爭取相關業務。本報告之著作權為本公司所有，非經本公司同意，本報告全文或部份內容，不得以任何形式或方式引用、轉載或轉寄。

健策

(3653.TW/3653 TT)

2027-28 年毛利率擴張態勢不變

重要訊息

健策公告 3Q26 每股盈餘 19.7 元，基本符合凱基預估，但落後市場預期。我們持續看好公司 2027 年營收、獲利展望。

評論及分析

3Q26 獲利大致符合預期。3Q26 EPS 為 19.7 元，季增 25%、年增 108%，大致符合凱基預估，但不及市場共識。毛利率 50% 優於凱基預期，而認列員工限制型股票產生約 4.5 億元額外營業費用，導致 3Q26 營業利益率降至 37.4%，未達凱基預估及市場共識，在業外利益高於預期及稅率較低的挹注下，3Q26 EPS 大致符合預期。1Q-3Q26 EPS 為 45.03 元，年增 67%。

4Q26-1Q27 營收將逐步成長。儘管 10 月營收基本與 9 月持平，但伺服器均熱片營收占比持續擴大，PC 營收占比則下滑，因此凱基維持 4Q26 營收季增 10% 的預估，並將毛利率預估值上修至 50.5%。然而因持續認列員工限制型股票費用，4Q26 營業費用持續偏高，故調降營業利益率預估。凱基將 2026 年 EPS 預估下調至 65.57 元，年增 78%。鑑於 Rubin/Rubin Ultra 的可拆式上蓋為確定設計，且將於 1Q27 進入量產，預期未來幾季營收將呈穩健的季增與年增，毛利率亦將提升。凱基維持 2027 年 Rubin 與 Rubin Ultra GPU 共 800-900 萬顆採用可拆式上蓋的預估，不過 ASP 目前有機會上看逾 250 美元，高於先前預估的 200 美元。另外，AMD (美) MI450 GPU 的雙上蓋設計 (自 4Q26 起放量) 亦將以 ASP 150 美元推升整體營收。GPU 上蓋 ASP 上升將推升 2027 年營收及毛利率擴張。凱基將 2026-27 年毛利率預估分別調升至 48.1% 與 51.9%，營業利益率則分別調升至 36.8% 與 46.1%，2027 年 EPS 預估上修至 198.01 元，年增 202%。

2H27 至 2028 年多重成長引擎啓動。我們預期對 Intel (美) 的 CPU Socket 與托架(carrier)，及對 Nvidia (美) 的 Spectrum-X 與 Quantum-X 光引擎之機構件支架的銷售，將推升 2H27-2028 年營收。2027-28 年潛在營收上行空間來自可拆式上蓋 ASP 提高，以及 AMD 次世代 GPU 與 ASIC 晶片的採用，並帶來進一步的 ASP 與利潤率上行空間。因此預期 2028 年 EPS 將持續呈上升趨勢。凱基預測 2028 年 EPS 為 308.0 元。

投資建議

凱基維持健策「增加持股」評等，並將目標價由 10,000 元調升至 10,120 元，相當於 2027-28 年平均每股盈餘的 40 倍，以反映 2026-28 年獲利可望年複合成長 117%。

投資風險

AI 晶片研發時程不確定性；原料成本上漲。

主要財務數據及估值

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入 (NT$百萬)	14,278	20,276	32,516	79,540	119,174
營業毛利 (NT$百萬)	5,365	8,434	15,639	41,310	62,649
營業利益 (NT$百萬)	3,799	6,498	11,963	36,637	57,081
稅後淨利 (NT$百萬)	3,428	5,277	9,621	29,054	45,192
每股盈餘 (NT$)	24.15	36.75	65.57	198.01	308.00
每股現金股利 (NT$)	14.50	22.00	39.60	119.58	186.01
每股盈餘成長率 (%)	45.5	52.2	78.4	202.0	55.5
本益比 (x)	257.8	169.4	94.9	31.4	20.2
股價淨值比 (x)	61.5	40.0	34.3	23.9	16.3
EV/EBITDA (x)	195.8	123.8	71.3	24.0	15.2
淨負債比率 (%)	Net cash	Net cash	Net cash	Net cash	Net cash
殖利率 (%)	0.2	0.4	0.6	1.9	3.0
股東權益報酬率 (%)	26.4	28.3	38.9	89.7	95.9

資料來源：公司資料，凱基

增加持股·維持

收盤價 November 11 (NT$)	6,225
12 個月目標價 (NT$)	10,120
前次目標價 (NT$)	10,000
調升 (%)	1.2
上漲空間 (%)	62.6

焦點內容

1. 3Q26 每股盈餘 19.7 元基本符合凱基預估，毛利率優於預期，但營業利益率未盡理想。
2. 在 Rubin GPU 確定採用可拆式散熱蓋，而 MI450 將配備雙上蓋且預計 1Q27 啓動量產的情況下，我們看好健策 4Q26-1Q27 營收將持續成長 。
3. 2027-28 年獲利率將持續成長，動能來自 GPU 散熱蓋、Intel (美) CPU 插槽/托架夾與 CPO 均價上升，可望帶動 2026-28 年每股盈餘年複合成長 117%。

交易資料表

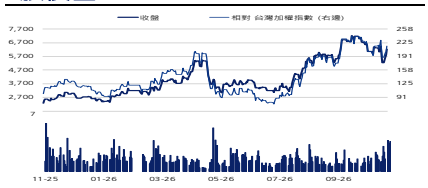
市值：(NT$bn/US$mn)	916 /27,726
流通在外股數 (百萬股)：	147.2
外資持有股數 (百萬股)：	33
3M 平均成交量 (百萬股)：	0.96
52 週股價 (低 \ 高) (NT$):	2,265 –7,205

股價表現	3M	6M	12M
絕對表現 (%)	53.1	55.0	181.7
相對表現 (%)	55.0	49.1	122.4

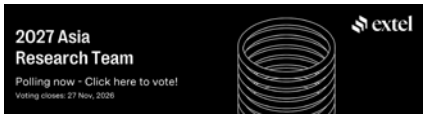
每股盈餘

NT$	1Q	2Q	3Q	4Q
2025	9.59A	7.85A	9.49A	9.95A
2026	9.53A	15.80A	19.70F	20.54F
2027	24.06F	41.49F	58.31F	74.15F

股價圖



資料來源：TEJ



請將您珍貴的一票投給凱基！

凱基投顧

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重要免責聲明，詳見最終頁

圖 1: 3Q26 財報與 4Q26 財測修正 vs. 市場共識

	3Q26							4Q26F						
百萬元	實際值	凱基預估	差異 (%)	QoQ (%)	YoY (%)	市場共識	差異 (%)	修正後	修正前	調幅 (%)	QoQ (%)	YoY (%)	市場共識	差異(%)
營收	9,493	9,492	0.0	30.5	87.3	9,679	(1.9)	10,443	10,442	0.0	10.0	98.1	10,378	0.6
毛利	4,744	4,556	4.1	39.3	140.1	4,773	(0.6)	5,273	5,169	2.0	11.2	142.5	5,191	1.6
營業利益	3,549	3,778	(6.1)	29.1	139.1	3,956	(10.3)	3,968	4,333	(8.4)	11.8	140.7	4,237	(6.3)
稅前淨利	3,594	3,819	(5.9)	26.5	108.6	3,996	(10.1)	4,012	4,384	(8.5)	11.6	120.9	4,253	(5.6)
稅後淨利	2,891	2,970	(2.7)	24.7	113.2	3,167	(8.7)	3,014	3,406	(11.5)	4.3	110.9	3,387	(11.0)
每股盈餘 (元)	19.70	20.24	(2.7)	24.7	107.7	21.58	(8.7)	20.54	23.21	(11.5)	4.3	106.4	23.08	(11.0)
毛利率 (%)	50.0	48.0	2.0 ppts	3.2 ppts	11.0 ppts	49.3	0.7 ppts	50.5	49.5	1.0 ppts	0.5 ppts	9.3 ppts	50.0	0.5 ppts
營業利益率 (%)	37.4	39.8	(2.4)ppts	(0.4)ppts	8.1 ppts	40.9	(3.5)ppts	38.0	41.5	(3.5)ppts	0.6 ppts	6.7 ppts	40.8	(2.8)ppts
淨利率 (%)	30.5	31.3	(0.8)ppts	(1.4)ppts	3.7 ppts	32.7	(2.3)ppts	28.9	32.6	(3.8)ppts	(1.6)ppts	1.8 ppts	32.6	(3.8)ppts

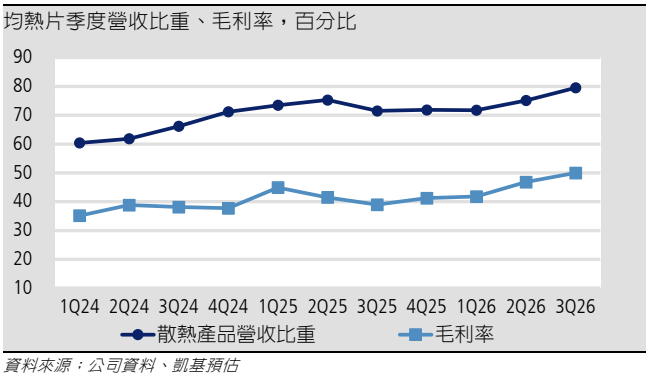
資料來源：Bloomberg；凱基

圖 2: 2026-27 年財測修正 vs. 市場共識

	2026F							2027F						
百萬元	修正後	修正前	調幅 (%)	YoY(%)	市場共識	YoY(%)	差異 (%)	修正後	修正前	調幅 (%)	YoY(%)	市場共識	YoY (%)	差異(%)
營收	32,516	32,514	0.0	60.4	31,742	56.4	2.4	79,540	80,298	(0.9)	144.6	63,837	101.1	24.6
毛利	15,639	15,346	1.9	85.4	15,146	79.0	3.3	41,310	40,553	1.9	164.2	33,677	122.4	22.7
營業利益	11,963	12,557	(4.7)	84.1	12,449	90.7	(3.9)	36,637	36,296	0.9	206.3	30,535	145.3	20.0
稅前獲利	12,223	12,820	(4.7)	85.0	12,709	95.9	(3.8)	36,827	36,501	0.9	201.3	30,729	141.8	19.8
稅後淨利	9,621	10,092	(4.7)	82.3	10,112	95.4	(4.9)	29,054	28,795	0.9	202.0	24,376	141.1	19.2
每股盈餘 (元)	65.57	68.78	(4.7)	78.4	68.92	91.2	(4.9)	198.01	196.23	0.9	202.0	166.13	141.1	19.2
毛利率 (%)	48.1	47.2	0.9 ppts	6.5 ppts	47.7	6.0 ppts	0.4 ppts	51.9	50.5	1.4 ppts	3.8 ppts	52.8	5.0 ppts	(0.8)ppts
營利率 (%)	36.8	38.6	(1.8)ppts	4.7 ppts	39.2	7.1 ppts	(2.4)ppts	46.1	45.2	0.9 ppts	9.3 ppts	47.8	8.6 ppts	(1.8)ppts
淨利率 (%)	29.6	31.0	(1.5)ppts	3.6 ppts	31.9	6.4 ppts	(2.3)ppts	36.5	35.9	0.7 ppts	6.9 ppts	38.2	6.3 ppts	(1.7)ppts

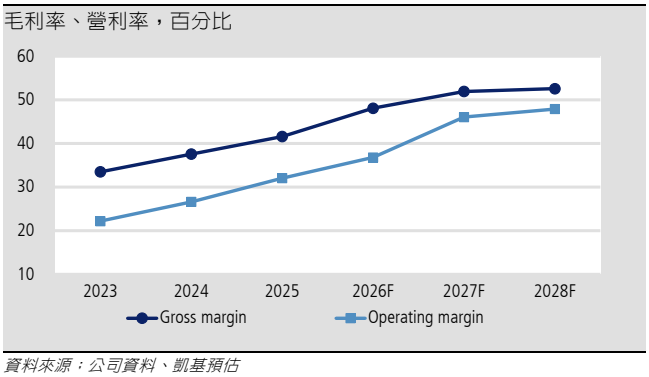
資料來源：Bloomberg；凱基

圖 3: 均熱片營收比重上升推動毛利率向上



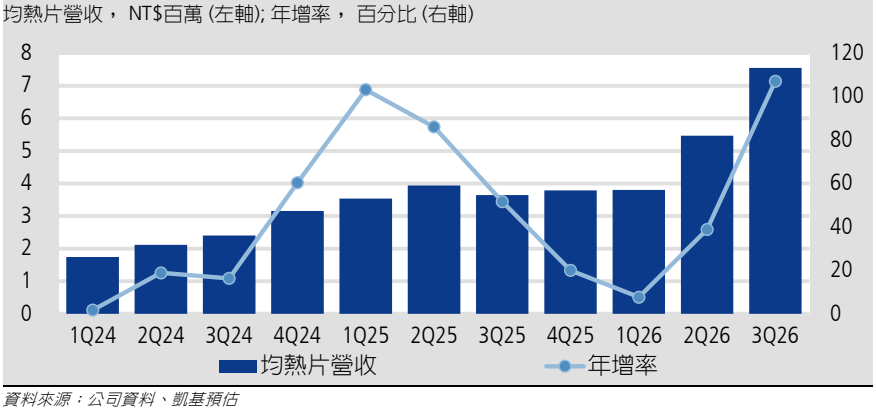
資料來源：公司資料、凱基預估

圖 4: 預估 2026-28 年毛利與營利率攀升



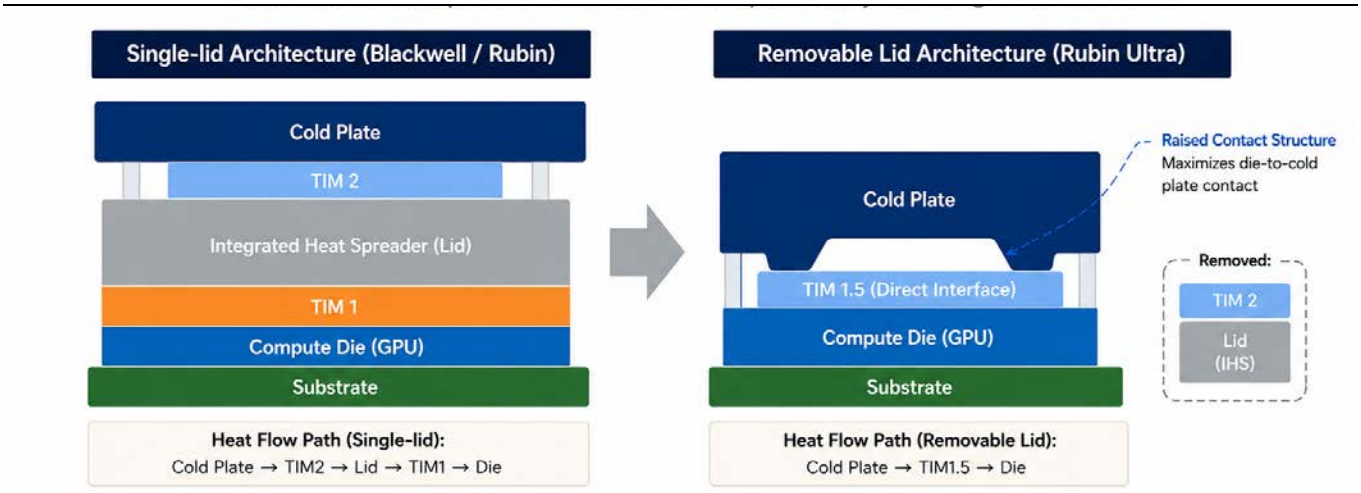
資料來源：公司資料、凱基預估

圖 5: 均熱片產品營收將大幅成長



資料來源：公司資料、凱基預估

圖 6：Rubin Ultra GPU 世代預計採用可拆卸式上蓋設計，帶動 ASP 持續提升



資料來源：凱基

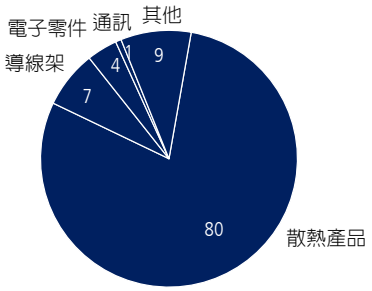
圖 7: 公司概況

健策成立於 1987 年，為專業沖壓件製造商，主要產品為均熱片與 LED 導線架。近年公司採垂直整合策略，跨足水冷散熱模組製造，提供由扣件、均熱片及水冷板散熱模組整合之客製化一站解決方案。2025 年產品組合為散熱產品 73%、LED 導線架 9%、電子零件 7%、通訊連接器 1%、其他 10%。

資料來源：凱基

圖 8: 3Q26 散熱產品營收佔比達 80%

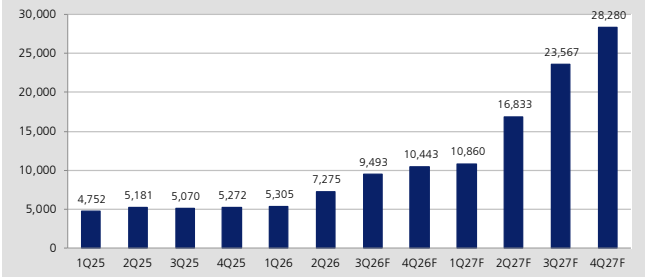
3Q26 營收比重，百分比



資料來源：公司資料；凱基

圖 9: 季營業收入

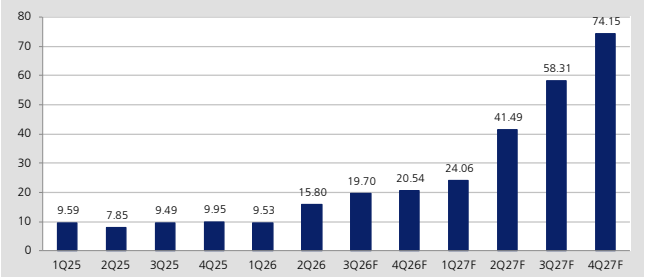
季營業收入，百萬元



資料來源：凱基

圖 10: 每股盈利

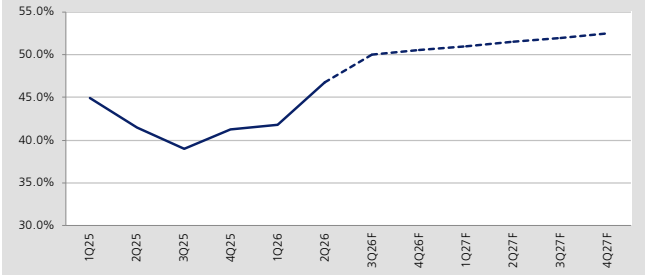
每股盈利，元



資料來源：凱基

圖 11: 毛利率

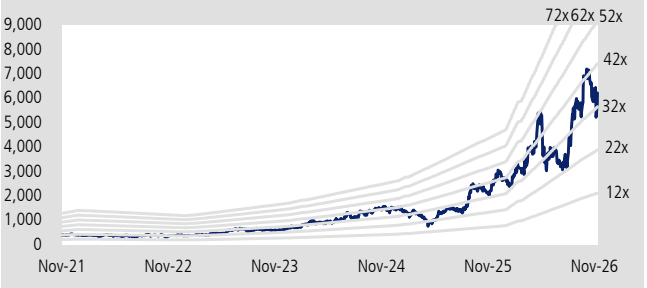
毛利率，百分比



資料來源：凱基

圖 12: 未來一年預估本益比區間

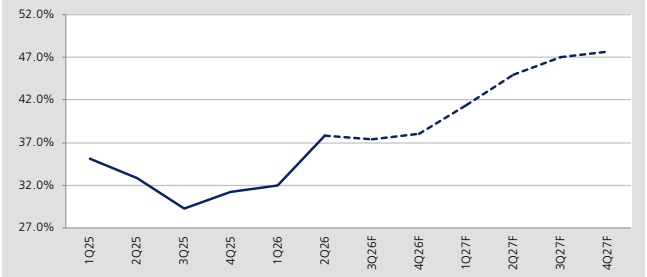
股價，元（左軸）；本益比，倍（右軸）



資料來源：TEJ；凱基預估

圖 13: 營業利潤率

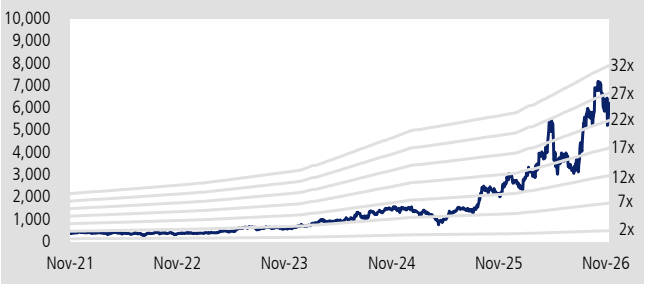
營業利潤率，百分比



資料來源：凱基

圖 14: 未來一年預估股價淨值比區間

股價淨值比，倍



資料來源：TEJ；凱基預估

損益表

	季度								年度		
	Mar-26A	Jun-26A	Sep-26F	Dec-26F	Mar-27F	Jun-27F	Sep-27F	Dec-27F	Dec-26F	Dec-27F	Dec-28F
損益表（NT$百萬）											
營業收入	**5,305**	**7,275**	**9,493**	**10,443**	**10,860**	**16,833**	**23,567**	**28,280**	**32,516**	**79,540**	**119,174**
營業成本	(3,089)	(3,870)	(4,750)	(5,169)	(5,322)	(8,164)	(11,312)	(13,433)	(16,877)	(38,231)	(56,525)
營業毛利	**2,217**	**3,405**	**4,744**	**5,273**	**5,539**	**8,669**	**12,255**	**14,847**	**15,639**	**41,310**	**62,649**
營業費用	(520)	(656)	(1,195)	(1,305)	(1,043)	(1,094)	(1,178)	(1,357)	(3,676)	(4,673)	(5,568)
營業利益	**1,697**	**2,749**	**3,549**	**3,968**	**4,496**	**7,575**	**11,076**	**13,490**	**11,963**	**36,637**	**57,081**
折舊	(171)	(179)	(172)	(164)	(195)	(195)	(195)	(195)	(686)	(779)	(864)
攤提	(5)	(7)	(4)	(1)	(4)	(4)	(4)	(4)	(18)	(18)	(18)
EBITDA	**1,873**	**2,935**	**3,725**	**4,133**	**4,695**	**7,774**	**11,276**	**13,689**	**12,667**	**37,434**	**57,962**
利息收入	25	37	31	30	33	33	33	33	123	133	128
投資利益淨額	0	-	-	(0)	0	-	-	(0)	-	-	-
其他營業外收入	4	55	15	66	15	15	15	15	140	60	50
總營業外收入	**29**	**92**	**46**	**96**	**49**	**48**	**48**	**48**	**263**	**193**	**178**
利息費用	(0)	(0)	(1)	(1)	(1)	(1)	(1)	(1)	(3)	(3)	(3)
投資損失	-	-	-	-	-	-	-	-	-	-	-
其他營業外費用	51	(0)	-	(51)	(5)	-	-	5	-	-	-
總營業外費用	**50**	**(0)**	**(1)**	**(52)**	**(6)**	**(1)**	**(1)**	**4**	**(3)**	**(3)**	**(3)**
稅前純益	**1,776**	**2,841**	**3,594**	**4,012**	**4,539**	**7,623**	**11,124**	**13,542**	**12,223**	**36,827**	**57,256**
所得稅費用[利益]	(371)	(512)	(695)	(988)	(999)	(1,525)	(2,558)	(2,652)	(2,567)	(7,734)	(12,024)
少數股東損益	(6)	(10)	(8)	(11)	(10)	(10)	(10)	(10)	(35)	(40)	(40)
非常項目前稅後純益	**1,398**	**2,318**	**2,891**	**3,014**	**3,530**	**6,088**	**8,555**	**10,880**	**9,621**	**29,054**	**45,192**
非常項目	(0)	(0)	-	0	-	-	-	-	-	-	-
稅後淨利	**1,398**	**2,318**	**2,891**	**3,014**	**3,530**	**6,088**	**8,555**	**10,880**	**9,621**	**29,054**	**45,192**
每股盈餘 (NT$)	9.53	15.80	19.70	20.54	24.06	41.49	58.31	74.15	65.57	198.01	308.00
獲利率 (%)											
營業毛利率	41.8	46.8	50.0	50.5	51.0	51.5	52.0	52.5	48.1	51.9	52.6
營業利益率	32.0	37.8	37.4	38.0	41.4	45.0	47.0	47.7	36.8	46.1	47.9
EBITDA Margin	35.3	40.3	39.2	39.6	43.2	46.2	47.8	48.4	39.0	47.1	48.6
稅前純益率	33.5	39.1	37.9	38.4	41.8	45.3	47.2	47.9	37.6	46.3	48.0
稅後純益率	26.4	31.9	30.5	28.9	32.5	36.2	36.3	38.5	29.6	36.5	37.9
季成長率 (%)											
營業收入	0.6	37.1	30.5	10.0	4.0	55.0	40.0	20.0			
營業毛利	1.9	53.6	39.3	11.2	5.0	56.5	41.4	21.2			
營業收益增長	2.9	62.0	29.1	11.8	13.3	68.5	46.2	21.8			
EBITDA	2.9	56.7	26.9	11.0	13.6	65.6	45.0	21.4			
稅前純益	(2.3)	60.0	26.5	11.6	13.1	67.9	45.9	21.7			
稅後純益	(2.2)	65.8	24.7	4.3	17.1	72.4	40.5	27.2			
年成長率 (%)											
營業收入	11.6	40.4	87.3	98.1	104.7	131.4	148.2	170.8	60.4	144.6	49.8
營業毛利	3.8	58.4	140.1	142.5	149.9	154.6	158.3	181.5	85.4	164.2	51.7
營業收益	1.8	61.8	139.1	140.7	165.0	175.5	212.1	239.9	84.1	206.3	55.8
EBITDA	3.0	57.9	126.0	127.1	150.6	164.9	202.7	231.2	77.2	195.5	54.8
稅前純益	2.0	114.1	108.6	120.9	155.6	168.3	209.5	237.5	85.0	201.3	55.5
稅後純益	2.0	106.8	113.2	110.9	152.5	162.6	196.0	261.0	82.3	202.0	55.5

資料來源：公司資料，凱基

資產負債表

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
資產總額	**18,462**	**27,969**	**35,371**	**62,164**	**92,831**
流動資產	**9,495**	**18,567**	**25,155**	**51,277**	**81,358**
現金及短期投資	2,267	9,292	11,149	18,363	32,539
存貨	3,062	3,652	5,780	13,093	19,305
應收帳款及票據	4,061	5,414	8,018	19,613	29,305
其他流動資產	105	209	209	209	209
非流動資產	**8,967**	**9,402**	**10,216**	**10,887**	**11,473**
長期投資	527	226	226	226	226
固定資產	4,852	8,073	8,887	9,558	10,144
什項資產	3,589	1,103	1,103	1,103	1,103
負債總額	**3,804**	**4,904**	**8,461**	**23,707**	**36,436**
流動負債	**3,420**	**4,453**	**8,010**	**23,257**	**35,985**
應付帳款及票據	1,552	1,841	2,774	6,285	9,266
短期借款	-	-	-	-	-
什項負債	1,868	2,612	5,236	16,972	26,719
長期負債	**384**	**451**	**451**	**451**	**451**
長期借款	-	-	-	-	-
其他負債及準備	342	404	404	404	404
股東權益總額	**14,658**	**23,065**	**26,910**	**38,457**	**56,395**
普通股本	1,429	1,467	1,467	1,467	1,467
保留盈餘	3,893	6,976	10,787	22,293	40,192
少數股東權益	192	227	262	302	342
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
年成長率					
營業收入	18.4%	42.0%	60.4%	144.6%	49.8%
營業收益增長	41.9%	71.1%	84.1%	206.3%	55.8%
EBITDA	36.8%	62.6%	77.2%	195.5%	54.8%
稅後純益	49.2%	54.0%	82.3%	202.0%	55.5%
每股盈餘成長率	45.5%	52.2%	78.4%	202.0%	55.5%
獲利能力分析					
營業毛利率	37.6%	41.6%	48.1%	51.9%	52.6%
營業利益率	26.6%	32.0%	36.8%	46.1%	47.9%
EBITDA Margin	30.8%	35.2%	39.0%	47.1%	48.6%
稅後純益率	24.0%	26.0%	29.6%	36.5%	37.9%
平均資產報酬率	20.0%	22.7%	30.4%	59.6%	58.3%
股東權益報酬率	26.4%	28.3%	38.9%	89.7%	95.9%
穩定\償債能力分析					
毛負債比率 (%)	0.0%	0.0%	0.0%	0.0%	0.0%
淨負債比率	Net cash	Net cash	Net cash	Net cash	Net cash
利息保障倍數 (x)	313.0	172.1	4,647.8	14,001.9	21,708.9
利息及短期債保障倍數 (x)	1.0	1.0	1.0	1.0	1.0
Cash Flow Int. Coverage (x)	212.4	123.6	2,481.4	5,494.4	12,568.8
Cash Flow/Int. & ST Debt (x)	212.4	123.6	2,481.4	5,494.4	12,568.8
流動比率 (x)	2.8	4.2	3.1	2.2	2.3
速動比率 (x)	1.9	3.3	2.4	1.6	1.7
淨負債 (NT$百萬)	(2,267)	(9,134)	(10,991)	(18,205)	(32,381)
每股資料分析					
每股盈餘 (NT$)	24.15	36.75	65.57	198.01	308.00
每股現金盈餘 (NT$)	20.37	33.24	44.48	98.50	225.94
每股淨值 (NT$)	101.22	155.64	181.61	260.03	382.01
調整後每股淨值 (NT$)	101.92	159.04	181.61	260.04	382.02
每股營收 (NT$)	100.60	141.20	221.60	542.10	812.21
EBITDA/Share (NT$)	30.97	49.77	86.32	255.12	395.03
每股現金股利 (NT$)	14.50	22.00	39.60	119.58	186.01
資產運用狀況					
資產周轉率 (x)	0.83	0.87	1.03	1.63	1.54
應收帳款周轉天數	104.1	97.5	90.0	90.0	90.0
存貨周轉天數	125.7	112.6	125.0	125.0	125.0
應付帳款周轉天數	63.7	56.7	60.0	60.0	60.0
現金轉換周轉天數	166.1	153.3	155.0	155.0	155.0

資料來源：公司資料，凱基

損益表

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入	**14,278**	**20,276**	**32,516**	**79,540**	**119,174**
營業成本	(8,913)	(11,842)	(16,877)	(38,231)	(56,525)
營業毛利	**5,365**	**8,434**	**15,639**	**41,310**	**62,649**
營業費用	(1,567)	(1,936)	(3,676)	(4,673)	(5,568)
營業利益	**3,799**	**6,498**	**11,963**	**36,637**	**57,081**
總營業外收入	**480**	**126**	**263**	**193**	**178**
利息收入	97	93	123	133	128
投資利益淨額	14	2	-	-	-
其他營業外收入	369	32	140	60	50
總營業外費用	**(33)**	**(17)**	**(3)**	**(3)**	**(3)**
利息費用	(14)	(39)	(3)	(3)	(3)
投資損失	(1)	-	-	-	-
其他營業外費用	(18)	21	-	-	-
稅前純益	**4,245**	**6,607**	**12,223**	**36,827**	**57,256**
所得稅費用[利益]	(830)	(1,297)	(2,567)	(7,734)	(12,024)
少數股東損益	13	(33)	(35)	(40)	(40)
非常項目	-	(0)	-	-	-
稅後淨利	**3,428**	**5,277**	**9,621**	**29,054**	**45,192**
EBITDA	**4,395**	**7,146**	**12,667**	**37,434**	**57,962**
每股盈餘 (NT$)	24.15	36.75	65.57	198.01	308.00

現金流量

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營運活動之現金流量	**2,891**	**4,774**	**6,527**	**14,452**	**33,151**
本期純益	3,428	5,277	9,621	29,054	45,192
折舊及攤提	597	648	704	797	882
本期運用資金變動	(1,489)	(1,633)	(3,798)	(15,398)	(12,923)
其他營業資產及負債變動	355	481	0	(0)	(0)
投資活動之現金流量	**(2,563)**	**(1,014)**	**(1,518)**	**(1,468)**	**(1,468)**
投資用短期投資出售[新購]	165	131	-	-	-
本期長期投資變動	-	-	-	-	-
資本支出淨額	(613)	(1,173)	(1,500)	(1,450)	(1,450)
其他資產變動	(2,115)	28	(18)	(18)	(18)
自由現金流	**1,531**	**3,047**	**4,839**	**12,874**	**31,585**
融資活動之現金流量	**(2,215)**	**3,077**	**(3,152)**	**(5,771)**	**(17,507)**
短期借款變動	(343)	-			
長期借款變動	(400)	5,197	-	-	-
現金增資	-	-			
已支付普通股股息	(1,436)	(2,072)	(3,187)	(5,811)	(17,547)
其他融資現金流	(35)	(48)	35	40	40
匯率影響數	**(1)**	**30**			
本期產生現金流量	**(1,888)**	**6,867**	**1,857**	**7,214**	**14,176**

投資回報率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
1－營業成本/營業收入					
－銷管費用/營業收入	11.0%	9.5%	11.3%	5.9%	4.7%
＝營業利益率	**26.6%**	**32.0%**	**36.8%**	**46.1%**	**47.9%**
1 /（營業運用資金/營業收入	0.3	0.2	0.2	0.1	0.1
＋淨固定資產/營業收入	0.3	0.4	0.3	0.1	0.1
＋什項資產/營業收入）	0.2	0.0	0.0	0.0	0.0
＝資本周轉率	**1.2**	**1.5**	**2.1**	**4.0**	**5.0**
營業利益率	26.6%	32.0%	36.8%	46.1%	47.9%
x 資本周轉率	1.2	1.5	2.1	4.0	5.0
x（1－有效現金稅率）	80.4%	80.4%	79.0%	79.0%	79.0%
＝稅後 ROIC	**25.7%**	**38.2%**	**60.3%**	**144.8%**	**189.8%**

資料來源：公司資料，凱基

健策 – 以往評級及目標價

日期	評級	目標價	收盤價
2026-10-07	增加持股	10,000	6,805
2026-08-19	增加持股	7,365	5,460
2026-07-31	增加持股	4,880	3,445
2026-05-13	增加持股	4,840	3,530
2026-04-28	增加持股	6,500	4,950
2026-03-12	增加持股	4,200	3,440
2026-02-23	增加持股	4,200	3,080

資料來源：TEJ，凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888·傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888·傳真 852.2878.6800
泰國	曼谷	8th - 11th floors， Asia Centre Building 173 South Sathorn Road， Bangkok 10120， Thailand 電話 66.2658.8888·傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188·傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

免責聲明

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Angela Hsiang

三福化工

(4755.TW/4755 TT)

半導體材料漸成營運重心

增加持股 · 維持

收盤價 November 11 (NT$)	121.5
12 個月目標價 (NT$)	220.5
前次目標價 (NT$)	190.0
調升 (%)	16.1
上漲空間 (%)	81.5

焦點內容

1. 3Q26 營收優於預期，惟歲修影響毛利率表現。
2. 先進封裝擴產與工程收入放大，帶動半導體營收比重持續提升。
3. 上修 2027 年獲利預估 3%，本業獲利將年增逾五成。

交易資料表

市值：(NT$bn/US$mn)	12.24 / 370.2
流通在外股數 (百萬股)：	100.7
外資持有股數 (百萬股)：	24
3M 平均成交量 (百萬股)：	0.24
52 週股價 (低 \ 高) (NT$):	97.00 –169.5

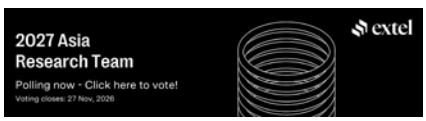
股價表現	3M	6M	12M
絕對表現 (%)	2.1	-12.6	13.6
相對表現 (%)	4	-18.5	-45.7

每股盈餘

NT$	1Q	2Q	3Q	4Q
2024	1.10A	1.10A	0.94A	0.95A
2025	1.10A	0.34A	0.95A	1.30A
2026	1.01A	1.32A	2.63F	1.70F

股價圖

資料來源：TEJ



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重要免責聲明，詳見最終頁

重要訊息

三福化公告 3Q26 財報。

評論及分析

3Q26 利潤率低於預期，但業外收益挹注獲利。三福化 3Q26 營收 13.3 億元，季增 8%、年增 13%，分別優於市場共識與凱基預估 2%與 6%，主因先進封裝需求強勁，光阻剝離液 (InFO+CoWoS) 營收季增 40%、年增 210%。但受到 7-8 月歲修影響，加上夏季電價，毛利率季減 1.1 個百分點至 23.0%，低於市場共識的 24.4%與凱基預估的 25.8%。且子公司新藥開發推升單季費用，導致營益率季減 1.8、年增 3.4 個百分點至 10.1%。受惠於業外貢獻（處分土地與匯兌利益），稅後淨利季增 99%、年增 176%至 2.65 億元，折合每股盈餘 2.63 元。

來自半導體的訂單強勁。CoWoS Stripper 3Q26 營收季增 53%、年增 288%，除了 CoWoS 需求強勁外，WMCM 亦採用同一料號，並於 8 月開始出貨；FOPLP 與 CoPoS 仍在認證，預期 2Q27 後開始貢獻。在 CoWoS 與 WMCM 月產持續提升下，我們預估 2027 年三福化 Stripper 營收將年增 74%。另一方面，公司展望 2027 年 TMAH 工程收入將達 6-7 億元 (對比今年僅預估達 2.5 億元)，我們認為有望帶動半導體營收比重將從 2026 年的 35%提升至 2027 年的 44%，且隨著產品組合優化將帶動毛利率上揚。

2027 年本業獲利成長逾 5 成。考量先進封裝持續擴產、工程收入放大，以及 PHBA 出貨量提升 (公司展望 2027 年達 4,000-4,500 噸)，我們預估三福化 2027 年營收將年增 22%至 61.8 億元。隨著產品組合改善與產能利用率提高，我們預估 2027 年毛利率將年增 4.1 個百分點至 27.9%。我們預估 2026-27 年每股盈餘分別為 6.66 元與 8.82 元。若排除 3Q26 處分土地的一次性收益 (約 1.1-1.2 元)，2027 年本業獲利將年增逾 5 成。

投資建議

考量先進封裝擴產動能延續，加上 2027 年工程收入放大與多項半導體新品陸續放量，我們維持「增加持股」評等，並調升目標價至 220.5 元，基於 2027 年 EPS 預估 25 倍換算得出。

投資風險

先進封裝需求下降；工程進度遞延。

主要財務數據及估值

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入 (NT$百萬)	4,991	5,324	4,836	5,059	6,179
營業毛利 (NT$百萬)	1,022	1,011	1,051	1,205	1,722
營業利益 (NT$百萬)	558	508	499	597	1,053
稅後淨利 (NT$百萬)	444	413	372	671	888
每股盈餘 (NT$)	4.41	4.10	3.70	6.66	8.82
每股現金股利 (NT$)	3.50	3.50	3.70	3.71	4.91
每股盈餘成長率 (%)	(47.7)	(7.2)	(9.8)	80.2	32.3
本益比 (x)	27.5	29.7	32.9	18.2	13.8
股價淨值比 (x)	2.8	2.7	2.3	1.7	1.6
EV/EBITDA (x)	12.2	12.7	10.5	7.3	5.4
淨負債比率 (%)	23.7	30.1	19.9	2.2	6.1
殖利率 (%)	2.9	2.9	3.0	3.1	4.0
股東權益報酬率 (%)	9.9	9.2	7.6	10.7	11.9

資料來源：公司資料，凱基

圖 1：3Q26 財報 & 4Q26 財務預估調整暨市場共識比較

	3Q26							4Q26F						
百萬元	實際數	凱基預估	差異 (%)	QoQ (%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	QoQ (%)	YoY (%)	市場共識	差異(%)
營收	1,332	1,257	6.0	8.3	13.1	1,301	2.4	1,355	1,452	(6.6)	1.7	8.4	1,346	0.7
毛利	307	324	(5.3)	3.5	27.0	318	(3.5)	350	395	(11.4)	14.1	25.8	338	3.5
營業利益	135	164	(17.8)	(8.1)	70.1	166	(18.6)	206	246	(16.4)	52.5	53.6	185	11.3
稅前淨利	262	322	(18.7)	60.7	129.3	179	46.3	212	250	(15.4)	(19.2)	24.7	358	(40.9)
稅後淨利	265	251	5.4	99.2	176.1	147	80.2	172	188	(8.5)	(35.2)	30.8	285	(39.8)
每股盈餘 (元)	2.63	2.49	5.4	99.2	176.1	1.46	80.2	1.70	1.86	(8.5)	(35.2)	30.8	2.83	(39.8)
毛利率 (%)	23.0	25.8	(2.7)ppts	(1.1)ppts	2.5 ppts	24.4	(1.4)ppts	25.8	27.2	(1.4)ppts	2.8 ppts	3.6 ppts	25.1	0.7 ppts
營業利益率 (%)	10.1	13.1	(2.9)ppts	(1.8)ppts	3.4 ppts	12.8	(2.6)ppts	15.2	17.0	(1.8)ppts	5.1 ppts	4.5 ppts	13.7	1.5 ppts
淨利率 (%)	19.9	20.0	(0.1)ppts	9.1 ppts	11.7 ppts	11.3	8.6 ppts	12.7	12.9	(0.3)ppts	(7.2)ppts	2.2 ppts	21.2	(8.5)ppts

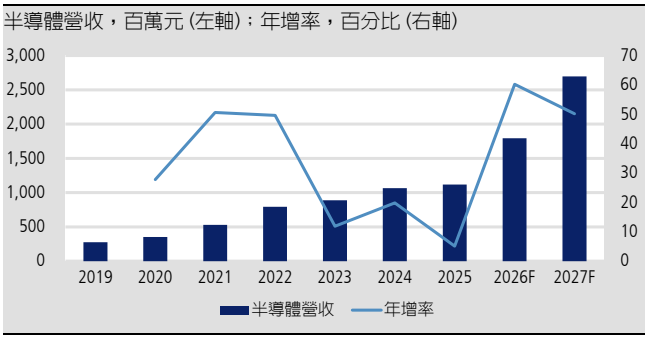
資料來源：Bloomberg；凱基預估

圖 2：2026-27 年財務預估調整暨市場共識比較

	2026F						2027F					
百萬元	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異(%)
營收	5,059	5,081	(0.4)	4.6	5,024	0.7	6,179	6,195	(0.3)	22.1	5,742	7.6
毛利	1,205	1,275	(5.5)	14.7	1,206	(0.1)	1,722	1,704	1.1	42.9	1,534	12.3
營業利益	597	671	(11.1)	19.6	629	(5.2)	1,053	1,118	(5.8)	76.5	860	22.4
稅前獲利	761	864	(11.8)	56.5	785	(3.0)	1,101	1,154	(4.6)	44.6	935	17.8
稅後淨利	671	660	1.7	80.2	639	5.1	888	865	2.6	32.3	755	17.6
每股盈餘 (元)	6.66	6.55	1.7	80.2	6.34	5.1	8.82	8.59	2.6	32.3	7.50	17.6
毛利率 (%)	23.8	25.1	(1.3)ppts	2.1 ppts	24.0	(0.2)ppts	27.9	27.5	0.4 ppts	4.1 ppts	26.7	1.2 ppts
營利率 (%)	11.8	13.2	(1.4)ppts	1.5 ppts	12.5	(0.7)ppts	17.0	18.0	(1.0)ppts	5.2 ppts	15.0	2.1 ppts
淨利率 (%)	13.3	13.0	0.3 ppts	5.6 ppts	12.7	0.6 ppts	14.4	14.0	0.4 ppts	1.1 ppts	13.1	1.2 ppts

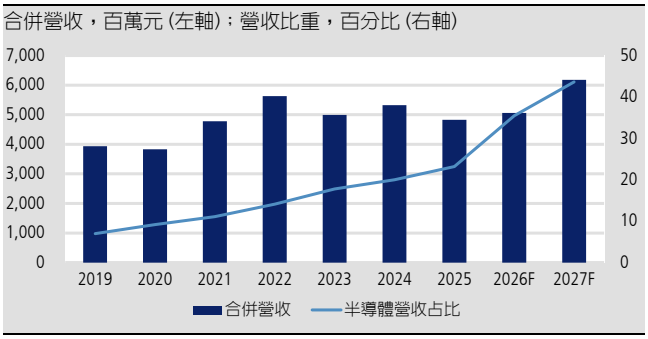
資料來源：Bloomberg；凱基預估

圖 3: 半導體營收維持強勁成長動能



資料來源：Bloomberg；凱基

圖 4: 半導體營收比重持續提升



資料來源：Bloomberg；凱基

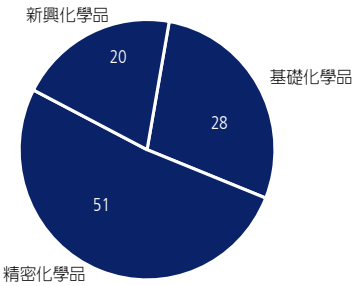
圖 5: 公司概況

三福化工於 2003 年自三福氣體公司分割後獨立的公司，主要從事生產精密化學品、基礎化學品與新興化學品，廣泛應用於半導體、面板、太陽能等產業。2025 年營收比重為精密化學品 51%、基礎化學品 28%、新興化學品 20%。

資料來源：凱基

圖 6: 精密化學品為主要營收來源

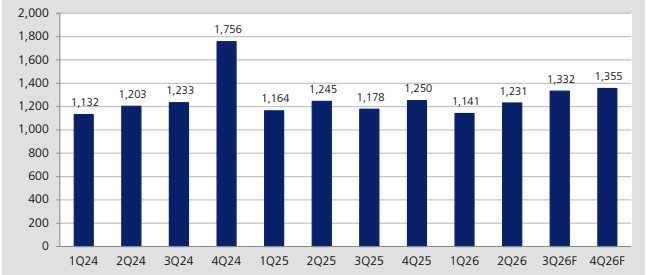
產品別營收收入占比，百分比



資料來源：凱基

圖 7: 季營業收入

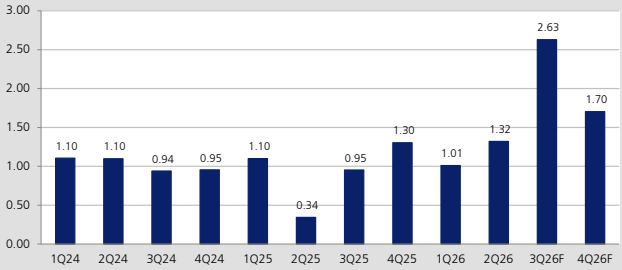
季營業收入，百萬元



資料來源：凱基

圖 8: 每股盈利

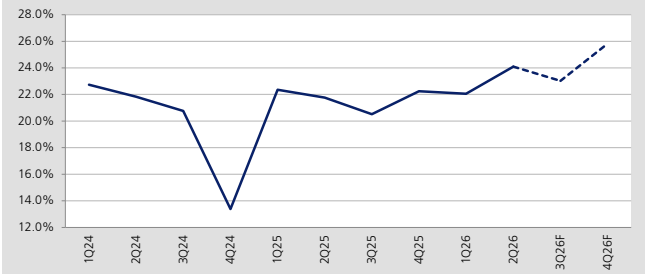
每股盈利，元



資料來源：凱基

圖 9: 毛利率

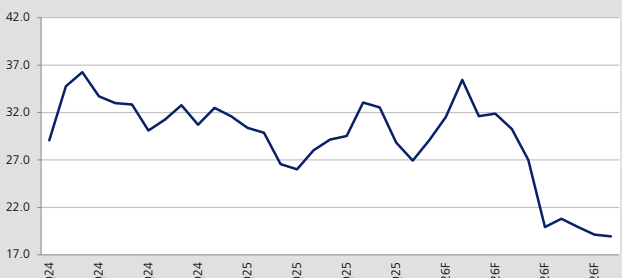
毛利率，百分比



資料來源：凱基

圖 10: 本益比

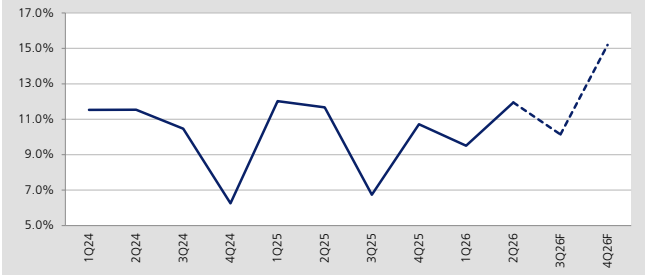
本益比，倍



資料來源：凱基

圖 11: 營業利潤率

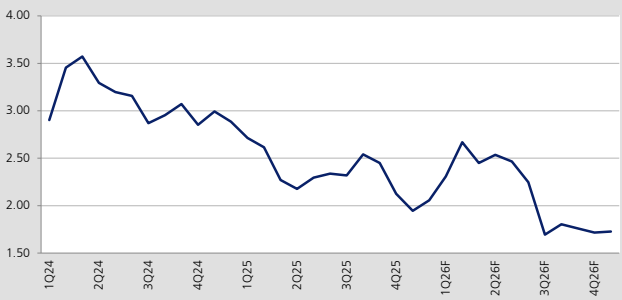
營業利潤率，百分比



資料來源：凱基

圖 12: 股價淨值比

股價淨值比，倍



資料來源：凱基

損益表

	季度								年度		
	Mar-25A	Jun-25A	Sep-25A	Dec-25A	Mar-26A	Jun-26A	Sep-26F	Dec-26F	Dec-25A	Dec-26F	Dec-27F
損益表 （NT$百萬）											
營業收入	**1,164**	**1,245**	**1,178**	**1,250**	**1,141**	**1,231**	**1,332**	**1,355**	**4,836**	**5,059**	**6,179**
營業成本	(903)	(974)	(936)	(972)	(889)	(934)	(1,026)	(1,005)	(3,785)	(3,854)	(4,457)
營業毛利	**260**	**271**	**242**	**278**	**252**	**297**	**307**	**350**	**1,051**	**1,205**	**1,722**
營業費用	(120)	(126)	(162)	(144)	(143)	(149)	(172)	(144)	(552)	(608)	(669)
營業利益	**140**	**145**	**79**	**134**	**108**	**147**	**135**	**206**	**499**	**597**	**1,053**
折舊	(101)	(100)	(112)	(113)	(119)	(125)	(122)	(123)	(427)	(490)	(531)
攤提	(4)	(4)	(4)	(4)	(4)	(4)	(4)	(4)	(15)	(16)	(16)
EBITDA	**245**	**249**	**195**	**251**	**232**	**276**	**262**	**333**	**940**	**1,102**	**1,600**
利息收入	2	5	2	5	2	6	6	5	15	19	23
投資利益淨額	6	8	3	0	4	4	4	4	17	15	14
其他營業外收入	4	4	18	14	5	15	15	9	40	45	32
總營業外收入	**12**	**17**	**24**	**19**	**12**	**25**	**25**	**17**	**72**	**78**	**70**
利息費用	(11)	(11)	(11)	(11)	(9)	(8)	(8)	(9)	(44)	(35)	(34)
投資損失	-	-	-	-	-	-	-	-	-	-	10
其他營業外費用	9	(99)	22	28	14	(1)	110	(3)	(41)	121	3
總營業外費用	**(2)**	**(110)**	**11**	**17**	**5**	**(9)**	**102**	**(12)**	**(85)**	**86**	**(21)**
稅前純益	**150**	**53**	**114**	**170**	**125**	**163**	**262**	**212**	**486**	**761**	**1,101**
所得稅費用[利益]	(40)	(19)	(23)	(41)	(35)	(43)	(11)	(53)	(124)	(142)	(253)
少數股東損益	1	1	5	3	12	13	14	13	10	51	40
非常項目前稅後純益	**111**	**34**	**96**	**131**	**102**	**133**	**265**	**172**	**372**	**671**	**888**
非常項目	(0)	0	(0)	0	(0)	(0)	(0)	-	-	(0)	-
稅後淨利	**111**	**34**	**96**	**131**	**102**	**133**	**265**	**172**	**372**	**671**	**888**
每股盈餘 (NT$)	1.10	0.34	0.95	1.30	1.01	1.32	2.63	1.70	3.70	6.66	8.82
獲利率 （%）											
營業毛利率	22.4	21.8	20.5	22.2	22.1	24.1	23.0	25.8	21.7	23.8	27.9
營業利益率	12.0	11.7	6.7	10.7	9.5	11.9	10.1	15.2	10.3	11.8	17.0
EBITDA Margin	21.0	20.0	16.6	20.0	20.3	22.4	19.6	24.6	19.4	21.8	25.9
稅前純益率	12.9	4.2	9.7	13.6	11.0	13.2	19.7	15.6	10.1	15.0	17.8
稅後純益率	9.5	2.8	8.1	10.5	8.9	10.8	19.9	12.7	7.7	13.3	14.4
季成長率 （%）											
營業收入	(33.7)	7.0	(5.4)	6.2	(8.8)	7.9	8.3	1.7			
營業毛利	10.7	4.1	(10.8)	15.1	(9.5)	17.8	3.5	14.1			
營業收益增長	27.4	3.8	(45.3)	68.8	(19.1)	35.6	(8.1)	52.5			
EBITDA	11.4	1.8	(21.8)	28.5	(7.6)	19.3	(5.3)	27.4			
稅前純益	13.5	(64.9)	116.8	48.5	(26.3)	30.3	60.7	(19.2)			
稅後純益	15.2	(68.9)	178.3	36.8	(22.6)	30.9	99.2	(35.2)			
年成長率 （%）											
營業收入	2.8	3.5	(4.5)	(28.8)	(2.0)	(1.1)	13.1	8.4	(9.2)	4.6	22.1
營業毛利	1.1	3.2	(5.7)	18.3	(3.3)	9.5	27.0	25.8	3.9	14.7	42.9
營業收益	7.2	4.7	(38.5)	22.1	(22.5)	1.2	70.1	53.6	(1.9)	19.6	76.5
EBITDA	2.9	(0.1)	(19.3)	14.0	(5.5)	10.8	34.1	33.0	(0.9)	17.3	45.1
稅前純益	(3.5)	(65.7)	(9.6)	28.4	(16.6)	209.3	129.3	24.7	(14.3)	56.5	44.6
稅後純益	(0.5)	(68.8)	1.4	36.5	(8.2)	285.7	176.1	30.8	(9.8)	80.2	32.3

資料來源：公司資料，凱基

資產負債表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
資產總額	**7,790**	**7,402**	**8,470**	**10,936**	**11,240**
流動資產	**3,378**	**2,917**	**3,216**	**4,640**	**4,767**
現金及短期投資	683	814	1,246	1,573	1,258
存貨	679	704	694	1,051	1,291
應收帳款及票據	1,335	1,162	1,098	729	931
其他流動資產	681	237	179	1,287	1,287
非流動資產	**4,412**	**4,485**	**5,254**	**6,296**	**6,473**
長期投資	637	627	1,581	2,674	2,674
固定資產	3,415	3,392	3,269	3,199	3,376
什項資產	360	465	403	423	423
負債總額	**3,344**	**2,838**	**3,085**	**3,496**	**3,412**
流動負債	**2,993**	**2,622**	**2,674**	**2,569**	**2,485**
應付帳款及票據	441	270	275	228	280
短期借款	1,320	1,895	2,000	1,540	1,540
什項負債	1,232	456	399	801	665
長期負債	**350**	**216**	**410**	**928**	**928**
長期借款	225	-	-	-	-
其他負債及準備	77	40	241	748	748
股東權益總額	**4,446**	**4,564**	**5,385**	**7,440**	**7,828**
普通股本	1,007	1,007	1,007	1,007	1,007
保留盈餘	2,425	2,570	2,734	4,722	5,150
少數股東權益	32	45	121	-	-
優先股股東資金	-	-	-	188	148

主要財務比率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
年成長率					
營業收入	(11.2%)	6.7%	(9.2%)	4.6%	22.1%
營業收益增長	(40.0%)	(8.9%)	(1.9%)	19.6%	76.5%
EBITDA	(23.4%)	(0.2%)	(0.9%)	17.3%	45.1%
稅後純益	(47.7%)	(7.2%)	(9.8%)	80.2%	32.3%
每股盈餘成長率	(47.7%)	(7.2%)	(9.8%)	80.2%	32.3%
獲利能力分析					
營業毛利率	20.5%	19.0%	21.7%	23.8%	27.9%
營業利益率	11.2%	9.5%	10.3%	11.8%	17.0%
EBITDA Margin	19.1%	17.8%	19.4%	21.8%	25.9%
稅後純益率	8.9%	7.7%	7.7%	13.3%	14.4%
平均資產報酬率	5.9%	5.4%	4.7%	6.9%	8.0%
股東權益報酬率	9.9%	9.2%	7.6%	10.7%	11.9%
穩定 \ 償債能力分析					
毛負債比率 (%)	34.8%	41.5%	37.1%	20.7%	19.7%
淨負債比率	23.7%	30.1%	19.9%	2.2%	6.1%
利息保障倍數 (x)	20.6	16.2	12.1	23.0	33.0
利息及短期債保障倍數 (x)	0.3	0.2	0.2	0.3	0.4
Cash Flow Int. Coverage (x)	35.0	16.6	21.2	30.9	26.4
Cash Flow/Int. & ST Debt (x)	0.8	0.3	0.5	0.7	0.6
流動比率 (x)	1.1	1.1	1.2	1.8	1.9
速動比率 (x)	0.9	0.8	0.9	1.4	1.4
淨負債 (NT$百萬)	1,056	1,374	1,069	165	480
每股資料分析					
每股盈餘 (NT$)	4.41	4.10	3.70	6.66	8.82
每股現金盈餘 (NT$)	10.34	6.14	9.24	10.62	9.02
每股淨值 (NT$)	43.83	44.87	52.27	72.01	76.26
調整後每股淨值 (NT$)	43.83	44.87	52.27	72.01	76.26
每股營收 (NT$)	49.56	52.87	48.02	50.23	61.36
EBITDA/Share (NT$)	9.44	9.42	9.33	10.95	15.89
每股現金股利 (NT$)	3.50	3.50	3.70	3.71	4.91
資產運用狀況					
資產周轉率 (x)	0.66	0.70	0.61	0.52	0.56
應收帳款周轉天數	97.6	79.9	82.8	52.6	55.0
存貨周轉天數	62.4	59.7	66.9	99.6	105.8
應付帳款周轉天數	40.6	22.9	26.6	21.6	22.9
現金轉換周轉天數	119.5	116.7	123.2	130.6	137.8

資料來源：公司資料，凱基

損益表

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營業收入	**4,991**	**5,324**	**4,836**	**5,059**	**6,179**
營業成本	(3,969)	(4,313)	(3,785)	(3,854)	(4,457)
營業毛利	**1,022**	**1,011**	**1,051**	**1,205**	**1,722**
營業費用	(464)	(503)	(552)	(608)	(669)
營業利益	**558**	**508**	**499**	**597**	**1,053**
總營業外收入	**65**	**62**	**72**	**78**	**70**
利息收入	8	11	15	19	23
投資利益淨額	26	22	17	15	14
其他營業外收入	31	28	40	45	32
總營業外費用	**(42)**	**(2)**	**(85)**	**86**	**(21)**
利息費用	(30)	(37)	(44)	(35)	(34)
投資損失	-	-	-	-	10
其他營業外費用	(12)	35	(41)	121	3
稅前純益	**581**	**567**	**486**	**761**	**1,101**
所得稅費用[利益]	(137)	(158)	(124)	(142)	(253)
少數股東損益	0	3	10	51	40
非常項目	-	0	0	(0)	-
稅後淨利	**444**	**413**	**372**	**671**	**888**
EBITDA	**951**	**949**	**940**	**1,102**	**1,600**
每股盈餘 (NT$)	4.41	4.10	3.70	6.66	8.82

現金流量

NT$百萬	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
營運活動之現金流量	**1,041**	**618**	**931**	**1,069**	**908**
本期純益	444	413	372	671	888
折舊及攤提	393	441	441	506	547
本期運用資金變動	(10)	(10)	102	(36)	(390)
其他營業資產及負債變動	213	(225)	15	(72)	(136)
投資活動之現金流量	**(725)**	**(578)**	**(333)**	**(391)**	**(724)**
投資用短期投資出售[新購]	(3)	(94)	(28)	120	-
本期長期投資變動	-	-	-	-	-
資本支出淨額	(726)	(477)	(302)	(488)	(708)
其他資產變動	4	(7)	(3)	(22)	(16)
自由現金流	**72**	**306**	**598**	**451**	**243**
融資活動之現金流量	**(424)**	**(14)**	**(183)**	**(200)**	**(470)**
短期借款變動	295	600	180		
長期借款變動	(100)	(250)	(75)	-	-
現金增資	-	-	-	-	-
已支付普通股股息	(594)	(352)	(352)	-	(470)
其他融資現金流	(25)	(12)	65	(200)	-
匯率影響數	**(5)**	**5**	**(5)**	**(7)**	**10**
本期產生現金流量	**(113)**	**31**	**410**	**472**	**(275)**

投資回報率

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F
1 - 營業成本/營業收入					
- 銷管費用/營業收入	9.3%	9.4%	11.4%	12.0%	10.8%
= 營業利益率	**11.2%**	**9.5%**	**10.3%**	**11.8%**	**17.0%**
1 /（營業運用資金/營業收入	0.2	0.3	0.3	0.4	0.4
+ 淨固定資產/營業收入	0.7	0.6	0.7	0.6	0.5
+ 什項資產/營業收入）	0.0	0.0	0.0	0.1	0.0
= 資本周轉率	**1.1**	**1.1**	**1.1**	**0.9**	**1.0**
營業利益率	11.2%	9.5%	10.3%	11.8%	17.0%
x 資本周轉率	1.1	1.1	1.1	0.9	1.0
x（1 - 有效現金稅率）	76.4%	72.2%	74.5%	81.4%	77.0%
= 稅後 ROIC	**9.5%**	**7.6%**	**8.1%**	**8.8%**	**13.0%**

資料來源：公司資料，凱基

三福化工 – 以往評級及目標價

日期	評級	目標價	收盤價
2026-07-23	增加持股	190.0	124.5
2026-04-17	增加持股	217.0	151.5
2026-03-11	增加持股	185.0	153.5

資料來源：TEJ，凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888·傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888·傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888·傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188·傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

免責聲明

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旺矽

(6223.TWO/6223 TT)

營收及獲利持續創高，測試介面族群首選

重要訊息

旺矽公布 3Q26 財報，營收與獲利持續創高。

評論及分析

3Q26 毛利率優於預期，4Q26 營收與獲利持續創高。旺矽 3Q26 營收季增 12.8%，年增 72.9%，低於凱基預期，但超越公司原先展望。我們認為預估落差主要來自營收認列時點差異，並非需求放緩。毛利率季增 3.3ppts 至 61.7%，優於預期，反映產品組合進一步轉佳。獲利季增 18.2%，EPS 為 18.38 元。展望 4Q26，ASIC 探針卡持續出貨，管理層預期營收季增 5-10%，毛利率有望維持 3Q26 水準，延續營收與獲利持續創高的趨勢。

ASIC 與 CPU 題材兼具，毛利率呈向上趨勢，為測試介面族群首選。凱基預估 2027 年 AI ASIC 出貨和成長性將首超 GPU。旺矽身為 ASIC 探針卡主要供應商，ASIC 專案數為我們研究涵蓋的測試介面業者中最高，可望充分受惠於 ASIC 需求擴張。同時，CPU 需求強勁，打入 CPU 探針卡供應鏈亦增添成長動能。隨新增產能陸續開出，公司將持續承接客戶需求，支撐 2027-28 年營收成長達 75.6%及 35.5%。此外，MEMS 探針卡占比提升帶動產品組合轉佳，毛利率上升趨勢明確，使獲利成長分別達 103.2%及 44.8%，優於營收。相較台灣同業毛利率較易隨季度產品組合波動，旺矽為我們研究涵蓋的台灣測試介面業者中，唯一毛利率呈穩健上升趨勢的公司。綜上所述，我們認為旺矽應享有相對同業的評價溢價，維持其為測試介面族群首選。

CPO 設備貢獻時程待釐清，惟評價進一步下修風險有限。由於 Insertion 2 機台開發難度高，旺矽 CPO 設備的營收貢獻時點具不確定性。公司仍持續與主要客戶合作開發，且客戶並無跳過此測試階段的規劃。我們對 2027 年 CPO 設備營收貢獻維持較保守看法，預估占整體營收比重僅中個位數。市場對量產時程不確定性及相關營收貢獻的疑慮，已對股價表現造成壓力，惟考量市場對此業務的預期已偏悲觀，我們認為評價進一步下修風險有限。

投資建議

考量市場風險偏好下降，以及 CPO 設備的疑慮，我們將目標本益比調降至 35 倍，目標價調降至 7,000 元。此次調整主要反映評價假設轉趨審慎，我們對核心業務需求及產能擴充的看法仍維持正向。維持「增加持股」投資評等。

投資風險

競爭加劇；需求轉弱；全球經濟衰退。

主要財務數據及估值

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入 (NT$百萬)	10,172	13,371	21,478	37,722	51,099
營業毛利 (NT$百萬)	5,561	7,428	12,970	23,553	32,726
營業利益 (NT$百萬)	2,483	3,775	7,933	16,782	24,371
稅後淨利 (NT$百萬)	2,301	3,177	6,644	13,501	19,552
每股盈餘 (NT$)	24.42	33.49	67.81	137.79	199.54
每股現金股利 (NT$)	16.00	22.00	40.70	82.70	119.70
每股盈餘成長率 (%)	75.4	37.1	102.5	103.2	44.8
本益比 (x)	183.4	133.8	66.1	32.5	22.5
股價淨值比 (x)	45.4	30.1	28.6	22.3	11.2
EV/EBITDA (x)	132.8	87.6	43.6	22.3	15.8
淨負債比率 (%)	Net cash	Net cash	Net cash	Net cash	Net cash
殖利率 (%)	0.4	0.5	0.9	1.8	2.7
股東權益報酬率 (%)	27.2	26.6	44.4	77.0	66.3

資料來源：公司資料，凱基預估

增加持股 · 維持

收盤價 November 11 (NT$)	4,480
12 個月目標價 (NT$)	7,000
前次目標價 (NT$)	10,000
調降 (%)	30.0
上漲空間 (%)	56.3

焦點內容

1. 3Q26 毛利率優於預期，4Q26 營收與獲利持續創高。
2. ASIC 與 CPU 題材兼具，毛利率呈向上趨勢，為測試介面族群首選。
3. CPO 設備貢獻時程待釐清，惟評價進一步下修風險有限。

交易資料表

市值：(NT$bn/US$mn)	439.0 /13,281
流通在外股數 (百萬股)：	97.98
外資持有股數 (百萬股)：	30
3M 平均成交量 (百萬股)：	0.64
52 週股價 (低 \ 高) (NT$):	1,720 –7,380

股價表現	3M	6M	12M
絕對表現 (%)	-29.1	-10.1	149.6
相對表現 (%)	-27.2	-16.0	90.3

每股盈餘

NT$	1Q	2Q	3Q	4Q
2025	7.68A	6.67A	9.30A	9.99A
2026	12.53A	15.55A	18.38F	21.34F
2027	20.12F	28.17F	42.76F	46.74F

股價圖

資料來源：TEJ

請將您珍貴的一票投給凱基！

凱基投顧

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重要免責聲明，詳見最終頁

圖 1：3Q26 財報與 4Q26 財測修正暨市場共識比較

	3Q26							4Q26F						
百萬元	實際數	凱基預估	差異(%)	QoQ (%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	QoQ (%)	YoY (%)	市場共識	差異(%)
營收	5,904	6,528	(9.6)	12.8	72.9	5,780	2.1	6,407	7,744	(17.3)	8.5	67.0	6,583	(2.7)
毛利	3,641	3,901	(6.6)	19.2	99.8	3,436	6.0	3,936	4,647	(15.3)	8.1	90.8	3,959	(0.6)
營業利益	2,276	2,560	(11.1)	26.3	154.1	2,041	11.5	2,582	3,224	(19.9)	13.4	169.2	2,434	6.1
稅後淨利	1,801	2,076	(13.2)	18.2	105.5	1,722	4.6	2,091	2,608	(19.8)	16.1	120.7	2,046	2.2
每股盈餘 (元)	18.38	21.19	(13.2)	18.2	97.7	17.29	6.4	21.34	26.62	(19.8)	16.1	113.6	20.04	6.5
毛利率 (%)	61.7	59.8	1.9 ppts	3.3 ppts	8.3 ppts	59.5	2.2 ppts	61.4	60.0	1.4 ppts	(0.2)ppts	7.7 ppts	60.1	1.3 ppts
營利率 (%)	38.6	39.2	(0.7)ppts	4.1 ppts	12.3 ppts	35.3	3.2 ppts	40.3	41.6	(1.3)ppts	1.7 ppts	15.3 ppts	37.0	3.3 ppts
淨利率 (%)	30.5	31.8	(1.3)ppts	1.4 ppts	4.8 ppts	29.8	0.7 ppts	32.6	33.7	(1.0)ppts	2.1 ppts	7.9 ppts	31.1	1.6 ppts

資料來源：Bloomberg，凱基預估

圖 2：2026-28 年財測修正 vs.市場共識

	2026F						2027F						2028F					
百萬元	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅 (%)	YoY (%)	市場共識	差異(%)
營收	21,478	23,432	(8.3)	60.6	21,499	(0.1)	37,722	38,318	(1.6)	75.6	39,779	(5.2)	51,099	53,907	(5.2)	35.5	58,762	(13.0)
毛利	12,970	13,932	(6.9)	74.6	12,784	1.5	23,553	23,467	0.4	81.6	24,220	(2.8)	32,726	33,937	(3.6)	38.9	36,114	(9.4)
營業利益	7,933	8,895	(10.8)	110.2	7,481	6.0	16,782	16,724	0.3	111.5	15,666	7.1	24,371	25,262	(3.5)	45.2	25,909	(5.9)
稅後淨利	6,644	7,455	(10.9)	109.1	6,417	3.5	13,501	13,475	0.2	103.2	12,929	4.4	19,552	20,309	(3.7)	44.8	21,186	(7.7)
每股盈餘 (元)	67.81	76.08	(10.9)	102.5	65.52	3.5	137.79	137.53	0.2	103.2	130.60	5.5	199.54	207.28	(3.7)	44.8	218.54	(8.7)
毛利率 (%)	60.4	59.5	0.9 ppts	4.8 ppts	59.5	0.9 ppts	62.4	61.2	1.2 ppts	2.0 ppts	60.9	1.6 ppts	64.0	63.0	1.1 ppts	1.6 ppts	61.5	2.6 ppts
營利率 (%)	36.9	38.0	(1.0)ppts	8.7 ppts	34.8	2.1 ppts	44.5	43.6	0.8 ppts	7.6 ppts	39.4	5.1 ppts	47.7	46.9	0.8 ppts	3.2 ppts	44.1	3.6 ppts
淨利率 (%)	30.9	31.8	(0.9)ppts	7.2 ppts	29.8	1.1 ppts	35.8	35.2	0.6 ppts	4.9 ppts	32.5	3.3 ppts	38.3	37.7	0.6 ppts	2.5 ppts	36.1	2.2 ppts

資料來源：Bloomberg，凱基預估

圖 3：同業評價比較

公司	代號	市值 (美金百萬元)	股價 (當地貨幣)	每股盈餘 (當地貨幣) 2026F	2027F	2028F	每股盈餘複合成長率(%) (2025-2028F)	本益比 (倍) 2026F	2027F	2028F	股價淨值比 (倍) 2027F	2028F	股東權益報酬率 (%) 2027F	2028F	股利殖利率 (%) 2027F	2028F
旺矽	6223 TT	13,358	4,480.0	67.81	137.79	199.54	81.3	66.1	32.5	22.5	22.3	11.2	77.0	66.3	1.8	2.7
穎崴	6515 TT	4,536	4,090.0	88.08	160.49	273.16	79.9	46.4	25.5	15.0	12.9	7.0	56.8	59.7	2.8	4.8
精測	6510 TT	3,066	3,060.0	61.42	106.28	146.56	68.9	49.8	28.8	20.9	8.4	6.0	31.4	33.4	1.7	2.4
雍智	6683 TT	814	971.0	24.59	41.66	75.92	70.1	39.5	23.3	12.8	8.2	5.0	37.6	48.1	2.1	3.9
鴻勁	7769 TT	23,737	4,335.0	132.19	220.45	387.34	72.3	32.8	19.7	11.2	9.5	6.3	56.4	67.8	3.5	6.2
致茂	2360 TT	17,729	1,370.0	46.84	69.10	86.44	61.1	29.2	19.8	15.9	10.0	7.7	61.6	54.6	2.8	4.5
創新服務	7828 TT	1,721	1,395.0	17.88	39.61	100.76	151.6	78.0	35.2	13.8	20.5	8.3	72.9	84.9	1.0	2.5
中探針	6217 TT	467	131.0	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.	N.M.
Advantest	6857 JP	144,624	31,440.0	460.11	1,022.21	1,391.56	79.2	68.3	30.8	22.6	17.8	11.4	69.7	64.8	0.4	0.5
Keysight Technologies	KEYS US	49,620	291.5	11.46	13.93	15.67	44.3	25.4	20.9	18.6	6.0	4.8	30.9	29.4	0.0	0.0
Teradyne	TER US	38,313	245.4	9.45	12.25	16.17	60.5	26.0	20.0	15.2	7.9	6.7	41.4	41.0	0.2	0.2
Technoprobe SpA	TPRO IM	17,152	23.6	0.54	0.82	1.08	85.3	43.7	28.9	21.9	7.2	5.5	27.5	27.2	0.0	0.2
NHK Spring	5991 JP	4,028	2,774.0	197.02	240.99	268.65	6.0	14.1	11.5	10.3	1.2	1.1	10.5	11.1	2.6	2.9
LEENO Industrial	058470 KS	2,970	52,000.0	2,447.55	2,757.52	3,397.60	19.7	21.2	18.9	15.3	4.1	3.5	23.9	24.2	1.9	2.2
FormFactor	FORM US	6,699	85.6	3.36	4.38	6.07	92.7	25.5	19.6	14.1	4.4	3.4	21.5	27.2	0.0	N.M.
Micronics Japan	6871 JP	2,603	10,350.0	620.62	794.25	1,054.95	49.1	16.7	13.0	9.8	3.7	2.9	36.3	37.4	2.4	3.3
ISC	095340 KS	2,318	145,900.0	4,019.87	5,965.04	8,141.28	43.9	36.3	24.5	17.9	4.3	3.5	18.6	21.1	1.0	1.4
Cohu	COHU US	2,063	43.6	1.06	2.37	3.22	(231.8)	40.9	18.4	13.5	4.6	2.2	17.1	N.M.	N.M.	N.M.
Yamaichi Electronics	6941 JP	898	6,960.0	456.90	618.77	687.90	36.4	15.2	11.2	10.1	2.3	2.0	21.1	21.4	2.6	2.8
同業平均								**34.7**	**20.7**	**14.7**	**7.9**	**5.0**	**35.6**	**42.3**	**1.6**	**2.5**

資料來源：Bloomberg，凱基預估

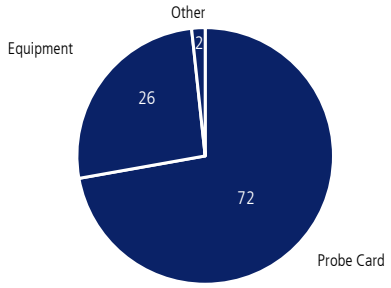
圖 4：公司概況

旺矽成立於 1995 年，提供探針卡、光電自動化、先進半導體測試、散熱解決方案。公司之探針卡解決方案包含懸臂式探針卡(CPC)、垂直式探針卡(VPC)及微機電式探針卡(MEMS)。公司於 2024 年全球探針卡市場中排名第四。2025 年產品營收比重為探針卡 72%、設備 26%與其他 2%。

資料來源：公司資料，凱基

圖 5：2025 年產品組合

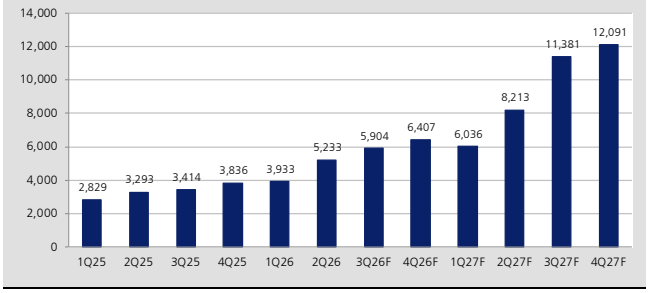
產品比重，百分比



資料來源：公司資料，凱基

圖 6：季營業收入

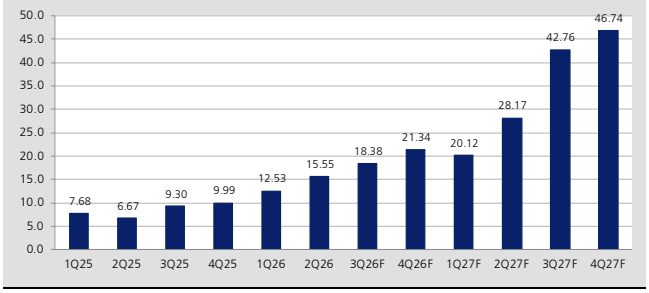
季營業收入，百萬元



資料來源：凱基

圖 7：每股盈利

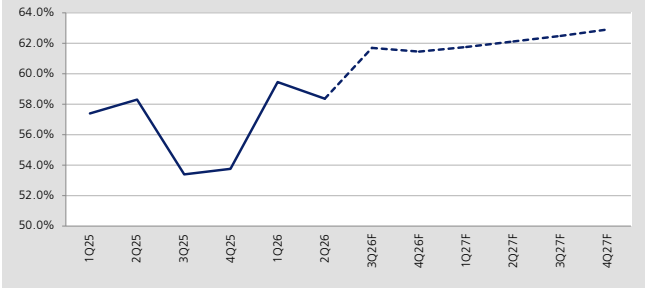
每股盈利，元



資料來源：凱基

圖 8：毛利率

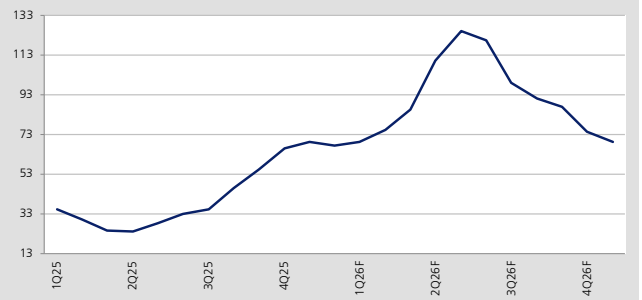
毛利率，百分比



資料來源：凱基

圖 9：本益比

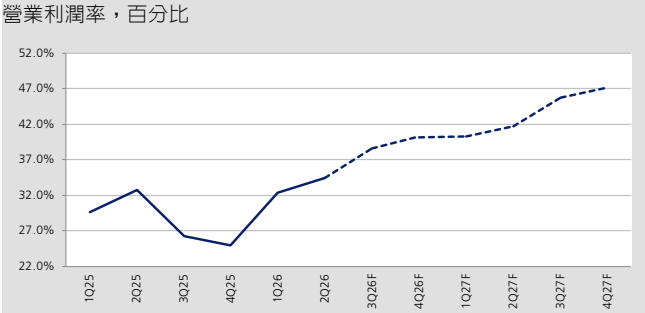
本益比，倍



資料來源：凱基

圖 10：營業利潤率

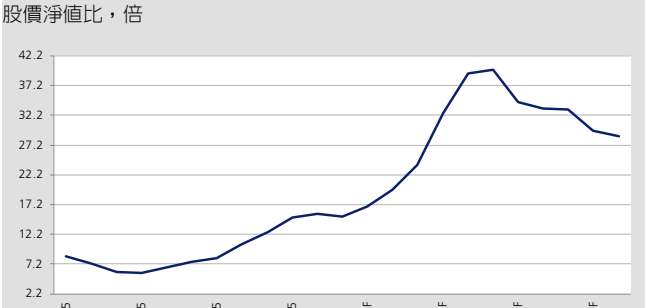
營業利潤率，百分比



資料來源：凱基

圖 11：股價淨值比

股價淨值比，倍



資料來源：凱基

損益表

	季度								年度		
	Mar-26A	Jun-26A	Sep-26F	Dec-26F	Mar-27F	Jun-27F	Sep-27F	Dec-27F	Dec-26F	Dec-27F	Dec-28F
損益表（NT$百萬）											
營業收入	**3,933**	**5,233**	**5,904**	**6,407**	**6,036**	**8,213**	**11,381**	**12,091**	**21,478**	**37,722**	**51,099**
營業成本	(1,595)	(2,179)	(2,263)	(2,471)	(2,307)	(3,109)	(4,270)	(4,483)	(8,507)	(14,169)	(18,374)
營業毛利	**2,338**	**3,055**	**3,641**	**3,936**	**3,729**	**5,104**	**7,111**	**7,608**	**12,970**	**23,553**	**32,726**
營業費用	(1,065)	(1,253)	(1,365)	(1,354)	(1,297)	(1,675)	(1,898)	(1,901)	(5,037)	(6,771)	(8,354)
營業利益	**1,273**	**1,802**	**2,276**	**2,582**	**2,433**	**3,429**	**5,213**	**5,707**	**7,933**	**16,782**	**24,371**
折舊	(211)	(242)	(277)	(377)	(370)	(370)	(370)	(370)	(1,107)	(1,480)	(1,994)
攤提	(42)	(46)	(84)	(163)	(113)	(113)	(113)	(113)	(335)	(453)	(457)
EBITDA	**1,526**	**2,090**	**2,637**	**3,122**	**2,916**	**3,912**	**5,697**	**6,190**	**9,375**	**18,715**	**26,822**
利息收入	9	12	35	37	40	30	27	21	93	119	91
投資利益淨額	2	-	-	-	-	-	-	-	2	-	-
其他營業外收入	115	58	-	-	-	-	-	-	173	-	-
總營業外收入	**126**	**70**	**35**	**37**	**40**	**30**	**27**	**21**	**268**	**119**	**91**
利息費用	(9)	(17)	(63)	(64)	(67)	(70)	(71)	(72)	(153)	(280)	(303)
投資損失	-	-	-	-	-	-	-	-	-	-	-
其他營業外費用	135	52	50	50	50	50	50	50	287	200	200
總營業外費用	**126**	**35**	**(13)**	**(14)**	**(17)**	**(20)**	**(21)**	**(22)**	**134**	**(80)**	**(103)**
稅前純益	**1,525**	**1,906**	**2,298**	**2,606**	**2,456**	**3,439**	**5,220**	**5,706**	**8,335**	**16,821**	**24,359**
所得稅費用[利益]	(298)	(376)	(497)	(514)	(485)	(679)	(1,030)	(1,126)	(1,686)	(3,320)	(4,808)
少數股東損益	-	-	-	-	-	-	-	-	-	-	-
非常項目前稅後純益	**1,227**	**1,530**	**1,801**	**2,091**	**1,971**	**2,760**	**4,190**	**4,579**	**6,649**	**13,501**	**19,552**
非常項目	1	(6)	-	-	-	-	-	-	(5)	-	-
稅後淨利	**1,227**	**1,524**	**1,801**	**2,091**	**1,971**	**2,760**	**4,190**	**4,579**	**6,644**	**13,501**	**19,552**
每股盈餘 (NT$)	12.53	15.55	18.38	21.34	20.12	28.17	42.76	46.74	67.81	137.79	199.54
獲利率 (%)											
營業毛利率	59.4	58.4	61.7	61.4	61.8	62.1	62.5	62.9	60.4	62.4	64.0
營業利益率	32.4	34.4	38.6	40.3	40.3	41.7	45.8	47.2	36.9	44.5	47.7
EBITDA Margin	38.8	39.9	44.7	48.7	48.3	47.6	50.1	51.2	43.6	49.6	52.5
稅前純益率	38.8	36.4	38.9	40.7	40.7	41.9	45.9	47.2	38.8	44.6	47.7
稅後純益率	31.2	29.1	30.5	32.6	32.7	33.6	36.8	37.9	30.9	35.8	38.3
季成長率 (%)											
營業收入	2.5	33.1	12.8	8.5	(5.8)	36.1	38.6	6.2			
營業毛利	13.3	30.7	19.2	8.1	(5.2)	36.9	39.3	7.0			
營業收益增長	32.7	41.5	26.3	13.4	(5.8)	40.9	52.1	9.5			
EBITDA	27.7	36.9	26.2	18.4	(6.6)	34.1	45.6	8.7			
稅前純益	32.9	25.0	20.6	13.4	(5.7)	40.0	51.8	9.3			
稅後純益	29.5	24.1	18.2	16.1	(5.7)	40.0	51.8	9.3			
年成長率 (%)											
營業收入	39.0	58.9	72.9	67.0	53.5	56.9	92.8	88.7	60.6	75.6	35.5
營業毛利	44.0	59.2	99.8	90.8	59.5	67.1	95.3	93.3	74.6	81.6	38.9
營業收益	51.5	67.0	154.1	169.2	91.1	90.3	129.0	121.0	110.2	111.5	45.2
EBITDA	52.7	65.4	139.9	161.3	91.0	87.2	116.1	98.3	105.3	99.6	43.3
稅前純益	71.8	152.0	118.3	127.1	61.0	80.4	127.1	119.0	116.8	101.8	44.8
稅後純益	69.6	142.5	105.5	120.7	60.6	81.1	132.6	119.0	109.1	103.2	44.8

資料來源：公司資料，凱基預估

資產負債表

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
資產總額	**16,479**	**24,003**	**39,840**	**50,409**	**61,189**
流動資產	**9,505**	**13,318**	**23,353**	**30,534**	**36,450**
現金及短期投資	3,695	5,437	11,065	8,589	11,757
存貨	3,477	5,011	7,585	13,754	15,302
應收帳款及票據	2,050	2,411	4,035	7,523	8,722
其他流動資產	283	458	669	669	669
非流動資產	**6,973**	**10,685**	**16,487**	**19,875**	**24,739**
長期投資	378	765	970	970	970
固定資產	4,561	7,729	12,649	16,038	20,902
什項資產	2,034	2,191	2,867	2,867	2,867
負債總額	**7,172**	**9,424**	**24,474**	**30,707**	**21,937**
流動負債	**5,673**	**7,569**	**17,194**	**23,427**	**14,657**
應付帳款及票據	766	1,342	1,986	3,565	3,957
短期借款	858	1,366	1,410	1,410	1,410
什項負債	4,050	4,862	13,798	18,451	9,290
長期負債	**1,498**	**1,855**	**7,280**	**7,280**	**7,280**
長期借款	1,305	1,337	7,177	7,177	7,177
其他負債及準備	123	140	(270)	(270)	(270)
股東權益總額	**9,307**	**14,579**	**15,366**	**19,703**	**39,252**
普通股本	942	980	980	980	980
保留盈餘	5,502	6,947	6,685	11,022	30,571
少數股東權益	4	-	-	-	-
優先股股東資金	-	-	-	-	-

主要財務比率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
年成長率					
營業收入	24.9%	31.5%	60.6%	75.6%	35.5%
營業收益增長	68.7%	52.0%	110.2%	111.5%	45.2%
EBITDA	51.4%	50.3%	105.3%	99.6%	43.3%
稅後純益	75.4%	38.0%	109.1%	103.2%	44.8%
每股盈餘成長率	75.4%	37.1%	102.5%	103.2%	44.8%
獲利能力分析					
營業毛利率	54.7%	55.6%	60.4%	62.4%	64.0%
營業利益率	24.4%	28.2%	36.9%	44.5%	47.7%
EBITDA Margin	29.9%	34.1%	43.6%	49.6%	52.5%
稅後純益率	22.6%	23.8%	30.9%	35.8%	38.3%
平均資產報酬率	15.9%	15.7%	20.8%	29.9%	35.0%
股東權益報酬率	27.2%	26.6%	44.4%	77.0%	66.3%
穩定\償債能力分析					
毛負債比率 (%)	23.2%	18.5%	55.9%	43.6%	21.9%
淨負債比率	Net cash	Net cash	Net cash	Net cash	Net cash
利息保障倍數 (x)	92.3	54.5	55.4	61.1	81.3
利息及短期債保障倍數 (x)	0.8	0.7	0.8	0.9	0.9
Cash Flow Int. Coverage (x)	68.5	28.3	35.8	26.3	64.8
Cash Flow/Int. & ST Debt (x)	2.4	1.4	3.5	4.4	11.5
流動比率 (x)	1.7	1.8	1.4	1.3	2.5
速動比率 (x)	1.1	1.1	0.9	0.7	1.4
淨負債 (NT$百萬)	(1,532)	(2,734)	(2,478)	(2)	(3,171)
每股資料分析					
每股盈餘 (NT$)	24.42	33.49	67.81	137.79	199.54
每股現金盈餘 (NT$)	22.25	21.49	55.94	75.08	200.53
每股淨值 (NT$)	98.72	148.79	156.83	201.09	400.61
調整後每股淨值 (NT$)	98.72	153.70	156.83	201.09	400.61
每股營收 (NT$)	107.95	140.97	219.20	384.99	521.52
EBITDA/Share (NT$)	32.25	48.14	95.68	191.01	273.75
每股現金股利 (NT$)	16.00	22.00	40.70	82.70	119.70
資產運用狀況					
資產周轉率 (x)	0.70	0.66	0.67	0.84	0.92
應收帳款周轉天數	73.8	65.8	68.6	72.8	62.5
存貨周轉天數	276.0	307.8	325.4	354.3	304.8
應付帳款周轉天數	60.8	82.4	85.2	91.8	78.8
現金轉換周轉天數	289.0	291.2	308.8	335.2	288.4

資料來源：公司資料，凱基預估

損益表

NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入	**10,172**	**13,371**	**21,478**	**37,722**	**51,099**
營業成本	(4,611)	(5,943)	(8,507)	(14,169)	(18,374)
營業毛利	**5,561**	**7,428**	**12,970**	**23,553**	**32,726**
營業費用	(3,078)	(3,653)	(5,037)	(6,771)	(8,354)
營業利益	**2,483**	**3,775**	**7,933**	**16,782**	**24,371**
總營業外收入	**192**	**187**	**268**	**119**	**91**
利息收入	40	76	93	119	91
投資利益淨額	7	-	2	-	-
其他營業外收入	145	111	173	-	-
總營業外費用	**120**	**(117)**	**134**	**(80)**	**(103)**
利息費用	(31)	(72)	(153)	(280)	(303)
投資損失	-	-	-	-	-
其他營業外費用	151	(45)	287	200	200
稅前純益	**2,795**	**3,844**	**8,335**	**16,821**	**24,359**
所得稅費用[利益]	(490)	(666)	(1,686)	(3,320)	(4,808)
少數股東損益	1	1	-	-	-
非常項目	(4)	(3)	(5)	-	-
稅後淨利	**2,301**	**3,177**	**6,644**	**13,501**	**19,552**
EBITDA	**3,039**	**4,566**	**9,375**	**18,715**	**26,822**
每股盈餘 (NT$)	24.42	33.49	67.81	137.79	199.54

現金流量

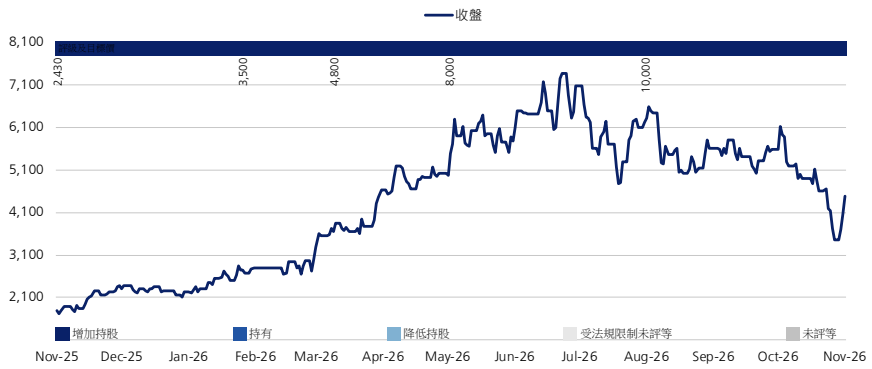
NT$百萬	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營運活動之現金流量	**2,097**	**2,038**	**5,481**	**7,357**	**19,648**
本期純益	2,301	3,177	6,644	13,501	19,552
折舊及攤提	556	792	1,442	1,933	2,451
本期運用資金變動	(1,249)	(1,258)	(3,553)	(8,077)	(2,355)
其他營業資產及負債變動	488	(672)	949	-	(0)
投資活動之現金流量	**(1,343)**	**(4,075)**	**(5,727)**	**(5,322)**	**(7,315)**
投資用短期投資出售[新購]	-	(199)	42	-	-
本期長期投資變動	(18)	18	-	-	-
資本支出淨額	(1,229)	(3,881)	(4,633)	(4,869)	(6,858)
其他資產變動	(97)	(12)	(1,136)	(453)	(457)
自由現金流	**43**	**(1,363)**	**(751)**	**2,004**	**12,342**
融資活動之現金流量	**357**	**3,761**	**5,782**	**(4,508)**	**(9,161)**
短期借款變動	660	690			
長期借款變動	(178)	3,360	5,883	-	-
現金增資	-	-			
已支付普通股股息	-	-	-	(4,508)	(9,161)
其他融資現金流	(124)	(227)	(102)	-	-
匯率影響數	**4**	**12**	**13**	**(3)**	**(3)**
本期產生現金流量	**1,116**	**1,735**	**5,550**	**(2,476)**	**3,169**

投資回報率

	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
1 - 營業成本/營業收入					
- 銷管費用/營業收入	30.3%	27.3%	23.5%	17.9%	16.3%
= 營業利益率	**24.4%**	**28.2%**	**36.9%**	**44.5%**	**47.7%**
1 / (營業運用資金/營業收入	0.1	0.1	(0.2)	(0.0)	0.2
+ 淨固定資產/營業收入	0.4	0.6	0.6	0.4	0.4
+ 什項資產/營業收入)	0.1	0.1	0.1	0.0	0.0
= 資本周轉率	**1.5**	**1.3**	**2.0**	**2.1**	**1.5**
營業利益率	24.4%	28.2%	36.9%	44.5%	47.7%
x 資本周轉率	1.5	1.3	2.0	2.1	1.5
x (1 - 有效現金稅率)	82.5%	82.7%	79.8%	80.3%	80.3%
= 稅後 ROIC	**29.4%**	**30.4%**	**58.7%**	**76.6%**	**57.6%**

資料來源：公司資料，凱基預估

旺矽 – 以往評級及目標價



日期	評級	目標價	收盤價
2026-08-10	增加持股	10,000	6,225
2026-05-11	增加持股	8,000	4,985
2026-03-19	增加持股	4,800	3,665
2026-02-04	增加持股	3,500	2,750
2025-10-23	增加持股	2,430	1,825
2025-09-01	增加持股	1,600	1,390
2025-08-13	增加持股	1,440	1,220
2025-02-10	增加持股	1,005	821
2024-11-12	增加持股	915	762
2024-08-13	增加持股	730	591

資料來源：TEJ，凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888，傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888，傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888，傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188，傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

免責聲明

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Nvidia

(NVDA.O/ NVDA US)

增加持股・維持

收盤價 November 10 (US$)	168.89
3 個月目標價 (US$)	210.4
12 個月目標價 (US$)	345.0
前次目標價 (US$)	345.0
維持 (%)	-
上漲空間 (%)	104.3

焦點內容

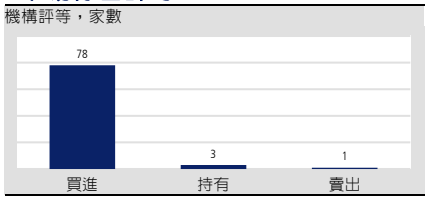
1. 超越財測是市場共識。
2. 記憶體價格維持高檔，晶片廠商轉嫁勢在必行。
3. 市場低估了輝達對於供應鏈的掌握。

交易資料表

市值：(US$bn)	4,070.2
流通在外股數 (百萬股)：	24,100
機構持有比例 (%)：	74.3
3M 平均成交量 (百萬股)：	127.3
52 週股價 (低 \ 高) (US$):	164.3-243.4

股價表現	3M	6M	12M
絕對表現 (%)	(22.3)	(23.0)	(12.6)
相對表現 (%)	(19.7)	(24.5)	(22.4)

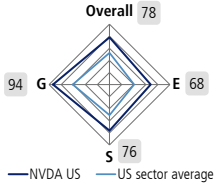
市場綜合評等



12M 機構目標價	最低	平均	最高
目標價 (美元)	180	320	515
潛在報酬 (%)	6.6	89.7	204.9

資料來源：Bloomberg

ESG 分數評等



資料來源：Refinitiv、凱基

請將您珍貴的一票投給凱基！

凱基投顧

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重要免責聲明，詳見最終頁

第三季財報預覽：優異的數字恐難激起投資人熱情

重要訊息

輝達預計在 11/17 (美國時間)公布第三季財報並召開法說會。

評論及分析

超越財測是市場共識。我們預期輝達 FY3Q27 營收可達 1,150 億美元，略高於公司財測上緣及市場預期的 1,090 億美元，毛利率受記憶體價格影響，微降至 74%。因設計更改等問題，Rubin 起量從第三季底開始，下游出貨集中在第四季。放寬 HBM4 的頻寬標準，將加速生產放量，而全年的營收較集中在第四季。我們預期公司第四季營收指引中位數為 1,250 億美元(+9% QoQ)，毛利率受記憶體價格影響下滑到 71%。

記憶體價格維持高檔，晶片廠商轉嫁勢在必行。我們預期輝達 2026/2027 年資料中心營收將分別達 3,845 億/6,722 億美元。由於 HBM 價格一年一調，明年初將一口氣反映落後的漲幅，我們預期 HBM4 明年的報價落在 4-5 美元/Gb，對比今年 HBM3e 約 1.7-2.2 美元/Gb。不考慮庫存狀況和折讓，過去記憶體廠商營收約占 AI 晶片廠商的 15-25%，目前提升至 50%，明年上看 70%，大幅壓縮晶片廠商的獲利空間。因此，我們預期記憶體升級降規以及晶片廠商調漲售價轉嫁記憶體報價上漲是勢在必行。我們預估輝達明年將調漲報價 15%。Vera 除了 VR 系列將新增獨立機櫃需求，目前以訂單來看，可望較今年成長 150-200%，2027 年貢獻高達 600 億美元的營收，但供應鏈能否跟上是一個關鍵。目前看法沒有改變。

市場低估了輝達對於供應鏈的掌握。展望 2027 年，AI ASIC 出貨將首度超過 GPU，但是 GPU 仍占產值約七成比重。也許基於成長趨緩、資料中心建置面臨電力和資本諸多限制以及 AI ASIC 蠶食市占率等憂慮，即使連續 15 季財報數字皆超過市場預估和公司財測，公司的評價始終處於歷史低位。對於評價來說，是否要視輝達為週期股見仁見智，但是我們認為市場遠遠低估了輝達對於供應鏈的掌握。充沛的現金流更是強勁的護城河，輝達利用融資、投資和預付款等各種形式扶植供應鏈的擴產，AI ASIC 就算未來在產值也超越了 GPU，但是未必能夠有足夠的產能支持。

投資建議

維持輝達目標價 345 美元，基於 2027 年(2028 財年) 22 倍的本益比，於歷史均值，目標本益比已反映了營收成長減速。

投資風險

AI 需求反轉，晶片競爭加劇。公司管理層變動則為系統性風險。

主要財務數據及估值

	Jan-24A	Jan-25A	Jan-26A	Jan-27F	Jan-28F	Jan-29F
營業收入 (US$百萬)	60,922	130,497	215,938	412,680	701,624	919,562
營業毛利 (US$百萬)	44,959	98,505	153,994	304,710	506,546	662,085
營業利益 (US$百萬)	37,134	86,789	137,300	268,664	453,173	591,356
EBITDA (US$百萬)	38,642	88,653	140,143	273,616	460,891	600,552
稅後淨利 (US$百萬)	32,312	74,265	116,997	226,783	381,673	497,747
每股盈餘 (US$)	1.30	2.99	4.77	9.33	15.72	20.50
營業收入成長率 (%)	125.9	114.2	65.5	91.1	70.0	31.1
每股盈餘成長率 (%)	288.0	130.7	59.5	95.6	68.4	30.4
毛利率 (%)	73.8	75.5	71.3	73.8	72.2	72.0
營業利益率 (%)	61.0	66.5	63.6	65.1	64.6	64.3
EBITDA margin (%)	63.4	67.9	64.9	66.3	65.7	65.3
淨負債比率 (%)	5.3	1.8	N/A	N/A	N/A	N/A
股東權益報酬率 (%)	75.2	93.6	74.4	95.3	74.4	56.9

資料來源：公司資料；凱基預估

圖 1：FY3Q-4Q27 財測修正與市場共識比較

	FY3Q27E							FY4Q27E						
百萬元	修正後	修正前	調幅(%)	QoQ (%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅(%)	QoQ (%)	YoY (%)	市場共識	差異(%)
營收	110,117	105,041	4.8	14.4	93.2	109,043	1.0	124,727	114,902	8.6	13.3	83.1	124,197	0.4
毛利	81,486	78,781	3.4	12.9	94.2	80,749	0.9	89,803	86,177	4.2	10.2	75.4	89,416	0.4
營業利益	72,347	69,327	4.4	13.1	91.6	71,883	0.6	78,578	75,835	3.6	8.6	70.4	78,037	0.7
稅後淨利	61,023	58,619	4.1	13.1	92.1	60,245	1.3	66,257	64,086	3.4	8.6	67.5	66,544	(0.4)
每股盈餘 (元)	2.51	2.40	4.7	13.1	93.7	2.48	1.5	2.73	2.63	3.7	8.6	68.5	2.74	(0.5)
毛利率 (%)	74.0	75.0	(1.0)ppts	(1.0)ppts	0.4 ppts	74.1	(0.1)ppts	72.0	75.0	(3.0)ppts	(2.0)ppts	(3.2)ppts	72.0	0.0 ppts
營利率 (%)	65.7	66.0	(0.3)ppts	(0.8)ppts	(0.5)ppts	65.9	(0.2)ppts	63.0	66.0	(3.0)ppts	(2.7)ppts	(4.7)ppts	62.8	0.2 ppts
淨利率 (%)	55.4	55.8	(0.4)ppts	(0.7)ppts	(0.3)ppts	55.2	0.2 ppts	53.1	55.8	(2.7)ppts	(2.3)ppts	(4.9)ppts	53.6	(0.5)ppts

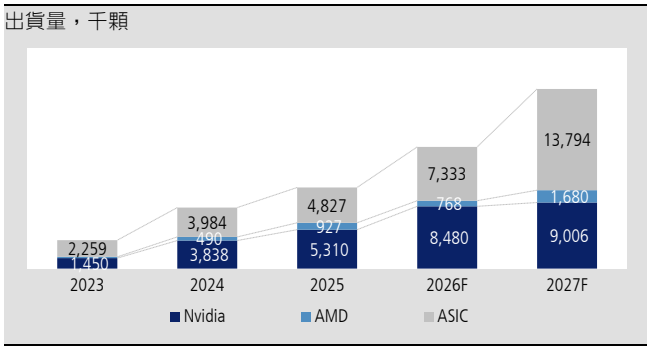
資料來源：Bloomberg；凱基預估

圖 2：FY2027-28 年財測修正 vs.市場共識

	FY2027F						FY2028F					
百萬元	修正後	修正前	調幅(%)	YoY (%)	市場共識	差異(%)	修正後	修正前	調幅(%)	YoY (%)	市場共識	差異(%)
營收	412,680	394,593	4.6	91.1	411,058	0.4	701,624	544,309	28.9	70.0	702,662	(0.1)
毛利	304,710	295,966	3.0	97.9	303,525	0.4	506,546	392,248	29.1	66.2	510,744	(0.8)
營業利益	268,664	260,442	3.2	95.7	268,691	(0.0)	453,173	350,610	29.3	68.7	458,305	(1.1)
稅後淨利	226,783	220,293	2.9	93.8	229,349	(1.1)	381,673	296,048	28.9	68.3	382,728	(0.3)
每股盈餘 (元)	9.33	9.03	3.3	95.6	9.38	(0.5)	15.72	12.14	29.5	68.4	15.89	(1.1)
毛利率 (%)	73.8	75.0	(1.2)ppts	2.5 ppts	73.8	(0.0)ppts	72.2	72.1	0.1 ppts	(1.6)ppts	72.7	(0.5)ppts
營利率 (%)	65.1	66.0	(0.9)ppts	1.5 ppts	65.4	(0.3)ppts	64.6	64.4	0.2 ppts	(0.5)ppts	65.2	(0.6)ppts
淨利率 (%)	55.0	55.8	(0.9)ppts	0.8 ppts	55.8	(0.8)ppts	54.4	54.4	0.0 ppts	(0.6)ppts	54.5	(0.1)ppts

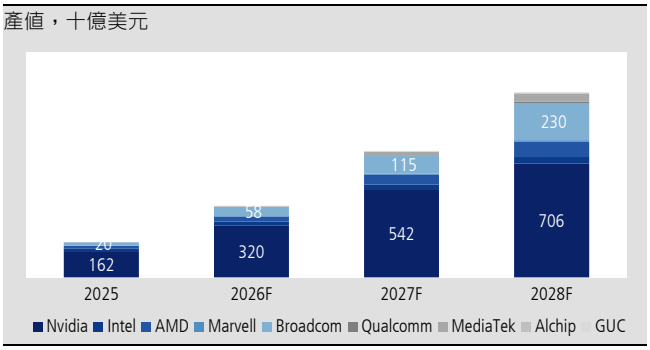
資料來源：Bloomberg；凱基預估

圖 3：ASIC 數量追上 GPU，但產值仍落後



資料來源：凱基預估

圖 4：加速器晶片產值(扣除網通)



資料來源：公司資料；Bloomberg；凱基預估

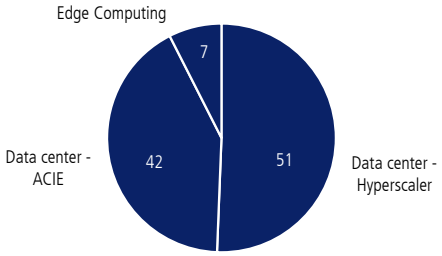
圖 5：公司概況

1993 年成立的 Nvidia 是全球 IC 設計大廠，負責設計並銷售積體電路 (IC) 產品 (如 CPU、GPU 與 DPU)，主要供 PC、伺服器與汽車產業應用。公司在分離式桌機 GPU 市場居領先地位，2020 年市佔率接近 80%。受惠於人工智能浪潮，Nvidia 擴大其加速運算領域優勢，在訓練用 GPU 具有壓倒性的地位，期望透過人工智慧 (AI) 與高效能運算 (HPC) 推動長期獲利成長。

資料來源：公司資料；凱基

圖 6：FY2Q27 事業別營收組成

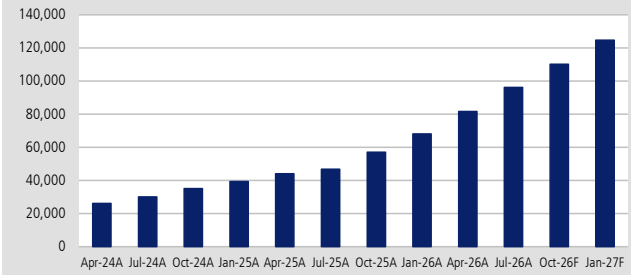
營收占比，百分比



資料來源：公司資料；凱基

圖 7：季營收

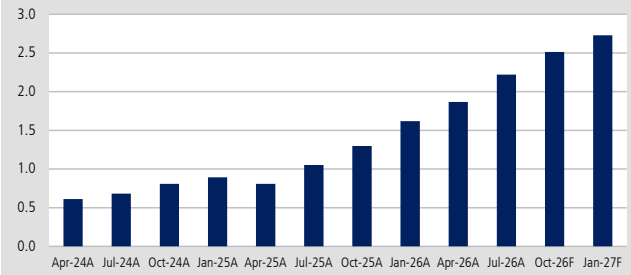
營收，百萬美元



資料來源：公司資料；凱基

圖 8：Non-GAAP EPS

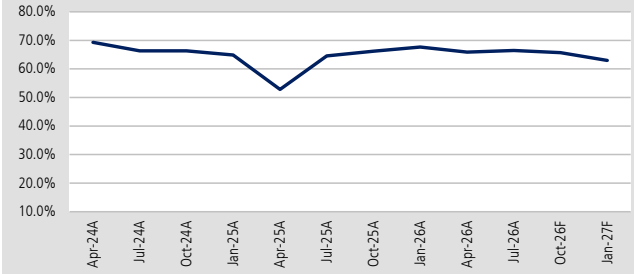
Non-GAAP EPS，美元



資料來源：公司資料；凱基

圖 9：毛利率

毛利率，百分比



資料來源：公司資料；凱基

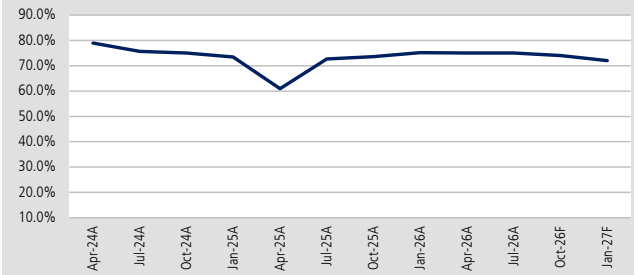
圖 10：未來 12 個月預估本益比

股價，美元(左軸)；本益比，倍(右軸)

資料來源：Bloomberg；凱基

圖 11：營業利潤率

營業利潤率，百分比



資料來源：公司資料；凱基

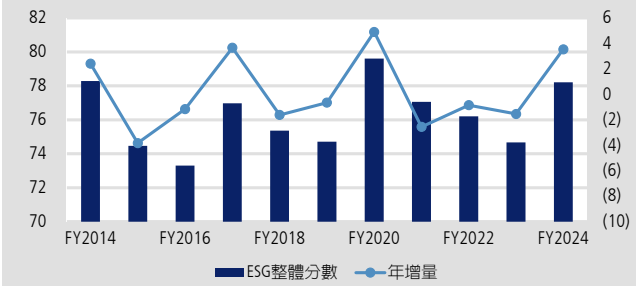
圖 12：未來 12 個月預估股價淨值比

股價，美元(左軸)；股價淨值比，倍(右軸)

資料來源：Bloomberg；凱基

圖 13：Nvidia - ESG 整體分數

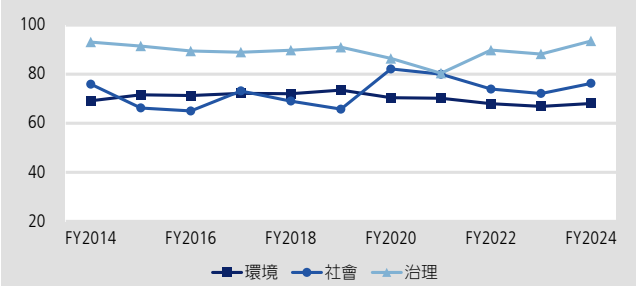
ESG 整體分數 (左軸)；年變化，百分點 (右軸)



資料來源：Refinitiv、公司資料

圖 14：Nvidia - ESG 各項分數

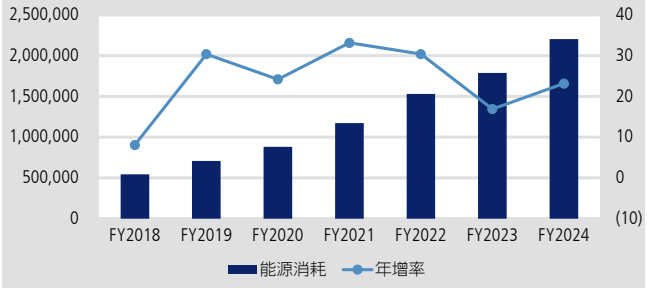
ESG 各項分數



資料來源：Refinitiv、公司資料

圖 15：Nvidia -能源消耗

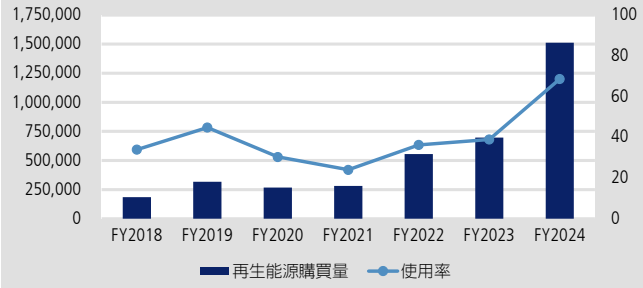
能源消耗，十億焦耳 (左軸)；年增率，百分比 (右軸)



資料來源：Refinitiv、公司資料

圖 16：Nvidia -再生能源使用

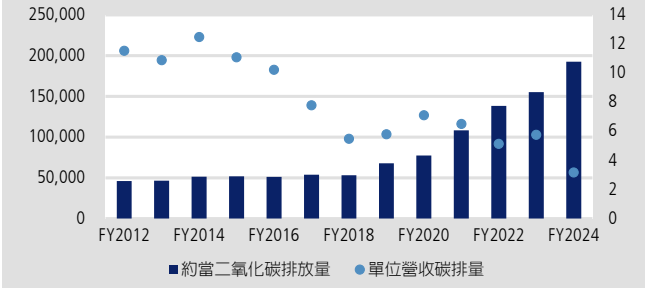
再生能源使用，十億焦耳 (左軸)；年增率，百分比 (右軸)



資料來源：Refinitiv、公司資料

圖 17：Nvidia -碳排量

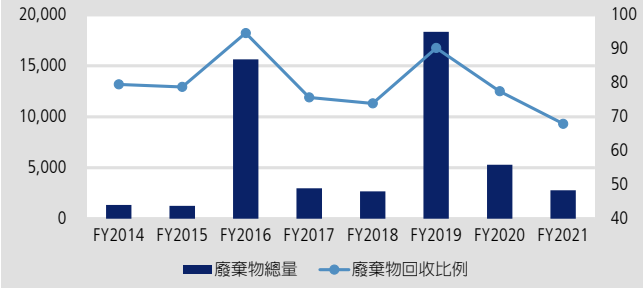
約當二氧化碳排放量，噸 (左軸)；單位營收排碳量，噸/百萬美元 (右軸)



資料來源：Refinitiv、公司資料

圖 18：Nvidia -廢棄物總量

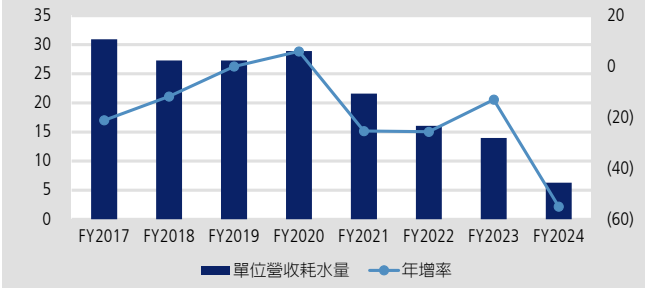
廢棄物總量，噸 (左軸)；廢棄物回收比例，百分比 (右軸)



資料來源：Refinitiv、公司資料

圖 19：Nvidia -耗水量

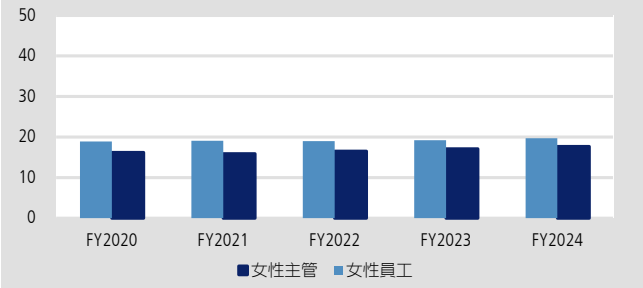
單位營收耗水量，立方公尺/百萬美元 (左軸)；年增率，百分比 (右軸)



資料來源：Refinitiv、公司資料

圖 20：Nvidia -性別多樣性

女性主管與員工比例，百分比



資料來源：Refinitiv、公司資料

項目	定義
能源使用	直接與間接能源消耗總量(十億焦耳) - 公司運營範圍內消耗之能源總量 - 能源使用總量 = 直接能源消耗總量 + 間接能源消耗量 - 總能源使用量包括購買的能源、生產的能源 - 就公用事業而言，輸電/電網損耗為其業務活動之一部分，被視為總能源消耗，數據不包括為滿足能源使用而生產的電力（公用事業為出售而生產） - 就公用事業而言，用於能源生產的煤、天然氣或核能等原料不屬於「總能源使用」項下
購買之再生能源	Primary 再生能源購買總量(十億焦耳) - 公司各種來源之能源消耗量與購買的能源中屬於自然界可再生者（太陽能、風能、水能、生物質能、地熱能）之量 - 如無證據顯示再生能源由公司生產，則所報告的能源數據視為購買的再生能源
再生能源使用率	再生能源占總能源消耗量之比例
CO2 約當排放量	直接 CO2 與 CO2 約當排放量(公噸) - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3)
CO2 約當排放量營收比	直接 CO2 與 CO2 約當排放量（公噸）銷售（百萬元）比 - 公司擁有或控制的來源的直接排放量（範圍 1 排放量） - 相關氣體：二氧化碳 (CO2)、甲烷 (CH4)、一氧化二氮 (N2O)、氫氟碳化物 (HFCS)、全氟化合物 (PFCS)、六氟化硫 (SF6)、三氟化氮 (NF3)
廢棄物總量	廢棄物總量(公噸) - 總廢棄物 = 無害廢棄物 + 有害廢棄物 - 僅考慮固體廢棄物，但如液體廢棄物以公噸為單位呈報，則會將其加入求得包含液體廢棄物之總量 - 對於採礦、石油與天然氣等行業，tailings、廢石、煤、飛灰等廢棄物亦考慮在內
廢棄物回收率	公司呈報的廢棄物回收率 - 廢棄物回收率 = 廢棄物回收量/總廢棄物*100 - 廢棄物轉化為能源或經由廢棄物焚燒產生能源視為廢棄物回收 - 經由堆肥回收的廢棄物視為回收之廢棄物
總取水量	總取水量(立方公尺) - 由呈報組織直接或經水公司等中介機構從任何水源抽取的總水量 - 水井、城鎮/公用事業/市政用水、河水、地表水等不同之水源均予以考慮
環保支出	環保支出總金額 - 所有用於環境保護，或防止、減少、控制環境因素、影響、危害的投資與支出，亦包括處置、處理、衛生、清理支出
員工流動率	員工流動率 - 包括任何原因（自願或非自願）離開公司的員工，如辭職、退休、自然離職/死亡、醫療失能、冗員、裁員、重組、解僱、裁減或定期合約到期 - 員工流動率 =（離開之員工/平均員工人數）*100 - 平均員工人數 =（本年末員工人數 + 去年末員工人數）/2 - 本財年末員工數 =上個財年末員工數 + 新員工數 - 離開之員工數
女性經理	女性經理百分比 - 女性經理占公司經理的百分比 - 如有不同階層之百分比，如最高階、高階、中階、初階，則會考慮中階女性經理之百分比 - 女性經理百分比 = 女性經理人數/經理總數*100
女性員工	女性員工百分比 - 女性員工占公司員工總數的百分比 - 女性員工百分比 = 女性人數/員工總數*100
教育訓練總時數	所有員工教育訓練總時數 - 僅考慮員工教育訓練時數 - 包括一般員工所有類型的教育訓練（如健康與安全、環境、急難事件救援、技能與職業發展） - 如果數據以天為單位，則乘以 8，係假設 1 天 = 8 小時工作
每位員工教育訓練時數	平均每年每位員工總教育訓練時數
股東治理分數	衡量公司用以反收購工具的有效性
公司治理分數	衡量公司對最佳治理原則的承諾和有效性
產品責任分數	衡量公司生產優質產品和服務的能力，且產品是否將客戶的健康、安全、整合性和數據隱私進行綜合考量
社區關係分數	衡量公司對成為優良公民、保護公衆健康和尊重商業道德的承諾
勞動力分數	衡量公司在員工工作滿意度、健康、工作場所的安全、多樣性、平等以及員工發展機會方面的成效
資源使用指標	衡量公司在原物料、能源或水的使用效率，以及是否通過改進供應鏈來尋求更俱生態效率的解決方案

Nvidia – 以往評級及目標價

日期	評級	目標價	收盤價
2025-11-20	增加持股	296.0	186.1
2026-02-23	增加持股	296.0	189.4
2026-02-26	增加持股	325.0	195.1
2026-03-17	增加持股	325.0	182.8
2026-05-18	增加持股	340.0	224.8
2026-05-21	增加持股	365.0	223.0
2026-08-19	增加持股	335.0	219.5
2026-08-27	增加持股	345.0	209.4

資料來源：彭博；凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888 • 傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888 • 傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888 • 傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188 · 傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有 (N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股 (U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等 (NR)	凱基證券集團未對該個股加以評等。
受法規限制未評等 (R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

免責聲明

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On Holding

(ONON.O/ONON US)

增加持股・維持

收盤價 Nov 10 (US$)	34.7
3 個月目標價 (US$)	38.9
12 個月目標價 (US$)	51.5
前次目標價 (US$)	49.6
調升 (%)	1.0
上漲空間 (%)	48.4

焦點內容

1. 歐美需求暢旺為 3Q26 財報亮點。
2. 創新產品反饋極佳，預計將推動 4Q26 營收加速成長。
3. 年輕客群、新運動項目及新市場為未來策略發展重點方向。

交易資料表

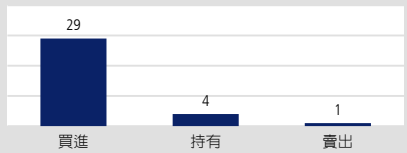
市值 (US$bn) :	11.6
流通在外股數 (百萬股) :	302
機構持有比例 (%) :	80.3
3M 平均成交量 (百萬股) :	11.2
52 週股價 (低 \ 高) (US$):	30.1-52.2

股價表現	3M	6M	12M
絕對表現 (%)	12.3	1.9	(1.4)
相對表現 (%)	14.9	0.5	(11.2)

股價圖

市場綜合評等

機構評等，家數



12M 機構目標價	最低	平均	最高
目標價 (美元)	20	45	65
潛在報酬 (%)	(42.4)	28.5	87.3

資料來源：Bloomberg

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重要免責聲明，詳見最終頁

掌握年輕世代，贏得未來消費金鑰

重要訊息

On Holding 3Q26 營收及毛利率創單季新高，歐美需求升溫為最大亮點。隨著創新產品推出反饋極佳，管理層預計 4Q26 營收將加速成長。

評論及分析

絲毫不畏產業逆境。3Q26 營收年增 17%、季增 10%至 9.3 億瑞郎，再創單季新高，主因全新產品返校季需求暢旺。北美及歐非中東銷售分別加速至年增 12%、18%，反映面對業內最高平均售價與最低折扣率，零售合作夥伴還提供更大的貨架空間；亞太平洋年增甚至達 31%，日韓補貨量遠超預期。若排除美國退稅挹注，全價銷售推升仍毛利率至 66.9%之歷史最高水準，年增 1.2、季增 1.5 個百分點；但更多對創新、技術和高端零售門市投資導致不計入退稅之營利率年減 0.4 個百分點至 15.3%，低於市場共識之 18.0%。稅後淨利 1.6 億瑞郎，折合每股盈餘 0.49 瑞郎。

創新產品加速營收成長。儘管生活風格運動鞋類整體市場經歷下滑，公司產品需求逆勢上揚並擴大市佔率。Cloudtilt Arc 在 9 月發布後頭幾天即完成三大區域銷售目標，亞太銷量超出預期四倍，並迅速成為歐洲 Z 世代消費者的必備單品。明年 1 月即將全面上市的 Cloudsurfer 3，10 月在部分跑步專賣店優先發售，首週銷售量是 Cloudsurfer 2 的四倍以上，吸引大型零售商加大春季訂單。管理層預計 4Q26 營收將連續兩季加速成長。

全價銷售威力。公司擴大對 DTC 業務投入，重點耕耘客單價高、回購率高、購買量也更大的年輕客群，反饋熱烈。加上產品組合多元展開 (2027 年將新增高爾夫與足球運動項目，長期加速服裝業務)，以及亞太滲透率仍低，我們預期 On 品牌未來三年將保有全球機能性跑鞋之龍頭地位，實現營收年複合成長 16%與利潤率走升，並驅動長期評價向上。

投資建議

憑藉新產品、新客群及新市場開發，On 品牌優於全球同業的營運成長動能有望使其享有評價溢價。我們維持「增加持股」評等，目標價上修至 51.5 美元，係根據 2026-27 年平均每股盈餘預估之 40 倍推算得出。

投資風險

下檔風險為消費不如預期及品牌人氣下滑。

主要財務數據及估值

	Dec-23A	Dec-24A	Dec-25A	Dec-26F	Dec-27F	Dec-28F
營業收入 (CHF$百萬)	1,792	2,318	3,014	3,503	4,117	4,728
營業毛利 (CHF$百萬)	1,067	1,406	1,894	2,339	2,697	3,105
營業利益 (CHF$百萬)	180	212	377	564	619	726
EBITDA (CHF$百萬)	273	374	504	714	769	876
稅後淨利 (CHF$百萬)	80	242	204	493	553	628
每股盈餘 (CHF$)	0.28	0.75	0.62	1.48	1.66	1.89
營業收入成長率 (%)	46.6	29.4	30.0	16.2	17.5	14.8
每股盈餘成長率 (%)	36.9	167.9	(17.3)	138.7	12.1	13.6
毛利率 (%)	59.6	60.6	62.8	66.8	65.5	65.7
營業利益率 (%)	10.1	9.1	12.5	16.1	15.0	15.4
EBITDA margin (%)	15.2	16.1	16.7	20.4	18.7	18.5
淨負債比率 (%)	淨現金	淨現金	淨現金	淨現金	淨現金	淨現金
股東權益報酬率 (%)	7.8	19.6	13.5	26.0	22.7	20.8

資料來源：公司資料；凱基

On Holding 11 月 11 日法說會重點摘要

- 3Q26 稅後淨利 1.6 億瑞郎，折合每股盈餘 0.49 瑞郎，優於市場預期 35%，主要來自美國退稅貢獻。營收年增 17%、季增 10%至 9.3 億瑞郎，再創單季新高，主因全新產品在返校季需求尤為強勁。若排除美國退稅之一次性利益，平均售價提升仍帶動毛利率年增 1.2、季增 1.5 個百分點至 66.9%，亦為歷史最高水準；但擴大對創新、技術和高端零售門市投資推升費用率，導致不計入退稅之營利率年減 0.4 個百分點至 15.3%，低於市場共識之 18.0%。

- 市場別營收：北美（佔總營收 53%）及歐非中東（27%）分別加速至年增 12%、18%，反映面對業內最高的平均售價與最低的折扣率，零售合作夥伴還提供更大的貨架空間。亞太平洋（20%）年增 31%；其中，日本補貨量遠超預期，韓國單店業績亦超前 30%以上。

- 產品別營收：鞋類（佔總營收 91%）、服裝（7%）及配件（2%）分別年增 15%、39%、39%，需求穩健。

- 通路別營收：批發業務（佔總營收 58%）年增 12%，再度加速，反映美洲數個合作夥伴拉貨從 10 月提前至 9 月。直接面對消費者（DTC，42%）年增達 25%，但實際上管理層期待值更高。本季促銷環境導致線上客流量略有下滑，但公司在所有市場皆嚴格控制價格，並將部分新店開幕推遲至 4Q26。

- 3Q26 庫存週轉天數年增 15%、季增 5%至 141 天，連續兩季正成長，但仍低於過去五年平均之 155 天；其中，庫存數量成長已較過去幾季 20-25%放緩至 16%。

- 管理層維持 2026 年營收年增至少 20%之展望（匯率中性），換算報告營收為年增 15-18%。考量美國關稅退款貢獻，毛利率指引上調至 67.5%；排除關稅退款則為 66.0% (前次為 65.0%)，得益於全價銷售與 DTC 佔比增加，以及營運槓桿效益。

- 短期而言，預計 4Q26 營收將加速成長，動能來自 DTC 表現強勁。在美國，公司產品售罄率超越進貨量，產業逆風並未造成影響。

- 明年 1 月將全面上市的 Cloudsurfer 3，10 月在部分跑步專賣店優先發售，首週銷售量是 Cloudsurfer 2 的四倍以上，吸引大型零售商加大春季訂單。Cloudsurfer 3 為首款採用 SURREAL 超臨界泡棉的跑鞋，公司計畫 2027 年底前將該材質應用至幾乎所有高性能跑鞋系列。

- 儘管生活風格運動鞋類整體市場正經歷下滑，公司產品需求逆勢成長並擴大市佔率。Cloudtilt 毫無疑問為爆款，在歐洲銷售第一，在美國和亞洲也名列前三名。Cloudtilt Arc 在 9 月發布後頭幾天即完成三大區域銷售目標，亞太銷量超出預期四倍，並迅速成為歐洲 Z 世代消費者的必備單品。隨著其他鞋款 3Q26 也開始受到消費者的青睞，明年計畫推出 Cloudswift 5－首款從街頭潮流中汲取靈感設計的運動鞋。

- 2027 年將推出全新運動項目－高爾夫及足球；大部分技術基礎架構前期投資將在 2H26 到位，銷售與營運槓桿效益則將自 2027 年開始逐步顯現。
- 公司加大對 DTC 業務投入，重點在於年輕客戶、提升鞋服混合消費的客單價，並透過實體零售店增強品牌影響力。在年輕客群方面，公司 24 歲以下的線上客戶數量年增近乎一倍，男女佔比相當均衡，這些人客單價高、回購率高，購買量也更大。
- 管理層表示，新一代零售店的服裝佔比較現有門市高出至少 50%，且銷售效率在整個銷售網絡中皆超過鞋類，支持未來三年服裝銷售成長三倍之策略目標。
- 在合作零售夥伴方面，公司在 Dick'S Sporting Goods (美) 門市市佔率已達 60%，Foot Locker (美) 和 JD Sports (英) 亦皆有 50%；2029 年目標上看 75%。
- 預計未來數季亞太平洋銷售成長趨於 25-30%。在中國，品牌仍專注一二線城市，潛在發展空間巨大。管理層表示，公司不願像中國同業這樣，例如在雙十一促銷高峰期過度投入來換取更高成長，而是希望用心經營全價銷售。
- 「高端策略」讓公司在實現獲利創高的同時，還能在未來三年對相關技術進行大量投資。與足球項目啓動相關的部分生產成本、一系列的基層活動和合作項目，預計 4Q26 將計入。
- LightSpray 需求量自足球鞋計畫展開後大幅提升，並帶動 LightSpray 現有鞋款銷量，尤其 LightSpray Cloudmonster Hyper。考量目前瑞士和韓國產能仍遠低於需求，越南及葡萄牙新廠預計 2027 年中前投入營運；前者全面建成後有望推升產能翻倍以上，後者則將供應大部分足球鞋。

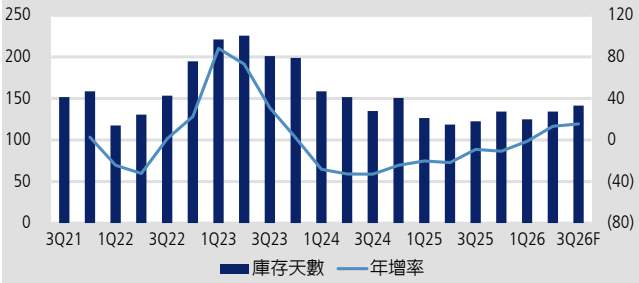
圖 1：On 3Q26 財報、4Q26-2026 年公司財測暨市場共識比較

	3Q26					4Q26F			2026F			
百萬瑞郎	實際數	QoQ (%)	YoY (%)	市場共識	差異 (%)	市場共識	QoQ (%)	YoY (%)	公司財測（新）	公司財測（舊）	市場共識	YoY (%)
營收	931	9.5	17.2	931	0.0	904	(3.0)	21.5	15-18% YoY	15-18% YoY	3,515	16.6
毛利	676	21.6	29.5	619	9.2	589	(12.8)	24.0			2,296	21.3
營業利益	195	63.3	56.4	168	16.3	121	(37.9)	46.8			547	45.1
稅前獲利	212	68.4	78.5	146	45.3	106	(50.0)	51.3			490	138.8
稅後淨利	163	55.0	36.9	121	34.6	88	(46.2)	27.0			415	103.8
每股盈餘 (瑞郎)	0.49	55.0	36.9	0.36	34.6	0.26	(46.2)	27.0			1.25	103.8
毛利率 (%)	72.6	7.2 ppts	6.8 ppts	66.5	6.1 ppts	65.2	(7.4)ppts	1.3 ppts	67.5	>65.0	65.3	2.5 ppts
營利率 (%)	20.9	6.9 ppts	5.2 ppts	18.0	2.9 ppts	13.4	(7.5)ppts	2.3 ppts	EBITDA: 21.0-21.5	EBITDA: 19.5-20.0	15.6	3.1 ppts
淨利率 (%)	17.5	5.1 ppts	2.5 ppts	13.0	4.5 ppts	9.7	(7.8)ppts	0.4 ppts			11.8	5.1 ppts

資料來源：公司資料；Bloomberg；凱基

圖 2：庫存走升、但仍位處低檔

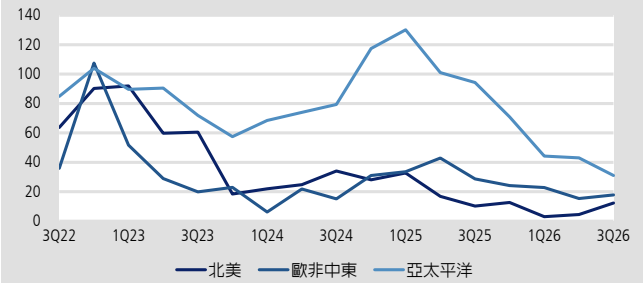
庫存天數，天（左軸）；年增率，百分比（右軸）



資料來源：公司資料；Bloomberg；凱基

圖 3：歐美銷售成長加速，對比亞太平洋因高基期而放緩

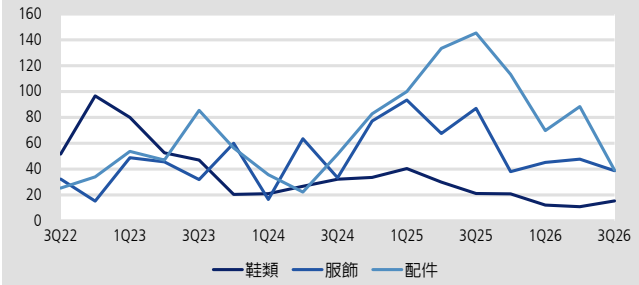
地區別營收成長率，百分比



資料來源：公司資料；Bloomberg；凱基

圖 4：鞋類及服飾需求穩健

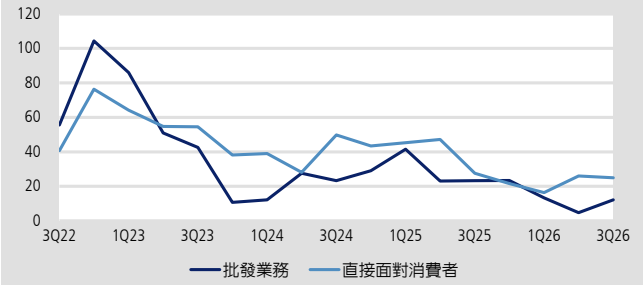
產品區別營收成長率，百分比



資料來源：公司資料；Bloomberg；凱基

圖 5：各通路表現良好

通路別營收成長率，百分比



資料來源：公司資料；Bloomberg；凱基

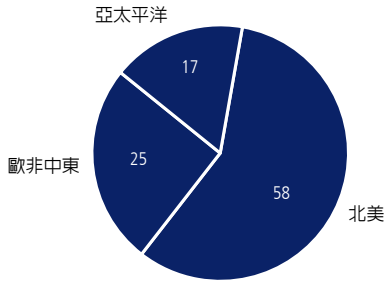
圖 6: 公司概況

成立於 2010 年，On 為曾拿下世界級鐵人三項冠軍的 Olivier Bernhard 夥同兩位跑友所創辦的瑞士運動鞋品牌；2022 年經網球明星 Roger Federer 投資與代言後聲名大噪。On 運動鞋標榜猶如在雲端跑步的舒適感；其在瑞典市佔率高達四成，但全球市佔率僅 2%。公司計畫未來將跨足服裝業務。美洲為 2025 年營收主要來源地區，佔比達 58%，其次分別為歐非中東 25%、亞太平洋 17%。

資料來源：公司資料；凱基

圖 7: 北美及歐非中東貢獻營收大宗

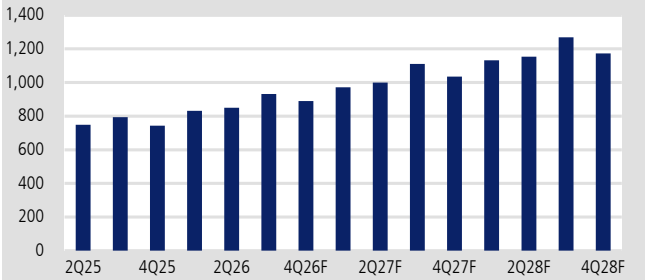
2025 年地區別營收佔比，百分比



資料來源：公司資料；凱基

圖 8: 季營收

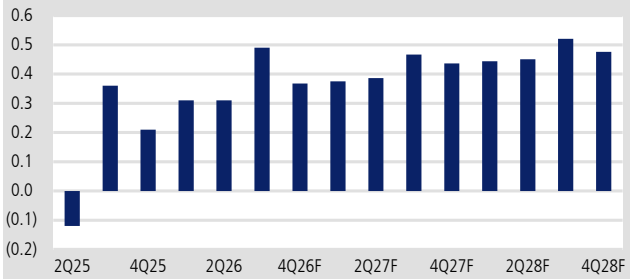
季營業收入，百萬瑞郎



資料來源：公司資料；凱基

圖 9: 每股盈餘

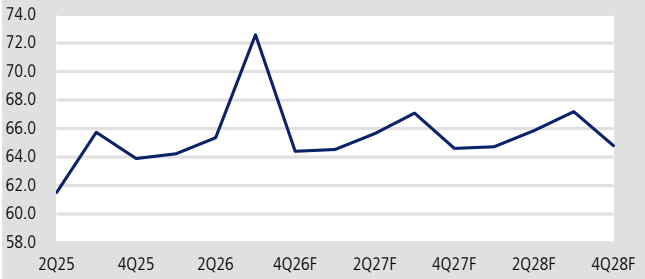
每股盈餘，瑞郎



資料來源：公司資料；凱基

圖 10: 毛利率

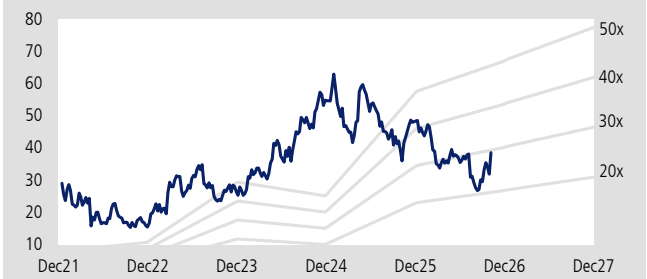
毛利率，百分比



資料來源：公司資料；凱基

圖 11: 未來一年本益比區間

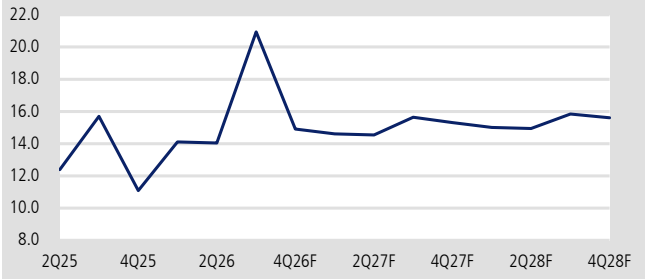
股價，元（左軸）；本益比，倍（右軸）



資料來源：彭博；凱基

圖 12: 營業利潤率

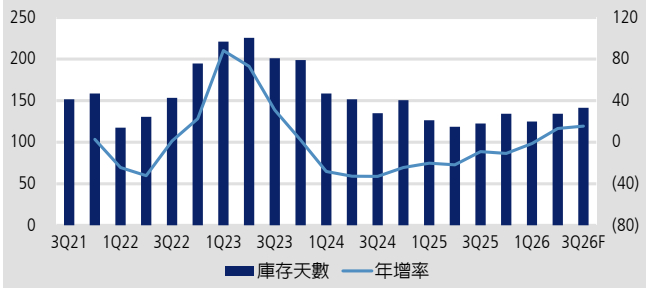
營業利潤率，百分比



資料來源：公司資料；凱基

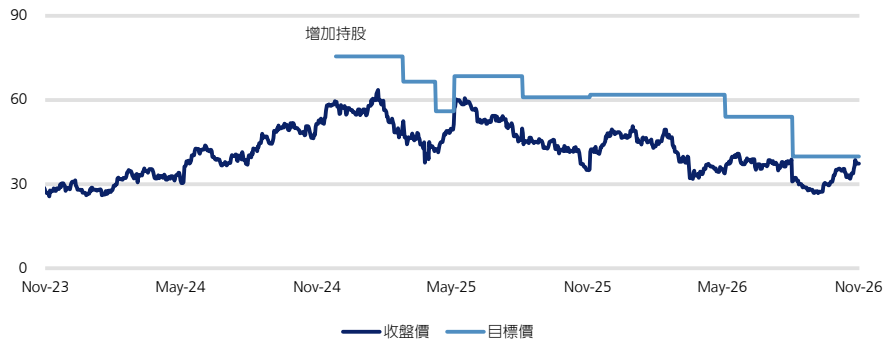
圖 13: 庫存週轉天數

庫存天數，天（左軸）；年增率，百分比（右軸）



資料來源：彭博；凱基

On Holding – 以往評級及目標價



日期	評級	目標價	收盤價
2024-12-04	增加持股	75.5	60
2025-03-05	增加持股	66.5	51
2025-04-18	增加持股	56.0	43
2025-05-13	增加持股	68.5	51
2025-08-13	增加持股	61.0	50
2025-11-12	增加持股	61.9	35
2026-03-04	增加持股	61.9	44
2026-05-13	增加持股	54.0	34
2026-08-12	增加持股	39.9	31
2026-09-09	增加持股	39.9	27
2026-11-10	增加持股	49.6	37

資料來源：彭博；凱基

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888·傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888·傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888·傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188·傳真 65.6534.4826
印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股（OP）	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有（N）	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
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未評等（NR）	凱基證券未對該個股加以評等。
受法規限制未評等（R）	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬 = (十二個月目標價-現價)/現價

免責聲明

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線上法說會重點摘要

大銀微系統

(4576 TT, NT$194.5, 未評等)

焦點內容

1. 3Q26 營收季增 19%、年增 77%至 12.18 億元，其中定位平台營收年增 101%，佔整體營收 58%。受惠高毛利平台出貨佔比提高及規模經濟，毛利率季增 5.3、年增 8.7 個百分點至 42.4%。
2. CPO 相關訂單已排至 2027 年年中。矽光子檢測平台 2026 年 4 月開始供貨，8 月取得量產續單，目前已貢獻營收。公司預期 2027 年高階定位平台需求延續。
3. 高階定位平台具較高附加價值，有助推升毛利率，第二階段擴產預計自 2027 年 4 月貢獻營收。元件業務則透過產線自動化提高產出，帶動營收成長，中長期目標為將元件營收佔比由約 40% 提升至 45-50%。

結論

CPO 訂單與新產能開出可望延續 2027 年高階定位平台的出貨動能，提升整體毛利率。元件業務透過產線自動化增加產出，將增添營收成長動能。

營運展望

- 依目前接單及出貨組合，公司預期 4Q26 毛利率約 40%。2027 年隨新產能開出及新應用導入，毛利率目標亦為 40%，實際表現視出貨組合而定。
- 2027 年資本支出初估 1.2-1.5 億元，主要用於高階定位平台擴產、元件產線自動化、精密加工設備及生產系統更新。
- 微米級及奈米級定位平台第一階段擴產已完成。第二階段預計於 2027 年 2 月底至 3 月中完成，約一個月後開始產出，預計 4 月反映在營收。
- 第三階段擴產已開始規劃，動工時程將視客戶新專案及訂單意向而定。
- 高階定位平台訂單能見度約 5-6 個月，交期約 3 個月。元件訂單能見度約 3 個月，交期約 2-2.5 個月。
- 工程師不足限制高階定位平台放量。公司持續招募工程師，並規劃隨元件產線自動化，將調派部分人力支援高階平台。
- 公司加強與物料供應商合作，並增加磁鐵等備料。管理層表示，物料供應狀況正逐步改善。
- 高階定位平台具較高附加價值，有助支撐整體毛利率。元件業務則將持續推動產線半自動化及自動化，以提高產出、帶動營收成長。公司中長期目標為將元件營收佔比由約 40%提升至 45-50%。

請將您珍貴的一票投給凱基！

凱基投顧

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重要免責聲明，詳見最終頁

- 公司將以 1-Nano Controller、Tip-Tilt 高精度五軸馬達及 MD-ZT 多維度定位方案，因應晶圓及大面積面板翹曲，目標提高平台 ASP 與高階應用營收佔比。
- 精密力量控制技術正依計畫開發，規劃由非接觸式量測與檢測延伸至精密鑽孔、塔式分選及混合鍵合（Hybrid Bonding）等接觸式製程。
- 2027 年 1-Nano Controller 維持搭配高階定位平台銷售。研發重點包括控制演算法、增益頻寬、位置／速度／電流三環控制，以及參數調校與驗證。
- 元件端將持續擴充驅動器與控制器的應用程式庫，以降低客戶導入難度，帶動驅控元件及馬達銷售。
- CPO 相關訂單已排至 2027 年年中。矽光子檢測平台 2026 年 4 月開始供貨，8 月取得量產續單，目前已貢獻營收。現階段供應 CPO 製程 Insertion 3，主要用於光學引擎及系統級測試。

財報及營運更新

- 3Q26 營收季增 19%、年增 77%至 12.18 億元，主要由定位平台帶動。定位平台營收季增 32%、年增 101%至 7.06 億元，佔整體營收 58%。元件營收季增 3%、年增 49%至 4.94 億元，佔比 41%。
- 3Q26 毛利率季增 5.3、年增 8.7 個百分點至 42.4%，主因高毛利定位平台出貨佔比提高及規模經濟效益。
- 3Q26 營業費用率降至 18.1%，帶動營業利益率季增 6.3、年增 13.9 個百分點至 24.3%。
- 3Q26 EPS 季增 123%、年增 257%至 2.14 元。業外由淨支出轉為淨收益，主因匯兌轉盈。
- 3Q26 美洲、台灣、其他亞洲地區營收分別季增 21%、51%及 15%，年增 127%、101%及 89%。歐洲營收季增 5%、年減 12%。
- 美國期中選舉後，公司向美國、台灣及其他亞洲客戶確認，截至今日，現有及新增專案、需求預測、出貨台數及交期均未見變動。
- 半導體及 CPO 相關平台毛利率最高，精密量測與檢測次之，PCB、電子製造及自動化用平台較低。管理層表示，定位精度越高、整定時間越短，平台毛利率越高。
- 高階定位平台兼顧移動速度與定位穩定度，有助前段晶圓檢測設備在高速移動時維持成像品質。
- 1-Nano Controller 的伺服穩定度達±1nm，搭配 50-100 倍顯微鏡可維持取像清晰，並支援秒級尋光，以提高光耦合效率。
- 公司整合自有控制器、驅動器、馬達及位置量測系統，搭配上銀(2049 TT, NT$314.0，增加持股)的線性滑軌與滾珠螺桿，供應客製化定位平台，並可延伸至晶圓搬送與設備前端模組（EFEM）。

- 集團估計關鍵元件自給率逾 85%，其中控制器為 75%，驅動器、線性馬達及 AC 馬達均為 100%。垂直整合有助縮短開發時程、降低介面整合風險及擴大單機供應範圍。
- 高階平台所需的驅動器、控制器及直驅馬達均備有庫存。管理層表示，其中 98%為標準品，有助加快打樣及交付。
- 元件端提供 HIMC3 運動控制器、E2 驅動器及直驅馬達。驅動器支援 EtherCAT、PROFINET、EtherNet/IP 及 MECHATROLINK，客戶可沿用既有上位控制器，搭配大銀微系統元件用於 PCB 設備、電子製造及智慧自動化。

凱基證券集團據點

中國	上海	上海市靜安區南京西路 1601 號越洋國際廣場 1507 室 郵政編號：200040
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印尼		Sona Topas Tower Fl.11 Jl. Jend. Sudirman kav.26 JakartaSelatan 12920 Indonesia 電話 62 21 250 6337

股價說明

等級	定義
增加持股 (OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
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法說會重點摘要

藥華藥

(6446 TT, NT$1,335, 增加持股)

重點摘要

1. 藥華藥 3Q26 營收 77.6 億元，QoQ +13%，YoY 近翻倍，主因美國與日本銷量成長、Ropeg 注射筆於美國上市，以及美日原發性血小板過多症（ET）適應症自 9M26 開始貢獻；1-10M26 營收 226 億元，YoY +86%。3Q26 毛利率 96.8%，YoY +5.2ppts；營益率 40.3%，排除約 4.7 億元員工認購庫藏股費用後約 46.4%；EPS 7.08 元創單季新高，1-3Q26 EPS 18.43 元已達 2025 年全年的 1.5 倍
2. ET 已取得台灣、日本、美國、中國藥證，美日皆為全線適應症，韓國預計 2027 年初取證；真性紅血球增多症（PV）方面，Ropeg 於 NCCN 指南高、低風險皆列首選，競品 rusfertide 僅列註腳。我們認為 ET 可直接沿用 PV 既有的醫師網絡與用藥經驗，放量速度可望快於 PV 上市初期，為 2027 年營收成長主軸；公司目標 2027 年費用率降至 40 幾%，惟投資抵減用完後稅率將朝 20%靠近
3. 原發性骨髓纖維化（PMF）三期試驗 HOPE-PMF 已於 6M26 完成收案 160 人、9M26 通過資料安全監測委員會（DSMB）審查，目標 2028 年解盲送件，為第三個適應症；CML、HCC、AML、CTCL 等研究者發起試驗（IIT）持續延伸適應症。2026-2027 年多項 PEG 細胞激素、雙特異性抗體、ADC、MPN 標靶新藥與 TCR-T 目標申請 IND；竹北廠目標 2027 年投產

結論

我們認為藥華藥已進入 PV、ET 雙適應症驅動的成長階段，3Q26 在一次性費用干擾下營益率仍達 40.3%，營業槓桿持續發揮。我們看好 ET 藉 NCCN 首選地位與既有骨髓增生性腫瘤（MPN）醫師網絡加速滲透，帶動 2027 年營收增速持續高於費用；惟稅率回升將使淨利增幅低於營益。後續驗證點為 4Q26 首個 ET 完整季度貢獻、2027 年費用率能否降至 40 幾%，以及 2028 年 HOPE-PMF 解盲結果

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3Q26 財務表現

- 3Q26 營收 77.6 億元，QoQ +13%，YoY 近翻倍，YoY 增幅由 2Q26 約+90%擴大至接近+100%；成長來自美國與日本銷量成長、注射筆於美國上市，以及美日 ET 適應症自 9M26 開始貢獻
- 3Q26 毛利率 96.8%，YoY +5.2ppts，原因有三：
  - 美國、日本兩大高價值市場營收占比提高，產品組合優化
  - 美國藥價於 5M26 調升，3Q26 為首個完整反映的季度
  - 銷售以美元為主、成本以新台幣為主，新台幣較去年同期走貶

凱基投顧

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重要免責聲明，詳見最終頁

- 3Q26 營業費用 YoY +83%，主因認列員工認購庫藏股費用約 4.7 億元（非經常性），排除後 YoY +63%；費用率由 3Q25 的 61.6% 降至 56.5%，排除後約 50.4%
- 3Q26 營業利益 31.3 億元，YoY +168%；營益率 40.3%，YoY +10.4ppts，排除庫藏股費用後約 46.4%，與 2Q26 相當
- 3Q26 稅後淨利 29.2 億元，YoY +98%，淨利率 37.7%；淨利增幅低於營益，主因 3Q25 認列所得稅利益墊高基期。3Q26 有效稅率約 10%來自投資抵減，預計 2026 年大致用完，2027 年稅率朝 20%靠近
- 3Q26 EPS 7.08 元，YoY +97%，創單季新高；1-3Q26 營收 YoY +84%，營業利益 83.7 億元，YoY +149%，EPS 18.43 元，已為 2025 年全年 12.3 元的 1.5 倍
- 1-10M26 營收 226 億元，YoY +86%，2025 年全年營收為 157 億元

PV：NCCN 首選地位穩固

- 美國 MPN 病患約 34.7 萬人，其中 PV 約 16.3 萬人、ET 約 17 萬人、PMF 約 1.4 萬人；ET 人數隨診斷率提升持續增加
- PV 已擴展至全球約 50 國，2026 年取得加拿大藥證，後續包括墨西哥、越南、哥倫比亞
- NCCN PV 指南中，Ropeg 為低風險 PV 唯一首選療法、高風險 PV 唯一首選干擾素
- Takeda／Protagonist 的 rusfertide 於 2026/8/28 獲准用於 PV，但 NCCN 僅列於註腳：
  - 限頻繁放血或不耐受放血時使用，高風險病人只能 add-on 於現行治療
  - 機制為降低鐵的利用、只降低紅血球生成，不能取代細胞減量療法；Ropeg 試驗評估的完全血液學反應（CHR）涵蓋紅血球、白血球與血小板
- 低風險 PV 中 Ropeg 合併放血對照僅放血：治療反應率 81.3%對 50.8%，血球比容（Hct）控制 81.3%對 58.7%，疾病惡化 0%對 12.7%；KOL 愈來愈重視疾病修飾與早期治療，有助擴大可治療族群

ET：四國取證、全線適應症

- 過去 ET 用藥僅 Hydroxyurea（HU）與 anagrelide，臨床試驗中 Ropeg 對比 anagrelide 為 42.9%對 6%，達統計顯著
- ET 藥證：台灣 2026/5/12、日本 8/24、美國 8/28、中國 10/15 已取證；新加坡 10/12 送件；韓國預計 2027 年初取證
- 美日皆取得全線 ET 適應症（一線、二線病人皆可使用），後續各國送件亦朝全線方向；日本 ET 病患約 6.3 萬人、美國約 17 萬人
- Ropeg 注射筆已於美國上市並貢獻 10M26 營收，病人與醫師回饋

良好，有助提升病患留存與新病患採用

PMF 三期與適應症延伸

- HOPE-PMF 為隨機、雙盲、安慰劑對照三期試驗，2:1 分組，治療 80 週進行指標分析：
  - 6M26 完成收案，超收至 160 人
  - 9M26 通過 DSMB 審查，目標 2028 年解盲並送件
- PMF IIT 兩年數據：血液學反應率 W12 為 61.4%、W48 為 63.5%，其後達 70.0%；平均血小板由 512 降至 279（$\times 10^9/L$），W12 起即低於正常值上限
- IIT 延伸：CML（併用 dasatinib）一期／二期 IND 已獲核准、HCC（併用 anti-PD-1）一期數據已發表、AML 一期 IIT 進行中、CTCL 與 CMML 二期 IND 準備中、MF（併用 ruxolitinib）一期 IND 已提交；NCCN CTCL 指南已將 Ropeg 列為干擾素替代選項

早期產品線與產能

- 2026-2027 年多項產品目標進入臨床一期：
  - 雙特異性抗體 PD-1-IL-2v 預計 2026 年 IND
  - PEG-IL-2、PEG-Cytokines、ADC 與 KRAS TCR-T 預計 2027 年 IND
  - MPN 新藥 Type 2 JAK2 inhibitor 與 mCALR antibody 預計 2027 年 IND
- 已併購加拿大 FORUS，並於墨爾本設立營運據點推動臨床試驗；2026 年全球員工目標接近 1,000 人
- 竹北廠已進入製程設備安裝與機電管線整合階段，目標 2027 年投產；波多黎各廠設備均已下單，相關申請進行中

QA

- CMS 追溯調整何時認列完畢？
  - 2025 年 CMS 追溯調整預期於 2026 年處理完畢，剩餘金額較前兩次小；調整皆反映於營收，不影響營業成本
- 2027 年費用率如何展望？
  - 1-3Q26 費用率約 51%，2027 年 PV、ET 雙適應症帶動營收成長高於費用成長，目標費用率往 40 幾%邁進
  - 不提供推銷、管理、研發細項預估，建議參考 1Q-2Q26 的費用結構
- 稅率展望為何？
  - 3Q26 有效稅率 10%主要來自投資抵減，預計 2026 年大致用完，2027 年稅率朝 20%靠近

- 何時能達到規模經濟？
  - 3Q26 營益率 40.3%，國際大藥廠平均約 30%，前段班約 40-55%，禮來約 50 幾%，公司仍有優化空間
- 資本配置規劃為何？
  - 竹北、波多黎各廠依計畫擴建，並於美國購置不動產作為未來辦公室
  - 積極評估併購、少數股權投資與授權，並投資基金尋找合適標的
  - 在保留發展資金的前提下，以股利回饋股東
- ET 在美國的給付與藥價狀況？
  - ET 適應症已納入美國保險給付體系，處方採用持續增加
  - ET 與 PV 為同一產品，批發標價統一，實際淨價依各保險支付方的合約與回饋而異
- ET 成長速度是否會快於 PV？
  - 9M26 即有實質營收貢獻；MPN 醫師手上同時有 PV 與 ET 病人，且已熟悉 Ropeg 的安全性，加上醫學科學聯絡官（MSL）團隊支援，拓展速度將優於 PV 上市初期
  - PV 與 ET 互相帶動，並已耕耘社區醫院，加速處方滲透
- 是否考慮布局調控鐵的藥品？
  - 公司認為調控鐵僅降低紅血球生成，產業趨勢是疾病修飾、降低突變等位基因負荷，因此布局 Type 2 JAK2 與 mCALR 等標靶藥物
- Ropeg 在中國的定價策略？
  - 中國醫保走向較 commodity，為避免影響國際定價，目前以自費市場為主，並持續與主管機關溝通

凱基證券集團據點

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股價說明

等級	定義
增加持股(OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有(N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股(U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等(NR)	凱基證券未對該個股加以評等。
受法規限制未評等(R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬= (十二個月目標價-現價)/現價

免責聲明

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法說會重點摘要

沛爾生醫

(6949 TT, NT$44.75, 未評等)

重點摘要

1. PL001（CD19 CAR-T）第二期臨床試驗於 4M26 因已達統計上顯著意義而提前終止，並經獨立數據監測委員會（IDMC）確認；一期至二期共收案 24 例、本次公開 21 例，對比諾華 Kymriah 的 P 值為 0.008，反應持續時間（DOR）10.5 個月、無惡化存活期（PFS）已自 11.3 個月延長至 14 個月，最高等級細胞激素釋放症候群（CRS）與神經系統副作用均未發生。公司現與 CDE、TFDA 組成的 T-RMAT 團隊共同備件，為台灣首件再生醫療製劑查驗登記案
2. 子公司台灣細胞製造（tcmc）竹北廠產能 300 例/年、製程 7 天，相較 Kymriah 在台採血送瑞士、Yescarta 送洛杉磯可省去跨境運送成本。我們認為在地製造與自製慢病毒（LV）是 PL001 的核心優勢，以兩者在台健保 819 萬元/劑為基準，取證後公司在高毛利與低價搶占給付之間具雙向彈性
3. PP021 憑藉一期臨床與海外真實人體數據的安全性，在美國《嘗試權法案（Right to Try）》通過不久即獲美方主動邀請，創下尚未取得正式藥證便合法落地美國、提前自費開賣的罕見紀錄；這不僅打破了生技研發漫長燒錢的宿命、為公司帶進早期實質現金流，更在美國本土實戰累積關鍵真實世界數據（RWE），為 2027 年進軍帕金森氏症與阿茲海默症二期樞紐試驗及未來的全球授權談判，奠定了戰略主導權。

結論

我們認為投資評估重心已從臨床數據轉向定價與商業化執行。PL001 療效與 Kite Pharma 產品無統計差異，但公司收治的是二線治療失敗、病況較差的病人，第三期將把收案拉到第二線，我們預期數據會比原廠其他藥更有競爭力。近期驗證點為 T-RMAT 送件與取證時程、tcmc 的 CDMO 訂單承接，以及 PP021 第一期於 12M26 結束後的數據揭露，及 Right to try 法規路徑的突破性商轉結果

PL001 二期數據與查驗登記進度

- 第二期臨床試驗於 4M26 通過期中分析，因已達統計上顯著意義，基於醫學倫理提前終止，所有委員均同意；2026/4/10 通過獨立數據監測委員會（IDMC）的資料安全審查
- 一期至二期共收案 24 例，本次公開分析對象為 21 例；客觀療效 P 值對比諾華 Kymriah 為 0.008 幾，小於 0.05，數據由獨立委員會計算而非公司自行統計
  - 反應持續時間（DOR）至 4M26 為 10.5 個月，Kite Pharma 發表為 11.1 個月；公司資料截止後現已超過 11 個月，多數病人仍維持腫瘤消失狀態，諾華並未公告其療效維持期間

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重要免責聲明，詳見最終頁

  - ➢ 無惡化存活期（PFS）為 11.3 個月無變化，資料截止後已延長至 14 個月；吉利德（Gilead）產品為 5.8 個月
  - ➢ 最高等級細胞激素釋放症候群（CRS）與神經系統副作用均未發生；臨床上約 2 週內出現 CRS、其後 2-3 天須觀察神經系統反應
- 與 10M26 通過健保的 Kite Pharma 產品相比療效無優劣差異，但對方選入的病人條件較佳，公司收治的是二線治療失敗者；第三期將比照把早期病人納入收案
- 現與藥品查驗中心（CDE）及食品藥物管理署（TFDA）組成的 T-RMAT 團隊共同備件，公司為台灣第一案；第一步申請即需數千頁資料並分批遞交，公司表示資料送進官方後進度無法控制
- 台灣目前僅 8 家醫學中心可收治 CAR-T 病人，主管機關顧慮醫院開得了但照顧不來，公司正爭取放寬

製造優勢與定價空間

- 子公司台灣細胞製造（tcmc）位於竹北生醫園區、持股 66.88%，CAR-T 產能規劃 300 例/年
- 諾華 Kymriah 在台採血後送瑞士、Kite Pharma Yescarta 送洛杉磯，公司在地製造可省去這一趟的產能風險與費用；台大醫院送台南、高雄的交期都很快
- 慢病毒（LV）是除人工以外成本最高的環節，以往在 819 萬元/劑的售價下單一病人可賺 100 萬元、後降至 50 萬元，公司自製後有能力再把毛利往上拉
- 台灣方面諾華 Kymriah 已有健保給付，Kite Pharma Yescarta 於 10M26 通過健保，同為 819 萬元/劑
- 公司認為可優於競品的原因有二：在地製造；DNA 設計與競品不同，未踩到對方專利且該專利已到期

技術平台與實體癌布局

- 傳統單鏈 CAR-T 的細胞結合力與毒殺效率受限，業界多從彈頭（抗原辨識區）改良，公司認為改彈頭並不足夠，改的是鏈數：彈頭不變，把單鏈改為三條鏈、三個蛋白
- PL002 以間皮素（mesothelin）為彈頭，卵巢癌動物試驗中多鏈 CAR-T 打完約 10 天腫瘤明顯縮小、第 40 天完全消失；傳統單鏈僅部分有效、腫瘤仍存在，一般 T 細胞組第 40 天仍整體長大
  - ➢ 先做卵巢癌是因為半數以上病人在 2-3 年內復發、可選標靶僅一個，且病人多在 40-60 歲；間皮素在胰臟癌與卵巢癌表現率達 70%以上，成果可沿用至胰臟癌，為下一階段標的
- 自體 CAR-T 無排斥與移植物抗宿主疾病（GvHD）風險、可在體內長期存活，是目前療效的天花板：原本 6 個月內死亡的病人打完 CAR-T 後 5 年有半數以上存活；缺點是無法大批次生產、價格高且需冷鏈運送

- 公司前後約 2 年投入的異體 CAR-T 抑制抗體開發已停止，現全部轉向 in vivo CAR-T，手上有兩個版本正在比較強弱；該技術專利尚未取得，2027 年才會完整說明

小肽平台與美國 Right to Try 路徑

- 小肽來源為 17 年前自兔皮萃取物經高效液相層析（HPLC）分出的 6 段蛋白之一，口服 30 分鐘可穿透血腦屏障（BBB）並在腦組織與腦脊髓液測到；臨床試驗用 GMP 等級藥物已製成，歐盟已有 2 個國家索取、擬把自家藥物接在小肽下帶進腦部，產出的智慧財產共享
- 帕金森氏症動物試驗中，爬竿時間、步態評分、握力與顫抖評分均呈劑量效應，效果與第一線用藥相近，酪胺酸羥化酶（TH）染色顯示可保護黑質多巴胺神經元；阿茲海默症的築巢與水迷宮試驗結果相同
- 公司主張現行帕金森氏症療法為補充療法，治療期間多巴胺神經元仍持續死亡，殘存細胞耗竭後只能植入深腦刺激器（DBS、自費約 70-80 萬元），公司藥物的差異在於保護住健康神經
- PP021 第一期臨床預計 12M26 結束；帕金森氏症第二期預計 2Q27 於北京天壇醫院啓動，4Q27 前進入正式第二期，試驗計畫書已大致完成並將先在台灣推進
- 美國路徑走 Right to Try：公司已接到邀請、2027 年進入美國，美方正建立平台並提供自由貿易區（free trade zone）處理 100%關稅，且已找到醫院願意開方；台灣沒有這項制度，故台灣、中國、歐盟仍走正規臨床路線
- 第二代產品把小肽環化，半衰期（half-life）更長、一天一次即可（現為一天 2-3 次），第二個專利年限 20-25 年；現有專利還有 17 年
- 疾病人數與市場：帕金森氏症美國 100 萬人、中國 500 萬人、歐盟 200 多萬人，阿茲海默症中國 1,000 多萬人、美國 700-800 萬人；僅美國市場帕金森氏症約 70 億美元、阿茲海默症約 150 億美元、漸凍症約 10 億美元
- Right to try:《Right to Try》繞過冗長審批，直接在美國本土落地用藥；傳統美墨或境外知情同意用藥雖然能累積數據，但要正式進入美國病患端，通常得等漫長的 IND/Phase 1/2。而美國聯邦《嘗試權法案（Right to Try Act）》允許已完成 Phase 1 臨床安全性驗證、仍在進行中的新藥，在未獲 FDA 正式核准前，經醫師與病患簽署後合法自費使用。這讓 PP021 能在 2027 年臨床推進的同時，搶先在美國建立真實世界的病患群體與現金流。公司已接到邀請、2027 年進入美國，美方正建立平台並提供自由貿易區（free trade zone）處理 100%關稅，且已找到醫院願意開方；台灣沒有這項制度，故台灣、中國、歐盟仍走正規臨床路線

海外市場與集團架構

- 公司規劃 2027 年進行組織架構重整，2027 年後集團架構變成兩岸三地加美國，美國納斯達克與上海均另有考量；tcmc 預計 2027 年上市
- 馬來西亞與泰國主動接洽，公司 11/29 赴當地洽技術移轉並協助建廠；兩地目前均無 CAR-T，連中國的 CAR-T 也未進入
- 日本已簽保密協議（NDA）：當地一劑 3,240 萬日圓，美國業者做不來並施壓厚生省，現行價格難以維持；日本 CD19 市場 420 多億日圓、含 BCMA CAR-T 與多發性骨髓瘤合計 1,400 億日圓，且日本無自有產品、民族性對基因改造排斥
- 小肽預計 2027 年初、不超過 2Q27 進美國，美方比公司更積極且無關稅；此制度為專案進口，台灣尚無，美國、英國、香港均有並可自費
- 中國市場公司仍在考慮，產品已被認定為第一類新藥、屬生醫十五五規劃六大重點之一；優惠包括臨床試驗輔助、審查期 30 天內未完成視同自動通過、取證當日自動進入醫保且不議價由廠商開價，中國適應症人數 1,200 萬人
- 一家與公司有合作關係的公司以 13 億元買下新加坡一家公司並邀請公司進入東南亞；東南亞除新加坡外均無 CAR-T，印度 Tata Group 雖在孟買的醫院自行生產，公司認為不能算真正的 CAR-T

QA

- 小肽藥物原本用在類風濕性關節炎（RA），與帕金森氏症的機轉類似嗎？
  - 這個藥對自體免疫疾病比較有效，英國也試過幾個，但 RA 第一線到第三線的藥很多，沒有必要現在去競爭；戰略上先走帕金森氏症與阿茲海默症，利用可過血腦屏障（BBB）的優勢
  - 漸凍症也可以做、北榮正在洽談，但台灣只有 800-1,000 人、規模太小不好做；若能通過，第二期即可發藥證，因屬罕見疾病
  - 兩者的作用機制（MOA）是兩條不同的路；公司挑勝算最大、市場最迫切需求的適應症先做
- PL001 的療效比 Yescarta 等競爭對手更好嗎？
  - 跟 Yescarta 差不多，統計學上沒有差異，客觀緩解率與無惡化存活期（PFS）都一樣
  - 但對方是第一線用完失敗後才用，公司收的是第三線、二線失敗的病人，病人條件比對方差；第三期會盡量拉到第二線
- CAR-T 前往美國，冷鏈與運輸時間在成本上會不會有落差？
  - 從台灣運到美國一劑大概增加 20 萬元新台幣；公司 7 天製程可以撐到 8 天，運到中國再加 2 天
  - UPS 已經把流程算好，早上 6 點多華航班機、UPS 接本地派送（Local Domestic）送達，對方認為划得來；美國人工成本高，組織架構與成本仍要精算

- CAR-T 是美方主動要求的，公司本來只打算談小肽，對方是因為現有產品太貴、公司可以省一半價格才主動詢問

■ 台灣的審查進度有沒有影響到公司的合作？

- 任何東西只要送到官方手中就無法控制；現在是官方與公司一起合作要提 RMAT，公司是第一案，CDE 與 TFDA 合成一個小組與公司開會
- 送件資料非常多，第一步申請就要幾千頁，且分批遞交；官方因為是第一個案子也有面子工程的壓力
- 南韓在 4M26 發了 Curocell 的條件式核准（conditional approval），公司看過對方公開數據認為比公司差一級，所以對自家送審有信心

■ 以後是要自己做，還是中間有可能授權？

- 本來是要授權的，原來的 offer 數字不小；後來考慮授權出去就什麼都沒了、以後不能再碰，所以決定自己走
- 公司現在還有錢，走多久算多久；已有大咖要進來但一直擋著，因為不缺錢且越往後做價值越高

■ 台灣先取證之後，同時做第三期的話在台灣就可以先銷售嗎？

- 可以。第三期要 5 年才能完成、日本是 6 年，所以計畫把日本、馬來西亞、泰國納進來做第三期的多中心（Multi-Center）試驗
- 已經算過大概 110 到 120 個病例，試驗計畫書與費用都估得差不多；公司算過現金還夠支撐，至於會不會被逼到賣掉，公司表示盡量不要

■ PP021 的第一期資料大概什麼時候會出來？

- 公司表示資料絕對沒問題，但要等中國國家藥品監督管理局（NMPA）核准後才會公告
- 目前看到的不良事件都與藥物無關，主持人（PI）與友誼醫院的醫師都寫 unrelated；官方要求只要出現問題就要寫，由試驗方判斷關聯性、官方再判斷一次

凱基證券集團據點

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台灣	台北	104 台北市明水路 700 號 電話 886.2.2181.8888 • 傳真 886.2.8501.1691
香港		香港灣仔港灣道十八號中環廣場四十一樓 電話 852.2878.6888 • 傳真 852.2878.6800
泰國	曼谷	8th - 11th floors, Asia Centre Building 173 South Sathorn Road, Bangkok 10120, Thailand 電話 66.2658.8888 • 傳真 66.2658.8014
新加坡		珊頓大道 4 號#13-01 新交所第二大廈 郵政編號：068807 電話 65.6202.1188 • 傳真 65.6534.4826
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股價說明

等級	定義
增加持股(OP)	對個股持正面看法，預期個股未來十二個月的表現超越凱基證券集團所追蹤的相關市場的總報酬。
持有(N)	對個股持中性看法，預期個股未來十二個月的表現符合凱基證券集團所追蹤的相關市場的總報酬。
降低持股(U)	對個股持負面看法，預期個股未來十二個月的表現低於凱基證券集團所追蹤的相關市場的總報酬。
未評等(NR)	凱基證券未對該個股加以評等。
受法規限制未評等(R)	受凱基證券集團內部政策和/或相關法令限制使凱基證券集團無法進行某些形式的資訊交流，其中包括提供評等給投資人參考。
	*總報酬= (十二個月目標價-現價)/現價

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10 Nov 2026 10:06:24 ET | 14 pages

Asia Vital Components (3017.TW)

3Q26 Beat on Margins Reinforces AI Thermal Ramp; TP Maintained at NT$4,350

CITI'S TAKE

AVC reported net profit of NT$11.6bn, topping Coto/cons estimates by 2%/2% respectively, driven by margins beat partly offset by a non-ops FX loss. GPM improvement was above expectations on a richer liquid cooling mix, yield gains and disciplined raw material pass-through. Mgmt. guided positively for 4Q26 and 2027, led by AI ASIC ramp-up and Vera Rubin ramp up. We model 16% QoQ revenue growth for 4Q26E. GPM guidance also points to further sequential improvement on a higher liquid cooling mix and scale effects. Mgmt. reiterated 2026E/27E capex of NT$15bn/15-20bn, alongside 50%+ cold plate capacity expansion, underscoring capacity conviction. We fine-tune our earnings forecasts to reflect updated guidance and maintain TP at NT$4,350 (25x 2027E EPS). Reiterate Buy.

3Q26 results beat on margins — AVC's reported 3Q26 net profit of NT$11.6bn (+20% QoQ/+52% YoY) beat Citi/cons forecast by 2%/2%, driven by better-than-expected margins, partly offset by a non-ops loss. 3Q26 GPM came in at 33.9% (+1.3ppts QoQ/+7.7 ppts YoY), above both Citi/cons estimates, mainly due to continued mix improvement, a higher liquid cooling contribution, yield gains, and disciplined pass-through of raw material price fluctuations to customers. Non-ops included a NT$304mn FX loss, which partially offset the strong core business.

ASIC ramp and capacity guidance underpin long-term outlook — Mgmt. guided positively for 4Q26 and 2027, led by AI ASIC project ramp-up and early Vera Rubin generation contribution. We now model 16% QoQ revenue growth for 4Q26E. GPM guidance also points to further sequential improvement vs. 3Q26, driven by a higher liquid cooling mix and scale effects. Mgmt. expects server compute tray liquid cooling penetration to reach 100% by end-2027. Mgmt. reiterated 2026E/26E capex guidance of NT$15bn/15-20bn, alongside 50%+ cold plate capacity expansion, reinforcing confidence in capacity build-out.

Implications — We fine-tune our 2026E-28E earnings forecasts to reflect updated guidance and outlook. We maintain our TP at NT$4,350, still based on 25x 2027E EPS. We believe AVC's solid supply position across key customers' AI GPU and ASIC projects, combined with a sustained growth trajectory, continues to support its valuation. With visibility extending into 2027, we see limited near-term read-through risk from the ongoing platform transition. We reiterate our Buy rating on AVC.

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	8,172	21.21	50.4	131.5	37.9	32.1	0.2
2025A	19,186	49.17	131.8	56.7	24.8	52.2	0.3
2026E	42,737	108.62	120.9	25.7	13.7	68.1	0.7
2027E	67,979	172.36	58.7	16.2	7.4	59.1	1.6
2028E	84,424	214.06	24.2	13.0	4.8	44.2	2.6

Source: Powered by dataCentral

Buy

Price (10 Nov 26 13:30)	NT$2,790.00
Target price	NT$4,350.00
Expected share price return	55.9%
Expected dividend yield	1.6%
Expected total return	57.6%
Market Cap	NT$1,095,550M US$33,423M

Price Performance
(RIC: 3017.TW, BB: 3017 TT)

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3017.TW: Fiscal year end 31-Dec

Price: NT$2,790.00; TP: NT$4,350.00; Market Cap: NT$1,095,550m; Recomm: Buy

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	71,761	139,639	225,627	330,297	402,013
Cost of sales	-54,891	-103,605	-151,524	-214,848	-259,208
Gross profit	16,870	36,034	74,103	115,449	142,805
Gross Margin (%)	23.5	25.8	32.8	35.0	35.5
EBITDA (Adj)	**12,810**	**30,314**	**66,852**	**106,602**	**131,382**
EBITDA Margin (Adj) (%)	17.9	21.7	29.6	32.3	32.7
Depreciation	-1,988	-2,759	-4,206	-5,954	-6,114
Amortisation	0	0	0	0	0
EBIT (Adj)	**10,823**	**27,556**	**62,646**	**100,649**	**125,268**
EBIT Margin (Adj) (%)	15.1	19.7	27.8	30.5	31.2
Net interest	114	91	355	220	220
Associates	-291	-483	-31	0	0
Non-Op/Except/Other Adj	1,707	1,623	45	0	0
Pre-tax profit	**12,352**	**28,786**	**63,015**	**100,868**	**125,488**
Tax	-3,159	-7,836	-16,665	-26,582	-33,345
Extraord./Min.Int./Pref.div.	-1,020	-1,764	-3,613	-6,308	-7,719
Reported net profit	**8,172**	**19,186**	**42,737**	**67,979**	**84,424**
Net Margin (%)	11.4	13.7	18.9	20.6	21.0
Core NPAT	8,172	19,186	42,737	67,979	84,424

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	21.21	49.17	108.62	172.36	214.06
Core EPS ($)	21.21	49.17	108.62	172.36	214.06
DPS ($)	6.87	9.68	20.56	45.80	72.84
CFPS ($)	25.00	101.02	186.34	248.86	270.29
FCFPS ($)	13.22	82.39	149.20	205.76	224.65
BVPS ($)	73.68	112.45	203.66	374.67	587.05
Wtd avg ord shares (m)	385	390	393	394	394
Wtd avg diluted shares (m)	385	390	393	394	394

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	21.2	94.6	61.6	46.4	21.7
EBIT (Adj) (%)	45.8	154.6	127.3	60.7	24.5
Core NPAT (%)	54.1	134.8	122.7	59.1	24.2
Core EPS (%)	50.4	131.8	120.9	58.7	24.2

Balance Sheet (NT$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	29,924	58,530	113,422	191,448	281,662
Accounts receivables	7,767	12,133	13,440	20,981	24,306
Inventory	33,397	49,572	76,943	112,777	128,509
Net fixed & other tangibles	22,481	33,074	53,492	63,683	74,690
Goodwill & intangibles	169	195	250	250	250
Financial & other assets	6,168	6,633	7,476	11,234	12,891
Total assets	**99,906**	**160,137**	**265,023**	**400,372**	**522,307**
Accounts payable	28,884	48,109	70,878	104,421	119,148
Short-term debt	13,130	16,311	25,889	25,889	25,889
Long-term debt	3,349	6,949	7,999	4,875	6,486
Provisions & other liab	21,070	38,203	70,159	100,803	114,256
Total liabilities	**66,433**	**109,572**	**174,924**	**235,988**	**265,779**
Shareholders' equity	28,871	44,601	80,958	148,937	233,361
Minority interests	4,602	5,964	9,140	15,448	23,167
Total equity	**33,473**	**50,565**	**90,098**	**164,385**	**256,528**
Net debt (Adj)	**-13,445**	**-35,270**	**-79,535**	**-160,685**	**-249,287**
Net debt to equity (Adj) (%)	-40.2	-69.8	-88.3	-97.7	-97.2

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	na	56.7	25.7	16.2	13.0
PB (x)	37.9	24.8	13.7	7.4	4.8
EV/EBITDA (x)	84.7	35.5	15.6	9.3	6.9
FCF yield (%)	0.5	3.0	5.3	7.4	8.1
Dividend yield (%)	0.2	0.3	0.7	1.6	2.6
Payout ratio (%)	32	20	19	27	34
ROE (%)	32.1	52.2	68.1	59.1	44.2

Cashflow (NT$m)	2024	2025	2026E	2027E	2028E
EBITDA	12,810	30,314	66,852	106,602	131,382
Working capital	333	730	-1,188	0	0
Other	-3,511	8,371	7,652	-8,452	-24,780
Operating cashflow	**9,632**	**39,415**	**73,317**	**98,150**	**106,602**
Capex	-4,540	-7,267	-14,612	-17,000	-18,000
Net acq/disposals	-3,286	-5,976	-8,317	0	0
Other	157	-93	0	0	0
Investing cashflow	**-7,669**	**-13,336**	**-22,929**	**-17,000**	**-18,000**
Dividends paid	-2,667	-3,855	-8,364	-18,630	-29,633
Financing cashflow	**200**	**2,620**	**5,693**	**-3,124**	**1,612**
Net change in cash	**2,967**	**28,606**	**56,081**	**78,026**	**90,214**
Free cashflow to s/holders	**5,092**	**32,148**	**58,705**	**81,150**	**88,602**

For definitions of the items in this table, please click here.

Figure 1. AVC - 3Q26 earnings preview

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	59,089	49,121	20%	38,937	52%	58,054	2%	57,904	2%
Gross profit	20,010	15,999	25%	10,172	97%	19,510	3%	19,302	4%
Gross margin	*33.9%*	*32.6%*	*+1.3 ppt*	*26.1%*	*+7.7 ppt*	*33.6%*	*+0.3 ppt*	*33.3%*	*+0.5 ppt*
Op. profit	16,856	13,478	25%	8,085	108%	16,340	3%	16,178	4%
OP margin	*28.5%*	*27.4%*	*+1.1 ppt*	*20.8%*	*+7.8 ppt*	*28.1%*	*+0.4 ppt*	*27.9%*	*+0.6 ppt*
Net income	11,564	9,567	21%	5,339	117%	11,298	2%	11,222	3%
EPS (NT$)	29.32	24.37	20%	13.67	114%	28.78	2%	28.43	3%

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Source: Company Reports, Citi Research Estimates, Bloomberg

Figure 2. AVC - Earnings estimate revisions

(NT$mn)	2026E New	2026E Old	2026E Chg.	2027E New	2027E Old	2027E Chg.	2028E New	2028E Old	2028E Chg.
Sales	225,627	221,075	2%	330,297	332,697	-1%	402,013	404,256	-1%
Sequential growth	*62%*	*58%*		*46%*	*50%*		*22%*	*22%*	
Gross profit	74,103	72,163	3%	115,449	116,061	-1%	142,805	143,445	0%
Opex	11,457	11,731	-2%	14,801	17,079	-13%	17,537	20,577	-15%
Operating profit	62,646	60,432	4%	100,649	98,982	2%	125,268	122,868	2%
Pre-tax profit	63,015	61,360	3%	100,868	100,004	1%	125,488	123,889	1%
Net income	42,737	41,464	3%	67,979	68,207	0%	84,424	84,576	0%
EPS (NT$)	108.62	105.62	3%	172.36	173.74	-1%	214.06	215.43	-1%
Gross margin	32.8%	32.6%	+0.2 ppt	35.0%	34.9%	+0.1 ppt	35.5%	35.5%	+0.0 ppt
Opex ratio	5.1%	5.3%	-0.2 ppt	4.5%	5.1%	-0.7 ppt	4.4%	5.1%	-0.7 ppt
Operating margin	27.8%	27.3%	+0.4 ppt	30.5%	29.8%	+0.7 ppt	31.2%	30.4%	+0.8 ppt
Net margin	18.9%	18.8%	+0.2 ppt	20.6%	20.5%	+0.1 ppt	21.0%	20.9%	+0.1 ppt

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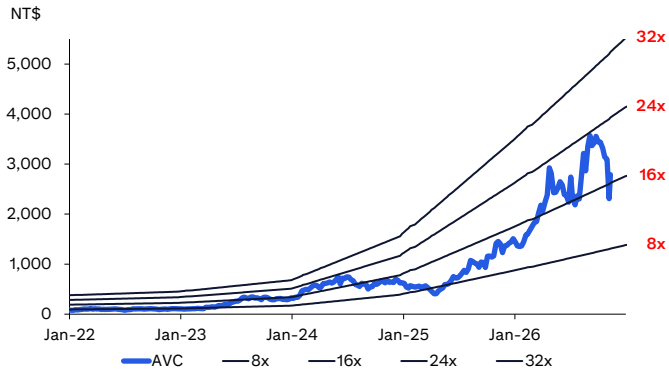
Source: Citi Research Estimates

Figure 3. AVC - Forward P/E band



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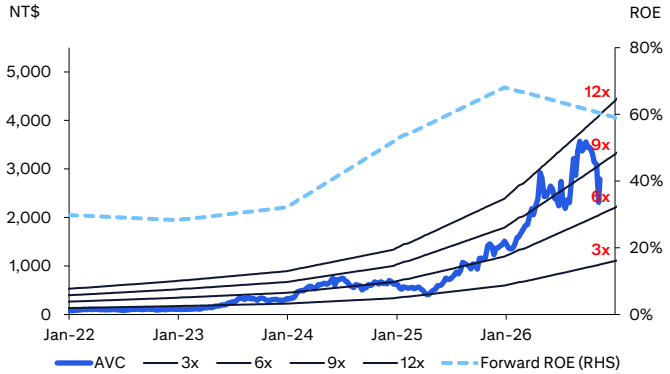
Source: Company Reports, Citi Research Estimates, TEJ

Figure 4. AVC - Forward P/B band



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 5. AVC - Quarterly earnings forecasts

(NT$ in Mn, year-end Dec)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	**49,038**	**49,121**	**59,089**	**68,379**	**70,939**	**78,292**	**85,345**	**95,721**	**139,639**	**225,627**	**330,297**	**402,013**
Gross Profit	**14,597**	**15,999**	**20,010**	**23,497**	**24,607**	**27,332**	**29,706**	**33,805**	**36,034**	**74,103**	**115,449**	**142,805**
OPEX	(2,578)	(2,521)	(3,155)	(3,203)	(3,224)	(3,408)	(3,980)	(4,188)	(8,478)	(11,457)	(14,801)	(17,537)
Operating profit	**12,019**	**13,478**	**16,856**	**20,294**	**21,382**	**23,924**	**25,725**	**29,617**	**27,556**	**62,646**	**100,649**	**125,268**
Total Non-OP	(40)	457	(103)	55	55	55	55	55	1,231	369	220	220
Pre-tax profit	11,979	13,935	16,752	20,349	21,437	23,979	25,780	29,672	28,786	63,015	100,868	125,488
Net Profit	**7,916**	**9,567**	**11,564**	**13,690**	**14,768**	**16,158**	**17,457**	**19,595**	**19,186**	**42,737**	**67,979**	**84,424**
EPS (NT$)	**20.17**	**24.37**	**29.32**	**34.71**	**37.45**	**40.97**	**44.26**	**49.68**	**49.17**	**108.62**	**172.36**	**214.06**
Revenue mix												
Thermal	64%	62%	68%	70%	70%	69%	68%	71%	57%	66%	70%	69%
Chassis	20%	21%	17%	17%	17%	17%	18%	17%	18%	18%	18%	19%
System Integration	8%	9%	7%	6%	6%	6%	5%	5%	16%	7%	5%	4%
Hinge (Fositek)	9%	8%	8%	8%	8%	8%	8%	8%	9%	8%	8%	8%
Margins (%)												
Gross profit	**29.8%**	**32.6%**	**33.9%**	**34.4%**	**34.7%**	**34.9%**	**34.8%**	**35.3%**	**25.8%**	**32.8%**	**35.0%**	**35.5%**
OPEX to sales	5.3%	5.1%	5.3%	4.7%	4.5%	4.4%	4.7%	4.4%	6.1%	5.1%	4.5%	4.4%
Operating Margin	**24.5%**	**27.4%**	**28.5%**	**29.7%**	**30.1%**	**30.6%**	**30.1%**	**30.9%**	**19.7%**	**27.8%**	**30.5%**	**31.2%**
Pre-tax profit	24.4%	28.4%	28.4%	29.8%	30.2%	30.6%	30.2%	31.0%	20.6%	27.9%	30.5%	31.2%
Net Margin	**16.1%**	**19.5%**	**19.6%**	**20.0%**	**20.8%**	**20.6%**	**20.5%**	**20.5%**	**13.7%**	**18.9%**	**20.6%**	**21.0%**
Y/Y												
Net sales	110.2%	66.0%	51.8%	43.1%	44.7%	59.4%	44.4%	40.0%	94.6%	61.6%	46.4%	21.7%
Gross profit	142.2%	121.5%	96.7%	86.3%	68.6%	70.8%	48.5%	43.9%	88.7%	46.3%	41.8%	20.6%
Operating profit	175.6%	164.5%	108.5%	102.6%	77.9%	77.5%	52.6%	45.9%	154.6%	127.3%	60.7%	24.5%
Pre-tax profit	159.3%	136.3%	103.9%	102.4%	79.0%	72.1%	53.9%	45.8%	133.1%	118.9%	60.1%	24.4%
Net Margin	146.3%	139.3%	116.6%	106.3%	86.6%	68.9%	51.0%	43.1%	134.8%	122.7%	59.1%	24.2%
Q/Q												
Net sales	2.6%	0.2%	20.3%	15.7%	3.7%	10.4%	9.0%	12.2%				
Gross profit	15.8%	9.6%	25.1%	17.4%	4.7%	11.1%	8.7%	13.8%				
Operating profit	20.0%	12.1%	25.1%	20.4%	5.4%	11.9%	7.5%	15.1%				
Pre-tax profit	19.2%	16.3%	20.2%	21.5%	5.4%	11.9%	7.5%	15.1%				
Net Margin	19.3%	20.9%	20.9%	18.4%	7.9%	9.4%	8.0%	12.2%				

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Source: Company Reports, Citi Research Estimates

Bull/Bear: Asia Vital Components (3017.TW)

NT$ 5,000.00 ▲79% Upside | NT$ 4,350.00 ▲56% Upside | NT$ 2,000.00 ▼28% Downside

Spread 108pp
Current Price and expected returns (upside/downside) as of 10 Nov 2026

BULL Assumptions

- Higher target multiple at 30x

BASE Assumptions

- Sales to grow by 62% YoY in 2026E, followed by 46% YoY growth in 2027E; OPM at 27.8-30.5%
- Target multiple at 25x

BEAR Assumptions

- Sales to grow by 20%/10% y-o-y in 2026E/27E with OPM at 18.0%
- Target multiple at 20x

Asia Vital Components

Company description

Asia Vital Components (AVC), founded in 1991, is a global leader in thermal solutions, originally focusing on PCs but now specializing in servers and networking. With Furukawa Electric (Japan) as its largest shareholder, AVC provides a comprehensive range of cooling components, including vapor chambers (VCs), fans, cold plates, CDUs, and manifolds, as well as chassis and assembly services for PCs and servers, enabling holistic thermal solution designs and one-stop shop services. AVC's diverse product portfolio supports various sectors, including consumer IT, cloud infrastructure, transportation, energy and networking.

Investment strategy

We rate AVC a Buy. AVC is well-positioned for the liquid-cooling transition, with leadership in cold plates and broad participation across Nvidia and CSP projects. Its high-volume machining capability, manufacturing uniformity, and Vietnam-based capacity provide it with a defensible position as Blackwell and future deployments expand. The company captures a wider share of the thermal BOM, across coldplates, manifolds, QDs, and CDU opportunities, providing a multi-layered earnings engine.

Valuation

We value AVC using a PE-based approach that factors in earnings momentum and the expansion of its addressable market. Our TP of NT$4,350 is derived from applying a 25x PE multiple on 2027E EPS, which we believe is justified given the company's entrenched positioned in the server thermal segment, rising contribution from liquid cooling, and the increasing value of thermal content per server as power density continues to climb. With these structural drivers still in place, we expect the multiple to hold at a premium relative to its historical averages.

Risks

This stock is High Risk based upon our quantitative model but assigning a High Risk rating is not supported by other qualitative factors such as cold-plate leadership and deep CSP penetration, and so a High Risk rating has not been applied. Key downside risks to our investment thesis and target price include: 1) slower adoption pace for liquid cooling adoption; 2) heightened price competition; 3) lower-than-expected share in liquid cooling components; and 4) emerging alternative cooling technologies.

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Appendix A-1

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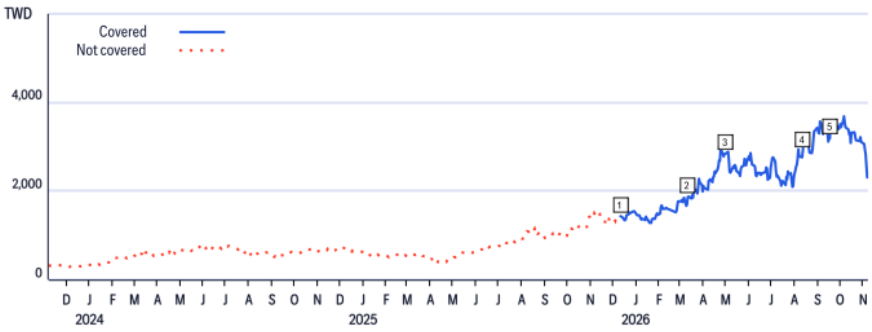
Ratings and Target Price History
Fundamental Research

Analyst: Michael Hung



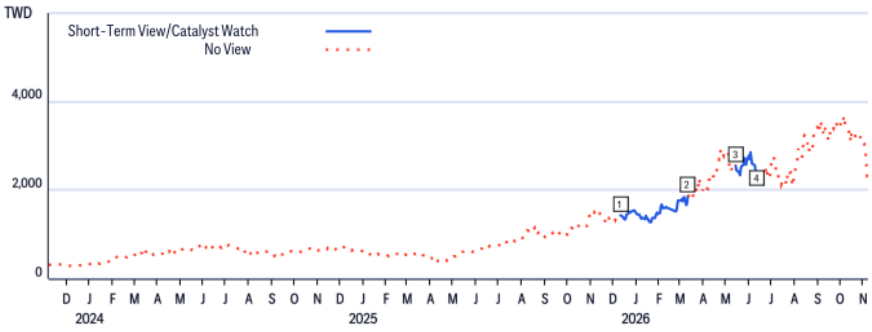
	Date	Rating	Target Price	Closing Price
1	11-Dec-25 07:34:19	*1	*2,055.00	1,430.00
2	11-Mar-26 12:50:47	1	*2,400.00	1,860.00
3	30-Apr-26 11:37:17	1	*3,450.00	2,835.00
4	12-Aug-26 08:14:33	1	*3,800.00	2,910.00
5	17-Sep-26 11:26:13	1	*4,350.00	3,185.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Asia Vital Components (3017.TW)
Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



	Date	Action	Expected Direction	Duration	Closing Price
1	11-Dec-25 02:34:19	Add STV	Upside	90 Days	1,430.00
2	11-Mar-26 21:46:27	Remove STV	Upside	90 Days	1,860.00
3	14-May-26 07:40:28	Add STV	Upside	30 Days	2,555.00
4	12-Jun-26 14:22:58	Remove STV	Upside	30 Days	2,405.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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Inventec (2356.TW)

Near-term softness not changing its long-term server growth narrative

CITI'S TAKE

Inventec's 3Q26 net profit came in at NT$2,538m, -35% QoQ and -7% YoY, missing our and consensus estimates by 43%/26%, respectively, mainly due to higher-than-expected interest expense. GM/OPM of 4.2%/1.6% (vs. 4.2%/1.8% in 2Q26) missed Street's expectations with sales mix from Server reaching >50%, vs. 46-50%/41-45% in 2Q26/3Q25. Given continued supply tightness in key components, such as CPU, memory, PCB, near-term momentum looks lackluster for its general server business, and NB business is also dragged by slowing end-demand. Nonetheless, we see positive growth outlook into next year as it transits to serve more rack-level business for AI ASIC projects and the ramping of new AI GPU platform with new capacity coming online in the US would support the local demand. Meanwhile, management indicated there is no equity-based funding need in the near-term as its cash and funding sources already can support its worldwide expansion and entry into server rack-level business.

4Q sales to decline but GM improving — 4Q Server shipment is guided for flattish QoQ mainly impacted by components shortage. Within server, contribution from AI GPU is likely to decline due to platform transition. For NB business, given sluggish end demand, outlook is toned down as shipment guidance now suggests around low-teens to mid-teens QoQ decline. Net-net, we forecast Inventec's overall revenues to decline c14% QoQ in 4Q26. For margins, with lower server rack-level sales contribution, we see GM to recover to 4.5%. Also, with further ramps of its sales scale, the management is expecting its overall OPM to gradually improve in the coming years and to near 2% OPM target level.

AI ASIC/CPU growth as the highlight in 2027 — Overall server demand remains solid, but Inventec is seeing supply chain resources prioritized to support hyperscalers demand. By projects, Inventec sees its ASIC/CPU shipment to grow double digit next year with rising mix from L10. Shipment for new AI GPU platform should start in 1Q27 and drive higher content value for the company.

Maintain Buy with lower TP at NT$65 — We cut our 2026/27/28 earnings by 12%/17%/13% as we reflect the lower margin assumptions as it further ramps its rack-level server business and initial higher cost in overseas expansion. Given our lower earnings estimates, we revise down our TP to NT$65 (from NT$75), based on our unchanged 17x PER to 2027 EPS.

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	7,306	2.04	19.1	27.0	2.8	11.0	3.1
2025A	8,690	2.42	18.9	22.7	2.6	11.8	3.2
2026E	12,131	3.38	39.6	16.2	2.7	16.3	4.5
2027E	13,391	3.73	10.4	14.7	2.6	18.0	5.0
2028E	15,505	4.32	15.8	12.7	2.4	19.5	5.8

Source: Powered by dataCentral

Buy

Price (10 Nov 26 13:30)	NT$54.90
Target price	NT$65.00↓
from NT$75.00	
Expected share price return	18.4%
Expected dividend yield	3.1%
Expected total return	21.5%
Market Cap	NT$196,952M
	US$6,009M

Price Performance
(RIC: 2356.TW, BB: 2356 TT)

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2356.TW: Fiscal year end 31-Dec — **Price: NT$54.90; TP: NT$65.00; Market Cap: NT$196,952m; Recomm: Buy**

Profit & Loss (NT$m)	2024	2025	2026E	2027E	2028E
Sales revenue	646,262	691,190	976,088	1,129,293	1,172,292
Cost of sales	-612,925	-654,476	-932,698	-1,084,551	-1,126,270
Gross profit	33,337	36,715	43,389	44,742	46,022
Gross Margin (%)	5.2	5.3	4.4	4.0	3.9
EBITDA (Adj)	**15,863**	**15,185**	**20,561**	**22,562**	**25,227**
EBITDA Margin (Adj) (%)	2.5	2.2	2.1	2.0	2.2
Depreciation	-4,009	-2,479	-3,204	-3,204	-3,204
Amortisation	0	0	0	0	0
EBIT (Adj)	**11,855**	**12,706**	**17,357**	**19,358**	**22,023**
EBIT Margin (Adj) (%)	1.8	1.8	1.8	1.7	1.9
Net interest	-3,095	-3,385	-4,361	-3,946	-3,946
Associates	-449	1,819	644	114	114
Non-Op/Except/Other Adj	938	865	1,824	1,320	1,320
Pre-tax profit	**9,248**	**12,006**	**15,464**	**16,846**	**19,511**
Tax	-1,944	-2,722	-3,310	-3,494	-4,066
Extraord./Min.Int./Pref.div.	1	-594	-22	39	60
Reported net profit	**7,306**	**8,690**	**12,131**	**13,391**	**15,505**
Net Margin (%)	1.1	1.3	1.2	1.2	1.3
Core NPAT	7,306	8,690	12,131	13,391	15,505

Per share data	2024	2025	2026E	2027E	2028E
Reported EPS ($)	2.04	2.42	3.38	3.73	4.32
Core EPS ($)	2.04	2.42	3.38	3.73	4.32
DPS ($)	1.70	1.78	2.49	2.75	3.18
CFPS ($)	-1.99	4.55	20.69	22.81	6.22
FCFPS ($)	-3.51	2.05	18.28	22.03	5.44
BVPS ($)	19.88	21.23	20.15	21.39	22.96
Wtd avg ord shares (m)	3,587	3,587	3,587	3,587	3,587
Wtd avg diluted shares (m)	3,587	3,587	3,587	3,587	3,587

Growth rates	2024	2025	2026E	2027E	2028E
Sales revenue (%)	25.5	7.0	41.2	15.7	3.8
EBIT (Adj) (%)	58.8	7.2	36.6	11.5	13.8
Core NPAT (%)	19.1	18.9	39.6	10.4	15.8
Core EPS (%)	19.1	18.9	39.6	10.4	15.8

Balance Sheet (NT$m)	2024	2025	2026E	2027E	2028E
Cash & cash equiv.	30,934	54,315	118,963	188,970	198,550
Accounts receivables	164,762	119,658	133,249	158,871	167,446
Inventory	65,147	76,912	158,538	216,076	227,781
Net fixed & other tangibles	39,553	47,687	35,803	35,399	34,995
Goodwill & intangibles	662	294	245	245	245
Financial & other assets	34,887	32,806	40,655	46,716	48,489
Total assets	**335,944**	**331,672**	**487,452**	**646,278**	**677,505**
Accounts payable	135,836	109,168	243,904	380,416	401,022
Short-term debt	65,675	76,307	77,832	77,832	77,832
Long-term debt	8,390	8,678	8,231	8,231	8,231
Provisions & other liab	55,557	61,071	84,923	102,781	107,761
Total liabilities	**265,458**	**255,224**	**414,890**	**569,260**	**594,846**
Shareholders' equity	71,320	76,177	72,276	76,731	82,373
Minority interests	-834	271	286	286	286
Total equity	**70,487**	**76,448**	**72,562**	**77,017**	**82,659**
Net debt (Adj)	**43,131**	**30,670**	**-32,900**	**-102,907**	**-112,487**
Net debt to equity (Adj) (%)	61.2	40.1	-45.3	-133.6	-136.1

Valuation ratios	2024	2025	2026E	2027E	2028E
PE (x)	27.0	22.7	16.2	14.7	12.7
PB (x)	2.8	2.6	2.7	2.6	2.4
EV/EBITDA (x)	13.3	14.3	8.9	5.0	2.9
FCF yield (%)	-6.4	3.7	33.3	40.1	9.9
Dividend yield (%)	3.1	3.2	4.5	5.0	5.8
Payout ratio (%)	83	74	74	74	74
ROE (%)	11.0	11.8	16.3	18.0	19.5

Cashflow (NT$m)	2024	2025	2026E	2027E	2028E
EBITDA	15,863	15,185	20,561	22,562	25,227
Working capital	-18,337	4,553	58,879	65,261	3,649
Other	-4,653	-3,422	-5,203	-6,006	-6,578
Operating cashflow	**-7,127**	**16,316**	**74,237**	**81,818**	**22,298**
Capex	-5,448	-8,959	-8,653	-2,800	-2,800
Net acq/disposals	-2,190	9,065	-3,633	-114	-114
Other	0	0	0	0	0
Investing cashflow	**-7,639**	**107**	**-12,286**	**-2,914**	**-2,914**
Dividends paid	-5,381	-6,099	-6,401	-8,936	-9,864
Financing cashflow	**16,329**	**8,245**	**-14,685**	**-8,897**	**-9,804**
Net change in cash	**2,839**	**24,667**	**47,266**	**70,007**	**9,580**
Free cashflow to s/holders	**-12,575**	**7,357**	**65,584**	**79,018**	**19,498**

For definitions of the items in this table, please click here.

Figure 1. Inventec – 3Q26 results overview

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	272,094	269,857	1%	176,286	54%	268,546	1%	268,103	1%
Gross profit	11,334	11,416	-1%	8,876	28%	12,562	-10%	12,247	-7%
Gross margin	4.2%	4.2%	-0.1 ppt	5.0%	-0.9 ppt	4.7%	-0.5 ppt	4.6%	-0.4 ppt
Op. profit	4,374	4,741	-8%	3,067	43%	5,848	-25%	5,079	-14%
OP margin	1.6%	1.8%	-0.1 ppt	1.7%	-0.1 ppt	2.2%	-0.6 ppt	1.9%	-0.3 ppt
Net income	2,538	3,895	-35%	2,729	-7%	4,425	-43%	3,435	-26%
EPS (NT$)	0.71	1.09	-35%	0.76	-7%	1.23	-43%	0.93	-24%

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Source: Citi Research, Bloomberg

Figure 2. Inventec – Estimates Revisions

(NT$mn)	2026E New	2026E Old	2026E Chg.	2027E New	2027E Old	2027E Chg.	2028E New	2028E Old	2028E Chg.
Sales	976,088	1,006,303	-3%	1,129,293	1,076,800	5%	1,172,292	1,131,031	4%
YoY growth	41%	46%		16%	7%		4%	5%	
Gross profit	43,389	47,744	-9%	44,742	57,766	-23%	46,022	61,499	-25%
Opex	26,032	29,226	-11%	25,384	35,378	-28%	23,999	37,159	-35%
Operating profit	17,357	18,519	-6%	19,358	22,389	-14%	22,023	24,340	-10%
Pre-tax profit	15,464	17,624	-12%	16,846	20,365	-17%	19,511	22,317	-13%
Net income	12,131	13,782	-12%	13,391	16,176	-17%	15,505	17,733	-13%
EPS (NT$)	3.38	3.84	-12%	3.73	4.51	-17%	4.32	4.94	-13%
Gross margin	4.4%	4.7%	-0.3 ppt	4.0%	5.4%	-1.4 ppt	3.9%	5.4%	-1.5 ppt
Opex ratio	2.7%	2.9%	-0.2 ppt	2.2%	3.3%	-1.0 ppt	2.0%	3.3%	-1.2 ppt
Operating margin	1.8%	1.8%	-0.1 ppt	1.7%	2.1%	-0.4 ppt	1.9%	2.2%	-0.3 ppt
Net margin	1.2%	1.4%	-0.1 ppt	1.2%	1.5%	-0.3 ppt	1.3%	1.6%	-0.2 ppt

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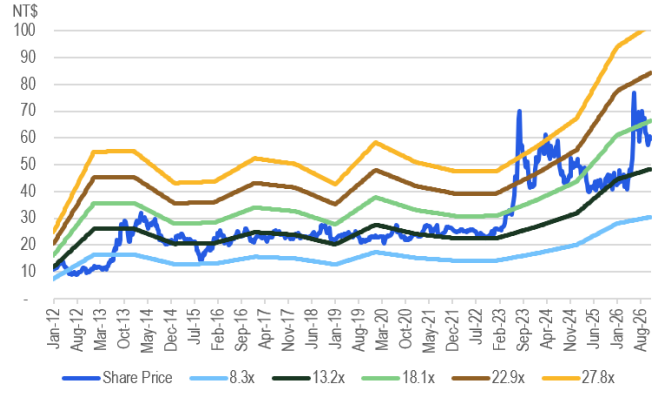
Source: Citi Research

Figure 3. Inventec – Forward P/E band



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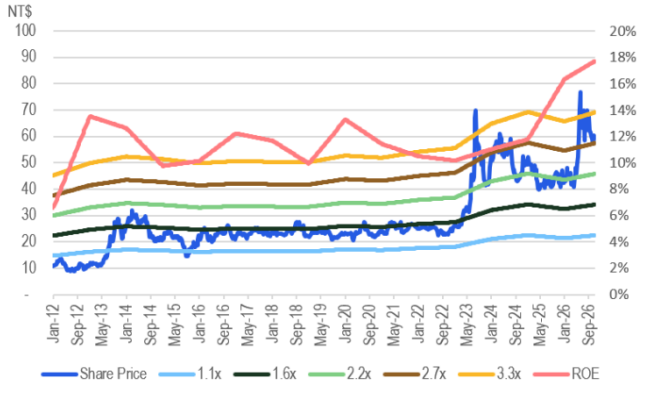
Source: Citi Research, company data

Figure 4. Inventec – Forward P/B band & ROE



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Source: Citi Research, company data

Figure 5. Inventec – Forecast Summary

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
Net sales	200,311	269,857	272,094	233,826	249,191	278,349	311,814	289,940	646,262	691,190	976,088	1,129,293	1,172,292
Gross profit	**10,177**	**11,416**	**11,334**	**10,463**	**10,343**	**10,705**	**12,259**	**11,435**	**33,337**	**36,715**	**43,389**	**44,742**	**46,022**
OPEX	6,562	6,675	6,960	5,846	5,731	6,124	6,860	6,669	21,482	24,008	26,032	25,384	23,999
Operating profit	**3,615**	**4,741**	**4,374**	**4,617**	**4,611**	**4,581**	**5,399**	**4,766**	**11,855**	**12,706**	**17,357**	**19,358**	**22,023**
Total Non-OP	(308)	276	(1,326)	(535)	(154)	(905)	(919)	(535)	(2,607)	(700)	(1,893)	(2,512)	(2,512)
Pre-tax profit	3,307	5,017	3,048	4,082	4,457	3,676	4,481	4,231	9,248	12,006	15,464	16,846	19,511
Income tax	873	1,117	504	816	869	882	896	846	1,944	2,722	3,310	3,494	4,066
Net profit	**2,428**	**3,895**	**2,538**	**3,260**	**3,582**	**2,809**	**3,600**	**3,400**	**7,306**	**8,690**	**12,131**	**13,391**	**15,505**
EPS (NT$)	**0.68**	**1.09**	**0.71**	**0.91**	**1.00**	**0.78**	**1.00**	**0.95**	**2.04**	**2.42**	**3.38**	**3.73**	**4.32**
Margins (%)													
Gross profit	**5.1**	**4.2**	**4.2**	**4.5**	**4.2**	**3.8**	**3.9**	**3.9**	**5.2**	**5.3**	**4.4**	**4.0**	**3.9**
OPEX to Sales Ratio	3.3	2.5	2.6	2.5	2.3	2.2	2.2	2.3	3.3	3.5	2.7	2.2	2.0
Operating profit	**1.8**	**1.8**	**1.6**	**2.0**	**1.9**	**1.6**	**1.7**	**1.6**	**1.8**	**1.8**	**1.8**	**1.7**	**1.9**
Pre-tax profit	1.7	1.9	1.1	1.7	1.8	1.3	1.4	1.5	1.4	1.7	1.6	1.5	1.7
Net profit	**1.2**	**1.4**	**0.9**	**1.4**	**1.4**	**1.0**	**1.2**	**1.2**	**1.1**	**1.3**	**1.2**	**1.2**	**1.3**
Y/Y(%)													
Net sales	27.6	44.6	54.3	36.5	24.4	3.1	14.6	24.0	25.5	7.0	41.2	15.7	3.8
Gross profit	8.1	20.1	27.7	17.3	1.6	(6.2)	8.2	9.3	26.6	10.1	18.2	3.1	2.9
OPEX	10.5	13.8	19.8	(8.5)	(12.7)	(8.3)	(1.4)	14.1	13.8	11.8	8.4	(2.5)	(5.5)
Operating profit	4.1	30.4	42.6	81.9	27.6	(3.4)	23.4	3.2	58.8	7.2	36.6	11.5	13.8
Pre-tax profit	53.6	72.3	(27.5)	48.8	34.8	(26.7)	47.0	3.7	27.8	29.8	28.8	8.9	15.8
Net profit	42.6	77.9	(7.0)	57.2	47.5	(27.9)	41.8	4.3	19.1	18.9	39.6	10.4	15.8
Q/Q(%)													
Net sales	16.9	34.7	0.8	(14.1)	6.6	11.7	12.0	(7.0)					
Gross profit	14.0	12.2	(0.7)	(7.7)	(1.1)	3.5	14.5	(6.7)					
OPEX	2.8	1.7	4.3	(16.0)	(2.0)	6.8	12.0	(2.8)					
Operating profit	42.4	31.1	(7.7)	5.6	(0.1)	(0.7)	17.9	(11.7)					
Pre-tax profit	20.5	51.7	(39.2)	33.9	9.2	(17.5)	21.9	(5.6)					
Net profit	17.1	60.4	(34.8)	28.4	9.9	(21.6)	28.1	(5.5)					

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Source: Citi Research, company data

Bull/Bear: Inventec (2356.TW)

NT$ 80.00 ▲46% Upside | NT$ 65.00 ▲18% Upside | NT$ 50.00 ▼8.9% Downside

Spread 55pp
Current Price and expected returns (upside/downside) as of 10 Nov 2026

BULL Assumptions

- Better than expected AI server project demand

BASE Assumptions

- OPM at 2.0-2.3% in 2026E-27E

BEAR Assumptions

- Weaker than expected AI server project demand

Inventec

Company description

Established in 1975 and listed in 1996, Taiwan-based Inventec is a key ODM of NBs, servers, smartphones, and wearable/IoT devices to global customers. Major shareholders include the founder Mr. Yeh Kuo-I, whose family has (both directly and indirectly) a c35% stake.

Investment strategy

We rate Inventec shares as Buy. We expect stable demand in NB and server to help support near-term earnings, while product diversification within smart devices to areas such as IoT and medical space should help improve L-T margins. We expect the company's solid cash yield to serve as a downside cushion.

Valuation

Our target price of NT$65 for Inventec shares is based on 17x 2027 EPS, which is slightly above the mid-point of its historical trading range, reflecting the company's product diversification and stable demand outlook led by servers and commercial NBs, as well as increasing AI server exposure that could potentially drive margin expansion and better earnings momentum.

Risks

Key downside risks that could impede the stock from reaching our target price include: 1) Slower-than-expected shipment growth/weaker-than-expected sell-through in HomePods and AirPods could lead to downside in our sales forecasts; 2) If competitors adopt aggressive pricing strategies to gain market shares, our ASP and margin assumptions could face downside risk; 3) Lower-than-expected server margins driven by rising exposure to Chinese customers could impact our earnings forecasts negatively; 4) Deterioration in NB demand and investment in solar would hurt our forecasts; and 5) Stronger-than-expected Taiwan dollar could lead to FX loss and downside to our current forecasts.

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Appendix A-1

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IMPORTANT DISCLOSURES

Inventec (2356.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Nicholas Lai

	Date	Rating	Target Price	Closing Price
1	10-Nov-23 10:22:40	1	*62.00	42.50
2	12-Mar-24 09:17:45	1	*70.00	55.60
3	13-Aug-24 11:11:17	1	*62.00	47.80
4	11-Nov-24 08:23:28	1	*61.00	54.10
5	13-May-25 08:27:49	1	*60.00	42.90
6	12-May-26 11:55:05	1	*63.00	48.70
7	11-Aug-26 07:41:48	1	*75.00	65.10

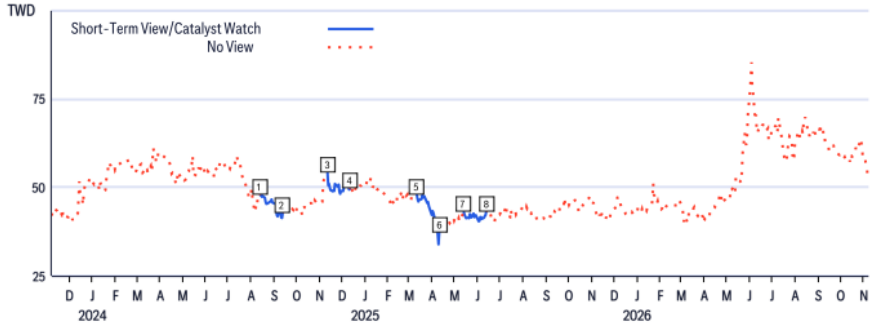
*Indicates Change

Rating/target price changes above reflect Eastern Time

Inventec (2356.TW)

Short-Term View/Catalyst Watch Research

Analyst: Nicholas Lai



	Date	Action	Expected Direction	Duration	Closing Price
1	13-Aug-24 07:11:17	Add STV	Downside	30 Days	47.80
2	12-Sep-24 21:44:41	Remove STV	Downside	30 Days	42.85
3	11-Nov-24 03:23:28	Add STV	Downside	30 Days	54.10
4	11-Dec-24 19:58:15	Remove STV	Downside	30 Days	49.60
5	11-Mar-25 03:52:14	Add STV	Upside	30 Days	47.80
6	10-Apr-25 21:37:35	Remove STV	Upside	30 Days	37.25
7	13-May-25 04:27:49	Add STV	Upside	30 Days	42.90
8	12-Jun-25 21:35:47	Remove STV	Upside	30 Days	43.05

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

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Citigroup Global Markets Taiwan Securities Company Limited	Jack Chen; Laura (Chia Yi) Chen; Nicholas Lai

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10 Nov 2026 08:33:07 ET | 12 pages

Zhen Ding Technology (4958.TW)

3Q26 margin beat on AI infra business; Buy

CITI'S TAKE

Zhen Ding's record 3Q26 GM of 27.7% (+4.6ppt QoQ) came 2.1ppt/2.6ppt higher than Citi/consensus forecasts, which we attribute to its AI infra businesses (especially ABF/BT substrate). ABF substrate now still runs at full UTR, while optical/server demand ramps up continuously.
Higher 3Q26 OPEX ratio vs 3Q25 was likely due to R&D expenses for upcoming projects. Overall, OP levels came in line with Citi forecast but beat consensus forecast by 11%. Non-op was due to high FX loss. As we previewed, we expect new AI infra businesses to be the key drivers from 3Q26 onward, while Apple-related business is muted in 2026E/27E with limited GM downside given mSAP supply tightness, in our view. Considering enhanced product mix, we think ZDT's GM could continues expanding in 4Q26E and likely 1Q27E backed by sustained growth in AI infra businesses. We reiterate our Buy rating with TP NT$750 (27x 2027E EPS).

Buy

Price (10 Nov 26 13:30)	NT$430.50
Target price	NT$750.00
Expected share price return	74.2%
Expected dividend yield	1.7%
Expected total return	75.9%
Market Cap	NT$487,927M
	US$14,886M

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Figure 1. Zhen Ding's 3Q26 results

(NT$mn)	3Q26 Actual	3Q25 Actual	2Q26 Actual	YoY	QoQ	3Q26 Citi	diff	3Q26 Consensus	diff
Revenue	64,624	47,366	48,431	36%	33%	64,415	0%	63,943	1%
Gross profit	17,913	10,410	11,186	72%	60%	16,510	8%	16,080	11%
OP profit	8,717	4,530	3,761	92%	132%	8,716	0%	7,866	11%
Non-op	(692)	131	1,170			221		252	
PBT	8,026	4,661	4,931	72%	63%	8,937	-10%	8,118	-1%
Tax	(1,110)	(1,072)	(1,204)			(1,787)		na	
Minority	(2,419)	(1,197)	(1,335)			(2,073)		na	
Net Income	4,496	2,392	2,392	88%	88%	5,076	-11%	4,865	-8%
EPS (NT$)	4.05	2.16	2.16	88%	88%	4.58	-11%	4.39	-8%
GM	27.7%	22.0%	23.1%	5.7 ppt	4.6 ppt	25.6%	2.1 ppt	25.1%	2.6 ppt
OPEX ratio	-14.2%	-12.4%	-15.3%	-1.8 ppt	1.1 ppt	-12.1%	-2.1 ppt	-12.8%	-1.4 ppt
OPM	13.5%	9.6%	7.8%	3.9 ppt	5.7 ppt	13.5%	-0.0 ppt	12.3%	1.2 ppt
Tax rate	13.8%	23.0%	24.4%			20.0%		na	
NM	7.0%	5.0%	4.9%	1.9 ppt	2.0 ppt	7.9%	-0.9 ppt	7.6%	-0.7 ppt

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Source: Citi Research Estimates, Bloomberg

Bull/Bear: Zhen Ding Technology

NT$ 800.00 ▲86% Upside | NT$ 750.00 ▲74% Upside | NT$ 500.00 ▲16% Upside

Spread 70pp
Current Price and expected returns (upside/downside) as of 10 Nov 2026

BULL Assumptions

- Stronger market share gains in SLP/HDI
- More progress in AI business, especially in GB200
- Better ABF demand from China market

BASE Assumptions

- 2027/28E sales growth of +35%/+27% YoY
- 2027/28E GM of 29.4%/33.1%

BEAR Assumptions

- Harsher margin dilution from stronger capex
- Worse-than-expected ABF demand from China market

Zhen Ding Technology

Valuation

We set a DCF-based TP of NT$750. We use a DCF-based valuation to reflect ZDT's ability to generate stable cash flows. Key assumptions of our DCF model include a risk-free rate of 5.2% (10-year government bond rate), a market risk premium of 7%, and an equity beta of 0.89 (1-year weekly share price), deriving a WACC of 10.7%. Our model assumes high-single-digit long-term growth after 2028E and a 21.6% EBIT margin from 2028E with a gradual annual increase. Our TP is equivalent to 27x/17x 2027E/28E EPS and 4.5x/3.8x 2027E/28E BVPS.

Risks

Key downside risks that could cause the stock to trade below our target price include: 1) lower-than-expected iPhone/Mac/iPad end-demand; 2) lower content value for new smartphone models or pricing pressure; 3) ZDT losing market share from its FPC/HDI peers; 4) a slower demand in the substrate industry; 5) failure to pass the qualifications of major AI GPU or ASIC customers.

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Appendix A-1

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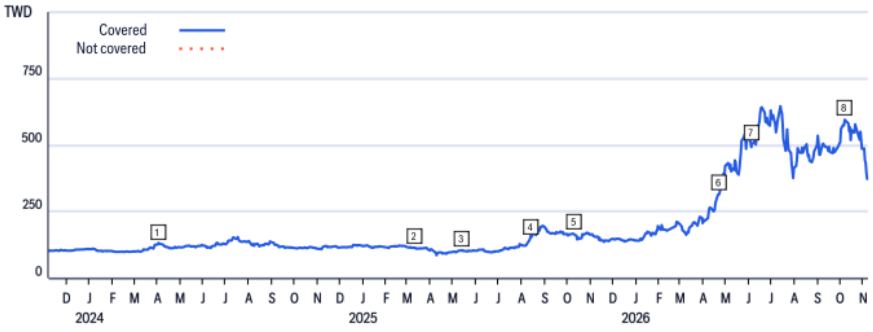
Zhen Ding Technology (4958.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Jack Chen



	Date	Rating	Target Price	Closing Price
1	01-Apr-24 14:07:45	1	*180.00	126.50
2	11-Mar-25 14:42:34	1	*150.00	113.50
3	13-May-25 13:56:39	1	*127.00	104.50
4	12-Aug-25 21:00:15	1	*170.00	147.00
5	10-Oct-25 03:35:47	*3	*150.00	166.00
6	22-Apr-26 04:54:40	3	*180.00	315.00
7	05-Jun-26 11:34:58	*1	*600.00	504.00
8	07-Oct-26 15:44:06	1	*750.00	595.00

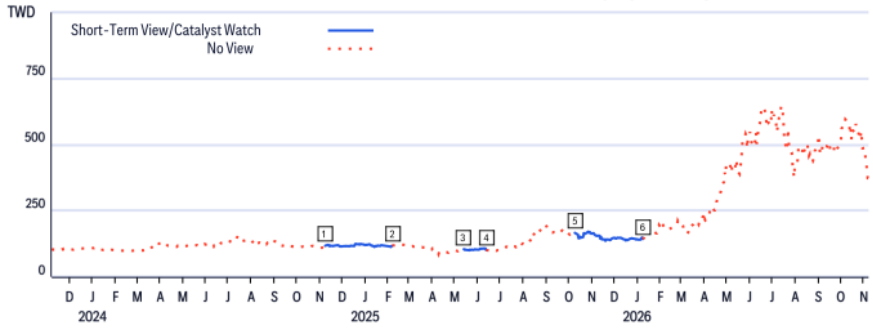
*Indicates Change

Rating/target price changes above reflect Eastern Time

Zhen Ding Technology (4958.TW)

Short-Term View/Catalyst Watch Research

Analyst: Jack Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Nov-24 08:14:31	Add CW	Upside	90 Days	117.50
2	06-Feb-25 19:44:32	Remove CW	Upside	90 Days	117.50
3	13-May-25 09:56:39	Add STV	Downside	30 Days	104.50
4	12-Jun-25 21:35:38	Remove STV	Downside	30 Days	101.00
5	09-Oct-25 23:35:47	Add CW	Downside	90 Days	166.00
6	08-Jan-26 19:58:49	Remove CW	Downside	90 Days	143.00

CW - Catalyst Watch , STV - Short-Term View

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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Asia Vital Components (3017 TT)

Target price: **TWD4,815.00** (from TWD4,815.00)

Share price (10 Nov): **TWD2,790.00** | Up/downside: **+72.6%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 review: liquid cooling penetration rate rises

- 3Q26 EPS beat the Bloomberg consensus by 3%
- Started shipments of double-sided cold plates and CDUs from 3Q26
- Reaffirming our Buy (1) call with an unchanged 12M TP of TWD4,815

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What's new: AVC announced its 3Q26 results and hosted an investor conference on 10 November 2026 after market hours. We believe AVC will be one of the key beneficiaries from the rising penetration rate of liquid cooling in both ASIC and GPU projects, with an aggressive capacity expansion plan over 2026-28. We reaffirm our Buy (1) call (see our latest Flash, *3Q26 results preview: likely to beat expectations*, on 2 November).

What's the impact: 3Q26 results beat the Bloomberg consensus. AVC's 3Q26 revenue of TWD59,089m (+20.3% QoQ; +51.8% YoY) was roughly in line with our and the Bloomberg consensus estimates. Its 3Q26 gross margin came in at 33.9% (vs. 32.6% in 2Q26 and 26.1% in 3Q25), a record-high level, higher than our estimate (33.5%) and the consensus (33.3%) on better product mix and high server revenue contribution of 66% in 3Q26 vs. 66% in 2Q26 and 54% in 3Q25. Its operating profit of TWD16,856m (+25.1% QoQ; +108.5% YoY) was in line with our estimate and beat the consensus by 4.2%. Thus, its operating margin of 28.5% (vs. 27.4% in 2Q26 and 20.8% in 3Q25), a record-high level, was also in line with our estimate and beat the consensus (27.9%). With an FX loss of TWD304m, its net profit of TWD11,564m (+20.9% QoQ; +116.6% YoY) was in line with our estimate and beat the market consensus estimate by 3%. Its 3Q26 EPS finished at TWD29.32.

Key highlights from the investor conference – liquid cooling revenue from AI servers continue to rise. AVC is confident it can maintain its leading position as a thermal and mechanical solution integrator, being a primary design partner for ASIC and GPU projects. In 2027, AVC expects its revenue from ASICs projects to be higher than GPU ones. From 3Q26, AVC has started shipping the double-sided cold plates, which it expects to be adopted by all ASIC clients and some GPU clients. With years of experience in providing CDU parts, AVC has also started shipping complete CDU solutions from 3Q26. AVC aims for TWD15-20bn capex in 2027 (mainly in Vietnam, for liquid cooling capacity expansion), up from TWD15bn in 2026E. We keep our 2026-28E EPS broadly unchanged.

What we recommend: We reaffirm our Buy (1) call and 12M TP of TWD4,815, still based on a target PER of 30x vs. its past-3-year PER range of 5-25x [average PER of 15x]) applied to our 1-year-forward EPS. Downside risks: slower-than-expected progress in high-gross-margin orders, slow AI server adoption, and strong competition.

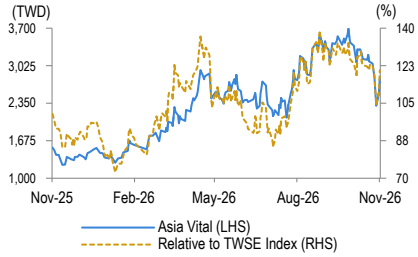
How we differ: Our 2028E EPS is 8% above consensus, likely on our more aggressive gross- and operating margins.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	-	-	-
Net profit change	(1.6)	(0.5)	(0.3)
Core EPS (FD) change	(1.3)	(0.1)	-

Source: Daiwa forecasts

Share price performance



12-month range	1,240.00-3,685.00
Market cap (USDbn)	32.87
3m avg daily turnover (USDm)	335.50
Shares outstanding (m)	388
Major shareholder	Furukawa Electric (13.8%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	225,252	317,002	430,715
Operating profit (m)	61,468	92,248	128,353
Net profit (m)	41,640	63,842	89,120
Core EPS (fully-diluted)	104.502	160.223	223.661
EPS change (%)	116.6	53.3	39.6
Daiwa vs Cons. EPS (%)	(0.4)	(2.0)	7.9
PER (x)	26.7	17.4	12.5
Dividend yield (%)	1.5	2.3	3.2
DPS	42.3	64.9	90.6
PBR (x)	12.9	8.4	5.7
EV/EBITDA (x)	16.2	10.5	7.3
ROE (%)	64.2	59.0	54.8

Source: FactSet, Daiwa forecasts

AVC: revenue and earnings forecasts revisions

	2026E			2027E			2028E		
(TWDm)	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	**225,252**	**225,252**	0.0%	**317,002**	**317,002**	0.0%	**430,715**	**430,715**	0.0%
Gross profit	**73,883**	**73,883**	0.0%	**109,366**	**109,366**	0.0%	**150,750**	**150,750**	0.0%
Gross margin	*32.8%*	*32.8%*	0pp	*34.5%*	*34.5%*	0pp	*35.0%*	35.0%	0pp
Operating profit	**61,468**	**61,651**	-0.3%	**92,248**	**92,248**	0.0%	**128,353**	**128,353**	0.0%
Operating margin	*27.3%*	*27.4%*	-0.1pp	*29.1%*	*29.1%*	0pp	*29.8%*	29.8%	0pp
Net profit	**41,640**	**42,338**	-1.6%	**63,842**	**64,134**	-0.5%	**89,120**	**89,411**	-0.3%
Net margin	*18.5%*	*18.8%*	-0.3pp	*20.1%*	*20.2%*	-0.1pp	*20.7%*	20.8%	-0.1pp
Fully Diluted EPS (TWD)	**104.50**	**105.88**	-1.3%	**160.22**	**160.39**	-0.1%	**223.66**	**223.60**	0.0%

Source: Daiwa forecasts

AVC: 3Q26 results review

(TWDm)	AVC's 3Q26 results	Daiwa's forecast	Differ	Bloomberg consensus	Differ
Revenue	59,089	59,089	0.0%	57,904	2.0%
Gross profit	20,010	19,795	1.1%	19,301	3.7%
Operating profit	16,856	16,845	0.1%	16,178	4.2%
Profit before tax	16,752	17,301	-3.2%	16,389	2.2%
Net profit	11,564	11,630	-0.6%	11,222	3.0%
EPS	29.32	29.62	-1.0%	28.43	3.1%
Margin					
Gross margin	33.9%	33.5%	0.4pp	33.3%	0.5pp
Operating margin	28.5%	28.5%	0pp	27.9%	0.6pp
Pre-tax margin	28.4%	29.3%	-0.9pp	28.3%	0pp
Net margin	19.6%	19.7%	-0.1pp	19.4%	0.2pp

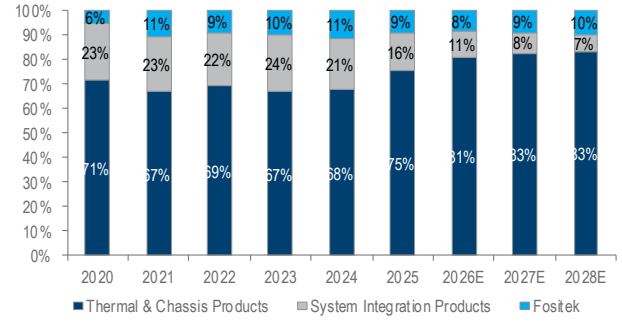
Source: Company, Bloomberg, Daiwa forecasts

AVC: quarterly and annual P&L

	2026E				2027E						
(TWDm)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E
Revenue	49,038	49,121	59,089	68,004	70,000	75,000	78,000	94,002	225,252	317,002	430,715
Gross profit	14,597	15,999	20,010	23,277	23,940	25,875	26,988	32,563	73,883	109,366	150,750
Operating profit	12,019	13,478	16,856	19,116	19,890	21,675	22,688	27,995	61,468	92,248	128,353
Pre-tax profit	11,979	13,935	16,752	19,357	20,304	22,089	23,102	28,409	62,023	93,903	130,009
Net profit	7,916	9,567	11,564	12,593	13,977	15,276	15,413	19,176	41,640	63,842	89,120
Basic EPS (TWD)	20.17	24.37	29.32	31.93	35.51	38.81	39.16	48.72	105.79	162.20	226.42
Margin											
Gross margin	29.8%	32.6%	33.9%	34.2%	34.2%	34.5%	34.6%	34.6%	32.8%	34.5%	35.0%
Operating margin	24.5%	27.4%	28.5%	28.1%	28.4%	28.9%	29.1%	29.8%	27.3%	29.1%	29.8%
Pre-tax margin	24.4%	28.4%	28.4%	28.5%	29.0%	29.5%	29.6%	30.2%	27.5%	29.6%	30.2%
Net margin	16.1%	19.5%	19.6%	18.5%	20.0%	20.4%	19.8%	20.4%	18.5%	20.1%	20.7%
YoY											
Revenue	110.2%	66.0%	51.8%	42.3%	42.7%	52.7%	32.0%	38.2%	61.3%	40.7%	35.9%
Gross profit	142.2%	121.5%	96.7%	84.6%	64.0%	61.7%	34.9%	39.9%	105.0%	48.0%	37.8%
Operating profit	175.6%	164.5%	108.5%	90.9%	65.5%	60.8%	34.6%	46.4%	123.1%	50.1%	39.1%
Pre-tax profit	159.3%	136.3%	103.9%	92.6%	69.5%	58.5%	37.9%	46.8%	115.5%	51.4%	38.4%
Net profit	146.3%	139.3%	116.6%	89.8%	76.6%	59.7%	33.3%	52.3%	117.0%	53.3%	39.6%
QoQ											
Revenue	2.6%	0.2%	20.3%	15.1%	2.9%	7.1%	4.0%	20.5%			
Gross profit	15.8%	9.6%	25.1%	16.3%	2.9%	8.1%	4.3%	20.7%			
Operating profit	20.0%	12.1%	25.1%	13.4%	4.0%	9.0%	4.7%	23.4%			
Pre-tax profit	19.2%	16.3%	20.2%	15.5%	4.9%	8.8%	4.6%	23.0%			
Net profit	19.3%	20.9%	20.9%	8.9%	11.0%	9.3%	0.9%	24.4%			

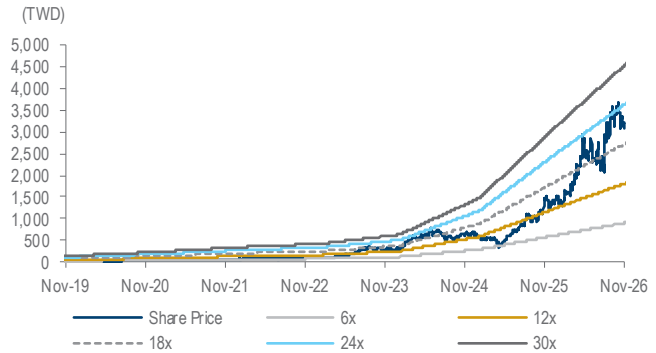
Source: Company, Daiwa forecasts

AVC: product mix



Source: Company, Daiwa forecasts

AVC: 1-year-forward PER



Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal & chassis revenue YoY growth (%)	11.5	22.5	2.2	22.7	116.8	73.4	43.9	37.0
System integration products revenue YoY growth (%)	17.7	14.9	13.9	7.6	46.4	10.0	10.0	10.0
Fositek revenue YoY growth (%)	126.1	(0.2)	12.5	45.0	51.9	50.0	50.0	50.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Thermal & Chassis	31,609	38,707	39,542	48,511	105,148	182,341	262,343	359,405
System Integration Products	10,702	12,296	14,005	15,070	22,063	24,269	26,696	29,366
Other Revenue	5,022	5,013	5,647	8,181	12,428	18,642	27,963	41,944
Total Revenue	**47,333**	**56,017**	**59,194**	**71,761**	**139,639**	**225,252**	**317,002**	**430,715**
Other income	0	0	0	0	0	0	0	0
COGS	(38,947)	(45,167)	(46,806)	(54,891)	(103,605)	(151,370)	(207,637)	(279,965)
SG&A	(1,186)	(1,637)	(1,793)	(1,892)	(2,900)	(4,505)	(6,340)	(8,614)
Other op.expenses	(2,373)	(2,907)	(3,174)	(4,156)	(5,579)	(7,909)	(10,778)	(13,783)
Operating profit	**4,827**	**6,306**	**7,421**	**10,823**	**27,556**	**61,468**	**92,248**	**128,353**
Net-interest inc./(exp.)	(120)	(184)	(46)	114	91	355	355	355
Assoc/forex/extraord./others	61	367	650	1,415	1,140	199	1,300	1,300
Pre-tax profit	**4,768**	**6,489**	**8,025**	**12,352**	**28,786**	**62,023**	**93,903**	**130,009**
Tax	(1,438)	(1,871)	(2,211)	(3,159)	(7,836)	(16,883)	(25,561)	(35,389)
Min. int./pref. div./others	(429)	(456)	(510)	(1,020)	(1,764)	(3,500)	(4,500)	(5,500)
Net profit (reported)	**2,901**	**4,162**	**5,305**	**8,172**	**19,186**	**41,640**	**63,842**	**89,120**
Net profit (adjusted)	**2,901**	**4,162**	**5,305**	**8,172**	**19,186**	**41,640**	**63,842**	**89,120**
EPS (reported)(TWD)	**8.210**	**11.781**	**14.106**	**21.210**	**49.173**	**105.790**	**162.198**	**226.417**
EPS (adjusted)(TWD)	**8.210**	**11.781**	**14.106**	**21.210**	**49.173**	**105.790**	**162.198**	**226.417**
EPS (adjusted fully-diluted)(TWD)	**8.176**	**11.728**	**13.706**	**20.622**	**48.238**	**104.502**	**160.223**	**223.661**
DPS (TWD)	**4.300**	**5.000**	**6.960**	**9.930**	**21.000**	**42.316**	**64.879**	**90.567**
EBIT	**4,827**	**6,306**	**7,421**	**10,823**	**27,556**	**61,468**	**92,248**	**128,353**
EBITDA	**6,404**	**8,022**	**9,375**	**13,285**	**30,802**	**64,737**	**96,959**	**134,688**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	4,768	6,489	8,025	12,352	28,786	62,023	93,903	130,009
Depreciation and amortisation	1,577	1,716	1,954	2,463	3,246	3,268	4,711	6,334
Tax paid	(780)	(1,582)	(1,616)	(2,430)	(3,253)	(16,883)	(25,561)	(35,389)
Change in working capital	(3,275)	(1,339)	3,683	(7,379)	(390)	(15,295)	(7,136)	(16,975)
Other operational CF items	551	3,556	(1,722)	4,628	10,932	(368)	(355)	(355)
Cash flow from operations	**2,841**	**8,840**	**10,324**	**9,632**	**39,321**	**32,745**	**65,562**	**83,624**
Capex	(1,567)	(3,666)	(3,657)	(4,540)	(7,267)	(15,000)	(17,000)	(19,000)
Net (acquisitions)/disposals	43	(12)	(23)	(66)	3	0	0	0
Other investing CF items	(636)	(515)	(226)	(3,063)	(6,072)	0	0	0
Cash flow from investing	**(2,160)**	**(4,194)**	**(3,907)**	**(7,669)**	**(13,336)**	**(15,000)**	**(17,000)**	**(19,000)**
Change in debt	1,793	4,037	(1,474)	3,309	7,054	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(989)	(1,519)	(1,915)	(2,683)	(3,877)	(7,059)	(16,656)	(25,537)
Other financing CF items	355	(436)	4,261	(426)	(557)	0	0	0
Cash flow from financing	**1,159**	**2,082**	**872**	**200**	**2,620**	**(7,059)**	**(16,656)**	**(25,537)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**1,841**	**6,728**	**7,289**	**2,163**	**28,605**	**10,686**	**31,906**	**39,087**
Free cash flow	1,275	5,174	6,667	5,092	32,053	17,745	48,562	64,624

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	12,915	20,049	26,957	29,924	58,530	69,229	101,134	140,222
Inventory	16,374	18,951	19,369	35,473	51,484	84,174	108,007	149,512
Accounts receivable	6,762	5,081	7,196	8,306	13,212	21,976	29,235	40,871
Other current assets	2,580	1,405	1,370	2,389	2,950	2,950	2,950	2,950
Total current assets	**38,631**	**45,486**	**54,892**	**76,092**	**126,176**	**178,328**	**241,326**	**333,554**
Fixed assets	7,711	9,694	11,350	13,805	17,849	29,581	41,870	54,535
Goodwill & intangibles	151	134	177	169	195	195	195	195
Other non-current assets	4,372	5,160	5,248	9,839	15,916	15,916	15,916	15,916
Total assets	**50,865**	**60,474**	**71,667**	**99,906**	**160,137**	**224,020**	**299,307**	**404,201**
Short-term debt	5,028	7,970	7,583	13,130	16,311	16,311	16,311	16,311
Accounts payable	20,116	18,911	24,900	36,809	61,128	87,988	112,645	149,514
Other current liabilities	2,832	5,999	4,350	8,350	20,057	13,025	13,025	13,025
Total current liabilities	**27,976**	**32,880**	**36,833**	**58,288**	**97,495**	**117,324**	**141,981**	**178,850**
Long-term debt	3,730	4,908	3,678	4,049	7,623	7,623	7,623	7,623
Other non-current liabilities	5,074	5,263	5,309	4,096	4,453	4,453	4,453	4,453
Total liabilities	**36,780**	**43,051**	**45,820**	**66,433**	**109,572**	**129,401**	**154,058**	**190,926**
Share capital	3,533	3,533	3,833	3,883	3,983	3,936	3,936	3,936
Reserves/R.E./others	8,880	11,963	18,197	24,988	40,618	81,220	127,349	189,875
Shareholders' equity	**12,413**	**15,496**	**22,030**	**28,871**	**44,601**	**85,156**	**131,285**	**193,811**
Minority interests	1,672	1,927	3,817	4,602	5,964	9,464	13,964	19,464
Total equity & liabilities	**50,865**	**60,474**	**71,667**	**99,906**	**160,137**	**224,020**	**299,307**	**404,201**
EV	1,080,512	1,077,752	1,071,118	1,074,854	1,054,365	1,047,167	1,019,761	986,174
Net debt/(cash)	**(4,157)**	**(7,171)**	**(15,696)**	**(12,745)**	**(34,596)**	**(45,294)**	**(77,200)**	**(116,287)**
BVPS (TWD)	**35.134**	**43.861**	**57.472**	**74.929**	**114.306**	**216.347**	**333.542**	**492.394**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	19.3	18.3	5.7	21.2	94.6	61.3	40.7	35.9
EBITDA (YoY)	41.8	25.3	16.9	41.7	131.8	110.2	49.8	38.9
Operating profit (YoY)	47.2	30.6	17.7	45.8	154.6	123.1	50.1	39.1
Net profit (YoY)	51.4	43.5	27.4	54.1	134.8	117.0	53.3	39.6
Core EPS (fully-diluted) (YoY)	51.3	43.4	16.9	50.5	133.9	116.6	53.3	39.6
Gross-profit margin	17.7	19.4	20.9	23.5	25.8	32.8	34.5	35.0
EBITDA margin	13.5	14.3	15.8	18.5	22.1	28.7	30.6	31.3
Operating-profit margin	10.2	11.3	12.5	15.1	19.7	27.3	29.1	29.8
Net profit margin	6.1	7.4	9.0	11.4	13.7	18.5	20.1	20.7
ROAE	25.2	29.8	28.3	32.1	52.2	64.2	59.0	54.8
ROAA	6.2	7.5	8.0	9.5	14.8	21.7	24.4	25.3
ROCE	23.5	23.7	22.0	24.7	44.0	63.7	64.1	63.2
ROIC	39.4	44.5	52.7	52.2	n.a	n.a	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	30.2	28.8	27.5	25.6	27.2	27.2	27.2	27.2
Accounts receivable (days)	49.6	38.6	37.9	39.4	28.1	28.5	29.5	29.7
Current ratio (x)	1.4	1.4	1.5	1.3	1.3	1.5	1.7	1.9
Net interest cover (x)	40.3	34.2	162.1	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	52.4	42.4	49.3	46.8	42.7	40.0	40.0	40.0
Free cash flow yield	0.1	0.5	0.6	0.5	3.0	1.6	4.5	6.0

Source: FactSet, Daiwa forecasts

Company profile

AVC is a global leading comprehensive thermal solutions provider in segments related to desktops, laptops, communication, servers, energy and autos. Its main product line includes thermal products (thermal modules and fans), chassis, system assembly and peripheral products and hinges. The company has been listed on Taiwan's main board since September 2002.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	The CEO and Chairperson of AVC are the same individual, but we see no issue with its board quality. Besides, we see the Chairperson has 24 years of experience in this industry, which is a positive sign from an executive perspective.
	Capital management	2	AVC's dividend payout ratio was 40-52% over 2020-25, likely due to its capacity expansion plans.
	Related party & transaction	2	Revenue generated from related-party transactions was 1-3% of total revenue during 2021-25, and we found no suspicious activity.
E	Supply chain management	1	AVC has introduced Hazardous Substance Process Management (HSPM) and received QC080000 certification. In addition, AVC set up a Green Product team to promote HSPM and formulate environmental regulation to make sure its material sourcing and efficiency are well-performed.
E	Data security	1	To prevent the interruption of information systems and leakage of sensitive information causing losses to the company and customers, AVC has introduced an information security management system and passed the ISO 27001 information security management system certification in 2019.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 6 May 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
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Gold Circuit Electronics (2368 TT)

Target price: **TWD1,600.00** (from TWD1,650.00)

Share price (10 Nov): **TWD983.00** | Up/downside: **+62.8%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 review: results largely in line with our estimates

- GM expands with spec upgrade and favourable pricing environment
- New client and new products likely to be key growth drivers in 2027
- Maintaining Buy (1) rating; trimming 12M TP to TWD1,600

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What's new: We review GCE's 3Q26 results, released on 10 November.

What's the impact: 3Q26 beat Bloomberg consensus. GCE's 3Q26 earnings came in at TWD6.39bn (EPS: TWD12.4), in line with our estimate and 3% higher vs. the street's. While revenue was 7% lower than our expectation due to flooding in Thailand and product transition, gross margin expanded by 4pp QoQ to 38.7% mainly due to easing raw-material cost inflation and its own price increases. However, net income was impacted by higher non-op loss of TWD238m (likely due to FX loss) though offset by a lower effective tax rate of 25% as Thailand plant turned more profitable.

Business outlook. Looking ahead, GCE now guides for revenue to be flattish QoQ in 4Q26. We suspect that AMZN's ASIC AI server gradually shifting its model from air-cooled (2 chipsets per mainboard) to liquid-cooled (4 chipsets) and the year-end inventory-taking are the key reasons. However, we expect the stagnant revenue momentum to be short-lived and growth momentum to resume with new projects (including Google's TPU and MSFT's Maia) contributing from 1H27.

In 2H27, we expect new capacity ramps at its 2nd plant in Thailand and 2nd plant in Suzhou (acquisition of Pegatron's land; across the 1st plant in Suzhou) to be growth drivers, which could further increase its allocation in major ASIC AI server projects. As for concerns over the thicker-HDI board (a combination of sequential lamination HLC and HDI together) that we highlighted in in our previous note (2Q26 results review: profitability missed slightly), we believe GCE has already overcome the difficulties for 3-lamination HDI and can now successfully produce AMZN's requirement on its Trn4 AI server heavy HDI board. However, GCE might still need to achieve the requirement for Google's TPU v9 which requires c.5-6 lamination techniques. We believe the capacity expansion in 2027 would not be enough to catch up with AI demand growth in 2027. As such, we believe it will further drive price hikes in CCL raw-material, CCL, and PCB, and see gross margin (GM) expansion over our forecast horizon. We raise our GM forecasts to 40.5%/41.3% (prior: 38.0/40.2%) for 2027-28E.

What we recommend: We raise our 2027-28E EPS by 1-10% to reflect its 3Q26 results and higher GM on current supply-demand dynamics. We reaffirm our Buy (1) call but trim our 12M TP to TWD1,600 with a lower PER target of 21x (prior: 26x; vs. past-3-year range of 7-28x), on our 4-quarter-forward diluted EPS, to reflect weaker market sentiment and on-going concerns over HDI. Key risk: worse-than-expected AI server demand.

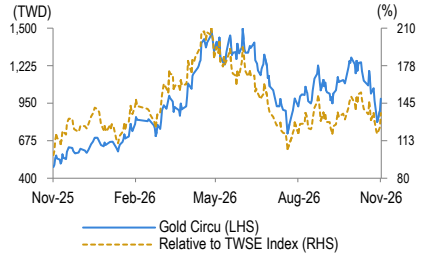
How we differ: Our 2027-28E earnings are 4-5% higher than consensus, likely due to our higher profitability assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(4.4)	(0.8)	(0.8)
Net profit change	1.0	11.7	2.3
Core EPS (FD) change	(0.2)	10.3	1.0

Source: Daiwa forecasts

Share price performance



12-month range	498.50-1,495.00
Market cap (USDbn)	15.43
3m avg daily turnover (USDm)	343.85
Shares outstanding (m)	517
Major shareholder	Yang Chang-Yi (19.7%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	102,437	156,697	216,612
Operating profit (m)	29,160	51,237	75,415
Net profit (m)	21,300	38,641	53,732
Core EPS (fully-diluted)	41.196	74.733	103.920
EPS change (%)	116.6	81.4	39.1
Daiwa vs Cons. EPS (%)	(0.8)	4.8	3.8
PER (x)	23.9	13.2	9.5
Dividend yield (%)	1.0	1.9	3.1
DPS	10.0	19.0	30.0
PBR (x)	10.2	6.5	4.4
EV/EBITDA (x)	17.0	9.8	6.5
ROE (%)	51.2	60.2	55.0

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

GCE: Daiwa's revenue and earnings forecasts vs. consensus

	2026E			2027E			2028E		
(TWDm)	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	107,164	102,437	107,364	157,914	156,697	164,205	218,256	216,612	214,339
Diff (%)		**-4.4%**	**-4.6%**		**-0.8%**	**-4.6%**		**-0.8%**	**1.1%**
Gross Margin (%)	35.5%	37.2%	36.1%	38.0%	40.5%	38.8%	40.2%	41.3%	39.8%
Operating profit	29,573	29,160	30,181	48,569	51,237	52,435	73,797	75,415	70,075
Op Margin (%)	27.6%	28.5%	28.1%	30.8%	32.7%	31.9%	33.8%	34.8%	32.7%
Net profit	21,082	21,300	21,462	34,600	38,641	36,855	52,511	53,732	51,748
EPS (TWD)	41.29	41.20	41.51	67.77	74.73	71.28	102.86	103.92	100.08
Diff (%)		**-0.2%**	**-0.8%**		**10.3%**	**4.8%**		**1.0%**	**3.8%**

Source: Bloomberg, Daiwa forecasts

GCE: quarterly and annual P&L statement

	2026E				2027E							
(TWDm)	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Net revenue	**19,313**	**24,279**	**29,567**	**29,278**	**32,424**	**38,161**	**41,962**	**44,149**	**60,004**	**102,437**	**156,697**	**216,612**
COGS	-12,590	-15,866	-18,125	-17,780	-19,543	-22,786	-24,899	-26,030	-40,321	-64,361	-93,257	-127,129
Gross profit	**6,722**	**8,413**	**11,443**	**11,499**	**12,881**	**15,375**	**17,063**	**18,119**	**19,683**	**38,077**	**63,439**	**89,483**
Operating expenses	-1,538	-1,996	-2,690	-2,694	-2,821	-3,053	-3,105	-3,223	-5,640	-8,917	-12,202	-14,068
Operating profit	**5,185**	**6,418**	**8,753**	**8,805**	**10,060**	**12,322**	**13,958**	**14,896**	**14,043**	**29,160**	**51,237**	**75,415**
Non-operating profit	-97	-118	-238	58	69	75	69	71	130	-395	284	264
Pre-tax profit	**5,088**	**6,299**	**8,515**	**8,863**	**10,130**	**12,397**	**14,027**	**14,967**	**14,173**	**28,765**	**51,521**	**75,678**
Income taxes	-1,604	-1,516	-2,129	-2,216	-2,532	-3,099	-3,507	-3,742	-4,567	-7,465	-12,880	-21,947
Net profit	**3,484**	**4,783**	**6,386**	**6,647**	**7,597**	**9,298**	**10,520**	**11,225**	**9,607**	**21,300**	**38,641**	**53,732**
Net EPS (TWD)	**6.82**	**9.25**	**12.35**	**12.86**	**14.69**	**17.98**	**20.35**	**21.71**	**19.02**	**41.20**	**74.73**	**103.92**
Operating Ratios												
Gross margin	34.8%	34.7%	38.7%	39.3%	39.7%	40.3%	40.7%	41.0%	32.8%	37.2%	40.5%	41.3%
Operating margin	26.8%	26.4%	29.6%	30.1%	31.0%	32.3%	33.3%	33.7%	23.4%	28.5%	32.7%	34.8%
Pre-tax margin	26.3%	25.9%	28.8%	30.3%	31.2%	32.5%	33.4%	33.9%	23.6%	28.1%	32.9%	34.9%
Net margin	18.0%	19.7%	21.6%	22.7%	23.4%	24.4%	25.1%	25.4%	16.0%	20.8%	24.7%	24.8%
YoY (%)												
Net revenue	60%	75%	67%	78%	68%	57%	42%	51%	54%	71%	53%	38%
Gross profit	78%	105%	82%	108%	92%	83%	49%	58%	73%	93%	67%	41%
Operating profit	104%	124%	88%	121%	94%	92%	59%	69%	74%	108%	76%	47%
Pre-tax profit	92%	151%	80%	107%	99%	97%	65%	69%	67%	103%	79%	47%
Net profit	99%	182%	98%	127%	118%	94%	65%	69%	71%	122%	81%	39%
QoQ (%)												
Net revenue	18%	26%	22%	-1%	11%	18%	10%	5%				
Gross profit	22%	25%	36%	0%	12%	19%	11%	6%				
Operating profit	30%	24%	36%	1%	14%	22%	13%	7%				
Pre-tax profit	19%	24%	35%	4%	14%	22%	13%	7%				
Net profit	19%	37%	33%	4%	14%	22%	13%	7%				

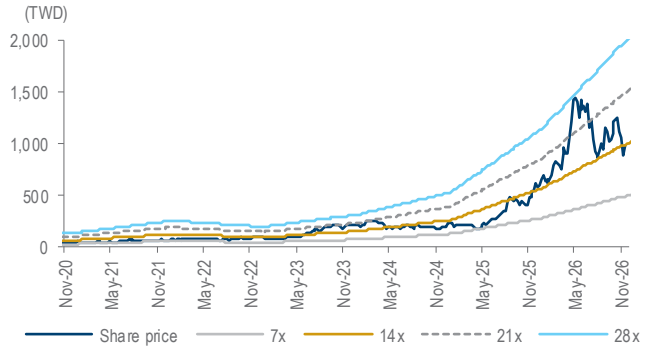
Source: Company, Daiwa forecasts

GCE: 3Q26 comparison table

(TWDm)	Actual	QoQ	YoY	Daiwa	Diff %	Consensus	Diff %
Revenue	29,567	22%	67%	31,849	-7%	30,599	-3%
Gross profit	11,443	36%	82%	11,451	0%	11,276	1%
Gross margin (%)	38.7%			36.0%		36.9%	
Operating profit	8,753	36%	88%	8,967	-2%	8,830	-1%
Operating margin (%)	29.6%			28.2%		28.9%	
Pre-tax profit	8,515	35%	80%	9,006	-5%	8,790	-3%
Net profit	6,386	33%	98%	6,394	0%	6,205	3%
EPS (TWD)	12.35	33%	98%	12.53	0%	12.15	3%

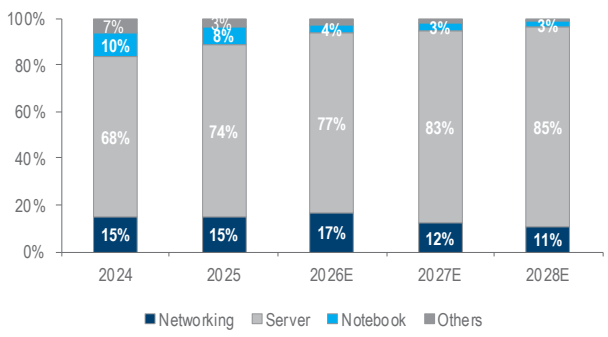
Source: Company data, Daiwa forecasts, Bloomberg

GCE: 1-year-forward PER bands



Source: TEJ, Daiwa forecasts

GCE: revenue breakdown by product



Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Networking PCB shipment (k sqft)	7,492.8	9,106.7	6,894.0	8,096.6	11,598.2	16,838.4	15,803.3	18,108.6
Server PCB shipment (k sqft)	24,031.1	33,555.9	29,493.9	34,972.5	54,601.1	63,126.0	79,069.9	104,895.0
Server PCB ASP (TWD per K sqft)	496.6	395.1	651.2	547.4	488.5	704.2	1,000.4	1,237.5

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Networking	5,319	6,704	5,064	5,909	8,997	17,003	18,793	23,619
Server	13,257	19,206	19,143	26,674	44,453	79,105	129,805	184,687
Other Revenue	8,032	6,874	5,837	6,369	6,553	6,330	8,098	8,307
Total Revenue	**26,607**	**32,785**	**30,044**	**38,952**	**60,004**	**102,437**	**156,697**	**216,612**
Other income	0	0	0	0	0	0	0	0
COGS	(20,236)	(24,057)	(22,320)	(27,556)	(40,321)	(64,361)	(93,257)	(127,129)
SG&A	(1,625)	(1,973)	(1,785)	(2,355)	(4,383)	(6,853)	(8,663)	(10,084)
Other op.expenses	(623)	(718)	(803)	(974)	(1,256)	(2,064)	(3,539)	(3,985)
Operating profit	**4,123**	**6,037**	**5,136**	**8,067**	**14,043**	**29,160**	**51,237**	**75,415**
Net-interest inc./(exp.)	(51)	(27)	78	78	55	137	139	137
Assoc/forex/extraord./others	(23)	383	3	345	75	(532)	145	127
Pre-tax profit	**4,049**	**6,392**	**5,218**	**8,490**	**14,173**	**28,765**	**51,521**	**75,678**
Tax	(1,122)	(1,820)	(1,689)	(2,875)	(4,567)	(7,465)	(12,880)	(21,947)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**2,927**	**4,571**	**3,529**	**5,616**	**9,607**	**21,300**	**38,641**	**53,732**
Net profit (adjusted)	**2,927**	**4,571**	**3,529**	**5,616**	**9,607**	**21,300**	**38,641**	**53,732**
EPS (reported)(TWD)	**5.356**	**9.294**	**7.174**	**11.418**	**19.018**	**41.196**	**74.733**	**103.920**
EPS (adjusted)(TWD)	**5.356**	**9.294**	**7.174**	**11.418**	**19.018**	**41.196**	**74.733**	**103.920**
EPS (adjusted fully-diluted)(TWD)	**5.356**	**9.294**	**7.174**	**11.418**	**19.018**	**41.196**	**74.733**	**103.920**
DPS (TWD)	**1.500**	**2.177**	**3.463**	**3.463**	**5.937**	**10.000**	**19.000**	**30.000**
EBIT	**4,123**	**6,037**	**5,136**	**8,067**	**14,043**	**29,160**	**51,237**	**75,415**
EBITDA	**4,898**	**6,911**	**6,103**	**9,156**	**15,359**	**30,202**	**52,856**	**77,685**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	4,049	6,392	5,218	8,490	14,173	28,765	51,521	75,678
Depreciation and amortisation	776	874	967	1,089	1,316	1,042	1,619	2,271
Tax paid	(1,122)	(1,820)	(1,689)	(2,875)	(4,567)	(7,465)	(12,880)	(21,947)
Change in working capital	(2,372)	(2,438)	(70)	(2,647)	(12,581)	(4,486)	(16,304)	(17,950)
Other operational CF items	1,058	1,440	891	1,568	3,917	(0)	0	0
Cash flow from operations	**2,390**	**4,447**	**5,317**	**5,625**	**2,259**	**17,856**	**23,956**	**38,053**
Capex	(826)	(1,360)	(1,623)	(5,131)	(6,733)	(18,029)	(20,371)	(9,314)
Net (acquisitions)/disposals	0	(13)	(12)	(17)	(262)	0	0	0
Other investing CF items	(5)	17	(27)	(56)	(38)	0	0	0
Cash flow from investing	**(831)**	**(1,357)**	**(1,662)**	**(5,205)**	**(7,033)**	**(18,029)**	**(20,371)**	**(9,314)**
Change in debt	(1,237)	989	485	2,044	16,242	0	0	0
Net share issues/(repurchases)	0	(541)	0	0	0	119	0	0
Dividends paid	(820)	(1,190)	(1,703)	(1,703)	(2,920)	(5,170)	(9,824)	(15,511)
Other financing CF items	(92)	(75)	(118)	(18)	(81)	0	0	0
Cash flow from financing	**(2,149)**	**(816)**	**(1,337)**	**323**	**13,241**	**(5,051)**	**(9,824)**	**(15,511)**
Forex effect/others	23	(114)	(552)	700	463	0	0	0
Change in cash	**(568)**	**2,160**	**1,767**	**1,444**	**8,930**	**(5,225)**	**(6,239)**	**13,227**
Free cash flow	1,564	3,087	3,694	495	(4,475)	(173)	3,585	28,738

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	3,843	6,017	7,820	9,191	18,517	13,293	7,054	20,281
Inventory	4,822	5,616	5,970	7,900	9,747	14,106	20,440	27,864
Accounts receivable	9,214	10,825	10,844	13,743	27,310	32,275	49,370	68,248
Other current assets	283	268	278	640	763	763	763	763
Total current assets	**18,162**	**22,726**	**24,913**	**31,474**	**56,337**	**60,437**	**77,627**	**117,156**
Fixed assets	5,679	6,294	6,945	11,635	17,840	34,827	53,579	60,623
Goodwill & intangibles	27	43	58	46	78	78	78	78
Other non-current assets	1,112	977	1,185	1,430	1,491	1,491	1,491	1,491
Total assets	**24,980**	**30,041**	**33,101**	**44,584**	**75,746**	**96,833**	**132,775**	**179,347**
Short-term debt	1,341	2,188	217	1,282	6,010	6,010	6,010	6,010
Accounts payable	5,502	5,661	6,021	8,268	11,032	15,870	22,995	31,347
Other current liabilities	3,431	4,008	4,237	7,419	10,512	10,512	10,512	10,512
Total current liabilities	**10,274**	**11,857**	**10,475**	**16,969**	**27,554**	**32,392**	**39,517**	**47,869**
Long-term debt	2,874	3,340	4,859	4,531	11,875	11,875	11,875	11,875
Other non-current liabilities	430	520	936	1,771	2,836	2,836	2,836	2,836
Total liabilities	**13,578**	**15,717**	**16,270**	**23,272**	**42,265**	**47,103**	**54,229**	**62,580**
Share capital	5,465	4,918	4,918	4,918	5,051	5,170	5,170	5,170
Reserves/R.E./others	5,937	9,406	11,913	16,394	28,430	44,560	73,376	111,597
Shareholders' equity	**11,402**	**14,324**	**16,831**	**21,312**	**33,481**	**49,730**	**78,547**	**116,767**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**24,980**	**30,041**	**33,101**	**44,584**	**75,746**	**96,833**	**132,775**	**179,347**
EV	508,630	507,768	505,512	504,880	507,625	512,849	519,088	505,861
Net debt/(cash)	**373**	**(489)**	**(2,745)**	**(3,377)**	**(633)**	**4,592**	**10,831**	**(2,396)**
BVPS (TWD)	**20.864**	**29.123**	**34.221**	**43.332**	**66.282**	**96.181**	**151.914**	**225.834**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	13.7	23.2	(8.4)	29.6	54.0	70.7	53.0	38.2
EBITDA (YoY)	28.8	41.1	(11.7)	50.0	67.8	96.6	75.0	47.0
Operating profit (YoY)	34.1	46.4	(14.9)	57.1	74.1	107.6	75.7	47.2
Net profit (YoY)	41.6	56.2	(22.8)	59.1	71.1	121.7	81.4	39.1
Core EPS (fully-diluted) (YoY)	41.6	73.5	(22.8)	59.1	66.6	116.6	81.4	39.1
Gross-profit margin	23.9	26.6	25.7	29.3	32.8	37.2	40.5	41.3
EBITDA margin	18.4	21.1	20.3	23.5	25.6	29.5	33.7	35.9
Operating-profit margin	15.5	18.4	17.1	20.7	23.4	28.5	32.7	34.8
Net profit margin	11.0	13.9	11.7	14.4	16.0	20.8	24.7	24.8
ROAE	28.3	35.5	22.7	29.4	35.1	51.2	60.2	55.0
ROAA	12.6	16.6	11.2	14.5	16.0	24.7	33.7	34.4
ROCE	27.6	34.0	24.6	32.9	35.8	49.0	62.5	65.3
ROIC	27.5	33.7	24.9	33.3	37.5	49.5	53.5	52.6
Net debt to equity	3.3	n.a.	n.a.	n.a.	n.a.	9.2	13.8	n.a.
Effective tax rate	27.7	28.5	32.4	33.9	32.2	26.0	25.0	29.0
Accounts receivable (days)	110.9	111.6	131.6	115.2	124.9	106.2	95.1	99.1
Current ratio (x)	1.8	1.9	2.4	1.9	2.0	1.9	2.0	2.4
Net interest cover (x)	80.7	219.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	39.7	23.4	48.3	30.3	31.2	24.3	25.4	28.9
Free cash flow yield	0.3	0.6	0.7	0.1	n.a.	n.a.	0.7	5.7

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1981 and listed on the Taiwan Stock Exchange in 1998, Gold Circuit Electronics (GCE) was, in its early years, one of the world's top-3 printed circuit board (PCB) vendors providing double-sided and multi-layer PCBs for notebooks. However, as the notebook market became saturated from 2011, GCE started reshuffling its revenue mix to more high-end products (servers, workstations and networking boards). The requirement of higher-layer PCBs from these products has not only proved GCE's manufacturing capabilities but also created a high entry barrier. GCE's revenue contribution from the server and networking segments has surged to over 80% in 2024 (from 37% in 2010), the highest among its PCB peers.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	GCE's Board consists of 9 directors, including 3 independent directors. The number of independent directors is above Taiwan securities law's requirement of more than two and exceeds one-fifth of the total number of directors on the board. The backgrounds of the independent directors are diverse with expertise in the areas of business management, finance & audit, and law, which should be positive for executive and board quality. That said, the roles of CEO and chairman are held by one person, who is a second-generation family member of GCE's founder. The organisation structure appears to us to be a family business, which could lead to conflicts of interest between key executives and outside shareholders.
	Capital management	2	GCE declared a DPS of TWD10.0 in 2025, another record high. GCE has declared cash dividends for six consecutive years from 2020 to 2025, following a period of intermittent payouts mainly due to fierce competition in the PCB industry (especially in notebook applications) and high earnings volatility from its 3 plants in China caused by historically low utilisation rates. We believe the company's strategy to focus on high-end products (eg, servers and networking) has started bearing fruit, which was also the main reason GCE was able to declare a record-high cash dividend in 2025. Overall, we expect GCE to continue to benefit from ASP and gross-margin expansion, driven by server and networking spec upgrades, which should be value-accretive for investors in the long term.
	Related party & transaction	1	Sales to related parties were 0% of total 2025 sales and purchases from related parties were also 0% of total 2025 purchases. We see limited risk from related-party transactions.
S	Supply chain management	1	GCE is a multi-layer PCB manufacturer with major raw materials, such as thin core, copper foil, pre-preg, copper ball, dry film, solder mask and various chemical materials used in the manufacturing process. GCE has acquired the ISO 9001 and IECQ QC 080000 certifications to improve its supply chain management capabilities in product quality and hazardous material usage. Like most hardware vendors, GCE is also committed to refusing procurement of conflict minerals and complying with the Responsible Business Alliance (RBA) Code of Conduct. According to its 2025 annual report, over 99% of its top 40 suppliers returned their RBA commitment letters. As part of its RBA compliance efforts, GCE holds an annual supply chain meeting to review the achievement rate of its previous targets and set new goals for suppliers. In 2025, GCE audited 154 suppliers, including 114 on-site audits and 40 document reviews, achieving a 100% completion rate against its audit targets. The company also evaluates new suppliers based on ISO 9001, ISO 14001 and IATF 16949 certification requirements and conducts annual supplier assessments.
S	Data security	2	Information security is one of the key topics under the company's risk management guidelines. GCE constructed an information security system, under the "information security committee", to minimise the risk of information loss, sabotage, and leakage caused by human errors, malicious destructions or natural disasters. Below are several measures the company has taken to improve data security: GCE will conduct regular awareness training to ensure employees' security awareness and fulfilment of information security system requirements. Also, the information security committee will develop an information security continuity plan and conduct drills to ensure continuous operation of the company.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 10 Nov 2026
Source: Daiwa, Company

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Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
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Daiwa Capital Markets Hong Kong Limited

Hon Precision (7769 TT)

Target price: **TWD6,365.00**

Share price (9 Nov): **TWD4,040.00** | Up/downside: **+57.5%**

5 4 3 2 **1**

Buy (initiation)

Initiation: breaking the AI testing bottleneck

- AI testing intensity and content expansion driving structural growth
- Recurring revenue and CPO set to unlock new TAM expansion
- Initiating with a Buy (1) call and 12M TP of TWD6,365

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Investment case: We initiate coverage of Hon Precision, the global leader in test handlers and active thermal control (ATC) systems, with a Buy (1) rating. According to management, the company commands >70% market share in AI/HPC final test (FT) and c.50% in system-level test (SLT) by revenue, distinctly positioning it as one of the key global beneficiaries of the rising silicon complexity.

Multi-layer content stacking supports ASP and margin growth. As test durations continue to lengthen and thermal requirements rise, customers are required to deploy greater parallel testing capacity and higher-specification handlers, creating a structural demand tailwind for both FT and SLT handler. We forecast rising AI chip power consumption and package complexity over our forecast horizon to drive adoption of higher-value ATC systems, mega-tray handlers (adding 25-30% to ASP relative to standard dual-temp ATC systems), and AOI integration (adding a further 10-15% to system ASP), supporting a multi-year increase in content per tool and expanding its gross margin from 56.8% to 59.2% over 2026-28E.

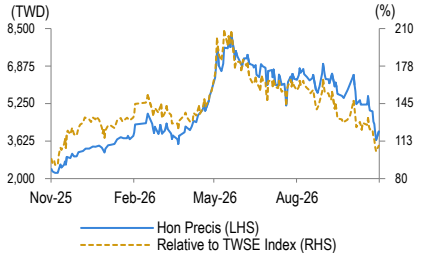
Recurring consumables and CPO testing expand long-term growth visibility. Cold plates generate high-margin, annuity-like revenue with every new chip platform which should benefit from shortening AI processor refresh cycles. Beyond consumables, Hon Precision is extending its testing platform into co-packaged optics (CPO), where optical-electrical co-testing could unlock a new addressable market beyond traditional GPU and ASIC testing. While near-term contribution remains limited, we view CPO as a strategic growth option that enhances the company's long-term earnings visibility and valuation premium over our forecast horizon.

Catalysts: 1) capacity expansion ramp in 2027; 2) mega-tray penetration and higher-power ATC adoption; 3) initial CPO test solution qualification.

Valuation: We initiate with a Buy (1) rating and 12M TP of TWD6,365, based on a target PER of 30x applied on our 2027E EPS. The stock currently trades at c.19x forward PER, despite our projected 2026-28E EPS CAGR of 55%, implying a PEG of only 0.35x. We believe its current valuation heavily discounts macro noise with share price pulling back by c.53% from its historical high and derating from a cycle-peak multiple of 45-50x 1-year-forward PER. Backed by solid order visibility through late-2027, we highlight Hon Precision's risk-reward profile as decisively asymmetric.

Risks: 1) Slower-than-expected AI/HPC investment; 2) delayed ramp-up of new products; and 3) potential loss of market share.

Share price performance



12-month range	2,250.00-8,260.00
Market cap (USDbn)	22.06
3m avg daily turnover (USDm)	153.46
Shares outstanding (m)	180
Major shareholder	Hung Min Dev. Co Ltd (17.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	57,704	90,655	133,460
Operating profit (m)	28,686	46,457	69,916
Net profit (m)	23,876	38,178	57,086
Core EPS (fully-diluted)	132.700	212.182	317.266
EPS change (%)	75.3	59.9	49.5
Daiwa vs Cons. EPS (%)	1.0	(3.9)	(12.2)
PER (x)	30.4	19.0	12.7
Dividend yield (%)	2.3	3.7	5.5
DPS	92.9	148.5	222.1
PBR (x)	12.3	9.0	6.6
EV/EBITDA (x)	23.5	14.2	9.2
ROE (%)	40.8	54.6	59.6

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 22

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Daiwa Capital Markets Hong Kong Limited

5 4 3 2 **1**

Buy
(initiation)

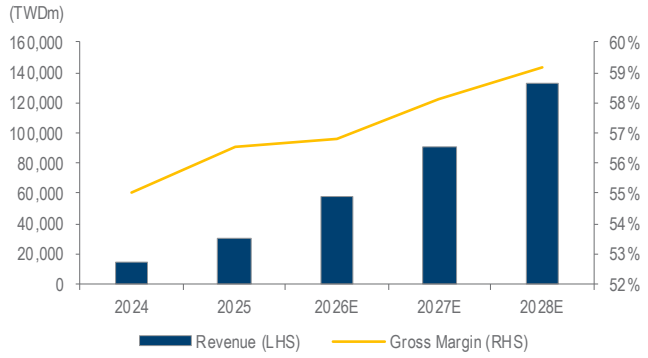
How do we justify our view?

Growth outlook	Valuation	Earnings revisions
✔ ✔ ✔ ✔ ✔	✔ ✔ ✔ ✔	✔ ✔ ✔ ✔

Growth outlook

We expect Hon Precision's growth momentum over 2026-28E to be driven by increasing testing content per chip, supported by rising power consumption in AI/HPC chips, larger package sizes, and growing system complexity. We expect the transition towards high-end ATC handlers, mega-tray solutions, and integrated AOI functions to drive meaningful ASP expansion over our forecast horizon, with recurring cold plate demand providing an additional gross-margin growth driver.

Hon Precision: revenue and gross margin outlook

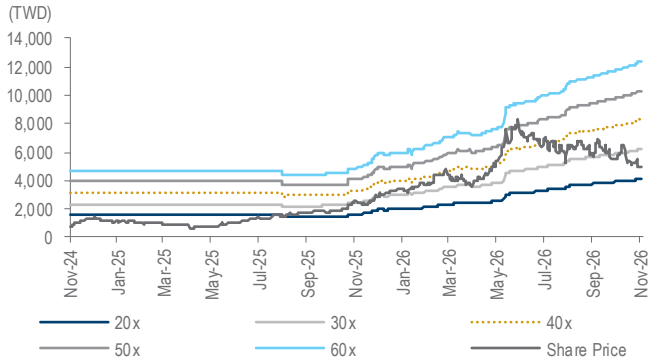


Source: Company, Daiwa research

Valuation

Our 12-month TP of TWD6,365 is based on a target PER of 30x applied to our 2027E EPS forecast. Following the strong share-price rally in 1H26, investor focus shifted away from Hon Precision due to limited near-term catalysts ahead of the 2H27 ramp-up of mega-tray handlers, CPO testing solutions and new capacity. We believe the recent 53% pullback from its historical high on 29 May 2026 and derating from 45-50x 1-year-forward PER to c.19x more than prices in the macro uncertainties. At the current levels, the stock offers an attractive risk-reward profile, trading at a PEG of just 0.35x based on our 2026-28E EPS CAGR of 55%.

Hon Precision: 1-year-forward PER bands

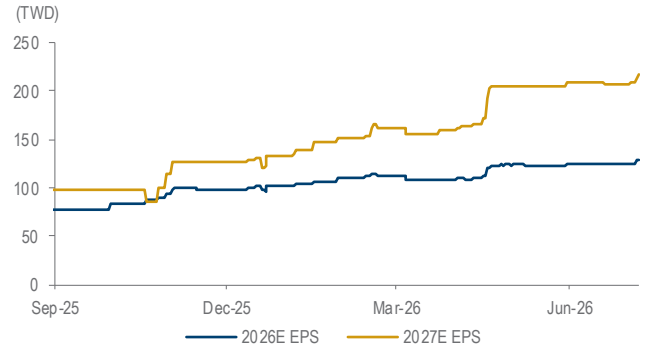


Source: Bloomberg

Earnings revisions

The Bloomberg consensus raised its 2026E and 2027E EPS estimates by 68% and 122%, respectively, over the past year, driven by stronger-than-expected AI-related demand and improving visibility on the company's long-term growth trajectory. We believe the upward revisions reflect rising confidence in volume and ASP expansion across the company's key testing solutions, supported by accelerating AI infrastructure investments and expanding customer adoption.

Hon Precision: Bloomberg-consensus earnings revisions



Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Handler shipment (units)	n.a.	n.a.	n.a.	394	1,610	2,947	4,325	5,920
Server CPU shipment (mn)	38	36	23	22	28	36	49	58
AI GPU/ ASIC shipment (mn)	0	0	4	9	12	18	29	33

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Handler	n.a.	n.a.	n.a.	10,418	22,842	43,288	66,963	96,728
Cold Plate	n.a.	n.a.	n.a.	3,204	6,764	12,824	20,967	31,014
Other Revenue	n.a.	n.a.	n.a.	371	665	1,592	2,724	5,718
Total Revenue	**12,292**	**13,469**	**9,489**	**13,992**	**30,271**	**57,704**	**90,655**	**133,460**
Other income	0	0	0	0	0	0	0	0
COGS	(6,580)	(7,236)	(4,823)	(6,293)	(13,157)	(24,945)	(37,959)	(54,469)
SG&A	(623)	(502)	(424)	(505)	(1,077)	(1,873)	(2,957)	(4,404)
Other op.expenses	(651)	(691)	(548)	(637)	(1,039)	(2,142)	(3,282)	(4,671)
Operating profit	**4,317**	**5,006**	**3,766**	**6,285**	**15,046**	**28,686**	**46,457**	**69,916**
Net-interest inc./(exp.)	4	14	68	160	306	1,035	974	1,256
Assoc/forex/extraord./others	(190)	670	52	239	232	227	396	342
Pre-tax profit	**4,131**	**5,690**	**3,887**	**6,683**	**15,584**	**29,947**	**47,827**	**71,513**
Tax	(933)	(1,324)	(819)	(1,397)	(3,222)	(6,072)	(9,649)	(14,427)
Min. int./pref. div./others	(23)	(10)	0	0	0	(0)	0	0
Net profit (reported)	**3,175**	**4,356**	**3,068**	**5,286**	**12,362**	**23,876**	**38,178**	**57,086**
Net profit (adjusted)	**3,175**	**4,356**	**3,068**	**5,286**	**12,362**	**23,876**	**38,178**	**57,086**
EPS (reported)(TWD)	**67.620**	**92.770**	**19.170**	**32.950**	**75.710**	**132.700**	**212.182**	**317.266**
EPS (adjusted)(TWD)	**67.620**	**92.770**	**19.170**	**32.950**	**75.710**	**132.700**	**212.182**	**317.266**
EPS (adjusted fully-diluted)(TWD)	**67.620**	**92.770**	**19.170**	**32.950**	**75.710**	**132.700**	**212.182**	**317.266**
DPS (TWD)	**8.500**	**51.080**	**30.000**	**22.500**	**64.990**	**92.890**	**148.528**	**222.086**
EBIT	**4,317**	**5,006**	**3,766**	**6,285**	**15,046**	**28,686**	**46,457**	**69,916**
EBITDA	**4,351**	**5,037**	**3,801**	**6,330**	**15,114**	**28,845**	**46,824**	**70,728**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	4,131	5,690	3,887	6,683	15,584	29,947	47,827	71,513
Depreciation and amortisation	34	31	35	46	69	159	367	812
Tax paid	(933)	(1,324)	(819)	(1,397)	(3,222)	(6,072)	(9,649)	(14,427)
Change in working capital	(3,788)	(1,059)	1,494	(3,545)	(4,100)	(13,762)	(4,949)	(7,720)
Other operational CF items	1,374	166	687	521	7,856	(615)	0	0
Cash flow from operations	**819**	**3,503**	**5,283**	**2,308**	**16,186**	**9,658**	**33,596**	**50,178**
Capex	(153)	(377)	(230)	(114)	(285)	(2,847)	(3,849)	(4,649)
Net (acquisitions)/disposals	(23)	12	(676)	(1,196)	1,218	(2,744)	(763)	(1,754)
Other investing CF items	(3)	(86)	(0)	(11)	(364)	324	0	0
Cash flow from investing	**(179)**	**(451)**	**(906)**	**(1,322)**	**569**	**(5,268)**	**(4,612)**	**(6,403)**
Change in debt	(16)	(158)	0	156	(152)	0	0	0
Net share issues/(repurchases)	20	0	0	894	34,466	0	0	0
Dividends paid	(328)	(399)	(2,398)	(4,800)	(3,636)	(11,694)	(16,714)	(26,725)
Other financing CF items	(9)	(28)	(9)	(9)	(29)	85	0	0
Cash flow from financing	**(333)**	**(585)**	**(2,408)**	**(3,759)**	**30,650**	**(11,609)**	**(16,714)**	**(26,725)**
Forex effect/others	0	0	0	4	(2)	9	7	6
Change in cash	**306**	**2,467**	**1,970**	**(2,769)**	**47,402**	**(7,210)**	**12,277**	**17,057**
Free cash flow	666	3,126	5,053	2,193	15,901	6,811	29,747	45,529

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	4,428	6,862	9,498	8,045	54,228	49,564	61,841	78,897
Inventory	4,346	5,149	4,092	8,444	12,641	19,887	30,604	42,438
Accounts receivable	3,231	2,544	1,111	2,913	2,935	6,963	11,966	16,410
Other current assets	98	84	43	135	391	595	595	595
Total current assets	**12,104**	**14,638**	**14,744**	**19,537**	**70,195**	**77,011**	**105,006**	**138,341**
Fixed assets	1,376	1,754	2,094	2,263	2,901	5,690	9,172	13,009
Goodwill & intangibles	0	0	0	0	0	0	0	0
Other non-current assets	14	43	40	66	174	521	1,284	3,038
Total assets	**13,494**	**16,435**	**16,877**	**21,866**	**73,270**	**83,221**	**115,462**	**154,388**
Short-term debt	0	0	0	157	0	0	0	0
Accounts payable	3,180	2,189	1,473	4,497	5,725	16,940	27,709	36,268
Other current liabilities	2,402	2,570	3,052	3,375	9,303	6,879	6,879	6,879
Total current liabilities	**5,582**	**4,758**	**4,525**	**8,028**	**15,028**	**23,819**	**34,588**	**43,147**
Long-term debt	177	0	0	0	0	0	0	0
Other non-current liabilities	12	22	37	106	211	278	278	278
Total liabilities	**5,770**	**4,781**	**4,562**	**8,134**	**15,239**	**24,096**	**34,866**	**43,424**
Share capital	470	470	1,600	1,616	1,799	1,799	1,799	1,799
Reserves/R.E./others	7,254	11,185	10,715	12,116	56,232	57,326	78,797	109,164
Shareholders' equity	**7,724**	**11,654**	**12,315**	**13,732**	**58,031**	**59,125**	**80,596**	**110,963**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**13,494**	**16,435**	**16,877**	**21,866**	**73,270**	**83,221**	**115,462**	**154,388**
EV	722,637	720,027	717,390	719,000	672,660	677,324	665,047	647,991
Net debt/(cash)	**(4,251)**	**(6,862)**	**(9,498)**	**(7,888)**	**(54,228)**	**(49,564)**	**(61,841)**	**(78,897)**
BVPS (TWD)	**163.342**	**248.212**	**76.971**	**84.974**	**322.520**	**328.154**	**447.486**	**616.258**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	n.a.	9.6	(29.5)	47.5	116.3	90.6	57.1	47.2
EBITDA (YoY)	n.a.	15.8	(24.5)	66.6	138.8	90.8	62.3	51.1
Operating profit (YoY)	n.a.	16.0	(24.8)	66.9	139.4	90.7	62.0	50.5
Net profit (YoY)	n.a.	37.2	(29.6)	72.3	133.9	93.1	59.9	49.5
Core EPS (fully-diluted) (YoY)	n.a.	37.2	(79.3)	71.9	129.8	75.3	59.9	49.5
Gross-profit margin	46.5	46.3	49.2	55.0	56.5	56.8	58.1	59.2
EBITDA margin	35.4	37.4	40.1	45.2	49.9	50.0	51.7	53.0
Operating-profit margin	35.1	37.2	39.7	44.9	49.7	49.7	51.2	52.4
Net profit margin	25.8	32.3	32.3	37.8	40.8	41.4	42.1	42.8
ROAE	82.2	45.0	25.6	40.6	34.5	40.8	54.6	59.6
ROAA	47.1	29.1	18.4	27.3	26.0	30.5	38.4	42.3
ROCE	109.3	51.2	31.4	48.0	41.8	49.0	66.5	73.0
ROIC	96.3	80.1	n.a	85.1	n.a	n.a	n.a	n.a
Net debt to equity	net cash	net cash	net cash	net cash	net cash	net cash	net cash	net cash
Effective tax rate	22.6	23.3	21.1	20.9	20.7	20.3	20.2	20.2
Accounts receivable (days)	48.0	78.2	70.3	52.5	35.3	31.3	38.1	38.8
Current ratio (x)	2.2	3.1	3.3	2.4	4.7	3.2	3.0	3.2
Net interest cover (x)	1,754.5	6,379.8	17,352.1	16,065.6	20,560.6	45,780.6	80,266.2	131,125.6
Net dividend payout	12.6	55.1	156.5	68.3	85.8	70.0	70.0	70.0
Free cash flow yield	0.1	0.4	0.7	0.3	2.2	0.9	4.1	6.3

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1999, Hon Precision is the global leader in semiconductor test handlers and active thermal control (ATC) systems. The company dominates the global AI/HPC final test handler market, supported by its advanced thermal management technologies. With over 70% market share in AI/HPC test handling, Hon Precision benefits from growing demand for AI, HPC and custom ASIC applications. Its solutions are widely adopted by leading OSATs and foundries worldwide, making it a key enabler of advanced semiconductor testing.

Growth Catalysts

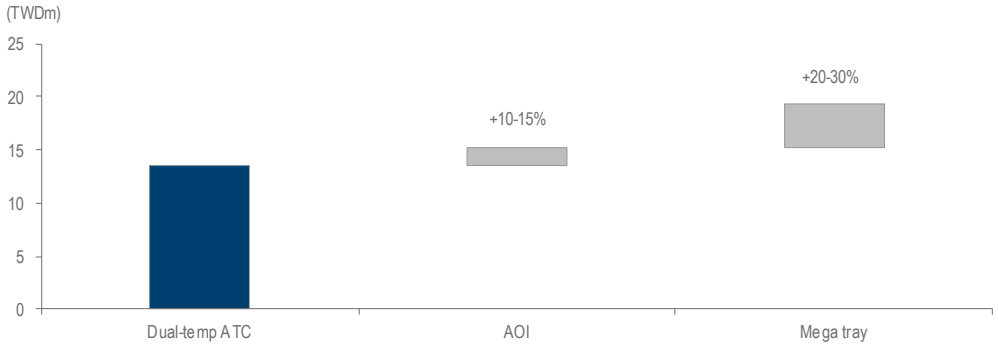
Multi-factor dollar content stacking

Content upgrades across ATC, mega-tray, and AOI to drive a multi-year ASP expansion cycle, in our view

We believe the primary growth catalyst for Hon Precision over our forecast horizon stems from multi-layered dollar content stacking, where the rise in machine unit value should outpace volume growth. Next-gen AI accelerators have historically exhibited more than 50-70% increase in thermal design power (TDP) per generation, with platforms like Nvidia Rubin and Rubin Ultra surging to 2.3kW and 3.6kW vs. Blackwell's 1.2kW to 1.4kW. Managing these extreme thermal loads makes high-end active thermal control (ATC) a necessity, driving a structural step-up in ASPs from standard handlers at approximately TWD6m to dual-temperature ATC systems at TWD12-15m, and tri-temperature ATC systems at TWD15-18m.

Concurrently, as the package size of next-generation ASICs/GPUs increases from the current 120mm tray specification to around 150mm, Hon Precision is introducing mega-tray large-package solutions in October 2026, which command a 25-30% ASP premium over mainstream GPU handlers. As the majority of next-generation ASIC/GPU is set to exceed the boundary of 120mm, we estimate shipment penetration for mega-tray solutions will likely reach 40% in 2027E. Integrated functions of Automated Optical Inspection (AOI) will contribute an additional 10-15% ASP uplift to unit value of handler. Furthermore, this content expansion extends into the flagship mobile AP market as smartphone processors transition to multi-die packaging. For example, Apple's A20 Pro processor has already adopted wafer-level multi-chip module (WMCM) packaging in 2026, requiring high-end ATC systems capable of managing up to 3,000W thermal dissipation to resolve device self-heating.

Hon Precision: ASP multipliers



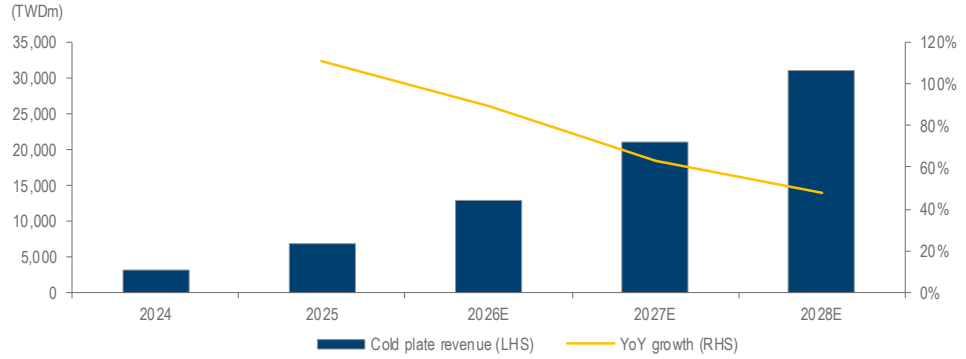
Source: Daiwa research

High-margin cold plate consumables

Cold plate consumables offer a recurring, high-margin growth engine alongside system sales

In addition to capital equipment set sales, Hon Precision's cold plate consumables business serves as a crucial recurring revenue engine and a primary driver of gross margin expansion. Cold plates carry the highest gross margin across all company product lines. Driven by the compression of AI processor lifecycles to 1-1.5 years (down from 2-3 years historically), each test handler requires 5-10 distinct, custom-engineered cold plates tailored to specific die footprints, socket layouts, and thermal hot-spot geometries. To conduct parallel test and maintain the throughput of chip testing, test handler for system level test (SLT) requires even more cold plates, which can go up to 24 plates. As a result, cold plate tooling generates high-frequency annuity-like sales that recur with every new chip platform iteration, independent of major equipment replacements.

Hon Precision: cold plate revenue trend



Source: Company, Daiwa research

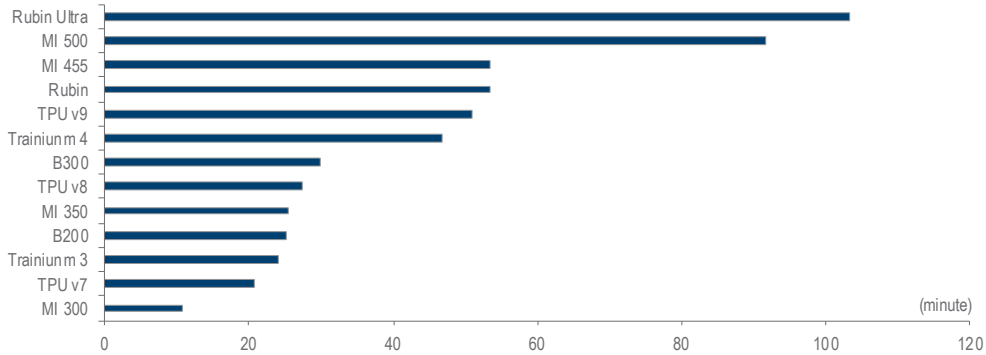
Testing duration and volume multiples

Rising test complexity to drive a multi-year expansion cycle for test handler demand, in our view

We believe the rapid rise in AI chip complexity is driving structural growth in semiconductor testing intensity, positioning Hon Precision as a key global beneficiary through its leadership in high-parallelism test handlers. Driven by the mainstream adoption of heterogeneous integration (such as TSMC's CoWoS and Intel's EMIB), verifying complex AI silicon has extended test durations by 2x to 10x vs. standard consumer chips (5 to 10 seconds). Final test durations for AI GPUs have expanded from hundreds of seconds to over 10 minutes per chip. To maintain daily manufacturing throughput despite this 10x spike, chipmakers must scale up massive parallel testing architectures and procure significantly more handlers, cementing Hon Precision as the primary test handler partner for tier-one US AI GPU and CPU players.

Concurrently, escalating chip complexity, TDP, and die costs make field return (RMA) penalties far exceed testing expenses, forcing cloud service providers (CSPs) and automotive OEMs to mandate system-level testing (SLT). Because SLT executes over extended durations ranging from minutes to hours per chip, high-volume production mandates automated parallel SLT handlers equipped with high-capacity ATC. Holding c.50% market share in AI/HPC SLT handlers alongside Chroma, Hon Precision is expanding beyond GPUs into custom CSP ASICs (eg, Google TPU and AWS) and server CPUs. As SLT adoption broadens across non-GPU devices, Hon Precision leverages this multi-year runway to transition into a full-spectrum semiconductor testing platform.

Global: growing chip complexity – testing time by AI/HPC chip



Source: Daiwa research

CPO unlocks new TAM beyond GPUs

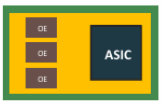
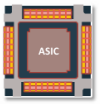
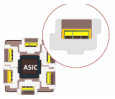
Beyond conventional electrical testing, Co-Packaged Optics (CPO) represents a multi-year paradigm shift towards a multimodal optical-electrical testing platform. Hon Precision currently monetises initial CPO deployments by supplying Final Test (FT) handlers for pure electrical testing (E/E test) of switch ASICs and Optical Engines (OEs) on production platforms such as Nvidia's Spectrum-X and Quantum-X.

CPO optical-electrical co-testing offers a new long-term growth opportunity for Hon Precision

However, the strategic growth catalyst is anchored in next-generation Insertion 4 (package-level optical and electrical co-testing, O/E co-test). Because an undetected defect in a single optical component would force manufacturers to scrap an entire high-value CPO module, early and rigorous package-level validation is imperative for yield protection. Collaborating directly with ATE leader Teradyne and optical instrument specialists (such as Keysight), Hon Precision is developing a specialised ATC handler capable of simultaneous optical and electrical validation, including Bit Error Rate (BER), optical loopback, crosstalk, and high-power thermal management testing for integrated ASIC and Optical Engine modules in a single touchdown.

Engaged with Nvidia CPO switch programmes and actively expanding to additional ASIC clients, Hon Precision targets engineering verification in late-2026 and initial shipments in 2027, ahead of 2028 volume production. Although we expect revenue contribution will likely be relatively low (<5% in 2027-2028), it drives valuation and market expectation to serve larger total addressable market (TAM).

Hon Precision: CPO offerings

Test Insertion	Insertion 1	Insertion 2	Insertion 3	Insertion 4	CPO FT		
				Joint Development	Mass Production		
Test Content							
	PIC	EIC-PIC	Optical Engine	ASIC + Optical Engine	ASIC + Optical Engine	ASIC	Optical Engine
	Wafer Level (Foundry)	Wafer Level (Foundry)	DIE/Chip Level (OSAT)	ASIC + Optical Engine	Package-level (OSAT)	Package-level (OSAT)	Package-level (OSAT)
				O/E	E/E	E/E	E/E
HON.PREC Test Equipment	NA			ATE Tester + ATC (3KW) Handler	ATE Tester + ATC (2KW) Handler	ATE Tester + ATC (1KW) Handler	ATE Tester + ATC (1KW) Handler

Source: Company, Daiwa research

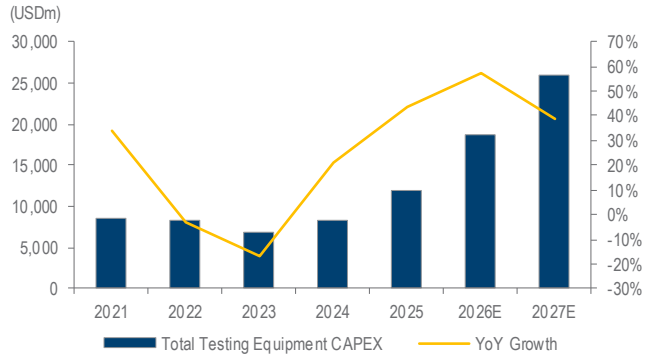
Market Analysis

Global testing equipment market

Global package handling equipment market set to expand at a 40.9% CAGR over 2024-27E

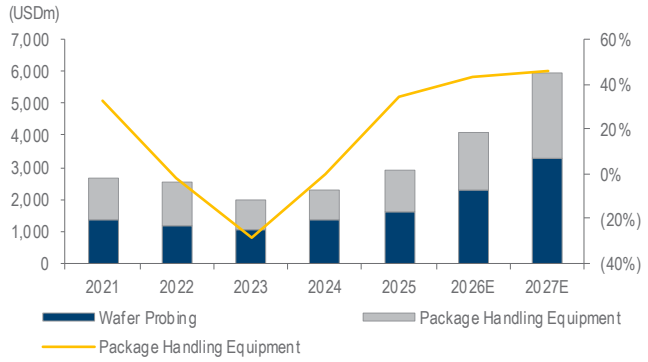
According to TechInsights, global testing equipment capex is projected to expand significantly from USD8.3bn in 2024 to USD26.1bn by 2027E, representing a 46.4% CAGR. Notably, while SoC test systems front-loaded strong growth in 2024-25, before tapering to 9.6% YoY in 2027E on TechInsights estimates, package handling equipment is forecasted to exhibit strong structural resilience and longevity. Based on TechInsights, market capex for package handling equipment will likely more than double from USD941m in 2024 to USD2.6bn by 2027E (40.9% CAGR), re-accelerating to 46% YoY growth in 2027E from 34% YoY in 2025. This cadence reflects the phased deployment of test infrastructure – initial tester investments are followed by high-volume back-end handling installations as advanced packaging (eg, CoWoS, Chiplets) scales into mass production.

Global semi testing equipment: capex



Source: TechInsights, Daiwa research

Global semi testing equipment: handler and prober growth



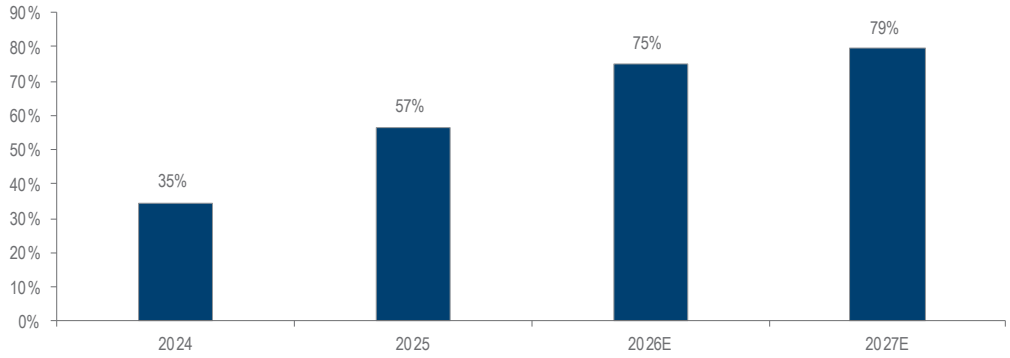
Source: TechInsights, Daiwa research

Handler market players

AI testing leadership, differentiated ATC capabilities, and growing SLT adoption support sustained market share expansion over 2026-28E

Hon Precision's overall share in the global test handler TAM rose from 35% in 2024 to 57% in 2025, and we forecast this to reach 75% in 2026E and 79% by 2027E. Within the high-value AI and HPC Final Test (FT) handler segment, Hon Precision maintains a dominant market share, exceeding 70% in both sales value and shipment volume, per management. In the rapidly expanding AI and HPC SLT handler segment, Hon Precision holds c.50% market share in terms of revenue, per management, alongside its primary peer, Chroma, establishing a duopoly in global high-end SLT testing.

Hon Precision: handler market share forecasts



Source: Daiwa research

Outside of AI and HPC logic testing, the broader test handler landscape comprises global and regional vendors, including Cohu (COHU US, NR), Advantest (6857 JP, JPY28,375, Outperform [2]; covered by Daiwa analyst Takeshi Fukuyama), and mainland Chinese suppliers such as Changchuan Technology (300604 CH, NR) and JHT Design (603061 CH, NR).

While global incumbents rely on brand prestige, standard architectures, and bundled offerings, Hon Precision excels in leading-edge AI/HPC testing through its ultra-high-power Active Thermal Control (ATC) and rapid engineering turnaround. As multi-kilowatt dynamic loads (1.5kW–3kW+) and extreme warpage on >120mm packages push standard handlers beyond their limits, Hon Precision's hyper-customised ATC fluidics, high-force micro-mechanics, and modular designs deliver superior millisecond thermal clamping and agile package adaptation. Furthermore, while giants like Advantest dominate the SoC ATE tester market (>55% share), their in-house handlers focus primarily on memory and standard logic. Consequently, tier-one chipmakers and OSATs standardly decouple tester and handler sourcing, thus pairing Advantest or Teradyne testers with Hon Precision's high-power ATC handlers. Located directly within Taiwan's advanced packaging cluster, Hon Precision provides real-time, on-site co-validation and custom cold-plate engineering that preserve formidable entry barriers against bundled solutions.

Advanced thermal control and customisation underpin competitive differentiation

Meanwhile, although Chinese competitors have expanded aggressively in domestic mature nodes and conventional Pick-and-Place handlers, Hon Precision commands a decisive generational lead in high-complexity advanced packaging applications. Chinese vendors remain largely confined to lower-wattage consumer, automotive, and industrial IC testing, lacking the proven patents, structural rigidity, and micro-level force balancing required to safely apply hundreds of kilograms of contact force onto fragile, multi-chip CoWoS packages without cracking dies or warping substrates. Moreover, because enterprise AI chips cost tens of thousands of dollars each, tier-1 global fabless leaders and North American cloud service providers (CSPs) maintain virtually zero tolerance for testing failure, establishing an entrenched validation moat for Hon Precision. Free from geopolitical export constraints, Hon Precision can seamlessly deploy across global OSAT networks in Taiwan, North America, and Southeast Asia.

Hon Precision: peers comparison

Company	Ticker	Market cap (USD bn)	Revenue mix (2025)	Handler: FT / SLT	Application focus
Hon Precision	7769 TT	22.1	ATC handlers 70-75%; cold plates 20-25 %; others 2-3%	FT 60-70%; SLT 20-30%	AI GPUs, AI ASICs, server CPUs
Chroma	2360 TT	16.2	Test instruments & ATS 48%; semiconductor/photonics test solutions 44%; turnkey 2%; others 6%	Mainly SLT	Semiconductor/IC testing; power and photonics testing
Changchuan	300604 CH	17.3	Testers 60.3%; handlers 29.6%; others 9.8%	Primarily a tester supplier	Logic/SoC, analog/mixed-signal, power/discrete
Accotest	688200 CH	6.7	Test systems 88.2%; system accessories 11.3%; others 0.5%	Primarily a tester supplier	Analog, mixed-signal and power semiconductors; expanding into SoC testing
JHT	603061 CH	3.0	Handlers 90.9%; spare parts 9.1%	Mainly FT	Automotive, consumer, connectivity/5G
Powertech	301369 CH	1.3	Automated semiconductor test systems 84.8%; laser marking & other integrated equipment 11.5%; parts/services 3.8%	Primarily a tester supplier	Power/discrete, analog/mixed-signal and SoC; SiC/GaN/IGBT; developing AI SoC testing
Advantest	6857 JP	131.2	Test System Business 90.3%; Services & Others 9.7%	Primarily a tester partner	SoC/logic, AI/HPC and memory testing
Cohu	COHU US	2.1	Test & inspection systems 40%; recurring revenue 60%	FT	Automotive, computing/networking

Source: Companies, Bloomberg, Daiwa research

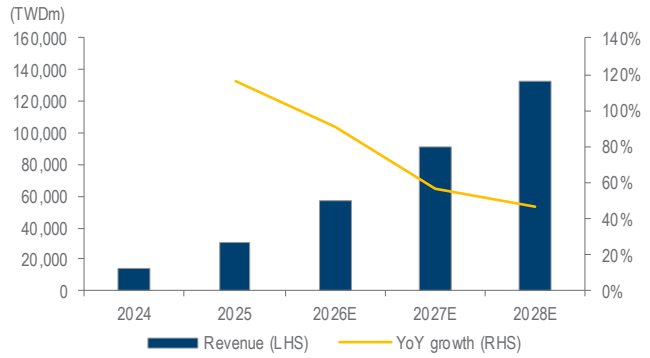
Financial Analysis

AI demand to sustain strong revenue growth

Strong AI demand, capacity expansion, and ASP upgrades should sustain revenue growth over 2026-28E

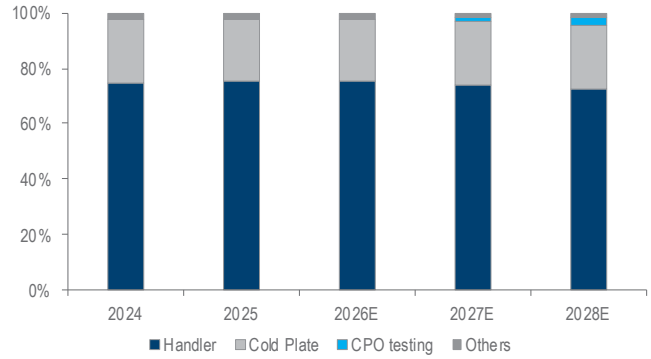
In 2025, Hon Precision's top line exceeded TWD30bn (+116% YoY), driven by global AI cluster rollouts. We forecast Hon Precision to sustain its top-line growth momentum over 2026-28E. We expect this to be mainly driven by core test handler and ATC systems (70-75% of revenue), where we forecast capacity to expand 40% YoY in 2026E, and 50% YoY over 2027-28E with utilisation rate remaining above 90%. We forecast blended ASP of test handler ASP to rise from TWD14.2m in 2025 to TWD16.3m by 2028E, mainly driven by increased adoption rate of mega tray (+20-25% ASP) and AOI (+10-15%) system. High-margin cold plate consumables revenue should also benefit from test handler shipment, which we forecast to increase at a 66.1% CAGR over 2025-28E.

Hon Precision: revenue growth



Source: Company, Daiwa research

Hon Precision: revenue mix



Source: Company, Daiwa research

Hon Precision: quarterly and annual P&L statements

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE			
Net sales	10,725	13,794	16,194	16,991	18,629	20,461	24,798	26,767	57,704	90,655	133,460
Gross profit	6,032	7,737	9,220	9,770	10,780	11,838	14,422	15,656	32,759	52,696	78,991
Operating costs	672	1,050	1,179	1,172	1,323	1,410	1,686	1,820	4,073	6,239	9,075
Operating profit	5,360	6,686	8,041	8,598	9,457	10,428	12,735	13,836	28,686	46,457	69,916
Pre-tax profit	5,798	6,892	8,414	8,843	9,819	10,797	13,064	14,146	29,947	47,827	71,513
Net profit	4,624	5,476	6,717	7,059	7,838	8,619	10,429	11,292	23,876	38,178	57,086
EPS (TWD)	25.70	30.44	37.33	39.23	43.56	47.90	57.96	62.76	132.70	212.18	317.27
Operating Ratios											
Gross margin	56.2%	56.1%	56.9%	57.5%	57.9%	57.9%	58.2%	58.5%	56.8%	58.1%	59.2%
Operating margin	50.0%	48.5%	49.7%	50.6%	50.8%	51.0%	51.4%	51.7%	49.7%	51.2%	52.4%
Pre-tax margin	54.1%	50.0%	52.0%	52.0%	52.7%	52.8%	52.7%	52.8%	51.9%	52.8%	53.6%
Net margin	43.1%	39.7%	41.5%	41.5%	42.1%	42.1%	42.1%	42.2%	41.4%	42.1%	42.8%
YoY (%)											
Net revenue	81%	100%	98%	83%	74%	48%	53%	58%	91%	57%	47%
Gross profit	73%	92%	95%	101%	79%	53%	56%	60%	91%	61%	50%
Operating income	71%	84%	93%	110%	76%	56%	58%	61%	91%	62%	50%
Net income	80%	122%	86%	90%	69%	57%	55%	60%	93%	60%	50%
QoQ (%)											
Net revenue	16%	29%	17%	5%	10%	10%	21%	8%			
Gross profit	24%	28%	19%	6%	10%	10%	22%	9%			
Operating income	31%	25%	20%	7%	10%	10%	22%	9%			
Net income	25%	18%	23%	5%	11%	10%	21%	8%			

Source: Company, Daiwa research

Margin architecture and operating leverage

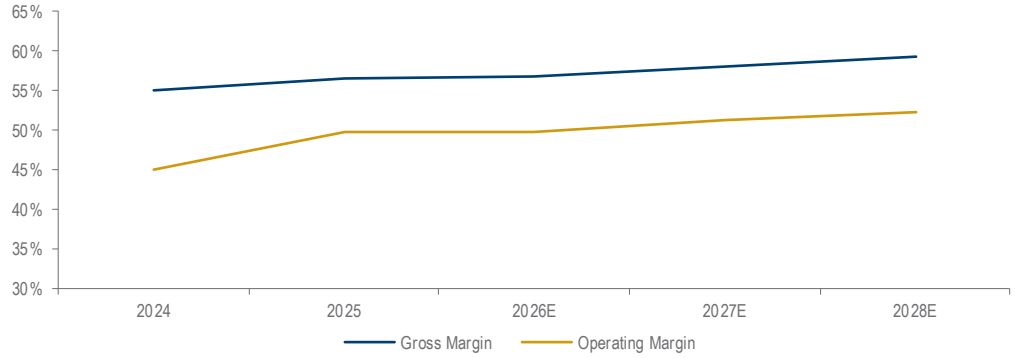
We forecast Hon Precision's gross margin to continue its upward momentum, expanding from 56.8% in 2026E to 58.1% in 2027E and 59.2% in 2028E. The new series of test handlers with more functions such as large package size, AOI, 12/25KW thermal

management, etc., will naturally drive the gross margin increase. Although proprietary cold plates command the highest gross margin across the product matrix, we expect Hon Precision to maintain revenue mix at a 22-23% level.

Product mix upgrades and operating leverage should drive continued margin expansion through 2028

With sustainable operational discipline, management believes its opex ratio over 2026-28E will remain around 5-8%. Although R&D expenditure continues to compound at over 60% annually, funding CPO Insertion 4 optical-electrical co-testing, 12/25kW thermal management, and micro-channel cold plate/lid architectures, significant top-line growth yields powerful operating leverage. We forecast operating margin to scale from 49.7% in 2026E to c.51-52% in 2027-28E, respectively.

Hon Precision: gross margin and operating margin



Source: Company, Daiwa forecasts

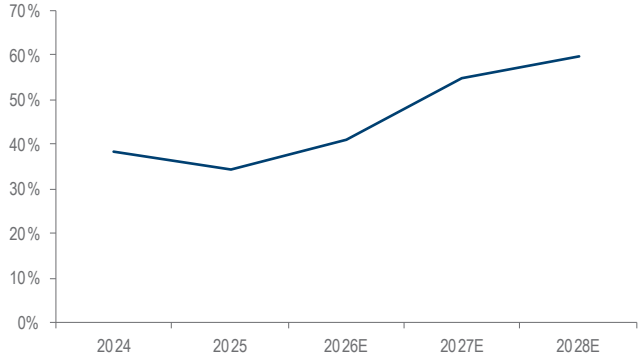
Balance sheet and cash flow

Strong cash generation supports capacity expansion, while we forecast dividend payout ratio to remain at around 70% over 2026-28E

Driven by surging AI/HPC testing demand, Hon Precision is actively expanding its capacity across the new Desheng facility, localised production at the Changshu site, and debottlenecking of headquarter efficiency. The company targets 40-50% capacity growth in 2026 and another 50% increase in 2027. The expansion of manufacturing space and production facilities requires an increase in capital expenditure, which we project Hon Precision will ramp up to approximately TWD2.8bn in 2026E, TWD3.8bn in 2027E, and TWD4.6bn in 2028E. The company's operating cash inflows are more than sufficient to fully fund factory expansions alongside a c.70% dividend payout ratio.

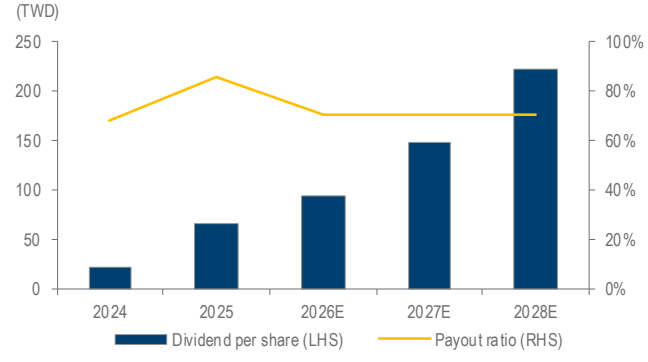
Hon Precision continues to maintain an un-levered balance sheet with zero financial bank debt. Cash and cash equivalents exceeded TWD53bn in 2025; we project this figure to surpass TWD75bn by 2028E. Its robust balance sheet underpins peer-leading shareholder returns, with ROE to expand from 34.5% in 2025 to 59.6% by 2028E. This self-funding cash engine supports management's targeted c.70% dividend payout ratio.

Hon Precision: ROE



Source: Company, Daiwa research

Hon Precision: dividend & payout ratio



Source: Company, Daiwa research

Valuation and recommendation

Initiating coverage with a Buy (1) rating

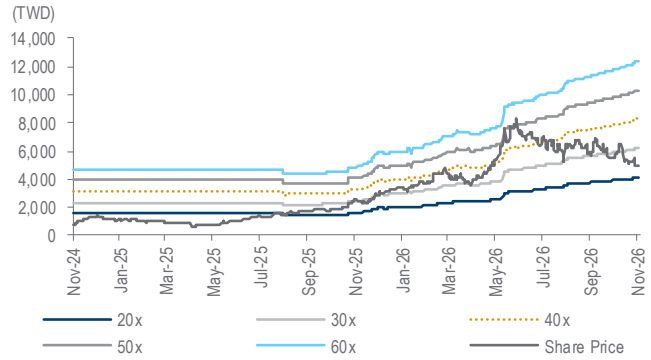
We initiate coverage with a Buy (1) rating, supported by compelling valuation and strong earnings growth visibility

We believe the recent share price correction offers an attractive entry point

We initiate coverage of Hon Precision with a Buy (1) rating and 12-month TP of TWD6,365, based on a target PER of 30x applied to our 2027E EPS forecast. When the stock rallied above TWD8,000 in 1H26, its forward PER multiple stretched to a cycle peak of 45-50x. However, we expect key growth catalysts, including a 50% aggregate capacity expansion, alongside higher-ASP shipments of large-form-factor mega tray handlers and co-packaged optics (CPO) test solutions, to drive its top line, primarily in 2H27. With existing production lines operating at full utilisation, investors are concerned over a potential temporary deceleration in growth momentum through 2H26-1H27, ahead of the next potential major capacity inflection in 2H27.

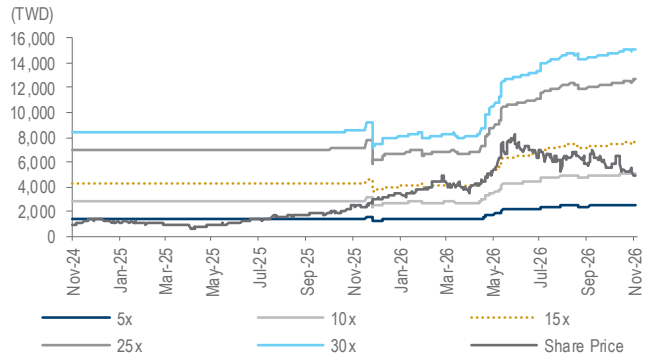
However, as the calendar rolls into 2027, we believe market attention will swiftly refocus on the company's multi-year structural thesis. Easing capacity bottlenecks, combined with robust ASIC-driven adoption of mega tray architectures and ramping CPO test platforms, should spark a powerful volume-and-ASP expansion cycle. The stock is currently trading at a 19x 1-year-forward PER vs. its earnings CAGR of 55% over 2026-28E, translating into a 0.35x PEG ratio. We believe the valuation now heavily discounts the near-term pause in revenue and macro noises, presenting a compelling risk-reward profile for long-term investors.

Hon Precision: blended 12-month-forward PER bands (past 2 years)



Source: Bloomberg, Daiwa research

Hon Precision: blended 12-month-forward PBR bands (past 2 years)



Source: Bloomberg, Daiwa research

Hon Precision: peers valuation table

Companies	Ticker	Rating	Share price (LC)	Mkt cap (USDm)	Daily turnover (USDm)	EPS CAGR 2026-28E	PER (x) 2026E	PER (x) 2027E	PER (x) 2028E	PBR (x) 2026E	PBR (x) 2027E	PBR (x) 2028E	ROE (%) 2026E	ROE (%) 2027E	ROE (%) 2028E
Hon Precision*	7769 TT	Buy	4,040.0	22,060	150.7	55%	30.4	19.0	12.7	12.3	9.0	6.6	40.8	54.6	59.6
Chroma ATE	2360 TT	Not Rated	1,250.0	16,227	165.7	36%	26.7	18.1	14.5	12.2	9.1	7.0	52.0	61.6	54.6
Hangzhou Chang Chuan	300604 CH	Not Rated	177.7	17,271	135.9	53%	49.9	30.8	21.4	12.5	9.0	6.4	31.0	31.2	31.8
Beijing Huafeng Test *	688200 CH	Buy	222.6	6,706	1.2	90%	65.9	24.9	18.3	9.6	7.5	5.8	15.5	33.9	35.9
Jht Design	603061 CH	Not Rated	233.3	3,040	167.0	51%	44.1	29.6	19.3	10.0	7.6	5.6	21.5	25.0	27.4
PowerTECH	301369 CH	Not Rated	87.9	1,348	9.6	118%	72.1	28.0	15.2	5.5	4.7	3.8	7.8	17.8	27.0
Advantest Corp*	6857 JP	Outperform	28,375.0	131,216	13,463.5	60%	55.1	29.7	21.4	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Cohu	COHU US	Not Rated	43.4	2,055	1.9	n.a.	n.a.	18.3	13.5	2.5	2.6	2.2	7.3	17.1	n.a.
Average							**49.2**	**24.8**	**17.0**	**9.2**	**7.1**	**5.4**	**25.1**	**34.4**	**39.4**

*Source: Bloomberg, *Daiwa forecasts*
Note: Share prices as of 9 November 2026

Risks to our call

1. **Slower-than-expected AI/HPC investment:** A slowdown in AI infrastructure spending or delays in GPU, ASIC and server CPU ramps could reduce demand for high-end FT/SLT handlers and thermal-control solutions, weakening order growth and revenue visibility.
2. **Slower-than-expected new product adoption**: Customer qualification delays or slower adoption of mega-tray handlers, AOI inspection systems and CPO FT solutions could delay product ramps, resulting in revenue growth below our expectations.
3. **Potential share loss**: Competitors' advances in thermal control, customer qualification of alternative suppliers or delays in meeting new testing requirements could weaken Hon Precision's position on next-generation platforms, affecting market share and pricing power.

Appendix

Company introduction

Hon Precision has emerged as a globally leading provider of test handlers, with growing exposure to AI, HPC, and advanced thermal-control applications

Hon Precision was founded in Taichung in 2015, building on the technology and industry experience of Hon Technology, which was established in 1999. The company develops semiconductor test handlers and thermal-control solutions for AI GPUs, AI ASICs, server CPUs, automotive chips and consumer electronics, supporting customers from new-product introduction (NPI) through volume production.

Hon Precision has two main product categories:

- **Semiconductor test handlers**: Final-test (FT) and system-level-test (SLT) handlers automate chip loading, positioning and sorting. These platforms can incorporate active thermal control (ATC) systems to maintain chips at specified temperatures during testing.
- **Testing fixtures and modules**: Mainly customised cold plates and socket layout kits (SLKs), which provide thermal management and mechanical interfaces for different chip packages. Customers may require replacement cold plates and kits as package designs change, even when retaining existing handlers.

Hon Precision's order mix is significantly weighted towards AI/HPC/ASIC applications, which accounted for 78% of orders in 1Q-3Q26, up from 72% in 2025. These applications include AI computing, servers and networking. Automotive represented 9% of orders, followed by mobile AP and communications at 7%, consumer electronics at 4%, and memory and MEMS at 2%.

As for capacity, Hon Precision's manufacturing footprint is primarily based in Taiwan, with Taichung serving as the group's main R&D, engineering, quality management, and equipment production hub. In addition, the company operates a Suzhou facility focused on manufacturing cold plates and related kits, while Taichung Plant 4 is expected to provide incremental production capacity to support future growth.

Shareholder structure

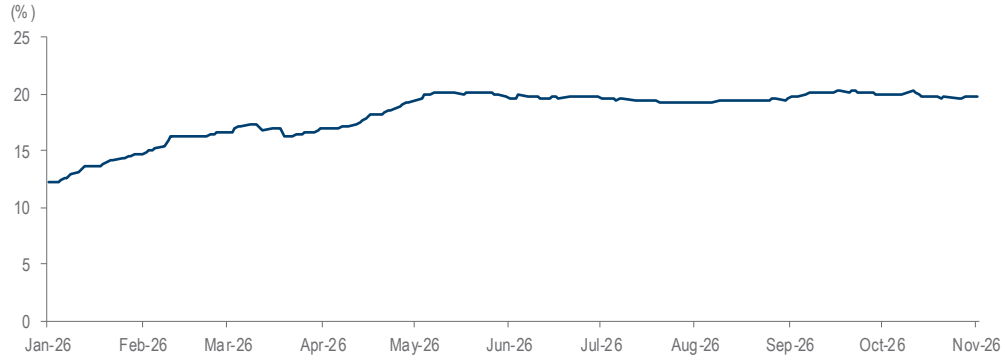
Hon Precision's major shareholders include several investment and development companies. As of 17 April 2026, Hung Min Development was the largest shareholder with a 17.37% stake, followed by Hongji Investment at 12.08% and Hong Yu Development at 7.80%. Chairman Wen-Ta Hsieh also directly held 1.77%. International institutional shareholders included Norges Bank and GIC, with disclosed stakes of 1.30% and 0.97%, respectively. The company has a free float of 48%, allowing broad public-market participation and supporting trading liquidity.

Hon Precision: shareholder structure (as of 17 April 2026)

Holder	Share (%)
Hung Min Development Co., Ltd.	17.37%
Hongji Investment Co., Ltd.	12.08%
Hong Yu Development Co., Ltd.	7.80%
Hong Cheng Investment Co., Ltd.	4.66%
Hong Jun Co., Ltd.	3.12%
Laiyu Investment Co., Ltd.	2.47%
Wen-Ta Hsieh	1.77%
Citibank (Taiwan) Limited as custodian for Norges Bank	1.30%
Chu Chen Investment Co., Ltd.	1.26%
Citibank (Taiwan) Limited as Custodian for GIC	0.97%

Source: Bloomberg, Company

Hon Precision: foreign institutional ownership trend



Source: TEJ

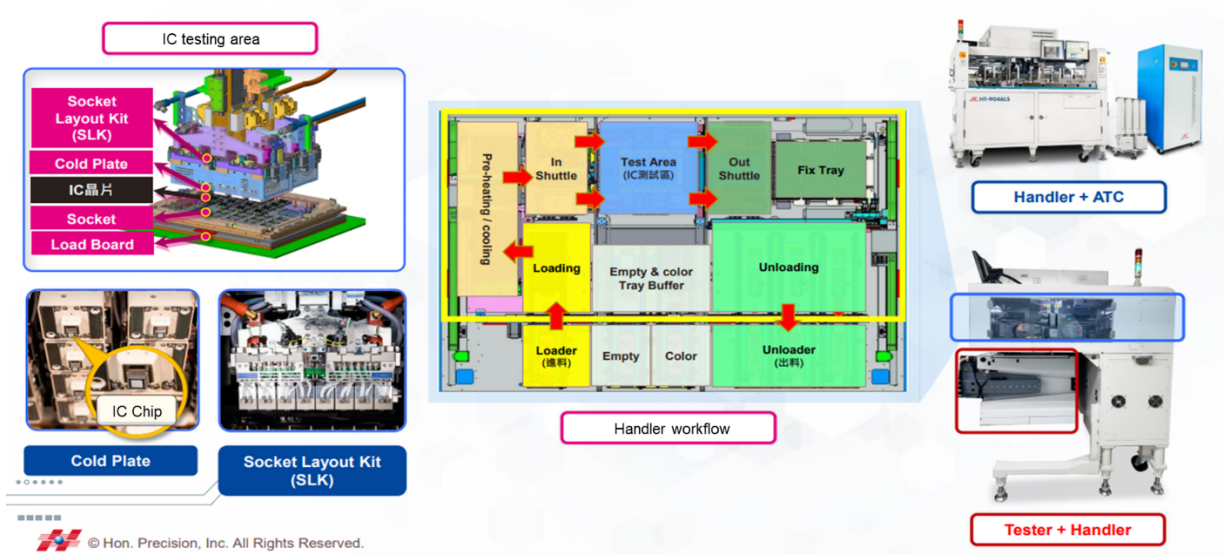
Appendix

What is handler?

A semiconductor test handler automates the movement, positioning and temperature conditioning of packaged chips during testing. It places each device into a test socket, applies the required contact force and sorts the device according to the test results. The tester performs the electrical measurements, while the handler ensures consistent mechanical and thermal conditions.

The process begins with packaged chips loaded into the handler in trays. After temperature conditioning, the handler transfers each chip into a test socket connected to the tester through a load board. Once electrical contact is established, the tester applies signals and measures the chip's response. For ATC-equipped systems, a customised cold plate works with the active thermal control system to maintain the required chip temperature throughout testing. The handler then unloads and sorts the chips based on their test results.

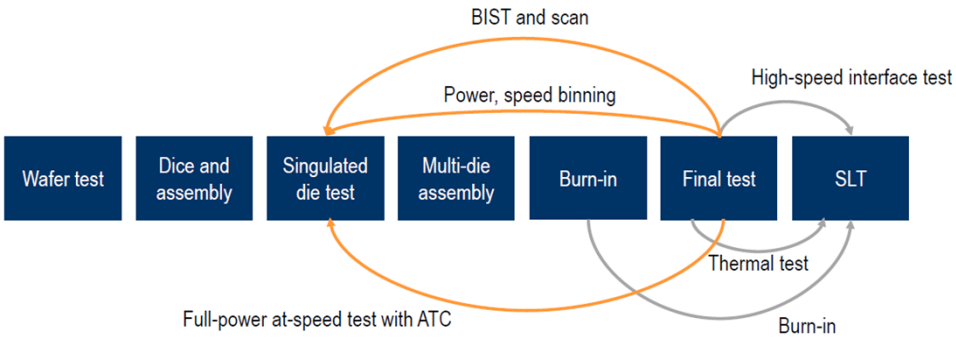
Semiconductor test handler: workflow and thermal control system



Source: Hon Precision, Daiwa research

Handlers are used in both final test (FT) and system-level test (SLT). FT handlers work with automated test equipment (ATE) to check electrical characteristics and functionality against specifications. SLT handlers place chips into test positions connected to system-level platforms, typically comprising test boards, test PCs and power supplies, to evaluate operation under conditions resembling actual use.

Semiconductor back-end testing FT workflow



Source: Semiconductor engineering

Thermal control becomes increasingly important as AI/HPC chips consume more power and adopt larger, more complex packages. Different test patterns change power consumption and heat distribution, requiring dynamic heating or cooling to keep the chip within a specified temperature range. Precise handling and temperature control support repeatable measurements, while parallel testing and efficient chip movement help improve overall test throughput.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	The board consists of nine directors, including three independent directors (33%) and one female director. Board oversight is supported by Audit and Compensation Committees, with directors completing 93 training hours in 2025.
	Capital management	1	The debt-to-asset ratio declined to 20.8% in 2025, reflecting a conservative balance sheet. The company continues to maintain solid profitability and financial flexibility.
	Related party & transaction	2	Related-party transactions are conducted under arm's-length principles, with conflict-of-interest disclosure and recusal mechanisms in place. No material governance concerns were disclosed.
G	Supply chain management	1	The company has established supplier qualification, audit and annual evaluation programs, incorporating RBA standards and responsible sourcing requirements into supplier management.
E	Water & wastewater management	2	Water consumption is primarily sourced from municipal supply, with wastewater treatment and recycling systems in place. No environmental violations related to water management were reported.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 10 Nov 2026
Source: Daiwa, Company

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Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
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Daiwa Capital Markets Hong Kong Limited

M31 Technology (6643 TT)

Target price: **TWD550.00** (from TWD645.00)

Share price (10 Nov): **TWD390.50** | Up/downside: **+40.8%**

5 4 3 2 **1**

Buy (unchanged)

Structural turnaround round the corner (III)

- Lowering our forecasts to reflect still suboptimal scale…
- … but expecting enriched license projects to bear fruit soon
- Reiterating our Buy (1) rating with a lower 12M TP of TWD550

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What's new: Following on our *results Memo,* we lower our forecasts and TP for M31, as we factor in its still suboptimal scale and delayed employment bonus in 3Q26 that weigh on its trajectory of a bottom-line turnaround. That said, we remain comfortable with our Buy (1) call on the stock as we expect M31's turnaround, kicking off from 3Q26 despite at a small scale, to sustain into 2027 with meaningful incremental builds, supported by its conversion from license to royalty revenue paying off, and broadened footprint into advanced technologies for price accretion and into diversified foundry, IDM, and fabless customers for volume accretion.

What's the impact: **Forecast changes.** We lower our 2026-27E EPS for M31 by 14-43% to embed its still suboptimal scale and opex overhang in our model. Despite the cuts, its bottom-line turnaround met our expectation, and we expect the turnaround to sustain with meaningful incremental builds sequentially through 2027 to improve market confidence. We forecast its 4Q26 top line to rebound by 23% QoQ (+12% YoY) for EPS to reach TWD3.31 (TWD0.35 in 3Q26), setting a good start for M31's 2027 outlook and warranting a strong 213% EPS CAGR over 2026-28E.

Turnaround confirmed. While prolonged license project recognitions delayed M31's turnaround, depicted in *our previous Flash*, we believe its bumpy operations over the past 2 years is finally coming to an end, evidenced by management's comments of QoQ revenue growth for 4Q26 with EPS expanding to cover accumulated losses YTD. M31 has actively invested over the past years enriching its IP portfolio, accumulating more than 2,000 license projects since 2012 (chart on p.2), and setting a good foundation for converting them to royalty revenue. It aims for the royalty revenue to outgrow license revenue in the next few quarters, after years of "cooking". Meanwhile, two structural growth drivers remain intact for ASP and volume accretion: 1) for ASP, a growing number of high-value projects from advanced process nodes to enhance M31's IP portfolio for ASP accretion, and 2) for volume, an increased diversification of customer base globally to broaden its addressable markets for volume accretion.

What we recommend: Given our forecast revisions, we lower our 12M TP for M31 to TWD550 (previous: TWD645), still based on our 4-quarter forward PER of 45x. We reaffirm our Buy (1) rating with key downside risks of silicon inflation and geopolitical overhang leading to global inflation and AI capex cut to delay M31's royalty ramps.

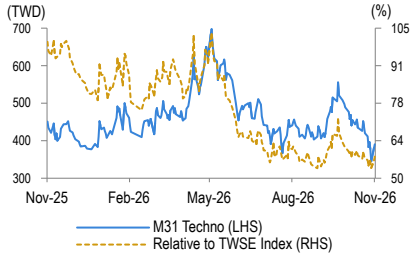
How we differ: Our 2027E EPS is 52% above the consensus, likely due to our more positive view on royalty revenue ramp.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	(2.5)	(1.0)	(1.0)
Net profit change	(42.6)	(12.5)	(0.9)
Core EPS (FD) change	(43.3)	(13.5)	(2.2)

Source: Daiwa forecasts

Share price performance



12-month range	345.50-697.00
Market cap (USDbn)	0.51
3m avg daily turnover (USDm)	8.72
Shares outstanding (m)	43
Major shareholder	Huey-Ling Chen (21.4%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	1,922	2,660	3,358
Operating profit (m)	82	767	1,174
Net profit (m)	104	675	1,023
Core EPS (fully-diluted)	2.437	15.839	24.015
EPS change (%)	44.3	549.8	51.6
Daiwa vs Cons. EPS (%)	(47.5)	51.7	(0.9)
PER (x)	160.2	24.7	16.3
Dividend yield (%)	0.3	2.6	3.8
DPS	1.2	10.0	15.0
PBR (x)	8.5	7.6	6.4
EV/EBITDA (x)	100.5	18.8	12.3
ROE (%)	5.4	32.5	42.7

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

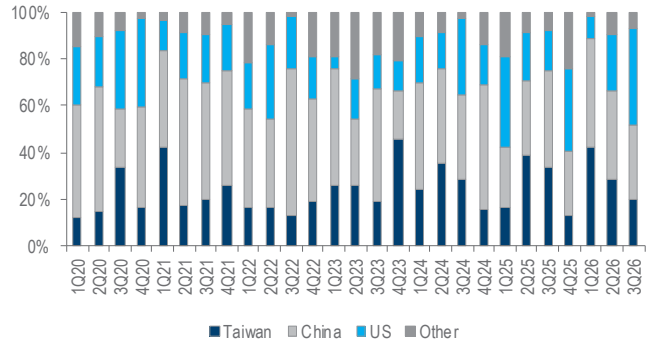
Flash

M31: quarterly P&L forecasts

TWDm	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	**395**	**422**	**495**	**610**	**524**	**587**	**734**	**815**	**1,782**	**1,922**	**2,660**	**3,358**
License	323	347	406	500	432	467	580	633	1,517	1,576	2,111	2,552
Royalty	71	75	89	110	92	121	154	182	265	345	549	806
COGS	0	0	0	0	0	0	0	0	0	0	0	0
Gross profit	395	422	495	610	524	587	734	815	1,782	1,922	2,660	3,358
Opex	-461	-439	-488	-452	-466	-477	-477	-473	-1,689	-1,839	-1,893	-2,183
Operating profit	-66	-17	7	158	58	111	257	342	93	82	767	1,174
Pretax profit	-47	-4	16	164	63	117	264	349	94	129	794	1,211
Income taxes	-2	1	-1	-23	-10	-18	-40	-52	-23	-25	-119	-188
Net profit	-49	-3	15	141	54	100	224	297	71	104	675	1,023
EPS (TWD, basic)	-1.18	-0.07	0.35	3.31	1.27	2.34	5.26	6.97	1.69	2.44	15.84	24.02
EPS (TWD, fully diluted)	**-1.18**	**-0.07**	**0.35**	**3.31**	**1.27**	**2.34**	**5.26**	**6.97**	**1.69**	**2.44**	**15.84**	**24.02**
Revenue mix												
License	82%	82%	82%	82%	82%	79%	79%	78%	85%	82%	79%	76%
Royalty	18%	18%	18%	18%	18%	21%	21%	22%	15%	18%	21%	24%
Margin												
Gross profit	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Opex	-117%	-104%	-99%	-74%	-89%	-81%	-65%	-58%	-95%	-96%	-71%	-65%
Operating profit	-17%	-4%	1%	26%	11%	19%	35%	42%	5%	4%	29%	35%
Net profit	-12%	-1%	3%	23%	10%	17%	31%	36%	4%	5%	25%	30%
Growth (QoQ)												
Revenue	-27%	7%	17%	23%	-14%	12%	25%	11%				
Gross profit	-27%	7%	17%	23%	-14%	12%	25%	11%				
Operating profit	-170%	-75%	-143%	nm	-64%	92%	132%	33%				
Net profit	-150%	-94%	nm	nm	-62%	85%	125%	32%				
EPS (basic)	-150%	-94%	nm	nm	-62%	85%	125%	32%				
EPS (FD)	-150%	-94%	nm	nm	-62%	85%	125%	32%				
Growth (YoY)												
Revenue	-9%	-6%	40%	12%	33%	39%	48%	34%	20%	8%	38%	26%
Gross profit	-9%	-6%	40%	12%	33%	39%	48%	34%	20%	8%	38%	26%
Operating profit	nm	-143%	-115%	67%	-187%	nm	nm	116%	75%	-12%	nm	53%
Net profit	-352%	-93%	-297%	42%	-210%	nm	nm	110%	-44%	47%	nm	52%
EPS (basic)	-352%	-93%	-296%	39%	-207%	nm	nm	110%	-45%	44%	nm	52%
EPS (FD)	-352%	-93%	-294%	39%	-208%	nm	nm	110%	-44%	44%	nm	52%

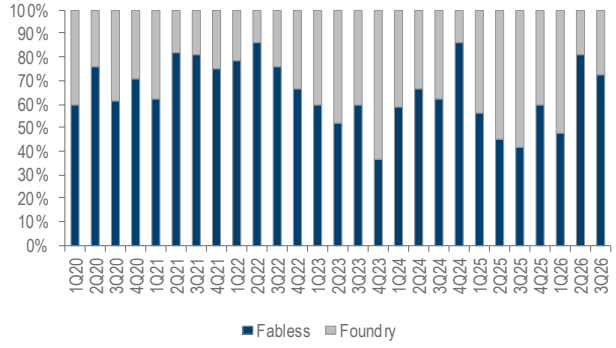
Source: Company, Daiwa estimates and forecasts

M31: revenue mix by region



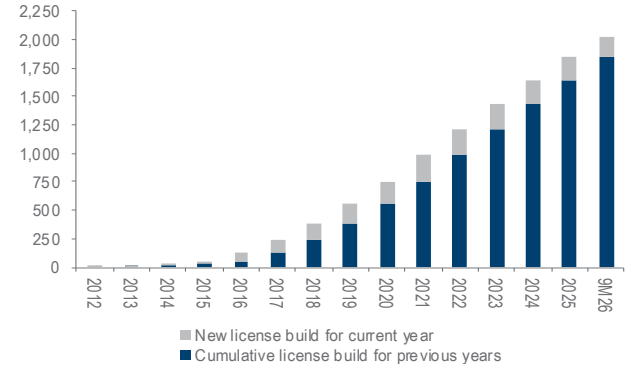
Source: Company

M31: revenue mix by customer



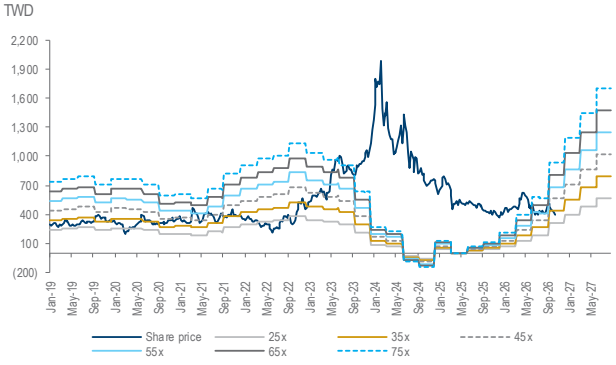
Source: Company

M31: number of license project build



Source: Company

M31: 4-quarter-forward PER band



Source: Company, TEJ, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Licensing growth (%)	(1.0)	24.4	26.0	(7.8)	22.2	3.9	33.9	20.9
Royalty growth (%)	35.0	90.5	(8.9)	(9.7)	10.7	30.1	59.1	46.7

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Licensing	859	1,069	1,347	1,241	1,517	1,576	2,111	2,552
Royalty	153	291	265	240	265	345	549	806
Other Revenue	0	0	0	0	0	0	0	0
Total Revenue	**1,012**	**1,360**	**1,612**	**1,481**	**1,782**	**1,922**	**2,660**	**3,358**
Other income	0	0	0	0	0	0	0	0
COGS	0	0	0	0	0	0	0	0
SG&A	(153)	(178)	(225)	(280)	(337)	(409)	(380)	(443)
Other op.expenses	(546)	(814)	(940)	(1,148)	(1,352)	(1,430)	(1,513)	(1,741)
Operating profit	**313**	**368**	**446**	**53**	**93**	**82**	**767**	**1,174**
Net-interest inc./(exp.)	(1)	10	29	28	18	18	27	37
Assoc/forex/extraord./others	(19)	65	37	69	(17)	29	0	0
Pre-tax profit	**294**	**443**	**513**	**150**	**94**	**129**	**794**	**1,211**
Tax	(41)	(64)	(78)	(23)	(23)	(25)	(119)	(188)
Min. int./pref. div./others	0	0	0	0	0	0	0	0
Net profit (reported)	**253**	**379**	**435**	**127**	**71**	**104**	**675**	**1,023**
Net profit (adjusted)	**253**	**379**	**435**	**127**	**71**	**104**	**675**	**1,023**
EPS (reported)(TWD)	**6.096**	**9.173**	**10.401**	**3.047**	**1.690**	**2.437**	**15.839**	**24.015**
EPS (adjusted)(TWD)	**6.096**	**9.173**	**10.401**	**3.047**	**1.690**	**2.437**	**15.839**	**24.015**
EPS (adjusted fully-diluted)(TWD)	**6.096**	**9.032**	**10.401**	**3.036**	**1.689**	**2.437**	**15.839**	**24.015**
DPS (TWD)	**8.000**	**4.784**	**6.061**	**6.693**	**2.001**	**1.200**	**10.000**	**15.000**
EBIT	**313**	**368**	**446**	**53**	**93**	**82**	**767**	**1,174**
EBITDA	**353**	**415**	**496**	**117**	**168**	**160**	**851**	**1,270**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	294	443	513	150	94	129	794	1,211
Depreciation and amortisation	40	47	49	63	75	78	83	96
Tax paid	(41)	(64)	(78)	(23)	(23)	(25)	(119)	(188)
Change in working capital	(65)	(11)	(54)	(100)	(76)	(65)	(201)	(5)
Other operational CF items	(4)	236	(189)	(43)	(43)	0	0	0
Cash flow from operations	**225**	**652**	**241**	**47**	**26**	**117**	**557**	**1,114**
Capex	(533)	(31)	(34)	(80)	(48)	(58)	(80)	(101)
Net (acquisitions)/disposals	0	0	142	0	0	0	0	0
Other investing CF items	219	(154)	225	(13)	94	(5)	(5)	(5)
Cash flow from investing	**(314)**	**(186)**	**332**	**(93)**	**46**	**(63)**	**(85)**	**(106)**
Change in debt	89	(89)	0	0	0	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(332)	(198)	(254)	(279)	(84)	(51)	(426)	(639)
Other financing CF items	108	56	(5)	(10)	(15)	0	0	0
Cash flow from financing	**(134)**	**(232)**	**(259)**	**(289)**	**(98)**	**(51)**	**(426)**	**(639)**
Forex effect/others	3	5	(12)	15	(5)	0	0	0
Change in cash	**(220)**	**239**	**302**	**(320)**	**(31)**	**3**	**46**	**369**
Free cash flow	(308)	620	207	(34)	(22)	59	477	1,013

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	724	1,114	1,148	682	558	561	607	976
Inventory	0	0	0	0	0	0	0	0
Accounts receivable	319	325	374	263	336	416	616	626
Other current assets	89	220	133	260	346	346	346	346
Total current assets	**1,132**	**1,659**	**1,654**	**1,205**	**1,240**	**1,322**	**1,569**	**1,948**
Fixed assets	683	571	562	592	605	592	595	607
Goodwill & intangibles	8	11	12	18	29	28	26	24
Other non-current assets	114	126	169	345	289	289	289	289
Total assets	**1,937**	**2,367**	**2,397**	**2,159**	**2,163**	**2,231**	**2,479**	**2,868**
Short-term debt	0	0	0	0	0	0	0	0
Accounts payable	6	2	5	2	2	17	16	21
Other current liabilities	264	503	321	215	247	247	247	247
Total current liabilities	**270**	**505**	**326**	**217**	**249**	**264**	**263**	**268**
Long-term debt	83	0	0	0	0	0	0	0
Other non-current liabilities	0	5	8	23	14	14	14	14
Total liabilities	**353**	**510**	**334**	**240**	**263**	**278**	**277**	**282**
Share capital	316	317	348	418	418	418	418	418
Reserves/R.E./others	1,268	1,540	1,715	1,501	1,482	1,535	1,784	2,168
Shareholders' equity	**1,584**	**1,857**	**2,063**	**1,919**	**1,900**	**1,953**	**2,202**	**2,586**
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	**1,937**	**2,367**	**2,397**	**2,159**	**2,163**	**2,231**	**2,479**	**2,868**
EV	15,999	15,525	15,491	15,957	16,081	16,078	16,032	15,663
Net debt/(cash)	**(641)**	**(1,114)**	**(1,148)**	**(682)**	**(558)**	**(561)**	**(607)**	**(976)**
BVPS (TWD)	**38.211**	**44.927**	**49.307**	**46.084**	**45.496**	**45.839**	**51.678**	**60.693**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	3.1	34.4	18.5	(8.2)	20.3	7.8	38.4	26.2
EBITDA (YoY)	(23.3)	17.6	19.3	(76.5)	43.9	(4.7)	431.5	49.3
Operating profit (YoY)	(25.2)	17.6	21.3	(88.1)	75.0	(11.6)	831.8	53.0
Net profit (YoY)	(21.6)	50.1	14.7	(70.8)	(44.4)	47.1	549.8	51.6
Core EPS (fully-diluted) (YoY)	(22.3)	48.2	15.2	(70.8)	(44.4)	44.3	549.8	51.6
Gross-profit margin	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0
EBITDA margin	34.9	30.5	30.7	7.9	9.4	8.3	32.0	37.8
Operating-profit margin	30.9	27.1	27.7	3.6	5.2	4.3	28.8	35.0
Net profit margin	25.0	27.9	27.0	8.6	4.0	5.4	25.4	30.5
ROAE	16.3	22.0	22.2	6.4	3.7	5.4	32.5	42.7
ROAA	13.7	17.6	18.3	5.6	3.3	4.7	28.7	38.3
ROCE	19.7	20.9	22.8	2.7	4.9	4.3	36.9	49.1
ROIC	43.0	37.4	45.7	4.2	5.4	n.a.	n.a.	n.a.
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	13.9	14.4	15.2	15.6	24.8	19.7	15.0	15.5
Accounts receivable (days)	103.5	86.4	79.1	78.5	61.3	71.3	70.7	67.5
Current ratio (x)	4.2	3.3	5.1	5.5	5.0	5.0	6.0	7.3
Net interest cover (x)	593.7	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	102.9	103.1	88.3	76.6	65.8	72.4	410.3	94.7
Free cash flow yield	n.a.	3.7	1.2	n.a.	n.a.	0.4	2.9	6.1

Source: FactSet, Daiwa forecasts

Company profile

Founded in 2011, M31 is an independent semiconductor IP provider in Taiwan, offering both foundation IP for specialty technology nodes and functional IP such as high-speed interface and analogue IP.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	M31's board of directors (BoD) has 7 members, including 3 independent directors, who represent 43% of total directors, higher than the regulatory requirement of at least 20%. Its Chairman and President are not the same person, but its President is one of the directors. M31 has the Audit Committee, Compensation Committee and Risk Control Committee under the BoD.
	Capital management	1	Although M31 is a young company (founded in 2011 and listed in 2019), its dividend payout ratio has been over the 75% level for the past 5 years. M31 is a semiconductor IP provider without onsite production activities, which would require high capex to do so. As such, we view its high dividend payout ratio to be appropriate.
	Related party & transaction	1	We do not see any meaningful impact from related-party transactions.
S	Supply chain management	2	M31's suppliers are required to comply with the Supplier Management Standards, which was set by M31 in 2013. In addition, M31 has periodical evaluations for its suppliers and onsite audits to ensure the quality and implementation of Corporate Social Responsibility (CSR), as well as Environmental Protection and Safety and Integrity Policies.
E	Water & wastewater management	1	M31 is a semiconductor IP provider without physical products, and thus no production activity to affect the environment.
E	Waste & hazardous materials management	1	The company is a semiconductor IP provider without physical products, and thus no production activity to affect the environment. It still adopts some measures to reduce waste from its operations, such as recycling and using electronic files to replace paper documents as much as possible to reduce the use of paper.
E	GHG emissions	1	M31 is a semiconductor IP provider without physical products, and thus no production activity to affect the environment.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 11 Mar 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
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* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

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Memberships:	Japan Securities Dealers Association, The Financial Futures Association of Japan, Investment Management Association of Japan, Type II Financial Instruments Firms Association, Japan Security Token Offering Association

AWSC (8086.TWO)

Earnings Review: Material cost inflation to moderate in 4Q26, full impact of price adjustments from 1Q27; Neutral

8086.TWO	12m Price Target: **NT$136.00**	Price: **NT$99.90**	Upside: **36.1%**

AWSC's 3Q26 core business OP was NT$209mn, which was lower than both GSe/BBG consensus at NT$226mn/NT$250mn, mainly due to the ongoing increase in raw material cost, leading to a 24.3% GM (lower than GSe/BBG consensus GM at 25.6%/27.8%), despite UTR in 3Q26 remaining stable at 65-70%. Moreover, AWSC reported NI of NT$191mn, which was 3% higher than GSe but 17% lower than the BBG consensus due to the GM contraction.

Going into 4Q26, we believe the company's revenue will increase by 1% as key business lines (including WiFi, cellular and VCSEL) should remain stable in 4Q26 as we expect the company's utilization rate to remain stable at 65-70%. Moreover, we expect its GM to rise to 27.2% (up 2.9ppt QoQ) due to the material cost increase slowing down.

We continue to view rising material costs as the key risk to AWSC's profitability, as the company is now securing raw materials at higher cost as low-cost inventory has already been depleted in 1H26 amid the strong demand pull in. The company continues to negotiate price increases with clients and expects the adjustments to be fully reflected starting in 1Q27. However, we remain cautious on the low-end cellular segment, where customer demand tends to be more price-sensitive.

For the AI-related business, the company continues to ship VCSEL products for 400G/800G optical transceiver this year, with revenue contribution to be <2% in 2026E per our estimates. Meanwhile, the company continues to make progress on the new PD (Photodiode) product and is currently undergoing verification with several customers. The company expects PD products to start seeing revenue contribution starting from 2H27 or 2027-end given its long verification process, typically 6 months+, thus we expect revenue contribution to be limited at <2%/~5% in 2027E/2028E.

Investment view

NEUTRAL

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Key Data

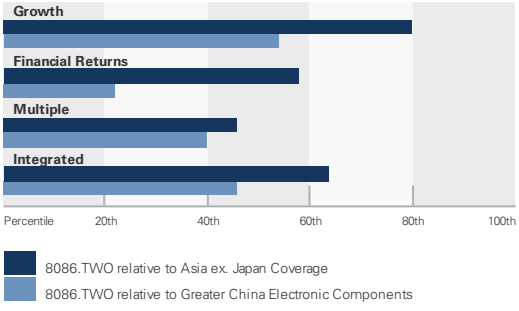
Market cap: NT$19.6bn / $595.9mn
Enterprise value: NT$15.8bn / $479.8mn
3m ADTV: NT$812.4mn / $25.3mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**4,116.5**	**5,054.0**	**5,763.6**	**7,143.1**
Revenue (NT$ mn) Old	4,116.5	4,997.6	6,327.4	7,933.9
EBITDA (NT$ mn)	1,434.9	1,802.2	2,108.2	2,566.8
EPS (NT$) New	**3.36**	**4.86**	**5.66**	**7.62**
EPS (NT$) Old	3.36	4.78	6.26	8.51
P/E (X)	28.6	20.6	17.7	13.1
P/B (X)	2.3	2.3	2.2	2.1
Dividend yield (%)	1.8	3.2	3.7	5.0
CROCI (%)	13.1	14.6	15.6	17.5

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	0.97	0.96	1.10	1.42

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
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NEUTRAL

AWSC (8086.TWO)

Rating since Dec 2, 2024

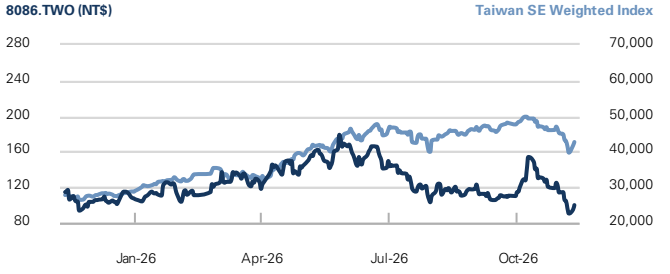
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	28.6	20.6	17.7	13.1
P/B (X)	2.3	2.3	2.2	2.1
FCF yield (%)	5.7	7.9	3.9	4.5
EV/EBITDAR (X)	11.3	8.8	7.4	6.0
EV/EBITDA (excl. leases) (X)	11.3	8.8	7.4	6.0
CROCI (%)	13.1	14.6	15.6	17.5
ROE (%)	8.2	11.4	12.7	16.2
Net debt/equity (%)	(31.6)	(44.6)	(44.3)	(43.5)
Net debt/equity (excl. leases) (%)	(31.6)	(44.6)	(44.3)	(43.5)
Interest cover (X)	46.8	–	–	–
Days inventory outst, sales	76.9	58.2	45.7	42.8
Receivable days	55.7	43.4	33.8	32.5
Days payable outstanding	34.7	37.2	38.2	36.4
DuPont ROE (%)	8.0	11.2	12.4	15.8
Turnover (X)	0.4	0.5	0.5	0.6
Leverage (X)	1.3	1.3	1.3	1.3
Gross cash invested (ex cash) (NT$)	11,148.4	10,986.6	11,982.8	13,138.7
Average capital employed (NT$)	5,751.4	5,187.8	4,865.5	5,171.6
BVPS (NT$)	41.89	43.60	45.58	48.24

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	(7.6)	22.8	14.0	23.9
EBITDA growth	21.3	25.6	17.0	21.8
EPS growth	26.7	44.7	16.4	34.6
DPS growth	41.2	88.1	16.4	34.6
EBIT margin	17.9	21.3	23.5	24.9
EBITDA margin	34.9	35.7	36.6	35.9
Net income margin	16.0	18.9	19.3	21.0

Price Performance



	3m	6m	12m
Absolute	(15.3)%	(37.4)%	(12.0)%
Rel. to the Taiwan SE Weighted Index	(10.9)%	(39.0)%	(42.6)%

Source: FactSet. Price as of 10 Nov 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	4,116.5	5,054.0	5,763.6	7,143.1
Cost of goods sold	(3,026.6)	(3,588.4)	(3,940.7)	(4,803.3)
SG&A	(157.0)	(143.4)	(172.0)	(215.9)
R&D	(195.0)	(244.3)	(297.2)	(342.3)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**1,434.9**	**1,802.2**	**2,108.2**	**2,566.8**
Depreciation & amortization	(697.0)	(724.3)	(754.6)	(785.2)
EBIT	**737.9**	**1,077.9**	**1,353.7**	**1,781.6**
Net interest inc./(exp.)	42.6	71.3	96.5	99.5
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**780.5**	**1,118.3**	**1,323.7**	**1,781.6**
Provision for taxes	(120.3)	(163.0)	(211.8)	(285.1)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**660.1**	**955.3**	**1,111.9**	**1,496.6**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**660.1**	**955.3**	**1,111.9**	**1,496.6**
EPS (basic, pre-except) (NT$)	**3.36**	**4.86**	**5.66**	**7.62**
EPS (diluted, pre-except) (NT$)	**3.36**	**4.86**	**5.66**	**7.62**
EPS (basic, post-except) (NT$)	**3.36**	**4.86**	**5.66**	**7.62**
EPS (diluted, post-except) (NT$)	**3.36**	**4.86**	**5.66**	**7.62**
DPS (NT$)	1.68	3.16	3.68	4.95
Div. payout ratio (%)	50.0	65.0	65.0	65.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	3,450.3	4,670.8	4,818.4	4,971.5
Accounts receivable	704.4	498.5	568.5	704.5
Inventory	922.7	688.2	755.8	921.2
Other current assets	491.8	491.8	491.8	491.8
Total current assets	**5,569.3**	**6,349.3**	**6,634.4**	**7,089.0**
Net PP&E	4,792.9	4,693.6	4,939.0	5,353.8
Net intangibles	24.4	24.4	24.4	24.4
Total investments	0.0	0.0	(1.0)	(2.0)
Other long-term assets	138.8	138.8	138.8	138.8
Total assets	**10,525.5**	**11,206.1**	**11,735.7**	**12,604.1**
Accounts payable	337.7	393.3	431.9	526.4
Short-term debt	150.0	150.0	150.0	150.0
Short-term lease liabilities	–	–	–	–
Other current liabilities	1,021.4	1,312.2	1,414.0	1,664.1
Total current liabilities	**1,509.1**	**1,855.5**	**1,995.9**	**2,340.5**
Long-term debt	698.3	698.3	698.3	698.3
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	85.2	85.2	85.2	85.2
Total long-term liabilities	**783.5**	**783.5**	**783.5**	**783.5**
Total liabilities	**2,292.6**	**2,639.0**	**2,779.4**	**3,124.0**
Preferred shares	–	–	–	–
Total common equity	8,232.8	8,567.2	8,956.3	9,480.1
Minority interest	**--**	**--**	**--**	**--**
Total liabilities & equity	**10,525.5**	**11,206.1**	**11,735.7**	**12,604.1**
Net debt, adjusted	(2,602.0)	(3,822.4)	(3,970.0)	(4,123.1)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	660.1	955.3	1,111.9	1,496.6
D&A add-back	697.0	724.3	754.6	785.2
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(153.3)	496.0	(98.9)	(207.0)
Other operating cash flow	104.2	–	–	–
Cash flow from operations	**1,308.0**	**2,175.6**	**1,768.5**	**2,075.8**
Capital expenditures	(225.0)	(625.0)	(1,000.0)	(1,200.0)
Acquisitions	–	–	–	–
Divestitures	(1.1)	–	–	–
Others	(481.4)	–	–	–
Cash flow from investing	**(707.5)**	**(625.0)**	**(1,000.0)**	**(1,200.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(330.1)	(330.1)	(620.9)	(722.7)
Inc/(dec) in debt	465.0	–	–	–
Other financing cash flows	(111.1)	0.0	0.0	0.0
Cash flow from financing	**23.8**	**(330.1)**	**(620.9)**	**(722.7)**
Total cash flow	**624.2**	**1,220.4**	**147.6**	**153.1**
Free cash flow	1,082.9	1,550.6	768.5	875.8

Source: Company data, Goldman Sachs Research estimates.

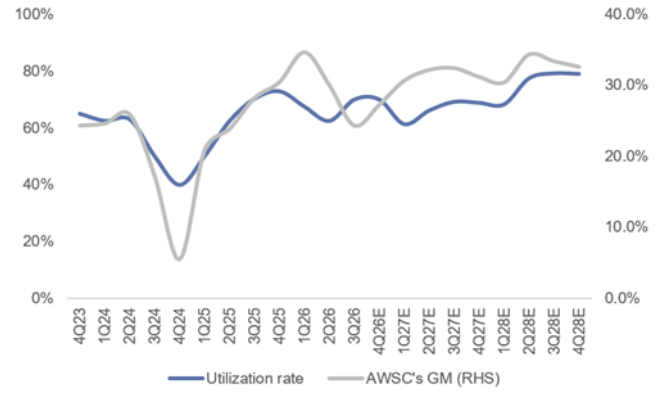
We maintain our conservative view on the cellular/WiFi PA industry (see here) as we continue to see weaker smartphone shipment (-10%/+2%/+2% in 2026/27/28, see here) as the smartphone market continues to be impacted by the elevated memory price (see here).

For AWSC, we believe the company could further gain market share among China PA design houses as Chinese clients increasingly shift toward higher-end PA products, supported by the company's superior cost control capability and higher production yield relative to peers. In addition, AWSC has continued to expand its market share with a Korean smartphone brand, which should provide further growth momentum to its cellular business in coming quarters/years. Overall, we expect AWSC to continue gaining share from its key competitors due to (1) its competitive pricing strategy, underpinned by a more favorable cost structure comparing to its key competitor, Win Semi (AWSC/Win Semi's fixed cost accounts for 30%/40% of the total, while Win Semi's COGS per wafer is ~130% higher than AWSC's) and (2) its strategic focus on China- and US-based PA design houses.

We continue to see a recovery in 2026 CAPEX plans among Taiwan PA foundry players. However, we do not view this as a signal of a meaningfully stronger demand outlook as the capital spending is more related to new AI businesses. AWSC revised up its 2026 CAPEX guidance to NT$600-650mn (from NT$500-600mn) and continues to expect CAPEX to increase in 2027/28. Also, management continues to expect UTR to reach at most ~70% in 2026, implying no need for capacity expansion in the near term while the additional capex will be spent on new optical related business.

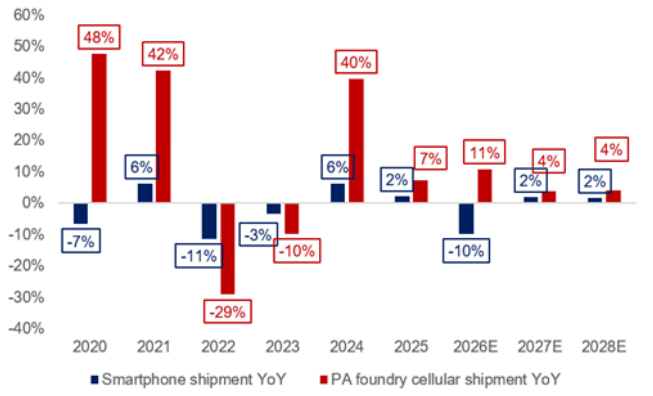
Overall, we maintain our Neutral rating on AWSC with a new 12-m TP of NT$136 (from NT$147) as we roll over our valuation period by one quarter. Post results, we revise down our 2027E/28E earnings by 10%/10% to reflect lower revenue and the negative impact from rising material cost (GM contraction), revise up 2026E earnings by 2%, and introduce our 2029E estimates.

Exhibit 1: AWSC's GM to be driven by utilization rate and product mix



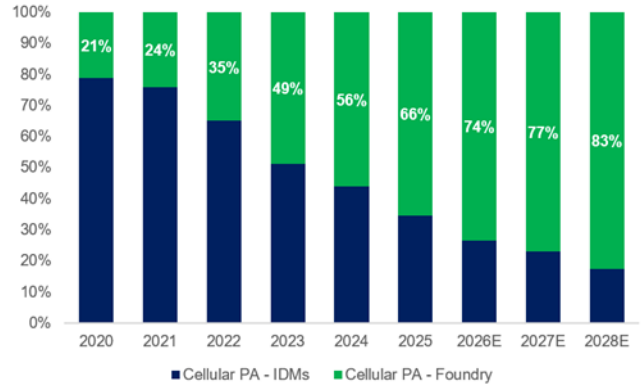
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: We expect cellular PA foundry shipments to increase 11%/4%/4% in 2026E/27E/28E



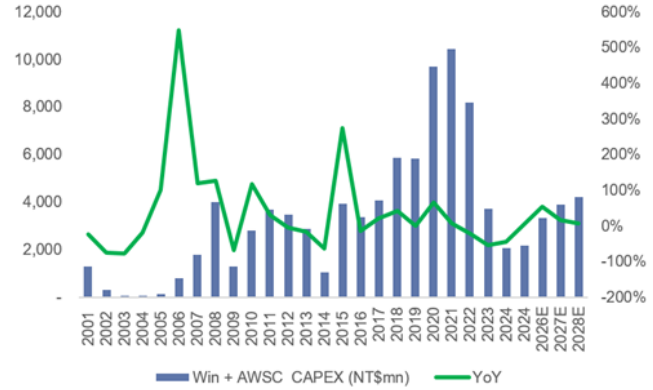
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: China cellular PA market share – Foundry continues to outgrow IDM



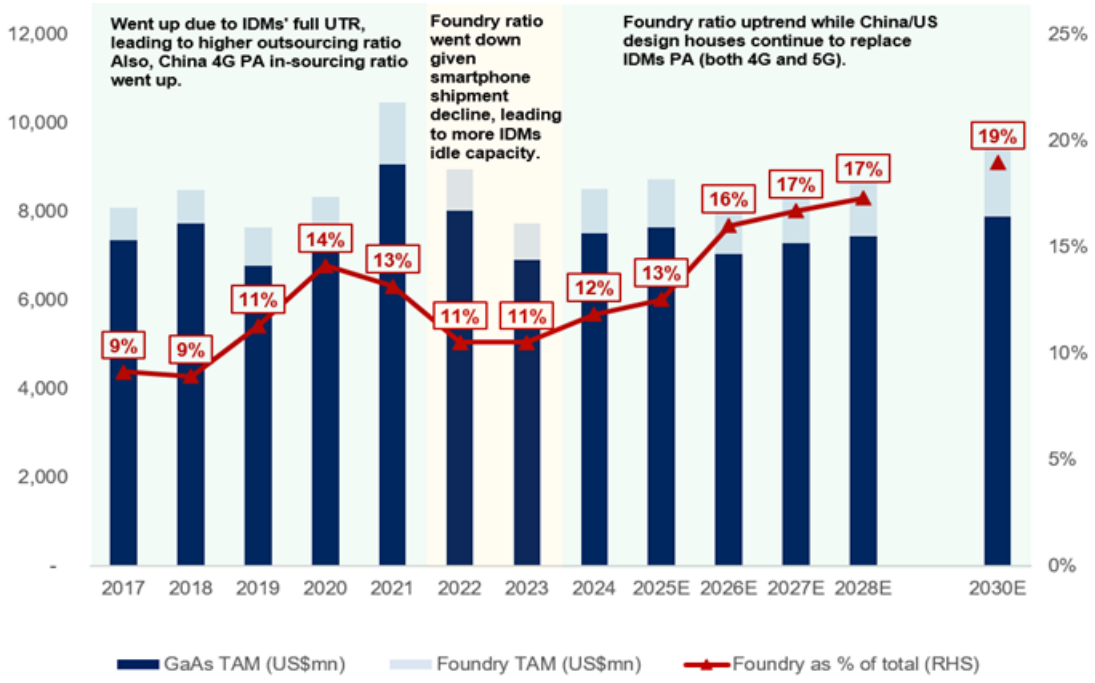
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: We believe Taiwan PA foundries' CAPEX will gradually improve starting from 2026



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: We believe the foundry penetration rate will grow to 16%/17%/17% in 2026E/27E/28E



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: AWSC 3Q26 result vs. GSe/consensus

AWSC (8086.TWO)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	1,262	1,262	0%	1,298	-3%	1,117	13%	1,257	0%
Gross profits	307	323	-5%	389	-21%	315	-3%	363	-15%
Operating profits	209	226	-7%	290	-28%	222	-6%	259	-19%
Pre-tax income	228	226	1%	307	-26%	261	-13%	282	-19%
Net profit	191	185	3%	278	-31%	218	-12%	236	-19%
EPS, NT$	0.97	0.94	3%	1.42	-31%	1.11	-12%	1.22	-20%
Gross margin (%)	24.3%	25.6%	-1.3ppt	30.0%	-5.7ppt	28.2%	-3.9ppt	28.9%	-4.6ppt
EBIT margin (%)	16.6%	17.9%	-1.3ppt	22.3%	-5.7ppt	19.9%	-3.3ppt	20.6%	-4.0ppt
Net margin (%)	15.2%	14.7%	0.5ppt	21.4%	-6.3ppt	19.5%	-4.3ppt	18.8%	-3.6ppt

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Earnings revisions

We revise up our 2026E revenue by 1% to factor in the 3Q26 actual results and we revise down 2027E/28E revenue by 9%/10% assuming a more conservative outlook for the cellular business; we revise down 2026E/27E/28E GM estimates by 0.4/0.7/0.8ppt to reflect the negative impact from rising material cost. Overall, we revise down 2027E/28E earnings by 10%/10% and revise up 2026E earnings by 2%.

In this report, we introduce our 2029E estimates.

Exhibit 7: Earnings revision table

AWSC P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.	2029E New
Sales	5,054	4,998	1%	5,764	6,327	-9%	7,143	7,934	-10%	8,064
Gross Profit	1,466	1,472	0%	1,823	2,046	-11%	2,340	2,659	-12%	2,666
EBIT	1,078	1,089	-1%	1,354	1,531	-12%	1,782	2,039	-13%	2,051
Net Income	955	940	2%	1,112	1,231	-10%	1,497	1,672	-11%	1,723
EPS (NT$)	**4.86**	**4.78**	**2%**	**5.66**	**6.26**	**-10%**	**7.62**	**8.51**	**-10%**	**8.77**
Ratio analysis										
Gross margin	29.0%	29.4%	-0.4pp	31.6%	32.3%	-0.7pp	32.8%	33.5%	-0.8pp	33.1%
EBIT margin	21.3%	21.8%	-0.5pp	23.5%	24.2%	-0.7pp	24.9%	25.7%	-0.8pp	25.4%
Net margin	18.9%	18.8%	0.1pp	19.3%	19.5%	-0.2pp	21.0%	21.1%	-0.1pp	21.4%

Source: Goldman Sachs Global Investment Research

Valuation

We maintain our Neutral rating and revise down our TP from NT$147 to NT$136, based on a lower 25x target P/E (from 27x previously, 0.5 STDV below the company's past 10-year forward P/E multiple), factoring in our earnings revisions and, consistent with our group coverage practices, rolling over our valuation period from 4Q26-3Q27E to 2027E.

Exhibit 8: P&L

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E	2029E
Revenue	1,222	1,298	1,262	1,271	1,249	1,415	1,554	1,546	1,564	1,809	1,887	1,882	4,117	5,054	5,764	7,143	8,064
Gross profit	423	389	307	346	383	455	504	482	475	621	630	614	1,090	1,466	1,823	2,340	2,666
Operating expense	(89)	(100)	(97)	(102)	(105)	(113)	(124)	(127)	(127)	(139)	(145)	(147)	(352)	(388)	(469)	(558)	(615)
Operating income	334	290	209	245	278	342	379	355	349	482	484	467	738	1,078	1,354	1,782	2,051
Pretax income	359	307	228	225	258	332	379	355	349	482	484	467	780	1,118	1,324	1,782	2,051
Taxes expense	(62)	(29)	(37)	(36)	(41)	(53)	(61)	(57)	(56)	(77)	(77)	(75)	(120)	(163)	(212)	(285)	(328)
Net income	297	278	191	189	217	279	319	298	293	405	407	392	660	955	1,112	1,497	1,723
EPS, NT$	**1.51**	**1.42**	**0.97**	**0.96**	**1.10**	**1.42**	**1.62**	**1.52**	**1.49**	**2.06**	**2.07**	**2.00**	**3.36**	**4.86**	**5.66**	**7.62**	**8.77**
As % of sales																	
Gross margin	34.6%	30.0%	24.3%	27.2%	30.6%	32.1%	32.4%	31.2%	30.4%	34.3%	33.4%	32.6%	26.5%	29.0%	31.6%	32.8%	33.1%
Operating expense ratio	7.3%	7.7%	7.7%	8.0%	8.4%	8.0%	8.0%	8.2%	8.1%	7.7%	7.7%	7.8%	8.6%	7.7%	8.1%	7.8%	7.6%
Operating margin	27.4%	22.3%	16.6%	19.2%	22.2%	24.1%	24.4%	23.0%	22.3%	26.6%	25.7%	24.8%	17.9%	21.3%	23.5%	24.9%	25.4%
Net margin	24.3%	21.4%	15.2%	14.8%	17.3%	19.7%	20.5%	19.3%	18.7%	22.4%	21.6%	20.8%	16.0%	18.9%	19.3%	21.0%	21.4%
QoQ growth (%)																	
Revenue	-2.5%	6.2%	-2.8%	0.7%	-1.8%	13.3%	9.8%	-0.5%	1.2%	15.7%	4.3%	-0.3%	-	-	-	-	-
Gross profit	11.0%	-8.0%	-21.2%	12.9%	10.5%	18.8%	10.7%	-4.3%	-1.3%	30.7%	1.4%	-2.5%	-	-	-	-	-
Operating income	20.1%	-13.4%	-27.7%	16.8%	13.6%	23.0%	11.0%	-6.4%	-1.8%	38.2%	0.5%	-3.6%	-	-	-	-	-
Net income	13.9%	-6.2%	-31.2%	-1.4%	14.8%	28.6%	14.4%	-6.4%	-1.8%	38.2%	0.5%	-3.6%	-	-	-	-	-
YoY growth (%)																	
Revenue	58.4%	33.3%	13.0%	1.4%	2.2%	9.0%	23.1%	21.6%	25.2%	27.9%	21.5%	21.8%	-8%	23%	14%	24%	13%
Gross profit	162.3%	67.6%	-2.6%	-9.2%	-9.6%	16.8%	64.2%	39.1%	24.2%	36.6%	25.0%	27.4%	23%	34%	24%	28%	14%
Operating income	322.8%	82.9%	-5.6%	-12.2%	-16.9%	18.0%	81.1%	45.1%	25.5%	41.0%	27.7%	31.5%	41%	46%	26%	32%	15%
Net income	259.7%	181.3%	-12.2%	-27.6%	-27.1%	0.1%	66.5%	58.1%	35.3%	45.3%	27.7%	31.5%	27%	45%	16%	35%	15%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis and TP & risks

AWSC is one of the largest GaAS foundries globally, with 10-15% market share in the GaAS foundry industry in 2025. We expect the company to enjoy solid share gain opportunity in the long term, considering its much lower than peers' production cost and better production efficiency. However, given the high inventory level in the supply chain, and the slower-than-expected Android smartphone PA demand in coming quarters, we expect relatively slow profit growth in the near term.

We are Neutral rated given the company's relatively slow profit growth in coming quarters. We think the stock is priced fairly, trading at its historical upcycle average P/E multiple, despite the long-term market share growth opportunity. We forecast AWSC's net income to grow at a 34% 2026E-28E CAGR. The key up/downside risks are (1) easing/rising competition in the China PA foundry market, (2) faster/slower-than-expected progress on 5G/WiFi 7 upgrade trends, and (3) faster/slower-than expected progress with new businesses, including LEO satellite, drones and datacom.

Valuation methodology: Our 12-month target price of NT$136 is based on a target 25x 2027E P/E, which is 0.5 STDV below the company's past 10-year forward P/E multiple and the inventory build-up period average P/E. We consider this multiple appropriate given the soft demand outlook and our positive view on the company's longer-term share gain opportunity.

The key up/downside risks are 1) easing/rising competition in the China PA foundry market, (2) faster/slower-than-expected progress on 5G/WiFi 7 upgrade trends, and (3) faster/slower-than expected progress with new businesses, including LEO satellite, drones and datacom.

Disclosure Appendix

Reg AC

We, Chao Wang, Allen Chang and Al Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	58%	43%

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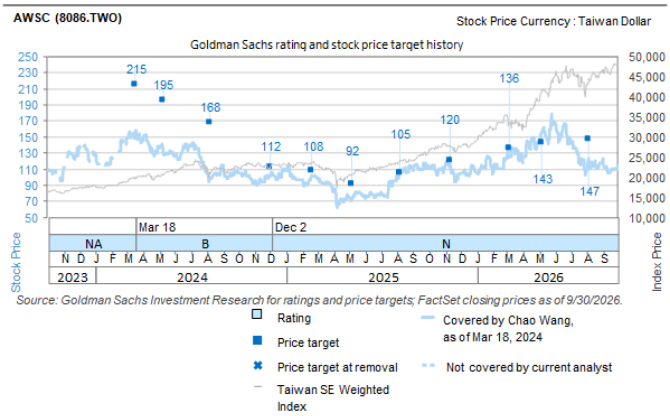
Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)
AWSC (8086.TWO)

Date of report	Target price (NT$)	Closing price (NT$)
06-Aug-26	147.00	123.50
08-May-26	143.00	159.50
05-Mar-26	136.00	125.00
11-Nov-25	120.00	114.50
07-Aug-25	105.00	105.00
08-May-25	92.00	72.40
20-Feb-25	108.00	100.50
02-Dec-24	112.00	103.50
08-Aug-24	168.00	97.40
09-May-24	195.00	136.00
18-Mar-24	215.00	158.00

Price targets shown in table(s) are unadjusted for corporate actions.

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GCE (2368.TW)

GM expansion on the way with new AI project ramps in 4Q26-4Q27, despite increasing competition in the AI PCB market; Buy

2368.TW	12m Price Target: **NT$1,660.00**	Price: **NT$983.00**	Upside: **68.9%**

GCE's 3Q26 core business (OPI) was 6%/1% below GSe/BBG consensus due mainly to **(1) key AI customer's product transition period (revenue in 3Q was 4/3% lower than GSe/BBG consensus)**, and **(2) the increasing investment in R&D to improve its production capability on AI HDI and N+M MLB products)**, despite the much stronger than expected GM (0.8/1.8ppt higher than GSe/BBG consensus). For the net income in 3Q26, it was 5% below our bullish estimate, resulting from the weaker than expected operating profit, but it was 3% higher than BBG consensus, thanks to the lower than expected tax rate resulting from the increasing profit contribution from the low tax rate Thailand plant (tax rate was only at 25% in 3Q26 vs. BBG consensus at ~30%).

For 4Q26, **we expect the company's revenue to grow by 7% QoQ**, due to ongoing key AI customers' product transition, and the fewer working days due to the holiday season. **We expect GCE's GM will further expand to 39.2% (up 0.5ppt QoQ or 5.5ppt YoY)** thanks to the better product mix (high-end networking demand should ramp up more significantly from 4Q26, per GSe), despite the increasing cost from high-end CCL (see here).

Investment view - GCE will continue to deliver a better margin profile with expanding market share in AI ASIC market

We continue to expect GCE will hold the major share for Trainium 3 (70%+ from 3Q26), and see an even better market share in the next generation Trainium 4 products (as key competitors are all unable to support high-end AI HDI products) after the company ramps up its AI HDI production yield rate. We also expect the company to start supplying the new TPU v8 PCB products, which should meaningfully improve the company's market share in coming quarters (from <5% in 2026 to 20-30%+ in 2027), suggesting an even better GM outlook in the foreseeable future.

On the other hand, the company will only expand its capacity

BUY

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Key Data

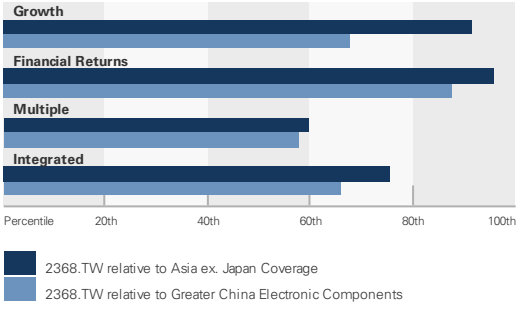
Market cap: NT$531.6bn / $16.1bn
Enterprise value: NT$541.3bn / $16.4bn
3m ADTV: NT$11.2bn / $348.5mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**60,003.8**	**104,784.9**	**185,899.4**	**255,395.4**
Revenue (NT$ mn) Old	60,003.8	112,103.0	197,073.8	269,434.4
EBITDA (NT$ mn)	15,359.3	31,678.1	65,960.0	93,157.9
EPS (NT$) New	**19.48**	**42.36**	**83.62**	**127.36**
EPS (NT$) Old	19.48	46.54	90.00	135.45
P/E (X)	18.0	23.2	11.8	7.7
P/B (X)	5.3	11.4	7.7	5.2
Dividend yield (%)	2.9	2.2	4.3	6.5
CROCI (%)	31.9	35.8	48.6	54.0

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	12.27	13.95	13.83	18.08

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
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BUY

GCE (2368.TW)

Rating since Nov 13, 2023

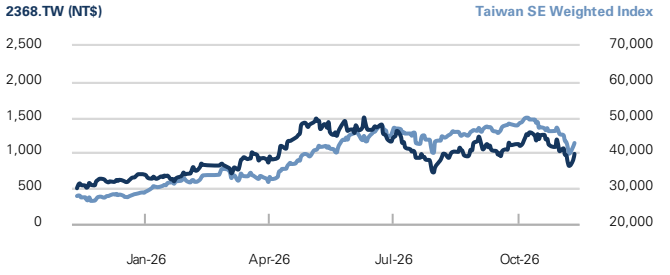
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.0	23.2	11.8	7.7
P/B (X)	5.3	11.4	7.7	5.2
FCF yield (%)	(2.6)	(1.0)	0.0	4.6
EV/EBITDAR (X)	11.3	16.4	8.1	5.7
EV/EBITDA (excl. leases) (X)	11.3	16.4	8.1	5.7
CROCI (%)	31.9	35.8	48.6	54.0
ROE (%)	35.1	56.3	78.7	80.1
Net debt/equity (%)	(0.4)	22.0	31.0	18.8
Net debt/equity (excl. leases) (%)	(0.4)	22.0	31.0	18.8
Interest cover (X)	51.5	66.5	116.4	141.9
Days inventory outst, sales	53.7	38.3	31.9	34.0
Receivable days	124.9	102.6	86.0	95.0
Days payable outstanding	87.3	70.6	64.2	69.6
DuPont ROE (%)	28.7	49.3	65.7	66.7
Turnover (X)	0.8	1.1	1.3	1.3
Leverage (X)	2.3	2.2	2.2	2.0
Gross cash invested (ex cash) (NT$)	53,996.0	76,356.2	110,589.9	143,896.0
Average capital employed (NT$)	26,369.3	43,783.2	70,460.7	102,373.0
BVPS (NT$)	65.58	85.90	127.19	190.87

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	54.0	74.6	77.4	37.4
EBITDA growth	67.8	106.2	108.2	41.2
EPS growth	68.9	117.4	97.4	52.3
DPS growth	66.7	111.8	97.4	52.3
EBIT margin	23.4	28.8	34.6	35.7
EBITDA margin	25.6	30.2	35.5	36.5
Net income margin	16.0	20.9	23.4	26.0

Price Performance



	3m	6m	12m
Absolute	6.2%	(26.1)%	103.9%
Rel. to the Taiwan SE Weighted Index	11.7%	(28.0)%	33.1%

Source: FactSet. Price as of 10 Nov 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	60,003.8	104,784.9	185,899.4	255,395.4
Cost of goods sold	(40,321.0)	(65,798.8)	(108,596.2)	(146,829.2)
SG&A	(4,383.1)	(6,356.2)	(9,284.1)	(12,796.2)
R&D	(1,256.4)	(2,460.4)	(3,789.3)	(4,597.1)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**15,359.3**	**31,678.1**	**65,960.0**	**93,157.9**
Depreciation & amortization	(1,316.1)	(1,508.7)	(1,730.2)	(1,985.0)
EBIT	**14,043.2**	**30,169.4**	**64,229.8**	**91,173.0**
Net interest inc./(exp.)	0.9	116.6	(258.8)	(522.4)
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**14,173.3**	**29,716.3**	**59,729.8**	**90,723.0**
Provision for taxes	(4,566.8)	(7,800.7)	(16,204.8)	(24,436.0)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**9,606.5**	**21,915.6**	**43,525.0**	**66,286.9**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**9,606.5**	**21,915.6**	**43,525.0**	**66,286.9**
EPS (basic, pre-except) (NT$)	**19.48**	**42.36**	**83.62**	**127.36**
EPS (diluted, pre-except) (NT$)	**19.48**	**42.36**	**83.62**	**127.36**
EPS (basic, post-except) (NT$)	**19.48**	**42.36**	**83.62**	**127.36**
EPS (diluted, post-except) (NT$)	**19.48**	**42.36**	**83.62**	**127.36**
DPS (NT$)	10.00	21.18	41.81	63.68
Div. payout ratio (%)	51.3	50.0	50.0	50.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	18,114.5	9,435.8	3,909.8	10,947.1
Accounts receivable	27,309.7	31,579.0	56,024.5	76,968.5
Inventory	9,747.1	12,258.4	20,231.6	27,354.5
Other current assets	1,166.2	1,166.2	1,166.2	1,166.2
Total current assets	**56,337.5**	**54,439.4**	**81,332.0**	**116,436.3**
Net PP&E	17,840.3	41,363.5	61,665.1	84,712.0
Net intangibles	77.6	45.7	13.9	(18.0)
Total investments	851.3	851.3	851.3	851.3
Other long-term assets	639.7	639.7	639.7	639.7
Total assets	**75,746.3**	**97,339.6**	**144,502.0**	**202,621.3**
Accounts payable	11,028.5	14,421.7	23,801.9	32,181.7
Short-term debt	6,115.9	6,330.9	6,545.9	6,760.9
Short-term lease liabilities	–	–	–	–
Other current liabilities	10,409.4	16,436.7	27,241.4	38,622.4
Total current liabilities	**27,553.8**	**37,189.3**	**57,589.2**	**77,565.0**
Long-term debt	11,874.9	12,874.9	17,874.9	22,874.9
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	2,836.5	2,836.5	2,836.5	2,836.5
Total long-term liabilities	**14,711.4**	**15,711.4**	**20,711.4**	**25,711.4**
Total liabilities	**42,265.2**	**52,900.7**	**78,300.6**	**103,276.4**
Preferred shares	–	–	–	–
Total common equity	33,481.2	44,439.0	66,201.5	99,344.9
Minority interest	**--**	**--**	**--**	**--**
Total liabilities & equity	**75,746.3**	**97,339.6**	**144,502.0**	**202,621.3**
Net debt, adjusted	(123.7)	9,770.0	20,511.0	18,688.7

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	9,606.5	21,915.6	43,525.0	66,286.9
D&A add-back	1,316.1	1,508.7	1,730.2	1,985.0
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(12,581.2)	(3,387.5)	(23,038.4)	(19,687.0)
Other operating cash flow	3,917.4	–	–	–
Cash flow from operations	**2,258.8**	**20,036.9**	**22,216.8**	**48,584.8**
Capital expenditures	(6,733.3)	(25,000.0)	(22,000.0)	(25,000.0)
Acquisitions	(261.8)	–	–	–
Divestitures	–	–	–	–
Others	(38.1)	–	–	–
Cash flow from investing	**(7,033.3)**	**(25,000.0)**	**(22,000.0)**	**(25,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(2,920.1)	(4,930.5)	(10,957.8)	(21,762.5)
Inc/(dec) in debt	8,924.0	1,215.0	5,215.0	5,215.0
Other financing cash flows	7,700.5	0.0	0.0	0.0
Cash flow from financing	**13,704.4**	**(3,715.5)**	**(5,742.8)**	**(16,547.5)**
Total cash flow	**8,929.9**	**(8,678.7)**	**(5,526.0)**	**7,037.4**
Free cash flow	(4,474.5)	(4,963.1)	216.8	23,584.8

Source: Company data, Goldman Sachs Research estimates.

volume by ~20% in 2027, without considering the product mix improvement/ASP hike (we believe after considering the better ASP for next-gen AI products, the company's capacity value should go up by 35%+ YoY in 2027), while we believe the AI PCB volume/area demand should at least increase by 50% YoY, implying a potential market share loss in coming quarters. We note Greater China peers are also expanding capacity in SEA regions to try to penetrate into GCE's key AI ASIC markets, implying increasing competition in coming quarters, which could lead to less favorable ASP in the long term, despite no significant impact for now. However, considering GCE's best in class AI PCB production technology and its proactive investment in the high-end PCB R&D for more than 10 years, as well as the company's first mover advantage in the SEA PCB market, we expect GCE will continue to have opportunities to expand its business in the most high-end PCB market, suggesting a good GM outlook in the long term.

Maintain Buy on GCE, with a new 12-m TP of NT$1,660 (from NT$1,800).

Exhibit 1: GCE's 3Q26 result comp table

GCE (2368.TW)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	29,568	30,645	-4%	24,279	22%	17,680	67%	30,599	-3%
Gross profits	11,443	11,624	-2%	8,413	36%	6,288	82%	11,276	1%
Operating profits	8,753	9,295	-6%	6,418	36%	4,647	88%	8,830	-1%
Pre-tax income	8,515	9,295	-8%	6,299	35%	4,730	80%	8,790	-3%
Net earnings	6,386	6,693	-5%	4,783	33%	3,229	98%	6,205	3%
EPS, NT$	12.27	12.97	-5%	9.27	32%	6.53	88%	12.35	-1%
Gross margin (%)	38.7%	37.9%	0.8ppt	34.7%	4.0ppt	35.6%	3.1ppt	36.9%	1.8ppt
EBIT margin (%)	29.6%	30.3%	-0.7ppt	26.4%	3.2ppt	26.3%	3.3ppt	28.9%	0.7ppt
Net margin (%)	21.6%	21.8%	-0.2ppt	19.7%	1.9ppt	18.3%	3.3ppt	20.3%	1.3ppt

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Earning and TP revision

Earnings revision

We revise down our 2026/27/28E net income estimate by 9%/6%/5% to factor in the potential slower pricing hike outlook in the PCB industry, considering the increasing competition in the AI PCB industry (cut 2026/27/28E revenue estimate by 7/6/5%). Moreover, we believe GCE will need to invest more in R&D projects in the coming quarters to improve its HDI production capability, and expect the N+M PCB R&D investment will also drive OPEX in coming years, considering the increasing adoption rate from 1H27 (revise up 2027 OPEX to sales ratio by 0.3ppt).

Exhibit 2: Earnings revision table

GCE P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.
Sales	104,785	112,103	-7%	185,899	197,074	-6%	255,395	269,434	-5%
Gross Profit	38,986	41,753	-7%	77,303	81,618	-5%	108,566	114,455	-5%
EBIT	30,169	33,050	-9%	64,230	68,228	-6%	91,173	96,106	-5%
Net Income	21,916	23,953	-9%	43,525	46,442	-6%	66,287	69,891	-5%
EPS (NT$)	**42.36**	**46.54**	**-9%**	**83.62**	**90.00**	**-7%**	**127.36**	**135.45**	**-6%**
Ratio analysis									
Gross margin	37.2%	37.2%	0.0pp	41.6%	41.4%	0.2pp	42.5%	42.5%	0.0pp
EBIT margin	28.8%	29.5%	-0.7pp	34.6%	34.6%	-0.1pp	35.7%	35.7%	0.0pp
Net margin	20.9%	21.4%	-0.5pp	23.4%	23.6%	-0.2pp	26.0%	25.9%	0.0pp

Source: Goldman Sachs Global Investment Research

TP revision

Maintain Buy with a new 12-m TP of NT$1,660 (from NT$1,800), based on 15x P/E (down from 20x previously, still in line with AI PCB peers' average valuation); we also rollover our valuation base from 2027E to 2H27-1H28E, and factor in our earnings revision.

Exhibit 3: GCE P&L table

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2024	2025	2026E	2027E	2028E
Revenue	19,313	24,279	29,568	31,625	33,940	42,727	51,257	57,975	58,054	62,583	64,375	70,384	38,952	60,004	104,785	185,899	255,395
Gross profit	6,722	8,413	11,443	12,407	13,781	17,653	21,345	24,524	24,486	26,710	27,429	29,941	11,396	19,683	38,986	77,303	108,566
Operating expense	(1,538)	(1,996)	(2,690)	(2,593)	(2,552)	(3,085)	(3,598)	(3,838)	(4,075)	(4,268)	(4,390)	(4,659)	(3,329)	(5,640)	(8,817)	(13,073)	(17,393)
Operating income	5,185	6,418	8,753	9,814	11,229	14,568	17,747	20,686	20,411	22,442	23,038	25,282	8,067	14,043	30,169	64,230	91,173
Pretax income	5,088	6,299	8,515	9,814	9,729	13,068	16,247	20,686	19,961	22,442	23,038	25,282	8,490	14,173	29,716	59,730	90,723
Taxes expense	(1,604)	(1,516)	(2,129)	(2,552)	(2,529)	(3,659)	(4,224)	(5,792)	(5,589)	(6,284)	(5,990)	(6,573)	(2,875)	(4,567)	(7,801)	(16,205)	(24,436)
Net income	3,484	4,783	6,386	7,262	7,199	9,409	12,022	14,894	14,372	16,158	17,048	18,709	5,616	9,607	21,916	43,525	66,287
EPS, NT$	**6.87**	**9.27**	**12.27**	**13.95**	**13.83**	**18.08**	**23.10**	**28.62**	**27.61**	**31.05**	**32.75**	**35.95**	**11.54**	**19.48**	**42.36**	**83.62**	**127.36**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	34.8%	34.7%	38.7%	39.2%	40.6%	41.3%	41.6%	42.3%	42.2%	42.7%	42.6%	42.5%	29.3%	32.8%	37.2%	41.6%	42.5%
Operating expense ratio	8.0%	8.2%	9.1%	8.2%	7.5%	7.2%	7.0%	6.6%	7.0%	6.8%	6.8%	6.6%	8.5%	9.4%	8.4%	7.0%	6.8%
Operating margin	26.8%	26.4%	29.6%	31.0%	33.1%	34.1%	34.6%	35.7%	35.2%	35.9%	35.8%	35.9%	20.7%	23.4%	28.8%	34.6%	35.7%
Net margin	18.0%	19.7%	21.6%	23.0%	21.2%	22.0%	23.5%	25.7%	24.8%	25.8%	26.5%	26.6%	14.4%	16.0%	20.9%	23.4%	26.0%
QoQ growth (%)																	
Revenue	17.7%	25.7%	21.8%	7.0%	7.3%	25.9%	20.0%	13.1%	0.1%	7.8%	2.9%	9.3%	-	-	-	-	-
Gross profit	21.7%	25.2%	36.0%	8.4%	11.1%	28.1%	20.9%	14.9%	-0.2%	9.1%	2.7%	9.2%	-	-	-	-	-
Operating income	30.1%	23.8%	36.4%	12.1%	14.4%	29.7%	21.8%	16.6%	-1.3%	10.0%	2.7%	9.7%	-	-	-	-	-
Net income	18.9%	37.3%	33.5%	13.7%	-0.9%	30.7%	27.8%	23.9%	-3.5%	12.4%	5.5%	9.7%	-	-	-	-	-
YoY growth (%)																	
Revenue	60.1%	75.3%	67.2%	92.7%	75.7%	76.0%	73.4%	83.3%	71.0%	46.5%	25.6%	21.4%	30%	54%	75%	77%	37%
Gross profit	78.0%	105.4%	82.0%	124.6%	105.0%	109.8%	86.5%	97.7%	77.7%	51.3%	28.5%	22.1%	48%	73%	98%	98%	40%
Operating income	103.8%	123.8%	88.4%	146.2%	116.6%	127.0%	102.7%	110.8%	81.8%	54.0%	29.8%	22.2%	57%	74%	115%	113%	42%
Net income	98.7%	182.4%	97.8%	147.9%	106.7%	96.7%	88.3%	105.1%	99.6%	71.7%	41.8%	25.6%	59%	71%	128%	99%	52%

Source: Company data, Goldman Sachs Global Investment Research

Investment thesis and Valuation & Risks

GCE is a key cloud (server+switch) PCB supplier globally with 20%+ market share in 2022. We expect cloud PCB market demand to grow at a 15% 2024-26E CAGR (far stronger than the overall RPCB+HDI market demand growth rate at 5% 2024-26E CAGR). We believe GCE's proactive capacity expansion plan (33% in 2026) and high annualized ROI (300%+) will continue to drive the company's revenue/margin level in the coming quarters/years. Additionally, we believe GCE can continue to see strong demand from the increasing content per server/switch, as we expect both markets to see a 20-50%+ layer count increase after the generation upgrade (upgrade to 400G/Eagle Stream). We are constructive on GCE's long-term growth opportunity given its solid position in the rapidly growing cloud PCB market, and we are Buy rated on the stock. GCE is trading higher than its historical P/E average level driven by strong AI server demand, but lower than the TW AI server players' average.

Price Target Risks and Methodology

Valuation methodology: Our 12m TP of NT$1,660 is based on a 15x 2H27-1H28E P/E (in line with AI PCB peers average valuation).

Key downside risks: (1) weaker-than-expected AI server market demand; (2) delays in the company's Nvidia OAM/UBB product qualification, (3) weaker-than-expected HDI demand, and (4) higher-than-expected ramp up cost for new capacity

Disclosure Appendix

Reg AC

I, Chao Wang, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company or companies and its or their securities. I also certify that no part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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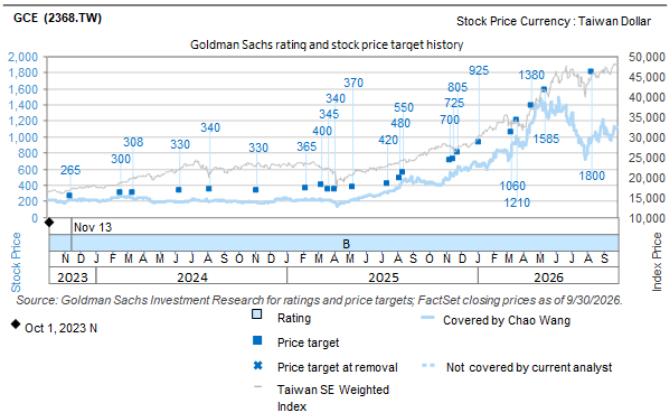
Price target and rating history chart(s)



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Target price history table(s)
GCE (2368.TW)

Date of report	Target price (NT$)	Closing price (NT$)
11-Aug-26	1,800.00	964.00
13-May-26	1,585.00	1,350.00
17-Apr-26	1,380.00	1,175.00
20-Mar-26	1,210.00	988.00
10-Mar-26	1,060.00	817.00
06-Jan-26	925.00	662.00
26-Nov-25	805.00	610.00
19-Nov-25	725.00	522.00
11-Nov-25	700.00	498.50
13-Aug-25	550.00	460.00
07-Aug-25	480.00	372.00
15-Jul-25	420.00	320.00
09-May-25	370.00	226.00
06-Apr-25	340.00	195.00
24-Mar-25	345.00	214.00
11-Mar-25	400.00	209.00
09-Feb-25	365.00	228.00
07-Nov-24	330.00	188.50
07-Aug-24	340.00	207.00
11-Jun-24	330.00	187.50
12-Mar-24	308.00	242.50
18-Feb-24	300.00	275.00
13-Nov-23	265.00	217.00

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Hiwin Corp. (2049.TW): Price hike impact to continue into 4Q26; remain cautious on order intake sustainability; reiterate Sell

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What surprised us?

Hiwin reported its 3Q26 result and hosted a result call after the close on Nov 10th. The core business (OPI) was 25%/20% higher than GSe and the BBG consensus, with GM coming in 1.9ppt higher than GSe mainly due higher UTR and greater impact from higher pricing on core products (Hiwin raised prices by 7-15% in March, which has a more material impact this quarter). Opex was in line with our expectation (NT$1,502mn in 3Q26 vs. GSe at NT$1,500mn). For earnings, Hiwin's 3Q26 net income was 36%/24% higher than GSe/BBG consensus, mainly on the GM expansion.

Moreover, the company continues to see order intake tracking faster than shipment, leading to longer lead times, with BS at 6.5+ months (was 6 months in 2Q26); the company is also seeing some orders extended into mid-2027, while LG was at 4-6 months (vs. 4 months in 2Q26), which was mainly driven by a recovery in the China market supported by government policy.

Earnings analysis and revisions

Hiwin's 3Q26 core business (OPI) was 25%/20% higher than GSe and the BBG consensus amid higher UTR as well as more positive impact from pricing. GM was 1.9/1.2ppt higher than GSe/BBG consensus in 3Q26. For net income, it was 36%/24% higher than GSe/BBG consensus due to better-than-expected GM expansion.

We maintain our conservative view on the outlook for the linear motion industry as we do not see clear signs of a significant recovery in demand across most end-applications yet (excluding semiconductor industry). We revise up our 2026E revenue by 5% to factor in 3Q26 results and revise up 2027E/28E/29E by 4%/2%/2% to factor in a higher shipment assumption, and revise up our 2026E/27E/28E/29E GM estimates by 1.7/0.4/0.2/0.1ppt as we expect the margin expansion, driven by the company's ability to pass on increased costs through price hikes and prioritize orders with a higher GM.

Investment view

We reiterate our Sell rating on the stock, based on (1) the lack of a meaningful recovery in consumer electronics demand, which could result in softer orders in 2H26/2027, as some demand may have been front-loaded into 1H26 ahead of price hikes, (2) intensifying competition from Chinese local suppliers, including AirTAC, which continues to maintain a stable pricing strategy amid rising material costs and

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has a significantly shorter product lead time (see here), while Hiwin has implemented price hikes across its core products (including both BS and LG), potentially resulting in market share losses, (3) sustained R&D investment in new semiconductor and logistics system-level products, which we expect to keep OPEX elevated over the longer term and weigh on the GM outlook; and (4) current valuation level remaining elevated (still trading at ~35x 1-year forward P/E following a recent 15% share price pullback vs. average of 33.0x in the past 10 years), despite limited near-term growth catalysts.

Overall, we remain cautious on the outlook for Hiwin's core business (linear guide and ball screw), while highlighting increasing cash flow risk from continued investment in the semiconductor/logistics businesses, which we expect to contribute only modestly to earnings in the near term.

We maintain our Sell rating on Hiwin with a new 12m TP of NT$180 (from NT$160), based on an unchanged 20x P/E (in line with Hiwin's average downcycle valuation, or 1std lower than the historical average P/E for the past 10 years), but roll over our valuation base from 4Q26-3Q27E to 2027E, and factor in our earnings revisions.

Exhibit 1: Hiwin 3Q26 comp table

Hiwin (2049.TW)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	8,110	7,731	5%	7,508	8%	5,995	35%	7,991	1%
Gross profits	2,947	2,660	11%	2,565	15%	1,715	72%	2,807	5%
Operating profits	1,446	1,160	25%	631	129%	411	252%	1,209	20%
Pre-tax income	1,579	1,160	36%	719	120%	573	176%	1,235	28%
Net earnings	1,230	907	36%	579	112%	446	176%	992	24%
EPS, NT$	3.48	2.56	36%	1.64	112%	1.26	176%	2.82	23%
Gross margin (%)	36.3%	34.4%	1.9ppt	34.2%	2.2ppt	28.6%	7.7ppt	35.1%	1.2ppt
EBIT margin (%)	17.8%	15.0%	2.8ppt	8.4%	9.4ppt	6.8%	11.0ppt	15.1%	2.7ppt
Net margin (%)	15.2%	11.7%	3.4ppt	7.7%	7.5ppt	7.4%	7.7ppt	12.4%	2.8ppt

Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Exhibit 2: Earnings revision table

Hiwin P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.	2029E New	2029E Old	Diff.
Sales	30,012	28,567	5%	30,316	29,134	4%	31,841	31,210	2%	34,486	33,808	2%
Gross Profit	10,367	9,381	11%	9,923	9,407	5%	10,530	10,260	3%	11,482	11,222	2%
EBIT	4,420	3,463	28%	4,054	3,767	8%	4,512	4,362	3%	4,932	4,801	3%
Net Income	3,678	2,859	29%	3,195	3,009	6%	3,581	3,466	3%	3,905	3,804	3%
EPS (NT$)	**10.40**	**8.08**	**29%**	**9.03**	**8.51**	**6%**	**10.12**	**9.80**	**3%**	**11.04**	**10.75**	**3%**
Ratio analysis												
Gross margin	34.5%	32.8%	1.7pp	32.7%	32.3%	0.4pp	33.1%	32.9%	0.2pp	33.3%	33.2%	0.1pp
EBIT margin	14.7%	12.1%	2.6pp	13.4%	12.9%	0.4pp	14.2%	14.0%	0.2pp	14.3%	14.2%	0.1pp
Net margin	12.3%	10.0%	2.2pp	10.5%	10.3%	0.2pp	11.2%	11.1%	0.1pp	11.3%	11.3%	0.1pp

Source: Goldman Sachs Global Investment Research

Exhibit 3: P&L table

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E	2029E
Revenue	6,379	7,508	8,110	8,015	7,013	7,540	7,950	7,813	7,329	7,972	8,399	8,142	24,263	30,012	30,316	31,841	34,486
Gross profit	2,037	2,565	2,947	2,817	2,134	2,557	2,728	2,504	2,283	2,750	2,892	2,605	6,978	10,367	9,923	10,530	11,482
Operating expense	(1,407)	(1,531)	(1,502)	(1,507)	(1,403)	(1,448)	(1,495)	(1,524)	(1,374)	(1,500)	(1,549)	(1,596)	(5,335)	(5,947)	(5,868)	(6,018)	(6,550)
Operating income	630	1,034	1,446	1,310	732	1,109	1,234	980	909	1,251	1,343	1,009	1,643	4,420	4,054	4,512	4,932
Taxes expense	(170)	(263)	(378)	(308)	(183)	(261)	(290)	(235)	(227)	(275)	(295)	(242)	(354)	(1,119)	(969)	(1,040)	(1,136)
Minority interest	31	31	29	19	31	31	29	19	31	31	29	19	116	109	109	109	109
Net income	579	848	1,230	1,021	579	879	973	764	712	1,007	1,076	786	1,526	3,678	3,195	3,581	3,905
EPS, NT$	**1.64**	**2.40**	**3.48**	**2.89**	**1.64**	**2.49**	**2.75**	**2.16**	**2.01**	**2.85**	**3.04**	**2.22**	**4.31**	**10.40**	**9.03**	**10.12**	**11.04**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	31.9%	34.2%	36.3%	35.1%	30.4%	33.9%	34.3%	32.0%	31.2%	34.5%	34.4%	32.0%	28.8%	34.5%	32.7%	33.1%	33.3%
Operating expense ratio	22.1%	20.4%	18.5%	18.8%	20.0%	19.2%	18.8%	19.5%	18.8%	18.8%	18.4%	19.6%	22.0%	19.8%	19.4%	18.9%	19.0%
Operating margin	9.9%	13.8%	17.8%	16.3%	10.4%	14.7%	15.5%	12.5%	12.4%	15.7%	16.0%	12.4%	6.8%	14.7%	13.4%	14.2%	14.3%
Net margin	9.1%	11.3%	15.2%	12.7%	8.3%	11.7%	12.2%	9.8%	9.7%	12.6%	12.8%	9.7%	6.3%	12.3%	10.5%	11.2%	11.3%
QoQ growth (%)																	
Revenue	-2%	18%	8%	-1%	-12%	8%	5%	-2%	-6%	9%	5%	-3%					
Gross profit	16%	26%	15%	-4%	-24%	20%	7%	-8%	-9%	20%	5%	-10%					
Operating income	100%	64%	40%	-9%	-44%	52%	11%	-21%	-7%	38%	7%	-25%					
Net income	25%	46%	45%	-17%	-43%	52%	11%	-21%	-7%	41%	7%	-27%					
YoY growth (%)																	
Revenue	9%	27%	35%	23%	10%	0%	-2%	-3%	4%	6%	6%	4%	-1%	24%	1%	5%	8%
Gross profit	17%	46%	72%	60%	5%	0%	-7%	-11%	7%	8%	6%	4%	-3%	49%	-4%	6%	9%
OPEX	6%	21%	15%	4%	0%	-5%	0%	1%	-2%	4%	4%	5%	3%	11%	-1%	3%	9%
Operating income	51%	107%	252%	315%	16%	7%	-15%	-25%	24%	13%	9%	3%	-20%	169%	-8%	11%	9%
Net income	20%	527%	176%	121%	0%	4%	-21%	-25%	23%	14%	11%	3%	-23%	141%	-13%	12%	9%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis and Price Target Risks and Methodology

Investment thesis - Hiwin Corp

Hiwin is the second-largest global linear motion supplier with 18% market share in 2024. It continues to witness decelerating market share growth from 2020 when it started to pursue a deleveraging strategy.

Although we expect Hiwin to continue to benefit from rising demand from the semiconductor/EV industry given the upgrading trend, we are Sell rated, given: (1) we expect a weak end-market demand recovery and high inventory levels for the near term, leading to high pricing pressure and a stagnant utilization rate; (2) continued overcapacity issues in mainland China, where the company has higher exposure (45% in 2024) vs. peers such as THK (24%), and we expect this could lead to further deterioration in Hiwin's revenue/profitability outlook in the near term; and (3) the negative impact from its long-term deleveraging strategy. Hiwin continues to pay back long-term debt and expand capacity to better compete with peers, which we believe will further impact EPS growth and valuation. The stock is currently trading above its historical average valuation (33.0x). We expect its P/E multiple to derate once the market begins to adjust for a prolonged downcycle and expect downgrades to consensus EPS growth/ROE estimates, suggesting high downside risk to Hiwin's valuation.

Price target risks and methodology - Hiwin Corp

Valuation methodology: Our 12m TP of NT$180 is based on a target P/E of 20x 2027E EPS (in-line with Hiwin's average downcycle valuation, or 1std lower than the historical average P/E for the past 10 years).

Key upside risks: (1) Stronger-than-expected EV & semi CAPEX growth; (2) a favorable

linear motion pricing environment in the coming quarters, with a positive supply-demand outlook or longer leadtime; and (3) a faster-than-expected machine tool demand recovery.

2049.TW	12m Price Target: **NT$180.00**	Price: **NT$291.50**	Downside: **38.3%**

Sell

Market cap: NT$93.8bn / $2.8bn
Enterprise value: NT$96.7bn / $2.9bn
3m ADTV: NT$1.3bn / $40.9mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**24,262.6**	**30,012.2**	**30,316.1**	**31,841.4**
Revenue (NT$ mn) Old	24,262.6	28,567.0	29,133.6	31,209.7
EBITDA (NT$ mn)	4,001.2	7,098.6	6,925.2	7,451.4
EPS (NT$) New	**4.31**	**10.40**	**9.03**	**10.12**
EPS (NT$) Old	4.31	8.08	8.51	9.80
P/E (X)	53.7	28.0	32.3	28.8
P/B (X)	2.2	2.6	2.5	2.3
Dividend yield (%)	0.9	1.2	0.0	0.0
CROCI (%)	6.6	11.4	10.3	10.7

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	3.48	2.89	1.64	2.49

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 10 Nov 2026 close.

Disclosure Appendix

Reg AC

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	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	58%	43%

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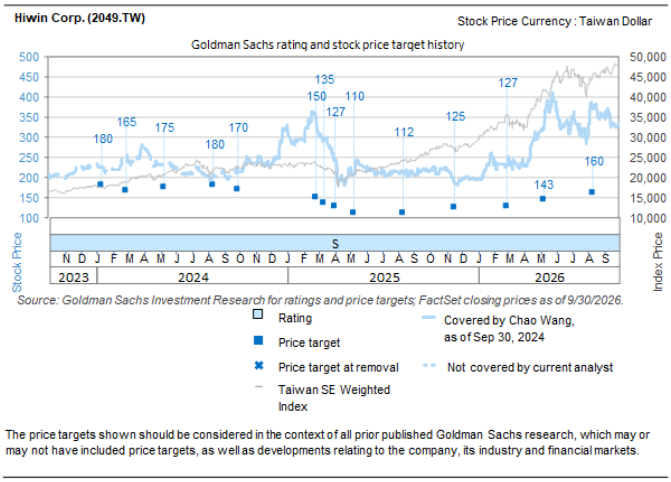
Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)
Hiwin Corp. (2049.TW)

Date of report	Target price (NT$)	Closing price (NT$)
12-Aug-26	160.00	369.00
08-May-26	143.00	319.50
27-Feb-26	127.00	230.00
18-Nov-25	125.00	186.50
12-Aug-25	112.00	213.50
09-May-25	110.00	208.00
03-Apr-25	127.00	245.00
13-Mar-25	135.00	293.00
26-Feb-25	150.00	345.50
29-Sep-24	170.00	220.50
13-Aug-24	180.00	206.50
10-May-24	175.00	237.00
27-Feb-24	165.00	254.50
11-Jan-24	180.00	228.00

Price targets shown in table(s) are unadjusted for corporate actions.

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Kinsus (3189.TW)

GM to further expand in 2027/28 with a better high-end ABF exposure/market share, without seeing any order cut; Buy

3189.TW	12m Price Target: **NT$1,515.00**	Price: **NT$745.00**	Upside: **103.4%**

We hosted Kinsus' 3Q26 post-result follow-up call today (Nov 10th). Key takeaways include:

(1) Kinsus mentioned it is getting more market share from existing server CPU customers, AI GPU customer, and ASIC customers. Despite not having much market share gain opportunity in its AI server CPU products, the company mentioned the volume growth could still be 150% YoY in AI server CPU shipment in 2027 vs. 2026, suggesting a good revenue/GM growth outlook going into 2027/28.

(2) Kinsus guides 2027/28 revenue to go up by at least 30% YoY each year while GM should be at least 35/40% in 2027/28, considering the orders/capacity/UTR/product mix differences, despite the key upside risk will be on like for like base pricing hike (the guidance above does not include any pricing hike assumption, but this could lift the revenue growth by another 15ppt in both years although not guaranteed, per the company).

(3) For 4Q26, the company guided revenue to go up by 10% QoQ, with GM being expanded into 35% (from ~34% in 3Q26), despite a much more favorable than 3Q product mix and ~5-10% pricing hike on ABF & BT substrates. For 1Q27, the company expects some seasonal issues on consumer electronics and contact lens, and believes revenue should be flat to slightly up QoQ, despite possible GM slowdown during the low season.

(4) In terms of the future investment plan, Kinsus mentioned it will only need to invest in the land/infrastructure/construction etc. while end customers will take care of the equipment; normally, equipment accounted for 60% of the total CAPEX while the rest only accounts for 40% of the total investment.

(5) Kinsus mentioned it now holds ~70% of the AI server CPU substrate market share, and the company believes its market share should be pretty stable in this product cycle. For AI GPU, Kinsus

BUY

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Key Data

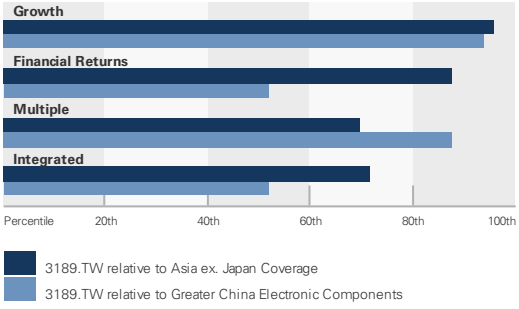
Market cap: NT$336.0bn / $10.2bn
Enterprise value: NT$353.5bn / $10.7bn
3m ADTV: NT$16.2bn / $505.2mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn)	39,351.1	54,654.7	100,579.6	171,680.7
EBITDA (NT$ mn)	9,913.6	15,541.3	31,514.9	56,266.3
EPS (NT$)	3.51	12.33	37.34	77.63
P/E (X)	29.0	60.4	20.0	9.6
P/B (X)	1.4	10.5	8.0	5.3
Dividend yield (%)	1.7	0.8	2.0	4.2
N debt/EBITDA (ex lease,X)	0.6	0.5	0.2	(0.1)
CROCI (%)	12.4	16.6	25.4	37.8
FCF yield (%)	3.6	(0.1)	1.0	5.3

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	2.57	3.94	4.65	5.69

GS Factor Profile



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BUY

Kinsus (3189.TW)

Rating since Feb 3, 2026

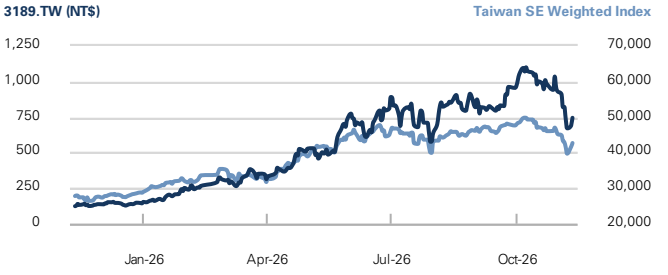
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	29.0	60.4	20.0	9.6
P/B (X)	1.4	10.5	8.0	5.3
FCF yield (%)	3.6	(0.1)	1.0	5.3
EV/EBITDAR (X)	6.2	25.3	12.6	6.9
EV/EBITDA (excl. leases) (X)	6.2	25.3	12.6	6.9
CROCI (%)	12.4	16.6	25.4	37.8
ROE (%)	5.0	18.2	45.8	66.9
Net debt/equity (%)	14.9	16.1	11.3	(7.7)
Net debt/equity (excl. leases) (%)	14.9	16.1	11.3	(7.7)
Interest cover (X)	6.9	27.5	86.3	167.6
Days inventory outst, sales	36.2	34.1	25.8	24.4
Receivable days	56.7	50.5	42.4	43.6
Days payable outstanding	37.6	38.1	33.2	34.1
DuPont ROE (%)	3.9	13.6	32.3	47.0
Turnover (X)	0.5	0.6	0.9	1.2
Leverage (X)	1.9	1.9	1.8	1.7
Gross cash invested (ex cash) (NT$)	84,844.7	97,530.7	116,296.1	134,651.7
Average capital employed (NT$)	46,133.1	50,440.5	59,450.4	71,626.7
BVPS (NT$)	71.66	70.95	92.80	139.37

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	28.9	38.9	84.0	70.7
EBITDA growth	37.1	56.8	102.8	78.5
EPS growth	3,153.4	251.9	202.7	107.9
DPS growth	75.0	252.4	142.2	107.9
EBIT margin	6.8	15.8	24.8	29.1
EBITDA margin	25.2	28.4	31.3	32.8
Net income margin	4.1	11.4	18.9	23.0

Price Performance



	3m	6m	12m
Absolute	(10.9)%	62.7%	502.0%
Rel. to the Taiwan SE Weighted Index	(6.3)%	58.4%	292.8%

Source: FactSet. Price as of 10 Nov 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	39,351.1	54,654.7	100,579.6	171,680.7
Cost of goods sold	(31,036.7)	(39,381.7)	(64,479.2)	(103,185.8)
SG&A	(3,034.8)	(3,828.4)	(6,388.2)	(11,262.4)
R&D	(2,609.8)	(2,789.1)	(4,743.0)	(7,188.8)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**9,913.6**	**15,541.3**	**31,514.9**	**56,266.3**
Depreciation & amortization	(7,243.8)	(6,885.8)	(6,545.7)	(6,222.7)
EBIT	**2,669.8**	**8,655.5**	**24,969.1**	**50,043.6**
Net interest inc./(exp.)	(4.0)	(66.6)	(105.5)	(89.2)
Income/(loss) from associates	(0.9)	–	–	–
Pre-tax profit	**3,087.2**	**8,935.0**	**25,054.1**	**50,128.6**
Provision for taxes	(369.9)	(1,241.2)	(4,509.7)	(9,023.1)
Minority interest	(1,121.4)	(1,461.3)	(1,531.0)	(1,575.4)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**1,595.9**	**6,232.5**	**19,013.4**	**39,530.1**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**1,595.9**	**6,232.5**	**19,013.4**	**39,530.1**
EPS (basic, pre-except) (NT$)	**3.51**	**12.33**	**37.34**	**77.63**
EPS (diluted, pre-except) (NT$)	**3.51**	**12.33**	**37.34**	**77.63**
EPS (basic, post-except) (NT$)	**3.51**	**12.33**	**37.34**	**77.63**
EPS (diluted, post-except) (NT$)	**3.51**	**12.33**	**37.34**	**77.63**
DPS (NT$)	1.75	6.17	14.93	31.05
Div. payout ratio (%)	49.9	50.0	40.0	40.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	12,281.2	11,058.5	11,777.9	24,938.5
Accounts receivable	6,900.7	8,235.6	15,155.8	25,869.7
Inventory	4,828.3	5,394.8	8,832.8	14,135.0
Other current assets	4,927.4	4,447.6	4,447.6	4,447.6
Total current assets	**28,937.6**	**29,136.5**	**40,214.1**	**69,390.8**
Net PP&E	41,936.7	49,135.5	58,674.3	67,536.2
Net intangibles	175.3	90.7	6.1	(78.5)
Total investments	138.4	138.4	138.4	138.4
Other long-term assets	8,785.3	8,785.3	8,785.3	8,785.3
Total assets	**79,973.3**	**87,286.3**	**107,818.2**	**145,772.2**
Accounts payable	3,899.8	4,315.8	7,419.5	11,873.4
Short-term debt	7,251.3	7,251.3	7,251.3	7,251.3
Short-term lease liabilities	–	–	–	–
Other current liabilities	8,955.4	11,274.8	15,764.0	23,970.6
Total current liabilities	**20,106.4**	**22,841.9**	**30,434.8**	**43,095.3**
Long-term debt	11,197.1	11,197.1	11,197.1	11,197.1
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	7,296.5	7,296.5	7,296.5	7,296.5
Total long-term liabilities	**18,493.7**	**18,493.7**	**18,493.7**	**18,493.7**
Total liabilities	**38,600.1**	**41,335.6**	**48,928.4**	**61,589.0**
Preferred shares	–	–	–	–
Total common equity	32,731.8	35,848.0	47,256.1	70,974.1
Minority interest	**8,641.4**	**10,102.8**	**11,633.7**	**13,209.1**
Total liabilities & equity	**79,973.3**	**87,286.3**	**107,818.2**	**145,772.2**
Net debt, adjusted	6,167.1	7,389.8	6,670.4	(6,490.1)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	1,595.9	6,232.5	19,013.4	39,530.1
D&A add-back	7,243.8	6,885.8	6,545.7	6,222.7
Minority interest add-back	1,121.4	1,461.3	1,531.0	1,575.4
Net (inc)/dec working capital	(1,959.6)	(1,485.4)	(7,254.5)	(11,562.2)
Other operating cash flow	91.5	479.8	(0.0)	–
Cash flow from operations	**8,093.0**	**13,574.1**	**19,835.6**	**35,765.9**
Capital expenditures	(6,116.8)	(14,000.0)	(16,000.0)	(15,000.0)
Acquisitions	(1,526.4)	–	–	–
Divestitures	–	–	–	–
Others	(225.3)	–	–	–
Cash flow from investing	**(7,868.5)**	**(14,000.0)**	**(16,000.0)**	**(15,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(456.6)	(796.8)	(3,116.2)	(7,605.4)
Inc/(dec) in debt	1,466.0	–	–	–
Other financing cash flows	(4,318.2)	0.0	0.0	0.0
Cash flow from financing	**(3,308.9)**	**(796.8)**	**(3,116.2)**	**(7,605.4)**
Total cash flow	**(3,084.4)**	**(1,222.7)**	**719.4**	**13,160.5**
Free cash flow	1,976.2	(425.9)	3,835.6	20,765.9

Source: Company data, Goldman Sachs Research estimates.

mentioned it expects its share to increase from 10% now to 30% in 2027 for its existing customer's supply chain. Kinsus also mentioned it is working on several ASIC customers' substrates product, which could also be the key revenue/profit driver for 2027 and beyond.

(6) In terms of the order forecast, the company mentioned it has not yet seen any order cut or order delay on its ABF substrates business, but the company continues to maintain its cautious but positive view on the overall substrate industry outlook.

Investment view

We are positive on Kinsus' 3Q result (GM expanded by 7.8ppt QoQ in 3Q - see here), and believe the company's GM expansion trend will continue in coming quarters, despite the company only guiding 1ppt QoQ growth on GM in 4Q (however, the company is also giving a conservative guidance on profitability. Kinsus only guided GM to be 27-28% in 3Q26, but it ended up with 33.9% in its 3Q result). Moreover, we believe Kinsus' proactive capacity expansion plan (1 new plant every year from 2025 to 2029) will start to help the company to outperform peers from 2Q27 (the new K6-B plant starts contributing revenue from 2Q27) which should also help the company to enjoy better profitability in coming quarters, as the new plants will focus on high-end projects, whose GM is generally 10ppt+ higher than the company's average level).

Overall, we maintain our Buy rating on Kinsus, and we expect the better market share in AI server CPU and its better position in the high-end ABF substrate industry to strengthen into the long term.

We maintain our Buy rating with an unchanged 12m TP of NT$1,515, based on the same 19.5x 2028E EPS, which is +2.0x STDV higher than Kinsus' past upcycle average P/E (14.2x).

Investment Thesis - Kinsus

Kinsus is one of the key IC substrates suppliers globally with ~10% ABF/BT substrates market share in 2024, with ~18% of total 2025 revenue contributed by its contact lens subsidiary, Pegavision (6941.TW, Not Covered). With our view that the ABF substrate shortage started from 2Q26 (ABF substrate return to supply demand balance from late 2025), we believe Kinsus' performance will continue to improve compared with high-end ABF peers considering the company's increasing market share in the high-end ABF substrate market; however, ~36% of the company's revenue was contributed by BT substrates in 2025 and 30% of the company's ABF revenue is from non-LTA customers, which we believe will continue to enjoy a better pricing outlook. As a result, we believe Kinsus' earnings outlook should continue to be strong (~118% 2026-29E CAGR), mainly driven by a better BT substrate and non-LTA ABF substrate pricing outlook, despite the unfavorable demand outlook before 1H26. We believe Kinsus is an experienced substrate supplier with a clear capacity expansion plan that can also upgrade its product portfolio in the long term. We believe we are at the beginning of an industry upcycle, making us positive on Kinsus' stock performance over the next 12 months.

Price Target Risks and Methodology - Kinsus

Valuation methodology: Our 12-month target price of NT$1,515 for Kinsus is based on 19.5x 2028E P/E, which is +2.0x STDV higher than Kinsus' past upcycle average P/E

(14.2x).

Key downside risks: (1) Slower-than-expected PC demand recovery, (2) Slower-than-expected ABF substrates pricing upgrading outlook, (3) Slower/Less-than-expected AI server orders from 2H26.

Disclosure Appendix

Reg AC

I, Chao Wang, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company or companies and its or their securities. I also certify that no part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Goldman Sachs Investment Research global Equity coverage universe

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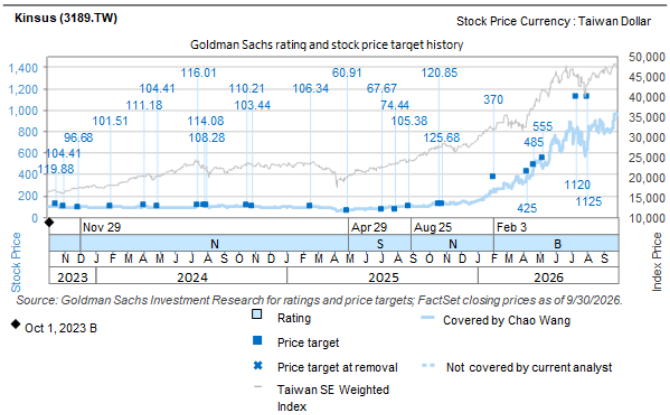
Price target and rating history chart(s)



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Target price history table(s)

Kinsus (3189.TW)

Date of report	Target price (NT$)	Closing price (NT$)
15-Oct-26	1,515.00	979.00
03-Aug-26	1,125.00	698.00
12-Jul-26	1,120.00	795.00
08-May-26	555.00	458.00
21-Apr-26	485.00	473.50
08-Apr-26	425.00	394.00
03-Feb-26	370.00	246.00
27-Oct-25	130.00	143.57
21-Oct-25	125.00	145.02
25-Aug-25	109.00	103.93
29-Jul-25	77.00	102.48
04-Jul-25	70.00	85.27
29-Apr-25	63.00	73.57
17-Feb-25	110.00	96.68
28-Oct-24	107.00	108.76
18-Oct-24	114.00	101.51
01-Aug-24	112.00	107.31
29-Jul-24	118.00	115.05
16-Jul-24	120.00	116.01
29-Apr-24	108.00	94.65
03-Apr-24	115.00	98.61
29-Jan-24	105.00	98.13
29-Nov-23	100.00	96.00

Price targets shown in table(s) are unadjusted for corporate actions.

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Zhen Ding Technology Holding (4958.TW)

High margin new businesses have started to ramp up, pointing to significant GM expansion in coming years; Buy

4958.TW	12m Price Target: **NT$1,070.00**	Price: **NT$430.50**	Upside: **148.5%**

ZDT 3Q26 core business (OPI) was 10%/11% higher than GSe and BBG consensus, mainly thanks to the better than expected product mix (high margin & high growth sectors accounted for 27% of total revenue in 3Q26 vs. our estimate only at 20-25%). In 3Q26, ZDT GM was 1.8/2.6ppt higher than GSe/BBG consensus, and was 27.7% up 4.6ppt QoQ and 5.7ppt YoY, while the annual growth was only driven by the better product mix/ new business contribution (ABF/optical module/AI PCB), even considering these new businesses only accounted for 27% of total revenue.

OPEX in 3Q26 increased 24% QoQ and 56% YoY due mainly to the higher investment in the R&D projects for future new high-end AI PCB/ optical transceiver / substrates business, which was the main reason for the company to see a 0.7/1.4ppt higher than GSe/BBG consensus OPEX to sales ratio in 3Q26.

In 4Q26, we expect ZDT revenue to go up by ~29% QoQ, mainly due to the solid growth from the optical transceiver, substrates, and AI PCB businesses, with more new AI projects to ramp in 4Q26. Moreover, we expect the company's GM to further expand to ~30% (2.2ppt QoQ or 7.3ppt YoY) thanks to a better product mix (we expect high growth/high margin new business will account for 30-35% of the company's total revenue in 4Q26, whose average GM should be at least 40-45% in 4Q26).

Investment view

We remain positive on ZDT's AI business outlook, and expect the acceleration on ZDT's AI PCB/Substrates business revenue to further drive the company's overall GM level in coming years (we expect the two businesses' average GM could surpass 50% in 2027, thanks to the favorable supply demand condition) while we also expect the high GM optical transceiver (50%+ GM now) will also see at least 120% YoY growth in 2027, suggesting a significant GM expansion trend for the overall company in coming quarters/years.

BUY

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Key Data

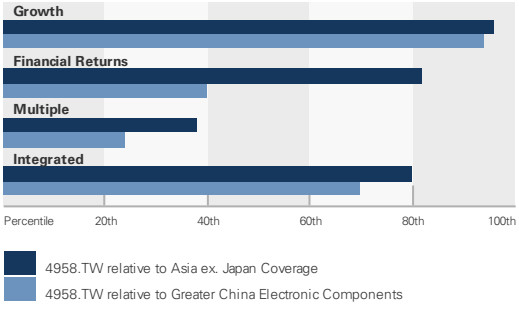
Market cap: NT$460.9bn / $14.0bn
Enterprise value: NT$539.3bn / $16.4bn
3m ADTV: NT$16.1bn / $501.8mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**182,521.6**	**237,099.1**	**382,886.1**	**589,552.1**
Revenue (NT$ mn) Old	182,521.6	227,974.9	372,588.9	587,633.6
EBITDA (NT$ mn)	32,484.0	49,472.9	98,030.2	200,717.5
EPS (NT$) New	**6.91**	**15.18**	**40.55**	**93.64**
EPS (NT$) Old	6.91	14.56	34.35	67.64
P/E (X)	18.6	28.4	10.6	4.6
P/B (X)	0.8	2.6	2.1	1.5
Dividend yield (%)	2.7	1.8	4.7	10.9
CROCI (%)	12.0	15.6	23.9	40.5

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	4.02	7.63	6.75	8.06

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Zhen Ding Technology Holding (4958.TW)

Rating since Apr 29, 2025

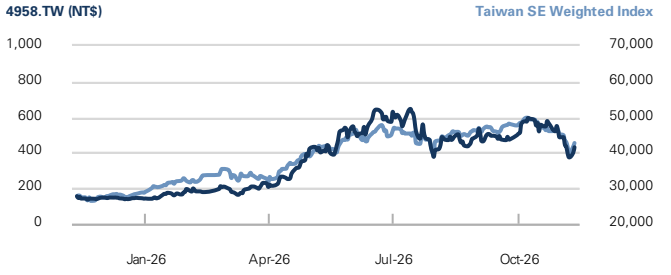
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.6	28.4	10.6	4.6
P/B (X)	0.8	2.6	2.1	1.5
FCF yield (%)	(3.2)	(7.5)	0.7	15.4
EV/EBITDAR (X)	4.7	11.2	5.9	2.8
EV/EBITDA (excl. leases) (X)	4.7	11.2	5.9	2.8
CROCI (%)	12.0	15.6	23.9	40.5
ROE (%)	5.8	13.1	31.5	57.8
Net debt/equity (%)	(11.6)	12.7	12.4	(12.7)
Net debt/equity (excl. leases) (%)	(12.2)	12.1	11.9	(13.0)
Interest cover (X)	6.7	14.3	37.9	88.8
Days inventory outst, sales	37.6	32.0	24.5	21.3
Receivable days	63.6	56.4	50.2	50.3
Days payable outstanding	56.4	53.6	48.7	50.8
DuPont ROE (%)	4.0	9.0	19.9	32.3
Turnover (X)	0.7	0.8	1.0	1.1
Leverage (X)	1.6	1.6	1.6	1.6
Gross cash invested (ex cash) (NT$)	254,306.9	335,399.6	404,643.4	456,481.4
Average capital employed (NT$)	139,052.4	179,780.7	232,649.0	268,709.0
BVPS (NT$)	159.46	168.50	204.24	289.63

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	6.3	29.9	61.5	54.0
EBITDA growth	10.7	52.3	98.1	104.8
EPS growth	(28.6)	119.7	167.1	130.9
DPS growth	(28.1)	120.0	167.1	130.9
EBIT margin	7.6	11.9	19.5	29.7
EBITDA margin	17.8	20.9	25.6	34.0
Net income margin	3.7	7.1	11.8	17.8

Price Performance



	3m	6m	12m
Absolute	(8.5)%	7.4%	176.8%
Rel. to the Taiwan SE Weighted Index	(3.8)%	4.6%	80.6%

Source: FactSet. Price as of 10 Nov 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	182,521.6	237,099.1	382,886.1	589,552.1
Cost of goods sold	(146,385.2)	(174,252.7)	(256,273.6)	(341,087.6)
SG&A	(10,397.7)	(15,000.2)	(21,310.4)	(27,985.5)
R&D	(11,807.1)	(19,634.8)	(30,610.5)	(45,384.6)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**32,484.0**	**49,472.9**	**98,030.2**	**200,717.5**
Depreciation & amortization	(18,552.5)	(21,261.6)	(23,338.5)	(25,623.2)
EBIT	**13,931.6**	**28,211.4**	**74,691.7**	**175,094.3**
Net interest inc./(exp.)	374.4	222.5	(1,118.9)	(1,259.2)
Income/(loss) from associates	(16.7)	–	–	–
Pre-tax profit	**14,062.7**	**29,586.6**	**75,991.7**	**175,544.3**
Provision for taxes	(3,457.6)	(4,801.6)	(11,959.3)	(27,683.7)
Minority interest	(3,814.6)	(7,934.0)	(18,684.8)	(43,135.0)
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**6,790.5**	**16,851.0**	**45,347.5**	**104,725.6**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**6,790.5**	**16,851.0**	**45,347.5**	**104,725.6**
EPS (basic, pre-except) (NT$)	**6.91**	**15.18**	**40.55**	**93.64**
EPS (diluted, pre-except) (NT$)	**6.91**	**15.18**	**40.55**	**93.64**
EPS (basic, post-except) (NT$)	**6.91**	**15.18**	**40.55**	**93.64**
EPS (diluted, post-except) (NT$)	**6.91**	**15.18**	**40.55**	**93.64**
DPS (NT$)	3.45	7.59	20.27	46.82
Div. payout ratio (%)	49.9	50.0	50.0	50.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	71,116.4	27,644.7	23,098.0	92,381.0
Accounts receivable	32,616.6	40,643.1	64,584.7	97,829.6
Inventory	19,616.3	21,905.1	29,489.0	39,248.4
Other current assets	4,291.9	4,291.9	4,291.9	4,291.9
Total current assets	**127,641.1**	**94,484.7**	**121,463.6**	**233,750.9**
Net PP&E	123,736.8	182,967.2	225,120.5	251,989.3
Net intangibles	2,709.7	2,217.8	1,725.9	1,234.0
Total investments	9,865.7	9,865.7	9,865.7	9,865.7
Other long-term assets	16,089.7	16,089.7	16,089.7	16,089.7
Total assets	**280,043.0**	**305,625.1**	**374,265.3**	**512,929.5**
Accounts payable	23,501.3	27,689.5	40,722.9	54,200.2
Short-term debt	23,839.0	23,839.0	23,839.0	23,839.0
Short-term lease liabilities	246.9	246.9	246.9	246.9
Other current liabilities	25,234.0	30,268.3	44,516.6	74,205.7
Total current liabilities	**72,821.2**	**82,043.7**	**109,325.4**	**152,491.8**
Long-term debt	26,429.8	26,429.8	26,429.8	26,429.8
Long-term lease liabilities	872.6	872.6	872.6	872.6
Other long-term liabilities	9,206.8	9,206.8	9,206.8	9,206.8
Total long-term liabilities	**36,509.2**	**36,509.2**	**36,509.2**	**36,509.2**
Total liabilities	**109,330.4**	**118,552.9**	**145,834.6**	**189,001.0**
Preferred shares	–	–	–	–
Total common equity	123,981.6	132,407.1	155,080.8	207,443.6
Minority interest	**46,731.1**	**54,665.1**	**73,349.9**	**116,484.9**
Total liabilities & equity	**280,043.0**	**305,625.1**	**374,265.3**	**512,929.5**
Net debt, adjusted	(20,847.5)	22,624.2	27,170.9	(42,112.1)

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	6,790.5	16,851.0	45,347.5	104,725.6
D&A add-back	18,552.5	21,261.6	23,338.5	25,623.2
Minority interest add-back	3,814.6	7,934.0	18,684.8	43,135.0
Net (inc)/dec working capital	(1,212.1)	(6,127.1)	(18,492.1)	(29,527.0)
Other operating cash flow	(329.0)	–	–	–
Cash flow from operations	**27,616.5**	**39,919.5**	**68,878.8**	**143,956.7**
Capital expenditures	(33,083.4)	(80,000.0)	(65,000.0)	(52,000.0)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	1,123.4	–	–	–
Cash flow from investing	**(31,960.0)**	**(80,000.0)**	**(65,000.0)**	**(52,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(7,221.4)	(3,391.2)	(8,425.5)	(22,673.8)
Inc/(dec) in debt	5,509.8	–	–	–
Other financing cash flows	(2,330.6)	0.0	0.0	0.0
Cash flow from financing	**(4,042.2)**	**(3,391.2)**	**(8,425.5)**	**(22,673.8)**
Total cash flow	**(8,385.6)**	**(43,471.7)**	**(4,546.7)**	**69,283.0**
Free cash flow	(5,466.9)	(40,080.5)	3,878.8	91,956.7

Source: Company data, Goldman Sachs Research estimates.

We believe ZDT will continue to be the key share gainer in the AI PCB market. For AI GPU projects, we are seeing ZDT share increase from <5% in 2025 to ~10-15% in 2026, which, we believe, will further go up to 30%+ in long term (2028 and beyond), thanks to the company's proactive investment in the R&D on the latest PCB technology, as well as the company's solid investment in the AI grade PCB capacity. For AI ASIC projects, the company's market share is well below 10% for now, and only focus on some minor projects, but we do expect the company to become one of the major suppliers for AI ASIC projects in coming years, considering the company's more diversified production sites (mainland China + Taiwan + Thailand), while most of the AI ASIC customers are asking for non-Greater China capacity now.

For the optical transceiver business, we expect ZDT to see strong growth (50%+ 2025-29E CAGR), driven mainly by the ~50% 2026-28E volume demand CAGR and the company's proactive expansion in capacity in coming years (5x more capacity over the next two years). Moreover, ZDT currently holds an industry-leading yield of 90%+ for its optical module mSAP products (vs. peers only at 60-80% per our industry checks).

For its ABF substrate business, we believe the company will continue to have the ability to increase ABF price, supported by full UTR and strong demand, while the industry in our view remains conservative on its capacity expansion plans over the next 1-2 years relative to our forecasts. We expect ABF substrate LTA/Spot prices to increase by 10-15%/20%+ QoQ per quarter from 3Q26 through at least the end of 2027, with shortages likely extending into 2028 (see here). Overall, the business condition for ABF substrate is improving with price increase and we expect the business, which was loss making in 2025, to expand its GM to 40%+/50%+ by end of 2026/27.

Overall, we reiterate our Buy rating on ZDT, with a new 12m TP of NT$1,070 (from NT$1,025).

Exhibit 1: ZDT's 3Q26 earnings comp table

ZDT (4958.TW)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	64,624	64,324	0%	48,431	33%	47,366	36%	63,943	1%
Gross profits	17,913	16,700	7%	11,186	60%	10,410	72%	16,080	11%
Operating profits	8,717	7,952	10%	3,761	132%	4,530	92%	7,866	11%
Pre-tax income	8,026	8,452	-5%	4,931	63%	4,661	72%	8,118	-1%
Net earnings	4,496	5,071	-11%	2,392	88%	2,392	88%	4,865	-8%
EPS, NT$	4.02	4.65	-14%	2.19	83%	2.46	64%	4.28	-6%
Gross margin (%)	27.7%	26.0%	1.8ppt	23.1%	4.6ppt	22.0%	5.7ppt	25.1%	2.6ppt
EBIT margin (%)	13.5%	12.4%	1.1ppt	7.8%	5.7ppt	9.6%	3.9ppt	12.3%	1.2ppt
Net margin (%)	7.0%	7.9%	-0.9ppt	4.9%	2.0ppt	5.0%	1.9ppt	7.6%	-0.7ppt

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Earnings revisions

We revise up our 2026/27/28/29E net income estimate by 6/21/42/49% after seeing the solid GM expansion from these high-growth sectors, which we believe will continue to be the net income driver in the coming years. We believe the high growth sectors (AI PCB, substrates, optical module mSAP) will account for 50%+ of total revenue in 2028 and further expand to 60%+ in 2029, with a much higher than company average GM (50%+ in average in 2027-28), thus we revise up our 2027/28/29E GM by 5.4/10.7/12.4ppt vs. previous estimate.

Exhibit 2: Earnings revision table

ZD Tech P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.	2029E New	2029E Old	Diff.
Sales	237,099	227,975	4%	382,886	372,589	3%	589,552	587,634	0%	824,114	787,166	5%
Gross Profit	62,846	56,384	11%	126,613	102,934	23%	248,464	184,748	34%	381,332	266,597	43%
EBIT	28,211	24,815	14%	74,692	61,432	22%	175,094	123,072	42%	282,082	188,847	49%
Net Income	16,851	15,847	6%	45,348	37,446	21%	104,726	73,732	42%	168,581	112,959	49%
EPS (NT$)	**15.18**	**14.56**	**4%**	**40.55**	**34.35**	**18%**	**93.64**	**67.64**	**38%**	**150.73**	**103.63**	**45%**
Ratio analysis												
Gross margin	26.5%	24.7%	1.8pp	33.1%	27.6%	5.4pp	42.1%	31.4%	10.7pp	46.3%	33.9%	12.4pp
EBIT margin	11.9%	10.9%	1.0pp	19.5%	16.5%	3.0pp	29.7%	20.9%	8.8pp	34.2%	24.0%	10.2pp
Net margin	7.1%	7.0%	0.2pp	11.8%	10.1%	1.8pp	17.8%	12.5%	5.2pp	20.5%	14.4%	6.1pp

Source: Goldman Sachs Global Investment Research

Valuation

We revise up ZDT 12m TP from NT$1,025 to NT$1,070, still based on our SOTP based valuation methodology of (1) 3.5x blended P/B for ABF & BT substrate (in-line with upcycle industry average), (2) 15x P/E for high-growth AI server/switch related PCB (in line with industry average), and (3) 8x P/E for low-growth consumer electronics PCB (in-line with industry downcycle average valuation), and maintain our valuation period at 4Q26-3Q27, factoring in our earnings revision.

Exhibit 3: P&L table

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E	2029E
Revenue	40,728	48,431	64,625	83,316	76,076	84,744	103,323	118,743	111,675	129,779	159,122	188,976	182,522	237,099	382,886	589,552	824,114
Gross profit	8,812	11,186	17,913	24,935	22,776	26,959	34,982	41,897	44,095	53,643	67,978	82,748	36,136	62,846	126,613	248,464	381,332
Operating expense	(6,308)	(7,425)	(9,196)	(11,706)	(10,482)	(11,974)	(13,875)	(15,590)	(14,104)	(16,130)	(19,459)	(23,677)	(22,205)	(34,635)	(51,921)	(73,370)	(99,251)
Operating income	2,503	3,761	8,717	13,230	12,294	14,985	21,106	26,307	29,992	37,513	48,519	59,071	13,932	28,211	74,692	175,094	282,082
Pretax income	2,400	4,931	8,025	14,230	12,694	15,335	21,156	26,807	30,042	37,563	48,569	59,371	14,063	29,587	75,992	175,544	282,732
Taxes expense	(353)	(1,204)	(1,110)	(2,134)	(2,158)	(2,607)	(3,173)	(4,021)	(5,107)	(6,386)	(7,285)	(8,906)	(3,458)	(4,802)	(11,959)	(27,684)	(44,835)
Net income	1,426	2,392	4,496	8,538	7,553	9,017	12,694	16,084	17,875	22,087	29,141	35,622	6,791	16,851	45,348	104,726	168,581
EPS, NT$	**1.33**	**2.19**	**4.02**	**7.63**	**6.75**	**8.06**	**11.35**	**14.38**	**15.98**	**19.75**	**26.06**	**31.85**	**6.91**	**15.18**	**40.55**	**93.64**	**150.73**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	21.6%	23.1%	27.7%	29.9%	29.9%	31.8%	33.9%	35.3%	39.5%	41.3%	42.7%	43.8%	19.8%	26.5%	33.1%	42.1%	46.3%
Operating expense ratio	15.5%	15.3%	14.2%	14.0%	13.8%	14.1%	13.4%	13.1%	12.6%	12.4%	12.2%	12.5%	12.2%	14.6%	13.6%	12.4%	12.0%
Operating margin	6.1%	7.8%	13.5%	15.9%	16.2%	17.7%	20.4%	22.2%	26.9%	28.9%	30.5%	31.3%	7.6%	11.9%	19.5%	29.7%	34.2%
Net margin	3.5%	4.9%	7.0%	10.2%	9.9%	10.6%	12.3%	13.5%	16.0%	17.0%	18.3%	18.9%	3.7%	7.1%	11.8%	17.8%	20.5%
QoQ growth (%)																	
Revenue	-28.4%	18.9%	33.4%	28.9%	-8.7%	11.4%	21.9%	14.9%	-6.0%	16.2%	22.6%	18.8%	-	-	-	-	-
Gross profit	-31.3%	26.9%	60.1%	39.2%	-8.7%	18.4%	29.8%	19.8%	5.2%	21.7%	26.7%	21.7%	-	-	-	-	-
Operating income	-57.7%	50.2%	131.8%	51.8%	-7.1%	21.9%	40.9%	24.6%	14.0%	25.1%	29.3%	21.7%	-	-	-	-	-
Net income	-54.9%	67.8%	88.0%	89.9%	-11.5%	19.4%	40.8%	26.7%	11.1%	23.6%	31.9%	22.2%	-	-	-	-	-
YoY growth (%)																	
Revenue	1.6%	26.8%	36.4%	46.5%	86.8%	75.0%	59.9%	42.5%	46.8%	53.1%	54.0%	59.1%	6%	30%	61%	54%	40%
Gross profit	49.7%	59.6%	72.1%	94.4%	158.5%	141.0%	95.3%	68.0%	93.6%	99.0%	94.3%	97.5%	11%	74%	101%	96%	53%
Operating income	137.1%	55.1%	92.4%	123.4%	391.1%	298.4%	142.1%	98.8%	144.0%	150.3%	129.9%	124.5%	20%	102%	165%	134%	61%
Net income	125.4%	295.3%	88.0%	170.1%	429.8%	277.0%	182.3%	88.4%	136.7%	144.9%	129.6%	121.5%	-26%	148%	169%	131%	61%

Source: Company data, Goldman Sachs Global Investment Research

Zhen Ding Technology (ZDT) is the global leading PCB supplier (top 1 in market share in sales) with 7-10% market share, and started its ABF substrate business from 2023 in Shenzhen, China, and has the highest ABF revenue exposure to the China market compared to all other ABF substrate suppliers. We believe ZDT will hold more than 40% ABF substrate market share in China by 2027E (up from 31% in 2024) and benefit the most from the strong and growing China ABF substrate market (53% 2025E-27E CAGR) due to the increasing in-sourcing ratio for the AI computing ASIC/GPU market in China. We also expect the increasing foldable smartphone penetration rate in the long term to drive ZDT's FPC TAM, and account for 50% of the company's total revenue in 2027E. We see further revenue upside potential from foldable phones. We are Buy rated mainly due to our positive view on the company's China ABF substrate business opportunity, which should not only drive ZDT's revenue growth, but also improve its OPM level in the long term. We see upside for the stock price considering the company's solid growth opportunity, and our TP implied P/E multiple is still lower than the company's past 10+ year P/E average, which we believe is fair considering the potential upside from China ABF substrate market and increasing foldable phone penetration rate.

Valuation: Our 12-month TP of NT$1,070 is based on a SOTP valuation methodology, including (1) 3.5x blended 2028E P/B for ABF & BT substrate, (2) 15x 2028E P/E for high-growth AI server/switch related PCB (in line with industry average), and (3) 8x 2028E P/E for low-growth consumer electronics PCB (in line with industry downcycle average valuation).

Key downside risks include: (1) weaker-than-expected iPhone demand or slower content upgrade, (2) delay in new substrate capacity or slower-than-expected yield rate ramp up progress, and (3) fiercer competition in China ABF market.

Disclosure Appendix

Reg AC

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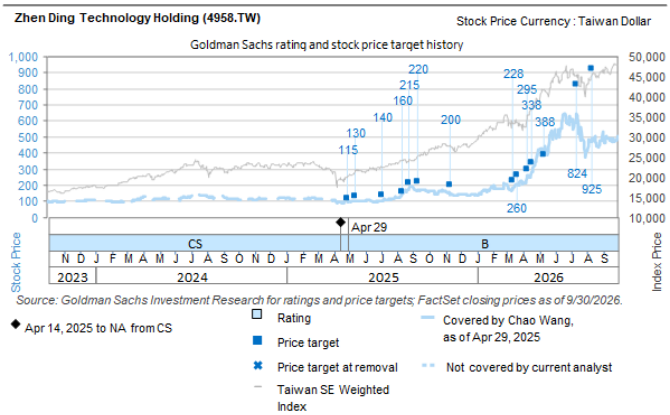
Price target and rating history chart(s)



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Target price history table(s)

Zhen Ding Technology Holding (4958.TW)

Date of report	Target price (NT$)	Closing price (NT$)
15-Oct-26	1,025.00	519.00
11-Aug-26	925.00	490.00
12-Jul-26	824.00	588.00
12-May-26	388.00	407.00
17-Apr-26	338.00	282.00
08-Apr-26	295.00	247.50
20-Mar-26	260.00	209.50
13-Mar-26	228.00	188.50
12-Nov-25	200.00	144.50
10-Sep-25	220.00	168.50
25-Aug-25	215.00	180.50
12-Aug-25	160.00	147.00
04-Jul-25	140.00	103.00
13-May-25	130.00	104.50
29-Apr-25	115.00	97.10

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Reiterate Rating: BUY | PO: 1,750 TWD | Price: 1,025 TWD

2H26 strength sustains on 2.5D packaging expansion

3Q26 sales were +41% QoQ above Street estimates on solid CoWoS and FOCoS capacity expansion across its foundry and OSAT customers, backed by the accelerated capex from back-end industry to accommodate stronger cloud AI chipset demand outlook into '27. With mix shifted toward margin-diluted automation tools, 3Q26 GMs were -630 bps QoQ to 48.5% (vs. BofAe 54.1%) though OpMs held resilient QoQ at 32.9% on operating leverage, taking 3Q26 EPS to NT$8.50 (vs. BofAe/Street NT$10.74/NT$9.34.). For 4Q26, we estimate sales -9% QoQ due to CoWoS revenue recognition timing partially offset by sustained strength in FOCoS. We expect GMs in 4Q26 to recover to its long-term guidance of 50-55% range (BofAe 53.7%) on better product mix.

Diverse 2.5D/3D packaging and CPO ramp lifting '27-28

All Ring's sales are on track to +88% YoY in '26 and could see continued strength into '27 (BofAe +55% YoY), mainly led by 80-90k WPM CoWoS addition from TSMC to 200-210k WPM by 4Q27 along with ASE's accelerated FOCoS capacity expansion and CoWoS full process ramp for outsourced business. With superior throughput and yield stability vs. its peers, we expect its CPO optical coupling equipment shipment to reach 150 units in '27, backed by a solid commitment from Nvidia/SPIL to increase CPO assembly capacity by 15x (see our report: Implication from Nvidia GTC: back-end capacity constrained; CPO accelerates). Broader equipment share and content gains across diversifying advanced packaging technologies, including FOPLP, SoIC, CoPoS and US back-end solutions, alongside the ramp-up of CPO equipment should drive All Ring's advanced packaging revenue +60% YoY in 2027, lifting GM/OpM to 54.2%/33.3% from 52%/32.2% in 2026.

Reiterate Buy on decent EPS upcycle with +34% CAGR

We maintain our 2027/28 EPS unchanged at NT$49.34/54.67, our Buy rating on All Ring and PO of NT$1,750 still based on 36x 2027E P/E (vs. its 8-41x range). We believe decent sales/earnings CAGR of +30%/+34% over '26-'28E supported by solid advanced packaging capacity build and smooth CPO ramp should warrant high valuation.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,311	1,485	2,959	4,788	5,306
EPS	14.57	15.46	30.49	49.34	54.67
EPS Change (YoY)	755.0%	6.1%	97.3%	61.8%	10.8%
Dividend / Share	10.19	11.79	18.00	30.00	35.00
Free Cash Flow / Share	7.82	15.04	27.63	40.53	52.78
Valuation (Dec)					
P/E	70.34x	66.31x	33.61x	20.78x	18.75x
Dividend Yield	0.994%	1.15%	1.76%	2.93%	3.41%
EV / EBITDA*	61.49x	54.30x	27.27x	17.18x	15.48x
Free Cash Flow Yield*	0.699%	1.44%	2.66%	3.91%	5.09%

* For full definitions of *iQ*method℠ measures, see page 6.

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Refer to important disclosures on page 7 to 9. Analyst Certification on page 4. Price

10 November 2026

Equity

Key Changes

(NT$)	Previous	Current
2026E EPS	28.94	30.49
2027E EPS	49.18	49.34
2028E EPS	54.90	54.67
2026E EBITDA (m)	2,923.5	3,344.6
2027E EBITDA (m)	5,188.4	5,307.1
2028E EBITDA (m)	5,796.0	5,891.8

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Stock Data

Price	1,025 TWD
Price Objective	1,750 TWD
Date Established	8-Sep-2026
Investment Opinion	C-1-7
52-Week Range	307.50 TWD-1,680 TWD
Mrkt Val / Shares Out (mn)	3,055 USD / 98.2
Market Value (mn)	100,648 TWD
Average Daily Value (mn)	85.95 USD
Free Float	82.7%
BofA Ticker / Exchange	XNQNF / TWO
Bloomberg / Reuters	6187 TT / 6187.TWO
ROE (2026E)	28.2%
Net Dbt to Eqty (Dec-2025A)	-52.8%

Glossary on page 3

iQprofile℠ All Ring

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	5,535	5,366	10,098	15,682	17,039
Gross Profit	2,717	2,913	5,247	8,493	9,403
Sell General & Admin Expense	(515)	(536)	(1,030)	(1,627)	(1,647)
Operating Profit	1,427	1,611	3,255	5,216	5,801
Net Interest & Other Income	139	202	287	550	589
Associates	NA	NA	NA	NA	NA
Pretax Income	1,566	1,813	3,542	5,766	6,390
Tax (expense) / Benefit	(255)	(316)	(616)	(1,011)	(1,117)
Net Income (Adjusted)	1,311	1,485	2,959	4,788	5,306
Average Fully Diluted Shares Outstanding	90	96	100	100	100
Key Cash Flow Statement Data					
Net Income	1,311	1,485	2,959	4,788	5,306
Depreciation & Amortization	56	69	90	91	91
Change in Working Capital	(700)	256	282	(332)	315
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	413	148	909	963	964
Cash Flow from Operations	1,079	1,958	4,240	5,510	6,675
Capital Expenditure	(376)	(513)	(1,558)	(1,577)	(1,552)
(Acquisition) / Disposal of Investments	(201)	(241)	(1,091)	(4)	0
Other Cash Inflow / (Outflow)	218	88	679	(10)	(7)
Cash Flow from Investing	(359)	(666)	(1,971)	(1,591)	(1,559)
Shares Issue / (Repurchase)	1,394	0	0	0	0
Cost of Dividends Paid	(131)	(980)	(1,157)	(1,767)	(2,946)
Cash Flow from Financing	1,851	(645)	3,230	(1,767)	(2,945)
Free Cash Flow	704	1,445	2,682	3,933	5,122
Net Debt	(3,309)	(3,951)	(9,830)	(11,987)	(14,158)
Change in Net Debt	(2,008)	(503)	(5,643)	(2,152)	(2,171)
Key Balance Sheet Data					
Property, Plant & Equipment	1,298	1,879	2,942	4,441	5,916
Other Non-Current Assets	1,168	1,396	2,503	2,492	2,485
Trade Receivables	1,552	806	929	1,188	971
Cash & Equivalents	3,599	4,297	9,852	12,008	14,179
Other Current Assets	1,179	1,232	1,385	1,993	1,714
Total Assets	8,796	9,609	17,611	22,123	25,264
Long-Term Debt	290	339	21	21	21
Other Non-Current Liabilities	131	142	142	142	143
Short-Term Debt	0	7	1	1	1
Other Current Liabilities	1,858	1,633	3,522	4,510	4,502
Total Liabilities	2,279	2,121	3,686	4,674	4,666
Total Equity	6,517	7,488	13,925	17,450	20,598
Total Equity & Liabilities	8,796	9,609	17,611	22,123	25,264
iQ*method℠ - Bus Performance					
Return On Capital Employed	23.6%	18.4%	24.8%	27.8%	25.6%
Return On Equity	29.1%	21.5%	28.2%	30.9%	28.2%
Operating Margin	25.8%	30.0%	32.2%	33.3%	34.0%
EBITDA Margin	26.8%	31.3%	33.1%	33.8%	34.6%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	0.8x	1.3x	1.4x	1.2x	1.3x
Asset Replacement Ratio	8.0x	8.7x	20.3x	20.2x	19.9x
Tax Rate (Reported)	16.3%	17.5%	17.4%	17.5%	17.5%
Net Debt-to-Equity Ratio	-50.8%	-52.8%	-70.6%	-68.7%	-68.7%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 6.

Company Sector

Semiconductor Capital Equipment

Company Description

Founded in 1996, All Ring is a Taiwan-based semiconductor equipment supplier with core technologies spanning dispensing, attachment, AOI, optical coupling, and precision automation. Building on its initial expertise in passive component manufacturing equipment, the company has gradually expanded into the back-end semiconductor packaging market and established long-term partnerships with leading foundry and OSATs customers.

Investment Rationale

We have a Buy rating on All Ring, in view of its solid market position in the semiconductor advanced packaging equipment. We believe its long-standing relationships with leading foundry and OSATs, coupled with strong technology development capabilities, position the company well to capture the secular uptrend in AI-driven advanced packaging capacity expansion and rising equipment content.

Stock Data

Price to Book Value	7.3x

Focus tables

Exhibit 1: All Ring 3Q26-4Q26 and 2026-27 estimates BofAe vs. Street
Our new EPS estimates for 2026/27 are now NT$30.49/49.34

	3Q26E				4Q26E			2026E			2027E	
	Actual	Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street
Sales (NT$mn)	$3,324	$3,247	$2,966	$3,008	$2,346	$2,429	$10,098	$9,359	$9,274	$15,682	$15,596	$14,310
Sales QoQ / YoY (%)	41.2%	37.9%	26.0%	-9.5%	-27.7%	-18.1%	88.2%	74.4%	72.8%	55.3%	66.6%	54.3%
Gross profit (NT$mn)	$1,611	$1,755	$1,612	$1,616	$1,234	$1,294	$5,247	$5,009	$4,987	$8,493	$8,401	$7,750
GMs (%)	48.5%	54.1%	54.3%	53.7%	52.6%	53.3%	52.0%	53.5%	53.8%	54.2%	53.9%	54.2%
Operating profit (NT$mn)	$1,092	$1,119	$1,073	$1,051	$605	$805	$3,255	$2,834	$3,026	$5,216	$5,097	$5,020
OpMs (%)	32.9%	34.5%	36.2%	35.0%	25.8%	33.1%	32.2%	30.3%	32.6%	33.3%	32.7%	35.1%
Pretax profit (NT$mn)	$1,037	$1,228	$1,092	$1,161	$718	$888	$3,542	$3,290	$3,338	$5,766	$5,601	$5,227
Pretax margins (%)	31.2%	37.8%	36.8%	38.6%	30.6%	36.5%	35.1%	35.2%	36.0%	36.8%	35.9%	36.5%
Tax expense (NT$mn)	-$212	-$184	-$134	-$178	-$100	-$193	-$583	-$476	-$518	-$978	-$818	-$867
Tax rate (%)	20.4%	14.9%	12.3%	15.4%	13.9%	21.7%	16.5%	14.5%	15.5%	17.0%	14.6%	16.6%
Net profit (NT$mn)	$825	$1,044	$957	$983	$618	$695	$2,959	$2,814	$2,821	$4,788	$4,783	$4,360
Net margins (%)	24.8%	32.2%	32.3%	32.7%	26.3%	28.6%	29.3%	30.1%	30.4%	30.5%	30.7%	30.5%
EPS (NT$)	$8.50	$10.74	$9.34	$10.12	$6.36	$7.26	$30.49	$28.94	$28.86	$49.34	$49.18	$42.69

Source: Bloomberg, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Terms and definitions
Glossary of abbreviations/acronyms

Term	Definition
AI	Artificial Intelligence
AOI	Automated Optical Inspection
ASIC	Application-Specific Integrated Circuit
CoPoS	Chip-on-Panel-on-Substrate
CoWoS	Chip-on-Wafer-on-Substrate
CPO	Co-Packaged Optics
CPU	Central Processing Unit
EMIB	Embedded Multi-die Interconnect Bridge
FAU	Fiber Array Unit
FoCoS	Fan-Out Chip-on-Substrate
FOPLP	Fan-Out Panel- Level Packaging
GPU	Graphics Processing Unit
HBM	High-Bandwidth Memory
IDM	Integrated Device Manufacturer
InFO	Integrated Fan-Out
IPD	Integrated Passive Device
OSAT	Outsourced Semiconductor Assembly and Test
SoIC	System on Integrated Chips
TAM	Total Addressable Market
TIM	Thermal Interface Material
WMCM	Wafer-Level Multi-Chip Module
WPM	Wafers Per Month
TSMC	Taiwan Semiconductor Manufacturer

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

All Ring (XNQNF)
Our PO of NT$1,750 is based on 36x 2027E P/E, positioned at the upper half of its historical trading range of 8-41x. We believe P/E based valuation is appropriate given All Ring's robust top-line visibility, stable profitability profile, and structural earnings improvement on decent exposure to AI-driven advanced packaging upcycle. The valuation multiple is underpinned by
1) 34%/37% CAGR in sales and earnings over 2026-28E and 2) sustained ROE in the 30-40% range

Downside risks are:
1) slowdown in advanced packaging capacity expansion and 2) mis-execution on equipment development

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	CXMT	XCXMF	688825 CH	Dai Shen
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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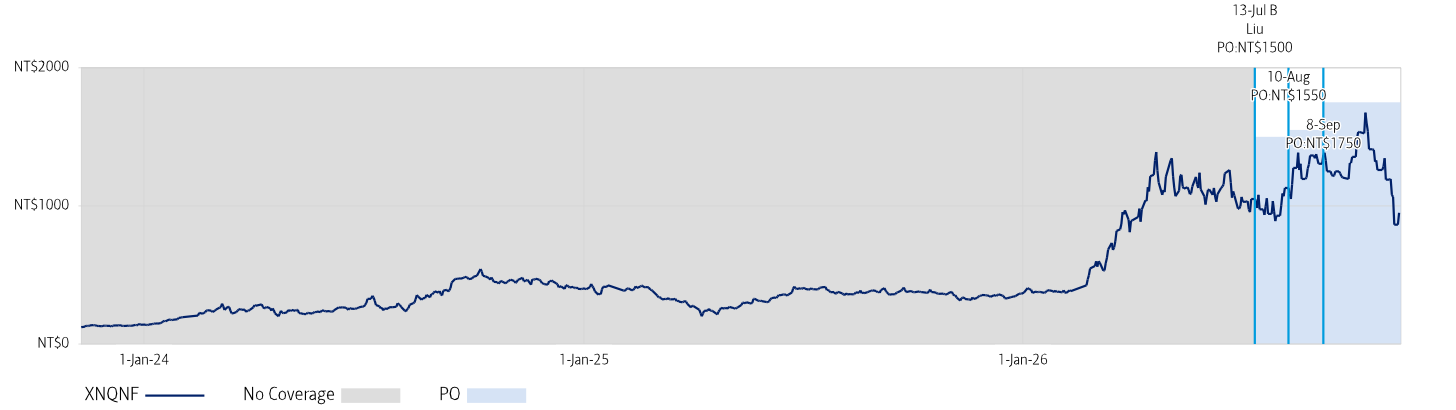
Disclosures

Important Disclosures

All Ring (XNQNF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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BofA SECURITIES

Asia Vital Components

Solid 3Q26 results; positive tone to 4Q26/ 2027; reiterate Buy; trim PO to NT$3,650

Reiterate Rating: BUY | PO: 3,650 TWD | Price: 2,790 TWD

3Q26: record-high GM/OPM for five straight quarters

Asia Vital Components (AVC)'s 3Q26 GM/OPM of 33.9%/28.5% hit a record high for the fifth straight quarter, exceeding BofAe of 33.0%/27.5% and consensus of 33.3%/27.9%. OP (+25% QoQ, +108% YoY) was 7%/4% above BofAe/consensus, with higher sales (+20% QoQ, +52% YoY; 3%/2% above BofAe/consensus). We attribute the results beat to solid product mix (server and networking comprised 66% of 3Q26 sales, same as 1Q-2Q26) and improving production efficiency. Despite a non-operating loss (mainly FX loss), NP was 10%/3% above consensus (Exhibit 3).

Positive tone to 4Q26/2027; ongoing capacity expansion

We expect 4Q26 sales to rise 19% QoQ and 2027 sales to grow 40% YoY, with mgmt.'s still positive tone to 4Q26/2027, mainly driven by AI liquid cooling projects. AVC indicated full support to clients' platform upgrade and shipment pipeline. It should be able to pass through the higher raw material cost. In 2027, mgmt. targets ASIC sales mix to surpass GPU. AVC also sees solid sales momentum from chassis/rack and CDU, acting as the solution provider. Mgmt. maintained 2026 capex guidance at NT$15bn and guided NT$15-20bn for 2027 (BofAe unchanged at NT$17bn), mainly for capacity expansion in Vietnam. Mgmt. now targets another 50% cold plate capacity expansion in 2027.

Trim PO to NT$3,650 for a lower P/E set-up; reiterate Buy

We lift 2026-28E EPS by 3-10%, mainly to reflect the 3Q26 results beat and higher margins, driven by ongoing server/networking project ramp-up. Yet, we cut our PO to NT$3,650 (23x 2027E EPS), with a lower P/E multiple (2SD above average since 2020; Exhibit 5) from NT$3,888 (was 27x; 3SD above) on AI supply chain's potentially higher shipment/pipeline uncertainty due to component shortage. Nevertheless, we reiterate Buy on AVC as we believe it should remain one of the key beneficiaries from rising liquid-cooling adoption and ongoing GPU/ASIC platform/spec upgrade. We also highlight solid sales/margin growth under broad product base and diversified project/client base.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	8,172	19,186	42,552	62,588	76,205
EPS	21.21	49.17	107.89	158.69	193.22
EPS Change (YoY)	50.4%	131.8%	119.4%	47.1%	21.8%
Dividend / Share	7.00	18.00	32.37	47.61	57.97
Free Cash Flow / Share	13.22	82.39	54.65	114.08	171.51
Valuation (Dec)					
P/E	131.54x	56.74x	25.86x	17.58x	14.44x
Dividend Yield	0.251%	0.645%	1.16%	1.71%	2.08%
EV / EBITDA*	79.55x	34.31x	15.90x	10.73x	8.75x
Free Cash Flow Yield*	0.465%	2.93%	1.97%	4.11%	6.17%

* For full definitions of *iQmethod℠* measures, see page 8.

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10 November 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	3,888.00	3,650.00
2026E EPS	104.95	107.89
2027E EPS	143.99	158.69
2028E EPS	178.74	193.22
2026E EBITDA (m)	64,049.3	66,465.7
2027E EBITDA (m)	88,681.8	98,460.9
2028E EBITDA (m)	111,753.0	120,809.0

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Stock Data

Price	2,790 TWD
Price Objective	3,650 TWD
Date Established	10-Nov-2026
Investment Opinion	C-1-7
52-Week Range	1,204 TWD-3,700 TWD
Mrkt Val / Shares Out (mn)	33,252 USD / 392.7
Market Value (mn)	1,095,550 TWD
Average Daily Value (mn)	261.73 USD
Free Float	74.7%
BofA Ticker / Exchange	AVMPF / TAI
Bloomberg / Reuters	3017 TT / 3017.TW
ROE (2026E)	68.2%
Net Dbt to Eqty (Dec-2025A)	-69.8%

Acronyms, see Exhibit 8

iQprofile℠ Asia Vital Components

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	71,761	139,639	227,436	319,036	384,133
Gross Profit	16,870	36,034	74,461	109,818	133,537
Sell General & Admin Expense	(1,947)	(3,086)	(4,707)	(7,181)	(8,711)
Operating Profit	10,823	27,556	62,346	91,830	111,785
Net Interest & Other Income	1,529	1,231	465	761	759
Associates	NA	NA	NA	NA	NA
Pretax Income	12,352	28,786	62,811	92,591	112,544
Tax (expense) / Benefit	(3,159)	(7,836)	(16,667)	(25,703)	(31,240)
Net Income (Adjusted)	8,172	19,186	42,552	62,588	76,205
Average Fully Diluted Shares Outstanding	385	390	394	394	394
Key Cash Flow Statement Data					
Net Income	8,172	19,186	42,552	62,588	76,205
Depreciation & Amortization	2,463	3,246	4,119	6,631	9,024
Change in Working Capital	(7,286)	(1,315)	(10,117)	(7,227)	(7,584)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	6,284	18,298	0	0	0
Cash Flow from Operations	9,632	39,415	36,555	61,991	77,644
Capital Expenditure	(4,540)	(7,267)	(15,000)	(17,000)	(10,000)
(Acquisition) / Disposal of Investments	(226)	217	0	0	0
Other Cash Inflow / (Outflow)	(2,904)	(6,286)	0	0	0
Cash Flow from Investing	(7,669)	(13,336)	(15,000)	(17,000)	(10,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(2,683)	(3,877)	(7,024)	(12,766)	(18,776)
Cash Flow from Financing	200	2,620	(7,024)	(12,766)	(18,776)
Free Cash Flow	5,092	32,148	21,555	44,991	67,644
Net Debt	(13,445)	(35,270)	(49,801)	(82,026)	(130,894)
Change in Net Debt	(2,967)	(28,606)	(14,531)	(32,225)	(48,868)
Key Balance Sheet Data					
Property, Plant & Equipment	13,805	17,849	28,730	39,099	40,075
Other Non-Current Assets	10,008	16,111	16,111	16,111	16,111
Trade Receivables	7,767	12,133	19,433	24,996	31,459
Cash & Equivalents	29,924	58,530	73,061	105,286	154,154
Other Current Assets	38,402	55,514	71,845	92,895	111,997
Total Assets	99,906	160,137	209,180	278,387	353,796
Long-Term Debt	3,349	6,949	6,949	6,949	6,949
Other Non-Current Liabilities	4,796	5,128	5,128	5,128	5,128
Short-Term Debt	13,130	16,311	16,311	16,311	16,311
Other Current Liabilities	45,158	81,184	94,699	114,085	132,066
Total Liabilities	66,433	109,572	123,087	142,472	160,453
Total Equity	33,473	50,565	86,093	135,915	193,343
Total Equity & Liabilities	99,906	160,137	209,180	278,387	353,796
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	17.4%	30.8%	48.3%	48.3%	42.3%
Return On Equity	32.1%	52.2%	68.2%	59.6%	48.0%
Operating Margin	15.1%	19.7%	27.4%	28.8%	29.1%
EBITDA Margin	18.5%	22.1%	29.2%	30.9%	31.4%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.2x	2.1x	0.9x	1.0x	1.0x
Asset Replacement Ratio	1.9x	2.3x	3.6x	2.6x	1.1x
Tax Rate (Reported)	25.6%	27.2%	26.5%	27.8%	27.8%
Net Debt-to-Equity Ratio	-40.2%	-69.8%	-57.8%	-60.4%	-67.7%
Interest Cover	24.6x	45.5x	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 8.

Company Sector

IT Hardware

Company Description

AVC is the leading system-level thermal/cooling component maker globally. Key end markets include server, PC, smartphone. Key end clients include global CSPs, PC brands, smartphone brands. AVC was founded in 1991 and went publicly listed on Taiwan Stock Exchange on 27 Sep 2002. It is headquartered in Taiwan. Its main production sites are located in China (Shenzhen, Wuhan, Shanghai, Dongguan, Chengdu), with ongoing capacity expansion in Vietnam.

Investment Rationale

We assign a Buy rating to AVC given its leading position in thermal/cooling component and total solution strategy to ride on strong AI market demand, double-digit sales/EPS CAGR in 2026-28 with rising liquid cooling sales mix and ASP/margin increase.

Stock Data

Price to Book Value	13.7x

Exhibit 1: We lift 2026-28E EPS by 3-10%
Earnings revision summary, 2026-28

	BofA 2026E			BofA 2027E			BofA 2028E		
NT$mn	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**
Sales	227,436	222,988	2%	319,036	308,358	3%	384,133	378,016	2%
Gross profit	74,461	71,963	3%	109,818	100,631	9%	133,537	125,453	6%
Operating profit	62,346	59,930	4%	91,830	82,051	12%	111,785	102,729	9%
Pretax profit	62,811	60,739	3%	92,591	82,926	12%	112,544	103,604	9%
Net income	42,552	40,952	4%	62,588	56,186	11%	76,205	69,746	9%
EPS (NT$)	107.89	104.95	3%	158.69	143.99	10%	193.22	178.74	8%
Margin %									
Gross margin	32.7%	32.3%		34.4%	32.6%		34.8%	33.2%	
Operating margin	27.4%	26.9%		28.8%	26.6%		29.1%	27.2%	
Pre-tax margin	27.6%	27.2%		29.0%	26.9%		29.3%	27.4%	
Net margin	18.7%	18.4%		19.6%	18.2%		19.8%	18.5%	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Our 2026 net income estimate is 3% above consensus while 2027-28 net income estimates are 3-7% below consensus
BofAe vs. consensus, 2026-28E

	2026E			2027E			2028E		
NT$mn	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**
Sales	227,436	221,653	3%	319,036	318,249	0%	384,133	398,035	-3%
Gross profit	74,461	71,468	4%	109,818	109,203	1%	133,537	135,474	-1%
Operating profit	62,346	59,862	4%	91,830	93,321	-2%	111,785	117,898	-5%
Pretax profit	62,811	60,719	3%	92,591	94,216	-2%	112,544	119,187	-6%
Net income	42,552	41,312	3%	62,588	64,433	-3%	76,205	81,557	-7%
EPS (NT$)	107.89	104.97	3%	158.69	163.51	-3%	193.22	207.30	-7%
Margin %									
Gross margin	32.7%	32.2%		34.4%	34.3%		34.8%	34.0%	
Operating margin	27.4%	27.0%		28.8%	29.3%		29.1%	29.6%	
Pre-tax margin	27.6%	27.4%		29.0%	29.6%		29.3%	29.9%	
Net margin	18.7%	18.6%		19.6%	20.2%		19.8%	20.5%	

Source: BofA Global Research estimates, Bloomberg consensus

BofA GLOBAL RESEARCH

Exhibit 3: AVC's 3Q26 operating profit was 7%/4% above BofAe/consensus; net income was 10%/3% above BofAe/consensus
3Q26 results summary

NT$mn	**3Q26**	**QoQ %**	**YoY %**	**BofAe**	**Diff (%)**	**Consensus**	**Diff (%)**	**2Q26**	**3Q25**
Sales	59,089	20%	52%	57,107	3%	57,904	2%	49,121	38,937
Gross profit	20,010	25%	97%	18,834	6%	19,301	4%	15,999	10,172
Operating profit	16,856	25%	108%	15,693	7%	16,178	4%	13,478	8,085
Pretax profit	16,752	20%	104%	15,876	6%	16,389	2%	13,935	8,217
Net income	11,564	21%	117%	10,551	10%	11,222	3%	9,567	5,339
EPS (NT$)	29.32	21%	114%	27.04	8%	28.43	3%	24.26	13.68
Margin %									
Gross margin	33.9%	1.3 ppt	7.7 ppt	33.0%	0.9 ppt	33.3%	0.5 ppt	32.6%	26.1%
Operating margin	28.5%	1.1 ppt	7.8 ppt	27.5%	1.0 ppt	27.9%	0.6 ppt	27.4%	20.8%
Pre-tax margin	28.4%	0.0 ppt	7.2 ppt	27.8%	0.5 ppt	28.3%	0.0 ppt	28.4%	21.1%
Net margin	19.6%	0.1 ppt	5.9 ppt	18.5%	1.1 ppt	19.4%	0.2 ppt	19.5%	13.7%

Source: BofA Global Research estimates, company data, Bloomberg consensus

BofA GLOBAL RESEARCH

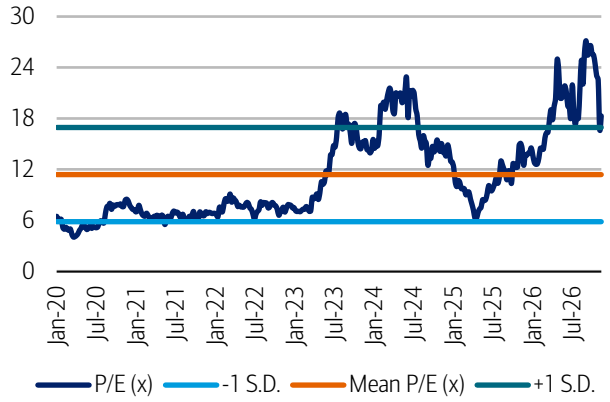
Exhibit 4: Fositek contributed 8%/11% of AVC's sales/net income in 3Q26, vs. 8-9%/9-12% in 1Q-2Q26 and 2-11%/2-18% in 2017-25
Fositek's sales/earnings contribution to AVC, 2017-3Q26

Contribution to AVC (%)	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	3Q26
Sales	3%	2%	2%	6%	11%	9%	10%	11%	9%	9%	8%	8%
Gross profit	7%	5%	4%	9%	14%	11%	11%	11%	9%	9%	8%	9%
Operating profit	8%	2%	1%	9%	17%	12%	12%	11%	9%	9%	8%	9%
Pretax profit	7%	5%	2%	10%	16%	13%	11%	12%	9%	10%	8%	9%
Net income	9%	3%	2%	11%	18%	14%	12%	15%	11%	12%	9%	11%
Fositek (NT$mn)												
Sales	813	692	865	2,223	5,020	5,014	5,644	8,188	12,414	4,184	3,740	4,502
Gross profit	231	181	174	582	1,193	1,166	1,318	1,827	3,270	1,352	1,273	1,712
Operating profit	95	15	17	289	809	775	881	1,197	2,524	1,120	1,043	1,460
Pretax profit	95	53	36	292	776	835	911	1,495	2,545	1,165	1,075	1,562
Net income	76	19	22	210	533	564	628	1,227	2,125	917	849	1,242
EPS (NT$)	3.71	0.91	1.00	6.25	9.29	9.33	10.18	17.90	31.00	13.38	12.39	18.11
Margin %												
Gross margin	28.4%	26.1%	20.1%	26.2%	23.8%	23.3%	23.3%	22.3%	26.3%	32.3%	34.0%	38.0%
Operating margin	11.7%	2.1%	2.0%	13.0%	16.1%	15.5%	15.6%	14.6%	20.3%	26.8%	27.9%	32.4%
Pre-tax margin	11.6%	7.7%	4.1%	13.1%	15.5%	16.7%	16.1%	18.3%	20.5%	27.9%	28.8%	34.7%
Net margin	9.4%	2.8%	2.5%	9.5%	10.6%	11.3%	11.1%	15.0%	17.1%	21.9%	22.7%	27.6%
AVC (NT$mn)												
Sales	27,109	29,067	36,534	39,666	47,333	56,017	59,194	71,761	139,639	49,038	49,121	59,089
Gross profit	3,331	3,447	4,314	6,232	8,386	10,850	12,388	16,870	36,034	14,597	15,999	20,010
Operating profit	1,154	719	1,259	3,280	4,827	6,306	7,421	10,823	27,556	12,019	13,478	16,856
Pretax profit	1,267	1,031	1,494	2,933	4,768	6,489	8,025	12,352	28,786	11,979	13,935	16,752
Net income	887	711	958	1,916	2,901	4,162	5,305	8,172	19,186	7,916	9,567	11,564
EPS (NT$)	2.5	2.0	2.7	5.4	8.2	11.8	14.1	21.2	49.2	20.07	24.26	29.32
Margin %												
Gross margin	12.3%	11.9%	11.8%	15.7%	17.7%	19.4%	20.9%	23.5%	25.8%	29.8%	32.6%	33.9%
Operating margin	4.3%	2.5%	3.4%	8.3%	10.2%	11.3%	12.5%	15.1%	19.7%	24.5%	27.4%	28.5%
Pre-tax margin	4.7%	3.5%	4.1%	7.4%	10.1%	11.6%	13.6%	17.2%	20.6%	24.4%	28.4%	28.4%
Net margin	3.3%	2.4%	2.6%	4.8%	6.1%	7.4%	9.0%	11.4%	13.7%	16.1%	19.5%	19.6%

Source: BofA Global Research, TEJ, company data

BofA GLOBAL RESEARCH

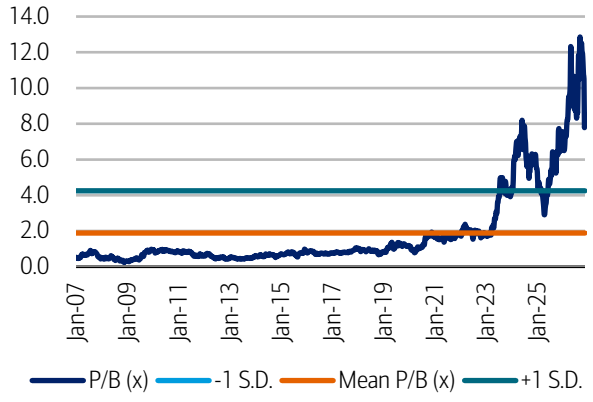
Exhibit 5: AVC's historical P/E trading average since 2020 is 11x
AVC's P/E trend and -1/+1 standard deviation since 2020



Source: BofA Global Research estimates, TEJ, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 6: AVC's historical P/B trading average since 2005 is 1.9x
AVC's P/B trend and -1/+1 standard deviation since 2005



Source: BofA Global Research estimates, TEJ, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 7: We model 2026-28E sales/net income CAGR at 30%/34%
Quarterly earnings summary, 2025-28E

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	49,038	49,121	59,089	70,188	72,718	74,161	82,194	89,963	89,536	92,449	98,148	104,000	139,639	227,436	319,036	384,133
Gross profit	14,597	15,999	20,010	23,854	24,829	25,439	28,385	31,165	30,955	32,044	34,204	36,334	36,034	74,461	109,818	133,537
Operating profit	12,019	13,478	16,856	19,994	20,612	21,137	23,864	26,217	25,672	26,589	28,805	30,718	27,556	62,346	91,830	111,785
Pretax profit	11,979	13,935	16,752	20,145	20,762	21,345	24,060	26,423	25,830	26,779	29,010	30,925	28,786	62,811	92,591	112,544
Net income	7,916	9,567	11,564	13,505	14,052	14,475	16,103	17,957	17,627	18,215	19,442	20,921	19,186	42,552	62,588	76,205
EPS (NT$)	20.07	24.26	29.32	34.24	35.63	36.70	40.83	45.53	44.69	46.18	49.30	53.05	49.17	107.89	158.69	193.22
Margin %																
Gross margin	29.8%	32.6%	33.9%	34.0%	34.1%	34.3%	34.5%	34.6%	34.6%	34.7%	34.8%	34.9%	25.8%	32.7%	34.4%	34.8%
Operating margin	24.5%	27.4%	28.5%	28.5%	28.3%	28.5%	29.0%	29.1%	28.7%	28.8%	29.3%	29.5%	19.7%	27.4%	28.8%	29.1%
Pretax margin	24.4%	28.4%	28.4%	28.7%	28.6%	28.8%	29.3%	29.4%	28.8%	29.0%	29.6%	29.7%	20.6%	27.6%	29.0%	29.3%
Net margin	16.1%	19.5%	19.6%	19.2%	19.3%	19.5%	19.6%	20.0%	19.7%	19.7%	19.8%	20.1%	13.7%	18.7%	19.6%	19.8%
QoQ %																
Sales	3%	0%	20%	19%	4%	2%	11%	9%	0%	3%	6%	6%				
Gross profit	16%	10%	25%	19%	4%	2%	12%	10%	-1%	4%	7%	6%				
Operating profit	20%	12%	25%	19%	3%	3%	13%	10%	-2%	4%	8%	7%				
Pretax profit	19%	16%	20%	20%	3%	3%	13%	10%	-2%	4%	8%	7%				
Net income	19%	21%	21%	17%	4%	3%	11%	12%	-2%	3%	7%	8%				
YoY %																
Sales	110%	66%	52%	47%	48%	51%	39%	28%	23%	25%	19%	16%	95%	63%	40%	20%
Gross profit	142%	121%	97%	89%	70%	59%	42%	31%	25%	26%	20%	17%	114%	107%	47%	22%
Operating profit	176%	165%	108%	100%	71%	57%	42%	31%	25%	26%	21%	17%	155%	126%	47%	22%
Pretax profit	159%	136%	104%	100%	73%	53%	44%	31%	24%	25%	21%	17%	133%	118%	47%	22%
Net income	146%	139%	117%	104%	78%	51%	39%	33%	25%	26%	21%	17%	135%	122%	47%	22%

Source: BofA Global Research estimates, company data

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Exhibit 8: Acronyms
Acronyms used throughout the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	EPS	Earnings Per Share	P/B	Price to Book
ASIC	Application-Specific Integrated Circuit	FX	Foreign Exchange	P/E	Price to Earnings
ASP	Average Selling Price	GM	Gross Margin	PC	Personal Computer
CAGR	Compound Annual Growth Rate	GPU	Graphic Processing Unit	PO	Price Objective
Capex	Capital Expenditure	Mgmt.	Management	RHS	Right Hand Side
CDU	Coolant Distribution Unit	NP	Net Profit	RMB	Renminbi (Chinese Yuan)
Cons	Consensus	NTD / NT$	New Taiwan Dollars	SD	Standard Deviation
CSP	Cloud Service Provider	OP	Operating Profit	USD / US$	US Dollars
Diff.	Difference	OPM	Operating Profit Margin		

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Asia Vital Components (AVMPF)
Our PO of NT$3,650 is based on 23x 2027E EPS. We use 23x P/E multiple (2SD above P/E average since 2020) in view of AVC's double-digit sales/EPS CAGR in 2026-28E. We believe AVC's leading position in thermal/cooling component market and strong AI market demand will drive rising liquid cooling sales mix and ASP/margin increase.

Upside risks to our PO are: (1) stronger demand in AI server, server, PC, smartphone, (2) better operating leverage with larger revenue scale, (3) less intensive competition, (4) faster product certification, (5) faster capacity expansion, (6) favorable FX movement (USD/RMB and/or USD/NTD) to help on GM and/or non-operating items.

Downside risks to our PO are: (1) softer AI server demand due to GPU/component shortage, (2) weaker server/PC/smartphone market demand amid inflation/macro uncertainties, (3) GM pressure due to higher material/labor/utility cost, (4) more intensive competition, (5) delayed product certification, (6) slower capacity expansion, (7) unfavorable FX movement (USD/RMB and/or USD/NTD) to weigh on GM and/or non-operating items.

Analyst Certification

I, Doris Kao, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Accton	XTWOF	2345 TT	Doris Kao

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Advantech	ADTEF	2395 TT	Robert Cheng
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Kinwong	XDENF	603228 CH	Katherine Zhu
	Kinwong	XENZF	3228 HK	Katherine Zhu
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	Chenbro	CEOMF	8210 TT	Doris Kao
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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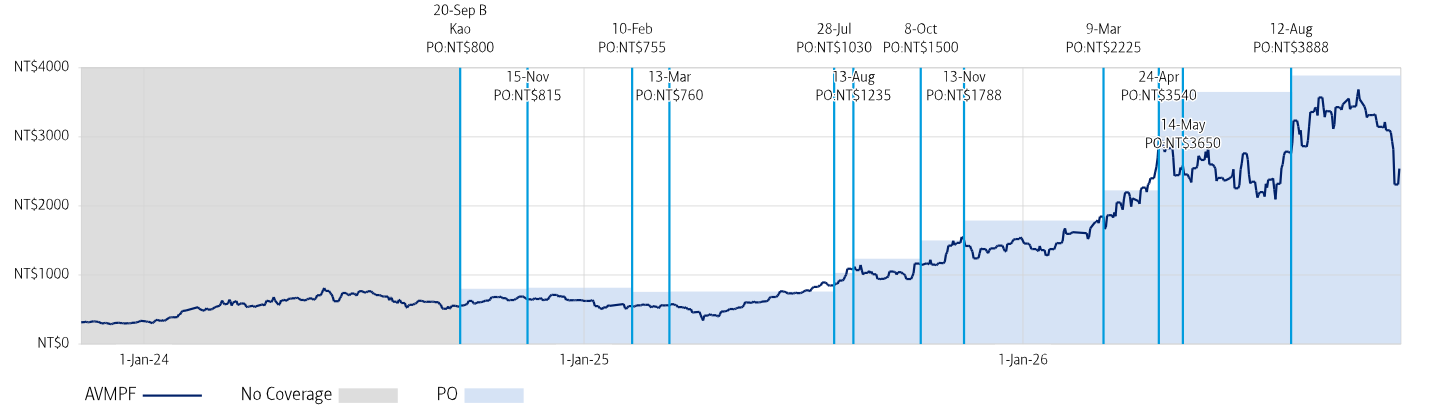
Important Disclosures

Asia Vital Component (AVMPF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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Gold Circuit

Reiterate Buy: 3Q26 margin beat; ongoing sales/margin growth; trim PO to NT$1,250

Reiterate Rating: BUY | PO: 1,250 TWD | Price: 983.00 TWD

3Q26 beat: solid margins despite lighter sales

Gold Circuit (GCE)'s 3Q26 GM/OPM of 38.7%/30.6% exceeded BofAe of 35.9%/27.8% and consensus of 36.9%/28.9%, despite lighter sales (+22% QoQ, +67% YoY; 5%/3% below BofAe/consensus). OP (+48% QoQ, +95% YoY) was 4%/3% above BofAe/consensus. We attribute the strong core results to a still favorable mix and lower material cost burden. In 3Q26, AI made up 50%+ of sales, vs. 30-40%/40-50% in 1Q/2Q26. Server/networking comprised 77%/17% of 3Q26 sales, vs. 72-78%/15-20% in 1Q-2Q26. With a non-operating loss (details to be disclosed; likely FX loss in our view) amid a lighter tax rate, NP was 9%/7% above BofAe/consensus (Exhibit 3).

Sales momentum intact; margin expansion continues

We now expect 4Q26/1Q27 sales to rise 2%/3% QoQ & 2027/28 sales to rise 41%/31% YoY, driven by ASP growth (for spec upgrade and higher material cost) and ongoing capacity expansion in Taiwan/Thailand/China. GCE's Oct sales (+6% MoM, +76% YoY) reinforce our confidence in its order and project pipeline. We also note that the impacts from AWS' project pipeline change and shipping disruptions due to the flood in Thailand are fading. We now assume GM to expand from 36.8% in 2026E to 38.0%/38.3% in 2027/28E, after considering higher material cost pass-through, higher depreciation costs from new facilities, and higher upfront costs for making next-generation HDI products.

Cut PO to NT$1,250 with a lower P/E set-up; reiterate Buy

We trim 2026-27E EPS by 1-4% but lift 2028E EPS by 4%, mainly to reflect the 3Q26 results beat, stronger margin profile, but higher share count. We lower our PO to NT$1,250 (21x 2027E EPS) from NT$1,500 (25x 2027E EPS), with the valuation base unchanged and a lower P/E multiple. We apply 21x (c.1.5SD above P/E average since 2020), vs. prior 25x (2.5SD above) on valuation de-rating across AI supply chain amid macro uncertainty. Nevertheless, we reiterate Buy on GCE as a top ASIC server PCB maker, with all-time focus on high-end AI server/networking and expanding margins.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	5,629	9,593	20,592	30,923	42,678
EPS	11.57	19.46	39.64	59.53	82.16
EPS Change (YoY)	61.2%	68.2%	103.8%	50.2%	38.0%
Dividend / Share	6.00	10.00	13.87	17.86	24.65
Free Cash Flow / Share	1.02	(9.08)	12.09	20.88	52.02
Valuation (Dec)					
P/E	84.99x	50.52x	24.80x	16.51x	11.96x
Dividend Yield	0.610%	1.02%	1.41%	1.82%	2.51%
EV / EBITDA*	57.01x	34.07x	16.68x	11.26x	8.21x
Free Cash Flow Yield*	0.095%	-0.858%	1.20%	2.08%	5.18%

* For full definitions of *iQmethod℠* measures, see page 7.

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10 November 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	1,500.00	1,250.00
2026E EPS	41.34	39.64
2027E EPS	59.99	59.53
2028E EPS	79.25	82.16
2026E EBITDA (m)	31,063.6	31,334.3
2027E EBITDA (m)	44,943.4	46,421.5
2028E EBITDA (m)	58,701.4	63,635.7

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Stock Data

Price	983.00 TWD
Price Objective	1,250 TWD
Date Established	10-Nov-2026
Investment Opinion	C-1-7
52-Week Range	470.00 TWD-1,580 TWD
Mrkt Val / Shares Out (mn)	15,831 USD / 530.6
Market Value (mn)	521,575 TWD
Average Daily Value (mn)	339.20 USD
Free Float	59.3%
BofA Ticker / Exchange	GOCCF / TAI
Bloomberg / Reuters	2368 TT / 2368.TW
ROE (2026E)	49.8%
Net Dbt to Eqty (Dec-2025A)	-25.2%

Acronyms, see Exhibit 10

iQprofile℠ Gold Circuit

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	38,952	60,004	103,377	145,259	190,928
Gross Profit	11,396	19,683	38,051	55,129	73,095
Sell General & Admin Expense	(2,341)	(4,397)	(6,869)	(9,088)	(10,059)
Operating Profit	8,081	14,030	29,365	43,621	60,151
Net Interest & Other Income	423	130	(395)	169	167
Associates	NA	NA	NA	NA	NA
Pretax Income	8,504	14,160	28,970	43,790	60,318
Tax (expense) / Benefit	(2,875)	(4,567)	(8,378)	(12,867)	(17,640)
Net Income (Adjusted)	5,629	9,593	20,592	30,923	42,678
Average Fully Diluted Shares Outstanding	487	493	519	519	519
Key Cash Flow Statement Data					
Net Income	5,629	9,593	20,592	30,923	42,678
Depreciation & Amortization	1,089	1,316	1,969	2,800	3,485
Change in Working Capital	(2,351)	(12,686)	(6,779)	(13,876)	(14,139)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	1,259	4,036	0	0	0
Cash Flow from Operations	5,625	2,259	15,782	19,848	32,024
Capital Expenditure	(5,131)	(6,733)	(9,500)	(9,000)	(5,000)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(74)	(300)	0	0	0
Cash Flow from Investing	(5,205)	(7,033)	(9,500)	(9,000)	(5,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(1,703)	(2,920)	(4,931)	(7,207)	(9,277)
Cash Flow from Financing	323	13,241	(4,931)	(7,207)	(9,277)
Free Cash Flow	495	(4,475)	6,282	10,848	27,024
Net Debt	(5,448)	(8,429)	(9,781)	(13,421)	(31,168)
Change in Net Debt	(1,444)	(8,930)	(1,352)	(3,640)	(17,747)
Key Balance Sheet Data					
Property, Plant & Equipment	11,635	17,840	25,371	31,571	33,086
Other Non-Current Assets	1,476	1,569	1,569	1,569	1,569
Trade Receivables	13,401	27,001	33,415	47,928	62,355
Cash & Equivalents	9,185	18,114	19,466	23,107	40,853
Other Current Assets	8,888	11,222	16,844	21,938	28,712
Total Assets	44,584	75,746	96,665	126,113	166,576
Long-Term Debt	1,015	3,749	3,749	3,749	3,749
Other Non-Current Liabilities	5,288	10,963	10,963	10,963	10,963
Short-Term Debt	2,722	5,937	5,937	5,937	5,937
Other Current Liabilities	14,247	21,617	26,873	32,605	39,667
Total Liabilities	23,272	42,265	47,521	53,254	60,316
Total Equity	21,312	33,481	49,143	72,859	106,260
Total Equity & Liabilities	44,584	75,746	96,665	126,113	166,576
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	20.7%	22.9%	34.2%	38.1%	38.9%
Return On Equity	29.5%	35.0%	49.8%	50.7%	47.7%
Operating Margin	20.7%	23.4%	28.4%	30.0%	31.5%
EBITDA Margin	23.5%	25.6%	30.3%	32.0%	33.3%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.0x	0.2x	0.8x	0.6x	0.8x
Asset Replacement Ratio	4.9x	5.2x	4.8x	3.2x	1.4x
Tax Rate (Reported)	33.8%	32.3%	28.9%	29.4%	29.2%
Net Debt-to-Equity Ratio	-25.6%	-25.2%	-19.9%	-18.4%	-29.3%
Interest Cover	48.0x	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Electronics

Company Description

Gold Circuit (GCE) is a PCB company in Taiwan with high exposure in server (74% of 2025 sales) and networking (15%). Key end-clients are global CSPs and US top networking/telecom names. Besides its headquarters, the company has production sites in Taoyuan (Taiwan), Suzhou (China), Jiangsu (China), and Thailand, with ongoing capacity expansion. GCE was established in 1981 and listed on the Taiwan stock market in March 1998.

Investment Rationale

We have a Buy rating on Gold Circuit, given (1) its high exposure and focus on better-margin server/networking business amid rising AI applications globally to keep high ASP/margin, (2) strong competitive advantages and high entry barrier as focusing on high-end products, (3) higher production flexibility after adding capacity in Thailand, (4) positive FCF/OCF since 2007/2019, respectively, with an improving balance sheet (from net debt to net cash) and expanding ROE.

Stock Data

Price to Book Value	10.6x

Exhibit 1: We trim 2026-27E EPS by 1-4% but lift 2028E EPS by 4%
Earnings estimates revision summary, 2026-28

	BofA 2026E			BofA 2027E			BofA 2028E		
NT$mn	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**	**New**	**Old**	**Diff (%)**
Sales	103,377	106,251	-3%	145,259	145,868	0%	190,928	183,722	4%
Gross profit	38,051	37,703	1%	55,129	52,828	4%	73,095	67,518	8%
Operating profit	29,365	29,094	1%	43,621	42,044	4%	60,151	55,570	8%
Pretax profit	28,970	28,998	0%	43,790	42,147	4%	60,318	55,672	8%
Net income	20,592	20,551	0%	30,923	29,820	4%	42,678	39,392	8%
EPS (NT$)	39.64	41.34	-4%	59.53	59.99	-1%	82.16	79.25	4%
Margin %									
Gross margin	36.8%	35.5%		38.0%	36.2%		38.3%	36.8%	
Operating margin	28.4%	27.4%		30.0%	28.8%		31.5%	30.2%	
Pre-tax margin	28.0%	27.3%		30.1%	28.9%		31.6%	30.3%	
Net margin	19.9%	19.3%		21.3%	20.4%		22.4%	21.4%	

Source: BofA Global Research estimates

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Exhibit 2: Our 2026-28E EPS is 6-19% below consensus
BofAe vs. consensus, 2026-28

	2026E			2027E			2028E		
NT$mn	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**	**BofAe**	**Consensus**	**Diff (%)**
Sales	103,377	107,364	-4%	145,259	164,205	-12%	190,928	214,339	-11%
Gross profit	38,051	38,796	-2%	55,129	63,658	-13%	73,095	85,244	-14%
Operating profit	29,365	30,181	-3%	43,621	52,435	-17%	60,151	70,075	-14%
Pretax profit	28,970	30,235	-4%	43,790	53,400	-18%	60,318	71,448	-16%
Net income	20,592	21,576	-5%	30,923	37,735	-18%	42,678	51,748	-18%
EPS (NT$)	39.64	41.98	-6%	59.53	72.71	-18%	82.16	100.96	-19%
Margin %									
Gross margin	36.8%	36.1%		38.0%	38.8%		38.3%	39.8%	
Operating margin	28.4%	28.1%		30.0%	31.9%		31.5%	32.7%	
Pre-tax margin	28.0%	28.2%		30.1%	32.5%		31.6%	33.3%	
Net margin	19.9%	20.1%		21.3%	23.0%		22.4%	24.1%	

Source: BofA Global Research estimates, Bloomberg consensus

BofA GLOBAL RESEARCH

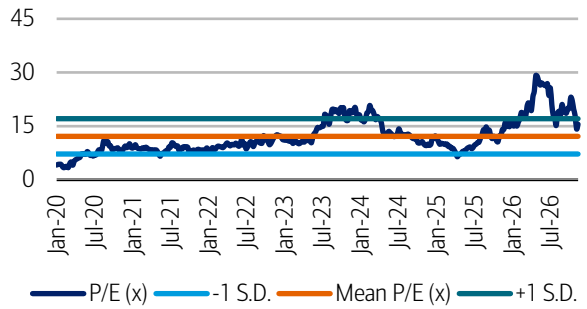
Exhibit 3: 3Q26 operating income was 4%/3% above BofAe/consensus; net income was 9%/7% above BofAe/consensus
3Q26 results summary

NT$mn	**3Q26P**	**QoQ %**	**YoY %**	**BofAe**	**Diff (%)**	**Consensus**	**Diff (%)**	**2Q26**	**3Q25**
Sales	29,567	22%	67%	31,171	-5%	30,599	-3%	24,279	17,680
Gross profit	11,443	36%	82%	11,193	2%	11,276	1%	8,413	6,288
Operating profit	9,052	48%	95%	8,668	4%	8,830	3%	6,113	4,647
Pretax profit	8,814	47%	86%	8,727	1%	8,715	1%	5,995	4,730
Net income	6,685	49%	107%	6,109	9%	6,225	7%	4,479	3,229
EPS (NT$)	12.87	49%	96%	12.29	5%	12.35	4%	8.62	6.55
Margin %									
Gross margin	38.7%	4.0 ppt	3.1 ppt	35.9%	2.8 ppt	36.9%	1.8 ppt	34.7%	35.6%
Operating margin	30.6%	5.4 ppt	4.3 ppt	27.8%	2.8 ppt	28.9%	1.8 ppt	25.2%	26.3%
Pre-tax margin	29.8%	5.1 ppt	3.1 ppt	28.0%	1.8 ppt	28.5%	1.3 ppt	24.7%	26.8%
Net margin	22.6%	4.2 ppt	4.3 ppt	19.6%	3.0 ppt	20.3%	2.3 ppt	18.4%	18.3%

Source: BofA Global Research estimates, company data, Bloomberg consensus. P: preliminary

BofA GLOBAL RESEARCH

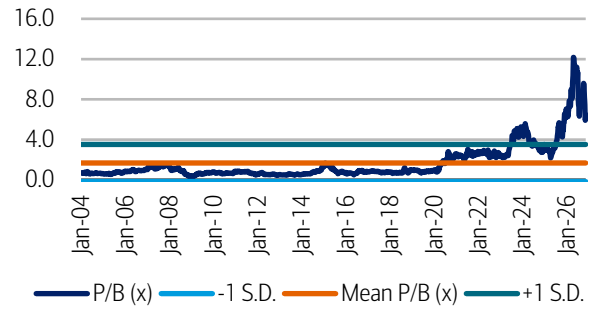
Exhibit 4: GCE's historical P/E trading average since 2020 is 12x
GCE's P/E trend and -1/+1 standard deviation since 2020



Source: BofA Global Research estimates, TEJ, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 5: GCE's historical P/B trading average since 2004 is 1.7x
GCE's P/B trend and -1/+1 standard deviation since 2004



Source: BofA Global Research estimates, TEJ, Bloomberg

BofA GLOBAL RESEARCH

Exhibit 4: We model 2026-28E sales/net income CAGR at 36%/44%
Quarterly earnings estimate summary, 2025-28E

NT$mn	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	19,313	24,279	29,567	30,218	31,096	33,939	38,483	41,740	42,480	46,387	50,222	51,838	60,004	103,377	145,259	190,928
Gross profit	6,722	8,413	11,443	11,473	11,752	12,863	14,639	15,876	16,121	17,769	19,296	19,909	19,683	38,051	55,129	73,095
Operating profit	5,190	6,113	9,052	9,010	9,233	10,131	11,637	12,620	13,063	14,568	16,006	16,514	14,030	29,365	43,621	60,151
Pretax profit	5,093	5,995	8,814	9,068	9,167	10,221	11,719	12,683	12,998	14,653	16,090	16,578	14,160	28,970	43,790	60,318
Net income	3,489	4,479	6,685	5,940	6,463	7,257	8,262	8,942	9,163	10,404	11,424	11,688	9,593	20,592	30,923	42,678
EPS (NT$)	6.72	8.62	12.87	11.43	12.44	13.97	15.90	17.21	17.64	20.03	21.99	22.50	19.46	39.64	59.53	82.16
Margin %																
Gross margin	34.8%	34.7%	38.7%	38.0%	37.8%	37.9%	38.0%	38.0%	38.0%	38.3%	38.4%	38.4%	32.8%	36.8%	38.0%	38.3%
Operating margin	26.9%	25.2%	30.6%	29.8%	29.7%	29.9%	30.2%	30.2%	30.8%	31.4%	31.9%	31.9%	23.4%	28.4%	30.0%	31.5%
Pretax margin	26.4%	24.7%	29.8%	30.0%	29.5%	30.1%	30.5%	30.4%	30.6%	31.6%	32.0%	32.0%	23.6%	28.0%	30.1%	31.6%
Net margin	18.1%	18.4%	22.6%	19.7%	20.8%	21.4%	21.5%	21.4%	21.6%	22.4%	22.7%	22.5%	16.0%	19.9%	21.3%	22.4%
QoQ %																
Sales	18%	26%	22%	2%	3%	9%	13%	8%	2%	9%	8%	3%				
Gross profit	22%	25%	36%	0%	2%	9%	14%	8%	2%	10%	9%	3%				
Operating profit	31%	18%	48%	0%	2%	10%	15%	8%	4%	12%	10%	3%				
Pretax profit	20%	18%	47%	3%	1%	11%	15%	8%	2%	13%	10%	3%				
Net income	20%	28%	49%	-11%	9%	12%	14%	8%	2%	14%	10%	2%				
YoY %																
Sales	60%	75%	67%	84%	61%	40%	30%	38%	37%	37%	31%	24%	54%	72%	41%	31%
Gross profit	78%	105%	82%	108%	75%	53%	28%	38%	37%	38%	32%	25%	73%	93%	45%	33%
Operating profit	102%	113%	95%	128%	78%	66%	29%	40%	41%	44%	38%	31%	74%	109%	49%	38%
Pretax profit	90%	139%	86%	113%	80%	70%	33%	40%	42%	43%	37%	31%	67%	105%	51%	38%
Net income	96%	165%	107%	105%	85%	62%	24%	51%	42%	43%	38%	31%	70%	115%	50%	38%

Source: BofA Global Research estimates, company data. P: preliminary

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Exhibit 10: Acronyms
Acronyms and the corresponding full forms used in the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	FAMG	Meta (Facebook), Amazon, Microsoft, Google	P/B	Price to Book
ASIC	Application-Specific Integrated Circuit	FX	Foreign Exchange	P/E	Price to Earnings
ASP	Average Selling Price	GM	Gross Margin	PCB	Printed Circuit Board
AWS	Amazon Web Service	HDI	High Density Interconnect	PO	Price Objective
CAGR	Compound Annual Growth Rate	NP	Net Profit	RHS	Right Hand Side
CSP	Cloud Service Provider	NT$ / NTD	New Taiwan Dollar	ROE	Return on Equity
EPS	Earnings Per Share	OCF	Operating Cashflow	SD	Standard Deviation
FCF	Free Cashflow	OPM	Operating Profit Margin	US$ / USD	US Dollar

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Gold Circuit (GOCCF)
Our PO of NT$1,250 is based on 21x 2027E EPS. The 21x valuation multiple is around 1.5SD above the average level since 2020 when better-margin server business started to account for 50%+ of total sales, leading to an improved 20%+ GM profile. We believe the P/E multiple target can be justified by (1) strong AI PCB market demand, (2) GCE's high AI server exposure, (3) solid sales mix from better-margin server/networking business, and (4) ongoing margin expansion to historical high level.

Upside risks: (1) stronger server/networking market demand to drive ASP/margins, (2) better utilization rate, (3) faster capacity expansion in Thailand, (4) lower raw material/labor/logistics costs, and (5) favorable FX movement.

Downside risks: (1) ASIC platform delay, (2) weaker market demand amid inflation/macro uncertainties, (3) softer AI server demand due to AI chip short supply, (4) GM pressure from lower utilization rate, higher raw material/labor/logistics costs, and (5) unfavorable FX movement.

Analyst Certification

I, Doris Kao, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Accton	XTWOF	2345 TT	Doris Kao
	Advantech	ADTEF	2395 TT	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	Asustek	AKCPF	2357 TT	Robert Cheng
	BizLink	BIZLF	3665 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppapong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	KCE Electronics	XKKRF	KCE TB	Suppapong Iemkongaek, CFA, CMT
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Kinwong	XDENF	603228 CH	Katherine Zhu
	Kinwong	XENZF	3228 HK	Katherine Zhu
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGF	992 HK	Robert Cheng
	Lenovo Group	LNVGY	LNVGY US	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Katherine Zhu
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
NEUTRAL				
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	Chenbro	CEOMF	8210 TT	Doris Kao
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppapong Iemkongaek, CFA, CMT
	DS Precision	XBASF	002384 CH	Katherine Zhu
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.
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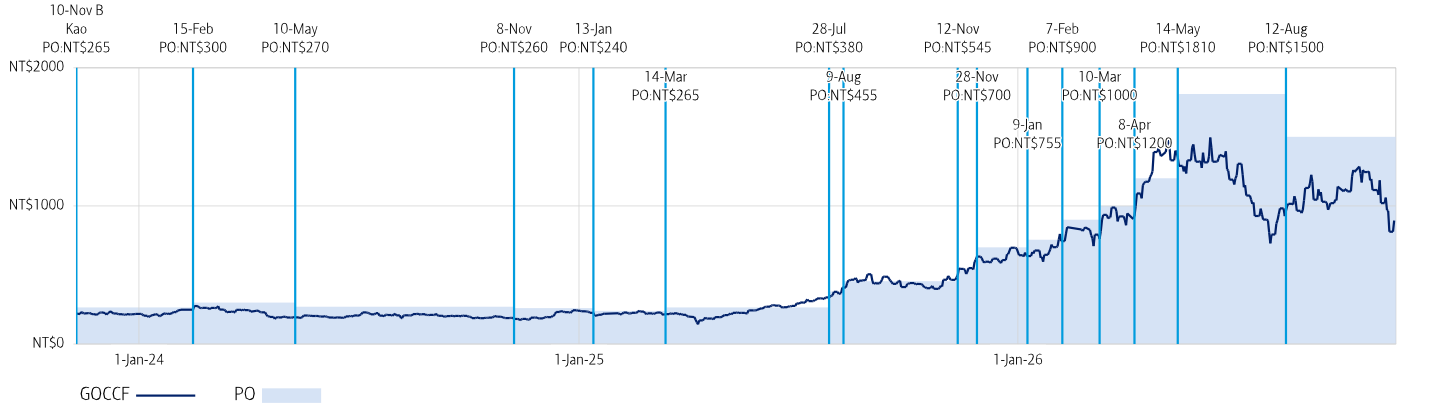
Gold Circuit (GOCCF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electronics Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	41	65.08%	Buy	20	48.78%
Hold	9	14.29%	Hold	1	11.11%
Sell	13	20.63%	Sell	7	53.85%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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Vanguard International Semiconductor Co

Robust 8" demand and pricing with solid 12" fab ramp

Reiterate Rating: BUY | PO: 250.00 TWD | Price: 132.00 TWD

3Q sales/margin supported by PMIC strength

Vanguard's 3Q26 sales rose 10.2% QoQ on the back of increased wafer shipments (up 5% QoQ), particularly for server and smartphone PMIC, and rising wafer prices (up 3% QoQ). As higher utilization of around 90% and a more favorable pricing and product mix more than offset rising manufacturing costs, the 3Q26 gross margin improved by 130bps QoQ, to 33.6%, bringing 3Q26 EPS to NT$1.62 (vs. BofAe/Street of NT$1.67/1.58).

4Q capacity bottleneck offset by ASP uplift

The company guided to 4Q26 sales growth of 5% QoQ at the midpoint, driven by a 1% QoQ increase in wafer shipments, with strong demand capped to some degree by tight capacity, and 4% higher ASPs QoQ, the stronger pricing reflecting rising costs. Assuming further utilization improvement above 90% amid this pricing strength, Vanguard expects the 4Q26 gross margin to expand to 35% at the midpoint, in line with BofAe.

Solid 8" growth and smooth 12" ramp drive '27-28 growth

We believe Vanguard's 8-inch utilization is on track to improve to the mid- to high 90s (%) in 1H27 and remain fully loaded from 2H27 on solid demand related to power IC for computing applications, while 12-inch VSMC should enter mass production from 1Q27, with utilization staying above 90% as capacity gradually expands to 44k WPM by 4Q28. Given the solid commitment from TSMC (interposer demand), the 12-inch margin profile should fare better than previously expected. This, coupled with an 8-inch price hike amid tight supply should drive GM expansion to 36% in 2027 (vs. 32.8% in 2026).

Decent EPS CAGR of 72% supports high valuation

Our EPS forecasts are largely unchanged at NT$6.17 in 2026, NT$10.33 in 2027, and NT$18.15 in 2028. We reiterate our Buy rating and PO of NT$250, still based on 17x 2H27-1H28e EPS (vs. the stock's historical 10-32x range) as a benign 8-inch supply-demand landscape and smooth 12-inch ramp-up support a 45% sales and 72% earnings CAGR over 2026-28e.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	7,046	7,908	11,917	19,971	35,085
EPS	4.21	4.30	6.17	10.33	18.15
EPS Change (YoY)	-6.4%	2.2%	43.4%	67.6%	75.7%
Dividend / Share	4.50	4.50	4.50	4.50	4.50
Free Cash Flow / Share	5.27	(20.57)	(10.50)	5.48	14.94
Valuation (Dec)					
P/E	31.37x	30.70x	21.41x	12.78x	7.27x
Dividend Yield	3.41%	3.41%	3.41%	3.41%	3.41%
EV / EBITDA*	21.01x	20.17x	15.15x	8.95x	5.68x
Free Cash Flow Yield*	3.56%	-15.25%	-8.19%	4.27%	11.65%

* For full definitions of *iQmethod℠* measures, see page 6.

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10 November 2026

Equity

Key Changes

(NT$)	Previous	Current
2026E EPS	6.40	6.17
2027E EPS	10.46	10.33
2028E EPS	18.35	18.15
2026E EBITDA (m)	21,705.1	21,607.5
2027E EBITDA (m)	36,140.6	36,579.8
2028E EBITDA (m)	56,733.4	57,663.3

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Stock Data

Price	132.00 TWD
Price Objective	250.00 TWD
Date Established	29-Sep-2026
Investment Opinion	C-1-7
52-Week Range	87.60 TWD-223.00 TWD
Mrkt Val / Shares Out (mn)	7,526 USD / 1,878.5
Market Value (mn)	247,962 TWD
Average Daily Value (mn)	70.05 USD
Free Float	61.4%
BofA Ticker / Exchange	VGILF / TWO
Bloomberg / Reuters	5347 TT / 5347.TWO
ROE (2026E)	19.5%
Net Dbt to Eqty (Dec-2025A)	-40.8%

Abbreviations

DDIC = display driver integrated circuit
IDM = integrated device manufacturer
PMIC = power management integrated circuit
VSMC = VisionPower Semiconductor Manufacturing Co
WPM = wafers per month

iQprofile℠ Vanguard International Semiconductor Co

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	44,055	48,591	59,156	88,161	123,811
Gross Profit	11,933	13,654	19,419	31,742	52,041
Sell General & Admin Expense	(2,740)	(3,691)	(4,312)	(6,262)	(7,936)
Operating Profit	7,111	7,773	12,451	21,786	39,425
Net Interest & Other Income	1,670	1,581	1,438	1,551	1,627
Associates	(29)	(104)	(23)	0	0
Pretax Income	8,752	9,251	13,866	23,337	41,052
Tax (expense) / Benefit	(1,705)	(1,480)	(2,324)	(3,982)	(7,051)
Net Income (Adjusted)	7,046	7,908	11,917	19,971	35,085
Average Fully Diluted Shares Outstanding	1,675	1,839	1,933	1,933	1,933
Key Cash Flow Statement Data					
Net Income	7,046	7,908	11,917	19,971	35,085
Depreciation & Amortization	8,467	8,458	9,157	14,793	18,238
Change in Working Capital	(1,958)	(2,465)	(4,095)	(6,798)	(6,525)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	11,176	11,539	14,716	(2,166)	(2,711)
Cash Flow from Operations	24,731	25,439	31,696	25,800	44,088
Capital Expenditure	(15,909)	(63,265)	(52,000)	(15,200)	(15,200)
(Acquisition) / Disposal of Investments	3,641	1,118	(868)	0	0
Other Cash Inflow / (Outflow)	570	2,436	2,903	0	0
Cash Flow from Investing	(11,699)	(59,711)	(49,965)	(15,200)	(15,200)
Shares Issue / (Repurchase)	17,593	0	0	0	0
Cost of Dividends Paid	NA	NA	NA	NA	NA
Cash Flow from Financing	17,530	13,460	24,806	(8,699)	(8,699)
Free Cash Flow	8,822	(37,826)	(20,304)	10,600	28,888
Net Debt	(64,793)	(34,122)	(32,490)	(34,778)	(55,054)
Change in Net Debt	(27,857)	28,579	18,127	(1,901)	(20,189)
Key Balance Sheet Data					
Property, Plant & Equipment	44,141	113,869	136,165	138,021	136,378
Other Non-Current Assets	18,353	19,702	19,584	19,598	19,599
Trade Receivables	6,235	6,748	9,153	13,536	18,056
Cash & Equivalents	66,749	41,716	49,481	51,769	72,045
Other Current Assets	13,227	18,433	17,550	20,652	23,549
Total Assets	148,706	200,469	231,933	243,575	269,627
Long-Term Debt	1,710	1,837	16,743	16,743	16,743
Other Non-Current Liabilities	56,953	63,438	82,172	78,096	78,438
Short-Term Debt	245	5,757	248	248	248
Other Current Liabilities	21,130	45,847	44,912	45,413	46,169
Total Liabilities	80,039	116,879	144,075	140,500	141,598
Total Equity	68,667	83,590	87,858	103,075	128,029
Total Equity & Liabilities	148,706	200,469	231,933	243,575	269,627
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	7.0%	5.7%	6.8%	10.1%	16.2%
Return On Equity	12.8%	12.4%	19.5%	30.2%	40.3%
Operating Margin	16.1%	16.0%	21.0%	24.7%	31.8%
EBITDA Margin	35.4%	33.4%	36.5%	41.5%	46.6%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	3.5x	3.2x	2.7x	1.3x	1.3x
Asset Replacement Ratio	1.9x	7.5x	5.7x	1.0x	0.8x
Tax Rate (Reported)	19.5%	16.0%	16.8%	17.1%	17.2%
Net Debt-to-Equity Ratio	-94.4%	-40.8%	-37.0%	-33.7%	-43.0%
Interest Cover	20.4x	22.9x	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 6.

Company Sector

Semiconductors

Company Description

Vanguard International Semiconductor Co is a pure 8-inch foundry headquartered in Hsinchu, Taiwan. The company has five fabs, one of which is in Singapore. Collectively, the capacity is now about 280k WPM, and the company focuses on fabricating power semiconductors and driver IC for both IDMs (integrated device manufacturers) and fabless customers.

Investment Rationale

We have a Buy rating on Vanguard as we expect an improvement in the overall 8-inch foundry supply/demand landscape from TSMC's retirement of some legacy capacity and limited new industry capacity additions. The higher utilization and pricing upcycle in 8-inch, coupled with enhanced mix from market share gains in Power IC, are likely to support sales and gross margin expansion.

Stock Data

Price to Book Value	4.3x

Focus tables

Exhibit 1: Vanguard 3Q26-4Q26 and 2026-27 estimates BofAe vs. Street
Our new EPS estimates are NT$6.17 for 2026 and NT$10.33 for 2027

	3Q26E				4Q26E			2026E			2027E	
	Actual	Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street
Sales (NT$mn)	$15,702	$15,575	$15,385	$16,678	$17,305	$16,314	$59,156	$59,656	$58,321	$88,161	$88,780	$78,788
Sales QoQ / YoY (%)	**10.2%**	**9.3%**	**8.0%**	**6.2%**	**11.1%**	**6.0%**	**21.7%**	**22.8%**	**20.0%**	**49.0%**	**48.8%**	**35.1%**
Gross profit (NT$mn)	$5,283	$5,260	$5,147	$5,861	$6,050	$5,535	$19,419	$19,584	$18,829	$31,742	$31,837	$25,039
GMs (%)	**33.6%**	**33.8%**	**33.5%**	**35.1%**	**35.0%**	**33.9%**	**32.8%**	**32.8%**	**32.3%**	**36.0%**	**35.9%**	**31.8%**
Operating profit (NT$mn)	$3,470	$3,402	$3,338	$3,994	$4,038	$3,646	$12,451	$12,427	$11,878	$21,786	$21,330	$16,104
OpMs (%)	**22.1%**	**21.8%**	**21.7%**	**23.9%**	**23.3%**	**22.4%**	**21.0%**	**20.8%**	**20.4%**	**24.7%**	**24.0%**	**20.4%**
Pretax profit (NT$mn)	$3,760	$3,753	$3,637	$4,356	$4,373	$3,923	$13,866	$13,875	$13,251	$23,337	$22,754	$17,273
Pretax margins (%)	23.9%	24.1%	23.6%	26.1%	25.3%	24.0%	23.4%	23.3%	22.7%	26.5%	25.6%	21.9%
Tax expense (NT$mn)	-$663	-$636	-$673	-$757	-$753	-$686	-$1,949	-$1,918	-$1,980	-$3,367	-$3,226	-$3,034
Tax rate (%)	17.6%	16.9%	18.5%	17.4%	17.2%	17.5%	14.1%	13.8%	14.9%	14.4%	14.2%	17.6%
Net profit (NT$mn)	$3,097	$3,117	$2,964	$3,599	$3,620	$3,237	$11,917	$11,957	$11,271	$19,971	$19,528	$14,239
Net margins (%)	19.7%	20.0%	19.3%	21.6%	20.9%	19.8%	20.1%	20.0%	19.3%	22.7%	22.0%	18.1%
EPS (NT$)	**$1.62**	**$1.67**	**$1.58**	**$1.86**	**$1.94**	**$1.70**	**$6.17**	**$6.40**	**$6.00**	**$10.33**	**$10.46**	**$7.52**

Source: Bloomberg, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Vanguard's P&L analysis, by 8" and 12" business
We believe Vanguard's 8-inch growth and margin potential will be overshadowed by the ramp-up of 12-inch, which should turn profitable in '28

Vanguard P&L analysis	2026			2027			2028		
	VIS TW	VIS SG	Consolidated	VIS TW	VIS SG	Consolidated	VIS TW	VIS SG	Consolidated
Revenue	**$58,802**	**$354**	**$59,156**	**$74,079**	**$14,083**	**$88,161**	**$88,689**	**$35,122**	**$123,811**
Total COGs	$38,779	$958	$39,737	$44,194	$12,225	$56,419	$45,257	$26,513	$71,770
- Depreciation in COGs	$8,467	$690	$9,157	$8,044	$6,750	$14,793	$7,641	$10,597	$18,238
Gross profit	**$20,023**	**-$604**	**$19,419**	**$29,885**	**$1,857**	**$31,742**	**$43,433**	**$8,608**	**$52,041**
GMs	**34.1%**	**-170.5%**	**32.8%**	**40.3%**	**13.2%**	**36.0%**	**49.0%**	**24.5%**	**42.0%**
Operating Expenses	$6,788	$180	$6,968	$8,330	$1,626	$9,956	$9,032	$3,584	$12,616
Opex / sales %	11.5%	50.8%	11.8%	11.2%	11.5%	11.3%	10.2%	10.2%	10.2%
Operating profit	**$13,235**	**-$784**	**$12,451**	**$21,555**	**$231**	**$21,786**	**$34,400**	**$5,025**	**$39,425**
OpMs	**22.5%**	**-221.3%**	**21.0%**	**29.1%**	**1.6%**	**24.7%**	**38.8%**	**14.3%**	**31.8%**
Net Non-Op gain / loss	$1,416	$0	$1,416	$1,551	$0	$1,551	$1,627	$0	$1,627
Earnings before tax	**$14,650**	**-$784**	**$13,866**	**$23,106**	**$231**	**$23,337**	**$36,028**	**$5,025**	**$41,052**
Effective Tax Expense (Credit)	18.0%	NM	16.8%	18.0%	NM	17.1%	18.0%	11.3%	17.2%
Earnings after tax	**$12,013**	**-$784**	**$11,543**	**$18,947**	**$231**	**$19,356**	**$29,543**	**$4,459**	**$34,001**
Net Earnings attributed to parent	**$12,075**	**-$470**	**$11,917**	**$19,654**	**$139**	**$19,971**	**$32,410**	**$2,675**	**$35,085**
EPS Basic (NT$)	**$6.25**	**-$0.24**	**$6.17**	**$10.17**	**$0.07**	**$10.33**	**$16.77**	**$1.38**	**$18.15**

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Price objective basis & risk

Vanguard International Semiconductor Co (VGILF)
Our PO of NT$250 is based on 17x 2H27-1H28 EPS. This target multiple is slightly below the midpoint of Vanguard's historical range of 10-32x, reflecting both depreciation associated with the Singapore fab and Vanguard's increasing share in the Power IC market amid a utilization and pricing uptrend.

Downside risks:
(1) Higher cost burden if customers demand to move the production base to US and/or Europe.
(2) Slowdown of growth in auto market where the company has 10-20% revenue exposure.

Upside risks:
(1) Stronger-than-expected end market demand for power management IC (PMIC) and/or display driver IC (DDIC).
(2) Expedited market share gain due to the order shift by customers from China-based foundries.

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	CXMT	XCXMF	688825 CH	Dai Shen
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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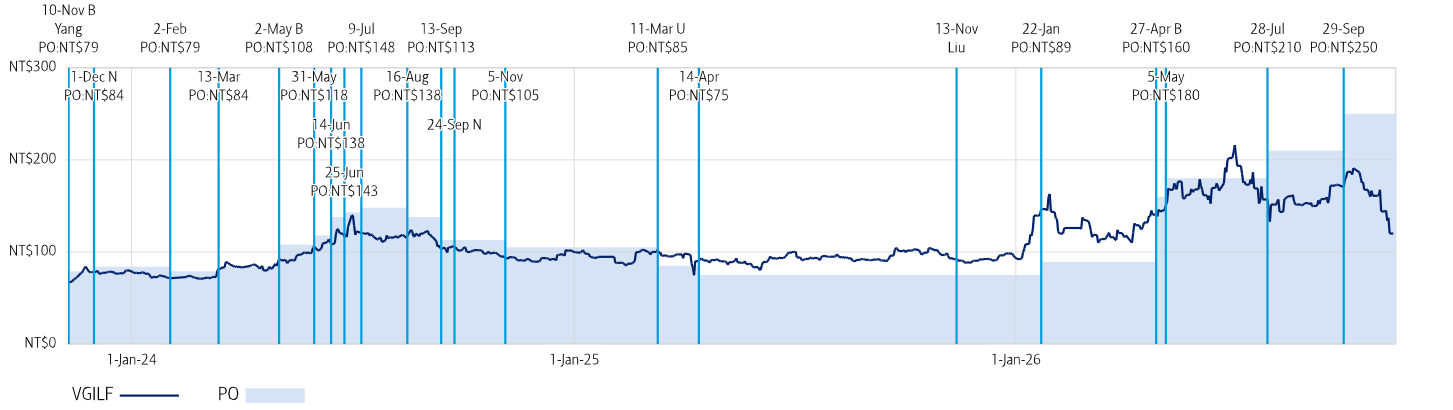
Vanguard (VIS) (VGILF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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UPDATE

November 10, 2026 03:35 PM GMT

AllRing Tech Co. | Asia Pacific

3Q26 margin miss from product mix

AlphaSignals Earnings Reaction

Unchanged	Modest shortfall	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 2027 revenue still mostly comes from CoWoS demand, with several new customers and tool shipment starting.
- We view valuation as attractive: P/E of 21x our 2027 estimate, with 2026-2028e revenue CAGR >40%.
- Thus, we stay OW on AllRing.

3Q26 earnings missed our estimate by 13% and consensus by 16%, given less favorable product mix... There was less inspection (gross margin >60%) but more automation tools (gross margin ~40%).

...as well as weaker subsidiary company performance.

Looking into 4Q26, we expect gross margin to recover to >50% from improving product mix: However, this will still be slightly offset by new product shipped to the OSATs, which carries lower margin in the early ramping phase.

We think CoWoS should still account for 70-80% of 2027e total revenue – with other new customers and tools, including a US customer, CPO, and CoW process. We think CPO could account for 15-20% of 2027e revenue, with shipments up >10x from 2026.

Exhibit 1: AllRing: 3Q26 Earnings Review

NT$ mn	Actual 3Q26	QoQ	YoY	MS 3Q26e	Diff.%	Consensus	Diff.%
Net sales	3,324	41%	95%	3,203	4%	3,132	6%
Gross profit	1,611	125%	95%	1,661	-3%	1,687	-5%
Operating profit	1,093	40%	118%	1,109	-1%	1,146	-5%
Pretax Income	604	-37%	17%	1,126	-46%	1,184	-49%
Net income	825	0%	97%	945	-13%	978	-16%
Basic EPS	**8.48**			**9.72**	**-13%**	**6.03**	**41%**
Margins							
Gross margin	48.5%			51.9%		53.9%	
Operating margin	32.9%			34.6%		36.6%	
Pretax margin	18.2%			35.1%		37.8%	
Net margin	24.8%			29.5%		31.2%	
Opex %	15.6%			17.2%		17.3%	

Source: Company Data, Visible Alpha, morgan Stanley research estimates

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AllRing Tech Co. (6187.TWO, 6187 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	NT$2,000.00
Up/downside to price target (%)	95
Shr price, close (Nov 10, 2026)	NT$1,025.00
52-Week Range	NT$1,680.00-307.50
Sh out, dil, curr (mn)	96
Mkt cap, curr (mn)	NT$98,476
EV, curr (mn)	NT$94,580
Avg daily trading value (mn)	NT$2,410

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	15.46	30.89	48.14	56.81
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	13.86	28.71	43.92	58.06
Revenue, net (NT$ mn)	5,366	10,055	18,000	20,600
EBITDA (NT$ mn)	1,669	3,340	5,371	6,374
ModelWare net inc (NT$ mn)	1,485	3,002	4,684	5,526
P/E	23.5	33.1	21.3	18.0
P/BV	4.7	10.2	7.7	6.2
ROE (%)	22.8	40.1	48.1	42.7
EV/EBITDA	18.6	27.9	17.1	14.0

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Div yld (%)	2.8	0.7	1.5	2.3
FCF yld ratio (%)**	4.0	2.1	3.0	5.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

AllRing Tech Co. (6187.TWO)

Base case, residual income model. Our key assumptions are:

- Cost of equity (CoE) of 8%, derived from a risk-free rate of 2.0%, beta of 1.0, and a market risk premium of 6.0%.
- Intermediate growth rate of 16%.
- Cash dividend payout of 65%
- Terminal growth rate of 4.5%.

Risks to Upside

- Stronger-than-expected CoWoS capacity expansion
- Faster-than-expected adoption of silicon photonics
- Market share gains from peers, led by continuous R&D and China's localization trend

Risks to Downside

- Slowdown in CoWoS capacity expansion
- Allring's "WoS" market share declining
- Slowdown in technology migration such as SoIC and silicon photonics adoption

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Global Stock Ratings Distribution

(as of October 31, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

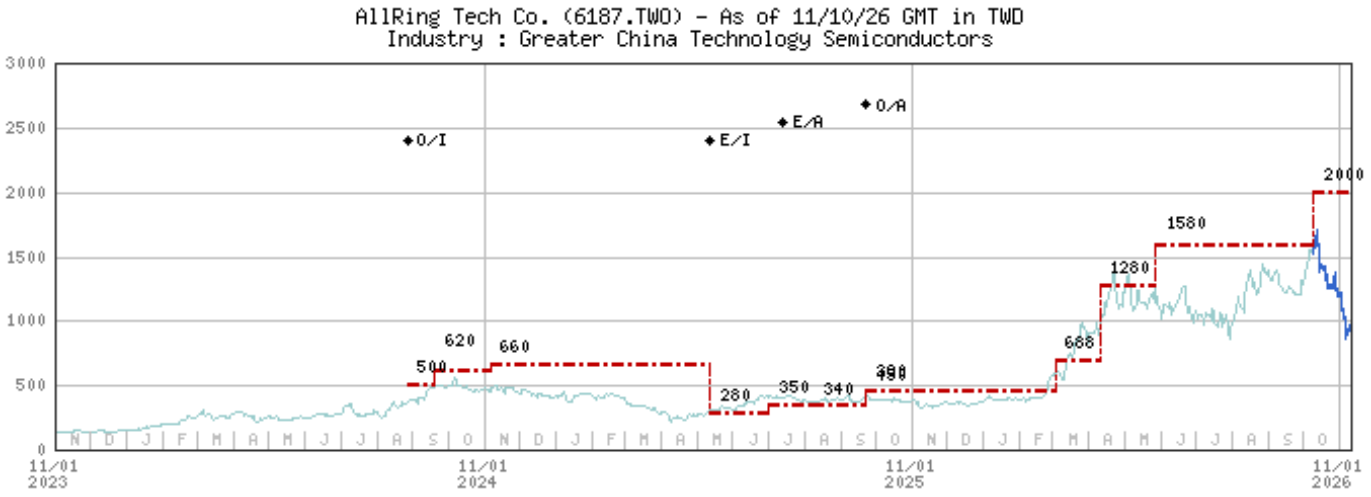
Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 8/27/24 : O/I; 5/13/25 : E/I; 7/14/25 : E/A; 9/23/25 : O/A

Price Target History: 8/27/24 : 500; 9/20/24 : 620; 11/6/24 : 660; 5/13/25 : 280; 7/2/25 : 350; 8/8/25 : 340; 9/22/25 : 380; 9/23/25 : 450; 3/3/26 : 688; 4/10/26 : 1280; 5/28/26 : 1580; 10/9/26 : 2000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/10/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$99.90
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,420.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$605.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb838.00
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb40.45
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,170.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$421.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$74.55
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$70.10
MediaTek (2454.TW)	O (11/28/2025)	NT$3,830.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb509.03
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$383.00
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,675.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb81.55
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$440.50
SMIC (0981.HK)	O (10/21/2025)	HK$47.24
TSMC (2330.TW)	O (02/07/2022)	NT$2,285.00
UMC (2303.TW)	O (05/19/2026)	NT$100.50
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$132.50
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$484.50
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$96.20
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb49.08
Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb90.47
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb23.97

Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb190.00
Innoscience (2577.HK)	E (10/13/2025)	HK$27.36
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb52.78
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$23.50
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb79.95
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb81.82
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb70.81
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb51.85
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb19.37
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb75.75
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$730.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,125.00
Aspeed Technology (5274.TWO)	E (11/10/2026)	NT$11,935.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$84.10
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$117.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,215.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb176.15
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb244.57
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$8.61
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$82.10
Montage Technology Co Ltd (6809.HK)	E (11/10/2026)	HK$190.80
Montage Technology Co Ltd (688008.SS)	E (11/10/2026)	Rmb154.80
Novatek (3034.TW)	U (02/04/2026)	NT$477.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$103.50
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$397.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$59.20
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$745.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb63.23
Silicon Motion (SIMO.O)	O (05/06/2024)	US$172.01
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$135.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$92.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$190.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$49.75
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb245.66
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb55.43
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb538.68
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb87.88
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,025.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$411.00
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$612.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$4,220.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$227.50
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,075.00

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November 10, 2026 05:18 PM GMT

Gold Circuit Electronics Ltd. | Asia Pacific

3Q26 GM beat; Stay OW

WHAT'S CHANGED

Gold Circuit Electronics Ltd. (2368.TW)	From	To
Price Target	NT$1,450.00	**NT$1,400.00**

AlphaSignals Earnings Reaction

Unchanged
Impact to our thesis

— In-line
Financial results versus consensus

— Largely unchanged
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

We expect ongoing margin expansion in 4Q26 and 2027, on improving product mix and pricing adjustments, but we lower our medium-term growth rate to bake in some conservatism. The stock still looks attractive at ~13.5x 2027e P/E. Stay OW.

See our 3Q26 results recap: 3Q26 Results Summary

4Q preview – revenue growth and margin expansion: We estimate 4Q revenue will rise ~8% q/q, to NT$31.8bn (+94% y/y), driven by higher ASPs and shipments deferred from Sep – Oct following flood-related logistics disruptions in Thailand. We expect sequential revenue growth across all major product segments except PC/NB, with networking delivering the largest increase, followed by AI/ASIC servers and general servers. We forecast margin expansion of ~100bps q/q, to 39.7% (+600bps y/y), supported by continued mix improvement and pricing adjustments to pass through higher copper-clad laminate (CCL) costs. This should translate into net profit of ~NT$7bn (+9% q/q, +130% y/y) and EPS of NT$13.82.

GCE's Suzhou 2 and Thailand 2 plants remain on track to begin mass production (MP) from 3Q27 and reach full ramp-up by end-CY27. Both facilities will support advanced high-density interconnect (HDI) production for a key customer's next-gen compute board, which we think could adopt a 34-layer (3+28+3) advanced HDI design using M9-grade CCL. While details remain subject to finalization, we expect each plant to add monthly output value of ~NT$1bn or more. We also expect at least one additional plant to begin advanced HDI MP in CY28, although details have yet to be finalized. This would give GCE at least three plants capable of advanced HDI production to meet demand from existing ASIC, and potential new, customers.

Reiterate OW with PT slightly lowered to NT$1,400, on our reduced medium-term growth assumption (from 12% to 11%), as we bake in some conservatism on concerns over a potential slowdown in data center build-out post the US midterm election (see our Global Team's view), despite our marginally higher EPS estimates for 2026-28e. Our new PT implies ~19x 2027e P/E, or ~14x 2028e P/E, slightly lowered but still above GCE's 3Y P/E avg. of ~14x, which we view as fair, driven by its capacity expansion plans and strong demand for AI servers and networking, with room for margin expansion.

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Gold Circuit Electronics Ltd. (2368.TW, 2368 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$1,400.00
Up/downside to price target (%)	42
Shr price, close (Nov 10, 2026)	NT$983.00
52-Week Range	NT$1,580.00-470.00
Sh out, dil, curr (mn)	517
Mkt cap, curr (mn)	NT$507,831
EV, curr (mn)	NT$498,729
Avg daily trading value (mn)	NT$8,980

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	19.47	43.86	72.46	97.91
Prior EPS (NT$)**	-	43.23	70.43	95.07
EPS (NT$)§	19.10	40.44	70.83	100.96
Revenue, net (NT$ mn)	60,004	104,971	150,035	191,823
EBITDA (NT$ mn)	15,359	31,406	51,678	69,601
P/E	35.3	22.4	13.6	10.0
P/BV	10.1	9.6	6.5	4.6
RNOA (%)	74.6	98.7	111.0	118.9
ROE (%)	45.1	64.6	71.0	64.4
EV/EBITDA	21.5	15.7	9.3	6.6
Div yld (%)	0.9	1.0	2.3	3.8
FCF yld ratio (%)**	(1.4)	2.1	5.4	8.2
Leverage (EOP) (%)	(27.2)	(28.6)	(39.3)	(48.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

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Risk Reward – Gold Circuit Electronics Ltd. (2368.TW)

Beneficiary of rising AI server penetration and server/switch PCB upgrade; OW

PRICE TARGET NT$1,400.00

Base case, residual income model. Key assumptions include a cost of equity of 9.2% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 11% and a terminal growth rate of 3%.

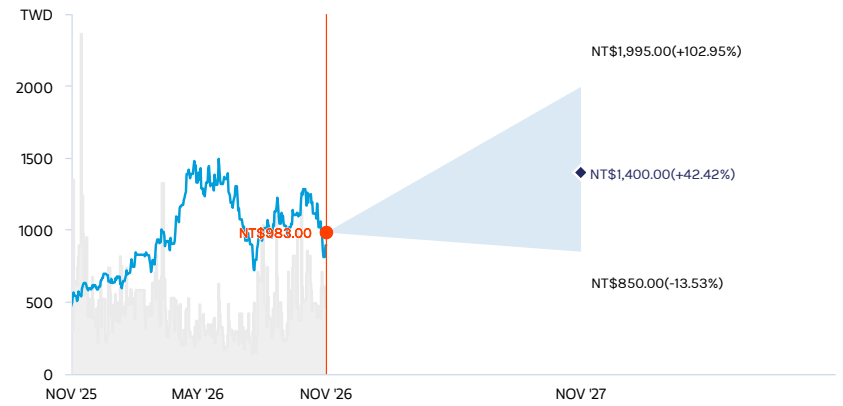
Consensus Price Target Distribution NT$780.00 NT$1,517.78 NT$2,000.00

MS PT

Mean Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We stay OW because we think GCE is well positioned to benefit from rising demand for AI server PCBs and high-speed networking PCBs.
- We see 800G networking PCB demand increasing in the coming years, which should be a tailwind for gross margin in the longer term.
- Our price target implies ~19x 2027e P/E vs. GCE's three-year historical 6-26x range, which we still find attractive. GCE is benefiting from a favorable mix and should show margin expansion in the coming years.

Consensus Rating Distribution

100% Overweight
0% Equal-weight
0% Underweight

MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$1,995.00

27.5x 2027e EPS

Much stronger server and switch growth in 2026; NB demand continues to grow y/y; gains more traction for IC testing boards: Server and switch demand continues to grow y/y in 2026, driven by new data center construction and replacements along with AI infrastructure build-outs. NB demand also shows y/y growth in 2026. In addition, GCE gains more traction for IC testing boards, even penetrating into probe card PCBs faster than expected.

BASE CASE NT$1,400.00

19x 2027e P/E

Server demand remains on growth track in 2026; NB demand shows flat to mild growth: We forecast a total sales CAGR of ~47%, 2025-28, with server business CAGR reaching 50% and networking business CAGR reaching 57%. We project that operating profit margin will reach ~35% by 2028 vs. ~23% in 2025.

BEAR CASE NT$850.00

11.7x 2027e EPS

Much weaker server and switch demand in 2026; NB demand deteriorates, and shipments fall y/y in 2026; IC testing board business takes longer than expected to develop: Server and switch demand falls in 2026, hampered by a weakening macro backdrop and hyperscalers cutting capex to preserve cash. NB business faces even weaker demand, at down ~15% y/y in 2026. GCE takes longer to ramp up its IC testing board business.

Risk Reward – Gold Circuit Electronics Ltd. (2368.TW)

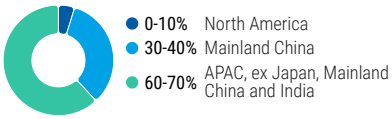
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Server Revenue Contribution (%)	74.3	76.4	77.7	78.6

INVESTMENT DRIVERS

- Server/switch volume growth driven by US hyperscalers and enterprise customers
- Server/switch PCB content growth driven by CCL spec and PCB layer count
- IC testing board project wins
- NB demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected server and switch demand
- Stronger-than-expected NB demand
- Higher-than-expected pricing supported by strong product capability and market competitiveness
- Faster-than-expected AI server penetration

RISKS TO DOWNSIDE

- Slower-than-expected server demand
- Weaker-than-expected NB demand
- More severe pricing erosion driven by competition
- Slower-than-expected AI server penetration

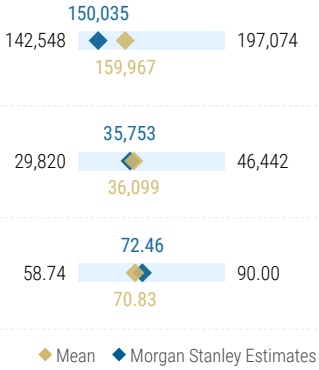
OWNERSHIP POSITIONING

Inst. Owners, % Active 59.1%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

3Q26 Results Summary

- GCE reported 3Q26 gross margin of 38.7% (+400bp q/q, +310bp y/y), 180bp above MSe and 190bps above the Street forecast. Management attributed the gross margin improvement to successful cost pass-through, more favorable product mix (AI mix was over 50% in the quarter; 800G switch mix also continued to increase within Networking) and better profitability of the Thailand plant.
- Recall that we noted although GCE is able to fully pass through the additional material costs to its customers, there will always be a timing difference (GCE seeing higher input costs vs. reflecting the higher costs in new prices), which might result in margin fluctuation.

- Operating expenses were again higher than expected, primarily due to higher employee bonuses for talent retention and sales expenses. Thus, operating profit came in at NT$8.8B (+36% q/q, +88% y/y), in line with MSe but 1% below consensus forecasts, for operating margin of 29.6%.
- Non-operating losses of NT$238mn, primarily consisting of FX losses, were higher than our and Street estimates of non-operating gains.
- Net profit was NT$6.4B (+33% q/q, +98% y/y), 2% above our estimate and the Street, for EPS of NT$12.39.
- The differences between net profit variances and EPS variances reflect share count changes.

Exhibit 1: GCE 3Q26 results summary

	3Q26P Results						
NT$mn	**Actual**	**QoQ**	**YoY**	**MS Est.**	**Variance**	**Cons**	**Variance**
Net sales	**29,567**	**22%**	**67%**	**30,736**	**-4%**	**30,617**	**-3%**
COGS	-18,125	14%	59%	-19,397	-7%	-19,341	-6%
Gross profit	**11,443**	**36%**	**82%**	**11,339**	**1%**	**11,276**	**1%**
Operating expenses	-2,690	35%	64%	-2,561	5%	-2,452	10%
Operating income	**8,753**	**36%**	**88%**	**8,778**	**0%**	**8,824**	**-1%**
Non-operating income	-238	NM	NM	53	NM	26	NM
Pre-tax income	**8,515**	**35%**	**80%**	**8,831**	**-4%**	**8,851**	**-4%**
Income tax	-2,129	40%	42%	-2,561	-17%	-2,576	-17%
Net income	**6,386**	**33%**	**98%**	**6,270**	**2%**	**6,275**	**2%**
EPS (NT$)	**12.39**	**33%**	**91%**	**12.36**	**0%**	**12.37**	**0%**
Margins (%)		***ppt***	***ppt***		***ppt***		***ppt***
Gross margin	38.7%	4.0	3.1	36.9%	1.8	36.8%	1.9
Operating margin	29.6%	3.2	3.3	28.6%	1.0	28.8%	0.8
Pre-tax margin	28.8%	2.9	2.0	28.7%	0.1	28.9%	-0.1
Net margin	21.6%	1.9	3.3	20.4%	1.2	20.5%	1.1

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

Estimate Changes

We raise our 2026/2027/2028 EPS estimates 1%, 3% and 3%, respectively, driven by our higher margin assumptions post the 3Q26 margin beat.

Exhibit 2: Estimate changes

	2026e			2027e			2028e		
NT$ mn	New	Old	Variance	New	Old	Variance	New	Old	Variance
Net sales	**104,971**	**106,743**	**-2%**	**150,035**	**152,946**	**-2%**	**191,823**	**195,464**	**-2%**
COGS	-65,755	-68,007	-3%	-88,056	-92,737	-5%	-110,332	-116,337	-5%
Gross profit	**39,216**	**38,736**	**1%**	**61,979**	**60,209**	**3%**	**81,491**	**79,128**	**3%**
Operating expenses	-9,126	-8,837	3%	-12,069	-11,475	5%	-13,892	-13,269	5%
Operating income	30,090	29,899	1%	49,910	48,733	2%	67,599	65,859	3%
Non-operating income	-341	-109	212%	447	211	111%	447	211	111%
Pre-tax income	29,748	29,789	0%	50,357	48,945	3%	68,046	66,070	3%
Income tax	-8,105	-8,457	-4%	-14,604	-14,194	3%	-19,733	-19,160	3%
Net income	**21,644**	**21,333**	**1%**	**35,753**	**34,751**	**3%**	**48,313**	**46,910**	**3%**
EPS (NT$)	**43.86**	**43.23**	**1%**	**72.46**	**70.43**	**3%**	**97.91**	**95.07**	**3%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	37.4%	36.3%	1.1	41.3%	39.4%	1.9	42.5%	40.5%	2.0
Operating margin	28.7%	28.0%	0.7	33.3%	31.9%	1.4	35.2%	33.7%	1.5
Pre-tax margin	28.3%	27.9%	0.4	33.6%	32.0%	1.6	35.5%	33.8%	1.7
Net margin	20.6%	20.0%	0.6	23.8%	22.7%	1.1	25.2%	24.0%	1.2

Source: Morgan Stanley Research (E) estimates.

Price Target Discussion and Valuation Methodology

We lower our price target slightly, to NT$1,400.00 from NT$1,450.00: We derive our price target, which is also our base-case scenario value, from a residual income (RI) model, similar to the rest of our tech hardware coverage. The decrease in our price target is driven by our slightly lowered medium-term growth assumption.

Our key assumptions include a cost of equity of 9.2% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 11% (lowered from 12%) and a terminal growth rate of 3%.

Our price target implies ~19x 2027e P/E, or ~14x 2028e P/E, vs. GCE's three-year historical average 14.2x. We view the higher multiple as justified because GCE is showing longer-term margin expansion, driven by a favorable mix shift toward more AI server PCBs and high-speed networking PCBs (400G/800G/1.6T) alike. Some of its AI component peers are trading at 20x+ 2027e multiple, which leads us to view GCE's valuation as fair.

Our bull- and bear-case scenario values decrease at magnitudes similar to the decline in our base-case value, to NT$1,995.00 and NT$850.00, respectively.

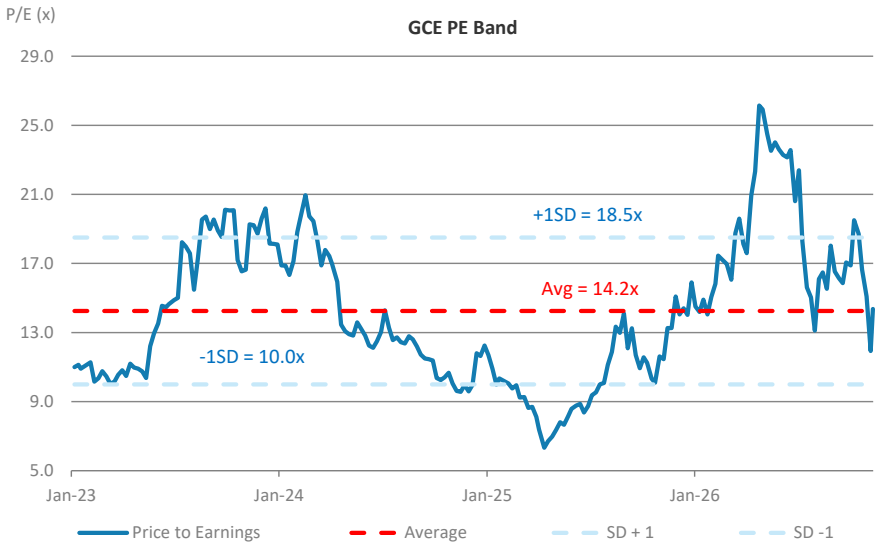
Exhibit 3: Residual income (RI) model

		2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2035E
Total Equity		**50,343**	**74,979**	**104,927**	**139,804**	**178,518**	**221,490**	**269,189**	**322,135**	**380,905**	**446,139**	**510,525**
Net Profit		**21,644**	**35,753**	**48,313**	**53,627**	**59,526**	**66,074**	**73,342**	**81,410**	**90,365**	**100,305**	**103,315**
Return on Equity		**51.6%**	**57.1%**	**53.7%**	**43.8%**	**37.4%**	**33.0%**	**29.9%**	**27.5%**	**25.7%**	**24.3%**	**21.6%**
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%
Residual Income		**14,204**	**24,085**	**33,359**	**36,313**	**39,400**	**42,521**	**45,797**	**49,308**	**53,118**	**57,284**	**55,238**
Spread		**42.4%**	**47.8%**	**44.5%**	**34.6%**	**28.2%**	**23.8%**	**20.7%**	**18.3%**	**16.5%**	**15.0%**	**12.4%**

Beginning Equity Capital	50,343
PV of Forecast Period	261,541
PV of Continuing Value	378,913
Equity Value	**690,796**
No. of Shares	493
Projected Price	**1,400.0**
Implied 2027 PE	19.3x
Implied 2028 PE	14.3x

Source: Morgan Stanley Research (E) estimates.

Exhibit 4: GCE three-year P/E band



Source: TEJ, Morgan Stanley Research.

Financials

Exhibit 5: Quarterly Earnings Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E	2028E
Net sales	**12,063**	**13,853**	**17,680**	**16,408**	**19,313**	**24,279**	**29,567**	**31,811**	**60,004**	**104,971**	**150,035**	**191,823**
COGS	(8,287)	(9,757)	(11,392)	(10,884)	(12,590)	(15,866)	(18,125)	(19,174)	(40,321)	(65,755)	(88,056)	(110,332)
Gross profit	**3,776**	**4,095**	**6,288**	**5,524**	**6,722**	**8,413**	**11,443**	**12,638**	**19,683**	**39,216**	**61,979**	**81,491**
Operating expenses	(1,233)	(1,228)	(1,642)	(1,537)	(1,538)	(1,996)	(2,690)	(2,903)	(5,640)	(9,126)	(12,069)	(13,892)
SG&A	(958)	(932)	(1,309)	(1,184)	(1,195)	(1,568)	(2,123)	(2,291)	(4,383)	(7,177)	(9,589)	(11,065)
R&D	(274)	(296)	(333)	(353)	(343)	(428)	(567)	(612)	(1,256)	(1,949)	(2,479)	(2,827)
Operating income	**2,543**	**2,868**	**4,646**	**3,987**	**5,185**	**6,418**	**8,753**	**9,735**	**14,043**	**30,090**	**49,910**	**67,599**
Non-operating income	**110**	**(359)**	**84**	**295**	**(97)**	**(118)**	**(238)**	**112**	**130**	**(341)**	**447**	**447**
Interest income	17	28	6	5	13	72	72	72	55	228	287	287
Investment income	0	0	0	0	0	0	0	0	0	0	0	0
Disposal of investment	0	0	0	0	0	0	0	0	0	0	0	0
Exchange gain	112	(797)	309	243	(14)	(255)	0	0	(133)	(269)	0	0
Other	(19)	411	(232)	48	(96)	65	(310)	40	208	(300)	160	160
Pre-tax income	**2,653**	**2,509**	**4,729**	**4,282**	**5,088**	**6,299**	**8,515**	**9,846**	**14,173**	**29,748**	**50,357**	**68,046**
Income tax	(900)	(815)	(1,501)	(1,351)	(1,604)	(1,516)	(2,129)	(2,855)	(4,567)	(8,105)	(14,604)	(19,733)
Minority interest	0	0	0	0	0	0	0	0	0	0	0	0
Net income	**1,753**	**1,694**	**3,229**	**2,931**	**3,484**	**4,783**	**6,386**	**6,991**	**9,607**	**21,644**	**35,753**	**48,313**
Adj.wtd.avg.shrs (mn)	487	487	497	493	507	515	515	515	493	493	493	493
EPS	**3.60**	**3.48**	**6.49**	**5.94**	**6.87**	**9.28**	**12.39**	**13.56**	**19.47**	**43.86**	**72.46**	**97.91**
Fully Diluted shares (mn)	507	505	506	506	506	506	506	506	493	493	493	493
Diluted EPS (NT$)	**3.46**	**3.35**	**6.38**	**5.79**	**6.88**	**9.45**	**12.62**	**13.82**	**19.47**	**43.86**	**72.46**	**97.91**
Margins (%)												
Gross Margin	31.3	29.6	35.6	33.7	34.8	34.7	38.7	39.7	32.8	37.4	41.3	42.5
Operating Margin	21.1	20.7	26.3	24.3	26.8	26.4	29.6	30.6	23.4	28.7	33.3	35.2
Pretax Margin	22.0	18.1	26.8	26.1	26.3	25.9	28.8	31.0	23.6	28.3	33.6	35.5
Net Margin	14.5	12.2	18.3	17.9	18.0	19.7	21.6	22.0	16.0	20.6	23.8	25.2
QoQ Growth (%)												
Sales	22	15	28	-7	18	26	22	8				
Gross Profit	48	8	54	-12	22	25	36	10				
Operating Profit	55	13	62	-14	30	24	36	11				
Pretax Profit	33	-5	89	-9	19	24	35	16				
Net Profit	37	-3	91	-9	19	37	33	9				
YoY Growth (%)												
Sales	33	45	69	66	60	75	67	94	54	75	43	28
Gross Profit	55	35	86	116	78	105	82	129	73	99	58	31
Operating Profit	47	30	85	144	104	124	88	144	74	114	66	35
Pretax Profit	44	9	101	114	92	151	80	130	67	110	69	35
Net Profit	44	11	102	129	99	182	98	139	71	125	65	35

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 6: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Net sales	**60,004**	**104,971**	**150,035**	**191,823**
COGS	(40,321)	(65,755)	(88,056)	(110,332)
Gross profit	**19,683**	**39,216**	**61,979**	**81,491**
Operating expenses	(5,640)	(9,126)	(12,069)	(13,892)
Operating income	**14,043**	**30,090**	**49,910**	**67,599**
Non-operating income	**130**	**(341)**	**447**	**447**
Interest income	55	228	287	287
Investment income	-	-	-	-
Disposal of investment	-	-	-	-
Exchange gain	(133)	(269)	-	-
Other	208	(300)	160	160
Pre-tax income	**14,173**	**29,748**	**50,357**	**68,046**
Income tax	(4,567)	(8,105)	(14,604)	(19,733)
Minority interests	-	-	-	-
Net income	**9,607**	**21,644**	**35,753**	**48,313**
Adj. wtd. Avg. shrs (m)	493	493	493	493
Reported EPS (NT$)	**19.47**	**43.86**	**72.46**	**97.91**
Diluted shrs (m)	493	493	493	493
Diluted EPS (NT$)	**19.47**	**43.86**	**72.46**	**97.91**

Consolidated Cash Flow Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Operating Cashflow	**2,259**	**9,296**	**22,904**	**37,222**
Net Profits	9,607	21,644	35,753	48,313
Depreciation & Amort.	1,316	1,316	1,768	2,001
Investment losses/(income)	0	0	0	0
Working capital change	29,570	(12,860)	(13,812)	(12,345)
Other adjustments	(38,149)	(803)	(805)	(747)
Investing Cashflow	**(7,033)**	**(7,447)**	**(4,924)**	**(4,903)**
Capex	(6,733)	(7,500)	(5,000)	(5,000)
Change of L/T investment	0	0	0	0
Change of S/T investment	0	0	0	0
Other adjustments	(330)	0	0	0
Financing Cashflow	**13,241**	**2,664**	**(3,384)**	**(11,230)**
Increase in L/T debt	11,559	(500)	(500)	(500)
Increase in S/T debt	4,683	0	0	0
Issuance of stock	0	(117)	0	0
Cash dividends	(2,920)	(4,934)	(11,117)	(18,365)
Other adjustments	(81)	8,215	8,233	7,635
FX adjustment	463	269	0	0
Net change in cash	**8,930**	**4,782**	**14,596**	**21,089**

Consolidated Balance Sheet

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Cash	**18,114**	**22,897**	**37,493**	**58,582**
Mkt securities	403	403	403	403
AR/NR	27,001	47,235	67,514	86,318
Inventory	9,747	15,895	21,286	26,671
Others	1,072	1,876	2,681	3,428
Current Assets	**56,337**	**88,306**	**129,377**	**175,402**
Long-term investments	851	851	851	851
Fixed assets	17,840	23,971	27,127	30,029
Other assets	717	717	717	717
Total Assets	**75,746**	**113,846**	**158,072**	**206,999**
S/T borrowings	6,116	6,116	6,116	6,116
AP/NP	11,029	17,985	24,085	30,178
Other ST liabilities	10,409	16,975	22,733	28,484
Total Current Liabilities	**27,554**	**41,076**	**52,934**	**64,777**
L/T debt	3,749	3,249	2,749	2,249
Other LT libilities	10,963	19,178	27,411	35,046
Total Liabilities	**42,265**	**63,503**	**83,094**	**102,072**
Common shares	5,051	4,934	4,934	4,934
Retained Earnings	18,895	35,873	60,509	90,457
Other SH' Equity	9,535	9,535	9,535	9,535
Total Shareholders' Equity	**33,481**	**50,343**	**74,979**	**104,927**
Total Liab./SH's Equity	**75,746**	**113,846**	**158,072**	**206,999**

Consolidated Financial Ratios

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	32.8	37.4	41.3	42.5
Operating margin	23.4	28.7	33.3	35.2
Pretax margin	23.6	28.3	33.6	35.5
Net margin	16.0	20.6	23.8	25.2
YoY growth (%)				
Sales	54.0	74.9	42.9	27.9
Operating profits	74.1	114.3	65.9	35.4
Pretax profits	66.9	109.9	69.3	35.1
Net profits	71.1	125.3	65.2	35.1
Others				
Cash dividend payout (%)	51%	51%	51%	51%
Cash div (NT$)	10.00	22.53	37.22	50.29
Yield (%)	1%	2%	4%	5%
Net Debt/Equity (%)	-26%	-28%	-39%	-48%
Liabilities/Equity (%)	126%	126%	111%	97%
Liabilities/Assets (%)	56%	56%	53%	49%
ROAE (%)	35%	52%	57%	54%
ROAA (%)	16%	23%	26%	26%
AR/NR Turnover (days)	123	129	140	146
Inventory Turnover (days)	80	71	77	79
AP/NP Turnover (days)	87	81	87	90
Cash conversion cycle	115	120	129	136

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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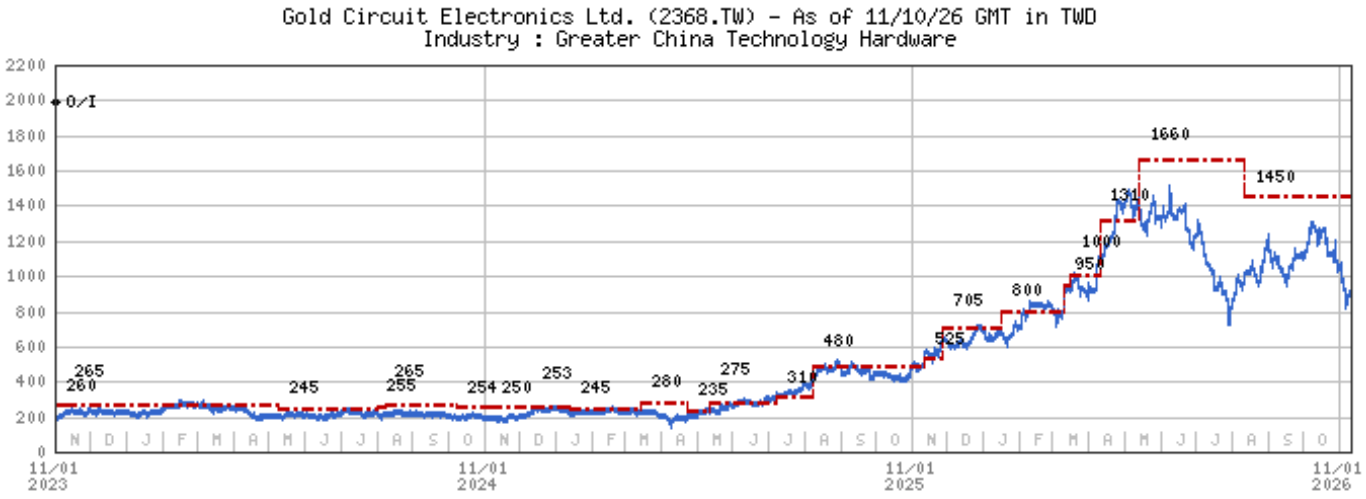
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/6/22 : O/I

Price Target History: 10/6/22 : 115; 10/21/22 : 110; 1/2/23 : 108; 2/7/23 : 102; 5/12/23 : 114; 7/12/23 : 195; 8/11/23 : 200; 9/25/23 : 225; 10/17/23 : 260; 11/9/23 : 265; 5/9/24 : 245; 8/1/24 : 255; 8/8/24 : 265; 10/9/24 : 254; 11/7/24 : 250; 12/12/24 : 253; 1/13/25 : 245; 3/14/25 : 280; 4/23/25 : 235; 5/12/25 : 275; 7/9/25 : 310; 8/9/25 : 480; 11/12/25 : 525; 11/27/25 : 705; 1/16/26 : 800; 3/11/26 : 950; 3/16/26 : 1000; 4/10/26 : 1310; 5/14/26 : 1660; 8/11/26 : 1450

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/10/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$38.54
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb94.48
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.50
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.08
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.36
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb183.80
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$905.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb25.69
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.83
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$55.20
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,065.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.68
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.23
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.84
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.72
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb51.68
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.73
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.35
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb82.10
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$38.38
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK$66.65

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb126.41
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.04
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.60
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb252.33
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$89.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb110.98
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.73
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb471.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$594.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.22
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.49
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,545.00
Advantech (2395.TW)	O (01/20/2021)	NT$593.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,060.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,790.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$27.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,235.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,530.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.50
Chenbro (8210.TW)	E (11/09/2026)	NT$567.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,310.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,275.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,990.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$291.50
Innolux (3481.TW)	E (04/07/2025)	NT$39.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.17
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$233.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.60
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.62
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.15
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$884.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$32.60
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,365.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.68
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb43.18
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$304.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$983.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$241.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.55
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$28.26
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,115.00
Lenovo (0992.HK)	O (07/10/2026)	HK$19.11
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,760.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,005.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$96.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$298.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.93
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb208.20
Unimicron (3037.TW)	O (02/23/2026)	NT$828.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$369.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$171.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,680.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$416.50
Zhen Ding (4958.TW)	++	NT$430.50
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$366.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$982.00

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* Historical prices are not split adjusted.

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UPDATE

November 10, 2026 10:00 PM GMT

Hiwin Technologies Corp. | Asia Pacific

3Q26 Beat on Margin; Up-cycle Continues to Play Out

AlphaSignals Earnings Reaction

Unchanged	⬆ **Modest upside**	⬆ **Modest revision higher**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Signs are pointing to ongoing revenue growth and decent GM heading into 2027. Stay OW.

3Q26 earnings beat thanks to better GM: See Results Summary .

Momentum being sustained into 2027: Management guides for 4Q26 sales to grow QoQ (vs. seasonality of down QoQ) and 2027 to be better than 2026, supported by strong order momentum and slightly lengthening delivery lead time of 6.5 months for ball screws and 4-6 months for linear guides. That said, Hiwin is not able to fulfill all of the orders on hand because of the labor supply constraints. Meanwhile, It holds a positive view on the margin outlook because the revenue mix should be optimized amid solid demand, though it has no plan to raise prices again in the near term.

More sub-system level shipments: Besides the traditional linear guides and ball screws, Hiwin is increasing its sub-systems offerings integrated with motors, sensors, etc., for precise positioning systems in CPO alignment and multiple axis rotary tables in military, satellite, and material processing applications. These solutions have gained more and more traction among Japanese and Chinese machine tool customers

Robotics business one of the key drivers: The robotics segment has been Hiwin's fastest-growing segment in the past few years and will remain one of the major drivers. It has risen from 7% of the revenue mix in 2024 to 10% in 2025 and is on track for 12% in 2026 and higher in future. First, wafer transport systems are riding on the strong demand from semiconductor fabs. For humanoid robots, it can supply various components including ball screws, linear guides, reducers, motors, drivers, etc.; it has received small volume orders from one major US customer. Last, the logistics robot project, originally scheduled for late 2026, will be pushed out because of spec change.

Stay OW: We remain constructive on Hiwin stock. Near-term sentiment should remain favorable and the up-cycle continues to play out..

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Hiwin Technologies Corp. (2049.TW, 2049 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$450.00
Up/downside to price target (%)	57
Shr price, close (Nov 9, 2026)	NT$287.00
52-Week Range	NT$426.00-180.50
Sh out, dil, curr (mn)	354
Mkt cap, curr (mn)	US$3,099
EV, curr (mn)	US$3,088
Avg daily trading value (mn)	US$45

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	4.31	9.77	11.77	13.77
Prior EPS (NT$)**	-	-	-	-
Revenue, net (NT$ mn)	24,263	29,992	34,688	39,123
EBITDA (NT$ mn)	4,001	6,485	7,488	8,431
ModelWare net inc (NT $ mn)	1,526	3,457	4,165	4,873
P/E	45.0	29.4	24.4	20.8
P/BV	1.4	1.9	1.7	1.6
RNOA (%)	3.6	8.7	11.1	12.7
ROE (%)	4.1	9.2	10.4	11.2
EV/EBITDA	12.6	15.1	12.8	11.1
Div yld (%)	1.2	0.7	1.1	1.4
FCF yld ratio (%)**	2.0	4.3	3.1	3.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Results Summary

Off revenue of NT$8,110mn (+8% QoQ/+35% YoY), GM expanded 2.2ppt QoQ, to 36.3%, surpassing both our estimate and consensus at 35.2%, driven by the tariff reimbursement (0.6ppt boost), higher utilization, price hike tailwinds, and more favorable FX (0.5ppt help).

Opex was well controlled at NT$1,502mn (opex ratio 18.5%), leading to operating profit of NT$1,446mn (OPM 17.8%), 19% above our estimate at NT$1,210mn (OPM 15.1%) and 18% above consensus at NT$1,227mn (OPM 15.2%).

With non-op gains of NT$134mn, NP reached NT$1,230mn (EPS NT$3.48), 23% above both our estimate and consensus at NT$998mn (EPS NT$2.82) and NT$1,001mn (EPS NT $2.83), respectively.

Exhibit 1: Hiwin: Results Summary

	3Q26E			MS estimates	Diff (%)	Consensus	Diff (%)
NT$mn	**Actual**	**QoQ**	**YoY**				
Net sales	**8,110**	**8%**	**35%**	**7,996**	**1%**	**8,055**	**1%**
COGS	-5,162	4%	21%	-5,183	0%	-5,220	-1%
Gross profit	**2,947**	**15%**	**72%**	**2,813**	**5%**	**2,835**	**4%**
Operating expenses	-1,502	-2%	15%	-1,603	-6%	-1,609	-7%
Operating Income	**1,446**	40%	252%	**1,210**	**19%**	**1,227**	**18%**
Non-operating income	134	193%	-18%	0	N/A	31	334%
Pre-tax Income	1,579	46%	176%	1,210	31%	1,257	26%
Net Income	**1,230**	**45%**	**176%**	**998**	**23%**	**1,001**	**23%**
EPS (NT$)	**3.48**	**45%**	**176%**	**2.82**	**23%**	**2.83**	**23%**
Margins (%)		***ppt***	***ppt***		***ppt***		***ppt***
Gross margin	36.3%	2.2	7.7	35.2%	1.2	35.2%	1.1
Operating margin	17.8%	4.1	11.0	15.1%	2.7	15.2%	2.6
Pre-tax margin	19.5%	5.1	9.9	15.1%	4.3	15.6%	3.9
Net margin	15.2%	3.9	7.7	12.5%	2.7	12.4%	2.7

Source: Company data, FactSet consensus, Morgan Stanley Research estimates

Valuation Methodology and Risks

Hiwin Technologies Corp. (2049.TW)

Base case, P/E. We think this valuation methodology better captures Hiwin's earnings growth momentum, as its valuation tends to move with the business cycle. We apply a target multiple of 38x to our 2027 EPS estimate. We view this multiple as justified by the 47% operating profit CAGR we project for 2025-28.

Risks to Upside

- Stronger industrial automation demand pickup.
- Market share gains.
- Earlier-than-expected revenue contribution from humanoids.

Risks to Downside

- Weaker industrial automation demand.
- More pricing pressure.
- Market share loss.
- More broad-based impact on the global economy from geopolitical risks.

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(as of October 31, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
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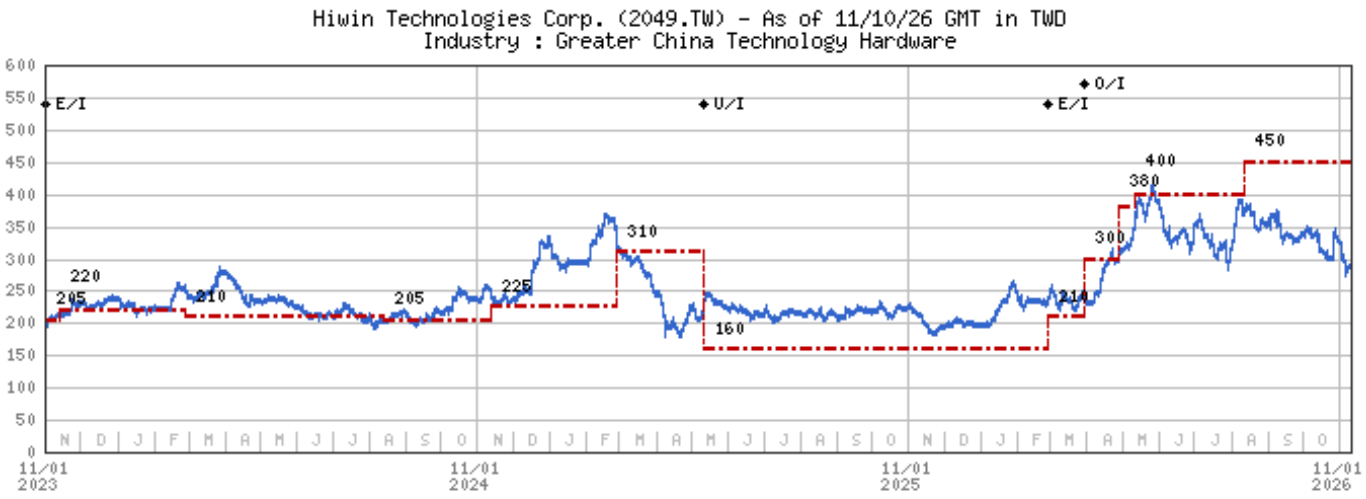
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 11/1/21 : O/I; 8/11/22 : E/I; 2/21/23 : O/I; 8/11/23 : E/I; 5/12/25 : U/I; 2/27/26 : E/I; 3/30/26 : O/I

Price Target History: 10/5/21 : 479.6; 2/28/22 : 341.16; 3/24/22 : 301.61; 7/20/22 : 295; 8/11/22 : 230; 11/21/22 : 200; 2/21/23 : 295; 2/27/23 : 283; 5/10/23 : 280; 8/11/23 : 205; 11/13/23 : 220; 2/27/24 : 210; 8/13/24 : 205; 11/12/24 : 225; 2/27/25 : 310; 5/12/25 : 160; 2/27/26 : 210; 3/30/26 : 300; 4/28/26 : 380; 5/11/26 : 400; 8/12/26 : 450

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/10/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$38.54
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb94.48
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.50
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.08
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.36
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb183.80
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$905.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb25.69
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.83
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$55.20
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,065.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.68
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.23
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.84
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.72
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb51.68
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.73
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.35
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb82.10
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$38.38
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK$66.65
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb126.41

Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.04
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.60
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb252.33
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$89.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb110.98
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.73
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb471.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$594.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.22
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.49
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,545.00
Advantech (2395.TW)	O (01/20/2021)	NT$593.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,060.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,790.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$27.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,235.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,530.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.50
Chenbro (8210.TW)	E (11/09/2026)	NT$567.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,310.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,275.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,990.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$291.50
Innolux (3481.TW)	E (04/07/2025)	NT$39.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.17
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$233.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.60
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.62
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.15
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$884.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$32.60
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,365.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.68
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb43.18
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$304.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$983.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$241.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.55
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$28.26
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,115.00
Lenovo (0992.HK)	O (07/10/2026)	HK$19.11
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,760.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,005.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$96.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$298.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.93
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb208.20
Unimicron (3037.TW)	O (02/23/2026)	NT$828.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$369.50

Wistron Corporation (3231.TW)	O (07/12/2023)	NT$171.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,680.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$416.50
Zhen Ding (4958.TW)	++	NT$430.50
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$366.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$982.00

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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November 10, 2026 04:16 PM GMT

Greater China Technology Hardware | Asia Pacific

NVL72 Racks Shipment in October 2026; 2027 Rack Forecast is Unchanged

We provide monthly/quarterly rack shipment forecasts for ODMs. Within the major Server ODMs, our order of preference is Wistron > Quanta > Hon Hai, based on upside to PT.

Key Takeaways

- We estimate GB200/300 rack output in October at ~7.5K (+16% m/m).
- Quanta shipped ~1.80K GB200/GB300 racks.
- Wistron shipped ~1.60K GB200/GB300 racks.
- Hon Hai shipped ~2.90K GB200/300 racks.
- We keep our 2027 rack production forecast unchanged at 90.4K racks (+11% y/y).

We introduce 2027 forecast at 90.4K racks (+10% y/y) vs. our 2026 forecast now at 82K racks: This year is a strong one for downstream rack assemblers, with rack shipments up ~209% y/y, but we expect rack shipments to grow another ~10% y/y to reach 90.4K in 2027. For 2027, our forecast implies Hon Hai will be a share gainer with rack share up to 43% (from 37% in 2026), with Quanta staying unchanged at 26% and Wistron's share up slightly to 24% (from 23% in 2026).

Quanta (2382.TW, OW): October revenue was NT$353.3bn (+9% m/m, +104% y/y). We attribute the m/m growth mainly to higher GB200/300 rack shipments at ~1.8K racks (+24% m/m), despite being offset by lower NB shipments at 2.7M units (-36% m/m, -23% y/y). For 2026, we forecast Quanta to ship 20.9K racks, and our 2027 rack production forecast for Quanta is at 23.5K (+12% y/y).

Wistron (3231.TW, OW): October revenue was NT$402.6B (+6% m/m, +108% y/y). We attribute the m/m growth to: 1) higher GB200/300 compute tray shipments (1.60K rack equivalents, by our estimates, up ~22% m/m), despite lower Wiwynn revenue at ~NT$165.1bn (-4% m/m, +81% y/y) and lower NB shipments at 1.2mn units (-20% m/m, -43% y/y), flat DT shipments at 500K (flat m/m, -44% y/y), and lower monitor shipments at 850K (-11% m/m, -6% y/y). For 2026, we forecast Wistron to ship 18.7K racks, and our 2027 rack production forecast is at 22K (+18% y/y).

Hon Hai (2317.TW, OW): October revenue was NT$1,305.3bn (+13% m/m, +46% y/y), with consumer segment revenue seeing the strongest m/m growth, followed by computing products, and lastly, components and other products, while cloud and networking products were down m/m due to a rise in consignment mix; however, overall rack production volumes are up m/m. We model HH's October GB200/300 rack production at 2.9K (+7% m/m). For 2026, we forecast Foxconn to ship 30.3K racks, and our rack production 2027 forecast at 38.8K (+28% y/y).

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GREATER CHINA TECHNOLOGY HARDWARE

Asia Pacific
Industry View **In-Line**

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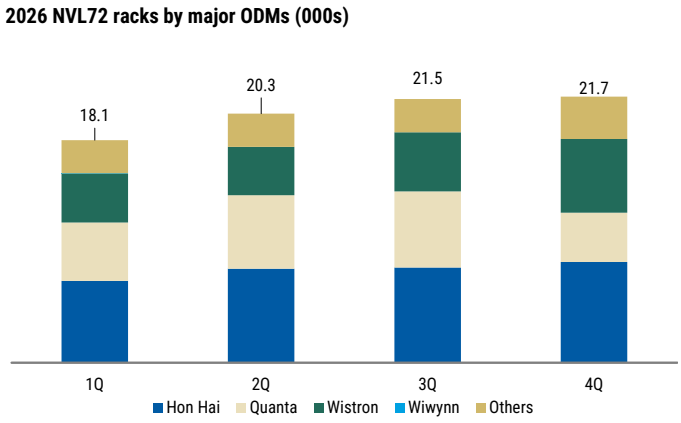
NVL72 Exhibits

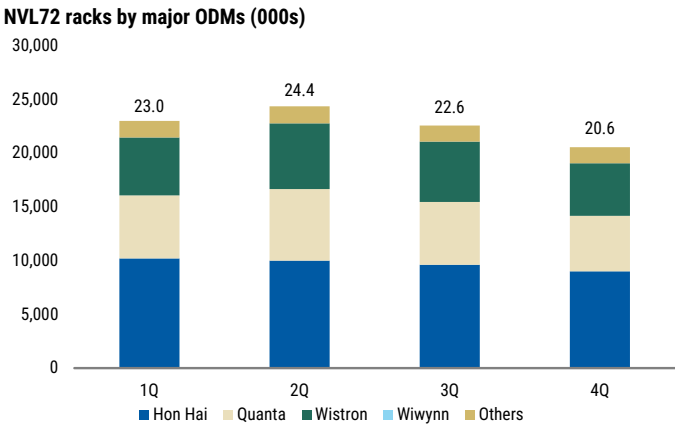
We believe actual rack deliveries to end-customers are likely lower than these numbers because we include Wistron's computing tray (L10) rack equivalent (without accounting for rack assembly and test times for L11).

Exhibit 1: Industry-wide NVL72-equivalent quarterly rack output, by major ODMs (2026)



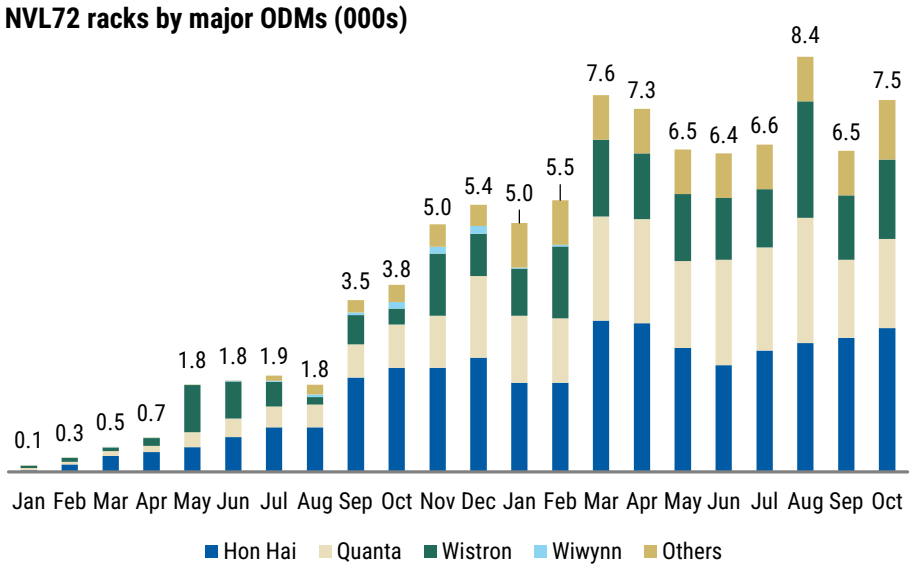
Source: Morgan Stanley Research estimates.

Exhibit 2: Industry-wide NVL72-equivalent quarterly rack output, by major ODMs (2027)



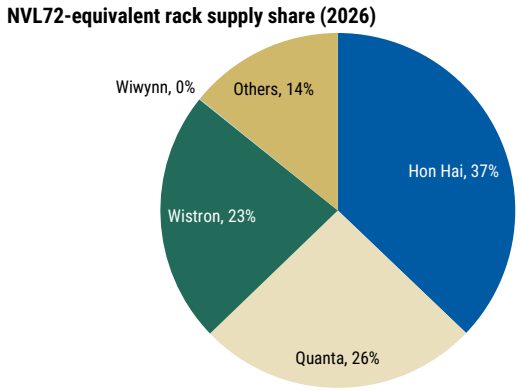
Source: Morgan Stanley Research estimates.

Exhibit 3:
Industry-wide NVL72-equivalent monthly rack output, by major ODMs (2025-2026)



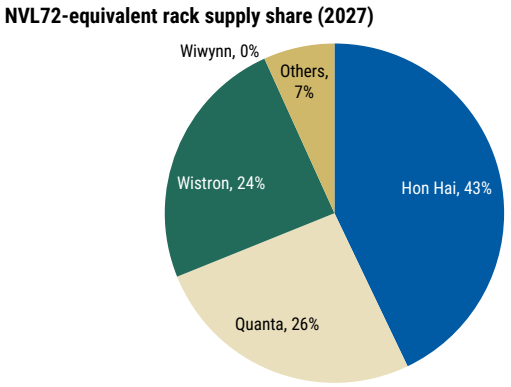
Source: Morgan Stanley Research estimates.

Exhibit 4: NVL72 rack supply share, by major ODMs (2026)



Source: Morgan Stanley Research estimates.

Exhibit 5: NVL72 rack supply share, by major ODMs (2027)



Source: Morgan Stanley Research estimates.

Valuation Methodology and Risks

Hon Hai Precision (2317.TW)

Base case scenario value, derived from a residual income valuation model. Our key assumptions include a cost of equity of 8.5%, a medium-term growth rate of 13%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected iPhone sell-through
- Faster progress in AI server business
- Faster EV business development progress
- Any new M&A activity that could improve sentiment

Risks to Downside

- Lower iPhone sell-through
- Smaller profit contribution from AI business
- Slower EV business development progress
- Geopolitical developments that could negatively affect foreign investment

Quanta Computer Inc. (2382.TW)

Base case, residual income model. Key assumptions include a cost of equity of 9.0% (beta of 1.2, equity premium of 6.0% and risk-free rate of 1.5%), an 8.5% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Stronger-than-expected NB demand
- Stronger-than-expected Apple Watch demand
- Stronger-than-expected server demand
- Faster-than-expected AI server penetration

Risks to Downside

- Weaker-than-expected NB demand
- Softer-than-expected Apple Watch demand
- Weak margin performance owing to rising labor costs and sales shortfalls
- Fierce price competition in the mega data center segment
- Slower-than-expected AI server penetration

Wistron Corporation (3231.TW)

Base case, residual income valuation. Key assumptions: 8.7% cost of equity, 7.0% medium-term growth rate and 3% terminal growth rate.

Risks to Upside

- Faster-than-expected divestiture of consumer electronics business
- Stronger-than-expected NB demand

- Margin expansion from better product mix
- Faster-than-expected AI server penetration

Risks to Downside

- Slower-than-expected divestiture of consumer electronics business
- Weaker-than-expected NB demand
- Margin contraction from sales shortfall and fierce competition
- Slower-than-expected AI server penetration

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(as of October 31, 2026)
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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Hon Hai Precision (2317.TW) - As of 11/10/26 GMT in TWD
Industry : Greater China Technology Hardware

Stock Rating History: 11/1/21 : O/I; 1/9/23 : E/I; 3/15/24 : O/I

Price Target History: 3/22/21 : 168; 3/8/22 : 145; 1/9/23 : 116; 5/11/23 : 115; 3/15/24 : 155; 5/10/24 : 210; 6/26/24 : 255; 7/15/24 : 270; 2/5/25 : 232; 4/23/25 : 175; 5/14/25 : 200; 8/6/25 : 220; 8/14/25 : 250; 11/12/25 : 317; 3/17/26 : 290; 5/15/26 : 310

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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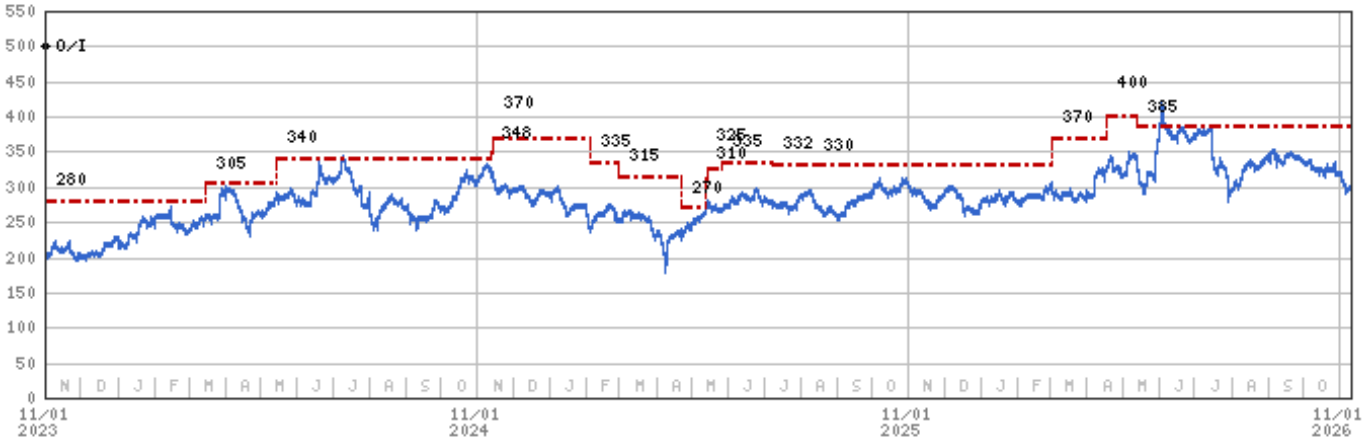
Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Quanta Computer Inc. (2382.TW) - As of 11/10/26 GMT in TWD
Industry : Greater China Technology Hardware



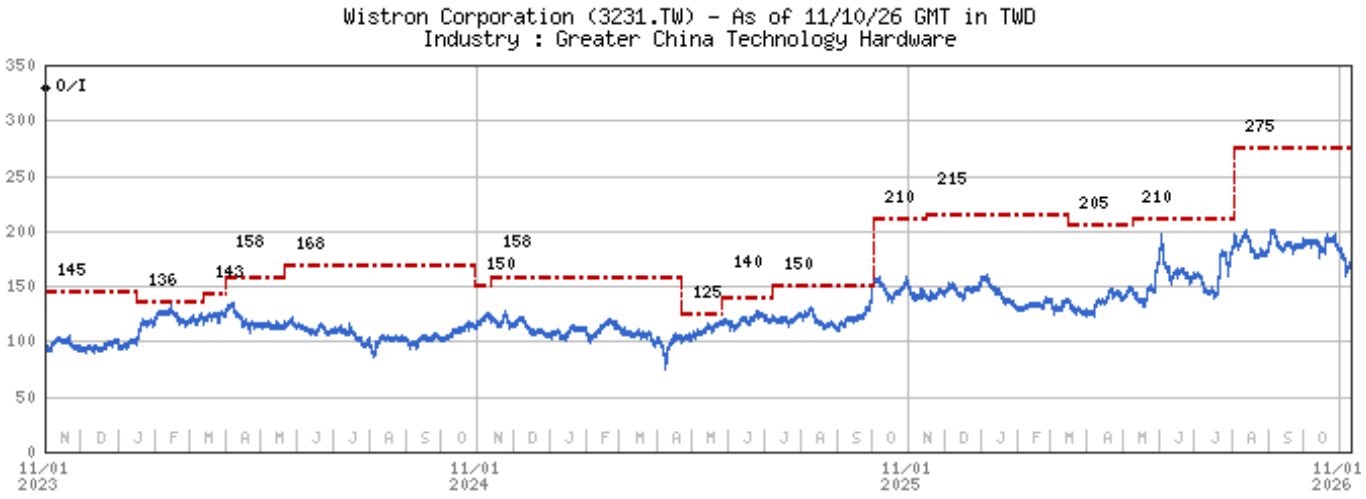
Stock Rating History: 11/1/21 : E/I; 5/1/23 : O/I

Price Target History: 7/28/21 : 85; 11/12/21 : 94; 3/7/22 : 99; 3/16/22 : 98; 5/13/22 : 85; 7/26/22 : 80; 8/13/22 : 82.5; 5/1/23 : 105; 5/12/23 : 110; 7/12/23 : 215; 8/12/23 : 240; 10/17/23 : 280; 3/15/24 : 305; 5/15/24 : 340; 11/12/24 : 348; 11/14/24 : 370; 2/4/25 : 335; 2/28/25 : 315; 4/23/25 : 270; 5/13/25 : 310; 5/14/25 : 325; 5/27/25 : 335; 7/9/25 : 332; 8/13/25 : 330; 3/2/26 : 370; 4/17/26 : 400; 5/14/26 : 385

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.



Stock Rating History: 11/1/21 : E/I; 7/12/23 : O/I

Price Target History: 7/28/21 : 30; 11/6/21 : 32; 5/9/22 : 31; 7/26/22 : 29; 8/8/22 : 30; 11/7/22 : 29; 1/17/23 : 31; 3/15/23 : 34; 5/1/23 : 48.5; 5/12/23 : 47; 7/12/23 : 135; 10/17/23 : 145; 1/18/24 : 136; 3/14/24 : 143; 4/1/24 : 158; 5/22/24 : 168; 10/30/24 : 150; 11/12/24 : 158; 4/23/25 : 125; 5/27/25 : 140; 7/9/25 : 150; 10/2/25 : 210; 11/16/25 : 215; 3/16/26 : 205; 5/9/26 : 210; 8/4/26 : 275

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/10/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$38.54
Accelink Technologies Co. Ltd. (002281.SZ)	O (11/06/2026)	Rmb94.48
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.50
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.08
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.36
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb183.80
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$905.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb25.69
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.10
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.83
Huaqin Co.,Ltd. (3296.HK)	O (11/06/2026)	HK$55.20
Largan Precision (3008.TW)	O (10/13/2026)	NT$5,065.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.68
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.23
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$5.84
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.72
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb51.68
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb5.73
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.35
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb82.10
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$38.38
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK$66.65

Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb126.41
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb12.04
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$30.60
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb252.33
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$89.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb110.98
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.73
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb471.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$594.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$20.22
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.49
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,545.00
Advantech (2395.TW)	O (01/20/2021)	NT$593.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,060.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,790.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$27.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,235.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,530.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.50
Chenbro (8210.TW)	E (11/09/2026)	NT$567.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,310.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,275.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$142.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$56.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,990.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$291.50
Innolux (3481.TW)	E (04/07/2025)	NT$39.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$8,565.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb29.17
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$233.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.60
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.62
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$31.15
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$884.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$32.60
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,365.00
FIT Hon Teng Ltd (6088.HK)	E (11/09/2026)	HK$2.68
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb43.18
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$304.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$983.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$241.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb55.55
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$28.26
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,115.00
Lenovo (0992.HK)	O (07/10/2026)	HK$19.11
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,760.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,005.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$96.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$298.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb70.93
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb208.20
Unimicron (3037.TW)	O (02/23/2026)	NT$828.00

Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$369.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$171.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,680.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$416.50
Zhen Ding (4958.TW)	++	NT$430.50
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$366.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$982.00

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November 10, 2026 04:45 PM GMT

Greater China Semiconductors | Asia Pacific

Old Memory: Peak Pricing Power?

Reduce exposure. Niche memory's pricing advantage is no longer enough. Rising cloud spending uncertainty, weaker consumer demand, and supply-demand normalization into 2028 shift the balance from earnings upside to downside protection.

Key Takeaways

- This report only expresses our view on niche memory (DDR3/4, SLC/MLC, NOR). It does NOT pertain to the global mainstream DDR5 or TLC/QLC NAND market.
- Pricing flexibility cuts both ways. Limited fixed-price LTAs supported faster price hikes vs. mainstream memory – but offer less protection as demand weakens.
- Demand risks are broadening. Cloud spending visibility is deteriorating; our PC semis work points to a deeper consumer correction.
- Scarcity should fade. Updated SLC NAND, MLC NAND, NOR and DDR4 models point to supply-demand normalization, particularly into 2028.

Fundamental snapshot – see the following section for a closer look.

Why we changed our minds – March caution, May upside surprise .

What has changed :

- Pricing power cannot offset weaker demand indefinitely.
- After the US midterms, our US team now expects ~20% of 2028e US data center capacity additions to shift to 2029.
- This could create an air pocket across the tech supply chain in 2028, potentially reducing pricing power and leading to an inventory build.

Supply-demand update – looking beyond the shortage .

Stock implications – downside support, not a reason to stay bullish:

- We downgrade PSMC, Winbond, GigaDevice, and Macronix to EW, downgrade Phison to UW, and lower price targets for AP Memory and Nanya Tech.
- We use 1.0x P/B as our downside valuation anchor, rather than treating peak earnings as a floor. Our July work highlighted book value support for memory IDMs; this is a downside framework, not a guaranteed trading floor or a uniform valuation methodology for fabless companies.
- Slower price hikes, order cuts, and inventory digestion are downside catalysts.
- Renewed cloud-order strength or delayed supply additions are the principal upside risks.

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GREATER CHINA TECHNOLOGY SEMICONDUCTORS

Asia Pacific
Industry View **Attractive**

Company	Rating Change	Old PT	New PT
Winbond	OW -> EW	NT$288	NT$120
GigaDevice	OW -> EW	Rmb750	Rmb259
Powerchip	OW -> EW	NT$111	NT$54
Macronix	OW -> EW	NT$220	NT$90
Nanya Tech	OW	NT$600	NT$550
AP Memory	OW (Top Pick removed)	NT$1,666	NT$1,465
Phison	EW -> UW	NT$2,588	NT$1,357

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AlphaSignals Earnings Reaction

Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS
Phison Electronics Corp (8299.TWO)		
Weakens our thesis	↓ Modest shortfall	↓ Modest revision lower
AP Memory Technology Corp (6531.TW)		
Unchanged	↑ Modest upside	↑ Modest revision higher

Source: Company data, Morgan Stanley Research

A Closer Look at the Fundamentals

Why we changed our minds – March caution, May upside surprise

We downgraded Winbond and Nanya Tech in March (Old Memory: Turning Selective) as elevated DDR4 pricing encouraged supply responses and customer pushback, pointing to narrower shortages and moderating price hikes. In May, we reversed those calls as lower expected supply from Micron and Hynix, alongside stronger server and enterprise SSD demand, widened the projected supply-demand gap (Old Memory: Upside Surprise Ahead). The distinction matters: March was a selective DDR4 call; today, we see a broader challenge to old memory's pricing durability.

What has changed

Pricing power cannot offset weaker demand indefinitely

Our constructive thesis was that niche memory, with limited fixed-price LTA constraints, could reprice faster and outperform mainstream memory. We now see that flexibility becoming a two-way risk. Rising uncertainty over cloud spending weakens confidence in incremental enterprise demand, while much weaker consumer demand challenges customers' ability to absorb further hikes.

After the US midterms, our US team now expects ~20% of 2028e US data center capacity additions to shift to 2029

This include some projects in Texas and Ohio, as governors introduce new data center legislation (refer to Buy the Drop: AI Investment Opportunities Post the US Midterms by Stephen Byrd). Stephen has shifted ~5GW of US data center capacity additions from 2028 to 2029 (Exhibit 11) – equivalent to 20% of US and 10% of global 2028 capacity additions. This implies a 4% Y/Y decline in US data center GW additions in 2028 before a 38% Y/Y rise in 2029. We now expect global data center additions to increase 9% in 2028 and 20% Y/Y in 2029.

This could create an air pocket across the tech supply chain in 2028, potentially reducing pricing power and leading to an inventory build

Our latest PC semis work highlights procurement pull-ins in 1Q–3Q26, followed by a deeper correction in 4Q, reinforcing the risk that earlier orders overstated underlying consumption (PC Semis: More Divergent Outlooks).

Supply-demand update – looking beyond the shortage

Our revised models for SLC NAND, MLC NAND, NOR, and DDR4 point to progressively more balanced markets, particularly into 2028. We now expect 2028 supply-demand deficits of -3%, -5%, and -1% for SLC NAND, MLC NAND, NOR, with a +1% excess for DDR4. Near-term tightness need not disappear immediately for stocks to de-rate: a narrowing shortage can reduce incremental pricing power before earnings peak. We therefore place

less weight on extrapolating recent ASP gains and more on normalized demand and supply responses and sustainable profitability.

Key Charts and Exhibits

Exhibit 1: What's changed

Company	EPS estimate changes	Reason for EPS estimate changes	Rating/price target changes	Reason for price target changes
Winbond	2026, 2027, 2028 EPS estimates revised +8%, -9%, and -22%	Incorporating 3Q26 actual results; changing dynamics in pricing power	Downgraded to EW; price target down from NT$288 to NT$120	Lower target P/BV multiple, reflecting segment volatility; slightly lower BV estimate
GigaDevice	2026, 2027, 2028 EPS estimates reduced 25%, 36%, and 33%	Changing dynamics in pricing power	Downgraded to EW; price target down from Rmb750 to Rmb259	Earnings estimate revisions; intermediate growth rate down to 8.0% from 11.3% to reflect changing dynamics in pricing power; beta raised to 1.50 from 1.14 to reflect segment volatility
Powerchip	2026, 2027, 2028 EPS estimates revised +10%, -11%, and -11%	Incorporating 2Q26 and 3Q26 actual results; changing dynamics in pricing power	Downgraded to EW; price target down from NT$111 to NT$54	Lower target P/BV multiple, reflecting segment volatility; slightly lower BV estimate
Macronix	2026, 2027, 2028 EPS estimates reduced 14%, 20%, and 21%	Changing dynamics in pricing power	Downgraded to EW; price target down from NT $220 to NT$90	Target P/BV multiple reduced to reflect segment volatility; BV estimate reduced
Nanya Tech	2026 EPS estimate unchanged; 2027 and 2028 EPS estimates lowered 7% and 9%	Changing dynamics in pricing power	Remain OW; PT down from NT $600 to NT$550	Target P/BV multiple reduced to reflect segment volatility; slightly lower BV estimate

AP Memory	2026, 2027, 2028 EPS estimates revised +21%, +2%, and -12%	Incorporating 3Q26 preliminary results; supply chain uncertainties into 2028	Remain OW but removed as Top Pick; price target down from NT$1,666 to NT$1,465	Earnings estimate revisions
Phison	2026, 2027, 2028 EPS estimates revised	Revised GM assumptions	Downgrade to UW; price target down from NT $2,588 to NT $1,357	Earnings estimate revisions, lower terminal growth rate, correction of prior RI model error

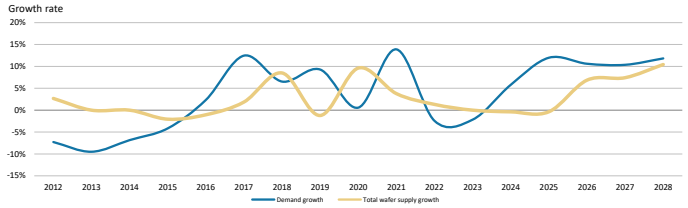
Source: Morgan Stanley Research

Exhibit 2: Order of preference: Greater China memory

	CXMT 688825.SS	AP Memory 6531.TW	Nanya Tech 2408.TW	Macronix 2337.TW	GigaDevice 603986.SS	PSMC 6770.TW	Winbond 2344.TW	Phison 8299.TWO
Rating	Overweight	Overweight	Overweight	Equal-weight	Equal-weight	Equal-weight	Equal-weight	Underweight
Trading Currency	CNY	TWD	TWD	TWD	CNY	TWD	TWD	TWD
Price Target	**88.0**	**1,465.0**	**550.0**	**90.0**	**259.0**	**54.0**	**120.0**	**1,357.0**
Current Price (as of 2026/11/10)	40.5	730.0	383.0	82.1	244.6	59.2	135.0	1,675.0
Upside/(Downside) (%)	117%	101%	44%	10%	6%	-9%	-11%	-19%
Market Cap (in USD mm)	411,514.4	3,605.6	36,029.8	4,522.5	24,464.2	7,567.2	17,223.7	10,427.1
Avg Daily Traded Vol (in USD mm)	2,947.9	106.1	1,006.6	395.4	2,115.4	395.9	722.6	366.5
Street View: Ratings								
Buy/Overweight	88%	100%	93%	80%	100%	100%	100%	73%
Hold/Equal-weight	6%	0%	7%	0%	0%	0%	0%	18%
Sell/Underweight	6%	0%	0%	20%	0%	0%	0%	9%
Bull Case Value	132.0	1,729.0	1,150.0	145.0	448.0	86.0	180.0	1,782.0
Upside (%)	226%	137%	200%	77%	83%	45%	33%	6%
Bear Case Value	40.0	500.0	300.0	41.0	112.0	27.0	50.0	655.0
Downside (%)	-1%	-32%	-22%	-50%	-54%	-54%	-63%	-61%
Risk/Reward Skew	183.0	4.3	9.2	1.5	1.5	0.8	0.5	0.1
Morgan Stanley Estimates								
FY26e	CNY	TWD	TWD	TWD	CNY	TWD	TWD	TWD
Sales	412,611	10,980	405,725	91,400	31,781	75,566	282,441	262,321
EBITDA	379,504	3,791	322,470	54,041	19,958	20,840	169,748	98,889
EBIT	340,684	3,730	310,209	47,525	19,708	13,276	154,137	98,819
EPS	3.28	21.39	75.96	20.17	25.87	6.23	26.96	419.09
FY27e								
Sales	718,168	20,918	688,388	169,350	49,301	102,808	434,309	209,990
EBITDA	644,196	6,878	543,822	122,315	25,444	38,093	275,243	56,117
EBIT	595,805	6,816	520,352	115,904	25,194	30,628	255,066	56,047
EPS	5.61	36.07	123.03	48.58	28.94	5.84	45.59	211.27
FY26 MSe vs. Consensus Mean								
Sales	10.8%	4.1%	2.4%	6.7%	14.6%	-1.6%	1.7%	-7.3%
EBITDA	13.1%	15.3%	4.1%	14.2%	25.7%	-53.5%	5.9%	-4.6%
EBIT	14.2%	18.2%	2.1%	13.2%	38.0%	-62.4%	7.4%	-3.4%
EPS	11.9%	12.1%	-0.6%	10.4%	28.5%	-10.8%	5.8%	-0.2%
FY27 MSe vs. Consensus Mean								
Sales	17.3%	15.9%	7.0%	19.2%	40.5%	-10.3%	-5.7%	-42.3%
EBITDA	15.3%	12.4%	6.0%	37.2%	46.4%	-32.1%	-13.9%	-28.2%
EBIT	20.1%	17.8%	1.7%	36.9%	57.2%	-37.6%	-6.6%	-37.3%
EPS	17.0%	12.3%	-3.0%	32.0%	30.7%	-32.6%	-12.6%	-38.1%
Valuation Multiples at Last Close								
FY26e								
P/E	12.3x	34.1x	5.0x	4.1x	9.5x	9.5x	5.0x	4.0x
EV/EBIT	17.5x	60.3x	4.5x	3.8x	7.5x	2.8x	3.4x	1.8x
EV/EBITDA	7.2x	27.9x	2.8x	3.1x	6.9x	5.2x	3.5x	2.5x
EV/Sales	6.6x	9.6x	2.2x	1.8x	4.3x	1.4x	2.1x	0.9x
FCF Yield	5.5%	2.0%	14.5%	-3.1%	10.4%	42.9%	3.5%	24.5%
FY27e								
P/E	7.2x	20.2x	3.1x	1.7x	8.5x	10.1x	3.0x	7.9x
EV/EBIT	4.0x	15.3x	1.0x	0.6x	5.0x	1.8x	1.5x	4.3x
EV/EBITDA	3.7x	15.2x	0.9x	0.5x	5.0x	1.4x	1.4x	4.3x
EV/Sales	3.3x	5.0x	0.7x	0.4x	2.6x	0.5x	0.9x	1.1x
FCF Yield	12.4%	3.1%	32.4%	70.7%	9.8%	24.0%	37.9%	15.5%
Implied Multiples on MS Price Target								
FY26e								
P/E	26.8x	68.5x	7.2x	4.5x	10.0x	8.7x	4.5x	3.2x
EV/EBIT	17.5x	60.3x	4.5x	3.8x	7.5x	2.8x	3.4x	1.8x
EV/EBITDA	15.7x	59.3x	4.4x	3.3x	7.4x	1.8x	3.1x	1.8x
EV/Sales	14.4x	20.5x	3.5x	2.0x	4.6x	0.5x	1.9x	0.7x
FY27e								
P/E	15.7x	40.6x	4.5x	1.9x	9.0x	9.2x	2.6x	6.4x
EV/EBIT	10.7x	35.3x	3.3x	1.4x	7.9x	7.6x	2.0x	5.1x
EV/EBITDA	9.9x	35.0x	3.2x	1.4x	7.8x	6.1x	1.9x	5.1x
EV/Sales	8.9x	11.5x	2.5x	1.0x	4.0x	2.3x	1.2x	1.4x

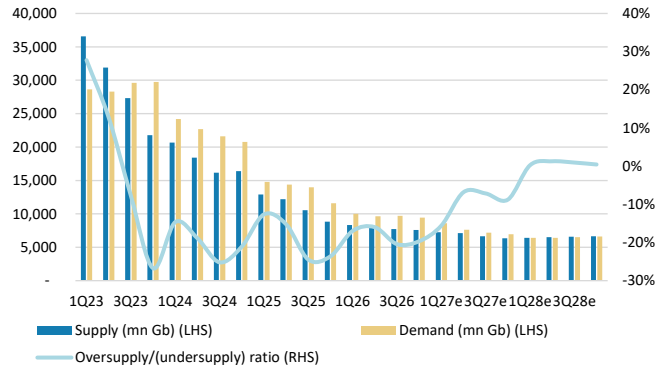
Source: FactSet (consensus mean), Morgan Stanley Research (e) estimates. Priced as of the close, November 10, 2026.

Exhibit 3: NOR flash demand and supply growth rates



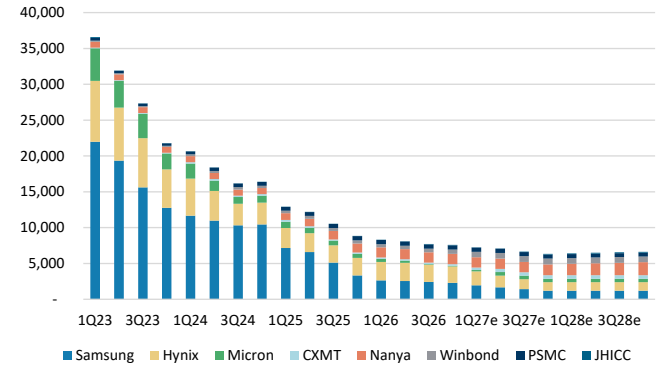
Source: Company data, Morgan Stanley Research

Exhibit 4: DDR4 quarterly supply and demand summary



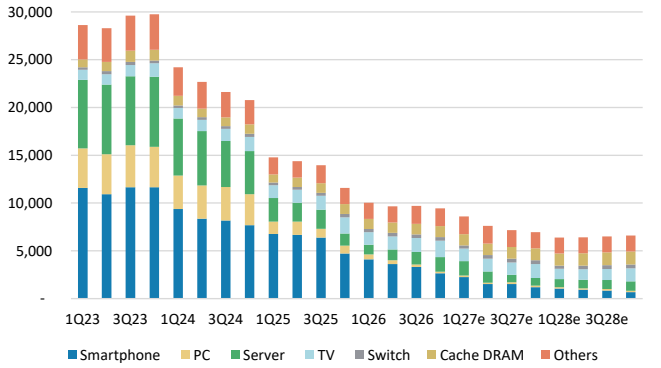
Source: Company data, IDC, Morgan Stanley Research (e) estimates

Exhibit 5: DDR4 quarterly supply breakdown (mn Gb)



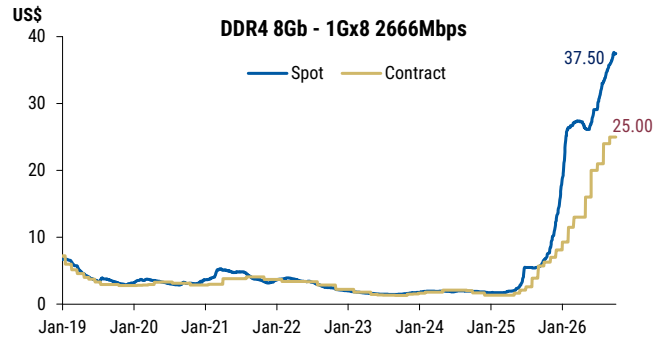
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 6: DDR4 quarterly demand breakdown by product (mn Gb)



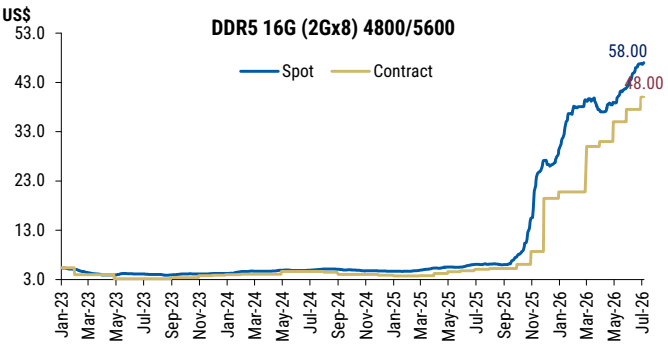
Source: IDC, Morgan Stanley Research (e) estimates

Exhibit 7: DDR4 8Gb (1Gx8) pricing chart



Source: DRAMeXchange, Morgan Stanley Research. Data as of Sep 2026.

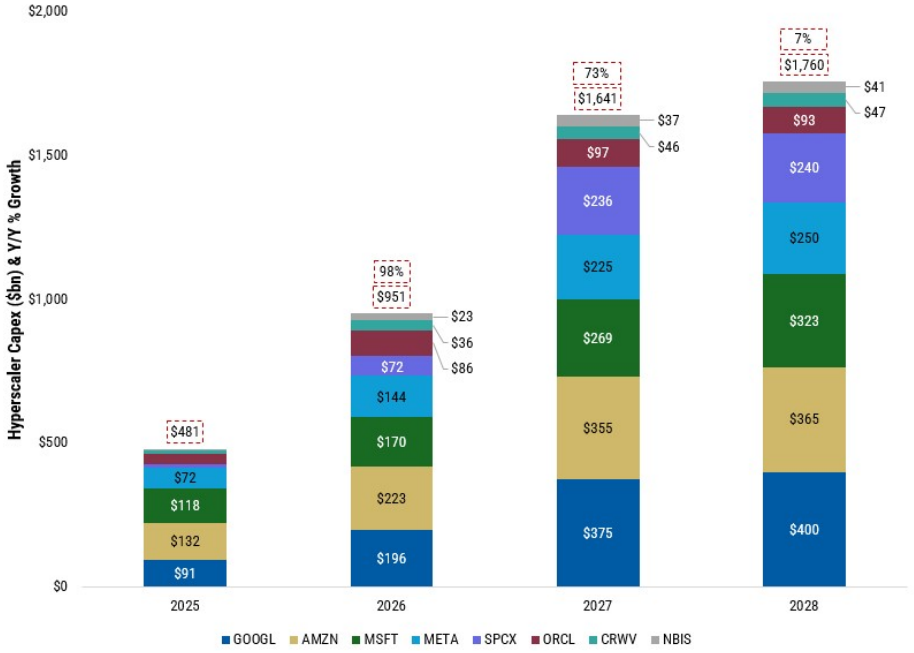
Exhibit 8: DDR5 16Gb (2Gx8) pricing chart



Source: DRAMeXchange, Morgan Stanley Research. Data as of Sep 2026.

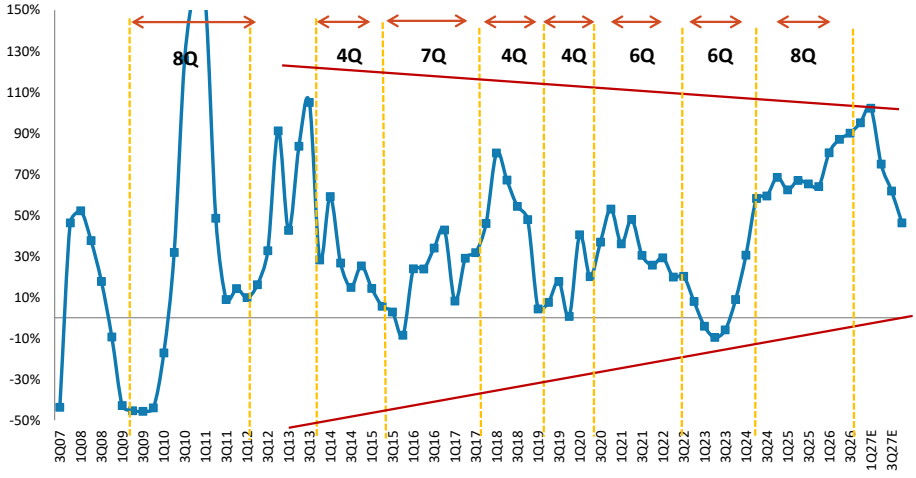
Exhibit 9:

Our hyperscaler capex forecasts remain unchanged at $1.6 trillion in 2027 and $1.8 trillion in 2028…with potential downward bias in 2028 if builds are delayed



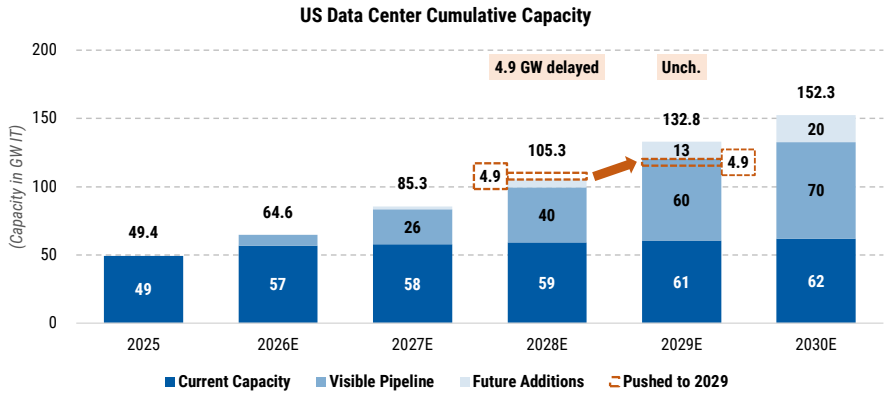
Source: Company data, Morgan Stanley US Research

Exhibit 10: US cloud capex was +90% Y/Y in 3Q26, up from +87% in 2Q26



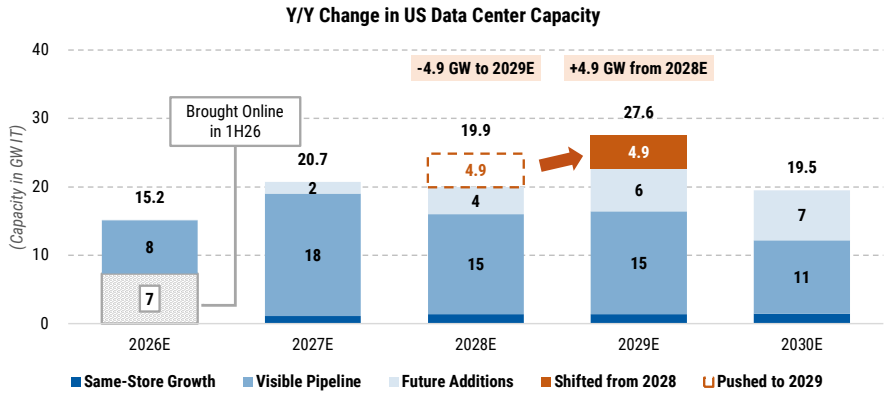
Source: Company data, Morgan Stanley US Research estimates; US cloud capex calculated from Alphabet, Microsoft, Amazon, and Meta

Exhibit 11: Our US team now expects~5 GW of capacity to be delayed from 2028 to 2029, reducing capacity estimates in 2028 while leaving 2029+ unchanged



Source: Morgan Stanley US Research estimates

Exhibit 12: Our US team now expects a y/y incremental 19.9 GW to come online in the US in 2028 and 27.6 GW in 2029; te build-out projection for 2030 is unchanged



Source: Morgan Stanley US Research estimates

Winbond: Estimate Revisions and Quarterly Financials

We adjust our EPS estimates +8% for 2026, -9% for 2027, and -22% for 2028: The 2026 EPS increase reflects 3Q26 actual results. We also factor in a potential peak in pricing power across NOR, SLC, and DDR4. Compared to the previous estimate, we now reduce our flash wafer ASP assumptions throughout 2027-2028 and 26% into 4Q28, and reduce our DRAM ASP per bit estimates throughout 2027-2028 and 23% into 4Q28, without changing our flash or DRAM shipment estimates. Apart from reduced revenue estimates, we also lower our gross margin estimates to account for the reduced ASP estimates. Our changes in net income/EPS estimates are largely a function of changes in our revenue and gross profit estimates. We believe it is a good time to make these changes now as a result of the narrower shortages, moderating price hikes, and potentially delays in 2028 US cloud capex.

Exhibit 13: Winbond: Estimate revisions

NT$ mn	New '26E	Old '26E	Diff.	New '27E	Old '27E	Diff.	New '28E	Old '28E	Diff.
Net sales	282,441	298,818	-5%	434,309	495,128	-12%	456,689	558,647	-18%
COGS	(87,364)	(119,579)		(133,945)	(169,180)		(149,883)	(180,294)	
Gross profit	195,076	179,239	9%	300,363	325,948	-8%	306,806	378,352	-19%
Operating expenses	(44,144)	(41,006)		(45,297)	(46,213)		(46,045)	(47,577)	
Operating profit	150,932	138,233	9%	255,066	279,735	-9%	260,761	330,775	-21%
Non-op. income (exp)	1,241	1,150		(33)	(33)		(53)	(53)	
Pretax Income	152,173	139,383	9%	255,033	279,701	-9%	260,707	330,722	-21%
Taxes	(30,234)	(27,726)		(51,007)	(55,940)		(52,141)	(67,331)	
Net income	122,622	112,009	9%	205,162	224,234	-9%	209,702	263,863	-21%
Reported EPS	**26.96**	**24.89**	**8%**	**45.59**	**49.83**	**-9%**	**46.60**	**59.96**	**-22%**
Margins									
Gross margin	69.1%	60.0%	9.1 ppt	69.2%	65.8%	3.3 ppt	67.2%	67.7%	-0.5 ppt
Operating margin	53.4%	46.3%	7.2 ppt	58.7%	56.5%	2.2 ppt	57.1%	59.2%	-2.1 ppt
Pretax margin	53.9%	46.6%	7.2 ppt	58.7%	56.5%	2.2 ppt	57.1%	59.2%	-2.1 ppt
Net margin	43.4%	37.5%	5.9 ppt	47.2%	45.3%	2.0 ppt	45.9%	47.2%	-1.3 ppt
Opex %	15.6%	13.7%	1.9 ppt	10.4%	9.3%	1.1 ppt	10.1%	8.5%	1.6 ppt

NT$	New '26E	Old '26E	Diff.	New '27E	Old '27E	Diff.	New '28E	Old '28E	Diff.
BVPS	**52.66**	**50.30**	**5%**	**98.30**	**100.18**	**-2%**	**144.95**	**160.19**	**-10%**

Source: Morgan Stanley Research (E) estimates

Exhibit 14: Winbond: Quarterly financials

NT$ in million	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Total Revenues	**19,993**	**21,018**	**21,771**	**26,625**	**38,253**	**59,843**	**82,331**	**102,013**	**104,892**	**107,781**	**109,413**	**112,224**	**113,696**	**114,509**	**114,321**	**114,163**	**89,406**	**282,441**	**434,309**	**456,689**
Sequential Change	*7.0%*	*5.1%*	*3.6%*	*22.3%*	*43.7%*	*56.4%*	*37.6%*	*23.9%*	*2.8%*	*2.8%*	*1.5%*	*2.6%*	*1.3%*	*0.7%*	*-0.2%*	*-0.1%*				
Change vs Year Ago	*-0.6%*	*-2.2%*	*2.1%*	*42.4%*	*91.3%*	*184.7%*	*278.2%*	*283.1%*	*174.2%*	*80.1%*	*32.9%*	*10.0%*	*8.4%*	*6.2%*	*4.5%*	*1.7%*	*9.6%*	*215.9%*	*53.8%*	*5.2%*
Cost of Sales	(14,871)	(16,255)	(11,605)	(15,479)	(17,838)	(20,198)	(24,230)	(25,098)	(30,473)	(33,388)	(34,433)	(35,652)	(37,044)	(37,439)	(37,606)	(37,794)	(58,210)	(87,364)	(133,945)	(149,883)
Percent of Revenues	*74.4%*	*77.3%*	*53.3%*	*58.1%*	*46.6%*	*33.8%*	*29.4%*	*24.6%*	*29.1%*	*31.0%*	*31.5%*	*31.8%*	*32.6%*	*32.7%*	*32.9%*	*33.1%*	*65.1%*	*30.9%*	*30.8%*	*32.8%*
Gross Margin	**5,122**	**4,763**	**10,166**	**11,146**	**20,415**	**39,645**	**58,101**	**76,915**	**74,419**	**74,393**	**74,979**	**76,572**	**76,653**	**77,070**	**76,715**	**76,369**	**31,196**	**195,076**	**300,363**	**306,806**
Percent of Revenues	*25.6%*	*22.7%*	*46.7%*	*41.9%*	*53.4%*	*66.2%*	*70.6%*	*75.4%*	*70.9%*	*69.0%*	*68.5%*	*68.2%*	*67.4%*	*67.3%*	*67.1%*	*66.9%*	*34.9%*	*69.1%*	*69.2%*	*67.2%*
Total Opex	(6,087)	(6,058)	(6,463)	(7,054)	(7,865)	(10,666)	(14,317)	(11,296)	(11,079)	(11,208)	(11,432)	(11,578)	(11,562)	(11,536)	(11,494)	(11,453)	(25,662)	(44,144)	(45,297)	(46,045)
Percent of Revenues	*30.4%*	*28.8%*	*29.7%*	*26.5%*	*20.6%*	*17.8%*	*17.4%*	*11.1%*	*10.6%*	*10.4%*	*10.4%*	*10.3%*	*10.2%*	*10.1%*	*10.1%*	*10.0%*	*28.7%*	*15.6%*	*10.4%*	*10.1%*
Operating Income	(965)	(1,295)	3,703	4,092	12,550	28,979	43,784	65,619	63,340	63,185	63,547	64,994	65,090	65,534	65,220	64,917	5,534	150,932	255,066	260,761
Percent of Revenues	*-4.8%*	*-6.2%*	*17.0%*	*15.4%*	*32.8%*	*48.4%*	*53.2%*	*64.3%*	*60.4%*	*58.6%*	*58.1%*	*57.9%*	*57.2%*	*57.2%*	*57.1%*	*56.9%*	*6.2%*	*53.4%*	*58.7%*	*57.1%*
Total Non-operating Income(Loss)	(180)	(524)	(145)	(75)	138	1,039	77	(13)	(3)	(3)	(13)	(13)	(13)	(13)	(13)	(13)	(924)	1,241	(33)	(53)
Profit Before Taxes	(1,146)	(1,819)	3,558	4,017	12,688	30,018	43,861	65,605	63,336	63,182	63,534	64,980	65,077	65,520	65,207	64,903	4,610	152,173	255,033	260,707
Percent of Revenues	*-5.7%*	*-8.7%*	*16.3%*	*15.1%*	*33.2%*	*50.2%*	*53.3%*	*64.3%*	*60.4%*	*58.6%*	*58.1%*	*57.9%*	*57.2%*	*57.2%*	*57.0%*	*56.9%*	*5.2%*	*53.9%*	*58.7%*	*57.1%*
Taxes	159	188	(857)	(922)	(2,571)	(5,820)	(8,723)	(13,121)	(12,667)	(12,636)	(12,707)	(12,996)	(13,015)	(13,104)	(13,041)	(12,981)	(1,433)	(30,234)	(51,007)	(52,141)
Tax Rate	*13.9%*	*10.3%*	*24.1%*	*23.0%*	*20.3%*	*19.4%*	*19.9%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*31.1%*	*19.9%*	*20.0%*	*20.0%*
Reported Income (TW GAAP)	**(1,091)**	**(1,312)**	**2,943**	**3,422**	**10,114**	**24,317**	**35,422**	**52,768**	**50,953**	**50,830**	**51,111**	**52,268**	**52,346**	**52,700**	**52,449**	**52,207**	**3,962**	**122,622**	**205,162**	**209,702**
Percent of Revenues	*-5.5%*	*-6.2%*	*13.5%*	*12.9%*	*26.4%*	*40.6%*	*43.0%*	*51.7%*	*48.6%*	*47.2%*	*46.7%*	*46.6%*	*46.0%*	*46.0%*	*45.9%*	*45.7%*	*4.4%*	*43.4%*	*47.2%*	*45.9%*
Change vs Year Ago	*0.0%*	*0.0%*	*N.A.*	*0.0%*	*0.0%*	*0.0%*	*N.A.*	*N.A.*	*403.8%*	*109.0%*	*44.3%*	*N.A.*	*2.7%*	*3.7%*	*2.6%*	*N.A.*	*559.2%*	*2995.0%*	*67.3%*	*2.2%*
Reported EPS (NT$, TW GAAP)	**(0.24)**	**(0.29)**	**0.65**	**0.76**	**2.25**	**5.40**	**7.58**	**11.73**	**11.32**	**11.30**	**11.36**	**11.62**	**11.63**	**11.71**	**11.66**	**11.60**	**0.88**	**26.96**	**45.59**	**46.60**
Sequential Change	*61%*	*20%*	*-324%*	*16%*	*196%*	*140%*	*40%*	*55%*	*-3%*	*0%*	*1%*	*2%*	*0%*	*1%*	*0%*	*0%*	*493.9%*	*2961.9%*	*69.1%*	*2.2%*
Change vs Year Ago	*118%*	*N.A.*	*N.A.*	*N.A.*	*N.A.*	*N.A.*	*1059%*	*1442%*	*404%*	*109%*	*50%*	*N.A.*	*3%*	*4%*	*3%*	*N.A.*				
Book value per share	**21.8**	**21.0**	**22.5**	**25.4**	**27.6**	**33.0**	**46.0**	**52.7**	**64.0**	**75.3**	**86.7**	**98.3**	**109.9**	**0.0**	**13.8**	**13.4**	**25.4**	**52.7**	**98.3**	**145.0**

Source: Company data, Morgan Stanley Research (E) estimates

Winbond: Valuation Methodology

We cut our price target to NT$120

We continue to apply P/B multiple methodology to derive our price target, in line with our approach for Greater China memory IDM peers and in view of the industry's high earnings volatility. Our price target (base case scenario value) is set at 1.2x 2027e BVPS vs. our prior target multiple of 2.9x 2027e BVPS, to reflect the potential peak in pricing power. Our 1.2x target P/B is above our 1.0x P/B valuation anchor – we still favor the company's CUBE and S-SiCap businesses for their long-term potential. We see 1.0x P/B as the downside valuation anchor because book value provides a psychological support level for capital-intensive IDM/foundry stocks during cyclical downturns. When earnings are temporarily depressed, investors typically place greater weight on the underlying net asset base.

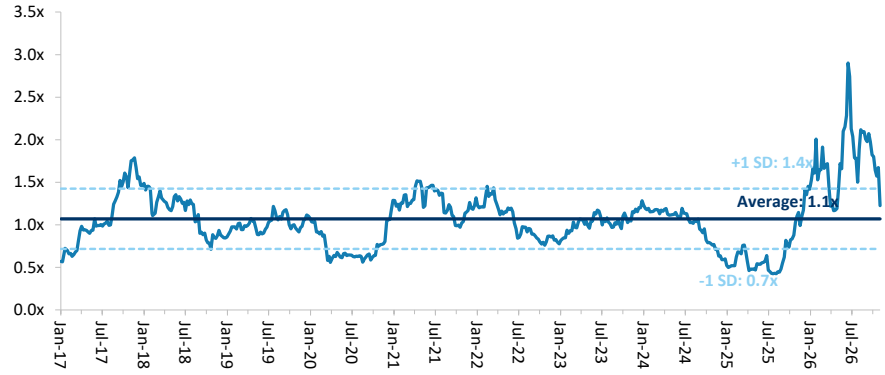
Our base case value/price target cut of 58% is almost entirely a function of reduced target multiple, rather than change in 2027e BVPS, which declines only 2% in our new estimate.

Our bull case value is reduced from NT$342 to NT$180, and our bear case value is reduced from NT$118 to NT$50, based on 1.8x and 0.5x 2027e BVPS, respectively (previously 3.4x and 1.2x).

We downgrade Winbond to EW

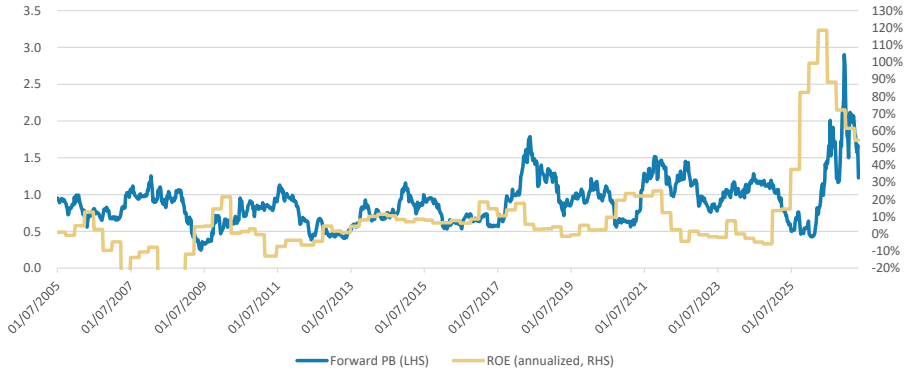
We continue to like the CUBE and S-SiCap businesses for longer-term potential, but we see near-term pressure from NOR, SLC NAND, and DDR4 businesses, in all of which industry supply is ramping faster than demand is increasing, especially as global cloud capex may face partial delay from 2028 to 2029. We believe the stock still has strong valuation support at 1.0-1.2x P/B, and therefore we believe an EW rating is fair.

Exhibit 15: Winbond: Historical forward P/B



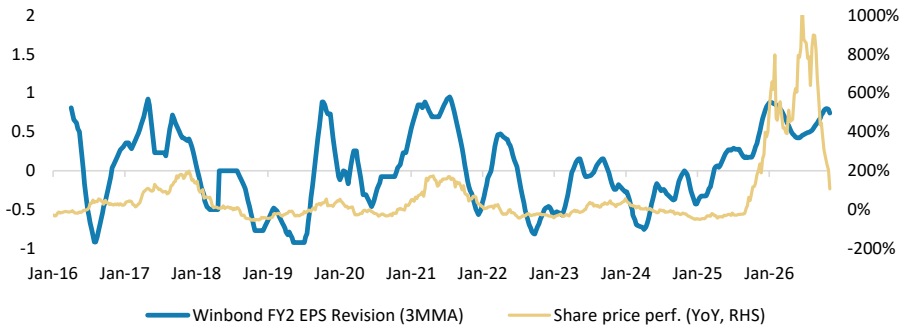
Source: Company data, Morgan Stanley Research estimates

Exhibit 16: Winbond: Historical Forward P/B vs. ROE



Source: Company data, Morgan Stanley Research estimates

Exhibit 17: Winbond: earnings estimate revision breadth



Source: Company data, Morgan Stanley Research estimates

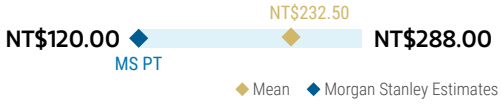
Risk Reward – Winbond Electronics Corp (2344.TW)

Pricing power may be peaking; still positive on CUBE and SiCap; EW

PRICE TARGET NT$120.00

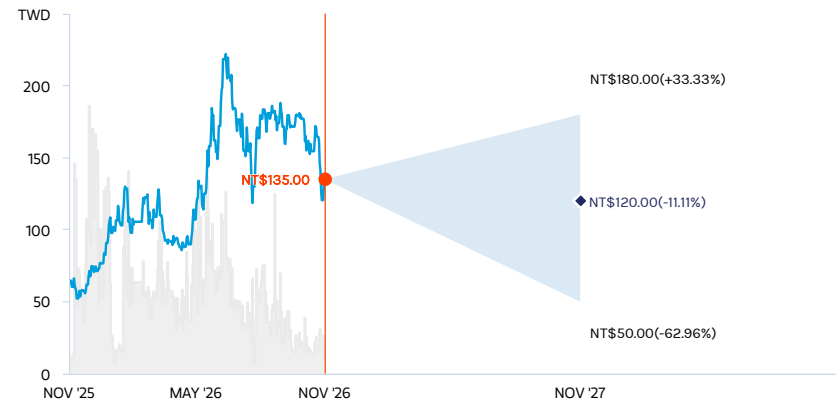
Base case, 1.2x 2027e P/B. This method is in line with the approach we adopt for Greater China memory IDM peers, in view of the industry's high volatility. Our target P/B is above our 1.0x P/B valuation anchor becaiuse we still favor the company's CUBE and S-SiCap businesses for their long-term potential.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



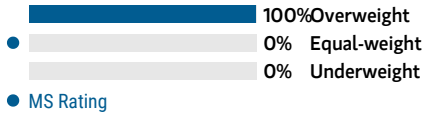
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Rising uncertainty over cloud spending weakens confidence in incremental enterprise demand, while much weaker consumer demand challenges customers' ability to absorb further price hikes
- Capacity expansion captures market upside but may create utilization or margin issues should pricing peak.
- We share management's view that CUBE could be meaningful in 2026, given engagement with multiple foundry partners and customers.
- We see potential for several headwinds for the logic business.
- Our price target implies 1.2x 2027e P/B, above our 1.0x P/B valuation anchor. Wwe still favor the company's CUBE and S-SiCap businesses for their long term potential

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE NT$180.00

1.8x 2027e BVPS

Stronger pricing trends: Flash wafer prices increase 30%+ Y/Y in 2027 and 10%+ Y/Y in 2028; DRAM ASP per bit rises 40%+ Y/Y in 2027 and 10%+ Y/Y in 2028.

BASE CASE NT$120.00

1.2x 2027e BVPS

Stabilizing ASP: Flash wafer prices increase 22% Y/Y in 2027 and decline 7% Y/Y in 2028; DRAM ASP per bit rises 25% Y/Y in 2027 and 1% Y/Y in 2028.

BEAR CASE NT$50.00

0.5x 2027e BVPS

Worse pricing trends than expected: Flash wafer prices increase 10% Y/Y in 2027 and decline 20%+ Y/Y in 2028; DRAM ASP per bit rises 10% Y/Y in 2027 and decline 10% Y/Y in 2028.

Risk Reward – Winbond Electronics Corp (2344.TW)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
NOR ASP (%)	9	138	22	(7)
DRAM ASP (%)	(3)	273	25	1
Mobile RAM sales (NT$, mn)	5,302	22,533	36,116	37,440
DRAM sales (NT$, mn)	27,024	161,872	280,869	304,358
Flash sales (NT$, mn)	31,890	88,496	120,417	111,644

INVESTMENT DRIVERS

- DRAM pricing
- NOR pricing
- Technology migration

GLOBAL REVENUE EXPOSURE

- 0-10% Europe ex UK
- 0-10% India
- 0-10% Japan
- 0-10% MEA
- 0-10% North America
- 0-10% UK
- 20-30% APAC, ex Japan, Mainland China and India
- 40-50% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- NOR Flash pricing increase, driven by stronger-than-expected demand
- Stronger-than-expected DRAM pricing given ongoing supply shortage
- Faster-than-expected SLC NAND development

RISKS TO DOWNSIDE

- NOR Flash down-cycle, driven by weaker demand
- Lower-than-expected DRAM pricing given ongoing oversupply
- Slower-than-expected SLC NAND development

OWNERSHIP POSITIONING

Inst. Owners, % Active 65.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT$, mn)	259,066	282,441 / 277,823	298,818
EBITDA (NT$, mn)	144,611	169,748 / 160,309	175,722
Net income (NT$, mn)	99,220	125,736 / 114,243	130,650
EPS (NT$)	22.05	26.96 / 25.47	29.03

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Winbond: Financial Summary

Exhibit 18: Financial summary

Income Statement

NT$mn (Years End Dec)	2025	2026E	2027E	2028E
Net sales	89,406	282,441	434,309	456,689
COGS	(58,210)	(87,364)	(133,945)	(149,883)
Depreciation Expense	(12,683)	(15,219)	(19,785)	(25,721)
Variable Cost	(26,224)	(52,437)	(94,368)	(99,840)
Gross profit	31,196	195,076	300,363	306,806
Operating expenses	(25,662)	(44,144)	(45,297)	(46,045)
Operating income	**5,534**	**150,932**	**255,066**	**260,761**
Non-operating income	(924)	1,241	(33)	(53)
Pre-tax income	4,610	152,173	255,033	260,707
Income tax	(649)	(29,552)	(49,871)	(51,005)
Reported net Income	**3,962**	**122,622**	**205,162**	**209,702**
Adj.wtd.avg.shrs(m)	4,500	4,500	4,500	4,500
Reported EPS (NT$)	**0.88**	**26.96**	**45.59**	**46.60**
Modelware EPS (NT$)	**0.88**	**26.96**	**45.59**	**46.60**

Balance Sheet

NT$mn (Years End Dec)	2025	2026E	2027E	2028E
Cash	15,734	35,326	249,235	484,872
Mkt Securities	13,347	13,347	13,347	13,347
AR/NR	16,071	58,941	64,840	65,961
Inventory	25,758	109,835	120,828	122,916
Other	2,281	2,281	2,281	2,281
Current Assets	73,191	219,730	450,532	689,377
Long-term investments	19,266	19,073	19,013	18,973
Fixed assets	93,800	88,581	78,796	53,075
Other assets	5,935	5,935	5,935	5,935
Total Assets	192,192	333,319	554,275	767,360
S/T borrowings	2,739	2,739	2,739	2,739
AP/NP	8,224	17,313	24,593	26,071
Other ST liabilities	35,652	44,846	53,138	54,821
LT debt	26,399	26,399	26,399	26,399
Other LT liabilities	5,048	5,048	5,048	5,048
Total Liabilities	**78,062**	**96,345**	**111,918**	**115,078**
Common stocks	45,000	45,000	45,000	45,000
Preferred stocks	0	0	0	0
Capital Resaerve	13,752	13,752	13,752	13,752
Retained earning	49,184	172,028	377,412	587,336
Other shareholders' equity	0	0	0	0
Total Equity	114,130	236,974	442,358	652,282
Total Liab. & Shrhldr's Equity	**192,192**	**333,319**	**554,275**	**767,360**
BVPS	**25.4**	**52.7**	**98.3**	**145.0**

Cash Flow Statement

NT$mn (Years End Dec)	2025	2026E	2027E	2028E
Cashflow from Operations	**11,183**	**38,349**	**232,666**	**244,393**
Net profits	3,177	122,622	205,162	209,702
Depreciation	12,308	15,219	19,785	25,721
Working Capital Change	(3,909)	(117,857)	(9,613)	(1,731)
Other adjustments	(394)	18,365	17,331	10,702
Cashflow from Investing	**(7,658)**	**(18,132)**	**(10,331)**	**9,649**
Capex	(5,296)	(10,000)	(10,000)	(10,000)
Change of LT Investment	0	0	0	0
Change of ST Investment	(971)	0	0	0
Other adjustments	(1,391)	(8,132)	(331)	19,649
Cashflow from financing	**(1,561)**	**(625)**	**(8,425)**	**(18,405)**
Increase in L/T debt	(1,698)	0	0	0
Increase in S/T debt	777	0	0	0
Cash Dividend Paid	0	0	0	0
Dir& Emp Bonus Paid	0	0	0	0
Other adjustments	(640)	(625)	(8,425)	(18,405)
Exchange rate adjustment	(330)	0	(0)	0
Net change in cash	**1,633**	**19,592**	**213,909**	**235,637**

Financial Ratio

	2025	2026E	2027E	2028E
Growth(%)				
Turnover	9.6	215.9	53.8	5.2
Margins (%)				
Gross Margin	34.9	69.1	69.2	67.2
Operating Margin	6.2	53.4	58.7	57.1
EBITA Margin	-8.0	48.1	54.2	51.5
Pretax Margin	5.2	53.9	58.7	57.1
Net Profit	4.4	43.4	47.2	45.9
Return (%)				
ROAE	4.3	113.6	88.9	48.1
ROAA	2.1	46.7	46.2	31.7
Gearing (%)				
Net Debt/Equity	31.9	7.1	(44.6)	(66.3)
Liabilities/Equity	68.4	40.7	25.3	17.6
Ratios (X)				
Current ratio	1.6	3.4	5.6	8.2
Quick ratio	0.7	1.5	3.9	6.6
Others				
AR/NR Turnover (days)	45	53	48	52
Inventory Turnover (days)	107	102	88	97
AP Turnover (days)	45	52	72	67
Cash Conversion (days)	107	104	64	82

Source: Company data, Morgan Stanley Research (E) estimates

GigaDevice: Estimate Revisions and Quarterly Financials

We cut our EPS estimates 25% for 2026, 36% for 2027, and 33% for 2028: The 2026e EPS change mainly reflects actual 2Q26 and 3Q26 results. The 2027e and 2028e EPS changes reflect a potential peak in pricing power across DDR4, NOR Flash, and SLC NAND. We now reduce our DRAM and others revenue estimates throughout 2027-2028 and 43% into 4Q28, mainly reflecting changes in our DDR4 ASP estimates. We also reduce our Flash (including NOR and SLC NAND) ASP estimates throughout 2027-2028 and 25% into 4Q28, without changing our Flash shipment estimates. We did not materially change our GM assumptions. Our changes in net income/EPS estimates are largely a function of changes in our revenue and gross profit estimates. We believe it is a good time to make these changes now as a result of the narrower shortages, moderating price hikes, and potential delay in 2028 US cloud capex.

Exhibit 19: GigaDevice: Estimate revisions

	Current	Previous		Current	Previous		Current	Previous	
Rmb mn	**2026E**	**2026E**	**Diff.**	**2027E**	**2027E**	**Diff.**	**2028E**	**2028E**	**Diff.**
Net sales	31,781	38,638	-18%	49,301	66,329	-26%	58,223	76,136	-24%
COGS	8,791	8,251		20,803	27,613		24,527	31,692	
Gross profit	22,990	30,387	-24%	28,499	38,715	-26%	33,696	44,443	-24%
Operating expenses	3,281	3,480		3,305	4,176		3,590	4,573	
Operating profit	19,708	26,907	-27%	25,194	34,539	-27%	30,106	39,870	-24%
Non-op. income (exp.)	757	(125)		(2,122)	20		(2,122)	20	
Pretax Income	20,465	26,782	-24%	23,072	34,559	-33%	27,984	39,890	-30%
Taxes	2,145	2,393		2,458	2,904		2,982	3,352	
Net income	18,236	24,345	-25%	20,504	31,610	-35%	24,892	36,493	-32%
Reported EPS (Rmb)	**25.87**	**34.72**	**-25%**	**28.94**	**45.09**	**-36%**	**35.13**	**52.05**	**-33%**
Margins									
Gross margin	72.3%	78.6%	-6.3%	57.8%	58.4%	-0.6%	57.9%	58.4%	-0.5%
Operating margin	62.0%	69.6%	-7.6%	51.1%	52.1%	-1.0%	51.7%	52.4%	-0.7%
Pretax margin	64.4%	69.3%	-4.9%	46.8%	52.1%	-5.3%	48.1%	52.4%	-4.3%
Net margin	57.4%	63.0%	-5.6%	41.6%	47.7%	-6.1%	42.8%	47.9%	-5.2%

Source: Morgan Stanley Research (E) estimates

Exhibit 20: GigaDevice: Quarterly financials

Rmb mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Total Revenues	**1,909**	**2,241**	**2,681**	**2,372**	**4,188**	**7,378**	**8,732**	**11,483**	**11,643**	**12,024**	**12,516**	**13,119**	**13,489**	**14,126**	**14,882**	**15,727**	**9,203**	**31,781**	**49,301**	**58,223**
Sequential Change	*11.9%*	*17.4%*	*19.6%*	*-11.5%*	*76.6%*	*76.2%*	*18.4%*	*31.5%*	*1.4%*	*3.3%*	*4.1%*	*4.8%*	*2.8%*	*4.7%*	*5.4%*	*5.7%*				
Change vs Year Ago	*17.3%*	*13.1%*	*31.4%*	*39.0%*	*119.4%*	*229.2%*	*225.6%*	*384.2%*	*178.0%*	*63.0%*	*43.3%*	*14.2%*	*15.9%*	*17.5%*	*18.9%*	*19.9%*	*25.1%*	*245.3%*	*55.1%*	*18.1%*
Cost of Sales	1,194	1,412	1,589	1,307	1,798	2,467	2,591	1,936	4,913	5,071	5,288	5,530	5,669	5,955	6,283	6,621	5,502	8,791	20,803	24,527
Percent of Revenues	*63%*	*63%*	*59%*	*55%*	*43%*	*33%*	*30%*	*17%*	*42%*	*42%*	*42%*	*42%*	*42%*	*42%*	*42%*	*42%*	*60%*	*28%*	*42%*	*42%*
Gross Profit	**715**	**830**	**1,092**	**1,065**	**2,390**	**4,911**	**6,140**	**9,548**	**6,729**	**6,953**	**7,228**	**7,589**	**7,821**	**8,171**	**8,599**	**9,106**	**3,701**	**22,990**	**28,499**	**33,696**
Percent of Revenues	*37.4%*	*37.0%*	*40.7%*	*44.9%*	*57.1%*	*66.6%*	*70.3%*	*83.1%*	*57.8%*	*57.8%*	*57.7%*	*57.8%*	*58.0%*	*57.8%*	*57.8%*	*57.9%*	*40.2%*	*72.3%*	*57.8%*	*57.9%*
Incremental Margin	*73%*	*35%*	*60%*	*NM*	*73%*	*79%*	*91%*	*124%*	*-1769%*	*59%*	*56%*	*60%*	*63%*	*55%*	*57%*	*60%*	*49%*	*85%*	*31%*	*58%*
Total Opex	540	545	574	518	666	811	856	948	782	806	837	880	845	874	911	960	2,176	3,281	3,305	3,590
Percent of Revenues	*28.3%*	*24.3%*	*21.4%*	*21.8%*	*15.9%*	*11.0%*	*9.8%*	*8.3%*	*6.7%*	*6.7%*	*6.7%*	*6.7%*	*6.3%*	*6.2%*	*6.1%*	*6.1%*	*23.6%*	*10.3%*	*6.7%*	*6.2%*
R&D	292	276	292	257	358	406	441	461	290	300	315	335	290	300	315	335	1,117	1,666	1,240	1,240
Percent of Revenues	*15.3%*	*12.3%*	*10.9%*	*10.8%*	*8.6%*	*5.5%*	*5.0%*	*4.0%*	*2.5%*	*2.5%*	*2.5%*	*2.6%*	*2.1%*	*2.1%*	*2.1%*	*2.1%*	*12.1%*	*5.2%*	*2.5%*	*2.1%*
General & administrative	136	156	161	160	174	230	217	227	228	233	238	248	249	254	259	269	612	849	949	1,033
Percent of Revenues	*7.1%*	*6.9%*	*6.0%*	*6.7%*	*4.2%*	*3.1%*	*2.5%*	*2.0%*	*2.0%*	*1.9%*	*1.9%*	*1.9%*	*1.8%*	*1.8%*	*1.7%*	*1.7%*	*6.7%*	*2.7%*	*1.9%*	*1.8%*
Selling & marketing	112	113	121	101	134	175	198	260	263	272	283	297	305	320	337	356	446	766	1,116	1,318
Percent of Revenues	*5.8%*	*5.0%*	*4.5%*	*4.3%*	*3.2%*	*2.4%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*4.8%*	*2.4%*	*2.3%*	*2.3%*
Operating Income	**175**	**285**	**518**	**547**	**1,724**	**4,100**	**5,285**	**8,600**	**5,947**	**6,147**	**6,391**	**6,708**	**6,976**	**7,297**	**7,688**	**8,145**	**1,526**	**19,708**	**25,194**	**30,106**
Percent of Revenues	*9.2%*	*12.7%*	*19.3%*	*23.1%*	*41.2%*	*55.6%*	*60.5%*	*74.9%*	*51.1%*	*51.1%*	*51.1%*	*51.1%*	*51.7%*	*51.7%*	*51.7%*	*51.8%*	*16.6%*	*62.0%*	*51.1%*	*51.7%*
Change vs Year Ago	*12.7%*	*19.4%*	*36.9%*	*1331.9%*	*883.7%*	*1338.4%*	*920.2%*	*1471.3%*	*245.0%*	*49.9%*	*20.9%*	*-22.0%*	*17.3%*	*18.7%*	*20.3%*	*21.4%*	*88%*	*1192%*	*28%*	*19%*
Total Non-operating Income(Loss)	60	75	10	35	(103)	1,945	(543)	(543)	(530)	(530)	(530)	(530)	(530)	(530)	(530)	(530)	181	757	(2,122)	(2,122)
Profit Before Taxes	**236**	**360**	**528**	**583**	**1,621**	**6,045**	**4,742**	**8,057**	**5,417**	**5,617**	**5,861**	**6,178**	**6,445**	**6,766**	**7,157**	**7,615**	**1,706**	**20,465**	**23,072**	**27,984**
Percent of Revenues	*12%*	*16%*	*20%*	*25%*	*39%*	*82%*	*54%*	*70%*	*47%*	*47%*	*47%*	*47%*	*48%*	*48%*	*48%*	*48%*	*19%*	*64%*	*47%*	*48%*
Taxes	(4)	12	11	10	149	633	505	858	577	598	624	658	687	721	763	811	29	2,145	2,458	2,982
Tax Rate	*-1.7%*	*3.4%*	*2.1%*	*1.7%*	*9.2%*	*10.5%*	*10.7%*	*10.7%*	*10.7%*	*10.7%*	*10.7%*	*10.7%*	*10.7%*	*10.7%*	*10.7%*	*10.7%*	*1.7%*	*10.5%*	*10.7%*	*10.7%*
Net Income, Cont Ops	240	348	517	573	1,473	5,412	4,236	7,198	4,840	5,019	5,236	5,520	5,759	6,045	6,395	6,804	1,677	18,320	20,614	25,002
Percent of Revenues	*13%*	*16%*	*19%*	*24%*	*35%*	*73%*	*49%*	*63%*	*42%*	*42%*	*42%*	*42%*	*43%*	*43%*	*43%*	*43%*	*18%*	*58%*	*42%*	*43%*
Reported Income	**235**	**341**	**508**	**565**	**1,461**	**5,396**	**4,209**	**7,171**	**4,812**	**4,991**	**5,209**	**5,492**	**5,731**	**6,018**	**6,367**	**6,776**	**1,648**	**18,236**	**20,504**	**24,892**
Percent of Revenues	*12%*	*15%*	*19%*	*24%*	*35%*	*73%*	*48%*	*62%*	*41%*	*42%*	*42%*	*42%*	*42%*	*43%*	*43%*	*43%*	*18%*	*57%*	*42%*	*43%*
Change vs Year Ago	*15%*	*9%*	*61%*	*109%*	*523%*	*1483%*	*729%*	*1170%*	*229%*	*-7%*	*24%*	*-23%*	*19%*	*21%*	*22%*	*23%*	*49%*	*1007%*	*12%*	*21%*
Reported EPS (Rmb)	**0.35**	**0.51**	**0.76**	**0.85**	**2.08**	**7.70**	**5.94**	**10.12**	**6.79**	**7.04**	**7.35**	**7.75**	**8.09**	**8.49**	**8.99**	**9.56**	**2.48**	**25.87**	**28.94**	**35.13**
Change vs Year Ago	*15%*	*10%*	*61%*	*108%*	*490%*	*1399%*	*679%*	*1097%*	*226%*	*-8%*	*24%*	*-23%*	*19%*	*21%*	*22%*	*23%*	*50%*	*945%*	*12%*	*21%*

Source: Company data, Morgan Stanley Research (E) estimates

GigaDevice: Valuation Methodology

We cut our price target to Rmb259

We continue to derive our price target, which is our base case value, from a residual income model. We believe this best captures the stock's long-term value.

Our base case value cut of 65% can be attributed ~33% to earnings estimate revisions, as has been elaborated, and ~33% from multiple compression, driven by intermediate growth rate cut and beta increase. (Note: the overall price target change is calculated from the fully revised RI model. The individual contribution estimates are illustrative and should not be added together or compounded to derive the overall change.).

We cut our intermediate growth rate to 8.0% from 11.3% to reflect stronger changes in the supply environment compared to the end market demand over the medium to long term. The potential peak in pricing power for niche memory (DDR4, SLC, MLC, NOR) and the potential delay of 2028 US cloud capex now suggest slower revenue growth for GigaDevice from 2026 to 2036. We think a 3.3ppt p.a. growth rate cut reflects the new supply/demand dynamics with a closer gap.

We also raise our beta to 1.50 from 1.14, leading our cost of equity assumption to rise to 11.8% from 9.4%. This reflects a cautious valuation scenario, to account for the recent memory segment volatility, 70%+ correction from the stock price peak in June, and the fabless model, which does not provide a floor support for valuation similar to the IDM model. The elevated beta reflects the company's exposure to rapidly changing niche memory pricing dynamics that could severely affect earnings with a downward bias compared to our financial forecasts.

Our other key assumptions remain unchanged, including equity risk premium of 6.5%, risk-free rate of 2% and payout ratio of 40%.

Our bull case value falls to Rmb448 from Rmb1,300, and our bear case value to Rmb112 from Rmb324.

We downgrade GigaDevice to EW

We still see the company as a domestic leader in MCU localization and believe its customized DRAM business could show a revenue ramp over the next 1-2 years. We also still like its strategic partnership with CXMT, which provides both capacity support and process tech improvements. However, we see near-term pressure from the NOR, SLC NAND, and DDR4 businesses, in all of which industry supply is ramping faster than demand increase, especially as global cloud capex may face partial delay from 2028 to 2029. Fabless design houses do not face depreciation and utilization issues during a down-cycle, but at the same time they lack a similar valuation anchor as IDM/foundry players from their book value, and therefore we see potentially continued high volatility ahead.

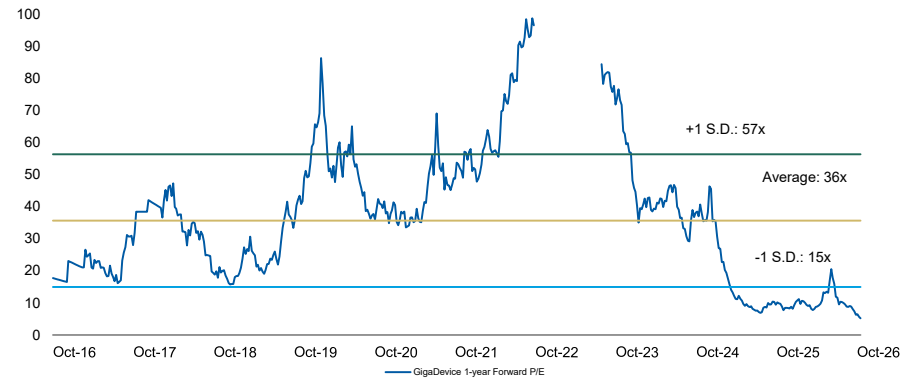
Our new price target implies a 2027e P/E of 9x, below the historical average of 38x since 2016, owing to changes in pricing power.

Exhibit 21: GigaDevice: Residual income model

Rmb mn	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Total Equity	**36,965**	**51,998**	**70,739**	**87,895**	**106,425**	**126,437**	**148,050**	**171,391**	**196,601**	**223,826**	**253,230**	**284,987**
Net Profit	**18,236**	**20,504**	**24,892**	**26,883**	**29,034**	**31,357**	**33,865**	**36,574**	**39,500**	**42,660**	**46,073**	**49,759**
ROAE	**64.9%**	**46.1%**	**40.6%**	**33.9%**	**29.9%**	**26.9%**	**24.7%**	**22.9%**	**21.5%**	**20.3%**	**19.3%**	**18.5%**
Residual Income	10,219	12,696	14,981	15,664	15,938	16,157	16,342	16,506	16,656	16,797	16,934	17,069
Spread	**53.2%**	**34.3%**	**28.8%**	**22.1%**	**18.1%**	**15.2%**	**12.9%**	**11.1%**	**9.7%**	**8.5%**	**7.6%**	**6.7%**
Ending Equity Capital	36,965											
PV of Forecast Period	83,127											
PV of Continuing Value	62,274											
Equity Value	**182,366**											
No. of Shares	705											
Projected Price (Rmb)	**259**											

Source: Morgan Stanley Research (E) estimates

Exhibit 22: GigaDevice: Historical forward P/E



Source: Company data, Morgan Stanley Research estimates

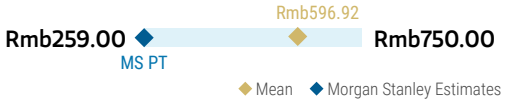
Risk Reward – GigaDevice Semiconductor Beijing Inc (603986.SS)

Cautious on peaking niche DRAM pricing power; EW

PRICE TARGET Rmb259.00

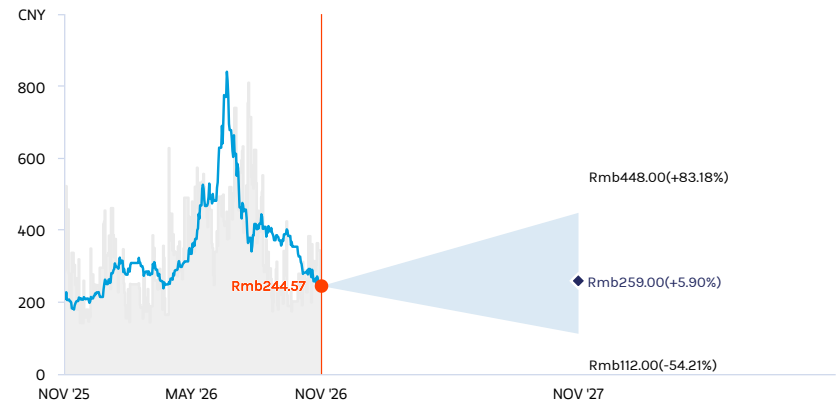
Base case value, derived from our residual income model. Key assumptions: cost of equity of 11.8% (beta 1.5, risk-free rate 2%, and risk premium 6.5%), a payout ratio of 40%, medium-term growth rate of 8.0%, and a terminal growth rate of 2.5%.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



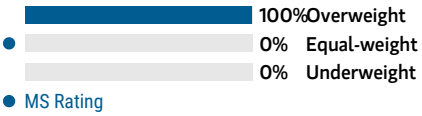
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We expect GigaDevice to continue to gain share in China's MCU market. Auto MCUs offer bigger opportunities as local self-sufficiency is low.
- Rising uncertainty over cloud spending weakens confidence in incremental enterprise demand, while much weaker consumer demand challenges customers' ability to absorb further hikes
- We believe GigaDevice will ramp up 16G LPDDR4 and 32G DDR4 at CXMT's Gen 4 platform in 2027.
- Our price target implies 2027e P/E of 9x, below the historical average of 38x from 2016, reflecting multiple compression amid growth uncertainties.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Negative*
Secular Growth:	*Negative*

View descriptions of Risk Rewards Themes here

BULL CASE Rmb448.00

15x 2027e EPS

NOR, SLC, and DRAM prices continue rising into 2027-28; MCU growth accelerates; meaningful WoW contribution: 1) Flash sales rise 80% and 20% Y/Y in 2027 abd 2028; 2) MCU rises 30% and 20% in 2027 and 2028; 3) meaningful contribution from WoW into 2028; 4) DRAM and others grows 60% and 40% in 2027 and 2028.

BASE CASE Rmb259.00

9x 2027e EPS

NOR, SLC, and DRAM prices stabilizes into 2027/28; MCU growth continues; moderate WoW contribution: 1) Flash sales rise 54% Y/Y in 2027 and 0% Y/Y in 2028; 2) MCU rises 16% and 23% in 2027 and 2028%; 3) moderate contribution from WoW into 2028; 4) DRAM and others rises 36% in 2027 but drops 7% in 2028.

BEAR CASE Rmb112.00

4x 2027e EPS

NOR, SLC, and DRAM prices decline in 2027-28; MCU growth stalls; WoW contribution delays: 1) Flash sales grow 20% Y/Y in 2027 but drop 10% Y/Y in 2028; 2) MCU rises 10% in 2027 but 0% in 2028; 3) limited contribution from WoW into 2028; 4) DRAM and others grows 20% in 2027 but drops 20% in 2028.

Risk Reward – GigaDevice Semiconductor Beijing Inc (603986.SS)

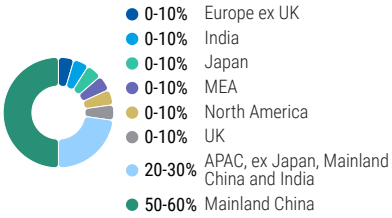
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
NOR Flash ASP growth (%)	4	159	36	0
MCU ASP growth (%)	(8)	0	0	0
Gross margin (%)	40	77	58	58

INVESTMENT DRIVERS

- Beneficiary of MCU localization
- Decreasing opex burden
- Development of AI glasses market

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- NOR up-cycle driven by stronger demand
- Superior chip design, leading to increasing exposure to low-density NOR
- Faster-than-expected DRAM development

RISKS TO DOWNSIDE

- NOR down-cycle driven by weaker demand
- Inferior chip design, leading to increasing exposure to mid-/high-density NOR
- Slower-than-expected DRAM development

OWNERSHIP POSITIONING

Inst. Owners, % Active 86.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn)	18,970.0	27,731.3	31,780.8
EBITDA (Rmb, mn)	12,366.0	15,875.4	19,958
Net income (Rmb, mn)	6,586.0	13,702.5	18,236
EPS (Rmb)	8.9	20.1	25.9

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

GigaDevice: Financial Summary

Exhibit 23: Financial Summary

Income Statement

Rmb mn (Years End Dec)	2025	2026E	2027E	2028E
Net sales	9,203	31,781	49,301	58,223
COGS	(5,502)	(8,791)	(20,803)	(24,527)
Gross profit	3,701	22,990	28,499	33,696
Operating expenses	(2,176)	(3,281)	(3,305)	(3,590)
Operating income	**1,526**	**19,708**	**25,194**	**30,106**
Non-operating income	181	757	(2,122)	(2,122)
Pre-tax income	1,706	20,465	23,072	27,984
Income tax	29	2,145	2,458	2,982
Minority interests	(29)	(83)	(110)	(110)
Reported net Income	**1,648**	**18,236**	**20,504**	**24,892**
Adj.wtd.avg.shrs(m)	666	705	709	709
MW EPS (Rmb)	2.48	25.87	28.94	35.13
Reported EPS (Rmb)	**2.48**	**25.87**	**28.94**	**35.13**

Balance Sheet

Rmb mn (Years End Dec)	2025	2026E	2027E	2028E
Cash	9,186	25,615	36,135	53,392
Mkt Securities	102	102	102	102
AR/NR	199	776	1,203	1,421
Inventory	3,066	4,180	9,892	11,663
Other	873	873	873	873
Current Assets	**13,425**	**31,545**	**48,205**	**67,450**
Long-term investments	4,085	4,085	4,085	4,085
Fixed assets	1,325	1,325	1,325	1,325
Deferred assets	432	432	432	432
Other assets	2,129	2,129	2,129	2,129
Total Assets	**21,397**	**39,516**	**56,176**	**75,421**
S/T borrowings	200	200	200	200
AP/NP	813	1,191	2,818	3,322
Other ST liabilities	934	934	934	934
LT debt	0	0	0	0
Other LT liabilities	226	226	226	226
Total Liabilities	**2,174**	**2,552**	**4,178**	**4,683**
Common shares	668	668	668	668
Additional capital	9,201	9,201	9,201	9,201
Retained earning	8,407	26,149	41,182	59,923
Other shareholders' equity	946	946	946	946
Total Equity	**19,223**	**36,965**	**51,998**	**70,739**
Total Liab. & Shrhldr's Equity	**21,397**	**39,516**	**56,176**	**75,421**

E = Morgan Stanley Research Estimates
Source: Morgan Stanley Research, Company Data

Cash Flow Statement

Rmb mn (Years End Dec)	2025	2026E	2027E	2028E
Cashflow from Operations	**2,032**	**17,173**	**16,242**	**23,657**
Net profits	1,648	18,236	20,504	24,892
Depreciation	250	250	250	250
Working Capital Change	(440)	(1,313)	(4,512)	(1,484)
Other adjustments	574	0	0	0
Cashflow from Investing	**(1,391)**	**(250)**	**(250)**	**(250)**
Capex	(1,049)	(250)	(250)	(250)
Change of LT Investment	(1,886)	0	0	0
Change of ST Investment	0	0	0	0
Other adjustments	1,544	0	0	0
Cashflow from financing	**(517)**	**(494)**	**(5,471)**	**(6,151)**
Increase in L/T debt	0	0	0	0
Increase in S/T debt	(698)	0	0	0
Cash Dividend Paid	(243)	(494)	(5,471)	(6,151)
Dir& Emp Bonus Paid	0	0	0	0
Issuance of stock	516	0	0	0
Other adjustments	(92)	0	0	0
Exchange rate adjustment	21	0	0	0
Net change in cash	**146**	**16,429**	**10,521**	**17,256**

Financial Ratios

	2025	2026E	2027E	2028E
Growth(%)				
Turnover	25.1	245.3	55.1	18.1
Operating profits	88.1	1191.9	27.8	19.5
EPS	49.6	944.9	11.8	21.4
Margins (%)				
Gross Margin	40.2	72.3	57.8	57.9
Operating Margin	16.6	62.0	51.1	51.7
Pretax Margin	18.5	64.4	46.8	48.1
Net Margin	17.9	57.4	41.6	42.8
Return (%)				
ROAE	9.2	64.9	46.1	40.6
ROAA	8.1	59.9	42.9	37.8
Gearing (%)				
Net Debt/Equity	(46.7)	(68.8)	(69.1)	(75.2)
Liabilities/Equity	11.3	6.9	8.0	6.6
Ratios (X)				
Current ratio	6.9	13.6	12.2	15.1
Quick ratio	4.8	11.3	9.4	12.3
Others				
AR/NR Turnover (days)	9	9	9	9
Inventory Turnover (days)	174	174	174	174
AP Turnover (days)	49	49	49	49
Cash Conversion (days)	133	133	133	133

PSMC: Earnings Estimate Revisions

We adjust our EPS forecasts +10% for 2026 and -11% each for 2027 and 2028: The 2026e EPS change mainly reflects actual 2Q26 and 3Q26 results. The 2027e and 2028e EPS changes reflect a potential peak in pricing power across DDR3/3 and SLC NAND. We now reduce our DRAM wafer ASP estimates throughout 2027-2028 and 19% into 4Q28, without changing our DRAM wafer shipment estimates. We did not materially change our GM assumptions. Our changes in net income/EPS estimates are largely a function of changes in our revenue and gross profit estimates. We believe it is a good time to make these changes now as a result of the narrower shortages, moderating price hikes, and potential delay in 2028 US cloud capex.

Exhibit 24: PSMC: Earnings estimate revision summary

(NT$ mn)	New 2026e	Old 2026e	Diff.%	New 2027e	Old 2027e	Diff.%	New 2028e	Old 2028e	Diff.%
Net sales	75,566	77,163	-2%	102,808	107,846	-5%	116,499	123,668	-6%
Gross profit	22,998	18,628	23%	40,866	43,266	-6%	49,738	53,158	-6%
Operating profit	30,584	26,017	18%	33,592	37,386	-10%	41,767	46,559	-10%
Pretax income	31,407	27,772	13%	34,408	38,071	-10%	42,583	47,244	-10%
Net income	28,060	25,164	12%	27,526	30,457	-10%	34,066	37,795	-10%
EPS (NT$)	**6.23**	**5.66**	**10%**	**5.84**	**6.54**	**-11%**	**7.23**	**8.11**	**-11%**
Margins									
Gross margin	30.4%	24.1%		39.8%	40.1%		42.7%	43.0%	
Operating margin	40.5%	33.7%		32.7%	34.7%		35.9%	37.6%	
Pretax margin	41.6%	36.0%		33.5%	35.3%		36.6%	38.2%	
Net margin	37.1%	32.6%		26.8%	28.2%		29.2%	30.6%	

(NT$)	New 2026e	Old 2026e	Diff.%	New 2027e	Old 2027e	Diff.%	New 2028e	Old 2028e	Diff.%
BVPS	43.2	43.1	0.3%	53.5	54.3	-1.5%	65.2	66.7	-2.3%

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 25: PSMC: Quarterly financials

(NT$ mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	1Q28e	2Q28e	3Q28e	4Q28e	2025	2026e	2027e	2028e
Total Revenues	**11,116**	**11,278**	**11,840**	**12,495**	**13,572**	**17,290**	**21,342**	**23,362**	**24,292**	**25,447**	**26,195**	**26,875**	**27,818**	**28,820**	**29,587**	**30,275**	**46,730**	**75,566**	**102,808**	**116,499**
Sequential Change	*-0.1%*	*1.5%*	*5.0%*	*5.5%*	*8.6%*	*27.4%*	*23.4%*	*9.5%*	*4.0%*	*4.8%*	*2.9%*	*2.6%*	*3.5%*	*3.6%*	*2.7%*	*2.3%*				
Change vs Year Ago	*2.7%*	*1.4%*	*1.6%*	*12.2%*	*22.1%*	*53.3%*	*80.2%*	*87.0%*	*79.0%*	*47.2%*	*22.7%*	*15.0%*	*14.5%*	*13.3%*	*12.9%*	*12.7%*	*4.5%*	*61.7%*	*36.1%*	*13.3%*
Cost of Sales	(11,653)	(12,300)	(12,614)	(11,701)	(12,184)	(12,401)	(11,194)	(16,789)	(14,774)	(15,398)	(15,819)	(15,951)	(15,997)	(16,529)	(16,935)	(17,300)	(48,267)	(52,568)	(61,942)	(66,761)
Percent of Revenues	*104.8%*	*109.1%*	*106.5%*	*93.6%*	*89.8%*	*71.7%*	*52.5%*	*71.9%*	*60.8%*	*60.5%*	*60.4%*	*59.4%*	*57.5%*	*57.4%*	*57.2%*	*57.1%*	*103.3%*	*69.6%*	*60.2%*	*57.3%*
Gross Profit	**(536)**	**(1,022)**	**(773)**	**794**	**1,388**	**4,889**	**10,148**	**6,573**	**9,517**	**10,049**	**10,376**	**10,924**	**11,820**	**12,291**	**12,652**	**12,975**	**(1,537)**	**22,998**	**40,866**	**49,738**
Percent of Revenues	*-4.8%*	*-9.1%*	*-6.5%*	*6.4%*	*10.2%*	*28.3%*	*47.5%*	*28.1%*	*39.2%*	*39.5%*	*39.6%*	*40.6%*	*42.5%*	*42.6%*	*42.8%*	*42.9%*	*NM*	*30.4%*	*39.8%*	*42.7%*
Total Opex	(322)	(674)	(1,913)	(1,514)	12,838	(1,205)	(2,318)	(1,730)	(1,752)	(1,798)	(1,841)	(1,883)	(1,927)	(1,972)	(2,015)	(2,057)	(8,054)	7,585	(7,274)	(7,971)
Percent of Revenues	*2.9%*	*6.0%*	*16.2%*	*12.1%*	*-94.6%*	*7.0%*	*10.9%*	*7.4%*	*7.2%*	*7.1%*	*7.0%*	*7.0%*	*6.9%*	*6.8%*	*6.8%*	*6.8%*	*17.2%*	*-10.0%*	*7.1%*	*6.8%*
R&D	(1,354)	(1,260)	(1,297)	(1,346)	(1,615)	(1,384)	(1,404)	(1,424)	(1,300)	(1,320)	(1,340)	(1,360)	(1,380)	(1,400)	(1,420)	(1,440)	(5,257)	(5,826)	(5,320)	(5,640)
Percent of Revenues	*12.2%*	*11.2%*	*11.0%*	*10.8%*	*11.9%*	*8.0%*	*6.6%*	*6.1%*	*5.4%*	*5.2%*	*5.1%*	*5.1%*	*5.0%*	*4.9%*	*4.8%*	*4.8%*	*11.3%*	*7.7%*	*5.2%*	*4.8%*
Sales and Marketing	(116)	(111)	(113)	(122)	(170)	(150)	(222)	(243)	(243)	(254)	(262)	(269)	(278)	(288)	(296)	(303)	(463)	(785)	(1,028)	(1,165)
Percent of Revenues	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.3%*	*0.9%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*
General and Admin	(622)	(583)	(569)	(560)	(744)	(774)	(789)	(804)	(950)	(965)	(980)	(995)	(1,010)	(1,025)	(1,040)	(1,055)	(2,334)	(3,112)	(3,890)	(4,130)
Percent of Revenues	*5.6%*	*5.2%*	*4.8%*	*4.5%*	*5.5%*	*4.5%*	*3.7%*	*3.4%*	*3.9%*	*3.8%*	*3.7%*	*3.7%*	*3.6%*	*3.6%*	*3.5%*	*3.5%*	*5.0%*	*4.1%*	*3.8%*	*3.5%*
Operating Income	**(858)**	**(1,696)**	**(2,686)**	**(719)**	**14,226**	**3,684**	**7,830**	**4,843**	**7,765**	**8,250**	**8,535**	**9,041**	**9,893**	**10,319**	**10,637**	**10,918**	**(9,591)**	**30,584**	**33,592**	**41,767**
Percent of Revenues	*-7.7%*	*-15.0%*	*-22.7%*	*-5.8%*	*104.8%*	*21.3%*	*36.7%*	*20.7%*	*32.0%*	*32.4%*	*32.6%*	*33.6%*	*35.6%*	*35.8%*	*36.0%*	*36.1%*	*-20.5%*	*40.5%*	*32.7%*	*35.9%*
Total Non-operating Income(Loss)	(74)	(1,529)	(41)	127	106	204	310	204	204	204	204	204	204	204	204	204	2,114	824	816	816
Profit Before Taxes	**(932)**	**(3,226)**	**(2,727)**	**(592)**	**14,332**	**3,888**	**8,140**	**5,047**	**7,969**	**8,454**	**8,739**	**9,245**	**10,097**	**10,523**	**10,841**	**11,122**	**(7,477)**	**31,407**	**34,408**	**42,583**
Percent of Revenues	*-8.4%*	*-28.6%*	*-23.0%*	*-4.7%*	*105.6%*	*22.5%*	*38.1%*	*21.6%*	*32.8%*	*33.2%*	*33.4%*	*34.4%*	*36.3%*	*36.5%*	*36.6%*	*36.7%*	*NM*	*41.6%*	*33.5%*	*36.6%*
Change vs Year Ago	*112.9%*	*64.8%*	*-5.3%*	*-62.0%*	*-1637.2%*	*-220.5%*	*-398.5%*	*-952.2%*	*-44.4%*	*117.4%*	*7.4%*	*83.2%*	*26.7%*	*24.5%*	*24.0%*	*20.3%*				
Taxes	(165)	(108)	(1)	(62)	(101)	(597)	(1,640)	(1,009)	(1,594)	(1,691)	(1,748)	(1,849)	(2,019)	(2,105)	(2,168)	(2,224)	(336)	(3,347)	(6,882)	(8,517)
Tax Rate	*-17.7%*	*-3.3%*	*0.0%*	*-10.4%*	*0.7%*	*15.4%*	*20.1%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*-4.5%*	*10.7%*	*20.0%*	*20.0%*
Reported Income (TW GAAP)	**(1,097)**	**(3,334)**	**(2,728)**	**(654)**	**14,231**	**3,291**	**6,500**	**4,038**	**6,375**	**6,763**	**6,991**	**7,396**	**8,077**	**8,418**	**8,673**	**8,898**	**(7,813)**	**28,060**	**27,526**	**34,066**
Percent of Revenues	*-9.9%*	*-29.6%*	*-23.0%*	*-5.2%*	*104.9%*	*19.0%*	*30.5%*	*17.3%*	*26.2%*	*26.6%*	*26.7%*	*27.5%*	*29.0%*	*29.2%*	*29.3%*	*29.4%*	*-16.7%*	*37.1%*	*26.8%*	*29.2%*
Change vs Year Ago	*149.8%*	*70.3%*	*-5.2%*	*-56.4%*	*-1397.2%*	*-198.7%*	*-338.3%*	*-717.3%*	*-55.2%*	*105.5%*	*7.6%*	*83.2%*	*26.7%*	*24.5%*	*24.0%*	*20.3%*	*NM*	*NM*	*-1.9%*	*23.8%*
EPS (NT$)	**(0.26)**	**(0.80)**	**(0.65)**	**(0.16)**	**3.36**	**0.76**	**1.38**	**0.86**	**1.35**	**1.44**	**1.48**	**1.57**	**1.71**	**1.79**	**1.84**	**1.89**	**(1.87)**	**6.23**	**5.84**	**7.23**
Change vs Year Ago	*NM*	*NM*	*NM*	*NM*	*NM*	*NM*	*NM*	*NM*	*-59.7%*	*89.6%*	*7.6%*	*83.2%*	*26.7%*	*24.5%*	*24.0%*	*20.3%*	*NM*	*NM*	*-6.2%*	*23.8%*
Weighted average shares	4,179	4,188	4,191	4,193	4,239	4,347	4,715	4,712	4,712	4,712	4,712	4,712	4,712	4,712	4,712	4,712	4,188	4,503	4,712	4,712

Source: Company data, Morgan Stanley Research (E) estimates

PSMC: Valuation Methodology

Our price target is cut to NT$54

We incorporate our revised estimates and maintain our P/B valuation methodology. Our new target, which is our base case value, is based on a 2027e P/B of 1.0x, down from 2.0x previously – below the historical average of 1.5x since 2021, to reflect pricing uncertainties.

Our base case value/price target cut of 51% is almost entirely a result of target multiple reduction, rather than change in 2027e BVPS, which declined only 1.5% in our new estimate. For PSMC, we use 1.0x P/B as the downside valuation anchor – book value provides a psychological support level for capital-intensive IDM/foundry stocks during cyclical downturns. When earnings are temporarily depressed, investors typically place greater weight on the underlying net asset base.

We decrease our bull case value from NT$177 to NT$86 and our bear case value from NT $55 to NT$27, implying 1.6x and 0.5x 2027e P/B, respectively.

We downgrade PSMC to EW

We are positive on the company's emerging 3D AI foundry business, and we believe PSMC is well positioned to benefit from its Micron partnership, including front-end migration to the one-year process node and back-end opportunities in advanced DRAM production (e.g., HBM). The company is also catching up with the DRAM pricing up-cycle.

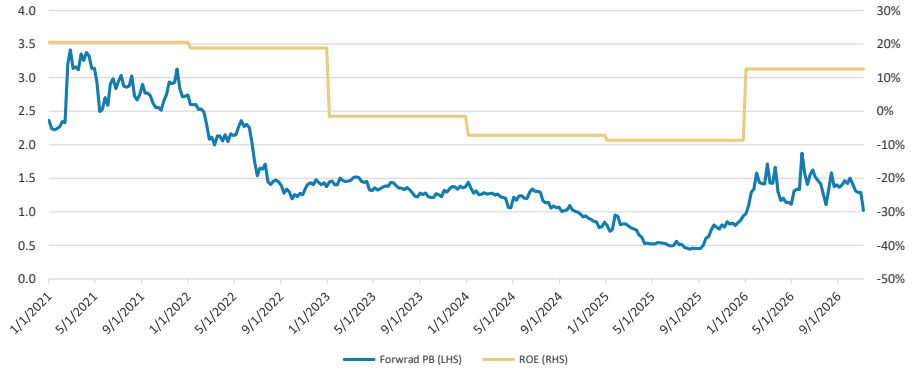
At the same time, its logic foundry business is set to enjoy continued price hikes into 2027. However, on its memory foundry side, we see near-term pressure from DDR3/4, in which industry supply is ramping faster than demand is increasing, especially as global cloud capex may face partial delay from 2028 to 2029.

We believe the stock still has strong valuation support at 1.0x P/B, and therefore we believe an EW rating is fair.

Exhibit 26: PSMC: Historical forward P/B

Source: Company data, Morgan Stanley Research estimates

Exhibit 27: PSMC: Historical forward P/B vs. ROE



Source: Company data, Morgan Stanley Research estimates

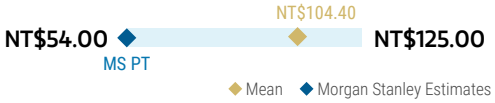
Risk Reward – Powerchip Semiconductor Manufacturing Co (6770.TW)

Pricing power uncertain, while 3D AI foundry offers upside; EW

PRICE TARGET NT$54.00

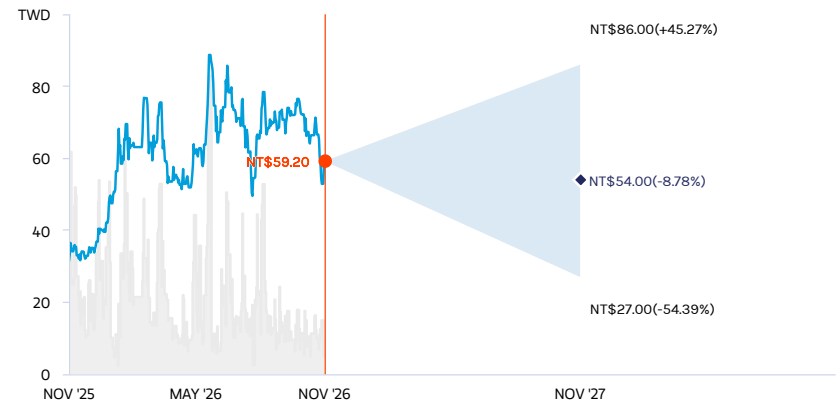
Base case, 1.0x 2027e P/B. This method is in line with our approach for Greater China memory IDM players, in view of the industry's high volatility. Our 1.0x target P/B is lower than the historical average of 1.5x since 2021, reflecting DDR3/4 pricing uncertainties. We use 1.0x P/B as the downside valuation anchor. Book value provides a psychological support level for capital-intensive IDM/foundry stocks during cyclical downturns.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



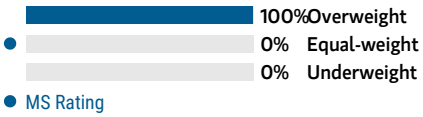
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- We expect a mature node capacity shortage in 2H27, reflecting fast growth of AI power ICs as a key part of future AI infrastructure.
- 3D AI foundry business is expected to be a major revenue contributor - we expect it to make up 5%, 10% and 14% of total revenue in 2026-28, respectively.
- However, DDR3/4 pricing power may be peaking .
- Our new target is based on 2027e P/B of 1.0x, below the historical average of 1.5x since 2021, reflecting DDR3/4 pricing uncertainties. We use 1.0x P/B as the downside valuation anchor - book value provides a psychological support level for capital-intensive IDM/foundry stocks during cyclical downturns.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption:	*Positive*
Secular Growth:	*Negative*

View descriptions of Risk Rewards Themes here

BULL CASE NT$86.00

1.6x 2027e BVPS

Strong sales growth with gross margin expansion: Our assumptions include: 1) a revenue CAGR of >40% in 2025-28; 2) gross margin expanding to 45%+ by 2028; 3) mature node foundry up-cycle longer than expected; 4) faster revenue ramp-up of 3D AI foundry business; 5) specialty DRAM pricing stronger than expected, with PSMC's DRAM foundry ASP rising +30% and +5% in 2027/28 respectively.

BASE CASE NT$54.00

1.0x 2027e BVPS

Revenue growth with gross margin improvement: Our assumptions include: 1) a revenue CAGR of 36% in 2025-28; 2) a gross margin increase to 43% by 2028; 3) a mature node foundry up-cycle; 4) additional contribution from 3D AI foundry business; 5) specialty DRAM pricing stabilizing, with PSMC's DRAM foundry ASP growing +14.0% in 2027 and declining 5.4% in 2028.

BEAR CASE NT$27.00

0.5x 2027e BVPS

Revenue decline with gross margin erosion: Our assumptions include: 1) a revenue CAGR in the single digits (%) in 2025-28; 2) gross margin of <10% by 2028; 3) mature node foundry capacity no longer in shortage; 4) delays in revenue contribution from 3D AI foundry business; 5) specialty DRAM pricing decreasing sharply, with PSMC's DRAM foundry ASP rising +5% in 2027 but dropping 15% in 2028.

Risk Reward – Powerchip Semiconductor Manufacturing Co (6770.TW)

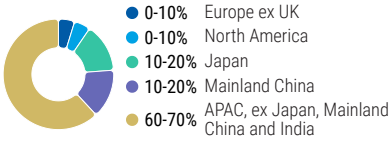
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Wafer shipment (k 8 inch)	2,614	2,881	2,965	755
Wafer ASP (USD)	457.7	474.7	517.3	522.0
Utilization rate (%) (%)	79.1	90.3	94.3	95.0

INVESTMENT DRIVERS

- Demand from consumer electronics clients
- Inventory in the supply chain
- Utilization rate
- Long-term agreements with clients

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- AI data center capacity globally holds up strongly.
- Pricing power is sustained in 2027 and 2028.
- Listing on main board attracts fund flows.
- Aluminum process enjoys higher margins.

RISKS TO DOWNSIDE

- AI data center additions face delays.
- Competition from China intensifies.
- Prices erode faster than expected.
- Demand from consumer electronics clients weakens further.
- Supply chain inventory takes longer to digest.

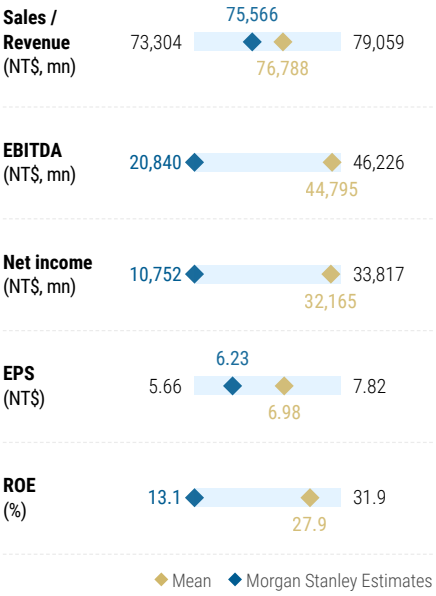
OWNERSHIP POSITIONING

Inst. Owners, % Active 25%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

PSMC: Financial Summary

Exhibit 28: Financial Summary

Income Statement NT$ mn (Years End Dec)	2025	2026e	2027e	2028e
Net sales	**46,730**	**75,566**	**102,808**	**116,499**
COGS	(48,267)	(52,568)	(61,942)	(66,761)
Gross profit	(1,537)	22,998	40,866	49,738
Operating expenses	(8,054)	7,585	(7,274)	(7,971)
R&D	(5,257)	(5,826)	(5,320)	(5,640)
SG&A	(2,797)	(3,897)	(4,918)	(5,295)
Operating income	**(9,591)**	**30,584**	**33,592**	**41,767**
Non-operating income	2,114	824	816	816
Pre-tax income	(7,477)	31,407	34,408	42,583
Income tax	(336)	(3,347)	(6,882)	(8,517)
Net income	**(7,813)**	**28,060**	**27,526**	**34,066**
Adj.wtd.avg.shrs (mn)	4,188	4,503	4,712	4,712
Reported EPS (NT$)	**(1.87)**	**6.23**	**5.84**	**7.23**
EPS for consensus (NT$)	**(1.87)**	**6.23**	**5.84**	**7.23**

Cash Flow Statement NT$mn (Years End Dec)	2025	2026e	2027e	2028e
Cash flow from Operations	**7,823**	**52,943**	**35,968**	**40,178**
Net profits	(7,813)	28,054	27,520	34,059
Depreciation	9,283	7,564	7,465	5,594
Equity investment losses (income)	11	0	0	0
Other adjustments	6,343	17,325	982	525
Cash flow from Investing	**3,554**	**41,439**	**(2,805)**	**(2,281)**
Capex	(8,591)	(15,361)	(2,805)	(2,281)
Change of LT Investment	0	0	0	0
Change of ST Investment	12,145	0	0	0
Other adjustments	(0)	56,800	0	0
Cash flow from financing	**(5,517)**	**59,944**	**23,982**	**24,142**
Increase in L/T debt	6,140	0	0	0
Increase in S/T debt	0	3,000	3,000	3,000
Cash Dividend Paid	0	2,344	(8,418)	(8,258)
Dir& Emp Bonus Paid	0	0	0	0
Issuance of stock	0	29,400	29,400	29,400
Dec/Inc-TreasureSt	0	25,200	0	0
Other Adjustments	(11,657)	0	0	0
Net change in cash	**5,860**	**154,325**	**57,144**	**62,040**

Balance Sheet NT$mn (Years End Dec)	2025	2026e	2027e	2028e
Cash	16,789	171,114	228,259	290,298
Mkt Securities	2,800	2,800	2,800	2,800
AR/NR	6,550	4,830	6,571	7,446
Inventory	9,557	5,118	6,031	6,500
Other	8,451	8,451	8,451	8,451
Current Assets	**44,148**	**192,314**	**252,112**	**315,496**
Long-term investments	49	49	49	49
Fixed assets	122,004	109,520	104,861	101,547
Other assets	12,485	12,485	12,485	12,485
Total Assets	**178,686**	**314,368**	**369,506**	**429,577**
S/T borrowings	0	0	0	0
AP/NP	2,997	4,050	4,772	5,143
Other ST liabilities	19,789	32,901	38,815	43,314
LT debt	0	0	0	0
Other LT liabilities	73,900	73,900	73,900	73,900
Total Liabilities	**96,685**	**110,851**	**117,487**	**122,357**
Common shares	42,259	46,459	46,459	46,459
Retained earning	11,792	103,908	152,410	207,611
Other shareholders' equity	27,950	53,150	53,150	53,150
Total Equity	**82,000**	**203,517**	**252,019**	**307,220**
Total Liab. & Shrhldr's Equity	**178,686**	**314,368**	**369,506**	**429,577**

Financial Ratios	2025	2026e	2027e	2028e
Growth(%)				
Turnover	4.5	61.7	36.1	13.3
Operating profits	3.2	(418.9)	N/A	N/A
Pretax profits	9.4	(520.1)	9.6	23.8
Net profits	N/A	N/A	N/A	N/A
EPS	N/A	N/A	N/A	N/A
Margins (%)				
Gross Margin	(3.3)	30.4	39.8	42.7
Operating Margin	(20.5)	40.5	32.7	35.9
Pretax Margin	(16.0)	41.6	33.5	36.6
Net Profit	(16.7)	37.1	26.8	29.2
Return (%)				
ROAA	(4.3)	11.4	8.1	8.5
ROAE	(9.2)	19.7	12.1	12.2
Gearing (%)				
Net Debt/Equity	69.6	(47.8)	(61.2)	(70.4)
Liabilities/Equity	117.9	54.5	46.6	39.8
Ratios (X)				
Current ratio	1.9	5.2	5.8	6.5
Quick ratio	1.1	4.8	5.5	6.2
Others				
AR/NR Turnover (days)	23.3	23.3	23.3	23.3
Inventory Turnover (days)	35.5	35.5	35.5	35.5
AP Turnover (days)	28.1	28.1	28.1	28.1
Cash Conversion (days)	30.7	30.7	30.7	30.7

E = Morgan Stanley Research Estimates
Source: Morgan Stanley Research, Company Data

Macronix: Earnings Estimate Revisions

We cut our 2026, 2027, and 2028 EPS forecasts 14%, 20%, and 21%, respectively: The 2026e EPS change mainly reflects actual 3Q26 results. The 2027e and 2028e EPS changes reflect a potential peak in pricing power across NOR and MLC/SLC NAND. We now reduce our NAND and /NOR wafer ASP estimates throughout 2027-2028 and 15% and 8% into 4Q28 respectively, without changing our wafer shipment estimates. We did not materially change our GM assumptions. Our changes in net income/EPS estimates are largely a function of changes in our revenue and gross profit estimates. We believe it is a good time to make these changes now as a result of the narrower shortages, moderating price hikes, and potential delay in 2028 US cloud capex.

Exhibit 29: Macronix: Earnings estimate revisions

(NT$ mn)	New 2026e	Old 2026e	Diff.%	New 2027e	Old 2027e	Diff.%	New 2028e	Old 2028e	Diff.%
Net sales	91,400	99,611	-8%	169,350	198,217	-15%	170,413	200,794	-15%
Gross profit	61,873	67,438	-8%	134,841	158,581	-15%	139,838	165,449	-15%
Operating profit	47,525	54,052	-12%	115,904	141,065	-18%	120,555	147,537	-18%
Pretax income	47,939	54,767	-12%	115,876	141,791	-18%	120,588	148,299	-19%
Net income	40,499	46,345	-13%	98,122	120,082	-18%	102,113	125,594	-19%
Diluted EPS	**20.17**	**23.54**	**-14%**	**48.58**	**60.99**	**-20%**	**50.56**	**63.79**	**-21%**
Margins									
Gross margin	67.7%	67.7%	0.0 ppt	79.6%	80.0%	-0.4 ppt	82.1%	82.4%	-0.3 ppt
Operating margin	52.0%	54.3%	-2.3 ppt	68.4%	71.2%	-2.7 ppt	70.7%	73.5%	-2.7 ppt
Pretax margin	52.4%	55.0%	-2.5 ppt	68.4%	71.5%	-3.1 ppt	70.8%	73.9%	-3.1 ppt
Net margin	44.3%	46.5%	-2.2 ppt	57.9%	60.6%	-2.6 ppt	59.9%	62.5%	-2.6 ppt

NT$	New '26E	Old '26E	Diff.	New '27E	Old '27E	Diff.	New '28E	Old '28E	Diff.
BVPS	**41.60**	**45.11**	**-8%**	**89.66**	**106.09**	**-15%**	**140.22**	**169.88**	**-17%**

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 30: Macronix: Quarterly financials

(NT$ mn)	1Q26	2Q26	3Q26	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	1Q28e	2Q28e	3Q28e	4Q28e	2025	2026e	2027e	2028e
Total Revenues	**10,469**	**19,125**	**24,237**	**37,570**	**39,969**	**43,806**	**42,845**	**42,730**	**42,677**	**42,626**	**42,578**	**42,533**	**28,880**	**91,400**	**169,350**	**170,413**
Sequential Change	*35.4%*	*82.7%*	*26.7%*	*55.0%*	*6.4%*	*9.6%*	*-2.2%*	*-0.3%*	*-0.1%*	*-0.1%*	*-0.1%*	*-0.1%*				
Change vs Year Ago	*70.6%*	*181.3%*	*195.1%*	*386.1%*	*281.8%*	*129.1%*	*76.8%*	*13.7%*	*6.8%*	*-2.7%*	*-0.6%*	*-0.5%*	*11.6%*	*216.5%*	*85.3%*	*0.6%*
Cost of Sales	**(6,198)**	**(6,805)**	**(7,152)**	**(9,374)**	**(8,512)**	**(8,995)**	**(8,623)**	**(8,379)**	**(7,966)**	**(7,753)**	**(7,542)**	**(7,314)**	**(23,749)**	**(29,527)**	**(34,509)**	**(30,575)**
Gross Profit	**4,271**	**12,320**	**17,086**	**28,196**	**31,457**	**34,811**	**34,222**	**34,351**	**34,711**	**34,872**	**35,035**	**35,219**	**5,131**	**61,873**	**134,841**	**139,838**
Gross Margin	40.8%	64.4%	70.5%	75.0%	78.7%	79.5%	79.9%	80.4%	81.3%	81.8%	82.3%	82.8%	17.8%	67.7%	79.6%	82.1%
Total Opex	(2,339)	(3,352)	(4,153)	(4,504)	(4,645)	(4,761)	(4,757)	(4,774)	(4,793)	(4,811)	(4,830)	(4,849)	(8,829)	(14,348)	(18,937)	(19,283)
Percent of Revenues	*22.3%*	*17.5%*	*17.1%*	*12.0%*	*11.6%*	*10.9%*	*11.1%*	*11.2%*	*11.2%*	*11.3%*	*11.3%*	*11.4%*	*30.6%*	*15.7%*	*11.2%*	*11.3%*
R&D	(1,411)	(1,870)	(2,307)	(2,327)	(2,347)	(2,367)	(2,387)	(2,407)	(2,427)	(2,447)	(2,467)	(2,487)	(5,714)	(7,915)	(9,508)	(9,828)
Percent of Revenues	*13.5%*	*9.8%*	*9.5%*	*6.2%*	*5.9%*	*5.4%*	*5.6%*	*5.6%*	*5.7%*	*5.7%*	*5.8%*	*5.8%*	*19.8%*	*8.7%*	*5.6%*	*5.8%*
Sales and Marketing	(425)	(560)	(601)	(931)	(991)	(1,086)	(1,062)	(1,059)	(1,058)	(1,057)	(1,056)	(1,054)	(1,520)	(2,517)	(4,199)	(4,225)
Percent of Revenues	*4.1%*	*2.9%*	*2.5%*	*2.5%*	*2.5%*	*2.5%*	*2.5%*	*2.5%*	*2.5%*	*2.5%*	*2.5%*	*2.5%*	*5.3%*	*2.8%*	*2.5%*	*2.5%*
General and Admin	(503)	(922)	(1,245)	(1,245)	(1,308)	(1,308)	(1,308)	(1,308)	(1,308)	(1,308)	(1,308)	(1,308)	(1,594)	(3,916)	(5,230)	(5,230)
Percent of Revenues	*4.8%*	*4.8%*	*5.1%*	*3.3%*	*3.3%*	*3.0%*	*3.1%*	*3.1%*	*3.1%*	*3.1%*	*3.1%*	*3.1%*	*5.5%*	*4.3%*	*3.1%*	*3.1%*
Operating Income	**1,933**	**8,968**	**12,932**	**23,692**	**26,811**	**30,051**	**29,465**	**29,577**	**29,919**	**30,061**	**30,205**	**30,370**	**(3,698)**	**47,525**	**115,904**	**120,555**
Percent of Revenues	*18.5%*	*46.9%*	*53.4%*	*63.1%*	*67.1%*	*68.6%*	*68.8%*	*69.2%*	*70.1%*	*70.5%*	*70.9%*	*71.4%*	*-12.8%*	*52.0%*	*68.4%*	*70.7%*
Total Non-operating Income(Loss)	**134**	**232**	**65**	**(17)**	**(13)**	**(9)**	**(5)**	**(1)**	**5**	**9**	**12**	**8**	**64**	**414**	**(28)**	**33**
Profit Before Taxes	**2,066**	**9,200**	**12,997**	**23,675**	**26,798**	**30,042**	**29,460**	**29,577**	**29,923**	**30,070**	**30,217**	**30,378**	**(3,633)**	**47,939**	**115,876**	**120,588**
Percent of Revenues	*19.7%*	*48.1%*	*53.6%*	*63.0%*	*67.0%*	*68.6%*	*68.8%*	*69.2%*	*70.1%*	*70.5%*	*71.0%*	*71.4%*	*-12.6%*	*52.4%*	*68.4%*	*70.8%*
Change vs Year Ago	*-313.2%*	*-753.6%*	*-1462.6%*	*-7927.8%*	*1196.8%*	*226.5%*	*126.7%*	*24.9%*	*11.7%*	*0.1%*	*2.6%*	*2.7%*				
Taxes	(287)	(1,464)	(2,046)	(3,622)	(4,100)	(4,596)	(4,507)	(4,525)	(4,578)	(4,601)	(4,623)	(4,648)	328	(7,420)	(17,729)	(18,450)
Tax Rate	*-13.9%*	*-15.9%*	*-15.7%*	*15.3%*	*15.3%*	*15.3%*	*15.3%*	*15.3%*	*15.3%*	*15.3%*	*15.3%*	*15.3%*	*9.0%*	*15.5%*	*15.3%*	*15.3%*
Net Income, Cont Ops	1,779	7,736	10,951	20,053	22,698	25,445	24,953	25,051	25,345	25,470	25,594	25,730	(3,305)	40,519	98,147	102,138
Percent of Revenues	*17.0%*	*40.4%*	*45.2%*	*53.4%*	*56.8%*	*58.1%*	*58.2%*	*58.6%*	*59.4%*	*59.8%*	*60.1%*	*60.5%*	*-11.4%*	*44.3%*	*58.0%*	*59.9%*
Minority Interest	(4)	(4)	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(6)	(3)	(20)	(25)	(25)
Reported Income (TW GAAP)	**1,776**	**7,732**	**10,945**	**20,047**	**22,691**	**25,439**	**24,946**	**25,045**	**25,339**	**25,463**	**25,588**	**25,724**	**(3,308)**	**40,499**	**98,122**	**102,113**
Percent of Revenues	*17.0%*	*40.4%*	*45.2%*	*53.4%*	*56.8%*	*58.1%*	*58.2%*	*58.6%*	*59.4%*	*59.7%*	*60.1%*	*60.5%*	*-11.5%*	*44.3%*	*57.9%*	*59.9%*
Change vs Year Ago	*-303.4%*	*-705.9%*	*-1367.8%*	*-6890.0%*	*1177.8%*	*229.0%*	*127.9%*	*24.9%*	*11.7%*	*0.1%*	*2.6%*	*2.7%*	*2.9%*	*-1324.4%*	*142.3%*	*4.1%*
Reported Diluted EPS (NT$, TW GAAP)	**0.90**	**3.93**	**5.42**	**9.93**	**11.23**	**12.60**	**12.35**	**12.40**	**12.55**	**12.61**	**12.67**	**12.74**	**(1.78)**	**20.17**	**48.58**	**50.56**
Reported Basic EPS (NT$, GAAP)	**0.90**	**3.93**	**5.52**	**10.11**	**11.44**	**12.83**	**12.58**	**12.63**	**12.78**	**12.84**	**12.90**	**12.97**	**(1.78)**	**20.50**	**49.48**	**51.50**

Source: Company data, Morgan Stanley Research (E) estimates

Macronix: Valuation Methodology

We cut our price target to NT$90 from NT$220

We continue to use a P/B multiple methodology to derive our price target, which is our base case value, in line with our approach for Greater China memory IDM peers and in view of the industry's high volatility. Our new target is based on a 2027e P/B of 1.0x, down from 2.1x previously – below the average of 1.5x since 2017, given the potential peak in pricing power for NOR and SLC/MLC NAND. For Macronix, we now use 1.0x P/B as the downside valuation anchor because book value provides a psychological support level for capital-intensive IDM/foundry stocks during cyclical downturns. When earnings are temporarily depressed, investors typically place greater weight on the underlying net asset base.

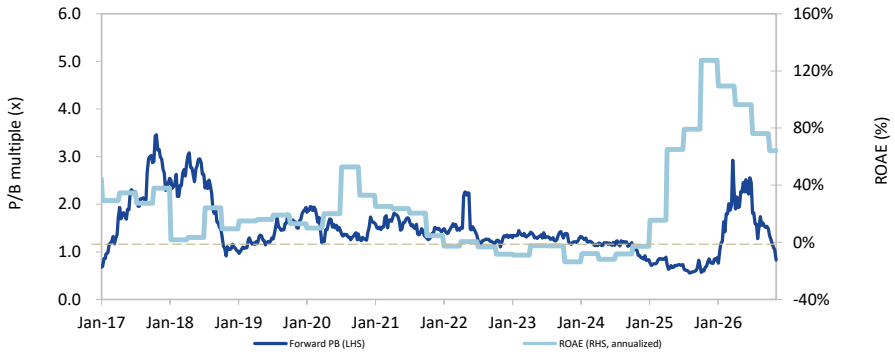
Our base case value/price target cut of 59% reflects both target multiple reduction and a 15% 2027 BVPS estimate reduction (relatively large because of a smaller base).

We cut our bull case value from NT$355 to NT$145, which is 1.6x our 2027e BVPS. We cut our bear case value from NT$100 to NT$41, which is 0.5x our 2027e BVPS.

We downgrade Macronix to EW

We continue to like its unique position in MLC NAND as the only major supplier still ramping up capacity. However, we do see near-term pressure from NOR, DDR3/4, and even SLC/MLC NAND, in all of which industry supply is ramping faster than demand is increasing, especially as global cloud capex may face partial delay from 2028 to 2029. We believe the stock still has strong valuation support at 1.0x P/B, and therefore we believe an EW rating is fair.

Exhibit 31: Forward P/B vs. ROAE



Source: Factset, Morgan Stanley Research

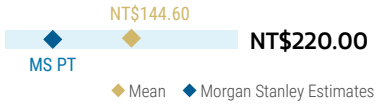
Risk Reward – Macronix International Co Ltd (2337.TW)

Pricing power may be peaking; EW

PRICE TARGET NT$90.00

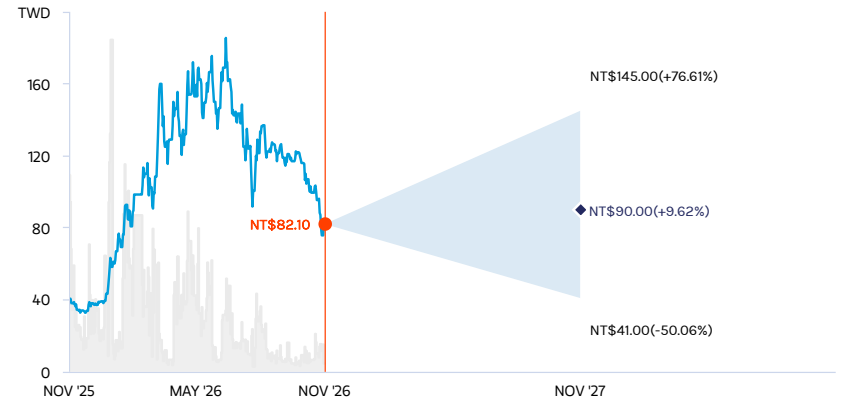
Base case, P/B, in line with our Greater China memory coverage, given the industry's cyclical nature. We apply a target multiple of 1.0x to our 2027 BVPS estimate vs. its historical average of 1.5x since 2017, given the potential peak in pricing power of NOR and SLC/MLC NAND. We use 1.0x P/B as the downside valuation anchor. Book value provides a psychological support level for capital-intensive IDM/foundry stocks during cyclical downturns.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



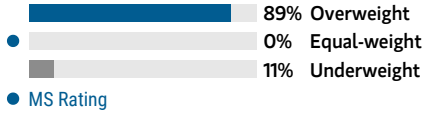
Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Rising uncertainty over cloud spending weakens confidence in incremental enterprise demand, while much weaker consumer demand challenges customers' ability to absorb further price hikes
- Capacity expansion captures market upside but may create utilization or margin issues should pricing peak.
- Our price target is set at 1.0x 2027e P/B, vs the average of 1.5x since 2017, given the potential peak in pricing power of NOR and SLC/MLC NAND. For Macronix, we now use 1.0x P/B as the downside valuation anchor - book value provides a psychological support level for capital-intensive IDM/foundry stocks during cyclical downturns.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE NT$145.00

1.6x 2027e BVPS

Pricing power remains stronger for longer: NAND wafer ASP rises 40% and 20% in 2027 and 2028, while NOR wafer ASP rises 40% and 20% in 2027/28.

BASE CASE NT$90.00

1.0x 2027e BVPS

Pricing power may be peaking into 2027: NAND wafer ASP rises 18% and 0% in 2027 and 2028, while NOR wafer ASP rises 25% and 0% in 2027 and 2028.

BEAR CASE NT$41.00

0.5x 2027e BVPS

Pricing significantly declines beyond 2027: NAND wafer ASP grows 10% in 2027 but drops 10% in 2028, while NOR wafer ASP rises 10% in 2027 but drops 110% in 2028.

Risk Reward – Macronix International Co Ltd (2337.TW)

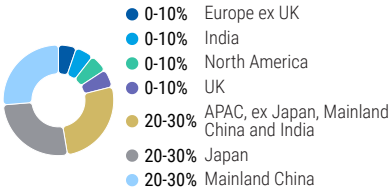
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
NOR Flash pricing (NT$)	1,721	3,501	4,361	4,361
ROM sales (NT$, mn)	5,898	3,471	406	0
NAND sales (NT$, mn)	3,540	42,858	127,678	135,587

INVESTMENT DRIVERS

- NOR pricing trend
- SLC NAND pricing
- Peers' production expansion

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Wider legacy NAND supply/demand gap
- NOR up-cycle, driven by limited supply expansion and/or stronger demand
- Faster growth for Switch hardware and core titles
- Healthy utilization; sustained margins

RISKS TO DOWNSIDE

- Less severe legacy NAND supply/demand gap
- NOR down-cycle, driven by faster supply expansion and/or demand weakness
- Slower growth for Switch hardware and core titles
- Weak utilization; margin erosion

OWNERSHIP POSITIONING

Inst. Owners, % Active 34.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT$, mn)	76,334	91,400 / 85,691	99,611
EBITDA (NT$, mn)	38,309	54,041 / 47,316	61,530
Net income (NT$, mn)	29,195	40,499 / 36,147	46,345
EPS (NT$)	14.76	20.17 / 18.28	23.54

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Macronix: Financial Summary

Exhibit 32: Financial Summary

Income Statement, 2025-2028e, Year End Dec

(NT$ mn)	2025	2026e	2027e	2028e
Turnover	**28,880**	**91,400**	**169,350**	**170,413**
YoY Growth	*11.6%*	*216.5%*	*85.3%*	*0.6%*
Less: COGS	**(23,749)**	**(29,527)**	**(34,509)**	**(30,575)**
Variable costs	(19,503)	(24,051)	(29,195)	(25,989)
Depreciation & amort	(4,246)	(5,476)	(5,314)	(4,586)
Gross profit	**5,131**	**61,873**	**134,841**	**139,838**
YoY Growth	*-15.9%*	*1105.9%*	*117.9%*	*3.7%*
% margin	*17.8%*	*67.7%*	*79.6%*	*82.1%*
Operating Expenses:	**(8,829)**	**(14,348)**	**(18,937)**	**(19,283)**
R&D	(5,714)	(7,915)	(9,508)	(9,828)
Sales and Marketing	(1,520)	(2,517)	(4,199)	(4,225)
General and Admin	(1,594)	(3,916)	(5,230)	(5,230)
Operating Profit	**(3,698)**	**47,525**	**115,904**	**120,555**
YoY Growth	*-5.8%*	*-1385.3%*	*143.9%*	*4.0%*
% margin	*-12.8%*	*52.0%*	*68.4%*	*70.7%*
Total Non-op	**64**	**414**	**(28)**	**33**
Pretax Profit	(3,633)	47,939	115,876	120,588
YoY Growth	*2.5%*	*-1419.4%*	*141.7%*	*4.1%*
% margin	*-12.6%*	*52.4%*	*68.4%*	*70.8%*
Tax	328	(7,420)	(17,729)	(18,450)
Reported Net Income	(3,308)	40,499	98,122	102,113
Reported EPS (NT$)	**(1.78)**	**20.17**	**48.58**	**50.56**
ModelWare EPS (NT$)	**(1.78)**	**20.17**	**48.58**	**50.56**

Key Ratios

	2025	2026e	2027e	2028e
Return (%)				
ROAA	*(0.0)*	*0.2*	*0.4*	*0.3*
ROAE	*(0.1)*	*0.3*	*0.5*	*0.4*
OP. ATO	*46.7%*	*78.6%*	*135.8%*	*143.3%*
Gearing (x)				
Net Debt/ Equity	0.1x	0.1x	(0.5x)	(0.7x)
Current Ratio	2.4x	5.9x	14.1x	22.7x
Quick Ratio	1.6x	4.2x	12.6x	21.4x
Operating Cycle				
AR/NR Turnover (days)	129	79	54	56
Inventory Turnover (days)	232	215	211	224
AP Turnover (days)	55	50	46	49
Cash Conversion (days)	305	244	219	231

e = Morgan Stanley Research Estimates
Source: Company Data, Morgan Stanley Research

Balance sheet

(NT$ mn)	2025	2026e	2027e	2028e
Assets				
Cash & Equivalents	14,913	36,971	146,435	254,465
Marketable Security	7	7	7	7
A/R & N/R	4,315	23,290	26,489	26,366
Inventories	9,813	22,714	20,304	17,723
Other Current Asset	190	190	190	190
Total current assets	**29,425**	**83,359**	**193,612**	**298,938**
LT Investment	6,618	6,614	6,610	6,608
Total Fixed Assets	38,549	53,619	48,966	45,192
Total Other Assets	3,909	3,909	3,909	3,909
Total Assets	**78,500**	**147,501**	**253,097**	**354,647**
A/P & N/P	3,120	4,958	4,432	3,868
Accrued Expenses	0	0	0	0
Other Payable	1,877	1,877	1,877	1,877
Total Current Liab.	**12,404**	**14,241**	**13,715**	**13,152**
L-T Liabilities	17,386	47,386	55,386	55,386
Total Other L-T Liab	2,903	2,903	2,903	2,903
Total Liabilities	**32,693**	**64,530**	**72,004**	**71,441**
Common Stock	18,573	18,573	18,573	18,573
Preferred Stock				
Capital Reserve	1,472	1,472	1,472	1,472
Retained earnings	25,916	63,079	161,201	263,315
Treasury Stock	(159)	(159)	(159)	(159)
Total Equity	**45,808**	**82,970**	**181,093**	**283,206**

Cash Flow Statement

(NT$ mn)	2025	2026e	2027e	2028e
Net Income	(3,308)	40,499	98,122	102,113
Depreciation	5,094	6,517	6,411	5,532
Net Investment Losses (Gains)	(2)	0	0	0
Others	3,051	(30,035)	(1,311)	2,143
Cash Flow-Operating	**4,835**	**16,982**	**103,222**	**109,788**
(Purchase) of FA	(3,000)	(21,587)	(1,758)	(1,758)
Sale of Fix Asset	2	0	0	0
(Purchase)L-T Inv.	0	0	0	0
Sale of L-T Inv.	0	0	0	0
Sale(Pur.)S-T Inv.	144	0	0	0
Cash Flow-Investing	**(2,884)**	**(21,587)**	**(1,758)**	**(1,758)**
Inc(Dec)-S-T Debt	(2,488)	0	0	0
Dividend Paid	(3,337)	(3,337)	(3,337)	(3,337)
Dir.&Emp.Bonus	0	0	0	0
Proceed from New Issue	0	0	0	0
Dec/Inc-TreasureSt	0	0	0	0
Others	2,884	30,000	8,000	0
Cash Flow-Financing	**(2,941)**	**26,663**	**4,663**	**(3,337)**
Change in Cash	**3,289**	**22,058**	**106,127**	**104,693**
Net cash/(debt), b/f	57,530	60,819	82,877	189,005
Net cash/(debt), c/f	**60,819**	**82,877**	**189,005**	**293,698**

Nanya Tech: Estimate Revisions and Quarterly Financials

Our 2026 estimates are unchanged; we cut our 2027 and 2028 EPS estimates 7% and 9%,respectively: We factor in a potential peak in DDR3/4 pricing power, which affects Nanya Tech's top line and margins. We now reduce our Nanya Tech DRAM ASP per bit estimates throughout 2027-2028 and 6% into 4Q28, without changing our wafer shipment estimates. We did not materially change our GM assumptions. Our changes in net income/EPS estimates are largely a function of changes in our revenue and gross profit estimates. We believe it is a good time to make these changes now as a result of the narrower shortages, moderating price hikes, and potential delay in 2028 US cloud capex.

Exhibit 33: Nanya Tech: Estimate revisions

NT$ mn	New '26E	Old '26E	Diff.	New '27E	Old '27E	Diff.	New '28E	Old '28E	Diff.
Net sales	405,725	405,725	0%	688,388	728,810	-6%	550,151	585,384	-6%
Gross profit	333,069	333,069	0%	569,281	609,702	-7%	391,494	426,727	-8%
Operating profit	310,209	310,209	0%	520,352	559,124	-7%	340,542	374,295	-9%
Pretax Income	316,087	316,087	0%	521,872	560,644	-7%	342,074	375,827	-9%
Net income	257,292	257,292	0%	424,452	455,960	-7%	278,413	305,892	-9%
EPS (NT$)	**75.96**	**75.96**	**0%**	**123.03**	**132.17**	**-7%**	**80.70**	**88.67**	**-9%**
Margins									
Gross margin	82.1%	82.1%		82.7%	83.7%		71.2%	72.9%	
Operating margin	76.5%	76.5%		75.6%	76.7%		61.9%	63.9%	
Pretax margin	77.9%	77.9%		75.8%	76.9%		62.2%	64.2%	
Net margin	63.4%	63.4%		61.7%	62.6%		50.6%	52.3%	

NT$	New '26E	Old '26E	Diff.	New '27E	Old '27E	Diff.	New '28E	Old '28E	Diff.
BVPS (NT$)	146.00	146.00	0%	269.02	278.16	-3%	349.71	366.81	-5%

Source: Morgan Stanley Research (E) estimates

Exhibit 34: Nanya Tech: Quarterly financials

NT$ in million	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026e	2027e	2028e
Total Revenues	**49,087**	**82,549**	**133,649**	**140,440**	**165,484**	**178,632**	**179,294**	**164,977**	**34,132**	**66,587**	**405,725**	**688,388**	**550,151**
Sequential Change	*63.1%*	*68.2%*	*61.9%*	*5.1%*	*17.8%*	*7.9%*	*0.4%*	*-8.0%*					
Change vs Year Ago	*582.9%*	*684.2%*	*611.7%*	*366.7%*	*237.1%*	*116.4%*	*34.2%*	*17.5%*	*14.2%*	*95.1%*	*509.3%*	*69.7%*	*-20.1%*
Cost of Sales	(15,771)	(16,930)	(19,167)	(20,788)	(22,805)	(25,384)	(28,086)	(42,833)	(32,292)	(50,841)	(72,656)	(119,107)	(158,657)
Percent of Revenues	*32.1%*	*20.5%*	*14.3%*	*14.8%*	*13.8%*	*14.2%*	*15.7%*	*26.0%*	*94.6%*	*76.4%*	*17.9%*	*17.3%*	*28.8%*
Variable costs	(12,874)	(13,970)	(16,102)	(17,449)	(19,924)	(22,502)	(25,204)	(28,007)	(18,408)	(37,321)	(60,394)	(95,637)	(133,967)
as a % of revenue	*26.2%*	*16.9%*	*12.0%*	*12.4%*	*12.0%*	*12.6%*	*14.1%*	*17.0%*	*53.9%*	*56.0%*	*14.9%*	*13.9%*	*24.4%*
Dep. & Amort. expense	(2,897)	(2,960)	(3,065)	(3,340)	(2,882)	(2,882)	(2,882)	(14,825)	(13,883)	(13,520)	(12,262)	(23,470)	(24,690)
as a % of COGS	*18.4%*	*17.5%*	*16.0%*	*16.1%*	*12.6%*	*11.4%*	*10.3%*	*34.6%*	*43.0%*	*26.6%*	*16.9%*	*19.7%*	*15.6%*
as a % of revenue	*5.9%*	*3.6%*	*2.3%*	*2.4%*	*1.7%*	*1.6%*	*1.6%*	*9.0%*	*40.7%*	*20.3%*	*3.0%*	*3.4%*	*4.5%*
Gross Margin	**33,316**	**65,619**	**114,482**	**119,652**	**142,679**	**153,249**	**151,208**	**122,145**	**1,840**	**15,745**	**333,069**	**569,281**	**391,494**
Percent of Revenues	*67.9%*	*79.5%*	*85.7%*	*85.2%*	*86.2%*	*85.8%*	*84.3%*	*74.0%*	*5.4%*	*23.6%*	*82.1%*	*82.7%*	*71.2%*
Total Opex	(3,205)	(4,793)	(7,588)	(7,275)	(11,119)	(12,095)	(12,796)	(12,919)	(10,134)	(9,741)	(22,860)	(48,929)	(50,952)
Percent of Revenues	*6.5%*	*5.8%*	*5.7%*	*5.2%*	*6.7%*	*6.8%*	*7.1%*	*7.8%*	*29.7%*	*14.6%*	*5.6%*	*7.1%*	*9.3%*
R&D	(2,109)	(3,230)	(5,145)	(4,334)	(4,500)	(4,950)	(5,445)	(5,990)	(7,685)	(7,041)	(14,818)	(20,885)	(27,846)
Percent of Revenues	*4.3%*	*3.9%*	*3.8%*	*3.1%*	*2.7%*	*2.8%*	*3.0%*	*3.6%*	*22.5%*	*10.6%*	*3.7%*	*3.0%*	*5.1%*
Sales and Marketing	(347)	(503)	(594)	(856)	(1,655)	(1,786)	(1,793)	(1,650)	(665)	(832)	(2,301)	(6,884)	(6,602)
Percent of Revenues	*0.7%*	*0.6%*	*0.4%*	*0.6%*	*1.0%*	*1.0%*	*1.0%*	*1.0%*	*1.9%*	*1.2%*	*0.6%*	*1.0%*	*1.2%*
General and Admin	(748)	(1,060)	(1,849)	(2,084)	(4,965)	(5,359)	(5,558)	(5,279)	(1,784)	(1,868)	(5,742)	(21,161)	(16,505)
Percent of Revenues	*1.5%*	*1.3%*	*1.4%*	*1.5%*	*3.0%*	*3.0%*	*3.1%*	*3.2%*	*5.2%*	*2.8%*	*1.4%*	*3.1%*	*3.0%*
Operating Income	**30,111**	**60,826**	**106,894**	**112,377**	**131,560**	**141,153**	**138,412**	**109,226**	**(8,294)**	**6,004**	**310,209**	**520,352**	**340,542**
Percent of Revenues	*61.3%*	*73.7%*	*80.0%*	*80.0%*	*79.5%*	*79.0%*	*77.2%*	*66.2%*	*-24.3%*	*9.0%*	*76.5%*	*75.6%*	*61.9%*
EBITDA	33,008	63,786	109,959	115,717	134,441	144,035	141,294	124,052	5,589	19,524	322,470	543,822	365,232
EBITDA margin	*67%*	*77%*	*82%*	*82%*	*81%*	*81%*	*79%*	*75%*	*16%*	*29%*	*79%*	*79%*	*66%*
Non-operating Income(Loss)	**1,607**	**1,503**	**2,438**	**330**	**381**	**381**	**381**	**378**	**3,998**	**2,639**	**5,878**	**1,520**	**1,532**
Profit Before Taxes	**31,718**	**62,329**	**109,332**	**112,707**	**131,941**	**141,534**	**138,793**	**109,604**	**(4,297)**	**8,643**	**316,087**	**521,872**	**342,074**
Percent of Revenues	*64.6%*	*75.5%*	*81.8%*	*80.3%*	*79.7%*	*79.2%*	*77.4%*	*66.4%*	*-12.6%*	*13.0%*	*77.9%*	*75.8%*	*62.2%*
Taxes	(5,660)	(12,138)	(21,705)	(19,292)	(23,544)	(27,561)	(27,554)	(18,761)	1,474	(1,269)	(58,795)	(97,420)	(63,661)
Tax Rate	*17.8%*	*19.5%*	*19.9%*	*17.1%*	*17.8%*	*19.5%*	*19.9%*	*17.1%*	*34.3%*	*14.7%*	*18.6%*	*18.7%*	*18.6%*
Reported Income (TW GAAP)	**26,058**	**50,192**	**87,627**	**93,415**	**108,397**	**113,973**	**111,239**	**90,843**	**(2,823)**	**7,373**	**257,292**	**424,452**	**278,413**
Percent of Revenues	*53.1%*	*60.8%*	*65.6%*	*66.5%*	*65.5%*	*63.8%*	*62.0%*	*55.1%*	*-8.3%*	*11.1%*	*63.4%*	*61.7%*	*50.6%*
Change vs Year Ago	*-1443%*	*-1324%*	*5505%*	*742%*	*316%*	*127%*	*27%*	*-3%*	*-59%*	*-361%*	*3389%*	*65%*	*-34%*
Reported EPS (NT$, TW GAAP)	**8.08**	**14.66**	**25.40**	**27.08**	**31.42**	**33.04**	**32.24**	**26.33**	**(0.91)**	**2.36**	**75.96**	**123.03**	**80.70**
Sequential Change	*129%*	*81%*	*73%*	*7%*	*16%*	*5%*	*-2%*	*-18%*	*-59%*	*-359%*	*3117%*	*62%*	*-34%*
Book value per share									**53.3**	**54.6**	**148.7**	**269.1**	**349.7**

Source: Company data, Morgan Stanley Research (E) estimates

Nanya Tech: Valuation Methodology

We cut our price target from NT$600 to NT$550

Our price target (base case scenario value) reflects a target BVPS multiple of 2.04x for 2027 (was 4.47x) versus ROE of 59% for 2027. We lower our target multiple to reflect potential peak in DDR4 pricing power and recent memory segment volatility. For Nanya Tech, our new base case target P/B multiple of 2.04x P/B is stronger than our downside valuation anchor of 1.0x P/B for capital-intensive IDM/foundry stocks. This is because we expect Nanya to remain relatively resilient compared to other DDR4 players in our coverage, given stronger process technology and potential DDR5 migration.

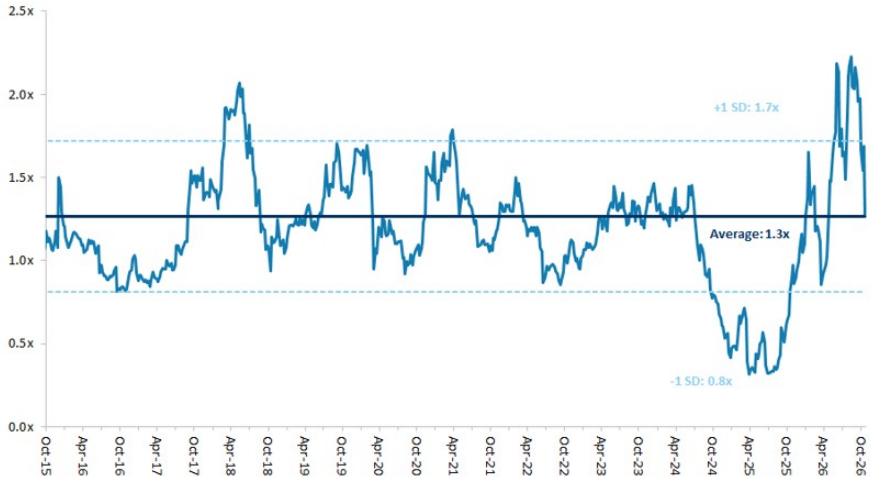
Our base case value/price target cut of 8% reflects both target multiple reduction and BVPS estimate adjustment of 3% arising from earnings estimate revisions.

We cut our bull and bear case values from NT$1,270 and NT$330 to NT$1,150 and NT $300, respectively -- 4.27x and 1.12x 2027e BVPS.

We remain OW

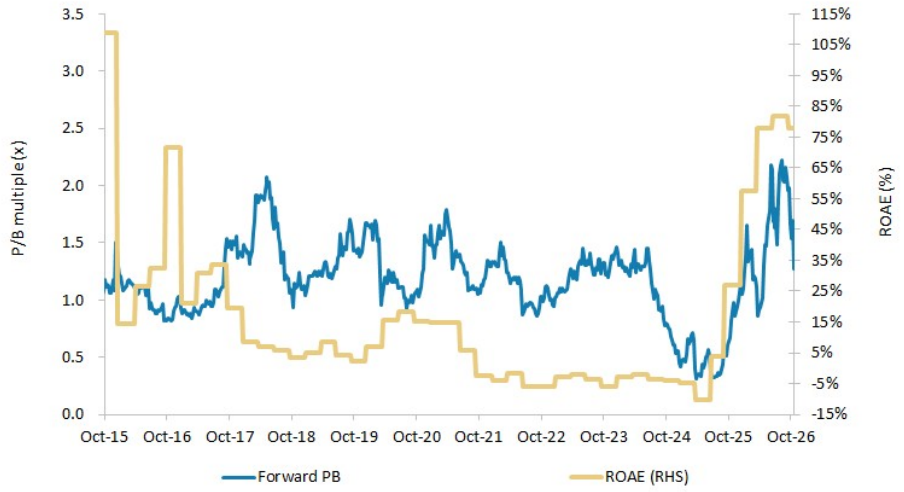
Despite potentially peaking pricing power seen in DDR4, we remain positive on DDR5 in view of continued strong demand from servers. Nanya is already producing DDR5 on its second-generation 10-nm process, with DDR5 contributing ~10% of revenue; its next process enters customer qualification in 1Q27, and EUV implementation is targeted for 2028. This establishes its edge in process technology vs the other DDR4 vendors in our coverage and a stronger position in DDR5 migration. Valuation is also attractive, in our view. Therefore, we remain OW on Nanya Tech.

Exhibit 35: Nanya Tech – Historical P/B band



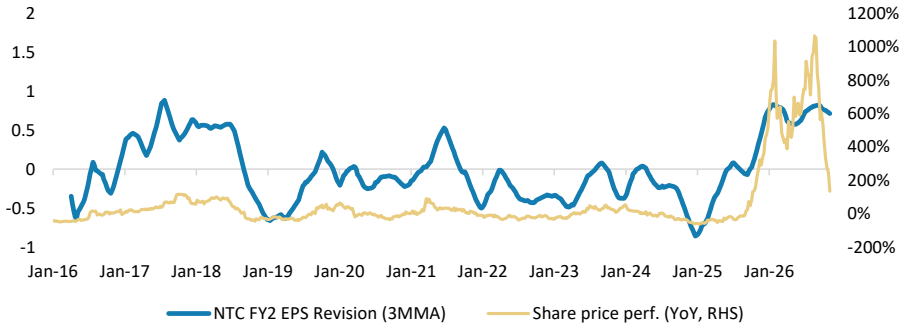
Source: Company data, Morgan Stanley Research estimates

Exhibit 36: Nanya Tech: Historical forward P/B vs. ROE



Source: Company data, Morgan Stanley Research estimates

Exhibit 37: Nanya Tech: Earnings estimate revision breadth



Source: Company data, Morgan Stanley Research estimates

Nanya Tech: Financial Summary

Income Statement

NT$mn (Years End Dec)	2025	2026E	2027E	2028E
Net sales	66,587	405,725	688,388	550,151
COGS	(50,841)	(72,656)	(119,107)	(158,657)
Depreciation Expense	(13,520)	(12,262)	(23,470)	(24,690)
Variable Cost	(37,321)	(60,394)	(95,637)	(133,967)
Gross profit	15,745	333,069	569,281	391,494
Operating expenses	(9,741)	(22,860)	(48,929)	(50,952)
Operating income	**6,004**	**310,209**	**520,352**	**340,542**
Non-operating income	2,639	5,878	1,520	1,532
Pre-tax income	8,643	316,087	521,872	342,074
Income tax	(1,269)	(58,795)	(97,420)	(63,661)
Reported net Income	**7,373**	**257,292**	**424,452**	**278,413**
Adj.wtd.avg.shrs(m)	3,123	3,387	3,450	3,450
Reported EPS (NT$)	**2.36**	**75.96**	**123.03**	**80.70**
EPS for consensus (NT$)	**2.36**	**75.96**	**123.03**	**80.70**

Balance Sheet

NT$mn (Years End Dec)	2025	2026E	2027E	2028E
Cash	58,074	468,374	855,763	1,135,449
Mkt Securities	0	0	0	0
AR/NR	16,558	71,688	84,213	60,714
Inventory	27,288	26,437	54,472	56,422
Other	6,621	20,033	22,905	17,516
Current Assets	108,541	586,532	1,017,353	1,270,102
Long-term investments	5,904	8,476	9,415	10,354
Fixed assets	85,031	128,544	135,074	140,384
Other assets	8,977	5,426	5,426	5,426
Total Assets	**208,453**	**728,978**	**1,167,267**	**1,426,265**
S/T borrowings	5,060	160,000	165,000	145,000
AP/NP	6,481	8,308	17,117	17,730
Other ST liabilities	7,480	33,045	33,074	33,076
LT debt	14,196	18,397	18,397	18,397
Other LT liabilities	4,698	5,488	5,488	5,488
Total Liabilities	**37,914**	**225,237**	**239,076**	**219,690**
Common stocks	30,986	34,502	34,502	34,502
Preferred stocks	0	0	0	0
Capital Reserve	33,081	108,459	108,459	108,459
Retained earning	106,333	360,642	785,093	1,063,476
Other shareholders' equity	0	0	0	0
Total Equity	170,538	503,741	928,192	1,206,574
Total Liab. & Shrhldr's Equity	**208,453**	**728,978**	**1,167,267**	**1,426,265**
BVPS	**54.61**	**148.72**	**269.05**	**349.74**

Cash Flow Statement

NT$mn (Years End	2025	2026E	2027E	2028E
Cashflow from C	**18,568**	**223,324**	**412,390**	**329,716**
Net profits	7,373	257,292	424,452	278,413
Depreciation	14,034	12,262	23,470	24,690
Working Capital C	5,697	(52,453)	(31,750)	22,162
Other adjustment	(8,536)	6,223	(3,782)	4,451
Cashflow from I	**(14,110)**	**(52,201)**	**(30,000)**	**(30,000)**
Capex	(13,441)	(51,996)	(30,000)	(30,000)
Change of LT Inv	(612)	0	0	0
Change of ST Inv	0	0	0	0
Other adjustment	(57)	(206)	0	0
Cashflow from f	**(6,317)**	**237,868**	**4,999**	**(20,030)**
Increase in L/T de	(6,750)	4,201	0	0
Increase in S/T d	(9,477)	154,941	5,000	(20,000)
Cash Dividend Pa	0	0	(1)	(30)
Dir& Emp Bonus	(7,000)	0	0	0
Proceed fmNewIs	0	78,718	0	0
Other adjustment	16,909	9	0	0
Exchange rate ac	(1,970)	1,309	0	(0)
Net change in ca	**-3,829**	**410,300**	**387,389**	**279,686**

Financial Ratios

	2025	2026E	2027E	2028E
Growth(%)				
Turnover	95.1	509.3	69.7	-20.1
Margins (%)				
Gross Margin	23.6	82.1	82.7	71.2
Operating Margin	9.0	76.5	75.6	61.9
EBITA Margin	-11.3	73.4	72.2	57.4
Pretax Margin	13.0	77.9	75.8	62.2
Net Profit	11.1	63.4	61.7	50.6
Return (%)				
ROAE	4.4	76.3	59.3	26.1
ROAA	3.6	54.9	44.8	21.5
Gearing (%)				
Net Debt/Equity	(22.7)	(57.6)	(72.4)	(80.6)
Liabilities/Equity	22.2	44.7	25.8	18.2
Ratios (X)				
Current ratio	5.7	2.9	4.7	6.5
Quick ratio	3.9	2.7	4.4	6.1
Others				
AR/NR Turnover	50	57	40	41
Inventory Turnov	337	172	24	21
AP Turnover (day	59	47	42	52
Cash Conversion	328	182	22	10

Source: Company data, TEJ, Morgan Stanley ResearchE= Morgan Stanley Research Estimates

Risk Reward – Nanya Technology Corp. (2408.TW)

Still resilient during a DDR4 pricing power debate; OW

PRICE TARGET NT$550.00

Base case, P/B. We expect the stock to trade at 2.04x 2027e BVPS, justified by 2027e ROE of 59%. We think NTC is well positioned compared to other DDR4 players given stronger process technology and the DDR5 migration. Thus, we ascribe a multiple stronger than our downside valuation anchor of 1.0x P/B for capital-intensive IDM/foundry stocks.

Consensus Price Target Distribution NT$150.00 — NT$632.64 — MS PT — NT$800.00

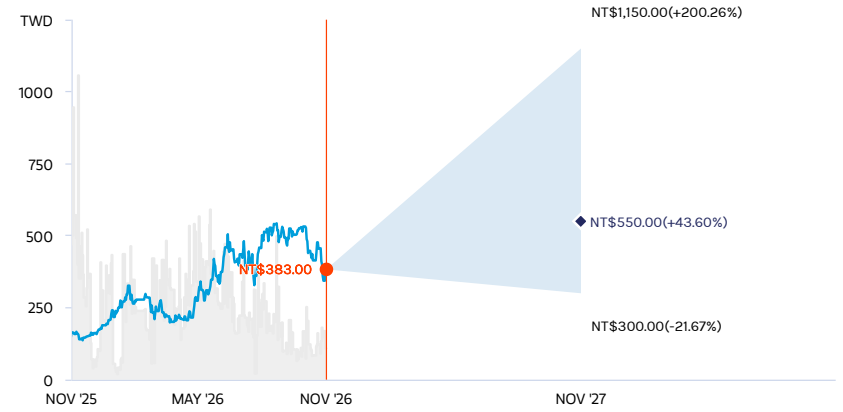
Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

OVERWEIGHT THESIS

- Major memory suppliers are gradually exiting the DDR4 market, benefiting existing Taiwanese players, including Nanya Tech.
- We factor in a potential peak in DDR4 pricing power. However, we expect Nanya to remain relatively resilient compared to other DDR4 players in our coverage, given stronger process technology and potential DDR5 migration.
- Thus, we set our price target at P/B of 2.04x for 2027e, stronger than our downside valuation anchor of 1.0x P/B for capital-intensive IDM/foundry stocks.

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

Consensus Rating Distribution

93%	Overweight
0%	Equal-weight
7%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power:	*Positive*
Secular Growth:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$1,150.00

4.3x 2027e BVPS

DDR4 pricing continues to rise: Supply ramp is slower than expected. 1a/1b ramp and DDR5 migration are faster than expected.

BASE CASE NT$550.00

2.0x 2027e BVPS

DDR4 pricing remains stable: Supply ramp is offset by demand improvement. 1a/1b ramp and DDR5 migration continue, providing upside.

BEAR CASE NT$300.00

1.1x 2027e BVPS

DDR4 pricing declines drastically: Supply ramp is faster than expected. 1a/1b ramp and DDR5 migration are slower than expected.

Risk Reward – Nanya Technology Corp. (2408.TW)

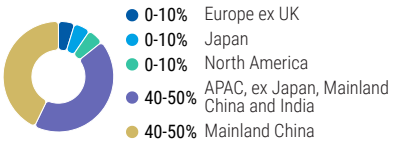
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
12" Wafers Out per quarter (000s)	825.0	820.0	932.5	1,112.5
Average Wafer Yield (%)	81.8	102.8	106.2	95.0
Total Die shipments - 2 gb equivalent (mn)	2,368.0	2,975.7	3,604.0	3,985.1

INVESTMENT DRIVERS

- Specialty DRAM pricing
- Monthly sales momentum
- Industry outlook reported by industry peers

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Sustained DRAM prices from more disciplined supply and stronger demand
- Stronger pricing environment, enabling revenue guidance to be beaten
- Faster-than-expected 1a/1b nm ramp-up progress

RISKS TO DOWNSIDE

- Slower-than-expected 1a/1b nm ramp-up
- Less demand for specialty DRAM from 4K2K TVs and smart set-top boxes

OWNERSHIP POSITIONING

Inst. Owners, % Active 73.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT$, mn)	195,412	405,725 / 396,338	427,955
EBITDA (NT$, mn)	131,299	322,470 / 309,696	342,198
Net income (NT$, mn)	97,986	257,292 / 249,970	272,926
EPS (NT$)	72.36	75.96 / 76.43	80.53

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

AP Memory: Estimate revisions summary

We adjust our EPS estimates +21% for 2026, +2% for 2027, and -12% for 2028: We factor in 3Q26 preliminary results. We adjust our 2028 forecasts mainly to account for supply chain risks. We note that the company's IoTRAM is less affected by volatility of typical commodity DRAM pricing. The 2027e and 2028e EPS changes mainly reflect supply chain uncertainties around S-SiCap. We now reduce our S-SiCap unit shipment estimates throughout 2027-2028 and 50%+ into 4Q28. We also slightly reduced our IoT RAM ASP estimates throughout 2027-28 to reflect peaking DDR3/4 pricing power. In addition, we reduced our GM assumptions across product lines to reflect potential peak in pricing power and supply chain uncertainties. Our changes in net income/EPS estimates are largely a function of changes in our revenue and gross profit estimates. We believe it is a good time to make these changes now as a result of the narrower shortages, moderating price hikes, and potential delay in 2028 US cloud capex.

Exhibit 38: AP Memory – Estimate revisions

(NT$ mn)	New '26e	Old '26e	Diff.	New '27e	Old '27e	Diff.	New '28e	Old '28e	Diff.
Net sales	10,980	9,601	14%	20,918	19,356	8%	32,175	34,606	-7%
COGS	5,318	4,883		10,748	9,547		16,203	16,599	
Gross profit	5,661	4,717	20%	10,170	9,809	4%	15,972	18,007	-11%
Operating expenses	1,931	1,749		3,355	3,104		4,851	5,220	
Operating profit	3,730	2,969	26%	6,816	6,705	2%	11,121	12,787	-13%
Non-op. income (exp.)	565	565		437	437		437	437	
Pretax income	4,295	3,534	22%	7,253	7,142	2%	11,558	13,224	-13%
Taxes	878	710		1,451	1,435		2,312	2,656	
Net income	3,485	2,882	21%	5,878	5,763	2%	9,322	10,623	-12%
Reported EPS	**21.39**	**17.69**	**21%**	**36.07**	**35.37**	**2%**	**57.21**	**65.19**	**-12%**
Margins									
Gross margin	51.6%	49.1%	2.4%	48.6%	50.7%	-2.1%	49.6%	52.0%	-2.4%
Operating margin	34.0%	30.9%	3.1%	32.6%	34.6%	-2.1%	34.6%	36.9%	-2.4%
Pretax margin	39.1%	36.8%	2.3%	34.7%	36.9%	-2.2%	35.9%	38.2%	-2.3%
Net margin	31.7%	30.0%	1.7%	28.1%	29.8%	-1.7%	29.0%	30.7%	-1.7%
Opex %	17.6%	18.2%	-0.6%	16.0%	16.0%	0.0%	15.1%	15.1%	0.0%

Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 39: AP Memory – Quarterly financial summary

(NT$ mn)	1Q26	2Q26	3Q26p	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	1Q28e	2Q28e	3Q28e	4Q28e	2025	2026e	2027e	2028e
Total Revenues	**2,100**	**2,363**	**3,312**	**3,476**	**4,162**	**4,840**	**5,600**	**6,317**	**7,136**	**7,910**	**8,393**	**8,736**	**5,658**	**10,980**	**20,918**	**32,175**
Sequential Change	*12.4%*	*12.5%*	*40.2%*	*4.9%*	*19.7%*	*16.3%*	*15.7%*	*12.8%*	*13.0%*	*10.8%*	*6.1%*	*4.1%*				
Change vs Year Ago	*115.4%*	*77.8%*	*121.6%*	*86.1%*	*98.2%*	*104.8%*	*69.1%*	*81.7%*	*71.5%*	*63.4%*	*49.9%*	*38.3%*	*35.0%*	*94.1%*	*90.5%*	*53.8%*
Cost of Sales	1,130	1,204	1,457	1,799	2,156	2,497	2,870	3,225	3,624	3,993	4,220	4,365	3,024	5,318	10,748	16,203
Percent of Revenues	*54%*	*51%*	*44%*	*52%*	*52%*	*52%*	*51%*	*51%*	*51%*	*50%*	*50%*	*50%*	*53%*	*48%*	*51%*	*50%*
Gross Profit	**970**	**1,159**	**1,855**	**1,677**	**2,006**	**2,342**	**2,730**	**3,092**	**3,512**	**3,916**	**4,173**	**4,371**	**2,634**	**5,661**	**10,170**	**15,972**
Percent of Revenues	*46.2%*	*49.1%*	*56.0%*	*48.3%*	*48.2%*	*48.4%*	*48.8%*	*48.9%*	*49.2%*	*49.5%*	*49.7%*	*50.0%*	*46.5%*	*51.6%*	*48.6%*	*49.6%*
Incremental Margin	*17%*	*72%*	*73%*	*-108%*	*48%*	*50%*	*51%*	*50%*	*51%*	*52%*	*53%*	*58%*	*33%*	*57%*	*45%*	*52%*
Total Opex	382	434	500	616	712	774	884	984	1,097	1,200	1,256	1,298	1,234	1,931	3,355	4,851
Percent of Revenues	*18.2%*	*18.4%*	*15.1%*	*17.7%*	*17.1%*	*16.0%*	*15.8%*	*15.6%*	*15.4%*	*15.2%*	*15.0%*	*14.9%*	*21.8%*	*17.6%*	*16.0%*	*15.1%*
Operating Income	**588**	**726**	**1,355**	**1,061**	**1,295**	**1,568**	**1,846**	**2,108**	**2,415**	**2,717**	**2,917**	**3,073**	**1,399**	**3,730**	**6,816**	**11,121**
Percent of Revenues	*28.0%*	*30.7%*	*40.9%*	*30.5%*	*31.1%*	*32.4%*	*33.0%*	*33.4%*	*33.8%*	*34.3%*	*34.8%*	*35.2%*	*24.7%*	*34.0%*	*32.6%*	*34.6%*
Total Non-operating Income (Loss)	237	109	109	109	109	109	109	109	109	109	109	109	119	565	437	437
Profit Before Taxes	826	835	1,467	1,170	1,404	1,677	1,955	2,217	2,524	2,826	3,026	3,182	1,518	4,295	7,253	11,558
Percent of Revenues	*39%*	*35%*	*44%*	*34%*	*34%*	*35%*	*35%*	*35%*	*35%*	*36%*	*36%*	*36%*	*27%*	*39%*	*35%*	*36%*
Taxes	166	168	310	234	281	335	391	443	505	565	605	636	279	878	1,451	2,312
Tax Rate	*20.1%*	*20.1%*	*21.2%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*18.3%*	*20.4%*	*20.0%*	*20.0%*
Reported Income (TW GAAP)	**676**	**681**	**1,176**	**955**	**1,142**	**1,361**	**1,583**	**1,792**	**2,038**	**2,280**	**2,440**	**2,564**	**1,258**	**3,485**	**5,878**	**9,322**
Percent of Revenues	*32.2%*	*28.8%*	*35.5%*	*27.5%*	*27.4%*	*28.1%*	*28.3%*	*28.4%*	*28.6%*	*28.8%*	*29.1%*	*29.4%*	*22.2%*	*31.7%*	*28.1%*	*29.0%*
Change vs Year Ago	*104%*	*-225%*	*66%*	*25%*	*69%*	*100%*	*35%*	*88%*	*78%*	*68%*	*54%*	*43%*	*-20%*	*177%*	*69%*	*59%*
Reported EPS (NT$, TW GAAP)	**4.15**	**4.18**	**7.21**	**5.86**	**7.01**	**8.35**	**9.71**	**11.00**	**12.51**	**13.99**	**14.97**	**15.74**	**7.74**	**21.39**	**36.07**	**57.21**
Change vs Year Ago	*103%*	*-224%*	*66%*	*24%*	*69%*	*100%*	*35%*	*88%*	*78%*	*68%*	*54%*	*43%*	*-20%*	*177%*	*69%*	*59%*

Source: Company data, Morgan Stanley Research (e) estimates

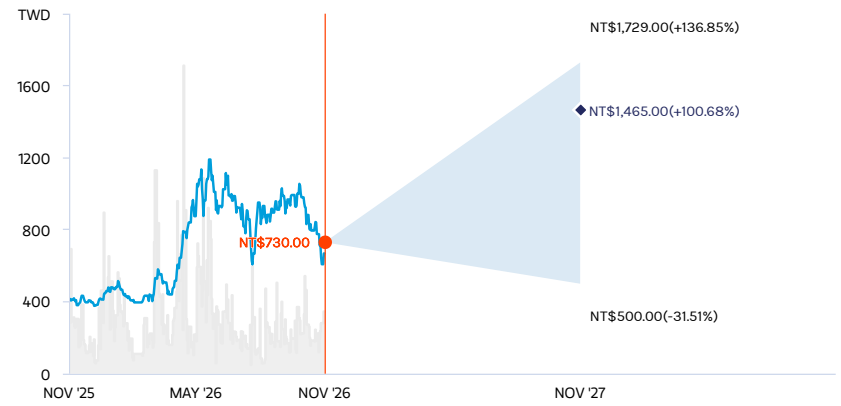
Risk Reward – AP Memory Technology Corp (6531.TW)

Multiple growth drivers ahead; OW

PRICE TARGET NT$1,465.00

Base case, derived from a residual income model. Key RI model assumptions include cost of equity constant at 9.2% (2.0% risk-free rate, 6.0% risk premium, 1.2 beta); medium-term growth rate of 16.0%; terminal growth rate of 3.0%; and payout ratio of 67%.

RISK REWARD CHART



Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- S-SiCap revenue is likely to ramp in 2026-27, and be further driven by new IPD interposer opportunities into 2028.
- Memory bandwidth and power consumption are the next issues to be resolved in AI computing, and we believe AP Memory's wafer-on wafer (WoW) packaging technology could be an effective solution.
- The company expects memory business to be stable in the near term.
- Overall AI business should continue to rise in the mix – a positive read for the margin profile.
- Our price target implies 41x 2027e P/E, roughly in line with the historical average since 2020. On this basis, we find valuation attractive.

Consensus Rating Distribution

100%	Overweight
0%	Equal-weight
0%	Underweight

● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$1,729.00

48x 2027e EPS

Faster-than-expected AI and IPD business progress with PSRAM generating more cash flow: We assume: 1) WoW packaging revenue to reach >NT$10bn, and S-SiCap revenue to reach >NT$10bn by 2028; 2) total revenue to rise at a 55%+ CAGR, 2025-28; and 3) gross margin to increase from 46.5% in 2025 to 60%+ by 2028.

BASE CASE NT$1,465.00

41x 2027e EPS

Fast-growing AI and IPD business, with PSRAM generating stable cash flows: We expect: 1) WoW revenue to reach NT$11bn+, and S-SiCap revenue to reach NT$6bn+ by 2028; 2) total revenue to rise at a ~80% CAGR, 2025-28; and 3) gross margin to increase from 46.5% in 2025 to ~50% in 2028.

BEAR CASE NT$500.00

14x 2027e EPS

Slower-than-expected AI and IPD business progress, with PSRAM facing intensifying competition: We assume: 1) WoW packaging revenue of ~NT$1.5bn, and S-SiCap revenue of ~NT$2bn by 2028; 2) total revenue to rise at a 10-15% CAGR, 2025-28; and 3) gross margin to remain at ~51% by 2028.

Risk Reward – AP Memory Technology Corp (6531.TW)

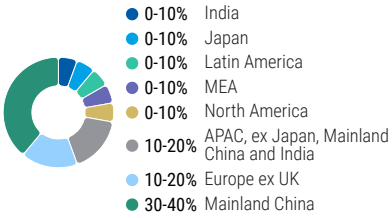
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
1. Wifi Sales (%) (%)	73.7	58.4	55.0	47.5
2. Ethernet Sales (%) (%)	7.1	8.1	19.8	32.8

INVESTMENT DRIVERS

- Demand for AI applications
- Consumer tech demand, especially from the IoT market

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected consumer demand
- Faster-than-expected IPD ramp and WoW packaging development
- Milder competition from partners (foundry, memory house, GPU vendor) or other design houses

RISKS TO DOWNSIDE

- Weaker-than-expected consumer demand
- Slower-than-expected IPD ramp and WoW packaging development
- Intensifying competition from partners (foundry, memory house, GPU vendor) or other design houses

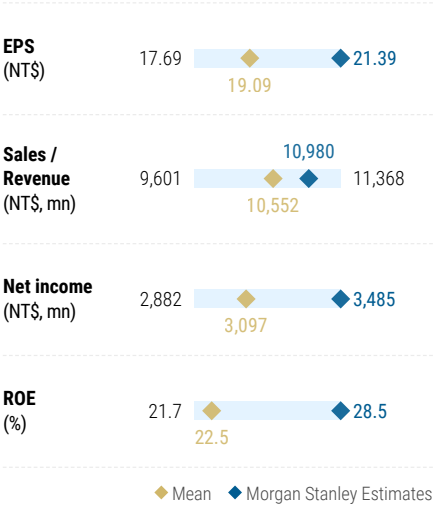
OWNERSHIP POSITIONING

Inst. Owners, % Active 64.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Phison: Estimate Revisions

We adjust our 2026, 2027, and 2028 EPS estimates: We factor in 3Q26 results, which demonstrated continued revenue growth (+27% Q/Q) but also gross margin decline (59.7% in 3Q, down from 65.3% in 2Q). In 4Q26 and 2027, we expect emerging weakness from consumer tech and a more moderate pricing environment to result in 4Q revenue decline, with GM starting to normalize. We think normalized GM is likely to extend into 2028.

We present further discussion of our EPS estimates under Valuation Methodology.

Exhibit 44: Phison: Quarterly financials

NT$ in million	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2024	2025	2026E	2027E	2028E
Total Revenues	**40,967**	**67,888**	**86,076**	**67,390**	**54,144**	**55,957**	**53,692**	**46,198**	***58,936***	***72,664***	***262,321***	***209,990***	***155,219***
Sequential Change	*79.7%*	*65.7%*	*26.8%*	*-21.7%*	*-19.7%*	*3.3%*	*-4.0%*	*-14.0%*					
Change vs Year Ago	*196.0%*	*279.5%*	*374.6%*	*195.6%*	*32.2%*	*-17.6%*	*-37.6%*	*-31.4%*	*22.2%*	*23.3%*	*261.0%*	*-19.9%*	*-26.1%*
Cost of Sales	15,849	23,554	34,689	27,666	23,839	26,228	26,695	24,272	39,837	47,806	101,758	101,034	89,968
Percent of Revenues	*39%*	*35%*	*40%*	*41%*	*44%*	*47%*	*50%*	*53%*	*68%*	*66%*	*39%*	*48%*	*58%*
Gross Profit	**25,118**	**44,335**	**51,387**	**39,724**	**30,305**	**29,729**	**26,997**	**21,926**	***19,099***	***24,858***	***160,563***	***108,956***	***65,251***
Percent of Revenues	*61.3%*	*65.3%*	*59.7%*	*58.9%*	*56.0%*	*53.1%*	*50.3%*	*47.5%*	*32.4%*	*34.2%*	*61.2%*	*51.9%*	*42.0%*
Incremental Margin	*86%*	*71%*	*39%*	*NM*	*NM*	*-32%*	*NM*	*NM*	*28%*	*42%*	*72%*	*NM*	*NM*
Total Opex	10,277	17,964	18,489	15,014	12,864	13,854	13,830	12,362	*15,566*	*16,591*	*61,744*	*52,909*	*45,285*
Percent of Revenues	*25.1%*	*26.5%*	*21.5%*	*22.3%*	*23.8%*	*24.8%*	*25.8%*	*26.8%*	*26.4%*	*22.8%*	*23.5%*	*25.2%*	*29.2%*
R&D	8,671	15,099	14,855	12,304	10,427	11,336	11,414	10,283	*12,586*	*13,775*	*50,929*	*43,459*	*38,300*
Percent of Revenues	*21.2%*	*22.2%*	*17.3%*	*18.3%*	*19.3%*	*20.3%*	*21.3%*	*22.3%*	*21.4%*	*19.0%*	*19.4%*	*20.7%*	*24.7%*
General & administrative	830	1,577	2,000	1,566	1,245	1,287	1,235	1,063	*1,286*	*1,169*	*5,972*	*4,830*	*3,570*
Percent of Revenues	*2.0%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.3%*	*2.2%*	*1.6%*	*2.3%*	*2.3%*	*2.3%*
Selling & marketing	776	1,289	1,634	1,144	1,191	1,231	1,181	1,016	*1,694*	*1,647*	*4,843*	*4,620*	*3,415*
Percent of Revenues	*1.9%*	*1.9%*	*1.9%*	*1.7%*	*2.2%*	*2.2%*	*2.2%*	*2.2%*	*2.9%*	*2.3%*	*1.8%*	*2.2%*	*2.2%*
Operating Income	**14,841**	**26,370**	**32,898**	**24,710**	**17,442**	**15,875**	**13,167**	**9,564**	**3,533**	**8,266**	**98,819**	**56,047**	**19,967**
Percent of Revenues	*36.2%*	*38.8%*	*38.2%*	*36.7%*	*32.2%*	*28.4%*	*24.5%*	*20.7%*	*6%*	*11%*	*38%*	*27%*	*13%*
Change vs Year Ago	*N/A*	*N/A*	*2209.8%*	*641.0%*	*17.5%*	*-39.8%*	*-60.0%*	*-61.3%*	*-2%*	*134%*	*1095%*	*-43%*	*-64%*
Total Non-operating Income(Loss)	3,057	4,704	3,077	183	183	183	183	183	6,216	1,939	11,022	732	732
Profit Before Taxes	**17,898**	**31,075**	**35,976**	**24,893**	**17,624**	**16,058**	**13,350**	**9,747**	**9,749**	**10,206**	**109,841**	**56,779**	**20,698**
Percent of Revenues	*44%*	*46%*	*42%*	*37%*	*33%*	*29%*	*25%*	*21%*	*17%*	*14%*	*42%*	*27%*	*13%*
Taxes	2,723	4,856	5,428	4,481	3,172	2,890	2,403	1,754	*1,795*	*1,465*	*17,487*	*10,220*	*3,726*
Tax Rate	*15.2%*	*15.6%*	*15.1%*	*18.0%*	*18.0%*	*18.0%*	*18.0%*	*18.0%*	*18%*	*14%*	*16%*	*18%*	*18%*
Net Income, Cont Ops	15,175	26,219	30,548	20,412	14,452	13,168	10,947	7,993	7,954	8,741	92,354	46,559	16,973
Percent of Revenues	*37%*	*39%*	*35%*	*30%*	*27%*	*24%*	*20%*	*17%*	*13%*	*12%*	*35%*	*22%*	*11%*
Net Income (incl. Emp. Bonus Expense)	15,175	26,219	30,548	20,412	14,452	13,168	10,947	7,993	7,955	8,743	92,357	46,559	16,973
Percent of Revenues	*37%*	*39%*	*35%*	*30%*	*27%*	*24%*	*20%*	*17%*	*13.5%*	*12.0%*	*35.2%*	*22.2%*	*10.9%*
	0%	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*
Reported Income (TW GAAP)	**15,175**	**26,219**	**30,548**	**20,412**	**14,452**	**13,168**	**10,947**	**7,993**	**7,955**	**8,743**	**92,357**	**46,559**	**16,973**
Percent of Revenues	*37%*	*39%*	*35%*	*30%*	*27%*	*24%*	*20%*	*17%*	*13%*	*12%*	*35%*	*22%*	*11%*
Change vs Year Ago	*0%*	*73%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*119%*	*10%*	*956%*	*-50%*	*-64%*
Reported EPS (NT$, TW GAAP)	**68.86**	**118.97**	**138.62**	**92.62**	**65.58**	**59.75**	**49.67**	**36.27**	**35.68**	**39.70**	**419.09**	**211.27**	**77.02**
Change vs Year Ago	*1233%*	*3406%*	*1272%*	*341%*	*-5%*	*-50%*	*-64%*	*-61%*	*102%*	*11%*	*956%*	*-50%*	*-64%*

Source: Company data, Morgan Stanley Research (E) estimates

Phison: Valuation Methodology

We cut our price target from NT$2,588 to NT$1,357

Our price target is our base case value, derived from a residual income (RI) model. Our cut reflects our latest earnings estimates. We also cut our terminal growth rate assumption from 4.0% to 3.0% to be broadly in line with a conservative estimate of long-term nominal economic growth in developed economies. We believe this is appropriate for Phison because rising storage demand should support continued growth, while declining NAND prices per bit, competition, and maturing SSD penetration should limit the conversion of volume growth into earnings growth, bringing its growth closer to that of the broader economy over time.

Our other RI parameters are unchanged, including a cost of equity of 9.0%, a medium-term growth rate of 9.0%, and a dividend payout ratio assumption of 50.0%.

Apart from the earnings estimate revisions and terminal growth rate change, a material part of the price target change is driven by an error in the previously published residual income model (August 2026). The error has now been corrected. In the previous RI model, the 2028e net income was mistakenly calculated as 2027e net income * (1+ intermediate growth rate), where it should have been linked to the actual 2028e net income forecast. This overstated the previous price target.

Our earnings estimates have also changed materially from the previously published version: they increase 12% for 2026, 60% for 2027, and 37% for 2028. This mainly reflects higher GM assumptions of 61.2%, 51.9%, and 42.0%, respectively; previously we assumed 60.1%, 43.4%, and 39.5%.

Our base case value/price target is lowered 48%, of which roughly +37% is contributed by earnings estimate revisions, -6% is contributed by terminal growth rate reduction, and -83% is contributed by the correction of the prior RI model error. (The overall price target change is calculated from the fully revised RI model. The individual contribution estimates are illustrative and should not be added together or compounded to derive the overall change.)

We cut our bull and bear case values from NT$3,400 and NT$1,250 to NT$1,782 and NT $655, respectively, implying 8.4x 2027e EPS in the bull case and 3.1x 2027e EPS in the bear case.

We downgrade Phison to UW

The company hopes its AiDaptive module and service business can pick up and offset the margin pressure in the conventional module business in the coming quarters, which we believe is worth monitoring. However, its 3Q GM of 59% missed the Street estimate of 60.3%; we see this as a potential sign that the previously strong margin profile supported by low-cost inventory may start to face more downside. Specifically, the AI storage part of its business (eSSD, and cSSD for AI PC, together 40% of revenue) may face margin decline. This is what we have been cautious about, and we see the 3Q margin miss as having provided a good opportunity to downgrade this stock, which we view as

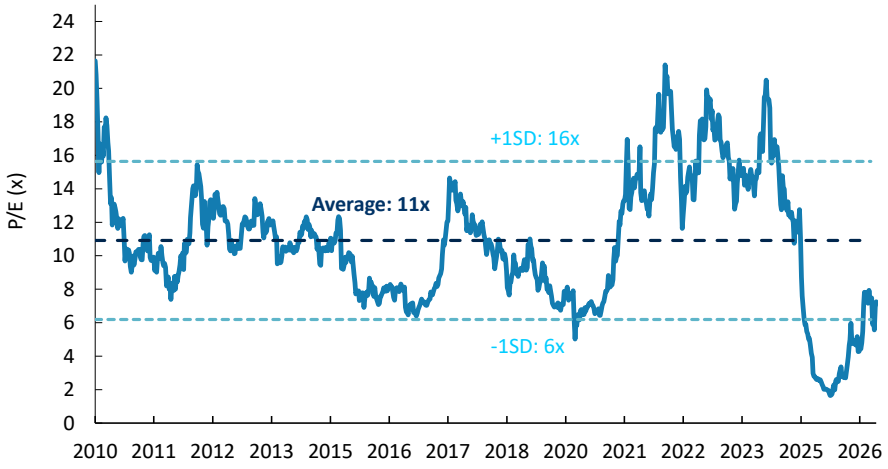
overvalued based on our revised assumptions.

Exhibit 45: Phison: RI model

NT$million	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2035E
Total Equity	**147,997**	**147,388**	**140,583**	**150,758**	**161,849**	**173,938**	**187,115**	**201,478**	**217,134**	**234,198**	**252,799**
Net Profit	**92,357**	**46,559**	**16,973**	**18,500**	**20,165**	**21,980**	**23,958**	**26,115**	**28,465**	**31,027**	**33,819**
ROAE	**88.8%**	**31.5%**	**11.8%**	**12.7%**	**12.9%**	**13.1%**	**13.3%**	**13.4%**	**13.6%**	**13.7%**	**13.9%**
Residual Income	47,988	33,448	4,221	5,308	5,996	6,745	7,562	8,451	9,420	10,477	11,627
Spread	**79.8%**	**22.6%**	**2.9%**	**3.8%**	**4.0%**	**4.2%**	**4.3%**	**4.5%**	**4.7%**	**4.8%**	**5.0%**
Ending Equity Capital	147,997										
PV of Forecast Period	65,813										
PV of Continuing Value	85,995										
Equity Value	**299,805**										
No. of Shares	221										
Projected Price	**1,357**										

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 46: Phison: P/E multiple



Source: Company data, Morgan Stanley Research estimates

Risk Reward – Phison Electronics Corp (8299.TWO)

AI still drives NAND market, but caution on GM decline; UW

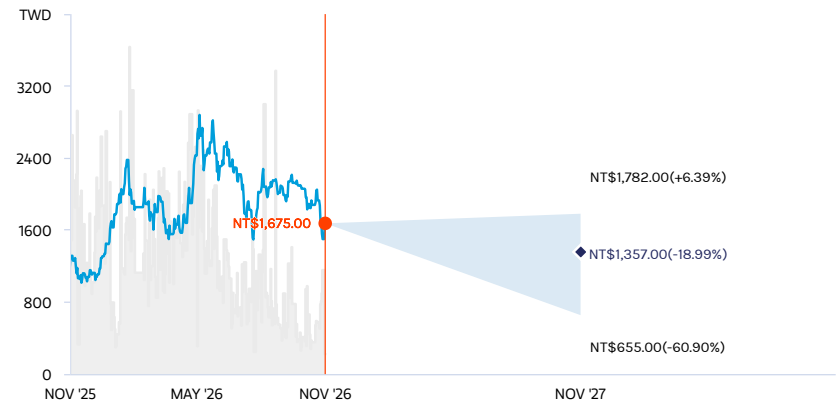
PRICE TARGET NT$1,357.00

Base case, residual income model. Key assumptions: a cost of equity of 9.0%, a medium-term growth rate of 9.0%, a terminal growth rate of 3.0%, and a dividend payout ratio assumption of 50%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



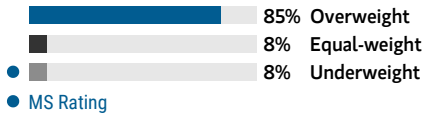
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- AI-driven storage demand is extending the industry up-cycle, but we see limited upside for module vendors given constrained NAND supply, FIFO-driven margin normalization, and weakening consumer SSD demand amid elevated NAND prices.
- eSSD and AI-related storage form meaningful growth opportunities for Asian module house vendors such as Phison. Even so, we believe the scale remains insufficient to offset broader consumer SSD weakness.
- We see risks in execution as raw NAND suppliers are looking to cut support further to module houses to prioritize their other customers. Industry average for shipments is -40% YoY, which could create risks for Phison.
- We find valuation unattractive.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE NT$1,782.00

8.4x 2027e EPS

Growing SSD demand and limited supply growth prompt NAND flash shortages; SSD market growth accelerates: 1) Revenue increases at a CAGR of >40% over 2025-28; 2) gross margin is at 50-60% in 2028 vs. 61% in 2026.

BASE CASE NT$1,357.00

6.4x 2027e EPS

A good year for NAND modules in 2026, but we doubt it can be sustained into 2027: 1) Revenue increases at a CAGR of 29% over 2025-28e; 2) gross margin decreases to 42% in 2028 from 61% in 2026, as NAND pricing normalizes and low cost inventory is depleted.

BEAR CASE NT$655.00

3.1x 2027e EPS

No outsourcing from Micron, low SSD market growth, NAND flash prices drop more than in our base case: 1) Revenue increases at a CAGR of <10% in 2025-28; 2) gross margin faces more significant erosion, to <30% in 2028 from 61% in 2026, as NAND pricing decreases faster than expected.

Risk Reward – Phison Electronics Corp (8299.TWO)

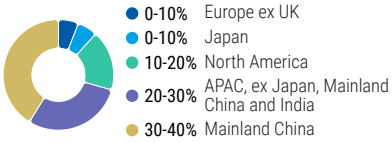
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Flash module revenue Y/Y (%)	22.0	354.0	(19.0)	(28.1)
Flash controller IC revenue Y/Y (%)	44.7	22.4	(28.2)	(3.1)
Flash module gross margin (%)	33.5	63.0	52.3	41.8
Flash controller IC gross margin (%)	43.9	44.2	43.2	43.3

INVESTMENT DRIVERS

- Rising NAND flash prices
- Higher SSD penetration rate
- Adoption of solution by key OEMs

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected eMMC controller IC outsourcing rate
- Faster SSD market growth
- Market share gain in ultrabooks and SSDs

RISKS TO DOWNSIDE

- Weaker-than expected NAND demand
- Milder impact on global NAND supply
- Non-acceptance of price hikes on NAND modules
- Risks in execution as raw NAND suppliers reprioritize

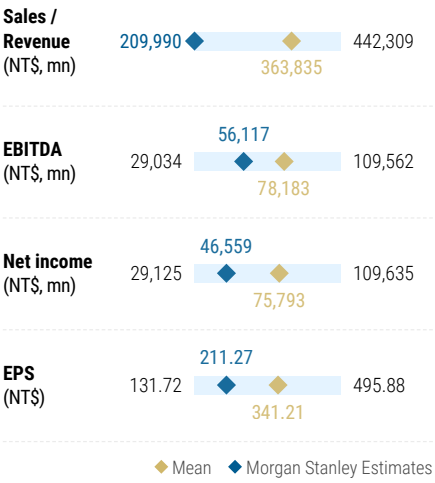
OWNERSHIP POSITIONING

Inst. Owners, % Active 50.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Phison: Financial Summary

Exhibit 47: Financial summary

Income Statement

NT$mn (Years End Dec)	2024	2025E	2026E	2027E	2028E
Net sales	58,936	72,664	262,321	209,990	155,219
COGS	(39,837)	(47,806)	(101,758)	(101,034)	(89,968)
Gross profit	19,099	24,858	160,563	108,956	65,251
Operating expenses	(15,566)	(16,591)	(61,744)	(52,909)	(45,285)
Operating income	**3,533**	**8,266**	**98,819**	**56,047**	**19,967**
Non-operating income	6,216	1,939	11,022	732	732
Pre-tax income	9,749	10,206	109,841	56,779	20,698
Income tax	1,795	1,465	17,487	10,220	3,726
Reported net Income	**7,954**	**8,741**	**92,354**	**46,559**	**16,973**
Adj.wtd.avg.shrs(m)	204	207	221	221	221
Reported EPS (NT$)	**35.68**	**39.70**	**419.09**	**211.27**	**77.02**

Balance Sheet

NT$mn (Years End Dec)	2024	2025E	2026E	2027E	2028E
Cash	19,982	16,275	95,510	101,461	103,163
Mkt Securities	784	1,475	1,475	1,475	1,475
AR/NR	8,011	13,689	32,804	26,259	19,410
Inventory	24,614	35,609	28,985	28,778	25,626
Other	649	1,432	1,432	1,432	1,432
Current Assets	**54,041**	**68,480**	**160,205**	**159,405**	**151,106**
Long-term investments	651	1,171	1,171	1,171	1,171
Fixed assets	3,783	3,883	3,983	4,083	4,183
Deferred assets	701	629	629	629	629
Other assets	10,164	11,593	11,593	11,593	11,593
Total Assets	**69,339**	**85,756**	**177,581**	**176,881**	**168,682**
S/T borrowings	41	0	0	0	0
AP/NP	1,309	8,878	12,814	12,723	11,329
Other ST liabilities	12,870	16,417	16,417	16,417	16,417
LT debt	6,054	352	352	352	352
Other LT liabilities	0	0	0	0	0
Common shares	2,058	2,180	2,180	2,180	2,180
Total Liabilities	**20,273**	**25,648**	**29,584**	**29,493**	**28,099**
Additional capital	13,054	19,104	19,104	19,104	19,104
Retained earning	34,283	39,151	127,040	126,432	119,626
Other shareholders' equity	(329)	(327)	(327)	(327)	(327)
Total Equity	**49,066**	**60,108**	**147,997**	**147,388**	**140,583**
Total Liab. & Shrhldr's Equity	**69,339**	**85,756**	**177,581**	**176,881**	**168,682**

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT$mn (Years End Dec)	2024	2025E	2026E	2027E	2028E
Cashflow from Operations	**2,094**	**1,598**	**83,872**	**53,288**	**25,650**
Net profits	7,955	8,743	92,357	46,559	16,973
Depreciation	695	755	70	70	70
Working Capital Change	(3,895)	(9,886)	(8,555)	6,659	8,608
Other adjustments	(2,661)	1,986	0	0	0
Cashflow from Investing	**3,903**	**(1,908)**	**(170)**	**(170)**	**(170)**
Capex	(955)	(1,397)	(170)	(170)	(170)
Change of LT Investment	(705)	(529)	0	0	0
Change of ST Investment	(53)	(402)	0	0	0
Other adjustments	5,616	420	0	0	0
Cashflow from financing	**(673)**	**(3,109)**	**(4,468)**	**(47,167)**	**(23,778)**
Increase in L/T debt	5,681	(5,701)	0	0	0
Increase in S/T debt	41	(41)	0	0	0
Cash Dividend Paid	(2,661)	(5,172)	(4,468)	(47,167)	(23,778)
Dir& Emp Bonus Paid	0	0	0	0	0
Issuance of stock	0	0	0	0	0
Other adjustments	(3,733)	7,806	0	0	0
Exchange rate adjustment	437	(288)	0	0	0
Net change in cash	**5,762**	**-3,707**	**79,235**	**5,951**	**1,702**

Financial Ratios

	2024	2025E	2026E	2027E	2028E
Growth(%)					
Turnover	22.2	23.3	261.0	-19.9	-26.1
Operating profits	-2.5	134.0	1095.4	-43.3	-64.4
Pretax profits	137.8	4.7	976.3	-48.3	-63.5
Net profits	119.5	9.9	956.5	-49.6	-63.5
EPS	102.4	11.3	955.7	-49.6	-63.5
Margins (%)					
Gross Margin	32.4	34.2	61.2	51.9	42.0
Operating Margin	6.0	11.4	37.7	26.7	12.9
Pretax Margin	16.5	14.0	41.9	27.0	13.3
Net Profit	13.5	12.0	35.2	22.2	10.9
Return (%)					
ROAE	17.3	16.0	88.8	31.5	11.8
ROAA	11.8	11.3	70.1	26.3	9.8
Gearing (%)					
Net Debt/Equity	(28.3)	(26.5)	(64.3)	(68.6)	(73.1)
Liabilities/Equity	41.3	42.7	20.0	20.0	20.0
Ratios (X)					
Current ratio	3.8	2.7	5.5	5.5	5.4
Quick ratio	2.0	1.2	4.4	4.4	4.4
Others					
AR/NR Turnover (days)	46	46	46	46	46
Inventory Turnover (days)	104	104	104	104	104
AP Turnover (days)	46	46	46	46	46
Cash Conversion (days)	104	104	104	104	104

Source: Morgan Stanley Research (forecasts), Company Data

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Global Stock Ratings Distribution

(as of October 31, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1575	43%	460	49%	29%	742	44%
Equal-weight/Hold	1537	42%	393	42%	26%	720	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	92	10%	16%	218	13%
Total	3,684		946			1681	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (11/10/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$99.90
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,420.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$605.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb838.00

CXMT Corp (688825.SS)	O (08/26/2026)	Rmb40.45
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,170.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$421.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$74.55
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$70.10
MediaTek (2454.TW)	O (11/28/2025)	NT$3,830.00
MetaX Integrated Circuits (688802.SS)	U (11/02/2026)	Rmb509.03
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$383.00
Phison Electronics Corp (8299.TWO)	U (11/10/2026)	NT$1,675.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb81.55
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$440.50
SMIC (0981.HK)	O (10/21/2025)	HK$47.24
TSMC (2330.TW)	O (02/07/2022)	NT$2,285.00
UMC (2303.TW)	O (05/19/2026)	NT$100.50
Vanguard International Semiconductor (5347.TWO)	U (10/30/2026)	NT$132.50
WIN Semiconductors Corp (3105.TWO)	O (10/29/2026)	NT$484.50
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$96.20
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb49.08
Empyrean Technology Co Ltd (301269.SZ)	O (11/02/2026)	Rmb90.47
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb23.97
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb190.00
Innoscience (2577.HK)	E (10/13/2025)	HK$27.36
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb52.78
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$23.50
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb79.95
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb81.82
StarPower Semiconductor Ltd (603290.SS)	U (10/31/2026)	Rmb70.81
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb51.85
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb19.37
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb75.75
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$730.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,125.00
Aspeed Technology (5274.TWO)	E (11/10/2026)	NT$11,935.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$84.10
Elan Microelectronics Corp (2458.TW)	E (11/04/2026)	NT$117.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,215.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb176.15
GigaDevice Semiconductor Beijing Inc (603986.SS)	E (11/10/2026)	Rmb244.57
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$8.61
Macronix International Co Ltd (2337.TW)	E (11/10/2026)	NT$82.10
Montage Technology Co Ltd (6809.HK)	E (11/10/2026)	HK$190.80
Montage Technology Co Ltd (688008.SS)	E (11/10/2026)	Rmb154.80
Novatek (3034.TW)	U (02/04/2026)	NT$477.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$103.50
Parade Technologies Ltd (4966.TWO)	U (10/29/2026)	NT$397.50
Powerchip Semiconductor Manufacturing Co (6770.TW)	E (11/10/2026)	NT$59.20
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$745.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb63.23
Silicon Motion (SIMO.O)	O (05/06/2024)	US$172.01
Winbond Electronics Corp (2344.TW)	E (11/10/2026)	NT$135.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$92.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$190.00
Henry Zhao		

ACM Research Inc (ACMR.O)	O (03/07/2023)	US$49.75
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb245.66
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb55.43
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb538.68
OmniVision Integrated Circuits Group Inc (603501.SS)	E (10/29/2026)	Rmb87.88
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,025.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$411.00
GlobalWafers Co Ltd (6488.TWO)	E (11/04/2026)	NT$612.00
Hon Precision (7769.TW)	O (04/17/2026)	NT$4,220.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$227.50
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,075.00

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All Ring Tech

Bright 2027 outlook with multiple drivers

Equities

Taiwan
Semiconductors

12-month rating	**Buy**
12m price target	**NT$1,700.00**
Price (10 Nov 2026)	**NT$1,025**

RIC: 6187.TWO **BBG:** 6187 TT

Trading data and key metrics

52-wk range	NT$1,675.00-317.50
Market cap.	NT$100.0b/US$3.04b
Shares o/s	97.5m (ORD)
Free float	77%
Avg. daily volume ('000)	2,382
Avg. daily value (m)	NT$3,190.8
Common s/h equity (12/26E)	NT$9.04b
P/BV (12/26E)	10.2x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	29.56	28.46	-4	28.71
12/27E	46.52	46.84	1	43.92
12/28E	76.31	76.71	1	58.06

Intact 2027 outlook

All Ring's 2027 outlook is robust, supported by three key drivers. 1) We expect TSMC and ASE to continue accelerating **CoWoS** capacity expansion, with industry capacity reaching ~270kwpm by end-2027E, up from ~160kwpm by end-2026. We estimate TSMC and ASE's capacity could reach ~180kwpm and ~70kwpm, respectively, by 2027E. 2) Second, with **Intel's EMIB-T** progressing on track toward volume production by early 2028, we expect related equipment demand to begin ramping in 2027, providing a new growth driver for All Ring. 3) **CPO**'s fiber array unit (FAU) coupling tools start contributing to All Ring's 2027 revenue, with demand from Nvidia and AMD.

More concrete CPO development in 2027-28

Our industry feedback suggests Nvidia is taking the lead to aggressively push CPO mass production in 2027 for scale up switch solution. AMD is also engaging with key equipment suppliers, in preparation for competing CPO solution. Competition among the equipment vendors is fierce, but we believe All Ring is well positioned in FAU coupling as a tier 1 supplier, given the superior execution in driving higher tool throughput versus peers. Considering the meaningful tool demand in 2027-28, we forecast All Ring to recognize ~100 tools for revenue in 2027E, contributing ~12% of All Ring's sales next year. Potential upside to our current estimates could come from larger TAM for faster capacity expansion, All Ring securing higher share / ASP through better tool performance.

Lower Q3 gross margin due to mix

Q3 EPS came in below LSEG consensus by -10% as gross margin of 48.5% missed consensus of 54.2%. Lower gross margin could be due to a higher mix of automation products, which carries a lower margin vs corporate average. For Q4, considering lighter seasonality and current visibility, we model sales to decline by -28% from Q3 with gross margin of 53% and EPS of NT$7.57.

Valuation: Maintain Buy and target of $1700

Post Q3 results, we fine-tune 2026 EPS by -4% due to lower gross margin in the quarter, though our estimates for 2027/28 are largely kept unchanged. Our 2027E/2028E EPS are 3%/30% ahead of Consensus pre-earnings. We maintain our Buy rating and price target of $1700 based on 27x average 2027-28E PE.

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Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	1,205	5,535	5,366	9,485	15,088	23,630	27,919	31,236
EBIT (UBS)	85	1,427	1,611	3,114	5,773	9,499	11,586	13,431
Net earnings (UBS)	138	1,311	1,485	2,840	4,674	7,655	9,352	10,843
EPS (UBS, diluted) (NT$)	1.59	14.57	15.26	28.46	46.84	76.71	93.72	108.66
DPS (net) (NT$)	1.61	10.90	10.69	20.45	33.65	55.11	67.33	78.06
Net (debt) / cash	287	3,309	3,947	5,042	4,064	6,795	6,358	10,205

Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	7.1	25.8	30.0	32.8	38.3	40.2	41.5	43.0
ROIC (EBIT) %	5.4	73.0	68.2	138.4	148.1	144.9	120.7	111.6
EV/EBITDA (UBS core) x	53.0	19.0	19.5	28.4	15.4	9.2	7.5	6.4
P/E (UBS, diluted) x	61.1	21.7	23.0	33.4	20.3	12.4	10.1	8.7
Equity FCF (UBS) yield %	1.1	2.4	4.3	1.8	1.0	6.0	4.9	10.4
Dividend yield (net) %	1.7	3.4	3.0	2.0	3.3	5.4	6.6	7.6

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 1,025.00 on 10-Nov-2026 19:05:18 CST

Forecast changes

Figure 1: Earnings comparison

(NT$m)	Q326A	LSEG	Diff. vs LSEG	UBSe	Q226	QoQ	Q325	YoY
Revenue	**3,324**	**2,945**	**13%**	**3,039**	**2,355**	**41%**	**1,708**	**95%**
Gross profit	**1,611**	**1,595**	**1%**	**1,665**	**1,290**	**25%**	**826**	**95%**
- Gross margin	48.5%	54.2%	-571bps	54.8%	54.8%	-631bps	48.4%	8bps
Operating profit	**1,092**	**1,066**	**2%**	**1,239**	**783**	**39%**	**502**	**118%**
- OP margin	32.9%	36.2%	-334bps	40.8%	33.3%	-40bps	29.4%	350bps
Net profit	**825**	**962**	**-14%**	**1,005**	**827**	**0%**	**420**	**97%**
EPS (NT$)	**8.51**	**9.48**	**-10%**	**10.33**	**8.50**	**0%**	**4.37**	**95%**

Source: LSEG, UBS estimates, company data

Figure 2: Earnings estimate revisions

	New			Old			Change		
(NT$m)	**2026E**	**2027E**	**2028E**	**2026E**	**2027E**	**2028E**	**2026E**	**2027E**	**2028E**
Revenue	**9,485**	**15,088**	**23,630**	**9,385**	**14,954**	**23,493**	**1%**	**1%**	**1%**
- YoY chg (%)	77%	59%	57%	75%	59%	57%			
Gross profit	**4,901**	**8,112**	**12,878**	**5,053**	**8,050**	**12,804**	**-3%**	**1%**	**1%**
- Gross margin	51.7%	53.8%	54.5%	53.8%	53.8%	54.5%	-2%	0%	0%
Operating profit	**3,114**	**5,773**	**9,499**	**3,331**	**5,732**	**9,444**	**-7%**	**1%**	**1%**
- Operating margin	32.8%	38.3%	40.2%	35.5%	38.3%	40.2%	-3%	0%	0%
Pre-tax profit	**3,412**	**5,843**	**9,568**	**3,592**	**5,803**	**9,519**	**-5%**	**1%**	**1%**
Reported net profit	**2,840**	**4,674**	**7,655**	**2,950**	**4,643**	**7,615**	**-4%**	**1%**	**1%**
- Net margin	29.9%	31.0%	32.4%	31.4%	31.0%	32.4%			
Reported EPS (NT$)	**29.21**	**48.07**	**78.72**	**30.33**	**47.75**	**78.31**	**-4%**	**1%**	**1%**
- YoY chg (%)	91%	65%	64%	99%	57%	64%			

Source: UBS estimates. Our EPS estimates in this table are based on basic EPS, and may differ from the diluted EPS in the tables on the cover page

Figure 3: UBS vs. consensus earnings estimates

	UBSe			Consensus			Difference		
(NT$m)	**2026E**	**2027E**	**2028E**	**2026F**	**2027F**	**2028F**	**2026E**	**2027E**	**2028E**
Revenue	**9,485**	**15,088**	**23,630**	**9,493**	**15,437**	**19,492**	**0%**	**-2%**	**21%**
- YoY chg (%)	77%	59%	57%	77%	63%	26%			
Gross profit	**4,901**	**8,112**	**12,878**	**5,069**	**8,238**	**10,525**	**-3%**	**-2%**	**22%**
- Gross margin	51.7%	53.8%	54.5%	53.4%	53.4%	54.0%			
Operating profit	**3,114**	**5,773**	**9,499**	**3,112**	**5,250**	**6,926**	**0%**	**10%**	**37%**
- Operating margin	32.8%	38.3%	40.2%	32.8%	34.0%	35.5%			
Pretax profit	**3,412**	**5,843**	**9,568**	**3,434**	**5,461**	**7,153**	**-1%**	**7%**	**34%**
Net profit	**2,840**	**4,674**	**7,655**	**2,870**	**4,535**	**5,894**	**-1%**	**3%**	**30%**
- Net margin	29.9%	31.0%	32.4%	30.2%	29.4%	30.2%			
Basic EPS (NT$)	**29.21**	**48.07**	**78.72**	**29.55**	**46.62**	**60.60**	**-1%**	**3%**	**30%**
- YoY chg (%)	91%	65%	64%	91%	58%	30%			

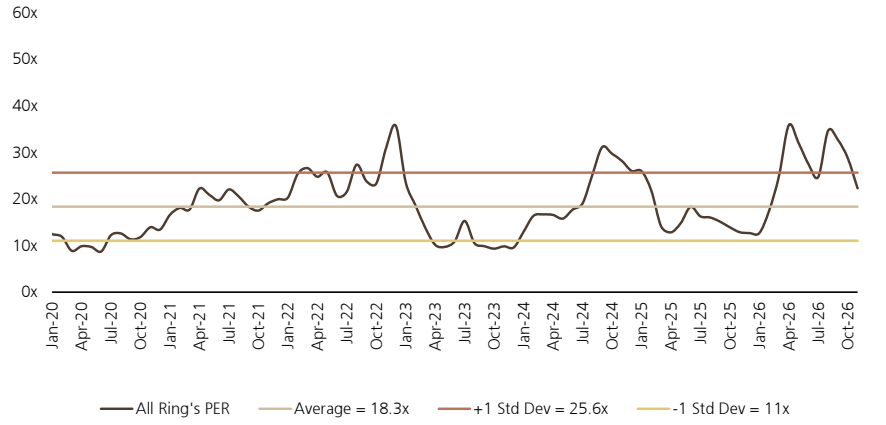
Source: LSEG consensus estimates, UBS estimates. Our EPS estimates in this table are based on basic EPS, and may differ from the diluted EPS in the tables on the cover page

Figure 4: UBS earnings forecast

(NT$m)	2025	Q126	Q226	Q326E	Q426E	2026E	Q127E	Q227E	Q327E	Q427E	2027E	2028E	2029E	2030E
Revenue	**5,366**	**1,411**	**2,355**	**3,324**	**2,396**	**9,485**	**2,167**	**3,215**	**4,457**	**5,250**	**15,088**	**23,630**	**27,919**	**31,236**
- YoY chg (%)	-3%	13%	55%	95%	170%	77%	54%	37%	34%	119%	59%	57%	18%	12%
- QoQ chg (%)		59%	67%	41%	-28%		-10%	-66%	106%	63%				
Gross profit	**2,913**	**731**	**1,290**	**1,611**	**1,270**	**4,901**	**1,148**	**1,752**	**2,429**	**2,783**	**8,112**	**12,878**	**15,355**	**17,180**
- Gross margin	54.3%	51.8%	54.8%	48.5%	53.0%	51.7%	53.0%	54.5%	54.5%	53.0%	53.8%	54.5%	55.0%	55.0%
Operating profit	**1,611**	**328**	**783**	**1,092**	**910**	**3,114**	**812**	**1,254**	**1,738**	**1,969**	**5,773**	**9,499**	**11,586**	**13,431**
- Operating margin	30.0%	23.2%	33.3%	32.9%	38.0%	32.8%	37.5%	39.0%	39.0%	37.5%	38.3%	40.2%	41.5%	43.0%
Pre-tax profit	**1,813**	**387**	**957**	**1,037**	**920**	**3,412**	**830**	**1,274**	**1,758**	**1,981**	**5,843**	**9,568**	**11,690**	**13,554**
Net profit	**1,485**	**325**	**827**	**825**	**736**	**2,840**	**664**	**1,019**	**1,406**	**1,585**	**4,674**	**7,655**	**9,352**	**10,843**
- YoY chg (%)	13%	-5%	107%	97%	128%	91%	105%	23%	70%	115%	65%	64%	22%	16%
- QoQ chg (%)		0%	155%	0%	-11%		-10%	-64%	112%	56%				
Basic EPS (NT$)	**15.27**	**3.37**	**8.50**	**8.51**	**7.57**	**29.21**	**6.83**	**10.48**	**14.46**	**16.30**	**48.07**	**78.72**	**96.18**	**111.51**
- YoY chg (%)	5%	-6%	104%	95%	125%	91%	103%	23%	70%	115%	65%	64%	22%	16%
- QoQ chg (%)		0%	152%	0%	-11%		-10%	-64%	112%	56%				

Source: Company data, UBS estimates. Our EPS estimates in this table are based on basic EPS, and may differ from the diluted EPS in the tables on the cover page

Figure 5: All Ring's forward PE



Source: LSEG, UBS

All Ring Tech (6187.TWO)

Income Statement (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**1,205**	**5,535**	**5,366**	**9,485**	*76.8*	**15,088**	*59.1*	**23,630**	**27,919**	**31,236**
Gross profit	624	2,717	2,913	4,901	*68.2*	8,112	*65.5*	12,878	15,355	17,180
EBITDA (UBS)	**137**	**1,483**	**1,679**	**3,186**	*89.7*	**5,870**	*84.2*	**9,786**	**12,104**	**14,219**
Depreciation & amortisation	(51)	(56)	(69)	(72)	*-5.5*	(96)	*-33.4*	(286)	(518)	(788)
EBIT (UBS)	**85**	**1,427**	**1,611**	**3,114**	*93.3*	**5,773**	*85.4*	**9,499**	**11,586**	**13,431**
Associates & investment income	0	0	(1)	0	-	0	-	0	0	0
Other non-operating income	65	116	166	249	*50.5*	0	-	0	0	0
Net interest	10	22	37	49	*32.0*	69	*42.0*	69	104	122
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**161**	**1,566**	**1,813**	**3,412**	*88.2*	**5,843**	*71.2*	**9,568**	**11,690**	**13,554**
Tax	(23)	(255)	(316)	(600)	*-89.5*	(1,169)	*-94.8*	(1,914)	(2,338)	(2,711)
Profit after tax	**138**	**1,311**	**1,496**	**2,812**	*87.9*	**4,674**	*66.2*	**7,655**	**9,352**	**10,843**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	(11)	28	-	0	-	0	0	0
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**138**	**1,311**	**1,485**	**2,840**	*91.3*	**4,674**	*64.6*	**7,655**	**9,352**	**10,843**
Net earnings (UBS)	**138**	**1,311**	**1,485**	**2,840**	*91.3*	**4,674**	*64.6*	**7,655**	**9,352**	**10,843**
Tax rate (%)	14.1	16.3	17.5	17.6	*0.7*	20.0	*13.8*	20.0	20.0	20.0

Per Share (NT$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	1.59	14.57	15.26	28.46	*86.6*	46.84	*64.6*	76.71	93.72	108.66
EPS (local GAAP, diluted)	1.59	14.57	15.26	28.46	*86.6*	46.84	*64.6*	76.71	93.72	108.66
EPS (UBS, basic)	1.70	14.57	15.27	29.21	*91.3*	48.07	*64.6*	78.72	96.18	111.51
DPS (net) (NT$)	1.61	10.90	10.69	20.45	*91.3*	33.65	*64.6*	55.11	67.33	78.06
Cash EPS (UBS, diluted) [1]	2.19	15.19	15.96	29.19	*82.9*	47.80	*63.8*	79.58	98.91	116.55
Book value per share	29.78	67.26	75.34	93.31	*23.9*	121.04	*29.7*	166.28	207.50	251.85
Average shares (diluted)	87	90	97	100	*2.5*	100	*0.0*	100	100	100

Balance Sheet (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	1,140	3,599	4,297	6,073	*41.3*	6,096	*0.4*	9,826	10,389	15,237
Other current assets	1,677	2,731	2,038	4,181	*105.2*	8,897	*112.8*	9,298	14,415	12,782
Total current assets	**2,817**	**6,330**	**6,335**	**10,254**	*61.9*	**14,992**	*46.2*	**19,124**	**24,804**	**28,018**
Net tangible fixed assets	925	1,298	1,879	1,870	*-0.5*	2,830	*51.3*	4,198	5,634	7,033
Net intangible fixed assets	0	0	0	0	-	0	-	0	0	0
Investments / other assets	746	1,168	1,396	2,908	*108.4*	2,908	*0.0*	2,908	2,908	2,908
Total assets	**4,488**	**8,796**	**9,609**	**15,032**	*56.4*	**20,730**	*37.9*	**26,229**	**33,347**	**37,959**
Trade payables & other ST liabilities	1,076	1,858	1,640	4,594	*180.1*	6,607	*43.8*	6,723	8,846	8,163
Short term debt	0	0	0	0	-	0	-	0	0	0
Total current liabilities	**1,076**	**1,858**	**1,640**	**4,594**	*180.1*	**6,607**	*43.8*	**6,723**	**8,846**	**8,163**
Long term debt	853	290	350	1,031	*194.7*	2,031	*97.0*	3,031	4,031	5,031
Other long term liabilities	78	131	131	130	*-0.4*	130	*0.0*	130	130	130
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**2,007**	**2,279**	**2,121**	**5,756**	*171.4*	**8,768**	*52.3*	**9,884**	**13,008**	**13,324**
Common s/h equity	**2,481**	**6,517**	**7,299**	**9,040**	*23.9*	**11,726**	*29.7*	**16,109**	**20,103**	**24,399**
Minority interests	0	0	189	236	*24.6*	236	*0.0*	236	236	236
Total liabilities & equity	**4,488**	**8,796**	**9,609**	**15,032**	*56.4*	**20,730**	*37.9*	**26,229**	**33,347**	**37,959**

Cash Flow (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	138	1,311	1,485	2,840	*91.3*	4,674	*64.6*	7,655	9,352	10,843
Depreciation & amortisation	51	56	69	72	*5.5*	96	*33.4*	286	518	788
Net change in working capital	29	(301)	255	(622)	-	(2,703)	*-334.5*	(285)	(2,994)	950
Other operating	(10)	14	149	(3)	-	0	-	0	0	0
Operating cash flow	**210**	**1,079**	**1,958**	**2,288**	*16.8*	**2,067**	*-9.6*	**7,656**	**6,876**	**12,580**
Tangible capital expenditure	(124)	(373)	(512)	(474)	*7.3*	(1,056)	*-122.7*	(1,654)	(1,954)	(2,187)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(288)	55	(49)	(31)	*35.6*	0	-	0	0	0
Other investing	6	(41)	(106)	(14)	*86.8*	0	-	0	0	0
Investing cash flow	**(406)**	**(359)**	**(666)**	**(520)**	*22.0*	**(1,056)**	*-103.3*	**(1,654)**	**(1,954)**	**(2,187)**
Equity dividends paid	(250)	(131)	(980)	(1,040)	*-6.1*	(1,988)	*-91.3*	(3,272)	(5,358)	(6,547)
Share issues / (buybacks)	0	1,394	0	0	-	0	-	0	0	0
Other financing	26	(6)	192	73	*-62.0*	0	-	0	0	0
Change in debt & pref shares	(33)	593	142	883	*NM*	1,000	*13.3*	1,000	1,000	1,000
Financing cash flow	**(257)**	**1,851**	**(645)**	**(84)**	*87.0*	**(988)**	*NM*	**(2,272)**	**(4,358)**	**(5,547)**
Cash flow inc/(dec) in cash	**(453)**	**2,571**	**647**	**1,684**	*160.4*	**23**	*-98.6*	**3,730**	**563**	**4,847**
FX / non cash items	156	(112)	51	91	*78.3*	0	-	0	0	0
Balance sheet inc/(dec) in cash	**(297)**	**2,459**	**698**	**1,776**	*154.4*	**23**	*-98.7*	**3,730**	**563**	**4,847**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

All Ring Tech (6187.TWO)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	61.1	21.7	23.0	36.0	21.9	13.4	10.9	9.4
P/E (UBS, diluted)	61.1	21.7	23.0	36.0	21.9	13.4	10.9	9.4
P/CEPS	41.6	20.8	22.0	31.7	19.4	11.6	9.4	7.9
Equity FCF (UBS) yield %	1.1	2.4	4.3	1.8	1.0	6.0	4.9	10.4
Dividend yield (net) %	1.7	3.4	3.0	2.0	3.3	5.4	6.6	7.6
P/BV	3.3	4.7	4.7	10.2	7.8	5.7	4.6	3.8
EV/revenues (core)	6.0	5.1	6.1	9.5	6.0	3.8	3.2	2.9
EV/EBITDA (UBS core)	53.0	19.0	19.5	28.4	15.4	9.2	7.5	6.4
EV/EBIT (core)	84.9	19.7	20.4	29.0	15.7	9.5	7.8	6.7
EV/OpFCF (core)	84.9	19.7	20.4	29.0	15.7	9.5	7.8	6.7
EV/op. invested capital	4.6	14.4	13.9	40.2	23.2	13.8	9.4	7.5

Enterprise value (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	8,112	29,327	34,019	99,958	99,958	99,958	99,958	99,958
Net debt (cash)	(280)	(280)	(280)	(280)	(280)	(280)	(280)	(280)
Buy out of minorities	0	0	189	236	236	236	236	236
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**7,832**	**29,046**	**33,928**	**99,913**	**99,913**	**99,913**	**99,913**	**99,913**
Non core assets	(575)	(917)	(1,106)	(2,168)	(2,168)	(2,168)	(2,168)	(2,168)
Core enterprise value	**7,257**	**28,129**	**32,822**	**97,745**	**97,745**	**97,745**	**97,745**	**97,745**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	(46.4)	NM	(3.0)	76.8	59.1	56.6	18.1	11.9
EBITDA (UBS)	(73.4)	NM	13.2	89.7	84.2	66.7	23.7	17.5
EBIT (UBS)	(81.6)	NM	12.9	93.3	85.4	64.5	22.0	15.9
EPS (UBS, diluted)	(72.3)	NM	4.7	86.6	64.6	63.8	22.2	15.9
Net DPS	(47.7)	NM	(1.9)	91.3	64.6	63.8	22.2	15.9

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	51.8	49.1	54.3	51.7	53.8	54.5	55.0	55.0
EBITDA margin	11.4	26.8	31.3	33.6	38.9	41.4	43.4	45.5
EBIT (UBS) margin	7.1	25.8	30.0	32.8	38.3	40.2	41.5	43.0
Net earnings (UBS) margin	11.5	23.7	27.7	29.9	31.0	32.4	33.5	34.7
ROIC (EBIT)	5.4	73.0	68.2	NM	NM	NM	NM	NM
ROIC post tax	4.7	61.1	56.3	NM	NM	NM	NM	NM
ROE (UBS)	5.6	29.1	21.5	34.8	45.0	55.0	51.7	48.7

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	(2.1)	(2.2)	(2.4)	(1.6)	(0.7)	(0.7)	(0.5)	(0.7)
Net debt / total equity %	(11.6)	(50.8)	(52.7)	(54.4)	(34.0)	(41.6)	(31.3)	(41.4)
Net debt / (net debt + total equity) %	(13.1)	NM	NM	NM	(51.5)	(71.1)	(45.5)	(70.7)
Net debt/EV %	(5.4)	(6.2)	(10.7)	(4.5)	(4.6)	(5.4)	(6.6)	(8.3)
Capex / depreciation %	NM	NM	NM	NM	NM	NM	NM	NM
Capex / revenue %	10.3	6.7	9.5	5.0	7.0	7.0	7.0	7.0
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	1.1	1.3	1.4	1.4	1.4	1.4	1.4	1.4
Div. payout ratio (UBS) %	94.4	74.8	70.0	70.0	70.0	70.0	70.0	70.0

Revenues by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	1,205	5,535	5,366	9,485	15,088	23,630	27,919	31,236
Total	**1,205**	**5,535**	**5,366**	**9,485**	**15,088**	**23,630**	**27,919**	**31,236**

EBIT (UBS) by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Others	85	1,427	1,611	3,114	5,773	9,499	11,586	13,431
Total	**85**	**1,427**	**1,611**	**3,114**	**5,773**	**9,499**	**11,586**	**13,431**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	65.9%
Forecast dividend yield	2.0%
Forecast stock return	67.8%
Market return assumption	6.4%
Forecast excess return	61.5%

Company Description

Founded in 1996, All Ring is a Taiwan-based supplier of automation equipment for the semiconductor back-end packaging and passive component manufacturing industries. The company's products include underfill dispensers, heatsink placement and automated optical inspection (AOI) tools for advanced packaging equipment, particularly for heterogeneous integration. Revenue is generated primarily from sales of semiconductor and electronic manufacturing equipment and related automation solutions, with more than 90% of revenue derived from Taiwan.

Valuation Method and Risk Statement

We value All Ring based on PE methodology.
Risks for All Ring and the semis industry:
- Geopolitical uncertainties: Geopolitical uncertainties including tariffs and more export control could negatively impact semis cycle, and a downturn would lead to slower demand in the overall market and moderating capacity expansion.
- Meaningful deceleration of new technology development: Slower demand and less investment are expected If there is meaningful deceleration of new technology development such as Cloud AI, autonomous driving, etc.
- Rising utility cost: Larger-than-expected utility cost increases would further pressure profitability. Rising utility costs in Taiwan have negatively impacted margins for Taiwan tech companies.
Company risks:
- Faster- or slower-than-expected CoWoS capacity expansion: This could result in All Ring gaining/losing equipment orders from major foundries and OSATs.
- Competitors achieving technological advancement: Potential risk of competition (from either local or foreign companies) achieving technological advancements could result in All Ring losing market share from major foundries and OSATs.
- Better- or worse-than-expected AI growth: Better- or worse-than-expected AI growth could lead to a ramp-up or a slowdown of equipment orders from major foundries and OSATs to All Ring, affecting long-term revenue growth potential.
- Slowdown or delay of new technological advancement: A potential slowdown or delay of the rollout for technological advancements for technologies such as SoIC, CoPoS, and CPO, would limit future equipment orders.
- Increase of raw material costs: Rising raw material costs may directly impact All Ring's margins for equipment shipments.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

All Ring Tech

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS Securities Pte. Ltd., Taipei Branch: Christine Chen, CFA, Ryan Sun, Sunny Lin.

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Company Name	Reuters	12-month rating	Price	Price date
All Ring Tech	6187.TWO	Buy	NT$950.00	09 Nov 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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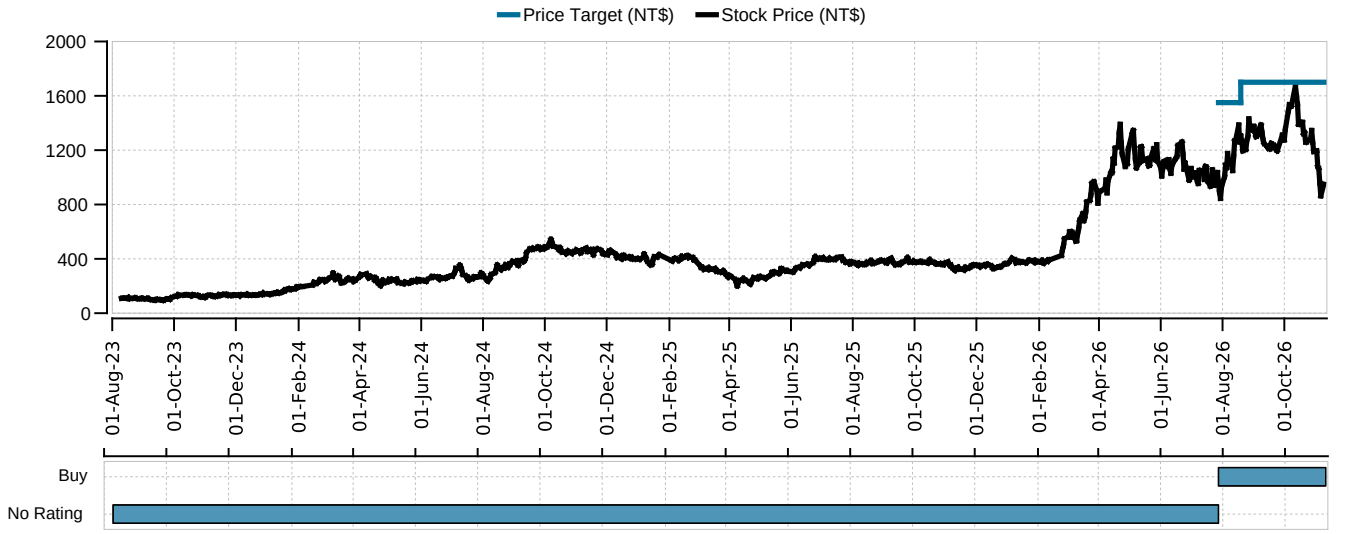
All Ring Tech (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-08-09	120.00	-	No Rating
2026-07-27	1035.00	1550.00	Buy
2026-08-18	1260.00	1700.00	Buy

Source: UBS Global Research; LSEG Eikon as of 09-Nov-2026. All prices as of local market close. Ratings as of date shown.

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First Read

ASMedia Technology Inc

Inventory adjustment weighs on N-T outlook

Equities

Taiwan
Semiconductors

12-month rating	**Buy**
12m price target	**NT$1,500.00**
	Prior : NT$1,700
Price (10 Nov 2026)	**NT$1,125**

RIC: 5269.TW **BBG:** 5269 TT

Trading data and key metrics

52-wk range	NT$1,590.00-1,060.00
Market cap.	NT$84.1b/US$2.56b
Shares o/s	74.8m (ORD)
Free float	37%
Avg. daily volume ('000)	533
Avg. daily value (m)	NT$765.3
Common s/h equity (12/26E)	NT$39.6b
P/BV (12/26E)	2.1x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	103.73	101.83	-2	95.89
12/27E	114.12	112.53	-1	109.00
12/28E	138.03	135.21	-2	150.40

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Q326 earnings broadly in line; PC demand remains weak

ASMedia reported Q326 EPS of NT$26.39, broadly in line with UBSe but above Street, helped by ~NT$1.5bn of non-op income mainly from WT Micro. Q326 sales of NT $2.66bn declined 2% QoQ and 33% YoY, reflecting continued weakness in PC demand amid elevated memory prices and the shift at its major customer from AM5 back to the lower-cost AM4 platform. Q326 GM came in at 51.6% (+1.3ppt QoQ), helped by a more favorable product mix and pricing adjustments. Opex increased to NT$795mn on higher R&D spending including 12nm chip tape-out and a 10-15% increase in headcount expansion, resulting in OpM declining 2.1ppt QoQ to 21.7%. Q326 sales mix was 74% for host controllers, ~21% automotive and ~5% device.

Sell-through improving, but inventory adjustment to weigh through Q127F

ASMedia is seeing improving PC motherboard demand, with Q326 motherboard production up >20% QoQ and management viewing H126 as the near-term trough. However, elevated memory prices have driven AMD's product mix back toward the lower-ASP AM4 platform (AM4 >70% of Q326 chipset shipments up from >50% in Q226), while AMD continues to digest inventory. It noted AMD's sales contribution has already declined from >50% of sales in H126 to <50% in Q326, and management expects the inventory correction to continue through Q127, delaying the benefit from improving motherboard sell-through. We expect October to mark the trough (monthly sales down 43% MoM) and will remain muted on AMD's inventory control, resulting in Q426 sales declining~33% QoQ while GM should decline by 1.6ppt QoQ to 50.0% as slower pull in of AM5 could lead to inventory provision, despite a reversal in H127E.

2027E recovery more back-end-loaded

ASMedia remains confident in retaining its sole-supplier position for AMD's next-generation Olympic (AM5.5) chipset platform, with contribution expected from H227 and ASP ~50-60% higher than AM4. We expect USB4 demand to recover alongside the Olympic ramp, with additional upside from a new US robotics customer from H227. Separately, we expect AM5 shipments to recover and potential inventory writebacks to provide upside to GM. We believe PCIe packet-switch contribution could be more gradual given slower design-in progress. Overall, we estimate ASMedia's 2027E sales to grow ~5% YoY (vs. previous 17% YoY expectations), with growth skewed to H227.

Valuation: Retain Buy with PT of NT$1,500

We lower our 2026/27/28E EPS by 2%/1%/2% primarily on softer PC demand and inventory adjustment, offset by higher better earnings contribution from WT Micro. We cut our PT to NT$1,500 (from NT$1,700), based on our SOTP valuation (18x for core earnings and 11.5x for non-core), implying 13x 2027E PE. Maintain Buy rating as stock is trading near trough 14x NTM PE vs an 11-48x historical range, while its diversification into non-PC should support its topline/OP to recover from 2027E.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	6,401	8,081	13,415	10,660	11,176	15,603	19,314	21,860
EBIT (UBS)	1,823	2,333	3,959	2,145	2,352	4,491	6,331	7,563
Net earnings (UBS)	2,228	3,733	5,426	7,598	8,397	10,089	11,541	12,127
EPS (UBS, diluted) (NT$)	32.06	51.53	72.71	101.83	112.53	135.21	154.67	162.53
DPS (net) (NT$)	18.60	30.01	45.01	45.01	45.01	54.08	61.87	65.01
Net (debt) / cash	2,552	15,249	6,822	9,176	(819)	(1,098)	(4,348)	(5,181)

Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	28.5	28.9	29.5	20.1	21.0	28.8	32.8	34.6
ROIC (EBIT) %	76.8	200.7	77.0	24.0	20.0	27.4	33.7	34.3
EV/EBITDA (UBS core) x	28.8	39.4	22.0	18.8	17.0	9.6	6.3	4.6
P/E (UBS, diluted) x	36.1	36.4	23.6	11.0	10.0	8.3	7.3	6.9
Equity FCF (UBS) yield %	3.8	2.4	2.7	7.5	(7.9)	3.7	0.9	5.1
Dividend yield (net) %	1.6	1.6	2.6	4.0	4.0	4.8	5.5	5.8

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 1,125.00 on 10-Nov-2026

Figure 1: UBS vs. Visible Alpha consensus Q326A/Q426E and 2026-27E

	Q226	Q326			Q426E			2025	2026E			2027E		
(NT$m)	Actual	Actual	UBSe prior	VA	UBSe	UBSe prior	VA	Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA
Revenue	**2,723**	**2,660**	**2,386**	**2,616**	**1,779**	**2,572**	**2,705**	**13,415**	**10,660**	**11,178**	**11,641**	**11,176**	**13,099**	**12,962**
- QoQ / YoY	-22.2%	-2.3%	-12.4%	-3.9%	-33.1%	7.8%	1.7%	66.0%	-20.5%	-16.7%	-13.2%	4.8%	17.2%	11.4%
Gross profit	**1,369**	**1,373**	**1,231**	**1,331**	**890**	**1,366**	**1,390**	**7,005**	**5,409**	**5,743**	**5,924**	**5,766**	**6,969**	**6,699**
- Gross margin	50.3%	51.6%	51.6%	50.9%	50.0%	53.1%	51.4%	52.2%	50.7%	51.4%	50.9%	51.6%	53.2%	51.7%
Operating profit	**649**	**578**	**514**	**560**	**111**	**613**	**617**	**3,959**	**2,145**	**2,583**	**2,640**	**2,352**	**3,670**	**3,338**
- OP margin	23.8%	21.7%	21.6%	21.4%	6.2%	23.8%	22.8%	29.5%	20.1%	23.1%	22.7%	21.0%	28.0%	25.8%
Non-Op	**1,536**	**1,461**	**1,522**	**1,370**	**1,673**	**1,397**	**1,300**	**2,266**	**5,798**	**5,584**	**5,283**	**6,522**	**5,529**	**5,707**
Pre-tax profit	**2,185**	**2,039**	**2,037**	**1,930**	**1,783**	**2,009**	**1,917**	**6,225**	**7,943**	**8,167**	**7,923**	**8,873**	**9,200**	**9,045**
Tax	**168**	**70**	**100**	**163**	**25**	**117**	**180**	**799**	**345**	**467**	**623**	**476**	**742**	**959**
- Tax rate	-8%	-3%	-5%	-8%	-1%	-6%	-9%	-13%	-4%	-6%	-8%	-5%	-8%	-11%
Net profit	**2,017**	**1,969**	**1,936**	**1,894**	**1,758**	**1,893**	**1,803**	**5,426**	**7,598**	**7,700**	**7,299**	**8,397**	**8,457**	**8,087**
Diluted EPS (NT$)	**27.03**	**26.39**	**26.13**	**24.08**	**23.56**	**25.54**	**23.60**	**72.71**	**101.83**	**103.73**	**98.30**	**112.53**	**114.12**	**108.88**

Source: Company data, UBS estimates, Visible Alpha

Figure 2: ASMedia's annual P&L summary

Ticker		5269.TW	Current Price (NT$)			$1,125
Shares outstanding (mn)		74.8	Mkt cap (NT$ mn)			$84,125
Year	2025	2026E	2027E	2028E	2029E	2030E
Revenues (NT$ mn)	**$13,415**	**$10,660**	**$11,176**	**$15,603**	**$19,314**	**$21,860**
YoY Growth (%)		**-20.5%**	**4.8%**	**39.6%**	**23.8%**	**13.2%**
Gross profit (NT$mn)	$7,005	$5,409	$5,766	$8,435	$10,705	$12,194
GM (%)	**52.2%**	**50.7%**	**51.6%**	**54.1%**	**55.4%**	**55.8%**
Operating profit (NT$mn)	$3,959	$2,145	$2,352	$4,491	$6,331	$7,563
OPM (%)	**29.5%**	**20.1%**	**21.0%**	**28.8%**	**32.8%**	**34.6%**
Net profit (NT$ mn)	$5,426	$7,598	$8,397	$10,089	$11,541	$12,127
Diluted EPS (NT$)	**$72.71**	**$101.83**	**$112.53**	**$135.21**	**$154.67**	**$162.53**
EPS growth (%)		40.1%	10.5%	20.1%	14.4%	5.1%
P/E (x)	**15.5**	**11.0**	**10.0**	**8.3**	**7.3**	**6.9**
Dividend yield (%)	4.0%	4.0%	4.0%	4.8%	5.5%	5.8%
P/B (x)	**2.3**	**2.1**	**1.9**	**1.6**	**1.4**	**1.3**
ROE (%)	15.0%	19.2%	18.8%	19.6%	19.6%	18.3%

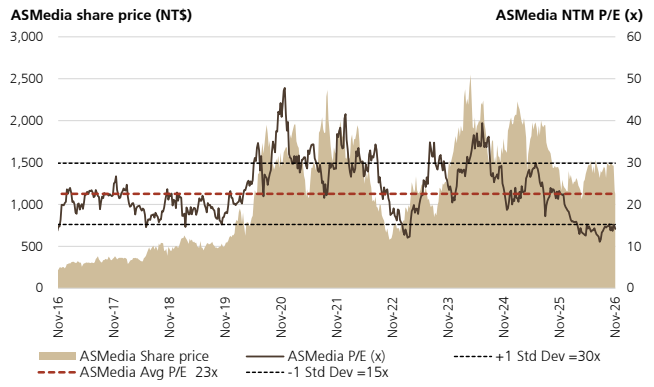
Source: Company data, UBS estimates

Figure 3: ASMedia annual and quarterly forecast summary

Quarters	Q125	Q225	Q325	Q425	Q126	Q226	Q326	Q426E	2024	2025	2026E	2027E	2028E
Revenues (NT$ mn)	**$2,509**	**$3,393**	**$3,992**	**$3,520**	**$3,498**	**$2,723**	**$2,660**	**$1,779**	**$8,081**	**$13,415**	**$10,660**	**$11,176**	**$15,603**
-- QoQ Growth (%)	*32.1%*	*35.2%*	*17.7%*	*-11.8%*	*-0.6%*	*-22.2%*	*-2.3%*	*-33.1%*					
-- YoY Growth (%)	*28.8%*	*61.1%*	*87.7%*	*85.3%*	*39.4%*	*-19.8%*	*-33.4%*	*-49.5%*	*26.2%*	*66.0%*	*-20.5%*	*4.8%*	*39.6%*
Gross profit	**$1,380**	**$1,778**	**$2,034**	**$1,813**	**$1,777**	**$1,369**	**$1,373**	**$890**	**$4,381**	**$7,005**	**$5,409**	**$5,766**	**$8,435**
-- Gross Margin (%)	55.0%	52.4%	51.0%	51.5%	50.8%	50.3%	51.6%	50.0%	54.2%	52.2%	50.7%	51.6%	54.1%
Operating Profit	**$752**	**$1,237**	**$1,162**	**$807**	**$808**	**$649**	**$578**	**$111**	**$2,333**	**$3,959**	**$2,145**	**$2,352**	**$4,491**
-- OP Margin (%)	30.0%	36.5%	29.1%	22.9%	23.1%	23.8%	21.7%	6.2%	28.9%	29.5%	20.1%	21.0%	28.8%
Non-op	**$651**	**$117**	**$638**	**$861**	**$1,129**	**$1,536**	**$1,461**	**$1,673**	**$1,911**	**$2,266**	**$5,798**	**$6,522**	**$6,481**
Pre-tax profit (NT$ mn)	**$1,403**	**$1,354**	**$1,800**	**$1,668**	**$1,936**	**$2,185**	**$2,039**	**$1,783**	**$4,245**	**$6,225**	**$7,943**	**$8,873**	**$10,972**
Tax	**$181**	**$233**	**$217**	**$168**	**$82**	**$168**	**$70**	**$25**	**$512**	**$799**	**$345**	**$476**	**$883**
-- tax rate (%)	12.9%	17.2%	12.1%	10.1%	4.3%	7.7%	3.4%	1.4%	12.1%	12.8%	4.3%	5.4%	8.1%
Net profit (NT$ mn)	**$1,223**	**$1,121**	**$1,583**	**$1,500**	**$1,854**	**$2,017**	**$1,969**	**$1,758**	**$3,733**	**$5,426**	**$7,598**	**$8,397**	**$10,089**
-- QoQ Growth (%)	*30.5%*	*-8.3%*	*41.2%*	*-5.3%*	*23.6%*	*8.8%*	*-2.4%*	*-10.7%*					
-- YoY Growth (%)	*38.0%*	*19.8%*	*62.5%*	*60.1%*	*51.6%*	*80.0%*	*24.4%*	*17.2%*	*67.5%*	*45.4%*	*40.0%*	*10.5%*	*20.1%*
Diluted EPS (NT$)	**$16.39**	**$15.02**	**$21.21**	**$20.09**	**$24.85**	**$27.03**	**$26.39**	**$23.56**	**$51.53**	**$72.71**	**$101.83**	**$112.53**	**$135.21**

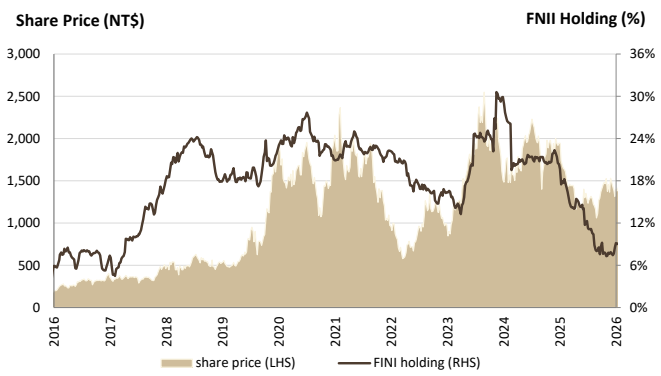
Source: Company data, UBS estimates

Figure 4: ASMedia is trading near the trough of its historical PE range



Source: LSEG

Figure 5: ASMedia's FINI holding remains at a lower level



Source: TEJ

Forecast returns

Forecast price appreciation	33.3%
Forecast dividend yield	4.0%
Forecast stock return	37.3%
Market return assumption	6.4%
Forecast excess return	31.0%

Company Description

ASMedia is a Taiwan-based fabless IC design house founded by parent company Asustek Computer Inc. in 2004. ASMedia is dedicated to high-speed input/output (I/O) controllers, such as USB, PCIe and SATA, and its products are mainly used in desktop PCs, motherboards and add-on cards. In 2024, ASMedia generated 84% of its revenue from host controllers and 16% from device controllers. The company collaborates with Advanced Micro Devices (AMD) to design southbridge chipsets for Zen-based desktop central processing units (CPUs). AMD is the company's largest client account, contributing 58% of revenue in 2024.

Valuation Method and Risk Statement

We base our price target on sum-of-the-parts methodology. We value ASMedia's core and non-core businesses based on a target PE multiple.
Fabless integrated circuit (IC) design houses face a variety of uncertainty, including rapidly changing technology, end-market demand, competition, employee turnover and foundry wafer costs. They are also vulnerable to legal disputes over intellectual property rights.
We believe risks for ASMedia include: 1) AMD's chipset insourcing or other design houses entering AMD's chipset business; 2) faster penetration of USB4 native support in chipsets; 3) more entrants in the USB device controller market; 4) continued suspension of China tender projects; and 5) increased US export controls impacting China's computing capability.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

ASMedia Technology Inc

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged by the analyst to indicate that the stock's price target and/or rating may change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have a 12-month investment horizon.

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UBS Securities Pte. Ltd., Taipei Branch: Annie Chen, Jerry Su.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
ASMedia Technology Inc	5269.TW	Buy	NT$1,125	10 Nov 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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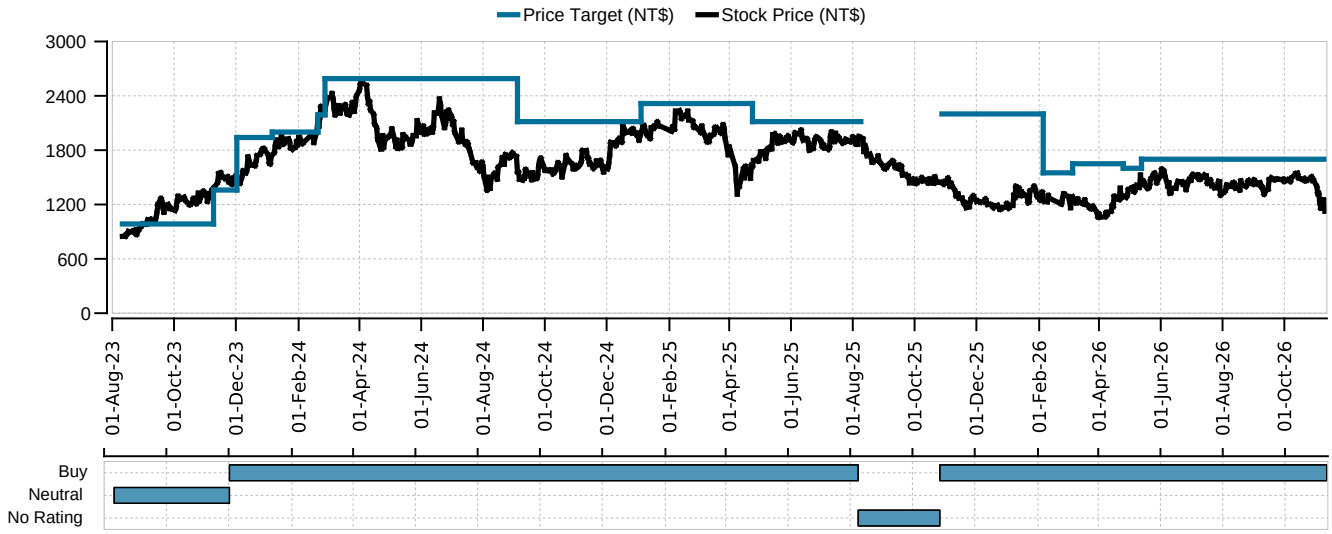
ASMedia Technology Inc (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-08-10	863.00	985.00	Neutral
2023-11-08	1370.00	1360.00	Neutral
2023-12-01	1515.00	1940.00	Buy
2024-01-05	1730.00	2000.00	Buy
2024-02-19	2005.00	2190.00	Buy
2024-02-26	2250.00	2590.00	Buy
2024-09-03	1730.00	2115.00	Buy
2025-01-03	1955.00	2315.00	Buy
2025-04-23	1635.00	2115.00	Buy
2025-08-08	1945.00	-	No Rating
2025-10-27	1445.00	2200.00	Buy
2026-02-04	1335.00	1550.00	Buy
2026-03-05	1280.00	1650.00	Buy
2026-04-24	1295.00	1600.00	Buy
2026-05-12	1525.00	1700.00	Buy

Source: UBS Global Research; LSEG Eikon as of 10-Nov-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Advanced Micro Devices Inc, US$508.58 (09 Nov 2026); Source: UBS. All prices as of local market close.

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First Read

ChipMOS Technologies

Q326 earnings ahead on better GM; optics and AI ASIC testing support 2027E growth

Equities

Taiwan
Semiconductors

12-month rating **Buy**

12m price target	**NT$155.00**
	Prior : NT$166.00
Price (10 Nov 2026)	**NT$80.20**

RIC: 8150.TW **BBG:** 8150 TT

Trading data and key metrics

52-wk range	NT$128.50-36.40
Market cap.	NT$56.5b/US$1.72b
Shares o/s	705m (ORD)
Free float	82%
Avg. daily volume ('000)	35,528
Avg. daily value (m)	NT$3,669.7
Common s/h equity (12/26E)	NT$26.5b
P/BV (12/26E)	2.1x
Net debt to EBITDA (12/26E)	0.4x

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	4.50	5.55	23	4.82
12/27E	6.50	7.13	10	6.90
12/28E	7.95	8.44	6	7.95

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Strong margin recovery drives Q326 EPS beat

Q326 EPS came in ahead at NT$1.89 vs. UBSe/street of NT$1.27/1.47 due to higher margins. Q326 sales was already posted through monthly sales at NT$8.4bn, +14% QoQ, supported by robust demand from memory (51% of sales, +13% QoQ) on improving commodity DRAM volume and better momentum from driver IC due to OLED iPhone ramp (27% of DDIC sales, +46% QoQ), while it also raised memory backend ASP to reflect rising component cost. Q326 GM improved to 21.7% (+3.7ppt QoQ) on better pricing, lower pass through for bumping and higher loading, and exceeded our estimate of 18.6%. Q326 OPEX remains well controlled at 6.4% of sales, while it also booked one-off other operating income of NT$373mn, resulting in better OPM of 19.7%.

Memory and OLED momentum to sustain into Q426

ChipMOS sees better momentum for memory over driver IC business into Q426F on continued strength from commodity DRAM and improving NAND Flash outlook. For its DDIC/bumping business, despite softer end-demand for consumer electronics, particularly PC and Android smartphone, ChipMOS noted the seasonal build for OLED iPhone should provide some cushion for its driver IC sales. Management noted it will continue to optimize its product portfolio and divest lower-end capacity, while negotiates with its customers on pass through higher component cost if needed. We forecast ChipMOS's Q426E sales to grow 2% QoQ, with GM expanding by 0.3ppt QoQ to 22.0% on better product mix and normalized electricity cost.

Optics and AI ASIC testing support 2027E growth

Management noted its copper bumping for US customers' next-generation products remain under qualification and expects to see more meaningful revenue contribution by late-2027F or 2028F. In the meantime, it is working with the customer on producing some legacy products in 2027F, although revenue contribution remains limited. As optics-related business carries significantly better pricing than traditional DDIC bumping, ChipMOS will prioritize its driver IC/bumping resource for optics and OLED DDI, instead for Korean customer's outsourcing. Separately, ChipMOS continues to expand its ASIC testing roadmap, having already entered mass production for smartphone AP and expecting to progress to smartphone SoC testing, followed by ASIC final test opportunities if the current program ramps successfully through H127.

Valuation: Reiterate Buy rating with price target of NT$155

We raise our 2026-28E EPS by 6-23% on improving GM profile driven by more favorable mix but trim our PT from NT$166 to NT$155 as we apply a lower multiple of 20x 2027-28E average PE (from 23x) given the recent market valuation contraction. Reiterate Buy rating on improving margin profiles new AI (optics and logic testing) initiatives.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	21,356	22,696	23,933	31,303	36,163	40,794	44,197	46,872
EBIT (UBS)	1,908	1,274	1,143	4,477	5,772	6,869	7,634	8,251
Net earnings (UBS)	1,893	1,420	495	3,886	4,992	5,905	6,560	7,093
EPS (UBS, diluted) (NT$)	2.60	1.95	0.69	5.55	7.13	8.44	9.37	10.13
DPS (net) (NT$)	2.30	1.80	1.23	1.25	2.78	3.57	4.22	4.69
Net (debt) / cash	(2,558)	1,121	(612)	(3,313)	(5,518)	(5,876)	(2,676)	1,233
Profitability/valuation	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
EBIT (UBS) margin %	8.9	5.6	4.8	14.3	16.0	16.8	17.3	17.6
ROIC (EBIT) %	9.8	5.0	4.8	16.6	18.0	18.7	19.7	21.2
EV/EBITDA (UBS core) x	3.6	4.9	3.5	6.2	5.5	4.9	4.5	4.0
P/E (UBS, diluted) x	14.6	20.8	44.9	14.4	11.2	9.5	8.6	7.9
Equity FCF (UBS) yield %	13.1	18.1	1.8	(3.1)	(0.5)	3.8	10.9	12.7
Dividend yield (net) %	6.0	4.4	4.0	1.6	3.5	4.4	5.3	5.8

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 80.20 on 10-Nov-2026

Figure 1: UBS vs. consensus estimates

	2Q26	3Q26			4Q26E			2025	2026E			2027E		
(NT$m)	Actual	Actual	UBSe prior	LSEG	UBSe	UBSe prior	LSEG	Actual	UBSe	UBSe prior	LSEG	UBSe	UBSe prior	LSEG
Revenue	**7,383**	**8,401**	**8,112**	**8,290**	**8,584**	**8,007**	**8,305**	**23,933**	**31,303**	**30,438**	**30,722**	**36,163**	**36,087**	**35,922**
- QoQ / YoY	6.5%	13.8%	9.9%	12.3%	2.2%	-1.3%	0.2%	5.5%	30.8%	27.2%	28.4%	15.5%	18.6%	16.9%
Gross profit	**1,326**	**1,820**	**1,506**	**1,670**	**1,885**	**1,502**	**1,802**	**2,592**	**5,987**	**5,289**	**5,526**	**7,993**	**7,324**	**7,734**
- Gross margin	18.0%	21.7%	18.6%	20.1%	22.0%	18.8%	21.7%	10.8%	19.1%	17.4%	18.0%	22.1%	20.3%	21.5%
Operating profit	**948**	**1,657**	**1,015**	**1,178**	**1,352**	**999**	**1,301**	**1,143**	**4,477**	**3,482**	**3,561**	**5,772**	**5,229**	**5,507**
- OP margin	12.8%	19.7%	12.5%	14.2%	15.8%	12.5%	15.7%	4.8%	14.3%	11.4%	11.6%	16.0%	14.5%	15.3%
Non-Op	**79**	**43**	**120**	**61**	**107**	**99**	**67**	**-555**	**308**	**377**	**426**	**308**	**377**	**284**
Pre-tax profit	**1,027**	**1,628**	**1,055**	**1,239**	**1,380**	**1,016**	**1,367**	**587**	**4,632**	**3,697**	**3,987**	**5,964**	**5,384**	**5,792**
Tax	**135**	**304**	**164**	**277**	**214**	**158**	**248**	**92**	**747**	**550**	**594**	**971**	**835**	**919**
- Tax rate	-13%	-19%	-16%	-22%	-16%	-16%	-18%	-16%	-16%	-15%	-15%	-16%	-16%	-16%
Net profit	**892**	**1,323**	**892**	**962**	**1,166**	**859**	**1,120**	**495**	**3,886**	**3,147**	**3,394**	**4,992**	**4,550**	**4,872**
EPS (NT$)	**1.27**	**1.89**	**1.27**	**1.47**	**1.67**	**1.23**	**1.65**	**0.69**	**5.55**	**4.50**	**4.82**	**7.13**	**6.50**	**6.90**

Source: Company data, LSEG, UBS estimates

Figure 2: Summary of annual P&L estimates

Ticker		8150.TW	Current Price (NT$)			$80.2
Shares outstanding (mn)		710.4	Mkt cap (NT$ mn)			$56,978
Year	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Revenues (NT$ mn)	**$23,933**	**$31,303**	**$36,163**	**$40,794**	**$44,197**	**$46,872**
YoY Growth (%)		**30.8%**	**15.5%**	**12.8%**	**8.3%**	**6.1%**
Gross profit (NT$mn)	$2,592	$5,987	$7,993	$9,257	$10,167	$10,906
GM (%)	**10.8%**	**19.1%**	**22.1%**	**22.7%**	**23.0%**	**23.3%**
Operating profit (NT$mn)	$1,143	$4,477	$5,772	$6,869	$7,634	$8,251
OPM (%)	**4.8%**	**14.3%**	**16.0%**	**16.8%**	**17.3%**	**17.6%**
Net profit (NT$ mn)	$495	$3,886	$4,992	$5,905	$6,560	$7,103
EPS (NT$)	**$0.69**	**$5.55**	**$7.13**	**$8.44**	**$9.37**	**$10.15**
EPS growth (%)		700.2%	28.5%	18.3%	11.1%	8.3%
P/E (x)	**115.6**	**14.4**	**11.2**	**9.5**	**8.6**	**7.9**
Dividend yield (%)	1.5%	1.6%	3.5%	4.4%	5.3%	5.8%
P/B (x)	**2.4**	**2.1**	**1.9**	**1.7**	**1.5**	**1.4**
ROE (%)	2.1%	14.7%	16.9%	17.9%	18.0%	17.6%

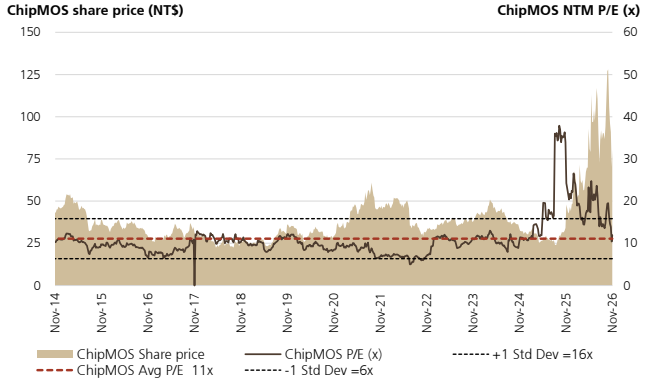
Source: Company data, UBS estimates

Figure 3: Summary of ChipMOS's annual and quarterly estimates

Quarters	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	2025	2026E	2027E	2028E	2029E
Revenues (NT$ mn)	**$5,532**	**$5,736**	**$6,144**	**$6,521**	**$6,936**	**$7,383**	**$8,401**	**$8,584**	**$23,933**	**$31,303**	**$36,163**	**$40,794**	**$44,197**
-- QoQ Growth (%)	*2.5%*	*3.7%*	*7.1%*	*6.1%*	*6.4%*	*6.5%*	*13.8%*	*2.2%*					
-- YoY Growth (%)	*2.1%*	*-1.3%*	*1.2%*	*20.8%*	*25.4%*	*28.7%*	*36.7%*	*31.6%*	*5.5%*	*30.8%*	*15.5%*	*12.8%*	*8.3%*
Gross profit	**$518**	**$379**	**$760**	**$935**	**$955**	**$1,326**	**$1,820**	**$1,885**	**$2,592**	**$5,987**	**$7,993**	**$9,257**	**$10,167**
-- Gross Margin (%)	9.4%	6.6%	12.4%	14.3%	13.8%	18.0%	21.7%	22.0%	10.8%	19.1%	22.1%	22.7%	23.0%
EBITDA	**$1,425**	**$1,302**	**$1,636**	**$1,880**	**$1,766**	**$2,166**	**$2,900**	**$2,620**	**$6,243**	**$9,452**	**$11,099**	**$12,636**	**$13,573**
-- EBITDA Margin (%)	25.8%	22.7%	26.6%	28.8%	25.5%	29.3%	34.5%	30.5%	26.1%	30.2%	30.7%	31.0%	30.7%
Non-op	**$82**	**($682)**	**$69**	**($24)**	**$78**	**$79**	**$43**	**$107**	**($555)**	**$308**	**$308**	**$335**	**$412**
Pre-tax profit (NT$ mn)	**$198**	**($661)**	**$438**	**$612**	**$598**	**$1,027**	**$1,628**	**$1,380**	**$587**	**$4,632**	**$5,964**	**$7,054**	**$7,835**
Tax	**$22**	**($128)**	**$86**	**$112**	**$93**	**$135**	**$304**	**$214**	**$92**	**$747**	**$971**	**$1,149**	**$1,276**
-- tax rate (%)	11.0%	19.4%	19.7%	18.3%	15.6%	13.2%	18.7%	15.5%	15.7%	16.1%	16.3%	16.3%	16.3%
Net profit (NT$ mn)	**$176**	**($533)**	**$352**	**$500**	**$505**	**$892**	**$1,323**	**$1,166**	**$495**	**$3,886**	**$4,992**	**$5,905**	**$6,560**
-- QoQ Growth (%)	*-24.1%*	*-402.4%*	*-166.1%*	*41.9%*	*1.0%*	*76.6%*	*48.4%*	*-11.9%*					
-- YoY Growth (%)	*-59.7%*	*-218.3%*	*17.6%*	*115.2%*	*186.4%*	*-267.3%*	*275.7%*	*133.3%*	*-65.1%*	*684.8%*	*28.5%*	*18.3%*	*11.1%*
EPS (NT$)	**$0.24**	**-$0.75**	**$0.50**	**$0.70**	**$0.72**	**$1.27**	**$1.89**	**$1.67**	**$0.69**	**$5.55**	**$7.13**	**$8.44**	**$9.37**

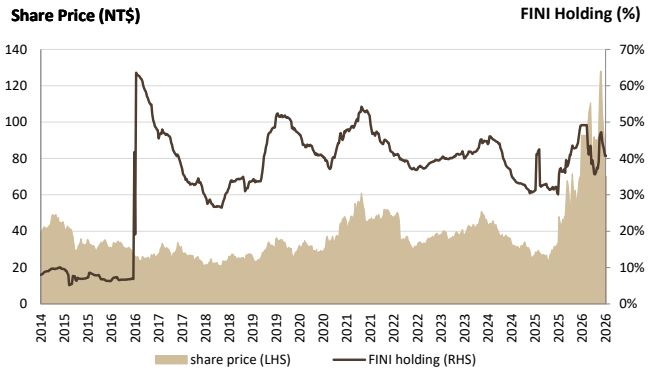
Source: Company data, UBS estimates

Figure 4: ChipMOS's historical PE range



Source: LSEG

Figure 5: ChipMOS's FINI ownership



Source: TEJ

Forecast returns

Forecast price appreciation	93.3%
Forecast dividend yield	1.6%
Forecast stock return	94.8%
Market return assumption	6.4%
Forecast excess return	88.4%

Company Description

ChipMOS is a semiconductor back-end supplier with 45-50% of its sales from display driver IC (~40% from TV and 40% from smartphone and IT and 20% from automotive), 35-40% from memory (~40% DRAM, ~40% from specialty flash and ~20% from mainstream NAND) and 10-15% from logic (TV SoC) and mixed signal IC (MEMS, PMIC).

Valuation Method and Risk Statement

Our price target for ChipMOS is based on a target PE multiple. Downside risks include a weaker-than-expected tech end-market demand recovery, growing China competition, failure to diversify into the SiPh/optical component bumping business and a slower ramp of its logic testing business.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

ChipMOS Technologies

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
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UBS Securities Pte. Ltd., Taipei Branch: Annie Chen, Jerry Su.

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Company Name	Reuters	12-month rating	Price	Price date
ChipMOS Technologies[16]	8150.TW	Buy	NT$80.20	10 Nov 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
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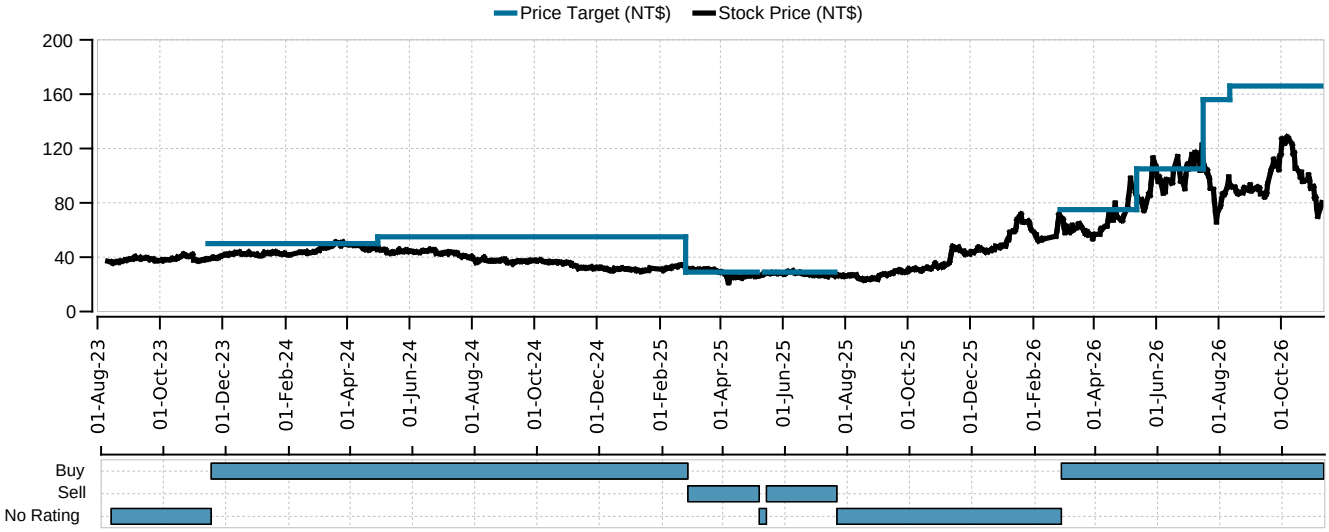
ChipMOS Technologies (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-08-10	36.70	-	No Rating
2023-11-16	38.45	50.00	Buy
2024-04-30	45.90	55.00	Buy
2025-02-25	34.05	29.00	Sell
2025-05-06	26.10	-	No Rating
2025-05-13	27.25	29.00	Sell
2025-07-21	26.75	-	No Rating
2026-02-26	71.50	75.00	Buy
2026-05-12	87.00	105.00	Buy
2026-07-16	122.50	156.00	Buy
2026-08-11	99.00	166.00	Buy

Source: UBS Global Research; LSEG Eikon as of 10-Nov-2026. All prices as of local market close. Ratings as of date shown.

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